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Bagatagira v Uganda

[2005] 2 EA 1 (SCU)

Division: Supreme Court of Uganda at Mengo

Date of judgment: 24 August 2005

Case Number: 4/04

Before: Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC

Sourced by: LawAfrica

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[1] Appellate procedure – Duty of a first Appellate Court – Re-evaluation of evidence on record – Whether Court of Appeal had adequately discharged its duty.

[2] Criminal law – Murder – Deceased cut with a panga – Whether evidence proved that the appellant inflicted fatal injuries.

[3] Criminal procedure – Constitutional law – Sentencing – Mandatory death sentences – Whether mandatory death sentences were constitutional.

[4] Evidence – Alibi – Identification – Appellant claiming to have been in Tanzania – Whether prosecution had disproved the alibi.

Editor's Summary

The appellant was tried and convicted of the offence of murder by the High Court. At his trial, evidence was adduced by the prosecution to the effect that on 1 July 1999, the appellant cut the deceased, whom he apparently owed some money, with a *panga*. Testimony was heard from one witness who saw the appellant cut the deceased and from another who testified that he met the appellant fleeing the scene with the *panga*. After the attack, the appellant disappeared from the village. He was eventually arrested in Tanzania some ten months later. In his defence the appellant claimed that he was not at the scene on the material day as he had gone to Tanzania to seek employment. The trial court rejected the alibi defence and convicted him. His first appeal to the Court of Appeal was dismissed.

He now appealed to the Supreme Court on the grounds that the Court of Appeal had failed to evaluate the appellant's evidence and that it had relied on evidence that was tainted with falsehoods, contradictions and inconsistencies. He also appealed that he had not been allowed to mitigate regarding the sentence.

Held – The evidence of the two witnesses, who had known the appellant since childhood, together with the fact that the incident happened in broad daylight disproved the appellant's alibi. The Court of Appeal had re-evaluated the evidence regarding the alibi and had been in agreement with the trial court that the appellant was at the scene and that his alibi should be rejected.

There was no inconsistency between the evidence of the first prosecution witness and the post-mortem report. Accordingly, the courts below could not be faulted for finding that the witnesses' testimony was reliable.

With regard to the issue of mitigation, confirmation of the sentence would be postponed until determination of the appeal in Constitutional Petition number 6 of 2003.

Appeal against conviction dismissed, confirmation of sentence deferred.

Cases referred to in judgment:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Tajar v Uganda EACA criminal appeal number 167 of 1969

Zahura v Uganda Supreme Court criminal appeal number 16 of 2004

Judgment

Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC: This second appeal is from the decision of the Court of Appeal upholding the conviction by the High Court of the appellant for the offence of murder.

The facts of the case are simple. The appellant, Bagatagira Mujuni, and the deceased, Byandagara Moses, lived in Kyempisi Village, Mbarara District. Apparently the appellant owed the deceased some money. On the same village, the father of the appellant engaged Bagorogonza Tumusiime (Tumusiime) to distil a local brew called Enguli for the former. On 1 July 1999, at 1 pm, the appellant and the deceased went to where Tumusiime was distilling Enguli. They appear to have arrived at the same time. The appellant was carrying a *panga*. After a while, the deceased demanded that the appellant pay the debt there and then. Apparently the latter did not have money, so he promised to pay it the next day. The deceased persisted in demanding the money. At that stage, Tumusiime left the two and proceeded to attend to the Enguli distillation by replenishing the fire. As he was proceeding, he heard the deceased groan with pain and when Tumusiime looked back at the two, he noticed that the deceased lay on the ground while the appellant had raised one of his arms up poised to cut the deceased with the *panga*. The appellant then cut the deceased. Tumusiime ran away from the scene and proceeded to inform members of the family of the deceased about what he had observed.

As the appellant was fleeing from the scene, while carrying his *panga*, he met Twinomujuni Richard (PW2). When Twinomujuni inquired of the appellant about what had happened, the appellant told Twinomujuni "to leave him alone" as he continued running away from the scene. At the Enguli Distillery, Twinomujuni found the deceased lying dead in a pool of blood, while more blood was oozing out from a cut wound at the back (*sic*).

According to Gideon Safari, (PW3), a teacher and village mate of deceased and the appellant, after the incident, the appellant disappeared from the village until he was arrested in Tanzania, ten months later.

At his trial, the appellant put up an alibi to the effect that he was not at the scene on the day the deceased was murdered, claiming that he had gone to Tanzania on 27 June 1999 in search of employment. The learned trial Judge rejected that alibi and convicted and sentenced him to death. Upon appeal to the Court of Appeal based on six grounds, the conviction and the sentence of death were confirmed by that court. From that confirmation the appellant has preferred this appeal which was originally founded upon three grounds formulated by his counsel, Mr Robert *Tumwiine*. With leave of the court, Messrs Katende Ssempebwa and Company Advocates, also counsel for the appellant,

filed a supplementary ground of appeal in respect of mitigation of the sentence of death.

Mr Robert *Tumwiine* lodged a written statement of his arguments in support of the appeal. He abandoned the second ground of appeal but argued the remaining two grounds together. Mr Vincent *Okwanga*, Acting Senior Principal State Attorney, also lodged a written statement of arguments on behalf of the respondent. Consideration of mitigation on sentence would depend on our decision in regard to the conviction of the appellant.

Grounds one and three of appeal are worded this way:

1. The Honourable Justices of Appeal erred in law and fact when he (*sic*) failed to correctly re-evaluate the appellant's evidence, especially his defence of alibi.

2. The Honourable Justices of Appeal erred in law in confirming the conviction of the appellant that was based on the prosecution evidence that was tainted with falsehoods, contradictions and inconsistencies.

Mr *Tumwiine*'s arguments in substance consist of two parts. First he criticised the Court of Appeal on its alleged failure to re-evaluate the appellant's evidence. Secondly, he criticised the court for relying on evidence which he contended was tainted with falsehoods, contradictions and inconsistencies. We may point out that in presenting the arguments, learned Counsel oscillated from one set to the other.

It is convenient to start with the second leg of learned Counsel's contentions. According to him, Bagorogoza Tumusiime (PW1) and Twinomujuni Richard (PW2) were unreliable prosecution witnesses and, therefore, the two courts should not have relied on them to disprove the appellant's alibi. According to counsel:

"(*a*) PW1 was being employed by the appellant's father who refused to pay him and this biased him. (the witness)

(*b*) PW2 purportedly met the appellant running with a *panga* and did not mind making an alarm.

These are the same arguments which Ms Nafula had argued on behalf of appellant in the Court of Appeal.

In reply, Mr *Okwanga* argued that the evidence of the two witnesses disproved the appellant's alibi.

We agree with the submission of Mr *Okwanga*. The two witnesses and the appellant were village mates. Each had known the appellant since childhood. The incident happened during broad daytime, at 1:00 pm. These facts were not challenged. No question of mistaken identification was raised nor could be properly raised at all. The two reasons advanced by Mr *Tumwiine* are far fetched and have no sound basis. In our opinion, the learned trial Judge considered the evidence of the two witnesses and the alibi before he rejected the latter.

The Court of Appeal properly re-evaluated the evidence before it concurred with the trial judge that the two witnesses were credible and that they put the appellant at the scene of crime.

In our opinion, the Court of Appeal, like the trial court, justifiably rejected the appellant's alibi. We cannot fault any of the two courts. We think that the appellant ran to Tanzania after the murder to look for employment as he claimed.

Next Mr *Tumwiine* contended that there were contradictions between the post mortem report on the one hand and the evidence of Tumusiime (PW1) and Mugisha Gideon Safari, (PW3) the teacher, on the other. Counsel appears to argue that although the post-mortem report (exhibit P1) shows that there was only one cut wound, Tumusiime stated that the appellant inflicted two cut wounds on the deceased. He further contended that Safari's testimony suggests that either the head of the deceased or both the head and the trunk, had been severed off from the rest of the body. Counsel contended that the Court of Appeal should have treated the evidence of PW1 and PW3 as lies and therefore the court should have quashed the conviction. For the respondent, Mr *Okwanga* argued that any of the contradictions are minor and do not go to the root of the prosecution case. He supported the decisions of the two courts.

With respect to Mr *Tumwiine*, we think that the contradictions he pointed out are not material. We perused the record of appeal and we do not find anywhere in the evidence of Tumusiime, where he stated that any part of the body, let alone the head or the trunk, had been severed as claimed by Mr *Tumwiine*. Further, neither Tumusiime evidence nor the post-mortem report shows that there were two cut wounds.

Mr *Tumwiine*'s arguments regarding contradictions in the evidence of PW1 as to the cuts inflicted on the deceased, are the same arguments which Ms Nafula raised in the Court of Appeal on behalf of the appellant, that court considered the post-mortem report, the evidence of Tumusiime and how the learned trial Judge had evaluated that evidence. The Court of Appeal considered two authorities including the famous case of *Tajar v Uganda* EACA criminal appeal number 167 of 1969, which sets down applicable tests on the reliability of the evidence of a witness who is perceived to have given contradictory evidence. The court found that there was no grave inconsistency between the evidence of Tumusiime and the post-mortem report. The court held that the injury revealed by the report was consistent with the evidence of Tumusiime, namely that the deceased sustained a cut wound. The Court of Appeal therefore agreed with the trial judge that Tumusiime's evidence was reliable. We respectfully agree with that conclusion. In result, the two grounds have no merit and must fail.

There is no merit in the appeal against conviction and it is accordingly dismissed.

It is now convenient to advert to the supplementary ground of appeal that reads as follows:

> That the learned Justices of Appeal erred in law and occasioned a miscarriage of justice in not giving the appellant an opportunity to be heard on the question of mitigation of sentence.

We did not hear counsels' arguments on this ground. However, earlier in the same session, we considered arguments on a similar ground of appeal in the case of *Zahura v Uganda* (Supreme Court criminal appeal number 16 of 2004) and made a ruling that is applicable to all pending criminal appeals in capital offences convictions, namely that where we uphold a conviction in a capital offence in which the accused has been sentenced to death, we would make an appropriate order as to sentence. Accordingly, as we did in the *Zahura* appeal (*supra*) we exercise our discretion and postpone confirmation of the sentence in

this case under Article 22(1) of the Constitution, until the determination of the pending constitutional appeal against the decision of the Constitutional Court in Constitutional Petition number 6 of 2003.

For the appellant:
Mr Robert Tumwiine

For the respondent:
Mr Vincent Okwanga, Acting Senior Principal State Attorney

Baku and another v Attorney-General
[2005] 2 EA 5 (CCU)

Division:	Constitutional Court of Uganda at Kampala
Date of judgment:	11 March 2005
Case Number:	4 and 6/02
Before:	Mpagi-Bahigeine, Engwau, Twinomujuni, Byamugisha and Kavuma JJA
Sourced by:	LawAfrica

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[1] Constitutional law – Election petitions – Whether an election petitioner can appeal to the Supreme Court from the Court of Appeal – Whether section 67(3) of the Parliamentary Elections Act of 2001 is inconsistent with the Constitution.

Editor's Summary

The petitioners contested the 2001 Parliamentary Elections in separate constituencies and lost. They then separately filed petitions to the High Court at Gulu and lost. Later they appealed to the Court of Appeal and still lost. They then filed separate petitions to the Constitutional Court, which consolidated them but dismissed them on technicalities. The Supreme Court, however, allowed their appeal and ordered the Constitutional Court to hear the petitions on merit.

The petitioners, in their application, sought declarations that under Article 137 of the Constitution, that section 67(3) of the Parliamentary Elections Act of 2001 is inconsistent with Articles 140 and 86 of the Constitution and is therefore null and void; that the said section infringes on their rights under the Constitution; and that they both have a right of appeal to the Supreme Court.

Held – Jurisdiction is created by statute and there is no such thing as inherent appellate jurisdiction (*Attorney-General v Shah* [1971] EA 50 approved).

The Supreme Court can only entertain appeals from the Court of Appeal as the Constitution, the Judicature Act or any other law may prescribe.

Jurisdiction, being a creature of statute, and the Constitution being the statute that confers jurisdiction, it cannot be said that jurisdiction can be inferred by cross-reference. (*Per Byamugisha JA.*)

The appellate jurisdiction in Uganda is conferred by specific provision of law. There is no such

thing as appellate jurisdiction by inference. (Per Kavuma JA).

Article 140 of the Constitution empowers the Supreme Court and the Court of Appeal to hear and determine any appeal referred to them expeditiously. The

Cross-reference in Article 140 to Article 86 does not confer appellate jurisdiction to the Supreme Court in election petitions. If that was the intention of the framers of the Constitution, they would have stated so deliberately.

The Court of Appeal was intended to be the last and final Court of Appeal in election petitions.

Section 67(3) of the Act is not inconsistent with Articles 140, 86(1) and (2) and 2(2) of the Constitution.

Article 86 of the Constitution does not provide that an appeal to the Court of Appeal in election petitions is final nor does it confer any power to any authority to determine this issue. Clause (3) only gives Parliament power to make provisions as to who is eligible to petition the High Court and in what circumstances and manner and on what condition. Hence, it does not include power to confer original or appellate jurisdiction on any court in election petitions and consequently section 67(3) of the Act could not have been enacted under authority of Article 86(3) of the Constitution. (*Per Twinomujuni JA* dissenting).

A close reading of Article 140(2) shows that the Court of Appeal and the Supreme Court were enjoined to hear and determine election petitions as expeditiously as the High Court was required to do so under Article 140(1) of the Constitution. By reading Article 140(1) together with Article 86, the logical and inescapable conclusion is that the Constitution of Uganda settled the question of appellate jurisdiction once and for all. (*Per Twinomujuni JA* dissenting.)

Under section 7 of the Judicature Act, once the Court of Appeal disposes of an appeal from the exercise of the original jurisdiction of the High Court, an appeal, as of right, lies to the Supreme Court. (*Per Twinomujuni JA* dissenting.)

Articles 86 and 140 of the Constitution conferred appellate jurisdiction in election petitions on the Supreme Court of Uganda. (*Per Twinomujuni JA* dissenting.)

Anything to do with Presidential elections is exclusively dealt with in Article 104 of the Constitution. Hence, the reference to the Supreme Court in Article 140(2) can only be in respect of other election petitions emanating from the High Court and Court of Appeal other than the Presidential election petition. (*Per Bahigeine JA* dissenting.)

The principle that there is no inherent appellate jurisdiction presupposes a situation where there is no apparent conflict between any law under the Constitution. (*Attorney-General v Shah* (*4*) [1971] EA 50 distinguished (*per Bahigeine JA* dissenting)).

Article 132 deals with the general appellate jurisdiction of the Supreme Court while Articles 86 and 140 specifically deal with the electoral matters as evidenced by the marginal notes (*per Bahigeine JA* dissenting.)

Constitutional rights conferred without express limitation are not whittled down by reading implicit restriction into them. It will be a sacrilege, therefore, to put a restriction on the petitioners' right of access to the highest appellate court in the land when the right is clearly guaranteed under Articles 132 and 140(2).

Section 67(3) is inconsistent with the named Articles of the Constitution and is null and void. (*Per Bahigeine and Twinomujuni JJA* dissenting).

Petition dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Attorney-General v Shah [1971] EA 50

Ssemogerere and another v Attorney-General Constitutional appeal number 3 of 2004

Judgment

Mpagi-Bahigeine JA: I have read in draft the lead judgment of my learned sister Byamugisha JA. I respectfully disagree that this petition lacks merit. I agree with Twinomujuni JA that it ought to succeed and this judgment is just for emphasis in that respect.

Both petitioners, Baku Raphael Obudra and Obiga Kania, filed this petition under Article 137 of the Constitution of Uganda, 1995 and the Fundamental Rights and Freedoms (Enforcement Procedure) Rules, 1992.

The petition challenges the constitutionality of section 67(3) of the Parliamentary Elections Act of 2001.

Both petitioners were candidates who contested in the National Parliamentary Elections held on 26 June 2001, in their respective constituencies. Each lost the elections and decided to petition the High Court, where both lost.

They filed separate electoral appeals to the Court of Appeal which were dismissed with costs. They wished to exhaust their options by appealing to the Supreme Court, the highest appellate court, but were barred by section 67(3) of the Parliamentary Elections Act 2001 which prescribes the appeal to the Court of Appeal to be final. They separately filed Constitutional Petitions, numbers 4 and 6 of 2002, under Article 137 of the Constitution. These petitions were both dismissed on a technicality. On appeal to the Supreme Court, the proceedings were remitted back to this Court for disposal on merit, hence this judgment.

At the commencement of the hearing, the two petitions were consolidated by court order, consequent upon which an amended petition was filed. It was supported by the petitioners' affidavits, which were similar in content and substance.

The petitioners sought the following declarations, namely that:

(i) Section 67(3) of the Parliamentary Elections Act is inconsistent with Articles 140 and 86 of the Constitution of Uganda, 1995 and therefore is null and void.

(ii) Section 67(3) of the Parliamentary Elections Act infringes on the petitioners' rights under the Constitution of the Republic of Uganda, 1995.

(ii) The court makes an order declaring the petitioner's right of appeal to the Supreme Court.

The issues for determination by the court were:

1. whether the petitioners do not have a right of appeal to the Supreme Court in Election Petitions.

2. whether section 67(3) of the Parliamentary Elections Act 8 of 2001 is inconsistent with Articles 140, 86(1) and (2), and 2(2) of the Constitution.

3. whether the petitioners are entitled to the relief sought.

Mr *Akampumuza*, learned Counsel for the petitioners, submitted as follows:

"Article 140 read together with Articles 86(1)(*a*), 28(1) and 44(*c*) of the Constitution vest jurisdiction of appeals in the Supreme Court.

Article 86(1) vests the High Court with original jurisdiction to hear and determine Elections Petitions. Article 86(2) prescribes the right of appeal to the Court of Appeal and 86(3) stipulates Parliament's power to make a law regarding petitions and who may petition.

Article 140(1) makes cross-reference to Article 86, which means that the two Articles were complementary. It is noteworthy that the marginal note to Article 140 refers to 'Hearing of Election Cases'. Thus, Article 140 is complete by reference to Article 86. Similarly Article 86 is incomplete without reading it with Article 140.

Article 86 gives a right of appeal to the Court of Appeal but is silent in as far as the appeal to the Supreme Court is concerned. The silence is answered by Article 140 which by cross reference applies to Article 86 and clearly gives a right of appeal to the Supreme Court in election matters complained of by the petitioners. The marginal note to Article 140 clearly read together with the cross-reference to Article 86, brings out the intentions of the framers of the 1995 Constitution.

Ordinarily matters of the Constitution are specifically and expressly stated in the Constitution. If it intends that a matter is not appealable it states so eg Article 64(1), (3) and (4) with regard to appeals from Commissions where the finality is clearly brought out in Article 64(4).

Article 86(2) gives special right to an aggrieved person to appeal to the court but does not in any way preclude appeals beyond the Court of Appeal. Reading the Articles together it becomes clear that Article 140 provides an appeal to the Supreme Court. The court should apply the principle of harmonisation of the Articles and find that section 67(3) is inconsistent with Articles 140, 86(1) and (2) and (3); 44(c) and 28(1) and thus unconstitutional, as it amends the Constitution without going through the proper procedure.

Under Article 79(1) Parliament is mandated to make laws only subject to the Constitution. Under Article 86(3) Parliament is only mandated to make provisions or laws with respect to persons eligible to petition the High Court and the manner in which to petition. Pray allow the petition."

Submissions by Mr Alfred *Oryem*, learned State Attorney in reply:

"The petition lacks merit. The right of appeal is a creation of statute. There is no such thing as inherent appellate jurisdiction. *Attorney-General v Shah* [1971] EA 50.

The Supreme Court does only have inherent jurisdiction created under Article 104 of the Constitution to handle election petitions of the President. In ordinary election petitions, Article 86(2) creates the appellate jurisdiction of Court of Appeal while the High Court retains the original jurisdiction.

As regards Article 140 it is not concerned with appellate jurisdiction of the courts but with expeditious disposal of matters before court. Article 86 is conclusive regarding election petitions and the right of appeal in election matters.

The scheme of drafting of the Constitution supports that view.

Article 86 is in Chapter 6 under which various Articles concerning legislature are found. If there was the intention of second appeal to the Supreme Court such a right should have been created under Article 86.

In passing section 67(3) Parliament was exercising its powers under Article 86(3). The wording of section 67(3) does not add anything to Article 86(2). Section 67(3) is thus consistent with Article 86(2). Article 86 is conclusive on the issue of right of appeal. The right of appeal and jurisdiction cannot be inferred from Article 140.

The reference in Article 140 to Article 86(1) is superfluous and inadvertent, where the Constitution creates a right of appeal, it states so expressly like in Article 64.

When section 67(3) was enacted, the right of appeal was embodied in the Constitution. It already existed. It lay in the Supreme Court before the creation of the Court of Appeal which replaces the Supreme Court in electoral matters.

Section 67(3) was enacted under the mandate of Article 86(3). Article 86 is conclusive and need not be read with any other Article. Section 67(3) of the Act is in conformity with the Constitution and Article 86. It does not purport to amend any Article of the Constitution.

Pray find issue number 1 in the negative and also find that the petitioners are not entitled to any remedies. Even if court found otherwise, it should exercise its powers not to grant declarations sought, as it would open up a floodgate for numerous application to file appeals out of time leading to chaos in Parliament.

The rationale behind stopping electoral proceedings at the Court of Appeal level is to ensure that electoral matters do come to a definite and speedy end so that members of Parliament can start serving the country. Pray disallow the petition."

Such were the submissions by both counsel.

Section 67 of the Parliamentary Elections Act reads:

"67 (1) A person aggrieved by the determination of High Court or hearing an election petition may appeal to the Court of Appeal against the decision.

(2) The Court of Appeal shall proceed to hear and determine an appeal under this section expeditiously and may for that purpose, suspend any other matter pending before it.

The impugned subsection states:

(3) The decision of the Court of Appeal in an appeal under this section is final."

Article 86 provides:

"86 (1) The High Court shall have jurisdiction to hear and determine any question whether:

(*a*) a person has been validly elected a member of Parliament or the seat of a member of Parliament has become vacant, or

(*b*) a person has been validly elected as Speaker or Deputy Speaker or having been so elected, has vacated that office.

(2) A person aggrieved by the determination of High Court under this Article may appeal to the Court of Appeal.

(3) Parliament shall, by law, make provision with respect to:

(*a*) the persons eligible to apply to the High Court for determination of any question under this Article; and

(*b*) the circumstances and manner in which and the conditions upon which any such application may be made."

And Article 140 states:

"140 (1) Where any question is before the High Court for determination under clause (1) of Article 86 of this Constitution, the High Court shall proceed to hear and determine the question expeditiously and may, for that purpose, suspend any other matter pending before it.

(2) The Article shall apply in a similar manner to the Court of Appeal and the Supreme Court when hearing and determining appeals on questions referred to in clause (1) of this Article."

It is apparent that the entire Article 86 deals with the jurisdiction of the High Court and the procedure to dispose of election petitions and the right of an aggrieved party to appeal to the Court of Appeal.

Article 140(1) specifically refers to Article 86(1) which confers jurisdiction to the High Court in electoral matters and prescribes the procedure that such matters shall be expeditiously disposed of and shall take priority over everything else.

Article 140(2) also specifically states that the entire Article shall similarly apply to the Court of Appeal and the Supreme Court when hearing and determining appeals on questions referred to in clause (1) of the same Article 140. This makes a cross-reference to Article 86(1) dealing with election petitions before the High Court.

In view of the foregoing I cannot agree, as suggested by Mr *Oryem*, that Article140(2) is in reference to the jurisdiction of the Supreme Court when dealing with the Presidential election petitions under Article 104. This is because the opening language of Article 104 sufficiently indicates that the Article is self-sustaining. It sets its own time frame and makes specific cross-references where it is so desired for its completeness.

This Article reads:

"104 (1) subject to the provisions of this Article, any aggrieved condition may petition the Supreme Court for an order that a candidate declared by the Electoral Commission elected as President was not validly elected.

(2) A petition under clause (1) of this Article shall be lodged in the Supreme Court registry within ten days after the declaration of the election results.

(3) The Supreme Court shall inquire into and determine the petition expeditiously and shall declare its finds not later than thirty days from the date the petition is filed.

(4) Where no petitions filed within the time prescribed under clause (2) of this Article, or where a petition having been filed, is dismissed by the Supreme Court, the candidate shall conclusively be taken to have been duly elected as President.

104 (8) Makes a cross-reference to Article 98(4) that the President shall not be liable to court proceedings while holding office.

104 (9) Parliament is to make laws for purposes of this Article including laws for grounds of annulment and rules of procedure."

The above wording indicates that anything to do with the Presidential elections is exclusively dealt with under Article 104. It is important to note that clause 3 is similar to clause (1) of Article 140(1). There would therefore be no need for cross-reference in which case this can only support a finding that the reference to the Supreme Court in 140(2) can only be in respect to other election petitions emanating from the High Court and Court of Appeal, than the Presidential election petition.

The above finding is reinforced by the Judicature Act (Chapter 13) Uganda Laws, 2000 at 235 which is an act consolidating and revising the Judicature Act to take account of the provisions of the Constitution relating to the Judiciary. Its commencement date was May 1996, which is after the commencement date

and promulgation of the 1995 Constitution on 8 October. It is significant that section 6 of the said Act, which deals with Appeals to the Supreme Court in civil matters reads:

> "6(1) An appeal shall be as of right to the Supreme Court where the Court of Appeal confirms, varies or reverses a judgment or order, including an interlocutory order, given by the High Court in the exercise of its original jurisdiction and either confirmed, varied or reversed by the Court of Appeal."

I cannot therefore escape from the conclusion that an appeal lies to this Supreme Court in this matter. Furthermore, while it is correct that appellate jurisdiction springs form statute and that there is no inherent appellate jurisdiction – *Attorney-General v Shah* (4) [1971] EA 50, sight should not be lost of the fact that this statutory power emanates from the Constitution. It is my opinion that this principle presupposes a situation where there is no apparent conflict between any law and the Constitution. In *Shah*'s case (*supra*) the right of appeal had previously existed but had been repealed and not re-enacted. There was thus, a vacuum but not a conflict with the Constitution as is the position with the case before us.

Reading all the relevant Articles together, 86, 132 and 140, I consider Article 132 to be dealing with general appellate jurisdiction of the Supreme Court, while Articles 86 and 140 specifically deal with electoral matters as evidenced by the marginal notes thereto. The marginal note to Article 86 reads. "Determination of questions of membership" (of the Legislature), while the marginal note to Article 140 states "Hearing of election cases".

Article 86(2) is noteworthy. It provides:

> "(2) A person aggrieved by the determination of the High Court under the Article may appeal to the Court of Appeal, " it does not go any further to state that the appeal shall be final. If it were the intention of the framers that the appeal should stop at that level, it should have stated so, in no uncertain terms."

In this respect, Mr Alfred *Oryem*'s argument was that where the Constitution creates a right of appeal, it states so expressly like in Article 64. He remarkably stopped short of saying that where none is intended, it also says so as in Article 64(4) where it states:

> "64(4) A decision of the High Court on an appeal under clause (1) or clause (3) of this Article shall be final.k"

In my view a provision like clause 4 of Article 64 would have been the likely sequel to Article 86(2). In its absence I am constrained to agree with Mr *Akampumuza* that Article 140(2) logically fills the vacuum and is clearly meant to confer jurisdiction to the Supreme Court to hear and determine appeals in electoral appeals from the Court of Appeal.

In constitutional interpretation it is trite that constitutional rights conferred without express limitation are not to be whittled down by reading implicit restrictions into them. It will be sacrilege, therefore, to put a restriction on the petitioners' right of access to the highest appellate court in the land when this right is clearly guaranteed under Articles 132 and 140(2).

Section 67(3) of the Parliamentary Election Act which declares electoral appeals to the Court of Appeal to be final was made under Article 86(3). Under Articles 79 and 2(2) Parliament is only empowered to enact laws subject to the Constitution and not otherwise, bearing in mind the supremacy of the Constitution over any other law to the contrary. Section 67(3) of the Act is thus

clearly inconsistent with Articles 86(1) and (2), 140 and 2(2) of the Constitution.

I, thus, agree with the findings of Twinomujuni JA and would answer issue number 1 in the affirmative and declare that the petitioners do have a right of appeal to the Supreme Court in election petitions.

I would also answer issues number 2 and 3 in the affirmative.

Regarding the respondent's fear of the repercussions of this judgment that it would open a floodgate of applications to file petitions out of time, I do not think these fears are well grounded considering the fact that this judgment might not be the end of this judicial process yet. Article 132(3) avails a party aggrieved by this Court's decision, a further right of appeal to the Supreme Court.

However, be that as it may, since my Lords Engwau, Byamugisha and Kavuma JJA are all of the contrary view that the petition lacks merit, it is thus so dismissed by the majority of 3 to 2 with costs to the respondent.

Engwau JA: I had the benefit of reading, in draft, the judgment prepared by Byamugisha JA and I entirely agree with it. I would like, however, to comment on the following matters for emphasis only.

The petitioners, Baku Raphael Obudra and Obiga Kania, filed separate petitions seeking declarations under Article 137 of the 1995 Constitution. Their petitions were subsequently consolidated for the following declarations:

1. That section 67(3) of the Parliamentary Elections Act of 2001 is inconsistent with Articles 140 and 86 of the Constitution and therefore null and void.
2. That the said section infringes on the petitioner's rights under the Constitution.
3. That an order declaring the petitioner's right of appeal to the Supreme Court be made.
4. That the petitioners be awarded costs.

The brief background to the consolidated petitions is that on 26 June 2001, Parliamentary Elections were held throughout the country. The petitioners, (hereinafter referred to as first and second petitioners respectively) contested in two separate constituencies and each one lost. Being dissatisfied with the results, both of them filed separate petitions in the High Court at Gulu. On 23 January 2002, Kania J dismissed the petition of the first petitioner. The following day, 24 January 2002 Aweri Opio J also dismissed the petition of the second petitioner. Both of them appealed separately to the Court of Appeal, which also dismissed their appeals with costs. They then filed separate petitions to the Constitutional Court which consolidated them but dismissed the claim on a technical ground. As a result, they appealed to the Supreme Court which allowed their appeal and ordered the Constitutional Court to hear their petitions on merit. Each petitioner swore an affidavit in support of his petition. The respondent filed an answer supported by an affidavit of Ms Clare Olaki, a state attorney, in the chambers of the respondent.

At the hearing of the petition, the following issues were framed:

1. Whether section 67(3) of the Parliamentary Elections Act, 2001 is inconsistent with Articles 140, 86(1) and (2) and 2(2) of the Constitution.
2. Whether the petitioners are entitled to the relief sought.

Section 67(3) of the Parliamentary Elections Act (herein referred to as the Act) states:

> "67(3) The decision of the Court of Appeal in an appeal under this section is final."

Article 86(1) and (2) of the Constitution reads:

> "86 (1) The High Court shall have jurisdiction to hear and determine any question whether:
>
> (*a*) a person has been validly elected a member of Parliament or the seat of a member of Parliament has become vacant; or
>
> (*b*) a person has been validly elected as Speaker or Deputy Speaker or having been so elected, has vacated that office.
>
> (2) a person aggrieved by the determination of the High Court under this Article may appeal to the Court of Appeal.
>
> (3) . . .

Article 140 of the Constitution states:

> "140 (1) Where any question is before the High Court for determination under clause (1) of Article 86 of this Constitution, the High Court shall proceed to hear and determine the question expeditiously and may, for that purpose, suspend any other matter pending before it.
>
> (2) This Article shall apply in a similar manner to the Court of Appeal and the Supreme Court when hearing and determining appeals on questions referred to in clause (1) of this Article."

On the other hand, Article 2(2) of the Constitution provides:

> "2(2) If any other law or any custom is inconsistent with any of the provisions of this Constitution, the Constitution shall prevail, and that other law or customs shall, to the extent of the inconsistency, be void."

Mr Henry *Rwaganika* and Mr James *Akampumuza* represented the petitioners while Mr Okello *Oryem*, state attorney, was for the respondent.

On the framed issues, Mr *Akampumuza*, learned Counsel for the petitioners, submitted that when Article 140 is read together with Article 86, the Constitution vests an appellate jurisdiction in election petitions from the Court of Appeal to the Supreme Court. Learned counsel pointed out that Article 140 makes a cross reference to Article 86, in that the latter is incomplete unless read together with the former Article. Article 86, according to counsel, gives a right of appeal to the Court of Appeal in election petitions but it is silent about appeals to the Supreme Court. In counsel's view, that silence is resolved by Article 140.

It was, therefore, the petitioner's case that an attempt by section 67(3) of the Act to try to limit the right of appeal from the Court of Appeal to the Supreme Court, Parliament has amended Articles 86 and 140 of the Constitution without following the correct procedure envisaged in the Constitution. In counsel's view, section 67(3) of the Act is inconsistent with Articles 140, 86(1) and (2) and 2(2) of the Constitution and therefore null and void.

Mr Alfred Okello *Oryem*, learned State Attorney for the respondent, did not agree. The respondent's case, according to him, is that section 67(3) of the Act is not inconsistent with Articles 140 and 86 or any Articles of the Constitution. He contended that the impugned section of the Act does not infringe a right of appeal in election matters because no such rights exist in our Constitution. In his view, the right of appeal is a creation of a statute and there is no such

inherent appellate jurisdiction in Uganda. In support of that proposition, he relied on the case of *Attorney-General v Shah* [1971] EA 50.

Learned State Attorney pointed out that the Court of Appeal has appellate jurisdiction created by Article 86(2) of the Constitution. It is the High Court which has original jurisdiction under Article 86(1). In his view, the provisions of Article 140 are concerned not with appellate jurisdictions of the courts but expeditious disposal of election matters before the courts.

Mr Okello *Oryem* further submitted that Article 86 is conclusive on the issue of jurisdictions of the courts and the rights of appeal on election matters. Article 86(1) confers jurisdiction to the High Court on election of members of Parliament, Speakers and Deputy Speakers. Article 86(2) creates the right of appeal on the decision of the High Court on election matters. It was his contention, therefore, that since it is this Article 86 which is concerned with the hearing and determining of election petitions, if there was an intention of a second appeal to the Supreme Court, such a right would have been created under that Article. Since such a right was not created, he submitted that no second appeal was ever intended to the Supreme Court.

Learned State Attorney further pointed out that in clause (3) of Article 86, Parliament was vested with the power to enact a law, setting the procedure and circumstances under which election appeals should be made. In enacting section 67(3) of the Act, Parliament was exercising its powers under clause (3) of Article 86. The section, in his view, was consistent with the Constitution in that it was conclusive on the jurisdiction of courts and the right of appeal in election petitions. The cross-reference in Article 140 to Article 86, according to him, was simply superfluous and inadvertent by the framers of Constitution.

In conclusion, Mr Okello *Oryem* submitted that section 67(3) of the Act does not purport to amend any Article of the Constitution, and it is, therefore, not null and void. In that respect it is not inconsistent with Articles 140 and 86 or any Article of the Constitution. In his view, the petitioners are, therefore, not entitled to any remedy but instead their petition should be dismissed with costs to the respondent.

It is trite law that jurisdiction is created by a statute. In the case of *Attorney-General v Shah* (*supra*) it was stated thus:

> "It has long been established and we think there is ample authority for saying that appellate jurisdiction springs only from statute. There is no such thing as inherent appellate jurisdiction."

In the case of the Supreme Court, its appellate jurisdiction is created, according to my observation, by Article 132 of the Constitution, sections 4 and 7 of the Judicature Act:

Article 132 reads:

> "132 (1) The Supreme Court shall be the final Court of Appeal.
>
> (2) An appeal shall lie to the Supreme Court from such decisions of the Court of Appeal as may be prescribed by law.
>
> (3) . . .
>
> (4) . . ."

On the other hand, section 4 of the Judicature Act states:

> "4. An appeal shall lie to the Supreme Court from such decisions of the Court of Appeal as are prescribed by the Constitution, this Act or any other law."

Section 7(1) provides:

> "7(1) An appeal shall lie as of right to the Supreme Court where the Court of Appeal confirms, varies or reverses a judgment or order including interlocutory order given by the High Court in the exercise of its original jurisdiction and either confirmed, varied or reversed by the Court of Appeal."

My understanding of the above provisions is that the Supreme Court is empowered to entertain appeals from the Court of Appeal as the Constitution, the Judicature Act or any other law may prescribe. That being the case, the law governing election petitions is in Article 86 of the Constitution, Parliament in exercise of the powers vested in it enacted section 67(3) of the Parliamentary Election Act. In that section, the decision of the Court of Appeal in election petition appeals is final. It was submitted, however, that by cross-reference in Article 140 to Article 86, the Constitution vests appellate jurisdiction to the Supreme Court in election petitions. It was further submitted that section 67(3) of the Act attempts to amend Articles 140 and 86 without following the right procedure laid in the Constitution.

My answer to the preceding submissions is that Article 140 of the Constitution empowers the Supreme Court and the Court of Appeal to hear and determine any appeal referred to them expeditiously. The cross-reference in Article 140 to Article 86 does not confer appellate jurisdiction, in my view, to the Supreme Court in election petitions. If that was the intention of the framers of the Constitution, they would have stated so explicitly. In my view, the omission was deliberate. The Court of Appeal was intended to be the last and final court of appeal in election petitions. Therefore, section 67(3) of the Act is not inconsistent with Articles 140, 86(1) and (2) and 2(2) of the Constitution.

In result, I would dismiss the petition in the terms proposed by Byamugisha JA.

Byamugisha JA: The petitioners in their amended separate petitions filed on 24 November 2004, are seeking declarations under the provisions of Article 137 of the Constitution. They are asking this Court to make the following declarations and orders as contained in paragraphs 3 of Baku's and Kania's amended petitions respectively.

1. That section 67(3) of the Parliamentary Elections Act (hereinafter called the Act) is inconsistent with Articles 140 and 86 of the Constitution and therefore null and void.
2. The section infringes on the petitioners, rights under the Constitution.
3. Make an order declaring the petitioner's right of appeal to the Supreme Court.
4. Costs of the petition be awarded to them.

The facts that led to the institution of the petitions are not in dispute. The petitioners were candidates who contested in the Parliamentary Elections that were held throughout the country on 26 June 2001. They were unsuccessful. Being dissatisfied with the outcome of those elections, they filed separate election petitions in the High Court Registry at Gulu High Court Circuit. On 23 January 2002, the High Court (Kania J) dismissed the petition of Baku Raphael Obdura and the following day, the same court (Aweri Opio J) dismissed the petition of Obiga Kania.

Consequently, they both filed appeals to the Court of Appeal that were dismissed with costs. It is the dismissal of those appeals that gave rise to the instant

petitions. Each petitioner deponed an affidavit in support of the contents of the petition.

The respondent filed an answer opposing the petitions. It was supported by an affidavit sworn by Clare Olaki, a state attorney, in the respondent's chambers. In the answer and the affidavit, it was averred that the allegations contained in paragraphs 1 and 2 of the petition were false. It was further averred that the provision of section 67(3) of the Act is in no way inconsistent with Article 140 or any other Article of the Constitution. The petitions were consolidated for purposes of the trial.

At the commencement of the trial, the following issues were framed for our determination, namely:

1. Whether section 67(3) of the Parliamentary Elections Act is inconsistent with Articles 140, 86(1) and (2), and 2(2) of the Constitution;
2. Whether the petitioners are entitled to the relief sought.

In submitting on the first issue Mr *Akampumuza*, learned Counsel for the petitioners, stated that Article 140 of the Constitution has to be read together with Articles 86(1)(*a*) and 44(*c*) in order to understand that the Constitution vests jurisdiction of appeals in election matters in the Supreme Court. He claimed that Article 140 makes direct connection to Article 86 by cross-reference and that the latter Article is incomplete without reading it with the former. It was the petitioners' case that Article 86 gives the right of appeal to the Court of Appeal but it is silent in as far as appeals to the Supreme Court are concerned and the silence is answered according to the learned Counsel by Article 140.

It was his contention that Article 86(2) gives a special right to an aggrieved person to appeal to the Court of Appeal but it does not preclude any appeals beyond that court. He pointed out that the marginal note to Article 140 shows that it is a special and specific provision dealing with hearing of election petitions prescribing whole range of standards of how election matters should be handled from the High Court to the Supreme Court. He further pointed out, the Constitution by cross-reference subjects Article 140 to Article 86 and this clearly brings out the intention of the framers of the Constitution. Learned counsel also submitted that in trying to limit the right of appeal to the Supreme Court, Parliament tried to amend Articles 86 and 140 of the Constitution. It was his contention that the end result is that such law would be inconsistent with the Constitution and this renders section 67(3) of the Act inconsistent with the Constitution and therefore null and void. He invited us to hold so.

Mr Okello *Oryem*, learned State Attorney who represented the respondent, did not agree with the above submissions. He submitted that the impugned section was not inconsistent with the Articles mentioned in the petition as alleged. He stated that the section does not infringe the rights of the petitioners to appeal to the Supreme Court because no such right exists in the first place. He pointed out that the right of appeal is created by statute and that there is no such a thing as an inherent right of appeal in Uganda. He cited to us the case of *Attorney General v Shah* (4) [1971] EA 50 for that contention. It was his submission that Article 140 was not concerned with appellate jurisdiction of the courts mentioned therein but with expeditious disposal of election petitions. According to him, the Article does not create or confer any original or appellate jurisdiction. He did not agree that Article 86 is inconclusive on matters of jurisdiction, as Mr *Akampumuza* had submitted. He further submitted that

Article 86(3) had conferred powers on Parliament to enact the Act, including the impugned section, and its enactment did not purport to amend the Constitution. According to him, the section is not inconsistent with any Article in the Constitution but was in conformity with it. He invited us to dismiss the petition and declare that the impugned section is not inconsistent with any Article in the Constitution.

I think the law has long been established that jurisdiction is a creature of statute. The word itself is not defined in the Constitution. But in simple language, it means the power of a court or a judge to hear and entertain an action, petition or other proceedings. In the case of *Attorney-General v Shah* (*supra*) the brief facts were that the High Court made orders of *mandamus* against two officers of Government under section 34 of the 1967 Judicature Act. Sub-section (3) of that section contained the following words "subject to any right of appeal, the order shall be final". The Attorney-General filed an appeal against the orders of *mandamus* basing himself on that subsection. The respondent objected to the appeal on the ground that the Court of Appeal had no jurisdiction to hear the appeal. In upholding the objection, Spry AP (as he then was) in the lead judgment with which other members of the court agreed, said:

> "It has long been established and we think, there is ample authority for saying that appellate jurisdiction springs only from statute. There is no such thing as inherent appellate jurisdiction."

The appellate jurisdiction of the Supreme Court is created by Article 132(2) of the Constitution and section 4 of the Judicature Act. Article 132(2) states as follows:

> "An appeal shall lie to the Supreme Court from decisions of the Court of Appeal as may be prescribed by law."

Section 4 provides as follows:

> "An appeal shall lie to the Supreme Court from decisions of the Court of Appeal as are prescribed by the Constitution, this Act or any other law."

A proper reading of the above provisions indicate to me that the Supreme Court can only entertain appeals from the Court of Appeal as the Constitution, the Judicature Act or any other law may prescribe. In the case of election matters, the law applicable is Article 86 of the Constitution under Chapter 6. The Article states as follows:

> "(1) The High Court shall have jurisdiction to hear and determine any question whether:
>
> (*a*) A person had been validly elected a member of Parliament or the seat of a member of Parliament had become vacant; or
>
> (*b*) A person had been validly elected Speaker or Deputy speaker or having been so elected, has vacated that office.
>
> (2) A person aggrieved by the determination of the High Court under this Article may appeal to the Court of Appeal.
>
> (3) Parliament shall by law make provision with respect to:
>
> (*a*) the persons eligible to apply to the High Court for determination of any question under this Article; and
>
> (*b*) the circumstances and manner in which and conditions upon which any such application may be made."

Parliament in exercise of the powers conferred by the sub-Article enacted the Parliamentary Elections Act (8 of 2001). For purposes of the matters now

before us, section 67 concern appeals from the decisions of the High Court in the exercise of its original jurisdiction to the Court of Appeal. It states:

> "(1) A person aggrieved by the determination of the High Court on hearing an election petition may appeal to the Court of Appeal against the decision.
>
> (2) The Court of Appeal shall proceed to hear and determine an appeal under this section expeditiously and, may for that purpose, suspend any other matter pending before it.
>
> (3) The decision of the Court of Appeal in an appeal under this section is final."

Article 140 which is the subject of contention states as follows:

> "(1) Where any question is before the High Court for determination under clause (1) of Article 86 of this Constitution, the High Court shall proceed to hear and determine the question expeditiously and may, for that purpose suspend any other matter pending before it.
>
> (2) This Article shall apply in a similar manner to the Court of Appeal and the Supreme Court when hearing and determining appeals on questions referred to in Article (1) of this Article."

My understanding of this Article is that it enjoins the courts mentioned therein to determine questions referred to them under Article 86 expeditiously. The Article sets standards to be followed, it does not confer jurisdiction to any of the courts mentioned therein. On the other hand, Article 86 confers jurisdiction to the High Court and the Court of Appeal. It does not confer any jurisdiction on the Supreme Court to hear and determine appeals from the Court of Appeal in the exercise of its appellate jurisdiction.

On the authority of *Attorney-General v Shah* (*supra*) jurisdiction being a creature of statute and the Constitution being the statute that confers jurisdiction it cannot be said, in my view, that jurisdiction can be inferred by cross-reference. If the framers of the Constitution had wanted election matters to proceed to the highest appellate court in the land they would have stated so in no uncertain terms under Article 86. The omission to mention the Supreme Court in Article 86, as one of the appellate courts was, in my view, deliberate. I think they intended the Court of Appeal to be the last and final court of appeal in election matters.

I am not persuaded by the submissions of learned Counsel for the petitioners that Article 86 is incomplete. I do not consider that the words of Article 140(2) on their proper interpretation can be said to confer a right of appeal or jurisdiction on the Supreme Court to hear and determine such appeals. The learned Counsel had no comments to make about the decision of *Attorney-General v Shah* (*supra*) which I consider to be good law. It is therefore my considered opinion that section 67(3) is not inconsistent with Articles 86 and 140 of the Constitution. I would decline to grant the declarations sought and dismiss the petitions with costs to the respondent.

Kavuma JA: I have had the benefit of reading, in draft, the judgment of Lady Justice CK Byamugisha JA and I agree with it.

I only wish to emphasise that it is the law, in my view, that appellate jurisdiction in Uganda is conferred by specific provision of law. There is no such a thing as appellate jurisdiction by inference. In matters of elections of members of Parliament, such appellate jurisdiction is provided for, and in my view conclusively, under Article 86(2) of the Constitution where a person aggrieved by the determination of the High Court under that Article, may appeal to the

Court of Appeal. If the framers of the Constitution had intended that election matters covered under Article 86 of the Constitution could be the subject of a second appeal to the Supreme Court, that should have been specifically stated under that Article.

The constituent assembly, in my view, must have intended that matters concerning disputes of election of members of Parliament should be expeditiously and conclusively settled at the Court of Appeal level so that successful parties can settle down and serve their electorate and the nation as members of Parliament without the uncertainty that would surround their status pending finalisation of the usually lengthy, expensive and strenuous election litigation. The scheme of drafting the Constitution which places Article 86 in chapter 6 of the Constitution under which various Articles concerning the Legislature are found further fortifies me in this view. Article 140 of the Constitution is, in my opinion, about hearing of election cases expeditiously. It is not, to my mind, about conferring appellate jurisdiction to any court in matters of elections of members of Parliament. Any reference to Article 86 clause (1) in Article 140(2) must be inadvertent and superfluous.

In the circumstances, I agree with Honourable Lady Justice CK Byamugisha that the petition should be dismissed in the terms proposed by her Ladyship.

Twinomujuni JA (Dissenting): These two consolidated constitutional petitions were filed by the petitioners seeking declarations to the effect that:

(i) Section 67(3) of the Parliamentary Elections Act, 2001 is inconsistent with Articles 140 and 86 of the Constitution of the Republic of Uganda and therefore null and void.

(ii) Section 67(3) of the Parliamentary Act, 2001 infringes on the petitioners' rights under the Constitution of Uganda.

The brief background to the petition are as follows:

In June 2001, the two petitioners contested Parliamentary elections in two separate constituencies and each lost in his constituency. They separately filed election petitions in the High Court of Uganda and lost. They separately appealed to the Court of Appeal Uganda and lost. Since section 67(3) of the Parliamentary Elections Act, 2001 appeared to bar their intentions to appeal to the Supreme Court, they filed a constitutional petition in this Court challenging its constitutionality. They lost the petition on a technical objection that it did not disclose a cause of action. They successfully appealed to the Supreme Court which held that the petition disclosed a cause of action and ordered this Court to hear it on merits, hence these proceedings.

The petition is supported by the affidavits sworn by the petitioners. The respondent filed an answer which is also supported by an affidavit of Ms Clare Olaki, a state attorney in the respondent's chambers. There are no disputed facts in this petition. This Court's decision must turn on a constitutional interpretation of section 67(3) of the Parliamentary Elections Act, 2001 (herein referred to as the Act) and Articles 140 and 86 of the Constitution of Uganda, 1995 (herein referred to as the Constitution).

Section 67 of the Act states:

"67 (1) A person aggrieved by the determination of the High Court on hearing an election petition may appeal to the Court of Appeal against the decision.

(2) The Court of Appeal shall proceed to hear and determine an appeal under this section expeditiously and may, for that purpose, suspend any other matter pending before it.

(3) The decision of the Court of Appeal in an appeal under this section is final."

On the other hand, Article 86 of the Constitution provides:

"86 (1) The High Court shall have jurisdiction to hear and determine any question whether:

(*a*) a person has been validly elected a member of Parliament or the seat of a member of Parliament has become vacant; or

(*b*) a person has been validly elected as Speaker or Deputy Speaker or having been so elected, has vacated that office.

(2) A person aggrieved by the determination of the High Court under this Article may appeal to the Court of Appeal.

(3) Parliament shall, by law make provision with respect to:

(*a*) the persons eligible to apply to the High Court for determination of any question under this Article; and

(*b*) the circumstances and manner in which and the conditions upon which any such application may be made."

Article 140 provides:

"140 (1) Where any question is before the High Court for determination under clause (1) of Article 86 of this Constitution, the High Court shall proceed to hear and determine the question expeditiously and may, for that purpose, suspend any other matter pending before it.

(2) This Article shall apply in a similar manner to the Court of Appeal and the Supreme Court when hearing and determining appeals on questions referred to in clause (1) of this Article."

At the trial of this petition, the petitioners were represented by Mr Henry Rwaganika and Mr James *Akampumuza* and the respondent was represented by Mr Alfred Okello *Oryem*, a state attorney in the respondent's chambers.

Mr James *Akampumuza*, learned Counsel for the petitioners, argued the petition on their behalf. The gist of his submissions is that Article 86 read together with Article 140 confer a right of appeal in election petitions from the Court of Appeal to the Supreme Court. He pointed out that 140(1) makes a cross reference to Article 86 and states that appeals in the Supreme Court and the Court of Appeal must be handled expeditiously, as in the High Court and for that purpose may suspend any other pending matters before them. In his view, Article 86 is not complete unless it is read together with Article 140.

He submitted that since the Constitution, in these two Articles, gives a right of appeal from the Court of Appeal to the Supreme Court, an attempt by section 67(3) to limit that constitutional right cannot stand and is unconstitutional and null and void by virtue of Article 2(2) of the Constitution. In his view, if the framers of the Constitution had intended to limit the right of appeal to the Supreme Court, they would have expressly stated so in Article 86 as they did in Article 64(4) in respect of appeals from the decisions of the Electoral Commission and Electoral Tribunals appointed under Article 64(3) of the Constitution. He urged us to follow the well established principle of constitutional interpretation to the effect that a Constitution must be read and interpreted as a whole.

Mr *Akampumuza*'s second and probably alternative argument was that in trying to limit the right of appeal to the Supreme Court in election petitions by section 67(3) of the Act, Parliament tried to amend Articles 86 and 140 of the Constitution without following the procedure laid down in the Constitution. In his view, the resultant law would be inconsistent with the Constitution to the extent of the inconsistency and that would render section 67(3) null and void. He invited us to so hold.

In reply, Mr Alfred Okello *Oryem* submitted that section 67(3) was not inconsistent with Articles 86 and 140 and does not infringe the petitioners' right to appeal to the Supreme Court because such a right does not exist in our Constitution. He pointed out that a right of appeal is a creature of statute and there is no inherent appellate jurisdiction in Uganda. He referred to the case of *Attorney-General v Shah* (4) [1971] EA 50. He submitted that Article 140 of the Constitution was not concerned with appellate jurisdiction but was only concerned with expeditious disposal of election petitions. It does not create or confer any original or appellate jurisdiction on any court. In his view, Article 86 was conclusive on the jurisdiction of courts and the right of appeal in election petitions. On the subject, Article 86 had not been read with Article 140 or any other Article, as it is complete and conclusive. The cross-reference in Article 140 to Article 86 was merely superfluous and inadvertent and was never intended by the framers of the Constitution. In his view, if they had intended to confer a right of appeal to the Supreme Court, they would have specifically stated so in Article 86 of the Constitution. He submitted further that, under Article 86(3), Parliament had the mandate to enact the Act including section 67(3) thereof and it did not purport to amend Articles 86 or 140 of the Constitution. In his view, that section is not inconsistent but is in conformity with the Constitution. His prayer is that we declare that section 67(3) of the Act is not inconsistent with any Article of the Constitution.

The main question for resolution in this petition is whether section 67(3) of the Act is inconsistent with Articles 140 and 86 of the Constitution. In order to resolve this question, we must answer two related questions:

(i) Does Articles 86 and 140 of the Constitution confer appellate jurisdiction on the Supreme Court of Uganda in election petitions?

(ii) If so, what is the legal status of section 67(3) of the Act?

In order to answer the first question posed above, it is necessary to closely examine the provisions of Articles 86 and 140 of the Constitution. Article 86 (*supra*) confers jurisdiction on the High Court to hear and determine any question as to whether:

(*a*) a person has been validly elected a member of Parliament or a seat of a member has become vacant; or

(*b*) a person has been validly elected a Speaker or Deputy Speaker or having been so elected, has vacated that office.

Clause (2) of that Article provides that any person aggrieved by the decision of the High Court can appeal to the Court of Appeal. Clause (3) states that Parliament shall, by law, make provisions with respect to:

(*a*) persons eligible to apply to the High Court for determination of any question under this Article; and

(*b*) circumstances and manner in which and the conditions upon which any such application may be made.

This Article does not answer the question as to whether an appeal lies to the Supreme Court or not from the decisions of the Court of Appeal.

It does not provide that the appeal to the Court of Appeal is final.

It does not confer power on any authority to determine this issue at all.

It was argued that Article 86(3) confers power upon Parliament to determine that matter. With respect, clause (3) does no such a thing. It only gives Parliament power to make provisions as to who is eligible to petition the High Court and in what circumstance, manner and on what condition. In my judgment, this does not include power to confer original or appellate jurisdiction on any court in election petitions. Therefore, section 67(3) of the Act could not have been enacted under the authority of Article 86(3) of the Constitution. So we must now go to Article 140 of the Constitution and find out why it was necessary to make a cross reference in there to Article 86(1) of the Constitution. I propose for ease of reference to reproduce here below the provisions of Article 140 of the Constitution.

> "140 (1) Where any question is before the High Court for determination under clause (1) of Article 86 of this Constitution, the High Court shall proceed to hear and determine the question expeditiously and may, for that purpose, suspend any other matter pending before it.
>
> (2) This Article shall apply in a similar manner to the Court of Appeal and the Supreme Court when hearing and determining appeals on questions referred to it in clause (1) of this Article."

The draftsperson of the Constitution and the Constituent Assembly were aware that Article 86 had left the issue of appellate jurisdiction unresolved. The Article was not conclusive on that matter. The Article had not authorised any other authority to resolve it. Afterall, that Article dealt with resolution of disputes arising from election of members of Parliament and the Speaker. It was never intended to resolve or confer appellate jurisdiction on the Supreme Court. It was deemed it would be better dealt with under the provisions falling under the Judiciary Chapter, such as Article 140 of the Constitution, that is why the Article makes a cross reference to Article 86(1). A close reading of Article 140(2) shows clearly that the Court of Appeal and the Supreme Court were enjoined to hear and determine election petitions as expeditiously as the High Court was required to do under Article 140(1) of the Constitution. This clause (2) answered the question which was left hanging by Article 86 of the Constitution. By reading the two Articles together, the logical and inescapable conclusion is that the Constitution of Uganda settled once and for all the question of appellate jurisdiction in election petitions.

I am fortified in this belief by the provisions of Article 132 of the Constitution and section 7 of the Judicature Act.

Article 132 provides:

> "132 (1) The Supreme Court shall be the final Court of Appeal.
>
> (2) An appeal shall lie to the Supreme Court from such decisions of the Court of Appeal as may be prescribed by law."

The expression "by law", of course, includes the Constitution itself. Articles 86 and 140 prescribed the appellate jurisdiction of the Supreme Court in election

petitions. In order to put the matter beyond any doubt, section 7 of the Judicature Act, 1996 provides:

> "Section 7: Appeals to the Supreme Court in Civil Matters:
>
> (1) An appeal shall lie as of right to the Supreme Court where the Court of Appeal confirms, varies or reverses a judgment or order including interlocutory order given by the High Court in the exercise of its original jurisdiction and either confirmed, varied or reversed by the Court of Appeal."

In my judgment, this provision means that once the Court of Appeal disposes of an appeal from the exercise of the original jurisdiction of the High Court, an appeal, as of right, lies to the Supreme Court. The Judicature Act of 1996 was enacted long before section 67(3) of the Act was enacted. If Parliament genuinely thought that the Constitution had not resolved the issue of appeals in election petitions to the Supreme Court, it would have provided in section 67(3) as follows:

> "Notwithstanding the provision of section 7 of the Judicature Act 1996, the decision to the Court of Appeal under this section is final."

However, that was not necessary because, in enacting section 67(3) of the Act, Parliament was trying to resolve a matter on which the Constitution had already clearly pronounced itself in Articles 140 and 86. My answer to the first question posed above, is that Articles 86 and 140 of the Constitution conferred appellate jurisdiction in election petitions on the Supreme Court of Uganda.

I have not been able to discover why Parliament would have wanted to deny election petitioners a right to seek a remedy in the final court of appeal in this land. The significance of having a fair hearing in election petitions cannot be overemphasised. The resolution of electoral disputes not only affects the perception of the population on the independence of the Judiciary but also on the fairness of the electoral process in this country. If a man or a woman is disputing the decision of the Court of Appeal in an election petition, why should he or she be denied the right to test its validity in the highest and final court of appeal in the land, namely the Supreme Court?

It was submitted that Parliament intended that disputes arising from the electoral process should be resolved as quickly as possible, so that the elected candidates are able to assume office quickly to serve their people. With respect, I do not agree with that argument. The Constituent Assembly, in its wisdom, foresaw the problem that could arise as a result of delays in the disposal of election petitions. That is why it enacted Article 140 of the Constitution which commands the High Court, the Court of Appeal and the Supreme Court to deal with election petitions expeditiously and for that purpose, to put aside all other matters before them. It was not by mere accident that Article 140(2) specifically mentions the Supreme Court.

I am aware, of course, that in Constitutional appeal number 1 of 2003, *Baku Raphael Obudra and Obiga Kania v The Attorney-General* one of the learned Justices of the Supreme Court decided this same question in the negative, but since his was a minority holding, I believe I am at liberty to hold a contrary view.

The second question, which was posed above, was that if this Court held that Articles 86 and 140 conferred appellate jurisdiction on the Supreme Court in election petitions, what would be the status of section 67(3) of the Act? I have answered the first question in the positive. In my judgment, it follows that

section 67(3) is inconsistent with the named Articles of the Constitution. I would have no hesitation in declaring that the clause is null and void as commanded by Article 2(2) of the Constitution.

The second issue for determination in this petition is whether the petitioners are entitled to the declarations sought in petition. The petition sought declarations that section 67(3) of the Act is null and void and that the section infringes on the Constitutional rights of the petitioners to appeal to the Supreme Court. It also sought an order for costs of the petition with certificate for two counsel. Learned counsel for the petitioners submitted that if the first issue was decided in their favour, then they should be granted all the declarations sought.

Mr Alfred Okello *Oryem* opposed the request. He submitted further that even if this Court found section 67(3) to be inconsistent with the Constitution, it should nevertheless decline to grant the declarations sought because of two reasons:

(*a*) Rule 4 of the Supreme Court Rules and those of this Court allow the courts to extend time within which to appeal to the Supreme Court. If the declarations sought are granted, then these courts will be flooded with applications to extend time to appeal to the Supreme Court by all those who lost their appeal in this Court arising from the general elections of 2001.

(*b*) The nature of election petitions is such that it affects the right of representation. A lot of time should not be spent on endless litigation. The litigation should be brought to an end at some point without delay so that elected leaders can serve their people. I understood Mr Okello *Oryem* to mean that even if we hold in favour of the petitioners, we should not allow them to appeal to the Supreme Court at this point in time. He relied on the case of *PK Ssemogerere and Another v The Attorney-General*, Constitutional appeal number 3 of 2004, in which the Supreme Court held that even if a court nullifies an act of Parliament, it can still decline to declare that acts performed under the authority of the nullified law are valid. On this authority, we informed Mr Okello *Oryem* that this case is not yet finalised, as reasons for the judgment have not yet been given and that it could not be relied on as authority yet.

In conclusion, Mr *Oryem*'s prayer was that all the relief sought should not be granted including the costs of this petition.

In my judgment, I think the fears being raised by learned Counsel for the respondent that granting relief sought would open flood gates for already closed litigation, are not justified at all. In my view, section 67(3) of the Act is not null and void *ab initio*. This means that until its nullification, it was good law. Therefore, all petitions which were finalised before its nullification are binding and those who accepted the final decision of the Court of Appeal are bound and their petitions came to a close. I do not think these can be resurrected. However, the petitioners who did not accept that the Court of Appeal was the final court of appeal in election petitions are entitled to benefit from this judgment, if they so wish. They are entitled to appeal to the Supreme Court against the dismissal of their appeals in this Court from the decisions of their respective petitions in the High Court.

I would therefore, allow this petition and grant the relieves sought including the costs of the petition with a certificate for two counsel.

For the petitioners:
Mr Akampumuza

For the respondent:
Mr Alfred Oryem, State Attorney

Balala and others v Githere and others

[2005] 2 EA 25 (CAK)

Division:	Court of Appeal of Kenya at Mombasa
Date of judgment:	16 August 2005
Case Number:	118/05
Before:	O'kubasu, Githinji and Deverell JJA
Sourced by:	LawAfrica

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[1] Execution – Stay of execution pending appeal – Applicable principles – Rule 5(2)(b) *– Court of Appeal Rules.*

Editor's Summary

On 6 January 2004, the Kenya National Chamber of Commerce and Industry dissolved the management committee of its Mombasa branch and appointed a task force to recruit members and hold elections within 3 months. The 14 applicants filed Mombasa High Court miscellaneous civil application number 20 of 2004, seeking leave to apply by judicial review for, *inter alia*, an order of *certiorari* to quash the decision of the Kenya National Chamber of Commerce and Industry. Leave was granted by the court but the respondents applied for and obtained orders setting aside the leave. Thereafter, the Kenya National Chamber of Commerce and Industry filed a bill of costs which was taxed at 1 504 630, including KShs 1,5 million as instruction fees. On 13 May 2005, the applicants filed a notice of objection to taxation under rule 11(3) and (4) of the Advocates Remuneration Order, objecting specifically to the sum allowed as instruction fees. The applicants did not, however, file a chamber summons setting out the grounds of objection. When the respondent commenced the process of execution for costs, the applicants filed an application seeking stay of execution pending determination of the objection to the taxation which they withdrew on 13 July 2004. On 14 July 2004, the applicants filed an application for enlargement of time within which to file an objection to taxation that application was heard and dismissed by Mwera J on 27 April 2005. The applicants filed a notice of appeal and an application under rule 5(2)(*b*) of the Court of Appeal Rules for a stay of execution of the ruling dated 27 April 2005 pending the hearing and determination of the intended appeal.

Held – the principles for granting an order of stay of proceedings; stay of execution or an order of injunction are:

(*a*) the intented appeal is arguable;

(*b*) the appeal is likely to be rendered nugatory unless the order of stay of execution is granted;

(*c*) the respondent will not suffer undue prejudice if the order of stay is granted.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Republic v David Githere and others ex parte *Najib Balala others* Civil application 20 of 2004

Judgment

O'Kubasu, Githinji and Deverell JJA: This is an application under rule 5(2)(*b*) of the Court of Appeal Rules for the main order:

> "1 That this Honourable Court be pleased to stay execution of the ruling dated 27 February 2004 as regards the issue of costs and the consequential orders in Mombasa High Court miscellaneous civil application number 20 of 2004, *Republic v David Githere and others* ex parte *Najib Balala and others,* pending the hearing and determination of the applicant's intended appeal."

By a letter dated 6 January 2004, the Kenya National Chamber of Commerce and Industry (KNCCI) dissolved the management committee of its Mombasa Branch and appointed a task force committee comprising of five members to recruit members and hold elections within three months. The 14 applicants who described themselves as officials and members of the management committee of the Mombasa Branch filed Mombasa High Court Miscellaneous civil application number 20 of 2004 seeking leave to apply by judicial review for, *inter alia,* an order of *certiorari* to quash the decision of KNCCI. The applicants named ten respondents in the application, the first four being the national officials of KNCCI, the fifth being KNCCI and sixth, seventh, eighth, ninth and tenth being the members of the task force committee. Leave to apply for judicial review was granted by the court but the respondents applied for the setting aside of the leave.

On 27 February 2004 Maranga AJ (as he then was) allowed the application and set aside the leave granted with costs to KNCCI, that order effectively terminated the judicial review application.

Thereafter, KNCCI filed a bill of costs claiming among other things, KShs 3 million as instruction fees. On 30 April 2004 the bill of costs was taxed at KShs 15 million including KShs 1,5 million as instructions fees. On 13 May 2005, the applicants filed a notice of objection to taxation under rule 11(3) and 4 of the Advocates Remuneration Order objecting specifically to the sum allowed as instructions fees. The applicants did not, however, file a chamber summons setting out the grounds of objection as stipulated by rule 11(2) of the order. But when the respondent commenced the process of execution for costs, the applicants filed an application seeking stay of execution for costs, obtained an *ex parte* order of stay. Thereafter, the respondents filed an application dated 25 June 2004 for discharge of the *ex parte* orders of stay of execution dated 18 June 2004 thereby prompting the applicants to withdraw their application for stay of execution on 13 July 2004. Then on 14 July 2004, the applicants filed a second application seeking the enlargement of time within which to file an objection to the taxation and a stay of execution pending the hearing of the reference

(objection). That application was heard and dismissed by Mwera J on 27 April 2005. The applicants have filed a notice of appeal dated 28 April 2004 indicating that they intend to appeal against that decision, that is the brief background against which the present application is brought.

The principles for granting an order of stay of proceedings; stay of execution or an order of injunction in this Court pending appeal are well known. Before the court can exercise its unfettered discretion in favour of the applicants, the applicants have to satisfy the court, among other things, that the intended appeal is arguable; that the appeal is likely to be rendered nugatory unless the order of stay of execution is granted and that the respondents will not suffer undue prejudice if the order of stay is granted.

The application is supported by the affidavit of Sam Okello, the Vice-chairman of Mombasa branch of KNCCI. A draft memorandum of appeal has also been annexed. The applicants intend to appeal against a discretionary order dated 27 April 2005 dismissing an application for enlargement of time for filing an objection to the taxation. The court in that decision did not award any costs and the decision is not capable of execution. Thus, an application for stay of execution of that decision is misconceived. However, in the interest of justice, we will treat the application as an application for stay of execution to recover the taxed costs of KShs 1 564 630 and additional costs pending the hearing and determination of the intended appeal.

Regarding the merits of the intended appeal, it is important to emphasise that the applicants intend to appeal against the decision of Mwera J dated 27 April 2005 dismissing the application for enlargement of time for filing an objection to the taxation. The intended appeal is not against the decision of Maraga J dated 27 February 2004 awarding the costs or the decision of the taxing officer dated 30 April 2004 taxing the bill of costs at KShs 1 564 630.

By rule 11(4) of the order, a judge of the High Court has power to enlarge time in his discretion either for filing the notice of objection to taxation or for filing the objection (reference) itself. If an objection is filed and determined, then by rule 11(3) of the order, a person aggrieved by such a determination can only appeal to the Court of Appeal with leave of the judge. The order does not provide for a similar right of appeal to the Court for Appeal against a decision of a judge in an application to enlarge time. The appeal against an order made upon application for enlargement of time under rule 11(4) of the order does not seem to be covered by section 75 of the Civil Procedure Act as read with Order XLII, rule 1(1) of the Civil Procedure Rules. Moreover, since the order the applicants intend to appeal against was not made under Civil Procedure Rules, *prima facie*, the order is not appealable even with the leave of the court. Assuming that on the contrary, the order is appealable with the leave of the court under rule 1(2) of the Civil Procedure Rules, then by Order XLII, rule 1(3) of the an application for leave is required to be made in the first instance to the judge who made the order either informally at the time the order was made or within 14 days from the date of such order. The applicants say that they have made and obtained leave to appeal or that they intend to file an application for extension of time to apply for leave to appeal. Thus, it is doubtful whether the order is applealable at all. It is equally doubtful whether the order is even appealable with leave of the court.

Secondly, in the course of his submission, Mr *Khagram*, learned Counsel for the applicants, identified some of the arguable points in the intended appeal. They include the ground that there is no decree capable of execution; that the warrants of attachment are a nullity and that respondents except KNCCI are not entitled to costs. With all due respect, those matters do not directly arise from the decision refusing enlargement of time. The intended appeal can only question the manner in which the learned Judge exercised his discretion in declining to enlarge time.

The applicants say that the intended appeal will be rendered nugatory if the stay is not granted because it is unlikely that the costs, if paid, will be recoverable in the event of the appeal succeeding. If the appeal succeeds, the appellate court will not determine the quantum of costs. The appellate court can only enlarge time for filing an objection to taxation in which case the quantum of costs will be determined by a judge of the superior court. It is the applicants who took the respondents to court. The applicants are only aggrieved by the sum allowed as instruction fees. The respondents contend that the rest of the costs were taxed by consent, that has not been denied. It is apparent that, at least, the fifth respondent (KNCCI) is entitled to some costs. The applicants have not offered to pay the undisputed costs. The assertion of the fifth respondent (KNCCI) that its owns Ufanisi House in Nairobi worth KShs 78 million has not been disputed. In the circumstances it is doubtful that the appeal, if successful, will be rendered nugatory.

Having regard to all the circumstances of the case including of the case including applicants' conduct in the superior court we allow the application on terms that the applicants do deposit KShs 1 567 380 claimed as costs in an interest bearing bank account in the joint names of the respective advocates for the parties within 30 days from the date hereof. Costs in the appeal. And in default, the application shall stand dismissed with costs to the respondents.

For the applicants:
Mr Khagram

For the respondents:
Information not available

Belgo Holdings Ltd v Esmail
[2005] 2 EA 28 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	23 July 2004
Case Number:	244/04
Before:	Lenaola J
Sourced by:	LawAfrica

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[1] Advocate – Appearing in court without practicing certificate – All proceedings therein invalid.

Editor's Summary

The defendant sought orders that the orders issued by the court on 30 April 2004 be recalled and that

all pleadings filed by the firm of K Getanda and

Co Advocates be struck out because Mr Getanda,,advocate, had no practicing certificate at all material times. Counsel for the firm of K Getanda and Co Advocates opposed the application on the grounds that since there was a stay order as regards proceedings in the suit, it was mischevious of the applicant to file the application before court. Secondly, that if the applicant was unhappy with the order of stay, he ought to have sought a review thereof and not to file fresh matters as he had done and, thirdly, that the court could not in the circumstances of the case recall its orders in the manner suggested by the applicant.

Held – When the Advocates Act set out in *extensor* the steps to be taken by a person wishing to practice the discipline of law, there was good reason for that, namely, that no quack can pretend to practice law and those who are indeed qualified renew their commitment and adherence to their oath of office every year.

If a person does not meet any of the conditions, precedent set out in section 9 of the Advocates Act, such a person is, thereby, rendered an unqualified person to practice law.

Where an advocate failed to take out a practicing certificate, the matter was no longer a mistake on his part but in fact, it deprives him of any capacity to sue as an agent of any litigant under the provisions of the Civil Procedure Rules – *Prashilee Ltd v Rabai Road Estate Ltd* High Court civil case number 2336 of 1994 adopted; *Njagi v Kihara* [2001] EA 167 distinguished.

It is a criminal offence to practice law without a practicing certificate.

It does not matter that a party may suffer the effect of striking out its pleadings because of its advocate's actions. When an offence is committed; when contempt of court is committed; when statute is breached, the law must take its full course and the injured party has a remedy against the advocate whose actions caused the injury to it.

Where there is an apparent contempt of court, the earlier orders can be recalled even if no party so applies.

The intention of the Legislature must be looked at in interpreting law and where the intention is clear, effect must be given to it – *Dubai Bank Kenya Ltd v Cane Cars Africa Ltd* High Court civil case number 68 of 2003 followed.

Application allowed with costs.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Dubai Bank Kenya Limited v Cane Cars Africa Ltd High Court civil case number 68 of 2003 – **F**

Njagi v Kihara [2001] 1 EA 167 – **D**

Obura v Koome [2001] 1 EA 175

Prashilee Ltd v Rabai Road Estate Ltd High Court civil case number 2336 of 1994 – **A**

Judgment

Lenaola J: The orders sought in the application dated 17 May 2004 by the defendant are that the orders issued by this Court on 30 April 2004 be recalled and that all pleadings filed by K Getanda and Company Advocates be struck out because one K Getanda, advocate, had no practising certificate at all material times. Further, that since a practising certificate is a pre-requisite to the practise of law, a person who does not hold a certificate cannot even sign and file any pleadings in court.

The background to this matter is that on 30 April 2004 upon hearing parties herein on a different application, this Court stayed all proceedings in this suit until the determination of certain other application in High Court civil case number 507 of 2003. The latter suit is related to this one and more substantive issues as regards the dispute between parties were being litigated therein. One of the issues in that suit relates to the instructions given to Messrs K Getanda and Co Advocates by Messrs Belgoh Holdings Limited because then and as is now, the directorship of that company is in dispute, I declined to strike out the pleadings merely because of the allegation that the claimant to the directorship did not instruct Messrs K Getanda and Company Advocates to act for the company.

I am now informed by counsel for the applicant that under section 24 of the Advocates Act, Chapter 16 Laws of Kenya, every practising certificate shall bear the date when it was issued and shall be valid only from that date. Mr K Getanda obtained his certificate on 28 April 2004 and therefore, any action taken by him as an advocate prior to that date was invalid as he was an unqualified person. A number of authorities in support were cited and I shall return to them in the course of this ruling.

In opposition, counsel for the firm of K Getanda and Co Advocates strenuously opposed the application on the grounds firstly, that since there is a stay order as regards proceedings in this suit, it is mischievous of the applicant to file the instant application in spite of that clear order. Secondly, that if the applicant was unhappy with the order of stay, he ought to have sought a review thereof and not file fresh matters as he has now done. Thirdly, that this Court cannot in the circumstances of this case recall its orders in the manner suggested by the applicant as recall can only be done where there is an error and it must in any event relate to an order or decree that has been properly extracted and I am told that this is not the case in this matter. Counsel cited a number of authorities and distinguished those cited by counsel for the applicant, a matter again I shall shortly return to.

I should say this from the outset so that there is no doubt at all that when the Advocates Act sets out *in extenso* the steps to be taken by a person wishing to practise the discipline of law, there was very good reason for that. The reason as I understand it is so that no quack can pretend to practise law and those who are indeed qualified renew their commitment and adherence to their oath of office every year. By so doing, there is imparted in the practise the kind of discipline that is of utmost importance in the profession of law.

Mr K Getanda, advocate, is the principal and sole proprietor of the firm of K Getanda and Co Advocates. He actually lied to this Court when asked if he was or was not the sole proprietor of the firm. The records at the Law Society of

Kenya do not bear him out. He is, in any event, the advocate who has been appearing both in this matter and in High Court civil case number 507 of 2003. His lame protestations that he is not the same as the firm is, in my view, weak and unsubstantiated. It is not in doubt that between 1 February 2004 and 28 April 2004 he had no practising certificate. The former date is important because whereas advocates obtain certificates for the period 1 January to 31 December of each year, there is the grace period of 1 January to 30 January given to them. I note, that Mr K Getanda did not take out his certificate for any period prior to 28 April 2004 and his name is not listed in Kenya Gazette Notice number 5077 of 2 July 2004 indicating those advocates qualified to practise law after 1 February 2004.

As regards the likes of K Getanda Advocate, section 34 of the Advocates Act treats them as unqualified to practise law and cannot take instructions or prepare any legal document. That section provides as follows:

> "(1) No unqualified person shall, either directly or indirectly, take instructions or draw or prepare any document or instrument:
>
> (*f*) Relating to any other legal proceedings."

Subsection (2) prescribes the penalty for the offence of doing any of the matters set out above in subsection 1.

It may be important at this point to note that section 21 of the Advocates Act provides that the practising certificate is meant to "*authorise the advocate named therein to practice*" as such advocate. More importantly, section 9 of the Act provides as follows:

> "Subject to this Act, no person shall be qualified to act as an advocate unless:
>
> (*a*) he has been admitted as an advocate; and
>
> (*b*) his name is for the time being on the Roll; and
>
> (*c*) he has in force a practicing certificate; and
>
> (*d*) he has in force an annual license."

It is instructive that these four qualification are not to be read to the exclusion of each other. The use of the word "*and*" means that for one to be qualified to act as an advocate and as shown above, one must have *all* of the four qualifications above. If one does not have one or all, he is thereby rendered an unqualified person and section 34 aforesaid, operates to stop him from doing any of the things therein enumerated, including drawing documents in legal proceedings. Between 1 February 2004 and 28 April 2004, K Getanda, advocate, may have met two (2) or three (3) of the qualifications required by section 9 above and to all intents and purposes he was a person unqualified to practise law during that period.

I, therefore, agree and I am bound by the holding in *Obura v Koome* [2001] 1 EA 175. In that matter, the Court of Appeal held that where an advocate who had no practising certificate at the time that a memorandum of appeal was filed, the said memorandum of appeal was found to be "incompetent having been signed by an advocate who is not entitled to appear and conduct any matter in this Court or in any other court". The appeal was struck out.

I was also referred to and I agree with the reasoning of Ole Keiwua J (as he then was) in *Prashilee Ltd v Rabai Road Estate Ltd* High Court civil case number 2336 of 1994 where the learned Judge held categorically that where an advocate failed to take out a practising certificate, the matter was no longer a mistake on his

part but in fact "deprives such a person of any capacity to sue as an agent of any litigant under the provisions of our Civil Procedure Rule".

I reject the submission in this regard by counsel for the respondent when he cited the case of *Njagi v Kihara,* [2001] 1 EA 167 where Mulwa J (as he then was) attempted to side step the clear wording of section 9 of the Advocates Act. In that case, the learned Judge although aware of the Court of Appeal decision in the *Obura v Koome* case (*supra*) above and without distinguishing it, stated as follows:

> "To my mind, I do not think that documents duly drawn, signed and filed in court, and which the court has acted upon, by an unqualified person and were specifically an advocate because his name is in the Roll of Advocates under section 2, should be expunged from the records and done away with."

With respect and since I am not bound by that decision, I shall not apply the learned Judge's wisdom of interpretation to the matter before me and I reiterate my view as earlier outlined.

One other pint arose which is a corollary to the above and this was the submission that even if the advocate was unqualified to sign any pleadings, his mistake should not be visited upon an innocent litigant. I think that this submission should not be sustained in our courts. Advocates are not a special breed of Kenyans whose actions can be excused because they are advocates. The Advocates Act has given mandatory conditions to be met by a person who wished to practise law. One of them is that a practising certificate must be obtained. A grace period of one month is given to enable those who are inadvertently unable to comply, to do so. Worse, it is an offence punishable under criminal law to practise without such certificate. How can one then justify a court of law countenancing both breach of statute and the commission of a crime because there is the risk of innocent litigants being affected?

I agree with Ibrahim, J in *Dubai Bank Kenya Limited v Cane Cars Africa Ltd*, High Court civil case number 68 of 2003 when he says that the intention of the Legislature must be looked at in interpreting law and that where the intention is clear, effect must be given to it. In that case he declined to strike out a verifying affidavit which had omitted the name and address of the advocates because in his view that "*was a mere irregularity in form*". However, in the instant case, I am of the view that Ole Keiwua, J (as is the case here) in the *Prashilee Ltd* case (*supra*) above captured the intention of the Legislature and interpreted it as follows:

> "In this case, Mr Oseko is in contempt of this Court by virtue of having instituted this suit contrary and in breach of section 31(2) of the Advocates Act. To my mind, anything done pursuant to such breach of a statutory provision and in contempt of court is not a mere mistake like failing to file an appeal out of time. It is an offence and must be viewed as such. Anything done pursuant to and in preparation for the breach of the said statutory provision cannot be saved by the fact that it was committed not by the principal but by an agent."

Section 3(1) provides that:

> "Subject to section 83, no unqualified person shall act as an advocate or as such cause summons or other process to issue, or institute, carry on or defend any suit or other proceedings in the name of any other person in any court of civil or criminal prosecution.

(2) Any person who contravenes subsection (1) shall:

(*a*) be deemed to be in contempt of the court in which the suit or matter in relation to which he so acts is brought or taken, and may be punished accordingly.

(*b*) be incapable of maintaining any suit for any costs in respect of anything done by him in the course of so acting.

(*c*) In addition be guilty of an offence and liable to a fine not exceeding twenty five thousand shillings or imprisonment for a term not exceeding two years or both."

Turning back to the case before me, it does not matter, I think, that a party may suffer the effect of striking out of its pleadings because of its advocate's actions. When an offence is committed; when contempt of court is committed; when statute is breached, the law must take its full course and the injured party I am certain, has a remedy against the advocate whose actions caused the injury to it.

Having so held, I am told by counsel for the respondent that since I granted orders of stay of all actions in this suit, I should not allow any party to raise any other matter in that suit unless the orders are raised. With respect, the issues now raised are such that this Court should recall its earlier orders. If the actions taken all along in this suit were a nullity for reasons I have laboured to explain above, and where there is as is apparent, contempt of court the earlier orders can be recalled even if no party so applies. To my mind, this Court has the inherent power on its own motion to put right what is wrong, more so where a party has benefited from the commission of an offence which was not disclosed to court. I do not see merit in the contention that an application for review was the only way to let the court know that the advocate was unqualified to file pleadings and therefore, all earlier orders ought to be vacated.

Without belabouring the point, all and any pleadings filed by K Getanda Advocate between 1 February 2004 and 28 April 2004 are hereby struck out and the order herein made on 30 April 2004 based on submissions made by the said K Getanda is hereby recalled and the order of stay of proceedings is set aside.

This being my finding, the application dated 17 May 2004 is hereby allowed with costs. The Law Society of Kenya should be supplied with a copy of this ruling.

Orders accordingly.

For the plaintiff:
Information not available

For the defendant:
Information not available

Berkeley North Market and others v Attorney-General and others
[2005] 2 EA 34 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	6 May 2005
Case Number:	74/05
Before:	Githinji, Waki JJA and Deverell AJA
Sourced by:	LawAfrica

[1] Judicial review – Application for certiorari *and prohibition – Appeal against dismissal of an application for prohibition and* certiorari *– Factors for the court to consider.*

Editor's Summary

The applicants filed a judicial review application in the High Court seeking orders for prohibition and *certiorari* remedies to prohibit the prosecution from proceeding with their intended prosecution and quashing the charge sheet brought under section 129 of the Penal Code.

The judicial review application was dismissed and the applicants filed a notice of appeal. Subsequently, they filed this application seeking a stay.

Held – If the appeal is allowed and the charge sheets and the convictions, if any, are quashed, the appeal will be nugatory since, irrespective of the result of the criminal proceedings, the applicants will have been forced to undergo anxiety and adverse publicity that inevitably flows from being tried for a criminal offence.

It is necessary for the applicants to satisfy the court that the intended appeals are not frivolous or are arguable.

At this stage of an application to stay criminal proceedings it is not for the court to make a final determination; it only needs to be satisfied that a sole bona fide contention is not unarguable or frivolous.

Application allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Berkely Hackett and others v Attorney-General and others miscellaneous case number 448 of 2003

*Republic v Berkely North Hackett and Bernard Nthuli c*riminal case number 1712 of 2003

Republic v Ezekiel Nandama criminal case number 2681 of 2003

Judgment

Githinji, Waki JJA and Deverell AJA: This application is under rule 5(2)(*b*) of the Court of Appeal Rules. The application seeks to stay the

proceedings in a criminal prosecution against the applicants, pending an appeal from the dismissal of a judicial review application for orders of prohibition and *certiorari* seeking to prohibit the prosecution and quash the charge sheets in the criminal proceedings. The superior court (Visram J) dismissed the application for judicial review in a judgment dated 8 December 2004. Notice of appeal was duly lodged on 16 December 2004.

The criminal proceedings are now fixed for hearing on 29 June 2005.

The applicants submit that if the criminal proceedings come to hearing prior to the determination of in the intended appeal against the dismissal of the application for *certiorari* the appeal, if successful, will be rendered nugatory.

We consider that on this aspect the applicants are correct. This is because if the appeal is allowed and the charge sheets and the convictions, if any, are quashed, the appeal will be nugatory since, irrespective of the result of the criminal proceedings, the applicants will have been forced to undergo the anxiety and adverse publicity that inevitably flows from being tried for a criminal offence.

It is also necessary, as has been held in numerous decisions of this Court, for the applicants to satisfy us that the intended appeals are not frivolous or are arguable.

It is unfortunate that we do not have before us either the charge sheets in the criminal proceedings or much detail as to the precise nature of the alleged false statement made by the applicants. However, it is not in dispute that the applicants have been charged with offences under section 129 of the Penal Code. Section 129 reads as follows:

> "Whoever gives to any person employed in the public service any information which he knows or believes to be false, intending thereby to cause, or knowing it to be likely that he will thereby cause the person employed in the public service:
>
> (*a*) to do or omit anything which the person employed in the public service ought not to do or omit if the true state of facts respecting which such information is given were known to him; or
>
> (*b*) to use the lawful power of the person employed in the public service to the injury or annoyance of any person, is guilty of a misdemeanor and is liable to imprisonment for three years."

The facts giving rise to the charge are well set out in the judgment of the superior court (Visram J) as follows:

> "Sometime between 1994 and 2002, the applicants were officials of the Kenya Church of Christ (hereinafter referred to as the "Society"). It is not disputed that the Society is a society registered under the Societies Act. On 14 February 2000 one of the applicants (ie Mr Hackett) wrote a letter to the Registrar General of Societies enclosing a copy of the revised Constitution of the Society and a copy of the minutes of a special Annual General Meeting held on 30 December 1999 to facilitate the amendment of the society's Constitution. Based on that communication, the registrar general approved the amended Constitution and communicated this fact to the Society via his letter of 15 March 2000. One year later, some of the members of the Society wrote to the registrar stating that the amendment of the Constitution was illegal as there was no annual general meeting called for that purpose as required by law. The complaining members took the position that no meeting of the society was held on 30 December 1999. It appears that in fact there was no meeting on 30 December 1999 and this is admitted in a letter dated 21 August 2001, signed by all the applicants.

> Faced with the controversy above, the Registrar of Societies was left with no option but to cancel his approval for amendment of the Society's Constitution.
>
> As a result of these matters, the applicants were charged with the offence of giving false information to a person employed in the public service contrary to section 129 of the Penal Code, that charge is the basis of their prosecution in the Chief Magistrates Court."

The superior court came to the conclusion that, on the facts of this case, there was insufficient ground for interfering in the State's decision to prosecute.

When the matter came before us there was no appearance for any of the four respondents although they were duly served, so we did not have the benefit of their submissions.

The main argument in support of the application, put forward by learned Counsel for the applicants, Ms KD *Kilonzo*, was that if false information was given by an office bearer in a registered society contrary to section 129 of the Penal Code, that office bearer should not be prosecuted. It is the society which is criminally liable, and not the office bearer. She also urged us to find that the prosecution was an abuse of the process of the court as it was alleged by the applicants that it was brought as a result of internal disputes amongst members of the society. It was thus, a civil dispute which had been resolved by the Registrar of Societies is before the prosecution was instituted.

At this stage, on an application to stay criminal proceedings, it is not for this Court to make a final determination: we only need to be satisfied that a sole bona fide contention is not unarguable or frivolous. While by no means sure at this stage what the answer should be, we are not of the view that the contention is so weak as to be characterised as frivolous.

Further, we do not consider that there will be any significant prejudice to the respondents if the stay sought is granted. If the appeal is dismissed and the criminal case goes to trial, it is unlikely that there will be difficulty over witnesses in a case of this nature.

For these reasons we allow the application with costs to be in the appeal.

Accordingly it is hereby ordered that the proceedings in the Chief Magistrates Court at Kibera in Criminal case number 1712 of 2003 being the *Republic v Berkely North Hackett and Bernard Nthuli* and Criminal case number 2681 of 2003 being the *Republic v Ezekiel Nandama* (*supra*) be stayed pending the hearing and determination of the intended appeal by the applicants against the judgment of the High Court in Miscellaneous case number 448 of 2003 *Berkely Hackett and two others v the Attorney-General and others*.

For the appellant:
Ms KD Kilonzo

For the respondents
Information not available

Besigensi v Uganda
[2005] 2 EA 37 (SCU)

Division: Supreme Court of Uganda at Mengo

Date of judgment: 21 December 2005

Case Number: 9/04

Before: Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC

Sourced by: LawAfrica

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[1] Appellate procedure – Duty of a first appellate court – Re-evaluation of evidence on record – Whether Court of Appeal had adequately re-evaluated the evidence.

[2] Criminal law – Aggravated robbery – Elements of the offence – Theft, or attempted theft, of property an essential ingredient – Whether theft by appellant had been proved – Sections 285 and 286(2) – Penal Code Act.

[3] Criminal procedure – Constitutional law – Sentencing – Mandatory death sentences – Whether mandatory death sentences were constitutional.

Editor's Summary

The appellant was tried and convicted in the High Court on a charge of aggravated robbery. Evidence was adduced at his trial to the effect that on the night of 4 September 1999, the appellant had gained entry into the complainant's house-cum-shop, on the pretext that he had come to clear a debt he owed to the complainant. Once in the house, he attacked the complainant who fled the house, raising an alarm as he ran. Some of his neighbours, including the appellant's two step-brothers, came to the complainant's rescue. They found him bleeding profusely from the wounds that had been inflicted on him and heard him mention the appellant's name as the person who had attacked him. A search for his assailant proved fruitless. In order to raise money to take him to hospital, the complainant directed some people present to retrieve UShs 195 000 that was wrapped in a sweater in his bedroom. Neither the money nor the sweater was found. Ultimately, other means were found and he was taken to hospital for treatment. The appellant was later found, arrested and charged with aggravated robbery. In his defence, the appellant pleaded an alibi and argued that his step-brothers, who had testified for the prosecution, held a grudge against him and were out to frame him.

The trial court found that the prosecution had proved its case against him and convicted him accordingly. His first appeal to the Court of Appeal was dismissed. He now appealed to the Supreme Court on the ground that the Court of Appeal had failed to subject the evidence to fresh scrutiny. In a supplementary ground, he challenged the mandatory sentence imposed on him. In his written submissions, counsel for the appellant admitted everything alleged against his client, except for the taking of the money and sweater. He argued that the prosecution had failed to prove the taking of the money and sweater and that this not only weakened the prosecution case, it meant that he could not be convicted of aggravated robbery. Counsel for the respondent argued in reply that the courts below had taken into account all the circumstances and had properly evaluated the evidence adduced at trial.

Held – The question of who took the money and the sweater had not been one of the four grounds of appeal before the Court of Appeal. On the issues

before them, the justices of appeal had correctly and adequately re-evaluated the evidence and come to the correct and same conclusion as the trial judge.

Theft, or attempted theft, of property was an essential ingredient of the offence of aggravated robbery. The trial judge had been alive to all the ingredients of the offence and, after considering the evidence presented at the trial, had found that there had been a theft. The Court of Appeal had accepted and confirmed those findings and there were no grounds for interfering with this conclusion.

The confirmation of sentence would await the determination of the intended appeal against the decision of the Constitutional Court in Constitutional Petition number 6 of 2003; *Zahura v Uganda* (*supra*) followed.

Appeal against conviction dismissed, confirmation of sentence deferred.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kigula and others v Attorney-General Petition number 6 of 2003

Zahura v Uganda Criminal appeal number 16 of 2004 – **F**

Judgment

Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC: The appellant, Besigensi Edison was indicted, tried and convicted in the High Court for aggravated robbery, contrary to sections 285 and 286(2) of the Penal Code Act. He was sentenced to death. His appeal to the Court of Appeal was unsuccessful, hence this appeal.

The facts of this case may be summarised as follows: On the night of 4 September 1999, the complainant, Byamukama Mandera, PW1, and his two young children were sleeping in his shop situated at Kateretere trading centre, in Nangala, Bubare Sub-county of Kabale District. Around midnight that same day, someone, whom he later recognised as the appellant, knocked at the shop's door three times. Byamukama woke up and went to inquire as to who was knocking at the late hour. The appellant who is locally popularly known as Mushure identified himself to the complainant and informed Byamukama that he had come to pay the debt of UShs 52 000 which he owed the former for items of goods previously purchased from the shop. Byamukama advised the appellant not to worry about paying the debt that night as he could easily pay the same on any other day, during daylight. The appellant insisted on paying his debt that very might claiming that he had got a job in the District of Rukungiri where he would soon be going and staying for some two years and did not wish to leave still indebted to Byamukama.

Byamukama lit a candle and opened the door for the appellant. He fetched a book containing the list of debtors from the shelves of the shop and stood at the counter intending to ascertain the appellant's debt. Instead of paying his debt, the appellant requested Byamukama to supply him with more goods on credit. Byamukama proceeded to list the items of goods as each was requested by the

appellant in turn. Suddenly, the appellant blew out the burning candle and when Byamukama bent down looking for a match box to relight it, the appellant started cutting him, several times with a *panga*. Realising that he was in mortal danger, Byamukama ran to his bedroom and as he attempted to enter it he heard the appellant's footsteps behind him. Byamukama fled from the house raising an alarm and shouting that it was Mushure who had attacked him. Neighbours answered the alarm and came to the rescue of the victim. Amongst the people who responded to the alarm were the appellant's own step-brothers, Benon Rubagyema and Godfery Turyahikayo, who were later to testify at his trial as PW3 and PW5 respectively. Witnesses including Rubagyema and Turyahikayo heard Byamukama mention the name of Mushure as the attacker as he ran from his house. They all found Byamukama bleeding profusely from the wounds inflicted on him by the attacker. The persons who responded to the alarm were neighbours of both the victim and the appellant. They mounted a search for the latter within the neighbourhood. He was not found there. It was immediately realised by the people present that Byamukama needed to be taken to hospital for treatment of his bleeding wounds. Money was required for this purpose. Byamukama revealed that he had left a sum of UShs 195 000 in the bedroom wrapped in a sweater. He directed some of the people present to go and fetch it so that a vehicle could be hired to take him to hospital. Neither the money nor the sweater was found where Byamukama had left them or anywhere else. Ultimately, other means were found and Byamukama was taken to Kabale Hospital where he received medical treatment.

Dr Tom Mugisha, who examined and treated the victim, found that he had cut wounds on the left arm and hand, the left thigh and the left small finger was completely cut off. The doctor classified Byamukama's injuries as dangerous harm (*sic*). The doctor's opinion was that the injuries he saw and treated had been inflicted by a sharp object such as a *panga*.

In the meantime, the Local LC1 Chairman, PW5, reported the incident to the police. Edison Twinomwe D/Cpl number 26410, PW4, investigated the case and on 9 September 1999 he arrested the appellant at Ndorwa Prison where the appellant had been detained as a tax defaulter. He charged him with aggravated robbery.

In his defence, the appellant pleaded alibi and alleged that he had been framed by the witnesses and his step–brothers, all of whom had a grudge against him. With regard to the defence of alibi, the appellant claimed that he had left his home on 28 August 1999, to visit his sister in Rukungiri and that while he was there the LC1 Chairman of the area arrested him because he did not possess any graduated tax ticket or identification cards on him. He was taken into custody of the Rukungiri Police who in turn handed him over to the Kabale Police Station who sent him to Ndorwa Prison. He was eventually apprehended and charged with robbery about which he knew nothing. As to the grudge between the appellant and his step-brothers, the appellant testified that the latter had framed him because they wished to grab his land.

The learned trial Judge disbelieved the appellant and convicted him on the prosecution's evidence, which the judge believed had proved the guilt of the

appellant beyond reasonable doubt. The appellant's memorandum of appeal to this Court originally contained one ground which was framed as follows:

> That the learned Justices of Appeal erred in law when they failed to subject the evidence on record to fresh evaluation and scrutiny thus they (*sic*) wrongly upheld the finding of the trial judge that the prosecution proved all the ingredients of robbery against the appellant.

Following a decision of the Constitutional Court in Petition number 6 of 2003, *Kigula and others v Attorney-General* (*supra*) which declared mandatory death sentences in murder and aggravated robbery unconstitutional and which decision is the subject of an appeal to the Supreme Court, an additional second ground was filed challenging the mandatory sentence that was imposed on the appellant by the High Court and confirmed by the Court of Appeal.

Counsel filed brief written submissions for both the appellant and the respondent. Through his counsel, the appellant admitted everything that was alleged against him in the indictment except the taking of the money and sweater, which disappeared from the complainant's shop shortly after he had been attacked by the appellant and fled from it. Mr Cramner *Tayebwa*, for the appellant, contended that the learned trial Judge erred in fact and law when she found that it was the appellant who took the complainants' money and sweater. Counsel contended that there was no evidence to suggest that it was the appellant who took those two items. He submitted that the evidence clearly shows that those goods could have easily been taken by the people whom the complainant sent to his shop to fetch the money. Counsel contended that failure by the prosecution to prove that it was the appellant who stole the money and sweater not only fatally weakens the case against him but means that he cannot be convicted of aggravated robbery. Counsel submitted further, that the Court of Appeal erred in confirming the findings and decision of the trial court without itself re-evaluating the evidence and coming to its own conclusion. Mr *Tayebwa* submitted further that after the appellant started assaulting the victim, the latter ran out of the house. He later testified that he heard the footsteps of the appellant following him, in pursuit to finish him off. Counsel contended that there is no evidence that the appellant returned to the house to look for and find the money or the sweater, which could easily have been removed and taken by the persons whom the complainant sent to the premises. Counsel submitted that in light of this, the prosecution had failed to prove the ingredient of theft which is essential in a charge of robbery.

For the respondent, Mr Andrew *Odit*, Senior State Attorney, in written submissions, supported both the conviction and sentence of the appellant. In counsel's view the two courts below took into account all the circumstances prior to, during and after the commission of the aggravated robbery. Counsel enumerated those circumstances to include the conduct of the appellant during the attack of the complainant and his lies that he intended to pay the debt he owned to the latter. Counsel submitted that the evidence presented for the prosecution destroyed the appellant's alibi. Finally, counsel contended that had all the facts and circumstances been properly evaluated and re-evaluated by the courts below, the inevitable inference would have been that it was only the appellant who had the opportunity to steal and did steal the money and sweater of the complainant. In counsel's opinion, the evaluation of evidence by the learned trial Judge was correct both in law and fact, and as the Court of Appeal

was satisfied with that evaluation, they were correct not to interfere with the findings and decision of the learned trial Judge.

In our view, the Court of Appeal correctly and adequately re-evaluated the evidence. We note that in the Court of Appeal, the question of who took the money and sweater was not one of the four grounds of appeal. We are satisfied that on the issues which were the subject of the appeal before them, the learned Justices of Appeal re-evaluated them properly and came to the correct and same conclusion as the trial judge.

Admittedly, theft of, or attempted theft of, property is an essential ingredient of the offence of aggravated robbery. We are satisfied that the learned trial Judge was alive to all the ingredients of the offence. Thus, in her judgment, she observed:

> "In a charge for robbery with aggravation, that is, where a deadly weapon is used, the prosecution must prove three things, namely:
>
> 1. Theft of property in this case UShs 195 000 and the theft of a sweater
> 2. A deadly weapon was used in the robbery
> 3. The accused participated in the robbery."

Thereafter, the learned trial Judge proceeded to consider and determine whether the evidence presented at the trial proved that the appellant had committed theft. She reasoned out the issue of theft as follows:

> "Regarding theft, PW1 testified that in the morning after the robbery he directed people who had answered the alarm that there was UShs 195 000 in a sweater in his bedroom but no money or sweater were found. His evidence was corroborated by PW3 and PW5, that the money and the sweater were missing. So there must have been a theft. The victim heard footsteps following him to the bedroom where he escaped through the window. Besides the two small children, with whom the victim was in the house, the accused was the only (adult) with the victim."

In our view, the Court of Appeal was correct to accept and confirm the learned trial Judge's findings on the issue of theft. We are fortified in this view by three factors surrounding the robbery. The appellant admits all the other facts as presented by the prosecution. These facts include the deception by the appellant in waking up Byamukama on the pretence that he wanted to pay his debt. The fact that he instead asked for more credit for which he was prepared to kill the complainant is evidence that he was in dire need of money. He pursued the victim to the bedroom where he was left when the victim escaped from the house. We are satisfied that both the money and the sweater were in the bedroom because Byamukama could not have told lies or being mistaken about it when he knew that without that money to take him to hospital immediately, and have treatment, his life was in mortal peril. It is also not worthy that the appellant did not offer any other reason or reasons for visiting Byamukama's shop at that late hour and cutting him with a *panga*.

For the forgoing reasons, we are of the view, that there is no merit whatsoever in this appeal. It is accordingly dismissed. We confirm the conviction of the appellant for aggravated robbery. However, we postpone confirmation of the sentence under Article 22 of the Constitution in conformity with our decision in *Zahura v Uganda* Criminal appeal number 16 of 2004 until determination of the intended appeal against the decision of the Constitutional Court in Constitutional Petition number 6 of 2003.

For the appellant:
Mr Cramner Tayebwa

For the respondent:
Mr Andrew Odit, Senior State Attorney

Re Bivac International SA (Bureau Veritas)

[2005] 2 EA 42 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	29 November 2005
Case Number:	1541/05
Before:	Nyamu J
Sourced by:	LawAfrica

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[1] Judicial review – Application for leave to commence proceedings – Whether leave to operate as stay – Applicable principles.

Editor's Summary

By application dated 25 October 2005, the applicant sought leave to apply for an order of *certiorari*, to move into the court and quash the contracts between Kenya Bureau of Standards and SGS on the one hand and Intertech International Limited on the other, for the provision of pre-shipment verification of conformity to standards, dated 14 September 2005, among other orders. The applicant also sought orders that the leave so granted does operate as stay of implementation of the contracts in question and of any operations thereunder, pending the hearing and determination of the judicial review proceedings.

Held – An application for leave to commence proceedings in the nature of judicial review does restrict the court to threshold issues, namely whether the applicant has an arguable case and whether, if leave is granted, the same should operate as a stay.

Judicial review remedies are discretionary and that discretion is a judicial discretion and, therefore, the court has to explain how the discretion, if any, was exercised so that all the parties are aware of the factors which led to the exercise of the court's discretion and also so that in case of an appeal, the appellate court is able to ascertain how and why the court's discretion was exercised in the manner or way it was exercised.

An arguable case is not ascertained by the court tossing a coin or waving a magic ward or raising a green flag, the ascertainment of an arguable case is an intellectual exercise. One has to consider, without making any findings, the scope of the judicial review remedy sought, the grounds and possible principles of administrative law involved and not forget the ever expanding frontiers of judicial review and perhaps give an applicant his day in court instead of denying him.

Like the Biblical mustard seed, which a man took and sowed in his field and which is the smallest

of all seeds but when it grew it became the biggest shrub of all and became a tree so that birds of the air came and sheltered in its branches, judicial review stemmed from the doctrine of *ultra vires* and rules of natural justice and has grown to become a legal tree with branches in illegality,

irrationality, impropriety of procedure and has become the most powerful enforcer of constitutionalism, one of the greatest promoters of the rule of law and perhaps one of the most powerful tools against abuse of power and arbitrariness.

The court can refuse to order that leave granted for orders of judicial review does operate as a stay where such a stay would violate the needs of good administration, namely; the speed of decision particularly in the financial field; a proper consideration of the public interest; a proper consideration of the legitimate interest; decisiveness and finality unless there are compelling reasons to the contrary.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

R v Judicial Service Commission of Kenya ex parte *Stephen Pareno* High Court miscellaneous number 1025 of 2003

United Kingdom

John v Rees [1970] Ch 345

R v Monopolies and Mergers Commission ex parte *Argyll Group PLC* [1986] 1 WLR 763

Judgment

Nyamu J: By an application dated 25 October 2005, filed on 26 October 2005, the applicant seeks leave in respect of the following prayers:

(*a*) That leave be granted to the applicant to apply for an order of *certiorari* to remove into the Honourable Court and quash the contract between the Kenya Bureau of Standards and SGS for the provision of services for pre-shipment verification of conformity to standards dated 14 September 2005.

(*b*) That lower court to grant to the applicant to apply for an order of *certiorari* to remove into that Honourable Court and quash the contract between the Kenya Bureau of Standards and Interteck International Ltd for the provision of services of the shipment verification of conformity of standards dated 14 September 2005.

(*c*) The leave be granted to the applicant to apply for an order of *mandamus* directed to the Kenya Bureau of Standards requiring the said Kenya Bureau of Standards to invite the applicant to negotiate and sign a contract for provision of services for pre-shipment verification of conformity for standards.

(*d*) That leave be granted to the applicant to apply for an order of prohibition prohibiting the respondent from entering into any contract for the provision of services for pre-shipment verification of conformity to standards otherwise than in strict conformity with the terms of the tender.

(*e*) That the grant of leave to operate as a stay of the proceedings in question ie the implementation of the aforesaid contracts and of any operations there-under pending the hearing and determination of the judicial review proceedings

(*f*) Thus the costs of and occasioned by this application be costs in the cause.

The applicant contends that unless an order of stay is granted the judicial review proceedings,,with respect to which leave is sought herein, will be rendered nugatory to the irreparable loss of the applicant. The application is based on a statement dated 25 October 2005 and filed on the same date, which statement is verified by an affidavit of one Jean Spinosi sworn on 25 October 2005 and filed on the same date which has annexures measuring 6 inches.

The brief facts are that the matter arises out of an invitation made by the respondent,Kenya Bureau of Standards (KBS), on 20 July 2005 for tenders to be submitted for selection of agents to offer pre-shipment verification of conformity. The applicant was invited together with six others to submit their tenders. The tender document granted a right to those who submitted proposals to information relating to evaluation of proposals and recommendations concerning awards once the successful tenderers were notified. It is contended, for the applicant, that the respondent refused to provide the information on the basis for the award of the tender and the applicant did move this Court in High Court Miscellaneous 1335 of 2005 by way of a chamber summons dated 12 September 2005 which sought the following orders:

(*a*) That the applicant be granted leave to apply for judicial review in the form of an order of *mandamus* compelling the Kenya Bureau of Standards to provide forthwith to the applicant full and detailed information of the evaluation of all the relevant proposals for the Tender number KEBS/TO38/2005/2006 – Pre-shipment verification of conformity (PVoc) to Standards Services and the recommendations made concerning the awards.

(*b*) That the applicant be granted leave to apply for judicial review in the form of an Order of Prohibition, prohibiting the Kenya Bureau of Standards from signing the terms of clause 1.3 (as amended) of the aforesaid tender or any contract unless and until the said information has been provided to the applicant, and if the applicant has been given such adequate and reasonable terms as the Honourable Court may determine to consider the same and act on it, if necessary.

(*c*) That the grant of leave do operate as stay the proceedings in question ie the tendering process and the signing of any contract pending the hearing and determination of the judicial review proceedings.

(*d*) That the costs of and occasioned by this application be costs in the cause.

The applicant did, on 12 September 2005, obtain leave to institute judicial review proceedings for an order of *mandamus* to compel the respondent to provide the requested information and for an order of prohibition to restrain the signing of the contract. The applicant was also granted an order that such leave operates as stay of proceedings in question. The order was served on 14 September 2005 at 10:20am.

The applicant received a letter from the respondent on 19 September 2005, stating that any issue raised will be handled in accordance with the Exchequer and Audit (Public Procurement) Regulations 2001 and on 21 September 2005 the applicant counsel responded to the letter pointing out that he said regulations did not apply to the tender.

On 15 September 2005, an application for judicial review High Court 1335 of 2005 was filed and served on the respondent and the second interested party Intertech International “ITS” is on the same day but served on SGS on 16 September 2005 (*sic*).

On 26 September 2005, ITS in an affidavit filed in support of an application to set aside the *ex parte* order for leave disclosed that the contract was signed on 14 September 2005 "well after" the order had been served on the respondent.

On 27 September 2005 the applicant counsel received a summary (summarised tender evaluation information).

On 29 September 2005 the applicant counsel wrote to the respondent to reiterate that the Procurement Regulations did not apply to the Tender.

On 26 September 2005 he applied to have the *ex parte* order for leave set aside.

On 4 October 2005 SGS made an application set aside the *ex parte* order and the applicant filed a replying affidavit on 13 October 2005.

All the proceedings in respect of the above application are still pending.

According to the minutes of the Tender Evaluation Committee, the highest bidder, on both the technical and financial score, was the applicant and ITS in that order and that ITS had failed to satisfy the bid bond requirement. ITS is one of the two successful bidders, the other one being SGS.

According to the applicant the tender document prescribed a schedule of activities as follows:

(i) Release of tender 25 July 2005

(ii) Deadline answering questions 8 August 2005

(iii) Deadline of submitting proposals 15 August 2005

(iv) Contract awarding 22 August 2005

(v) Signing contract 22 September 2005

(vi) Start of operations 29 September 2005

On the other hand, according to Eva Adega Oduor the general manager, Standards Development Division and the Chairperson of the Tenders Tribunal Evaluation Committee of Kenya Bureau of Standards, the tender schedule 1.3 in the tender provides as follows:

(i) Release Tender 25 July 2005

(ii) Deadline of Answering questions 1 August 2005

(iii) Deadline of submitting proposals 8 August 2005

(iv) Contract Awarding 15 August 2005

(v) Signing of contract 15 September 2005

(vi) Start of operations 22 September 2005

She further depones that the procurement regulations apply, hence, the variation between the two sets of activities.

The respondent has filed a replying affidavit sworn by Eva Oduor on 3 November 2005 and it also filed written submissions and a list of authorities. The interested parties have also filed written submissions and a written reply.

It is important to mention that when the application came before me for hearing, under a certificate of urgency on 26 October 2005, I ordered that the application be served on the respondent for hearing *inter partes* on 1 November, 2005 when the interested parties (the IPS) also appeared through their representative advocates and sought audience.

Their presence was, of course, a surprise both to the court and to the applicants and the court did subsequently direct in a ruling that the interested parties

could not be shut out, in view of the fact that they appeared to be the affected parties because of the very nature of the subject matter.

In this matter, although written submissions have been filed and many authorities cited to the court by all the parties, the court has opted not to refer to them in this ruling because notwithstanding the fact that the IPS were allowed to explain their respective interests the fact of the matter remains that the application is ordinarily *ex parte* and such an application does restrict the court to threshold issues, namely whether the applicant has an arguable case and whether, if leave is granted, the same should operate as a stay. The other reason why the court should avoid making findings beyond the threshold issues, as outlined above, is that in the related matter High Court miscellaneous 1335 of 2005 between the applicant and the respondent there are several pending applications where the same issues, as are raised herein, feature very prominently and the applications have not been determined.

However, in view of the complex nature of the case and the fact that the matter was heard *inter partes* and the IPS allowed to explain their interests, even with the above warnings the court is aware that as judicial review remedies are at the end of the day discretionary see this Court's judgment in *R v Judicial Service Commission of Kenya ex parte Stephen Pareno* High Court miscellaneous 1025 of 2003 (authority number 6 in the respondent's bundle), that discretion is a judicial discretion and, for this reason, a court has to explain how the discretion, if any, was exercised so that all the parties are aware of the factors which led to the exercise of the court's discretion. For this reason I intend to outline the factors the court took into account without delving into the details. The other reason for outlining the factors is that in the event of an appeal the appellate court should be able to ascertain how and why the courts discretion was exercised in the way or manner it was exercised.

On the issue of leave the court finds arguable issues on a *prima facie* basis as follows:

1. Whether judicial review remedies lie in respect of the application and, if so, what are the remedies.
2. Whether the prayers sought in both applications lie in judicial review or whether they are strictly enforceable as private rights by way of discovery injunction, declarations and damages.
3. Whether promptness or laches should affect the relief claimed.
4. The bona fides of bringing this second judicial review application which *prima facie* appear not to attack any decision but the contracts already signed and the implementation and whether judicial review remedies can attack signed contracts and their implementation.
5. Whether the source of the power challenged is statute ie The Standards Act or the Exchequer and Audit Act and the regulations or whether the power springs from the contract (or tender).
6. Whether or not there is a contract at all between the applicant and the respondent.
7. The impact of the IPS signed contracts.
8. The impact of any court intervention on other parties including the impact of any such intervention on the country and the economy.
9. The effect in law on the entire application dated 25 October 2005 on the principles.

    (*a*) Certiorari quashes an unlawful decision.

(*b*) Prohibition prevents a proposed unlawful act in the future.

(*c*) *Mandamus* compels the enforcement of a public duty by a public authority.

10. Whether or not the court is entitled at this stage to consider the nature of the Actual relief claimed and whether it falls outside judicial review eg whether is contractual, or discovery and mandatory and other injunctions.

11. Whether the principles of good administration apply in this case in view of the nature of the contracts and the wide spectrum of involvement and effect on other parties, including the country as a whole.

12. Whether the court should take into account the alleged non-obedience of the *ex parte* order in High Court 1335 of 2005 and whether these second proceedings are an abuse of the court procedure.

13. Whether the applicant has a right to legitimate expectation to a contract in the circumstances.

14. Whether the respondent bound itself to accepting the lowest or any bid at all.

15. Whether there is a principle of public law on which to compel the respondent to offer the contract to the applicant or any other tenderer.

16. Whether the remedies of specific performance, discovery, injunctions are available in judicial review in Kenya.

17. Whether what is sought to be enforced are private rights against a public body.

In the estimation of the court the above are all arguable issues and although the court is aware of the test formulated by the Court of Appeal in *Wanjuguna v Ministry of Agriculture* (*supra*)–that there should be an arguable case which without delving into details could, succeed, this particular case raises issues which could tilt the tables either way when fully ventilated but it might be in the interest of justice to have them heard on merit instead of, so to speak, tossing a coin.

As regards the prayers for leave the above outline of possible arguable issues tilts the balance in favour of granting leave. In my view, an arguable case is not ascertained by the court by tossing a coin or waving a magic ward or raising a green flag, the ascertainment of an arguable case is an intellectual exercise in this fast growing area of law. One has to consider, without making any findings, the scope of the judicial review remedy sought, the grounds and the possible principles of administrative law involved and not forget the ever expanding frontiers of judicial review and perhaps give an applicant his day in court instead of denying him. Like the Biblical mustard seed which a man took and sowed in his field and which is the smallest of all seeds but when it grew it became the biggest shrub of all and became a tree so that birds of the air came and sheltered in its branches, judicial review stemmed from the doctrine of *ultra vires* and rules of natural justice and has grown to become a legal tree with branches in illegality, irrationality, impropriety of procedure (the three “I’s”) and has become the most powerful enforcer of constitutionalism, one of the greatest promoters of the rule of law and perhaps one of the most powerful tools against abuse of power and arbitrariness. One can safely state that the growth of judicial review can only be compared to the never ending categories of negligence after the celebrated cause of *Donoghue v Stephenson* (*supra*) in the last century. Of course I am not advocating the granting of leave as a matter of routine, without reflecting on the principles of judicial review and its unique jurisdiction – but where

in doubt one should consider the wise words of Megarry J in the case of *John v Rees* [1970] Ch 345 at 402:

> "It may be that there are some who would decry the importance which the courts attach to the observance of the rules of natural justice. When something is obvious, they say, ' why force everybody to go through the tiresome waste of time involving in framing charges and giving an opportunity to be heard? The result is obvious from the start.' Those who take this view do not, I think, do themselves justice. As everybody who has anything to do with the law well knows, the path of the law is strewn with open and shut cases which, somehow, were not, of unanswerable charges which, in the event were completely answered; of inexplicable conduct which was fully explained: of fixed and unalterable determinations that, by discussion suffered a change. Nor are those with any knowledge of human nature who pause to think for a moment likely to underestimate the feelings of resentment of those who find that a decision against them has been made without their being afforded any opportunity to influence the course of events."

This is why the litany of arguable issues, as listed above, should be given a day in court without any final pronouncements at this stage. With the above in view, I do grant leave in terms of prayers (*a*)(*b*)(*c*) and (*d*) in the application dated 25 October 2005.

However, as regards prayer (*e*) on stay the same is refused after taking into account the following factors:

(*a*) *Prima facie* no decision has been attacked and the contracts have already been signed and the implementation or roll out of services has already commenced.

(*b*) Although it is arguable whether the regulations under the Exchequer Act apply – the applicant appears to have had an opportunity to attack the decision to award the contract under the regulations and did not avail itself of the opportunity and instead through its advocates insisted that the regulations did not apply. There is a machinery of challenge under the regulations and it is possible interim relief by way of stay would have been obtained in good. . .

(*c*) The orders sought in respect of the first application, and which took up quite a bit of time even assuming that the procurement regulation did not apply, were not directed at the decision to award the contract at all. They sought information and prohibition whereas judicial review is generally aimed at decisions and the decision making process. The *prima facie* view of the court is that challenges could have been merited under both regimes – even on the assumption that the procurement regulations do not apply. *Prima facie* there was an opportunity to obtain a stay based on an application seeking leave to apply for orders of *certiorari* and prohibition. This was not done in respect of the first application.

(*d*) Although the challenged contracts were signed on 14 September 2005 this application was not filed until 26 October 2005 and the delay has not been satisfactorily explained. The reason that information concerning the award was not immediately availed should have put the applicant on its guard and a challenge should have been launched immediately after the notification of award or immediately after signing of the contracts.

(*e*) The principles of good administration are, in the view of this Court, a factor in the exercise of this Court's discretion. There is absolute need for finality, for example, to enable the roll out. Other parties are involved including the wider interest of the nation to have continuous services in this critical area without interruption. Promptness is therefore a key factor in the exercise of the court's discretion. The offer of an undertaking as to damages is not a major factor in favour of granting a stay because of the nature of the contracts and their impact on interested parties including the country.

In the exercise of my discretion on whether or not to grant stay this is the second case, where I have taken into account the needs of good administration as outlined by Sir John Donaldson, Mr in the case of *R v Monopolies and Mergers Commission* ex parte *Argyll Group PLC* [1986] 1 WLR 763 Court of Appeal, as follows:

> "We are sitting as a public law court concerned to review an administrative decision, albeit one which has to be reached by the application of judicial or quasi judicial principles. We have to approach our duties with a proper awareness of needs of public administration. I cannot catalogue them all, in the present context, would draw attention to a few which are relevant (*sic*).
>
> 1. Good administration is concerned with speed of decision particularly in the financial field . . .If the court were to intervene it will take a while before a fresh decision and contract is finalised on a matter touching the lifeline of this country's economy and security as well.
> 2. Good public administration requires a proper consideration of the public interest . . .in case this factor does merge with 1 above.
> 3. Good public administration requires a proper consideration of legitimate interests. In this case the legitimate interest of the applicant to the contract must be weighed with the legitimate interests of the country and those of the IPS.
> 4. Lastly good public administration requires decisiveness and finality unless there are compelling reasons to the contrary . . .
>
> In the case at hand the user of the services which are the subject-matter of the suit have already been informed following the signing of the contracts, after the expiry of the roll out period and they are therefore entitled to organise with certainty their commercial transactions and their relationships with their customers and affected countries for the period in question 2005 to 2006."

It is in the light of the above considerations and the issue of promptness in seeking relief, that I decline to order that the leave granted should operate as stay.

Taking the above factors on a strictly *prima facie* basis this Court's discretion is exercised against the grant of leave to operate as a stay and prayer (*e*) is refused. I order that costs abide the outcome of the application for judicial review.

For the applicant:
Information not available

For the respondent
Information not available

Bwambale and another v Matte and others
[2005] 2 EA 49 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of judgment:	26 May 2005
Case Number:	58/02
Before:	Mpagi-Bahigeine, Twinomujuni and Byamugisha JJA
Sourced by:	LawAfrica

[1] Land – Title issued under the Registration of Titles Act – Effect of such registration on previous non-registered interests in the land – Whether the High Court can order cancellation of title.

Editor's Summary

The second appellant was the registered proprietor of land comprised in Bunyangabu Block 84 Plot 11 at Kihyo Busongora Kasese District following the registration on 3 January 1985 under Instrument number 221212. The respondents claimed that they were occupying the subject piece of land at the time he became registered. Sometime in 1988 the respondents applied to the Uganda Land Commission for a grant of leases of their respective holdings. When a surveyor was sent to carry out the survey, he found that the land was already surveyed. In the meantime, the second appellant brought a tractor to clear the land under the supervision of the first appellant. Some crops belonging to the respondents were destroyed. They commenced a suit in the Chief Magistrate's Court at Kasese, alleging that the first appellant together with his agents had trespassed on the land without their consent. They claimed special and general damages for loss to crops. They further alleged, that the second appellant's acquisition of the suit land and subsequent registration was tainted with fraud. They prayed for an injunction to restrain the first appellant and his agents from committing further acts of trespass, a declaration that the suit land legally and equitably belonged to them and an order for the cancellation of the second appellant's name from the register. The trial court dismissed the suit whereupon the respondents lodged an appeal in the High Court. The High Court allowed the appeal on the ground that the magistrate had erred in law and fact, in holding that the appellants had no interest in land prior to the respondent's registration. These holdings necessitated this appeal.

Held – A title issued in bringing land under the operation of the Registration of Titles Act cannot be impeached because of irregularities or informalities.

A person who is deprived of land as a result of bringing it under the operation of the Registration of Titles Act is entitled to compensation. Fraud is not available as a ground to a person who is deprived of land that is brought under the operation the Registration of Titles Act.

The appellate judge was wrong to find, as he did, that failure to carry out survey of the land and inspection was intended by the second appellant to defeat the unregistered interest of the respondents.

Once land has been brought under the operation of the Registration of Titles Act, it cannot be de-registered.

Appeal allowed.

No cases referred to in judgment

Judgment

Byamugisha JA: This is a second appeal from the decision of the High Court wherein in the exercise of its appellate jurisdiction, allowed the respondents' appeal.

The facts of this appeal are not in dispute. The second appellant, Joseph Matte, is the registered proprietor of land comprised in Bunyangabu Block 84 Plot 11 at Kihyo Busongora Kasese District. He became registered on 3 January 1985 under Instrument number 221212. The respondents, or at least some of them, claimed they were occupying the same land at the time he became

registered. Sometime in 1988 or thereabouts, the respondents applied to Uganda Land Commission for a grant of leases of their respective holdings. When a surveyor was brought to carry out the survey, he found that the land was already surveyed. In the meantime, the second appellant brought a tractor to clear the land under the supervision of the first appellant. It seems some crops belonging to the respondents were destroyed. They, therefore, instituted a suit in the Chief Magistrate's Court at Kasese, alleging that the first appellant together with his agents had trespassed on the land, without their consent. They also claimed that in the process he cleared part of the land, planted crops and converted their land for his own use. The plaint contained a list of damaged crops and their estimated monetary value for which they claimed special and general damages plus interest.

The respondents further alleged in the plaint that the second appellant's acquisition of the suit land and his subsequent registration was tainted with fraud. The particulars of fraud were stated in paragraph 8 of the amended plaint to be the following:

> "(*a*) No inspection was carried out;
>
> (*b*) No survey was carried out;
>
> (*c*) The proper procedures were not followed; and
>
> (*d*) The second defendant registered himself in order to defeat the respondent's unregistered interest. A letter from district administrator's office to that effect is attached hereto as annexure "G".

The respondents prayed for an injunction to restrain the first appellant and his agents from committing further acts of trespass, a declaration that the suit land legally and equitably belongs to them and an order for the cancellation of the second appellant's name from the register.

The appellants filed a joint written statement of defence in which they denied the avernments contained in the plaint. They contended that there were no crops or developments on the land in issue and stated that they opened virgin land which was covered with natural vegetation. It was further averred that the respondents had freely admitted that the land in question belonged to the second appellant. There was also some avernment in paragraph 3 of the written statement of defence that the suit filed by the respondents was barred by a previous suit that was filed in Kicwamba sub-county between the same parties and was still pending appeal in the Chief Magistrate's Court.

At the trial, the following issues were framed for court's determination, namely:

1. Whether title to Bunyangabu Block 84 plot 11 was fraudulently acquired?
2. Whether the plaintiffs have equitable interest in the land?
3. Whether the defendants are liable for destruction of the plaintiffs' crops?
4. What damages to be awarded to the plaintiffs, and
5. What remedies are available to the plaintiffs?

The trial court answered all the issues in the negative and dismissed the suit with costs to the appellants. Being dissatisfied with the decision, they lodged an appeal in the High Court under the following grounds of appeal:

1. That the learned Chief Magistrate erred in law and fact in holding that the appellants had no interest in land prior to the respondent's registration.
2. The trial magistrate erred in law in holding that there was no fraud on the part of the respondent.

3. The trial magistrate evaluated the evidence before her with bias towards the respondent.

On appeal, counsel for the appellant argued the first two grounds of appeal. He abandoned the third one. The appellate judge in allowing the first ground of appeal stated as follows:

> "I have studied the evidence on record and apart from Timothy Buluku (PW1) who testified that he started living in the area in 1982 and purchased some land in 1986(ie after the respondent had acquired his title) the rest of the appellants who testified at the trial stated that they had lived on the land in dispute from the year 1962, during the Rwenzururu uprising. Saddi Kanyama (PW5), an elder who assisted them to acquire the land, testified to that fact. Even Timothy Baluku, who acquired his land by purchase in 1986, bought from persons whom he found living on the land when he went to the area in 1982. So contrary to the defendant's testimony that he acquired empty land, there was overwhelming evidence that the appellants had lived on the land and had unregistered interest which was defeated by registration of the respondent's interest in the same land. There is, therefore, merit in the first ground of appeal which is allowed."

On whether the appellant had procured his registration by fraud, the appellate judge referred to a number of authorities and the provision of section 176 of the Registration of Titles Act and concluded as follows:

> "As I have already stated the appellants have been in the area since 1962 and not barely two years and there is overwhelming evidence of their presence in form of their homes and crops. So for someone to acquire the area as empty land must have done so fraudulently and this fraudulent acquisition is attributable to him and no one else because he is the one who applied for the land as an empty area in the first place and was insisting that it was empty even at the time of trial when there was evidence that the land was under occupation (*sic*)."

He allowed the appeal with costs to the respondents in the High Court and in the court below. He ordered for the cancellation of the second appellant's name from the register of the suit land – hence the instant appeal.

The memorandum of appeal filed on their behalf contains the following grounds:

1. The learned Judge erred in law and fact, when he failed to properly evaluate the evidence on record thereby coming to a wrong conclusion.
2. The learned Judge erred in law and fact when, in evaluating the evidence, he considered the evidence selectively and not as a whole.
3. The learned Judge erred in law and fact when he found that the respondents had unregistered interest in the disputed land.
4. The learned Judge erred in law and fact in holding that the disputed land belonged to the respondents.
5. The learned Judge erred in law and fact when he found that the respondents had lived on the disputed land from 1962.
6. The learned Judge erred in law and fact when he found that the respondents had proved their occupancy of the disputed land.
7. The learned Judge erred in law and fact when he held that the second appellant obtained registration through fraud.
8. The learned Judge erred in law and fact when he ordered for the cancellation of the second appellant's certificate of title.
9. The learned Judge erred in law and fact when he failed to take into account the size of the land and the respective parcels occupied by the parties in relation to the land registered.

10. The learned Judge erred in law and fact when he applied the wrong law to the facts, thereby drawing a wrong conclusion.

11. The learned Judge erred in law and fact when in reaching his decision he engaged in conjuncture and speculation thereby basing his decision on erroneous assumptions not supported by the evidence on record.

It was the appellant's prayer that the judgment/decree of the High Court dated 10 May 2001 in favour of the respondents against the appellants be set aside and the appeal be allowed with costs to the appellants.

At the hearing of the appeal, Mr *Mbabazi*, who represented the appellants, combined the grounds and will treat them in like manner. He first argued grounds 1, 2 and 3 together. The gist of these grounds is the evaluation of evidence by the appellate judge. Learned counsel submitted that the testimony of Baluku (PW1) was to the effect that he bought his land in 1986. This was after the second appellant had already acquired his registered interest. If the appellate judge had evaluated the evidence properly, counsel argued, he would have disallowed the claim. The other limb of his argument was that the second respondent claimed to own 300 acres of land. The second appellant owned 431.9 hectares of land according to the certificate of title. Mr *Mbabazi* submitted that the appellate judge ought to have subtracted the 300 acres from the 431.9 hectares. As for the fourth respondent, the evidence given by his brother, Timeteo Bagenyi (PW3) was to the effect that he owned 50 acres of land. Again counsel submitted that these acres should have been deducted from the second appellant's acreage. He also pointed out that the appellate judge made a declaration in favour of a deceased person, the fourth respondent.

In reply, Mr *Muhimbura* learned Counsel for the respondents supported the appellate judge's evaluation of the evidence. He submitted that he arrived at the correct decision. He argued that other than the second respondent, who acquired land by purchase in 1986, the rest acquired their land in 1962. He claimed that this evidence was not challenged. He contended that the size of the land was not relevant.

In order to resolve the issue in the first ground, I think it is necessary to evaluate the evidence that was adduced in the lower court. The plaintiffs called a total of 5 witnesses namely Timothy Baluku (PW1), Baguma Vicent (PW2), Timeteo Bagenyi (PW3), Yohana Matte (PW4) and Kanyama Saddi (PW5). Baluku's testimony was to the effect that he came to stay in the area in 1982. He started buying land in 1986 from people that he did not name. This purchase obviously was after the second appellant had already been registered as proprietor. His total acreage was 300. He had no sale agreements because the documents were burnt. Bagenyi on his part testified that he came in the area in 1962 together with his brother Daudi Byengozi (now deceased). They acquired 50 acres of land. He, too, claimed to have bought Kibanja but the documents or the agreements of purchase were burnt. Yohana Matte testified that he knew all the respondents as owners of land in the area now under dispute. The last witness Kanyama stated that he was an elder and knew all the respondents. He stated, that as an elder, he had the responsibility of allocating land to the respondents. He also testified that he did not know the second appellant.

It is clear to me from the above summarised evidence that apart from the second respondent, the rest of the respondents did not attempt to prove their claim. Therefore, none of them can be said to have been deprived of land by

the second appellant's acquisition. In order for them to succeed they had to bring themselves within the ambit of section 176 of the Registration of Titles Act. The section provides as follows:

> "No action of ejectment or other action for the recovery of any land, shall lie or be sustained against the person registered as proprietor under this Act, except in any of the following cases:
>
> (*a*) the case of a mortgagee as against a mortgagor in default;
>
> (*b*) the case of a lessor as against a lessee in default;
>
> (*c*) the case of a person deprived of any land by fraud as against the person registered as proprietor of that and through fraud or as against a person deriving otherwise than as a transferee bona fide for value from or through a person so registered through fraud;
>
> (*d*) the case of a person deprived of or claiming any land included in any certificate of title of other and by misdescription of the other land or against the registered proprietor of that land or its boundaries as against the registered proprietor of that other land not being a transferee of the land bona fide for value;
>
> (*e*) the case of a registered proprietor claiming under a certificate of title prior in date of registration under this Act in any case in which two or more certificates of title may be registered under this Act in respect of the same land; and in any case other than as aforesaid the production of the registered certificate of title or lease shall be held in every court to be absolute bar and estoppel to any such action against the person named in that document as the grantee, owner, proprietor or lessee of the land descried in it, any rule of law equity to the contrary notwithstanding."

The provisions of this section have been judicially held in numerous authorities to operate as a bar against ejectment of a registered proprietor unless the case falls under any of the above cases. The above section has to be read together with section 59 of the same Act. The section states as follows:

> "No certificate of title issued upon an application to bring land under this Act shall be impeached or defeasible by reason or on account of any informality or irregularity in the application or in the proceedings previous to the registration of the certificate and every certificate of title issued under this Act shall be received in all courts as evidence of the particulars set forth in the certificate and of the entry of the certificate in the Register Book, and shall be conclusive evidence that the person named as proprietor of or having any estate or interest in or power to appoint or dispose of the land described in the certificate is seized or possessed of that estate or interest or has that power."

At the time material to this appeal, the law governing the grant of leases on public land was, the now repealed, Land Reform Decree. Section 3 of the decree provided as follows:

> "(1) The system of occupying public land under customary tenure may continue and no holder of a customary tenure shall be terminated in his holding except under terms and conditions imposed by the Commission including the payment of compensation and approved by the minister having regard to the zoning scheme if any, affecting the land so occupied, and accordingly the Public Land Act, 1969 shall be construed as if subsection (2) of section 24 thereof has been deleted therefrom
>
> (2) For the avoidance of doubt, a customary occupation of public land shall not withstanding anything contained in any other written law, be only at suffrance and *a lease of any such land may be granted by the Commission to any person, including the holder of the tenure*, in accordance with the decree." (Emphasis mine.)

The legal effect of these provisions is that the Uganda Land Commission as the controlling authority had the power to lease the land in question to anyone and any customary land holder occupying the same land would be entitled to compensation for the developments. The respondents, in filing their claims, were not seeking any compensation for their developments but rather an eviction order among other relief. They were, of course, alleging that the second appellant obtained registration by fraud for lack of inspection and lack of surveying the land. The provisions of section 59 (*supra*) seem to be clear in that a title issued in bringing land under the operation of the Act, cannot be impeached because of irregularities or informalities. I do not think that the particulars of fraud pleaded in the amended plaint would be used to defeat the registered interest.

Furthermore, the provision of section 178 of the RTA also has provision for payment of compensation to a person who is deprived of land as a consequence of fraud or through the bringing of the land under the operation of the Act. The section provides as follows:

> "Any person deprived of land or of any estate or interest in land in consequence of fraud or through the bringing of the land under the operation of this Act or by registration of any other person as proprietor of the land, estate or interest or in consequence of any error or misdescription in any registered certificate of title or in any entry or memorial in the register book may bring and prosecute an action for the recovery of damages against a person upon whose application the land was brought under the operation of this Act, or the erroneous registration was made, or who acquired title to the estate or interest through fraud, error or misdescription; but
>
> (*a*) except in the case of fraud or of error occasioned by any omission, misrepresentation or misdescription in the application of the person to bring such land under the operation of this Act or to be registered as proprietor of the land, estate or interest or in any instrument signed by him or her, that person shall upon a transfer of the land bona fide for value cease to be liable for payment for damage which but for the transfer might have been recovered from him or her under the provisions herein contained; and in the last mentioned case, and also in case the person against whom the action for damage is directed to be brought as aforesaid is dead or has been adjudged bankrupt or cannot be found within the jurisdiction of the High Court, then and any such damages with costs of action may be recovered from the Government; and
>
> (*b*) in estimating the damages the value of all buildings and other improvements erected or made subsequently to the deprivation shall be excluded."

The above provisions are clear in that a person who is deprived of land as a result of bringing it under the operation of the Act as happened in the matter now before us, the person who is affected is entitled to compensation. It seems to me that on a proper reading of the provisions of this section that fraud is not available as a ground to a person who is deprived of land that is brought under the operation of the RTA. It seems such a person, by merely occupying the land, could not be said to have an interest in land which the law recognises or which was capable of being registered as a charge in the register book. The situation, of course, seem to have been changed by Article 237 of the Constitution and the Land Act.

Therefore, even if one was to accept that there was no inspection or survey of the land, this in itself would not lead to the cancellation of a title. With respect, I think the appellate judge was wrong to find as he did that failure to carry out survey of the land and inspection was intended by the second appellant

to defeat the unregistered interest of the respondents. In any case there was evidence that the land was actually surveyed. Baguma Vicent (PW2) who was stated to be a surveyor, testified that when he requested to survey the same piece of land in 1989, he found mark stones and had to stop the exercise. If the appellate judge had considered this piece of evidence, he would have found that the land was surveyed before the second appellant was registered as a proprietor thereof. Consequently, I would allow the grounds of appeal.

I will now deal with grounds 8 and 9. These two grounds concerned the appellate judge's decision in ordering the cancellation of the certificate of title. In submitting on this ground, Mr *Mbabazi* stated that the High Court had no power to order the cancellation of the certificate of title because the case began in the Chief Magistrate's Court. He argued that the memorandum of appeal that was filed in the High Court did not contain a prayer for cancellation of title. He also pointed out that before ordering cancellation, the appellate judge should have first considered the size of each claim to be deducted from the second appellant's title in accordance with section 177 of the RTA. Lastly, he submitted that on an appellate level the High Court could not order cancellation of title.

Mr *Muhimbura* did not agree. He supported the appellate judge's decisions to cancel the certificate of title because it was obtained fraudulently.

I do not agree with the submissions of Mr *Mbabazi* that the appellate judge had no power to order the cancellation of the certificate of title. The section under which the cancellation was ordered gives the power to the High Court to make such an order. I think it is immaterial whether the order is made at the trial or appellate level. However, the order made by the appellate judge was incomplete. The section gives power to the High Court to direct cancellation of certificate or entry and make a substitution of the certificate. The section states as follows:

> "Upon the recovery of any land, estate or interest by any proceeding from the registered proprietor thereof, the High Court may in any case in which the proceedings is not expressly barred, direct the registrar to cancel any certificate of title or instrument, or any entry or memorial in the register book relating to that land, estate or interest and to substitute such certificate of title or entry as the circumstances of the case require; and the registrar shall give effect to that order."

While the appellate judge was within the powers conferred by the above section to order the cancellation of the second appellant's certificate after being satisfied that fraud was proved, he was wrong to de-register the land altogether. It seems fairly obvious to me that once land has been brought under the operation of the Registration of Titles Act, it cannot be de-registered. The respondents had no lease offer from the Land Commission. All that they claimed to have were developments on the land for which they could have been paid compensation. To order for cancellation, it had to be proved that the second appellant had knowledge, actual or constructive, about the interests of any of the respondents and ignored it. Even if it could be said that the respondents were in occupation of the land, the Commission had the power to lease it. There was no evidence to show that before the second appellant applied for the lease, the respondents or any of them had also applied for the grant of a lease on the same piece of land. There was no fraud proved and as such the appellate judge erred in ordering the cancellation of title. Consequently, I would allow the grounds of appeal.

Grounds 5 and 6 complained that the appellate judge erred in finding that all the respondents had been in occupation of the suit land since 1962. These two grounds have already been dealt with earlier in this judgment when I dealt with the evaluation of the evidence. From the evidence on record, the appellate judge could not have found that all the respondents had been in occupation of the land since 1962. He seemed to have been persuaded by the testimony of PW5 who testified that he settled the respondents on the land. There was no evidence from the first respondent. The second respondent settled in the area in 1982 and claimed that he started purchasing land in 1986. The third respondent died on a date that was not disclosed and the fourth did not testify to prove his claim to the land. I, therefore, agree with the submissions of counsel for the appellant that the learned Judge erred in finding that all the respondents settled on the land in 1962, except Timothy Baluku. These grounds would succeed. In result, I would allow the appeal. The judgment and orders of the High Court would be set aside. The judgment and orders of the Chief Magistrate would be re-instated. The appellants would have the costs of the action both here and in the courts below.

Mpagi-Bahigeine and Twinomujuni JJA concurred in the judgment of Byamugisha JA.

For the appellants:
Mr Mbabazi

For the respondents:
Mr Muhimbura

Ethiopian Airlines v Motunrola
[2005] 2 EA 57 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of judgment:	5 September 2005
Case Number:	30/03
Before:	Mukasa-Kikonyogo DCJ, Mpagi-Bahigeine and Kitumba JJA
Sourced by:	LawAfrica

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[1] Evidence – Extrinsic evidence – Applicability of extrinsic evidence – Extrinsic evidence where there is documentation.

[2] International law and conventions – Applicability of the Warsaw Convention to contracts of carriage.

Editor's Summary

The respondent, who was a frequent flier of the appellant's Lagos-Entebbe route, lost part of her luggage on reaching the Entebbe Airport. The respondent produced a list of the lost items and valued them at US$ 3 476 and lodged a complaint with the Kampala Area Manager. However, when she did not recover her property or the US$ 3 476, she sued. The High Court awarded her US$ 600 for the 30kgs of the lost luggage and Ush 3 million for the inconvenience and costs under Article 22(*a*) of the Warsaw Convention.

The appellant appealed on the grounds that the court relied on oral evidence and that it was inequitable to grant the sum of 3 million as general damages when it had come to the court with clean hands.

Held – Both parties were governed by the Warsaw Convention, since under Article 1 it is applicable to international flights made by a carrier. Hence, the terms of the contract and the liabilities between the parties were governed by the Warsaw Convention.

Extrinsic evidence cannot be used to vary or alter the contents of a written document. (*Uganda Revenue Authority v Stephen Mabosi* civil appeal number 26 of 1995 followed).

The act of the appellant's representative in accepting payment of excess luggage of 10 kilograms was illegal and therefore of no effect. Once an illegality is brought to the court's attention, it overrides all questions of pleadings including admissions.

Appeal allowed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Uganda Revenue Authority v Mabosi Supreme Court civil appeal number 26 of 1995 – **F**

Judgment

Mukasa-Kikonyogo DCJ: This appeal is instituted by Ethiopian Airlines, which hereinafter I shall refer to as the appellant. It is brought against the judgment and orders in High Court civil suit number 917 of 1997 dated 25 September 2002 and passed in favour of Olowu Motunrola, the respondent.

Briefly, the background of the appeal is that at the material time the respondent was a passenger/client of the appellant as a frequent flier Lagos Entebbe route. On 5 February 1999, the respondent was a passenger on the appellant's aircraft from Lagos via Addis Ababa and Nairobi to Entebbe Airport. Before boarding the aircraft she duly checked in all her luggage and identified it. It was tagged and subsequently loaded on the aircraft.

On arrival at Entebbe Airport, her final destination on 6 February 1999, she noticed that part of her luggage was missing. It was lost and/or had been converted by the servants of the appellant working in the course of their employment. The respondent made and produced a list of the lost items, valued at US$ 3476. Further, she explained that, with the permission of the area manager of Lagos Airport, Smeili Shabira, she paid 10kg as excess luggage. Immediately after the respondent discovered the loss of her second piece of luggage, she lodged a complaint with Kampala area manager at that time, Solomon Debebe. The said manager issued her with a document headed "Loss Baggage Questionnaire". A copy thereof was annexed as annexure A. Although the respondent acted promptly to fill the questionnaire and returned it to the office of the area manger, her missing bag was not recovered. Further, despite

repeated demands and reminders the respondent was not paid US$ 3746 (being the value of her lost property). It was contended for her, that as a common carrier, the appellant had a duty to safely deliver her luggage at Entebbe Airport which was not done. The failure to do so was seen as gross negligence on the part of the appellant. For the aforesaid reason, the respondent instructed her counsel to sue the appellant for recovery of US$ 3476 or its equivalent in Ugandan shillings. She also prayed for general damages for the inconvenience and suffering due to the loss of her bag as well as costs.

The appellant denied any liability. As far as it was concerned, the respondent was not entitled to any relief in the alternative and without prejudice, if given any relief,, such would be limited under the terms of contract of carriage with the appellant (*sic*). Besides, the respondent on 5 February 1999 checked in 30 kilograms of luggage at Lagos, which on arrival at Entebbe was found to be more by 25 kilograms. In the premises the appellant would not accept to pay for loss of goods that had not been declared. The appellant relied on the testimony given by their area manager, Mr Wamala and the Warsaw Convention governing the contractual relationship between the parties. Judgment was passed in favour of the respondent, against the appellant, as follows:

(*a*) US$ 600 being the value of 30 kilograms of the lost piece of luggage

(*b*) Uganda shillings 3 million, for the inconvenience and suffering

(*c*) Costs under Article 22(*a*) of the Warsaw Convention

Dissatisfied with the decision of the High Court, the appellant instructed its counsel, Katende Ssempebwa and Company Advocates to lodge the appeal to this Court. The appeal is based on the following four grounds.

"1 The learned Judge erred in law and fact when she relied on the oral testimony of the respondent (PW1) to vary the terms of the contract of carriage on the question of contractual weight of luggage in question.

2. The learned Judge erred in fact in holding that the respondent checked in two pieces of luggage, weighing 30 kilograms each, thereby coming to wrong conclusion.

3. The learned Judge erred in law and fact in the award of US$ 600 as special damages to the respondent for loss of baggage.

4. The learned Judge erred in law in the award of general damages of UShs 3 million for inconvenience to the plaintiff and that it was inequitable to grant that remedy when the respondent had come to court with unclean hands (*sic*).

(*a*) This Court was prayed as follows: to allow the appeal and set aside the judgment and orders of the High Court.

(*b*) In the alternative and without prejudice, this Court finds that the respondent could not have lost the awarded kilograms of baggage in contractual weight.

(*c*) In the further alternative, that this Court finds that the award of UShs 3 million to the respondent in general damages is inequitable in the circumstances of the case.

(*d*) Costs of the appeal.

At the hearing of this appeal the appellant was represented by Mr *Madrama* whilst Mr *Furah* appeared for the respondent. Mr *Madrama* presented his submissions orally. On the other hand, on application, Mr *Furah* filed written submissions. Although Mr *Madrama* had opted to argue the four grounds separately in that order he apparently did not strictly conform to it because his submissions on ground 1 covered ground 2 too. He intimated to court that on

ground number 2, he decided to adopt his submissions on ground 1. He was justified for there is a lot of overlapping between the two.

Ground 1

Mr *Madrama*'s contention on ground number 1 is that the learned trial Judge erred in law when she relied on the oral evidence of the respondent to vary the terms of the contract of carriage on the question of contractual weight of luggage checked in by the respondent on the appellant's aircraft on 5 February 1999 at Lagos Airport. Mr *Madrama* pointed out that from the air ticket (exhibit P2) and excess baggage ticket (exhibit P3) the respondent checked in and paid for 2 pieces of luggage both weighing 30 kilograms. The air ticket (exhibit P2) entitlement was 20 kilograms and the paid up excess baggage weight was 10 kilograms. It is, hence, not disputed that both tickets, exhibit P2 and exhibit P3, showed the total weight of the baggage checked in by the respondent on boarding the plane at Lagos as 30 kilograms. However, on arrival at Entebbe Airport, the respondent received 55 kilograms which was in excess of the total checked in baggage, namely exhibits P2 and P3. Contrary to documentary evidence, exhibit P2 and P3, the respondent in her evidence-in-chief testified that when her 2 bags were weighed at Lagos, the check point, she had 62 kilograms of baggage. She, however, said she did not know the weight of each bag separately, because they were weighed together. Believing her testimony the learned Judge came to the following conclusion:

> "Both the air ticket (exhibit P2) and the excess baggage ticket show that the plaintiff checked in two 30 kilogram pieces of luggage. Exhibit P3 shows that she paid US dollars 6637-10 for excess weight. She has explained that the manager allowed her to pay 10 kilograms instead of all the excess weight above her 20 kilograms allowance. The luggage weighs 62 kilograms. She is not to blame if they rendered only 60 kilograms.
>
> In the absence of any contrary evidence, I believe the plaintiff's version and find that the luggage was checked at Lagos Airport in the manner described in the plaint and in plaintiff's testimony."

Relying on sections 91 and 92 of the Evidence Act, the Warsaw Convention and *Uganda Revenue Authority v Steven Mabosi* Supreme Court civil appeal number 26 of 1995 Volume II (1996) KALR 1, Mr *Madrama* submitted that the oral testimony the learned Judge believed was inadmissible. It was erroneous for her to admit oral evidence of the respondent to vary the tickets to admit the weight of 62 kilograms.

With regard to ground number 2, counsel criticised the learned trial Judge for holding that the respondent checked in 2 pieces of luggage weighing 30 kilograms each and thereby came to a wrong conclusion.

In reply on ground 1, it was submitted for the respondent that it was far fetched. The area manger of Lagos as a representative in course of his employment would be stopped from denying that he committed the appellant to another contract other than that contained in the tickets which constituted the contract between parties. Counsel vehemently argued that "the excess baggage ticket" is an addendum to the air ticket which impliedly can be read together. As far as he was concerned, the learned trial Judge was justified to rely on the respondent's testimony so far as it was not rebutted or controverted by DW1, Wamala Suleiman, the appellant's representative in Uganda. Surprisingly, he

confessed he did not know what had transpired at Lagos Airport on 5 February 1999. In the alternative and without prejudice, counsel for the respondent submitted that the learned Judge's reliance on the oral testimony of the plaintiff did not and does not have the effect of amending/altering and or varying the contract of carriage. To him it is vital in assisting the court to establish that the air ticket (pursuant) to Article 3(2) of Warsaw Convention as amended by The Hague (1935) was *prima facie* evidence of the conclusion and conditions of the contract of carriage. Counsel, further, argued that the appellant's manager in Lagos, acting in the course of his employment expanded the terms of carriage both by oral agreement and through an excess baggage ticket. For the aforesaid reason, he submitted, that the learned trial Judge could not be faulted for admission and reliance on that evidence especially as counsel for the appellant did not lead any evidence in rebuttal. Counsel prayed the court to dismiss this ground.

On ground 2, counsel for the respondent corrected counsel for the appellant that the learned trial Judge made no finding to the effect that the pieces of luggage checked in by the respondent weighed 30kg each. She, therefore, did not reach an erroneous or wrong decision. He explained that the learned trial Judge found as a fact that:

> "Both the air ticket (exhibit P2) and excess baggage ticket, show that the plaintiff checked in two 30kg pieces of luggage…she explained that the manager allowed her to pay 10 kilograms instead of all the excess weight above her 20 kilograms allowance. The luggage weighed 62 kilograms … the judgment"

In any case in the absence of separate weights of each bag the learned trial Judge could not be faulted for the findings she made. Counsel prayed court to reject this ground too.

For convenience and due to overlapping I proposed to consider the two grounds together. The answer to the issues and arguments advanced by both counsel for the parties will not be hard to find. This is because most of them involve points of law. First and foremost it is not disputed by the parties that the contract of carriage between them is governed by the Warsaw Convention.

Article 1 provides as follows:

> "1 This Convention applies to all international carriage of persons, luggage or goods performed by air crafts for reward. It applies equally…"

Article 3(1) of the convention makes it clear that the Warsaw Convention provides passengers' tickets delivered to a passenger shall contain notice that the Warsaw Convention may be applicable and that the convention limits liability to carriers for death or personal injury and in respect of loss or damage to baggage.

Article 3(2) further provides that "the passenger's ticket shall constitute *prima facie* evidence of the conclusion and conditions of the contract of carriage".

Clearly under Article 1 the Warsaw Convention is applicable to all international flights by a carrier. The respondent in this case was covered. She was bound by the Convention when she decided to travel with the appellant's aircraft. Counsel cannot be right to suggest that the reliance on the respondent's oral evidence by the learned Judge assisted to establish the applicability of the Convention to the contract between the parties. It was not necessary. For example, it is a well known fact that as a passenger travelling in economy class, the respondent's entitlement was 20kg as indicated on the ticket itself. That she

had never been informed so by the appellant is immaterial. All the information regarding the provisions of the Convention is written on the air ticket. In any case ignorance of the law is not a defence.

Other relevant Articles applicable to this appeal include 18, 19, 22 and 24. I, therefore, accept Mr *Madrama*'s submissions that the terms of the contract in this appeal and the liabilities between the parties are governed by the Warsaw Convention. Mr *Furah*'s submissions that the first ground of this case is far fetched is not supported by evidence. On the contrary, I find it pertinent.

With due respect in the circumstances of this case, the learned trial Judge should not have relied on the respondent's evidence to vary the provisions of the convention relating to this matter. The air ticket and excess baggage ticket contained the necessary information regarding the weight of the bags checked in. There was no justification for the respondent's oral evidence to account for the figures of 60 and 62 kilograms which the respondent claimed to be the total weight of her luggage at the check in point at Lagos Airport. The law is very clear on admission of intrinsic evidence. In this regard, I am fortified by the provisions sections 90 and 92 of the Evidence Act and the holding of Karokora JSC in *Uganda Revenue Authority v Steven Mabosi* Civil appeal number 26 of 1995. I agree with the said justice that extrinsic evidence cannot be used to vary, alter the contents of a written document. This holding is in line with the principle laid down in sections 90, 91 and 92 of the Evidence Act (*supra*). Section 91 reads as follows:

> "When the terms of a contract or of a grant or of any other disposition of property have been reduced to the form of a document and in all cases in which any matter is required by law to be reduced to the form of a document, no evidence except as mentioned in section 79, shall be given in proof of the terms of that contract, grant or other disposition of property or of such matter except the document itself, or secondary evidence of its contracts in cases in which secondary evidence under the provisions herein before contained."

I appreciate the point raised by counsel for the respondent in respect of the role played by the area manager at Lagos, who authorised payment of 10 kilograms excess luggage. It is true he was and is a representative and agent of the appellant and he would commit the appellant in appropriate cases. In the instant appeal, however, even if the manager was acting in course of his duty as a representative of the appellant, he could not have committed the appellant because this Court cannot sanction what is illegal. The commitment, in view,of the position of the law on the matter, would be of no effect. Once an illegality is brought to the attention of the court, it overrides all questions of pleadings including admissions made therein.

Similarly the doctrine of estoppel raised by the learned Counsel for the respondent would not apply for the same reasons. I accept the submission of Mr *Madrama* that had the learned trial Judge not admitted the respondent's oral testimony she would have come to a different conclusion. For the aforesaid reasons this ground must succeed and I find it is sufficient to dispose of the appeal.

On ground number 2 a lot of the evaluation above is also applicable to it. Firstly without the admission of the oral evidence by the respondent, there is no way the learned Judge would have reached the decision she did in the case. She believed the respondent that her luggage weighed 60 kilograms. Apparently

she assumed that each piece of luggage weighed 30 kilograms hence the award of special damages of US$ 600 for the lost bag. I am unable to accept the submission of Mr *Furah* that the learned Judge did not make a finding to that effect. Apparently she based her decision on that proposition cited by counsel which in essence was a finding that each piece of luggage weighed 30 kilograms. For the reasons already stated above the omission by counsel for the appellant to adduce evidence in rebuttal was not detrimental to his case. Further, even if it was true each piece weighed 30 kilograms there is the problem of the received bag having excess weight of 25 kilograms. The bag weighed 55 kilograms instead of 30 kilograms. As it was rightly calculated by counsel for the appellant, the respondent in those circumstances would be entitled to US$ 100 only for a balance of 5 kilograms. However, tainted with illegality the respondent would not be able to recover that amount. The court will not condone an illegality and base a decision on it. As the record stands before the court, this ground must also succeed. In result the remaining two grounds cannot stand as these two grounds would dispose of the appeal. This appeal would, hence, be allowed. I would set aside the judgment and orders of the High Court. Bearing in mind the circumstances of this appeal I would order each party to bear its own costs.

Since Mpagi-Bahigeine and Kitumba JJA hold similar views, by a unanimous decision of this Court this appeal is allowed. Each party will bear its own costs.

Mpagi-Bahigeine and Kitumba JJA concurred in the judgment of Mukasa-Kikonyogo DCJ.

For the appellant:
Mr Madrama

For the respondent:
Mr Furah

Gathenya and another v Muheria
[2005] 2 EA 63 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	14 March 2005
Case Number:	343/04
Before:	Deverell AJA
Sourced by:	LawAfrica

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[1] Advocate – Change of advocate at the Court of Appeal – Notice of change of advocates must be filed with the registrar.

Editor's Summary

The applicants had filed an application for extension of time for filing and serving the memorandum and record of appeal. An issue arose as to whether advocates appearing for the intended appellants were properly on record to represent the said intended appellant. The notice of appeal had been signed by the intended appellant's original advocates and no notice of change of advocates had been filed in

court. The intended appellant argued that since a consent order had been signed between his current advocates and the original advocates

in the High Court after judgment had been entered, that was sufficient to enable the said advocates proceed with further proceedings between the parties.

Held –Where a party to an appeal, having been represented by an advocate, decides to change his advocate, he shall, as soon as possible, lodge with the registrar a notice of change.

An advocate who has not complied with the stipulated procedure of coming on record is not entitled to represent the intended appellant in applying for and conducting an application for extension of time for filing the record and memorandum of appeal out of time.

Preliminary objection allowed.

No cases referred to in judgment

Judgment

Deverell AJA: I have considered the submissions put to me by counsel for the intended appellant, applicant and the respondent to the application on the issue of representation.

The issue raised is whether the firm of Wangai Nyuthe and Company is properly on record before this Court to represent the intended appellant.

The counsel for the intended appellant claim to be properly on record by virtue of the alleged fact that they are properly on record in the High Court. In support of that assertion they rely on the consent letter dated 16 December 2004 filed on 24 January 2005 signed by the undisputed original advocates for the defendants Mohamed Muigai Mboya Advocates (hereinafter the original advocates) and signed by Wangai Nyuthe and Company (hereinafter the new advocates).

It is contended that this consent letter became an order of the High Court by some process of minuting in the High Court as to which no evidence has been produced before me.

I do not consider the evidence sufficient to establish that there was an Order of the High Court recognising the change of advocates in the High Court sufficient to comply with Order III, rule 9(*a*) of the Civil Procedure Rules.

However, even if the position had been so established in the High Court I do not consider that the new advocates would without move have come properly as record in this Court.

The notice of appeal was signed by the original advocates as advocates for the intended appellants. They, thus, came on record in this Court.

Rule 23(1) of the rules of the Court of Appeal clearly stipulates that where a party (in this case the intended appellant) having been represented by an advocate (in this case the original advocates by virtue of the notice of appeal) decides to change his advocate he shall, as soon as possible, lodge with the registrar a notice of change. No such notice of change has been lodged.

In these circumstances, I find that the new advocates are in breach of the rules of this Court and are not entitled at the moment to represent the intended appellant in applying for and conducting an application for extension of time for filing the record and memorandum of appeal out of time.

I, therefore, allow the respondents preliminary objection.

For the appellant:
Information not available

For the respondent:
Information not available

Gitau v Arap Bii and another
[2005] 2 EA 65 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	22 July 2005
Case Number:	255/04
Before:	Deverell JA
Sourced by:	LawAfrica

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[1] Appeal – Primary documents – Failure to include primary documents in the record of appeal fatal.

Editor's Summary

By notice of motion dated 7 April 2005, the applicant sought an extension of the thirty (30) days time limit imposed by the *proviso* to rule 80 for applying to strike out a notice of appeal or an appeal. The delay in the matter had been three months. The reasons given for the delay by the applicant's counsel,were that he had been concentrating on attempting to have the appeal as a matter of urgency but when that failed he turned his attention to perusing the record and it was then that he noticed that the record did not include copies of the original plaint, defence and counterclaim, which he believed to be primary documents.; that due to pressure of work, as well as the Christmas vacation, he was unable to ascertain the full legal implications of the missing pleadings until 1 March 2005 when previous authorities of the Court of Appeal were brought to his attention, holding that failure to include primary documents in a record of appeal rendered the appeal incurably defective.

Held – Delay which has the effect of more than doubling the period allowed for filing an application for striking out an appeal, is inordinate.

"Pleadings" are mandatorily required to be included in the record of appeal unless a direction from a judge or a registrar has been made that the pleadings, in question, should be excluded from the record pursuant to rule 85(3).

No cases referred to in judgment

Judgment

Deverell JA: The application before me is by notice of motion dated 7 April 2005 filed on 15 April 2005. The applicant, SM Gitau, was the plaintiff in the superior court (the Honourable Lady Justice MG Mugo) and was represented in this Court by learned Counsel, BN *Ngugi*.

The application seeks an extension of the thirty days (30) time limit imposed by the *proviso* to rule 80 for applying to strike out a notice of appeal or an

appeal. That time limit commences on the date of service of the record of appeal on the respondent, which date was 25 November 2004, That time limit would have expired on 15 January 2005 after taking into account the exclusion of the three weeks Christmas vacation.

The current application was not filed until 15 April 2005 so the delay, to be considered by me, is three months.

The reasons for that delay as set out in the affidavit of BN *Ngugi* and his submissions before me can be summarised as follows:

Immediately after the record of appeal was served on 25 November 2004, he was concentrating on attempting to have the appeal fixed for hearing as a matter of urgency, on a priority basis. When this failed, he turned his attention to perusing the record and it was then that he noticed that the record did not include copies of the original plaint, defence and counterclaim, which he believed to be primary documents despite the inclusion in the record of the copies of the amended versions of those pleadings, which would include the wording of the original versions. Mr *Ngugi* did not specify the date when he noticed this.

He states, however, that due to pressure of work during the Christmas vacation, during which his office was closed, he was unable to ascertain the full legal implications of the missing pleadings until 1 March 2005 when counsel for the second respondent, Kenya Commercial Bank, brought to his attention previous Court of Appeal decisions which held that failure to include primary documents in a record of appeal rendered the appeal incurably defective.

He, on some unspecified date, informed his client of this and was instructed to file an application to strike out the appeal. He then read the law more closely and realised that the application to strike out the appeal should have been filed within 30 days of the service of the record of appeal, which he calculated to expire on 18 January 2005 after allowing for the Christmas vacation.

There followed a further delay until the current application was eventually filed on 15 April 2005, some two and a half months after the expiry of the rule 80 time limit.

I consider these reasons for delay to be unconvincing and lacking in cogency. I regard a delay which has the effect of more than doubling the period of 60 days allowed by the rules as inordinate.

I now turn to the consideration as to whether the application is arguable. It is not disputed that the record of appeal does not contain copies of the original plaint, defence and counterclaim. It is clear from rule 85(1)(*c*) that "the pleadings" are mandatorily required to be included in the record, unless a direction from a judge or a registrar has been made that the pleadings in question should be excluded from the record pursuant to rule 85(3). It has not been suggested, by either party, that any such direction was applied for and made in this case.

However, in the replying affidavit of Mr NO *Sumba*, learned Counsel for the first respondent to the application EJ Arap Bii, put forward the argument set out in paragraphs 6 to 10 his replying affidavit dated 28 April 2005 which I now quote:

> "6. That the application for striking out the memorandum and record of appeal is not tenable because once the amendments were made to the original plaint and

original defence and counterclaims, the same became extinguished by the subsequent amendments which then took precedence over the original pleadings.

7. That the amended plaint which in itself includes the original plaint is annexed and forms part of the record of appeal together with the amended defence and counterclaim which in itself included the original defence and counterclaim, all of which are annexed to and form part of the record of appeal.

8. That the original plaint and the original defence and counterclaim therefore became irrelevant to the proceedings in this matter once the amendments were effected. I wish to invite the Honourable Court to look at the High Court proceedings in High Court civil case number 882 of 2005 to confirm the irrelevance of the said pleadings (original plaint and original defence and counterclaim) since the said proceedings form the basis of this appeal and the relevance of any document emanates from them.

9. That in as far as the said amendments were effected, the primary documents for the relevance of this appeal became the amended plaint and the amended defence and counterclaim.

10. That the amended original documents would have only been primary documents relevant to this Honourable Court if the appeal lying from the superior court would have been about the leave that was granted to allow the said amendments."

I believe, that while these arguments have some merit they would best be put to the judge or registrar in an application under rule 85(3) with a view to having the original pleadings excluded. However the point is not, in my view, unarguable on an application to strike out the record.

I am thus faced with a situation in which the delay to be explained is far from short and the reasons given demonstrate a lack of urgency by the applicant. The application to strike out the appeal, if allowed to proceed, has a reasonable chance of succeeding but the victory may be short-lived since an extension may then be applied for and granted to the respondent to file a fresh appeal. If this happened the litigation would drag on for many more months, or more probably, years.

The balance of prejudice is perhaps tilted slightly in favour of the applicant being granted the extension since it will not hurt the respondent while the stay of execution of the judgment remains in place and it may mean that the substantive appeal will be determined finally earlier.

Having weighed up all these factors I, pursuant to rule 4 of the Court of Appeal Rules, exercise my discretion in favour of the applicant and grant the application now before me.

I hereby order that the time for filing the application by Samuel Mwehia Gitau dated 7 April 2005, seeking to strike out Civil appeal number 255 of 2004, is extended to 15 April 2005 and that the application already filed on that date be deemed to have been filed in time. The costs of this application to be costs in the appeal.

For the appellant
Mr BN Ngugi

For the respondent
Mr NO Sumba

Kafunga v Sambila
[2005] 2 EA 68 (CAT)

Division: Court of Appeal of Tanzania at Mbeya

Date of judgment: 2 June 2004

Case Number:	39/04
Before:	Ramadhani, Nsekela and Msoffe JJA
Sourced by:	LawAfrica

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[1] Civil procedure – Court of Appeal Rules – Effect of failure to include a copy of the decree or order in the record of appeal.

Editor's Summary

The respondent's advocate raised a preliminary objection to the appeal in terms of rule 100 of the Court of Appeal Rules. The essence of his argument was that the record of appeal did not contain a decree, hence the appeal was incompetent.

Held – Rule 89(1)(*h*) and (2)(v) set out a list of documents to be included in the record of appeal and include "the decree or order". Failure to extract the decree in terms of these rules renders the appeal incompetent and results in the striking out of the appeal. (*National Bank of Commerce v Methusela Magongo* [1996] TLR 394; *Lamwai v Attorney-General and another* Civil appeal number 56 of 1997; *Masha v Attorney-General and another* Civil appeal number 43 of 1996 followed).

Appeal struck out

Cases referred in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Lamwai v Ngula another Civil appeal number 43 of 1996 (UR) – **F**

Masha v Shija and another (UR) – **F**

National Bank of Commerce v Magongo [1996] TLR 394 – **F**

Judgment

Nsekela JA: When this appeal came on for hearing, Mr *Mkumbe*, learned advocate for the respondent, raised the following preliminary objection in terms of rule 100 of the Court Rules, namely that:

> "Since the record of appeal does not contain the decree or drawn order of the High Court contrary to rule 89(1)(*h*) and 2(v) of the Tanzania Court of Appeal Rules, the appeal is incompetent and should be struck out with costs."

The essence of Mr *Mkumbe*'s argument is that the record of appeal does not contain a decree and consequently the appeal is incompetent. Mr *Mushokorwa*, learned advocate for the appellant, readily conceded the omission of the decree in the record of appeal. However, he submitted that he should be allowed to file a supplementary record under rule 92(3) or amend the record of appeal under rule 104 of the Court Rules.

The crucial issue, in these preliminary proceedings, is whether or not there is an appeal before us. Mr *Mkumbe* has submitted to the effect that the omission by the appellant to include in the record of appeal a copy of the decree or order as required by rule 89(1)(*h*) and (2)(*v*) of the Court Rules, renders the appeal incompetent (*sic*).

There is considerable merit in this submission. Rule 89(1)(*h*) and (2)(v) sets out a list of documents which are to be included in the record of appeal including "the decree or order". Documents involved in the prosecution of an appeal are alot more than a notice of appeal and memorandum of appeal. It is clear from this provision that a decree or order is required to be part of the record of appeal in an appeal from the High Court either in the exercise of its original or appellate jurisdiction. Failure to extract the decree or order in terms of rule 89(1)(*h*) and (2)(*v*) of the Court Rules renders the appeal incompetent and has resulted in striking out such an appeal.

See *National Bank of Commerce v Magongo* [1996] TLR 394, *Lamwai v Ngula and another* Civil appeal number 43 of 1996 (UR), *Masha v Shija and another* (UR).

In result, we sustain the preliminary objection. The appeal is incompetent for non-extraction of the decree or order in terms of rule 89(1)(*h*) and (2)(*v*) of the Court Rules 1979. It is, accordingly, struck out with costs. Of course, the appellant, if he so wishes, can institute the appeal afresh by making the appropriate application before the High Court.

For the appellant:
Mr Mushokorwa

For the respondent:
Mr Mkumbe

Kampala District Land Board and another v National Housing and Construction Corporation

[2005] 2 EA 69 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	25 August 2005
Case Number:	2/04
Before:	Odoki CJ, Oder, Tsekooko, Karokora and Kanyeihamba JJSC
Sourced by:	LawAfrica

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[1] Constitutional law – Land – Statutory leases – Effect of abolition of statutory leases – Whether the suit land was registered on the coming into force of 1995 Constitution – Articles 237(8), 241 and 285 – Constitution of Uganda.

[2] Fraud – Definition of fraud – Whether registration of second appellant was fraudulent – Sections 1, 29(2), 31(1), 38 and 59 – Land Act of 1998 – Sections 64 and 176 – Registration of Titles Act (Chapter 230).

[3] Land law – Bona fide occupation – Registered owner – Definition of a registered owner – Definition of bona fide occupier – Rights of bona fide occupier – Whether respondent was a bona fide

occupier – Whether suit land was available for leasing.

Editor's Summary

The Kampala City Council was the proprietor of two adjacent parcels of land registered as Leasehold Register Volume 1065 Folio 16 Plot number M239 and Plot number M597 Luthuli Second Close in Bugolobi, a suburb of Kampala City. The two plots were part of a statutory lease, LRV 796 Folio 6, granted to the City by the Uganda Land Commission for a term of 190 years. On 1 May 1969, the Kampala City Council granted the respondent a lease over Plot number M239 for a term of 99 years. The respondent then began to construct flats on the parcel of land. During the construction period, it was allowed to utilise plot number M597 (hereinafter referred to as the suit land) to facilitate construction. It proceeded to construct a latrine for workers on the suit land. It subsequently built a fence, enclosing both the flats and the suit land. Between 1970 and 2000, the respondent remained in possession of the suit land, maintaining it for use as a children's playground as well as a place for drying residents' clothes. It also passed water pipes underneath the plot. The latrine remained on the plot and was used by the respondent's workers as well as by local council residents during meetings.

In July 1999, the respondent learnt that in June of that year, the suit land had been offered on a lease to the second appellant. Despite protests from the respondent and other area respondents, the first appellant granted the lease to the second appellant who received a title to the suit land.

The respondent filed suit in the High Court against the appellants seeking, *inter alia*, a declaration that the suit land belonged to it, and orders that the grant to the second appellant be declared void *ab initio*, that the Registrar of Titles cancel the title issued to the second appellant, that the second appellant be evicted from the parcel, that the first appellant grant the suit land to the respondent as well as payment of punitive and general damages. Both appellants filed written statements of defence denying the respondent's claims. The High Court dismissed the respondent's suit. The respondent then appealed to the Court of Appeal which allowed its appeal and granted the declarations and orders sought in the plaint.

The appellants now appealed to the Supreme Court on the grounds, *inter alia*, that the Court of Appeal had failed to consider their submissions, that it failed to properly re-evaluate the evidence and that it erred in holding that the respondent was in possession of the plot since 1970. They also argued that the Court of Appeal erred in holding that the plot belonged to the respondent, that the respondent was a bona fide occupant of the plot, that the registration of the second appellant was fraudulent, that the doctrine of estoppel was not applicable against the respondent and in awarding the respondent damages and ordering it to lease the suit land to the respondent.

Counsel for the appellants argued, *inter alia*, that the Court of Appeal did not address itself to the question as to whether the respondent occupied the suit land since 1970, and that the respondent was not a bona fide occupant because the suit land was unregistered.

Held – The learned Justices of Appeal had adequately re-evaluated the evidence on record before coming to their conclusion. There was ample evidence to support the finding that the respondent had been in possession of the suit land and had effectively utilised it.

There were no grounds on which to fault the Court of Appeal's conclusion that the suit land formed part of the statutory lease granted to the Kampala City Council in 1970 and thus was its registered property on the coming into force of the 1995 Constitution. The evidence on record established that the suit land was not merely surveyed but was also registered.

The respondent had been in occupation of the suit land for more than 12 years at the time the 1995 Constitution entered into force, without any challenge from the Kampala City Council. It was therefore entitled to enjoy its occupancy in accordance with Article 237(8) of the Constitution and section 31(1) of the Land Act.

It was well settled law that Article 285 of the 1995 Constitution abolished statutory leases to urban authorities. The statutory lease granted to Kampala City Council by the Uganda Land Commission in 1970 was thus extinguished upon the entry into force of the Constitution. However, provisions were made to protect the rights of those tenants in occupation of registered land. District land boards established by the Land Act became successors in title to controlling or urban authorities in respect of public land not granted or alienated to any person pursuant to section 59(8) of the Land Act. In this instance, the suit land had been vested in the Kampala District Land Board which had jurisdiction to allocate it, if not owned by any person or authority. Following the extinguishment of statutory leases, the rights of the respondent as a tenant in possession holding adversely to the Kampala City Council for a long time could not be held to have been automatically extinguished. The respondent could claim the rights and benefits accruing to a bona fide occupant of a registered owner who, in this instance, must be deemed to be the Kampala District Land Board.

The Court of Appeal's holding that the land was not available for leasing without reference to the appellant was consistent with the finding that the respondent was a bona fide occupant of the suit land. A bona fide occupant had security of tenure and his interest could not be alienated except as provided by law.

It was well settled law that a certificate of title was indefeasible except on the ground of fraud. Fraud meant actual fraud or some act of dishonesty; *Kampala Bottlers Ltd v Dominico* applied. The procurement of registration of title in order to defeat an unregistered interest amounted to fraud; *Matovu v Ssevivi*, *Nalima v Musoke* and *UPTC v Intaaya* applied. In this instance, the appellants had insisted on registering the suit land in favour of the second appellant in full awareness of the respondent's unregistered interest and without following the proper procedures for granting leases over unallocated land. The respondent was not given an opportunity to be present during the site inspection nor to submit objections nor to be heard. There was, therefore, ample evidence before the court on which it could reach a conclusion of fraud. The Court of Appeal's finding of fraud against the appellants could, thus, not be faulted.

1. There were no grounds for disturbing the Court of Appeal's finding that the doctrine of estoppel did not apply against the respondent.
2. The prayer in the plaint for damages could not be granted as there was no evidence or other grounds for the grant of damages.
3. The respondent's interest in the land did not entitle it to an automatic grant of a lease over the suit land. The respondent was entitled to apply for a lease and to be given the first option to lease it. The order in paragraph (*g*) should therefore

be modified to provide that the appellant give due consideration to the respondent's application.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Kampala Bottles Ltd v Dominico (U) Ltd [1990-94] EA – **AP**

Katarikawe v Katweremu and others (1977) HCB 187

Marko Matovu and others v Mohammed Ssevivi and another, civil appeal number 7 of 1978 (CA),

Registered Trustees of Kampala Institute v Departed Asian Property Custodian Board civil appeal number 21 of 1993 (SC)

Sijaka Nalima v Rebecca Musoke, civil appeal number 12 of 1985 (SC)

Uganda Posts and Telecommunications v Lutaaya, civil appeal number 36 of 1995 (SC)

United Kingdom

Assets Co v Mere Roihi [1950] AC 176

Waimiha Saw Milling Co Ltd v Laine Timber Co Ltd [1926] AC 101

Judgment

Odoki CJ: This is an appeal from the judgment and orders of the Court of Appeal of Uganda which allowed the respondent's appeal against the appellants.

The facts, as found by the courts below, were that around 1996, the respondent was granted a lease of land registered under Leasehold Register Volume 1065 Folio 16 Plot number M239 at Bugolobi, a suburb of Kampala City. The land was part of a statutory lease of 190 years granted to Kampala City Council by the Uganda Land Commission. Adjacent to this land and also part of the statutory lease was another piece of land known as Plot number 157 Luthuli Second Close, Bugolobi (hereinafter referred to as the suit land)

In 1970 the respondent constructed blocks of flats on its land during which period it was allowed to utilise the suit land to facilitate construction. It constructed on the suit land a latrine for workers and subsequently built a fence around its block of flats which enclosed the suit land. Between 1970 and 2000 the respondent remained in possession of the suit land, and kept it properly maintained for use as children's playground, for drying residents' clothes, and passed water pipes underneath it. The public latrine remained on this land in use by the respondent's workers and Local Council residents during their meetings.

In June 1999, the respondent learnt that the suit land had been offered on a lease to the second appellant. Despite protests from the respondent and other residents of the Local Council of the area, the first appellant granted the lease.

Subsequently, the second appellant received a land title to the land now registered as Leasehold Register Volume 2860, Folio 4, Luthuli Second Close, Bugolobi.

The respondent filed a suit against the two appellants seeking the following orders:

(*a*) A declaration that all the land comprised in Leasehold Volume 2860, Folio 20, Plot 4, Luthuli Second Close, Bugolobi Estate, belongs exclusively to the respondent and not any other party.

(*b*) A declaration that the grant of title over the suit land by the first appellant to the second appellant was void *ab initio* as there was no land available to the respondent for grant to second respondent.

(*c*) A declaration that the second appellant's lease and title to the suit land was null and void.

(*d*) An order directing the Registrar of Titles to cancel the certificate of title to the suit land issued to the second appellant.

(*e*) A permanent injunction to issue against the second defendant restraining it, its agents, servants and any other person deriving title from the second defendant from entering, remaining or otherwise interfering with the suit property.

(*f*) An order for eviction of the second appellant from the suit land.

(*g*) An order directing the first defendant to grant the suit land to the respondent.

(*h*) An award of punitive and general damages, costs and any other relief deemed fit by the court.

In their written statements of defence, the appellants denied the respondent's claims. The first appellant denied that the respondent ever fenced or was in possession of the suit land that the respondent was a bona fide purchaser or lawful or customary tenant on the suit land, and also denied allegations of fraud.

The second appellant pleaded, *inter alia*, that the certificate of title to the suit land was properly granted since the suit land was available for leasing at the time of grant, and there was no subsisting lease. It pleaded further that it was the registered proprietor of the suit land which title was obtained without fraud. It denied that the suit land was fenced by the respondent or that it was in its possession and used by the respondent's agents.

The High Court disallowed the respondent's claim and gave judgment in favour of the appellants. The respondent successfully appealed to the Court of Appeal which granted the declarations and orders which had been sought in the plaint. The appellants were dissatisfied with the decision of the Court of Appeal, hence this appeal.

The appellants preferred eleven grounds of appeal which are stated as follows:

1. The learned Justices of Appeal erred in law when they failed to consider the submission of the appellants.
2. The learned Justices of Appeal erred in law when they failed to properly re-evaluate the evidence and when they made finding of fact without evidence on record to support them.
3. The learned Justices of Appeal erred in law and fact when they held that the respondent was in possession or occupation of the suit land since 1970.
4. The learned Justices of Appeal erred in law and fact when they held that the suit land was registered on the coming into force of the 1995 Constitution.
5. The learned Justices of Appeal erred in law and fact when they held that the existence of a plot number for the suit land means that it was registered.

6. The learned Justices of Appeal erred in law and fact when they held that the suit land belongs to the respondent.
7. The learned Justices of Appeal erred in law and fact when they held that the respondent was a bona fide occupant of the suit land.
8. The learned Justices of Appeal erred in law when they held that the suit land was not available for leasing.
9. The learned Justices of Appeal erred in law and fact when they held that the application and registration of the second appellant was fraudulent.
10. The learned Justices of Appeal erred in law and fact when they held that the doctrine of estoppel was not applicable against the respondent.
11. The learned Justices of Appeal erred in law when they awarded the respondent damages and ordered the first appellant to lease the suit land to the respondent.

The respondent filed a notice of grounds for affirming the decision of the Court of Appeal consisting of the following grounds:

1. The suit land was part of land registered under the Statutory Lease LRV 796, Folio 6 granted to the City Council of Kampala as from 1 May 1970 for a term of 190 years.
2. The respondent was a bona fide occupant of the suit land as Kampala City Council which had a statutory lease over the same, till October 1995 and never changed the respondent's occupancy.
3. The 1995 Constitution, though it abolished statutory leases, did not declare the said leases to have been null and void *ab initio*.

The appeal was argued by Mr *Ojambo* Robert with Mr Paul *Muhimbura* for the second appellant, and Mr Nelson *Nerima* for the first appellant. Mr Geoffrey *Mutawe* and Mrs M *Sakwa* represented the respondent.

Learned counsel for the appellant argued grounds 1, 2 and 3 together, grounds 4, 5 and 7 together, and finally grounds 8, 9 and 10 together. I propose to follow the same order except that I shall deal with grounds 6 and 11 last.

Respondent's possession or occupation of the suit land

The first three grounds of appeal criticised the manner in which the Court of Appeal evaluated the evidence, the failure to consider the appellant's submissions and the holding that the respondent was in possession or occupation of the suit land since 1970.

The main argument of Mr *Ojambo,* learned Counsel for the appellant, on the three grounds was that the learned Justices of the court failed to address themselves to the main issue, which was whether the respondent occupied or possessed the suit land since 1970. This was the first issue framed at the trial. Instead, learned Counsel argued, the learned Justices of Appeal held that there was overwhelming evidence that the suit land was in exclusive possession of the respondent, whereas they were referring to evidence of possession since 1999 when there was a site inspection of the suit land. Learned counsel contended that there was no evidence that the toilet was used after construction by their tenants and workers. He submitted that PW2 was only there in 1988 and not in 1970, and PW8 was not there since 1989.

Referring to admitted facts, he submitted that fact 11 was not admitted and contended that the learned Justices of Appeal failed to look for the evidence that the suit property was derived from the statutory lease. He submitted that Article 285 of the Constitution abolished statutory leases to urban authorities, but this was not considered by the Court of Appeal.

In reply Mr *Mutawe*, learned Counsel for the respondent, submitted that ground one had no merit because the learned Justice of Appeal had considered the appellants submission in their judgment. As regards the evidence of a toilet, counsel submitted that the minutes of the first appellant admit that there was a water-borne toilet in the middle of the plot belonging to the respondent. He referred to evidence of PW5, who testified that the workers continued to use the toilet, and was also used during public functions.

As regards admission of fact number 11 counsel submitted that plots 18/SW/1 and 18/SW/2 were adjacent to each other and that the certificate of the respondent is derived from sheet 18/SW/1.

In his lead judgment, Twinomujuni JA found overwhelming evidence that the respondent was in exclusive possession of the suit land since 1970. He relied on the evidence of PW1, PW2, PW5, PW6, PW8 and PW9. The learned Justices of Appeal held that their evidence showed that between 1970 and 2001 when it was allocated to the second appellant, it was used by the respondent to facilitate construction of Bugolobi flats, to be used as a playground, and open space for the children of tenants, to construct a public toilet for the respondent's cleaners and to serve residents at local council meetings, to lay sewage lines and water pipes of the respondents flats, and to provide tenants space for drying clothes.

There was also evidence that the suit land was fenced off by the respondent, that its mark-stones were all within the fence erected by the respondent in 1970 and that the respondent's occupation was never challenged by anyone till the land was allocated to the second appellant. Minutes of the meeting of the first appellant board held in May 1999 (exhibit P12) confirmed that when the site (suit land) was inspected on 12 May 1999 to assess the situation on the ground, it was "confirmed that plot M597 appears to be part of the National Housing and Construction Estate (block of flats) though a copy of the deed plan did not indicate so. There seemed to be no access to this plot. There was also a water borne toilet in the middle of this plot belonging to the National Housing and Construction Corporation. The plot looked well-maintained".

Further,in a letter dated 22 September 1999, Kampala City Council acknowledged that the respondent had installed water pipes on the land in a letter they wrote to it requesting it "to remove the water pipes you have installed on plot M597 as soon as possible".

The learned Justice of Appeal concluded:

> "Clearly these admissions put the matter of possession of the suit before allocation, firmly in the hands of the appellant (now respondent). The respondents (now appellants) themselves did not call any evidence to challenge this state of affairs."

It is my view that the learned Justices of Appeal were justified in coming to that conclusion. The evidence on records was adequately re-evaluated before coming to the findings to which I have already referred.

There was ample evidence to support the findings that the respondent had been in possession of the suit land for a long time and had effectively utilised it for various purposes including building a public toilet on it, passing underground pipes under it, and using it as a playground. Besides there was undisputed evidence that the plot had been fenced with chain-link and steel angle bars. This is the effect of the testimony of Nkoba Jack Vincent (PW1), a land

surveyor with the respondent, Ham Tumuhairwe (PW2), the housing manager of the respondent and Baryayaga Purunari (PW8), the Supervisor of Employees of the respondent.

PW2 and PW8 confirmed that the public toilet was constructed around 1971 as part of the construction of the whole estate. They also testified that the suit land was fenced though the Bugolobi flats were then occupied by soldiers as barracks (from 1971-1979). These two witnesses were knowledgeable people who had worked with the respondent for between 12 and 29 years. Their evidence was not contradicted or discredited by the appellants, who called no evidence. Grounds 1, 2 and 3 have no merit and should therefore fail.

Whether the land occupied by the respondent was registered land

Grounds 4, 5 and 7 raised the question whether the respondent was a bona fide occupant of registered land. They challenge the findings of the Court of Appeal that:

(*a*) the suit land was registered land on the coming into force of the 1995 Constitution,

(*b*) the existence of a plot number for the suit land meant that it was registered, and

(*c*) the respondent was a bona fide occupant of the suit land.

Mr *Nerim*a for the appellants submitted that the respondent was not a bona fide occupant because the suit land was unregistered. He referred to Article 237(9) of the Constitution which empowered Parliament to make a law regulating the relationship between a bona fide occupant and a registered owner, and submitted that Parliament had defined a bona fide occupant in section 29(2)(*a*) of the Land Act as follows:

> "(2) Bona fide occupant means a person who before the coming into force of the Constitution:
>
> (*a*) had occupied and utilised or developed any land, unchallenged by the registered owner or agent of the registered owner for twelve years or more; or
>
> (*b*) had been settled on the land by the Government or an agent of the Government, which may include a local authority."

Learned counsel pointed out that section 31(1) of the Land Act gives security of tenure to a tenant on registered land, and provides that "a tenant, by occupancy on registered land, shall enjoy security of occupancy on the land".

He contended that section 31(2), (3), (4), (6) and (7), and section 33(1), (2) and (7), section 34(3), (4) and (5), section 36(1), section 37(2)(*a*) and section 38 (2), (3) and (4) all transactions by a bona fide occupant presupposed a registered owner. The respondent's witnesses namely PW1, PW3 and PW4, he argued, conceded that the suit land was unregistered. Learned counsel also contended that the advocate, who carried out the search, testified that the plot had never been registered. The advocate had lodged a caveat on behalf of the respondent to stop the suit land being brought under the Registration of Titles Act. He pointed out that the City Council of Kampala was granted a lease in 1970.

Mr *Nerim*a, further contended that it was a misdirection for the Court of Appeal to hold that the existence of a plot number meant that the land was registered. It was his contention that under section 1(2) of the Land Act, registered owner means "a registered owner in accordance with the Registration of

Titles Act." He argued that registration occurs where a certificate of title is issued, not in this case where the land had only been surveyed.

In the alternative, Mr *Nerim*a submitted that if the suit land was registered in the name of the City Council, the lease was abolished by Article 285 of the Constitution. According to the Land Act, counsel contended, land which is unregistered was transferred to the District Land Board. It was counsel's submission that when the land was allocated in 1999 to the second appellant, there was no registered owner. Therefore, the respondent could not qualify to be a bona fide occupant, he concluded.

For the respondent, Mr *Mutawe* submitted that the City Council had title to the suit land which was registered. He referred to the evidence in exhibit P13, the minutes of the meeting of the first appellant, where the City Council was the registered proprietor of the suit land and it never challenged the respondent's occupancy. Minute KDLB.23/8/2000 read in part:

> "At the request of the Board, the city advocate in her memo dated November 1 1999, advised that section 30(2)(*a*) the Land Act number 16 1998 protected National Housing Corporation as a bona fide occupant. Before the coming into force of the Constitution 1995, Kampala City Council was the registered owner of the land under a statutory lease and there were no records showing that it ever challenged the corporation's occupancy. In this regard, National Housing Corporation was in the category of "bona fide occupant" and all rights accruing to a bona fide occupant accrue to National Housing Corporation."

Learned counsel also referred to the existence of exhibit P10 which is a copy of a certificate of title issued to Kampala City Council in 1970 in respect of the land comprised in Leasehold Register Volume 196, Folio 6 with an accompanying copy of a statutory lease which covered the suit land. It was counsel's submission that these two exhibits contained admissions under section 19 of the Evidence Act which no oral evidence could displace. He argued that although on the coming into force of the Constitution, statutory leases were abolished, there was no law which deprived those having rights in land of their rights.

Counsel contended further that the Land Act 1998 protected the respondent as a bona fide occupant. Before coming into force of the Constitution 1995, Kampala City Council was the registered owner of the land under a statutory lease and there were no records showing that it ever challenged the respondent's occupancy. In this regard, the respondent was in the category of "bona fide occupant" and rights accruing to a bona fide occupant accrue to the respondent.

In dealing with the question whether the respondent was a bona fide occupant of registered land, Twinomujuni JA in his lead judgment observed;

> "In the instant case, the appellants proved that it had utilised the suit land for 25 years unchallenged before coming into force of the 1995 Constitution. The learned trial Judge erred to hold that the appellant was not a bona fide occupant. He seems to have arrived in this conclusion basing on his earlier finding that the suit land was not registered and that therefore, there was no registered owner. With respect, that holding was not correct as I have indicated when considering ground two above. The mere fact that the suit land was known as Plot M597 Luthuli Second Close Bugolobi between 1970 and 2001 suggests that the plot was registered. If this inference is correct then it must have been registered in the names of someone."

The second ground of appeal in the Court of Appeal which the learned Justice of Appeal was referring to was to the effect that the trial judge had erred in

holding that there was no registered owner of the suit land on the day the 1995 Constitution came into force. The learned Justice of Appeal considered the facts, which had been admitted at the trial, which were:

> "9. The second defendant's Title LRV 2860, Folio 20 issued on 25 January 2001 is derived from Sheet number 71/1/18/SW/2.
>
> 10. Kampala Municipal Council was the registered proprietor of land under a Statutory Lease LVR 254 Folio 6.
>
> 11. The sheet number 71/1/18/SW/12 is reflected on the key plan of the land under Statutory Lease 254, Folio 6 above."

The learned Justice of Appeal then concluded:

> "These three admitted facts clearly establish that the suit land was the registered property of Kampala Municipal Council. Under section 56 of the Evidence Act, those facts once admitted needed no further proof and were no longer in issue. I would respectfully disagree with the learned trial Judge's holding that "there is no evidence at all of registration of the land prior to 25 January 2001". I would hold that the suit land formed part of the statutory lease which was granted to Kampala Municipal Council and was therefore registered as its property. I find no evidence on record that could contradict the above holding of fact. The logical inference from this holding is that on the coming into force of the 1995 Constitution, the suit land was registered property of Kampala City Council. This ground of appeal succeeds."

I am unable to fault the conclusions reached by the learned Justice of Appeal, with whom other members of the Court of Appeal agreed.

I have already held that the respondent had been in occupation or possession of the suit land for more than twelve years at the time of coming into force of the 1995 Constitution. The respondent had not only occupied the land but had also utilised it, without any challenge from Kampala City Council. The respondent was entitled to enjoy its occupancy in accordance with Article 237(8) of the Constitution and section 31(1) of the Land Act if the suit land was registered land.

The evidence on record was, in my view, sufficient to establish that the suit land was registered. It was not merely surveyed land as submitted by learned Counsel for the appellants. The suit land was adjacent to the lease granted by Kampala City Council as the urban authority to the respondent and registered on 1 May 1969 for 99 years, on which the various blocks of flats were constructed. The head statutory lease granted Kampala City Council by the Uganda Land Commission on 17 December 1970 was included both the lease granted to the respondent comprised in Leasehold Register Volume 796, Folio 6 and the unallocated suit land adjacent to it, marked as plot M597. The statutory lease comprised of:

> "All that part of public land contained within the present gazetted boundaries of the City of Kampala shown for the purposes of identification only on the plan marked "A" hereto annexed and thereon coloured blue (but save and except the land coloured green on the 24 plans marked "B", "C", "D", "D1", "D2", "E", "F", "G", "H", "I1", "I2", "J", "K", "L", "M", "N", "O", "P", "Q", "R", "S", "T", "W", "X" and "Y" here annexed). *To hold* the same to the Lessee for the term of 190 (one hundred and ninety years and 10 months from the first day of May 1970. . ."

The land granted to Kampala City Council was delineated and divided into plots which were marked. It is clear from the key plan of the land comprised in this folio (except mailo and freehold land and shown in blue) that the suit land was included and marked as plot number M597. this plot also reflected in Sheet

number 71/1/18/SW/2 which is also reflected in the Statutory Lease Volume 525, Folio 6.

In my view, therefore, the suit land formed part of statutory lease granted to Kampala City Council and was registered in the Council's name. Accordingly, the respondent was a bona fide occupant of registered land at the time the 1995 Constitution was made.

Mr *Nerim*a, learned Counsel for the appellant, argued, in the alternative, that the 1995 Constitution abolished statutory leases and therefore the respondent was not a bona fide occupant of registered land.

In reply Mr *Mutawe* for the respondent conceded that on the coming into force of the Constitution, statutory leases were abolished, but contended that this did not mean that all those having rights in the land comprising the statutory lease lost their rights. Indeed in the third ground for affirming the decision of the Court of Appeal, the respondent contends that although the 1995 Constitution abolished statutory leases, it did not declare the said, leases to have been null and void *ab initio*.

I think it is well settled that the Constitution abolished statutory leases. Article 285 of the Constitution provides:

> "Upon the coming into force of this Constitution and subject to the provision of paragraph (*a*) of clause (2) of Article 237 of the Constitution, statutory leases to urban authorities shall cease to exist."

The effect of this provision is that the statutory lease granted to the City Council by the Uganda Land Commission in 1970 was extinguished on the coming into force of the Constitution.

Kampala City Council ceased to be the registered owner of the suit land on the coming into force of the Constitution. That would mean that the respondent ceased to be a bona fide occupant of the City Council, as the registered owner.

The fundamental question to be answered is what happened to the land previously held by the City Council as a controlling authority, and those interests granted or held under the extinguished statutory lease.

It must be recognised that the Constitution made far reaching changes in the system of land holding in Uganda and the manner of control and management of land. By virtue of Article 23(1) of the Constitution,

> "Land in Uganda belongs to the citizens of Uganda and shall vest in them in accordance with the land tenure systems provided for in this Constitution."

The land tenure systems provided are customary, freehold, mailo and leasehold. Provisions were made in the Constitution to protect the rights of these tenants in occupation of registered land institutions for holding and allocation of land, and for effective resolution of land disputes, were established. Subsequently, the Land Act was made to give effect to the provisions of the Constitution. Among the institutions established were the Uganda Land Commission, the District Land Boards and the Land Tribunals.

The main function of the Land Commission was to hold and manage any land vested in or acquired by the Government of Uganda. The functions of a District Land Board included holding and allocation of land in a district which

is not owned by any person, and to facilitate the registration and transfer of interests in land.

It seems to me, therefore, that the District Land Boards became successors in title to controlling authorities or urban authorities in respect of public land which had not been granted or alienated to any person or authority. The District Land Boards became successors by operation of law because land was vested in them by law, not by grant, transfer or registration, under section 59(8) of Land Act.

In the instant case, it is common knowledge that the suit land was vested in the Kampala District Land Board which had jurisdiction to allocate it, if it was not owned by any person or authority. It was argued for the respondent that it was an owner by virtue of being a bona fide occupant of the suit land for over twelve years. Under the Constitution and the Land Act (Chapter 227), the respondent would ordinarily have enjoyed the protection granted to such tenants, had the statutory leases not been abolished but the respondent contends that the abolition of the statutory lease under which it held the suit land did not mean that its interest in land was thereby abolished or extinguished.

The implications of the abolition of statutory leases have not been determined and in my view this remains a grey area. I am unable to hold that the rights of the respondent, as a tenant in possession held adversely to the City Council for a long time, were automatically extinguished on the abolition of the statutory lease. In my opinion, the respondent could claim the rights and benefits accruing to a bona fide occupant of a registered owner, who must be deemed to be the Kampala District Land Board under section 59(8) of the Land Act which provides:

> "The board shall hold in trust for the citizens the reversion on any lease to which subsection (1)(*c*) relates and may exercise in relation to the lease and the reversion the powers of the controlling authority under the Public Lands Act of 1969, as if that Act had not been repealed, but subject to the foregoing, that Act shall in respect of any such lease or reversion, have effect with such modifications as may be necessary to give effect to this Act and subject to the provisions of the Constitution."

Accordingly, I hold that grounds 4, 5 and 7 have no merit and should fail. I would hold that the three grounds affirming the decision of the Court of Appeal should succeed.

Whether the grant of the lease was fraudulent

In grounds 8, 9 and 10, the appellants complain that the Court of Appeal erred in law in holding that the suit land was not available for leasing, that the application and registration of the second appellant was fraudulent and that the doctrine of estoppel was not applicable against the respondent.

Arguing these grounds on behalf of the appellants, Mr *Muhimbura* submitted on ground 8 that since the land in dispute was not registered nor owned by the respondent in accordance with the law, the suit land was available for leasing by the first appellant in accordance with Article 241(1)(*a*) of the Constitution and section 59(1)(*a*) of the Land Act. Counsel contended that even if the respondent had been a bona fide occupant it would not preclude the first appellant from allocating land to the second appellant, but in this case since the respondent was not a bona fide occupant it could not enjoy security of tenure.

The Court of Appeal held that the respondent was a bona fide occupant of the suit land and therefore the land was not available for leasing without reference

to the appellant. I agree with that holding. That holding is consistent with the finding that the respondent was a bona fide occupant of the suit land.

A bona fide occupant was given security of tenure and his interest could not be alienated except as provided by the law. For instance, the bona fide occupant could apply for a certificate of occupancy under section 33(1) of the Land Act. A bona fide occupant could apply for a lease under section 38 of the Land Act. While the land occupied by a bona fide occupant could be leased to somebody else, I think that the first option would have to be given to the bona fide occupant. As this was not done, in the present case, the suit land was not available for leasing to the second appellant. Ground 8 should, therefore, fail.

With regard to the holding that the second appellant acquired the suit land by fraud, Mr *Muhimbura* submitted that Twinomujuni JA in his lead judgment based his finding of fraud on three grounds. The first ground is that both appellants knew that the suit land was in the possession of the respondent at the time it was registered in the name of the second appellant. Counsel argued that there was no evidence in the High Court that the two appellants knew that the respondent was in possession of the suit land. The second ground was that the respondent protested to the first appellant but the protests were ignored. Mr *Muhimbura* submitted that the protests came in 2001, after the allocation of the suit land to the first appellant in 1999.

The third ground, on which fraud was based, was that no proper procedure was followed in granting and transferring the land to the respondent. Learned counsel argued that the suit land was allocated in 1999 but the Land Regulations were made in 2001, and were therefore inapplicable.

Mr *Mutawe* for the respondent submitted that the lease to the second appellant was irregularly accepted. He pointed out that the second appellant was required to accept the offer within one month from the date of offer which was 2 June 1999. The offer should, therefore, have been accepted by 3 July 1999. However, by the time counsel for the respondent wrote the letter of protest to the first appellant on 19 July 1999, the second respondent had not accepted the offer as stipulated in the lease offer.

Mr *Mutawe* further submitted that there was plenty of evidence to establish fraud. The first piece of evidence he referred to was exhibit P1 which was a letter dated 29 July 1999 from the second appellant to the first appellant where the former claimed that the suit land was part of the late Muzee Semakula's Kibanja which forms part of the respondents title, and that there was a house at the time the land was surveyed and that is why it was not included in the title of the respondent. In that letter, the first appellant claimed that the respondent was trying to steal Muzee's land. The first appellant said they were willing, as a family, to negotiate with respondent if the latter wanted to expand their development.

The second piece of evidence of fraud according to learned Counsel, was exhibit P2, a letter from the managing director of the first appellant-Silver Byaruhanga, dated 8 August 1999 addressed to the second appellant which when considered together with exhibit 12 which contains minutes of the meeting of the first appellant clearly showed that there was no access road to the suit land. The minutes stated that, "There also seemed to be no access to this plot." Mr *Mutawe* submitted that the second appellant confessed to having

bribed the workers of the first appellant in order to grant him a road. This was contained in exhibit P2, where the second appellant stated:

> "When they were surveying, I approached the people on site. We talked to each other and I asked them a tricky question, "Does your plan also provide new roads?" And they said, "Where necessary." I also asked them to get me a plan for that land and they told me that they can do it if I have interest. After the job, I indeed gave them a tip of UShs 1.5 million. To me I was buying the road and I got my deal and I am left with a balance of UShs 500 000 to be paid later."

The third piece of evidence is exhibit P3 which is a letter dated 5 October 2000 from the second appellant to the first appellant applying for change of status and revision of premium and ground rent on the suit land. The second appellant requested the first appellant to "revisit our case and approve our application as *kibanja* for Chemical Distributors, thus giving us fresh terms."

Mr *Mutawe* pointed out that the change of status was explained in minute KDLB 52/58/99, where it was stated that the second appellant had provided evidence in support of their customary ownership/bona fide purchaser which included the original *kibanja* owner dated 23 July 1971 and two sale agreements dated 24 April 1984 and 1 February 1991, thus satisfying the first appellant that the second appellant had acquired the land from the original *kibanja* owners. The first appellant, therefore, confirmed the earlier allocation under minute KDLB 53/53.8/99 of 22 May 1999 and rejected the application of the respondent on the ground that when it visited the suit land, on 18 August 1999, they found the existing facility which was a toilet, not in use and neglected. Mr *Mutawe* submitted that this showed that the advice of the city advocate was correct and that is why the second appellant was asked to be granted the suit land as a customary tenant, and it was duly granted as a *kibanja*.

The fourth evidence of fraud, according to learned Counsel, is that under exhibit P12 it was claimed in first appellant's minutes that the toilet was water borne whereas according to a letter dated 29 June 1999, the toilet was not in use, and the plot was underutilised. This could not be true given the fact that people were staying there.

It was submitted by counsel that the fifth piece of evidence admitted facts number 34 and number 37 which indicated that the first appellant organised site inspection and went to the suit land without informing the respondent. Furthermore, the respondent's protestations were ignored, and yet both appellants knew of the respondent's interest. He submitted that the appellants were consciously defeating the unregistered interest of the respondent, and yet the respondent was entitled to a hearing before the application of the first appellant was granted.

In his lead judgment, Twinomujuni JA, took into account the fact that the appellants knew that the suit land was in possession of the respondent and despite protests from the respondent, and residents of the estate of the respondent, the protests were ignored as the respondent was not given any hearing before its interest was transferred to the second appellant. The learned Justice of Appeal also held that if a person procures registration to defeat an existing unregistered interest on the part of another person of which he is proved to have knowledge, then such a person is guilty of fraud on the authority of *John Katarikawe v William Katweremu and others* (1977) HCB 187. He also held that a deliberate failure to follow prescribed procedure or to deceive that the land is

available for leasing or to deny the respondent a fair hearing, amounted to fraud. The learned Justice of Appeal held that the fraud alleged in this case was also attributable to the transferee, the second appellant. The learned Justice of Appeal concluded:

> "By insisting on registration of the suit land in favour of the second respondent in total disregard of the appellants unregistered interest which they were very much aware of and by failing to follow the right procedure prescribed by law for transfer of such unregistered interest the respondents (now appellants) were guilty of fraud which defeats the act of registration."

With respect, I am unable to fault the conclusion reached by the learned Justice of Appeal with whom the other members of the Court of Appeal agreed. As both the learned Counsel for the respondent and the learned Justice of Appeal pointed out there was ample evidence of fraud. From the evidence it is clear that the second appellant went out of its way to defeat the interest of the respondent with the support of the first appellant. The status of the suit land seems to have been changing to suit the interests of the appellants, contrary to the legal advice of the city advocate. The proper procedures, for granting leases over unallocated land, were flouted in favour of the second appellant.

On the other hand, the respondent was not given opportunity to be present during the site inspection or to submit objections or to be heard before a lease was granted. The respondent only took initiative to protest the allocation of the suit land to the second appellant, and its protest, and that of the residents of the area, were summarily rejected. In my view, the respondent should have been informed of the intention to grant the lease of the land in its possession, and given the first option to apply for it, if the first appellant wanted the suit land to be fully developed.

It is well settled that a certificate of title is indefeasible except on the ground of fraud. Section 64(1) of the Registration of Titles Act (Chapter 230) provides:

> "Notwithstanding the existence in any other person of any estate or interest, whether derived by grant or otherwise which but for this Act, might be held to be paramount or to have priority, the proprietor of land or of any estate or interest in land subject to such encumbrances as are notified on the folium of the register book constituted by the certificate of title; but absolutely free from all other encumbrances whatsoever, except the estate or interest of a proprietor claiming the same land under a prior registered certificate of title, and except as regards any portion of land that by wrong description of parcels or boundaries is included in the certificate of title or instrument evidencing the title of such proprietor not being a purchaser for valuable consideration or derived from or through such a purchaser."

Therefore under section 176 of the Registration of Titles Act, a registered proprietor is protected against ejectment except in certain cases, including fraud.

The indefeasibility of title on ground of fraud has been considered in a number of decisions in our Courts. In *Kampala Bottles Ltd v Daminico* (*U*) *Ltd* [1990-94] EA, this Court approved the definition of fraud by the trial judge as follows:

> "It is well established that fraud means actual fraud or some act of dishonesty. In *Waimiha Saw Milling Co. Ltd v Laine Timber Co Ltd* [1926] AC 101 at 106, Lord Buchmaster said, 'Now fraud implies some act of dishonesty.' Lord Lindley in *Assets Co. v Mere Roihi* (1950) AC 176 states, 'Fraud in these actions (ie actions seeking want to effect (*sic*) a registered titles) means actual fraud, dishonesty of some sort or

> what is called constructive fraud, an unfortunate expression, and one very apt to mislead, but often used for want of a better term, to denote transactions in equity similar to those which flow from fraud."

It is now well settled that to procure registration of title in order to defeat an unregistered interest amounts to fraud. In *Marko Matovu and others v Mohammed Ssevivi and another*, civil appeal number 7 of 1978 (CA), *Sijaka Nalima v Rebecca Musoke*, civil appeal number 12 of 1985 (SC) and *Uganda Posts and Telecommunications v Lutaaya*, civil appeal number 36 of 1995 (SC) this Court approved the holding of the High Court in *Katarikawe v Katwireme* (*supra*) where it was stated:

> "Although mere knowledge of unregistered interest cannot be imputed as fraud under the Act, it is my view that where such knowledge is accompanied by a wrongful intention to defeat such existing interest that would amount to fraud. In the absence of a statutory definition of fraud, I would adopt the definition in a similar Kenyan statute which defines fraud as fraud shall on the part of a person obtaining registration include a proved knowledge of the existence of an unregistered interest on the part of some other person, whose interest he knowingly and wrongfully defeats by such registration (*sic*). I take this view because I doubt whether the framers of the Act ever intended to encourage dishonest dealings in land as manifest in this case."

In the instant case, there was ample evidence of fraud attributable to both appellants that the grant and registration of the suit land in the name of the second appellant was intended to defeat the unregistered interest of the respondent, and the Court of Appeal was justified in coming to that conclusion. Accordingly ground 9 has no merit and should fail.

In ground 10, the complaint is that the learned Justices of the Court of Appeal erred in law and fact when they held that the doctrine of estoppel was applicable. Mr *Muhimbura* for the appellants adopted his submissions in the Court of Appeal. He contended that by claiming in the plaint that it was a customary tenant and later abandoning this claim, the respondent was not sure of its interest in the suit land. It was his submission that if the respondent knew that it had an interest capable of being protected by law, it would not have applied to the first appellant for a lease over the suit land. Counsel also contended that the respondent lodged a caveat and left it to lapse, and never took steps to stop the registration of the suit land.

In reply Mr *Mutawe* submitted that estoppel did not arise in this case since the case for the respondent was that it had occupied the suit land for 29 years and its lodging the caveat confirmed its claim to the suit land for which they actually applied to be granted a lease.

In his judgment, Twinomujuni JA, held that in light of his finding that the registration of the second appellant was tainted with fraud, the doctrine of estoppel did not arise. I am unable to see how the doctrine of estoppel applied against the respondent. The fact that the respondent applied for a lease on the suit land on 20 July 1999 did not mean that they had no prior interest in the land.

The application by the respondent was made after the offer of a lease to the second appellant by the first appellant which summarily rejected it as an appeal under minute KDLB 23/8/2000 in November 2000. There was nothing in the application to estop the respondent from applying for the suit land. It did not claim to be a customary tenant. Neither did the lapse of the caveat indicate that

the respondent ceased to have a claim in the suit land. I am unable to hold that the Court of Appeal erred in holding that the doctrine of estoppel did not apply against the respondent ground 10 should therefore fail.

Relief Granted

The appellants complain in ground 6 that the Court of Appeal erred in law and fact when they held that the land belongs to the respondent. In ground 11, the complaint is that the Court of Appeal erred in law when they awarded the respondent damages and ordered the first appellant to lease the suit land to the respondent.

Mr *Nerim*a, for the appellants, submitted that a bona fide occupancy is not ownership therefore the suit land cannot belong to the respondent. He argued that ordering the first appellant to lease the suit land to the respondent was an error in law and fact. It would have been a proper relief if the action was for specific performance. All the court could do was to order the first appellant to deal with the application of the respondent. The court could not fetter the discretion of the first appellant. Counsel cited the case of *Registered Trustees of Kampala Institute v Departed Asian Property Custodian Board* civil appeal number 21 of 1993 (SC) in support of his submissions.

In concluding his judgment, Twinomujuni JA made the following order:

> "In result, I would allow this appeal, set aside the judgment of the High Court dated 3 December 2001 and enter judgment in favour of the appellant in terms as prayed in the plaint."

In the plaint the respondent prayed for a long list of relief,which consisted of the orders specified at the beginning of this judgment. The order complained of was listed under paragraph (*g*), which was an order directing the first appellant to grant the suit land to the respondent. There was no complaint with the rest of the orders granted by the Court of Appeal, which should stand. There was a complaint in ground 11 that the Court of Appeal erred in awarding the respondent damages. However, the Court of Appeal did not make a specific order in respect of general or punitive damages. The Court of Appeal did not assess any such damages. It is not clear what was the basis or the justification for the claim for such damages. I find no evidence or grounds to justify the award of such damages. I agree with counsel for the respondent that no such damages were awarded by the Court of Appeal, and none were awardable, therefore, the prayer in paragraph (*h*) in the plaint cannot be granted.

I have already held that the respondent was a bona fide occupant of the suit land. The respondent may not have been a registered owner but the respondent had a recognised or even registrable interest in the suit land belonging to the respondent as tenant possession.

However, the interest possessed by the respondent did not entitle it to automatic grant of a lease over the suit land. In my view, the respondent was entitled to apply for a lease over the suit land and to be given the first option to lease the land. I agree that the first appellant had discretion in granting leases but the discretion had to be exercised fairly and justly in accordance with the law.

I would therefore modify the order granted in paragraph (*g*) in the plaint to read as follows:

> "(*g*) An order directing the first appellant to give due consideration to the respondent's application for a lease over the suit land including giving it priority in granting the lease."

I find no merit in grounds 6 and 11 which should substantially fail.

In result, this appeal should be dismissed with costs in this Court and the courts below.

As the other members of the court also agree, this appeal is dismissed with costs in this Court and courts below.

Oder, Tsekooko, Karokora and Kanyeihamba concurred in the judgment of Odoki CJ.

For the first appellant:
Mr Nelson Nerim

For the second appellant:
Mr Ojambo Robert and *Mr Paul Muhimbura*

For the respondent:
Mr Geoffrey Mutawe and *Mrs M Sakwa*

Kanyabwera v Tumwebaze
[2005] 2 EA 86 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	21 February 2005
Case Number:	6/04
Before:	Oder, Karokora, and Kanyeihamba JJSC
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[1] Appellate procedure – Duty of a first appellate court – Re-evaluation and scrutiny of the evidence on record – Whether the Court of Appeal had discharged its duty.

[2] Civil procedure – Ex parte *hearing – Procedure to be followed where party applying for* ex parte *hearing not ready to proceed – Whether the trial court erred in permitting suit to proceed* ex parte *– Order 9, rule 17*(*1*)(a) *– Civil Procedure Rules.*

[3] Civil procedure – Review – Application for review – Error on the face of the record – Principles to be applied in determining existence of error on the face of the record – Absence of affidavit of service – Whether absence of affidavit amounted to an error on the face of the record.

Editor's Summary

The respondent sued the appellant for damages in negligence arising from a traffic accident. The appellant filed a written statement of defence in which he pleaded contributory negligence on the part of the respondent's driver. After several adjournments, the trial judge adjourned the hearing on 23

March 1998 and directed the respondent to serve the appellant and to go with the police so that in the event that the appellant refused service, the police could swear an affidavit to that effect. Subsequently, when the case came up for hearing, the

trial judge recorded that he was satisfied with service and that since neither the appellant nor his advocates had shown up, the case would proceed *ex parte*. The case was then heard on various dates after which judgment was delivered, in the respondent's favour, on 27 October 2001.

Some time later, the appellant filed an application in the High Court seeking an order setting aside the *ex parte* judgment. The High Court dismissed it on the ground that the trial judge had been satisfied with service. The appellant then applied to the High Court for a review of its order on the ground that there was an error on the face of the record. This time, the High Court granted the application and set aside the *ex parte* judgment. The respondent then successfully appealed to the Court of Appeal to have the order of review set aside and the *ex parte* judgment restored.

The appellant now appealed to the Supreme Court on the grounds that the Court of Appeal erred when it held that there had been service and that the alleged service was proper. Counsel for the appellant argued, *inter alia*, that it was not sufficient for the trial judge to accept counsel's submission that the appellant had been served and that the Court of Appeal should have subjected all the evidence to a fresh and exhaustive re-evaluation. In reply, counsel for the respondent argued that the Court of Appeal had properly performed its duty and had reached the correct conclusion in holding that the defendant's counsel was properly served.

Held – *Per Tsekooko, Mulenga and Kanyeihamba JJSC* concurring. The ruling made by the trial judge on 10 November 1998 had to be read in the context of the record as a whole. Though the ruling was brief, the only reasonable conclusion to be drawn from it was that there was evidence of satisfactory service on counsel for the appellant. Although the judge omitted to record that he had, in fact, sighted both the hearing notice and the affidavit of service, he should be presumed to have seen the documents. The Court of Appeal, therefore, correctly held that there had been effective service of the hearing notice on the appellant's counsel.

It was clear from the record that on the day the trial judge permitted the trial to proceed *ex parte*, the respondent and his counsel were not ready to prosecute the case. In the event, the case was heard on at least two other later dates following adjournments sought by the respondent. Order 9, rule 17(1)(*a*) which permitted a trial to proceed *ex parte* was not intended to allow a party to have indefinite *ex parte* hearing without making the other party aware (*sic*). The trial judge erred in permitting the case to proceed *ex parte* when the respondent was not ready to proceed fully and this amounted to an unfair hearing, sufficient to set aside the *ex parte* judgment.

Per Oder and Karokora JSC concurring. In order for an error to be a ground for review, it had to be one apparent on the face of the record that did not require any extraneous matter to show its correctness. It had to be so manifest that no court would permit it to remain on the record. In this instance, the absence of an affidavit of service from the record was an error justifying a review of the trial judge's refusal to set aside the *ex parte* judgment. If the Court of Appeal had properly re-evaluated the evidence, it would have concluded that neither the appellant nor his counsel was served with the hearing notice of the suit. The court record did not show that the trial judge had a sight of the returned documents and the affidavit of service. The absence of the affidavit of

service led to the inevitable conclusion that the hearing notice had not been served.

Appeal allowed. Case to be heard *de novo* by the High Court.

Cases referred to in judgment:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Banco Arabe Espanol v Bank of Uganda [1999] 2 EA

Bogere and another v Uganda criminal appeal number 1 of 1997 (SCU) (UR)

D Mbonigaba v Nkinzehiki civil suit number 687 of 1971

Kifamunte Henry v Uganda criminal appeal number 10 of 1997 (SCU) (UR)

Osuna Otwani v Bukenya Ssalongo civil number 62 of 1974 (1976) HCB

Selle v Associated Motor Boat and another [1968] EA 123

United Kingdom

Pandya v Thomas [1947] AC 484 (HL)

Judgment

Oder JSC: The appellant, Edison Kanyabwera, sued the respondent, Pastori Tumwebaze, in the High Court for damages in negligence arising from a road traffic accident in which the respective motor vehicles of the two parties were involved and damaged. For ease of reference, I shall hereinafter refer to the appellant as "the plaintiff" and respondent as the "defendant". The plaintiff claimed that the accident was caused by the negligence of the defendant's driver, for which the defendant was vicariously liable. The defendant filed a written statement of defence to the suit, in which he pleaded contributory negligence on the part of the plaintiff's driver, for which he claimed the plaintiff was vicariously liable. The hearing of the suit was adjourned on several occasions, because the defendant was not served with the hearing notice. On 23 March 1998 the trial judge, Lugayizi J adjourned the hearing of the suit to another date, because according to him, the affidavit of service is unsatisfactory. He directed that:

> "Let the plaintiff's side serve the defendant again. They should go with LC 's or police and in case the defendant refuses service the LC or police should swear an affidavit to that effect as well."

Subsequently on 10 November 1998 the record of the trial court reads: "Mr *Akampulira* for plaintiff, plaintiff is present – Ms Nabatanzi, court clerk.

Mr *Akampulira*: Mr *Kabyesiza* for defendant absent and defendant is not present either. They were served and I have an affidavit of service and a copy of the summons they endorsed. Can we proceed *ex parte* under Order 9, rule 17 of the Civil Procedure Rules?

Court

I am satisfied that the defendant's advocates were served with today's hearing notice. Since they have not turned up or given any explanation of their absence or that of their client I assume that both of them are no longer interested in being present during the hearing of this case. This case will therefore proceed *ex parte*."

The learned trial Judge proceeded to hear the plaintiff's evidence, after which, on 27 October 2001, he passed judgment for the plaintiff for:

1. UShs 12 million as replacement value for the pick up.
2. UShs 2 million general damages.
3. Interest at rate of 6 percent per annum for number 1 from the date of filing suit until payment in full and for number 2 from the date of judgment until payment in full.
4. Costs of the suit.

Subsequently, the defendant filed an application in the High Court Order 9, rule 24 of the Civil Procedure Rules (Civil Procedure Rules) for an order setting aside the *ex parte* judgment. The main ground of the application was that the defendant was not served with the hearing notice for the suit. Okumu-Wengi, J heard the application and dismissed it on the ground that the trial judge, Lugayizi, J was satisfied that the defendant's advocates had been duly served with the hearing notice and rightly heard and passed the judgment *ex parte*.

Thereafter, the defendant applied to the High Court for a review of its order which refused to set aside the *ex parte* judgment. The application was made under section 35 of Judicature Act; section 83 of the Civil Procedure Act; and Order 42, rules 1 and 8 of the Civil Procedure Rules, on the grounds that:

1. There was an error apparent on the face of the record
2. The applicant was aggrieved by the decision of the judge dismissing the application for setting aside the *ex parte* judgment
3. The applicant had a good defence to the suit
4. The order was appealable but no appeal had been preferred against the order arising from the decree and judgment. If the judgment arising from the *ex parte* proceedings was not set aside, a miscarriage of justice would be occasioned to the applicant.

Okumu-Wengi, J heard and granted the application for a review setting aside the *ex parte* judgment. The plaintiff successfully appealed to the Court of Appeal. Hence the present appeal which is made on the following grounds:

1. The learned Justices of Appeal erred in law and fact when they held that there was service on the defendant.
2. The learned Justices of Appeal failed in their duty of re-evaluating and subjecting the evidence on record to an exhaustive scrutiny, before reaching their conclusion that the defendant's counsel was served with court process.
3. The learned Justices of Appeal erred in law and fact when they held that the alleged error on the face of the record was non-compliance with the learned Judge's order for a specific order of service.
4. Having found that the order for specific mode of service was made to ensure that the defendant was served, erred in law and fact to hold that the alleged service on counsel for the defendant was proper.

Both parties to the appeal filed written submissions in support or opposition to the appeal, as the case may be. Messrs Ntambirweki Kantebbe and Kwarisiima,

Advocates, submitted for the plaintiff and Messrs Babigumira and Company Advocates, submitted in reply in opposition to the appeal. The plaintiff's learned Counsel argued ground one and two of the appeal together. They submitted that it was not sufficient for the trial judge to accept counsel's submission from the bar that the defendant had been served with the hearing notice for the suit. The facts on which the learned trial Judge based his ruling to proceed *ex parte* should have been written down to appear on the record of proceedings to prove that the defendant's lawyers had, in fact, been served with the court process. For instance, the affidavit of service should have been recorded as having been filed on the record, either before or at the time the suit was heard *ex parte*. Only the original, or copy of such an affidavit, would have provided proof that the defendant or his counsel had been duly served with a hearing notice. For this submission, learned Counsel relied on the provisions of Order 5, rule 17 of the Civil Procedure Rules and on the cases of *D Mbonigaba v Nkinzehiki* Civil suit number 687 of 1971; and *Osuna Otwani v Bukenya Ssalongo* Civil number 62 of 1974 (1976) HCB.

Learned counsel further submitted that particulars of the receipt (if any) for fees paid to file the affidavit of service or a copy thereof, should have been entered on the court file cover. No such receipt was exhibited; nor was there evidence of any entry showing payment of fees for filing an affidavit of the service. The learned Counsel further submitted that according to the notice of change of advocates on record Messrs *Kabyesiza* and Company Advocates became the defendant's lawyers in March 1999, long after the hearing of the suit had begun. The hearing of the suit began on 10 November 1998, and it was completed on 16 August 2001. What was the purpose of serving Mr Bakiza, of that firm of advocates, with hearing notice on 5 May 2001 as was stated by Ronald Sebagala in his affidavit of 8 May 2001? The appellant's learned Counsel further submitted that the Court of Appeal should have subjected all the evidence concerning the alleged service of court process on the defendant to that fresh and exhaustive re-evaluation that the defendant expected of it. Had it done so, it would have reached the conclusion that the defendant had not been properly served and it would have overturned the High Court's order reviewing its earlier decision. The Court of Appeal having failed in its duty to do so as the first appellate court, the learned Counsel urged us to re-evaluate the evidence and reach our own conclusion. Learned counsel relied on *Kifamunte Henry v Uganda*, criminal appeal number 10 of 1997 (SCU) (UR); *Selle v Associated Motor Boat and another* [1968] EA 123, *Bogere and another v Uganda*, Criminal appeal number 1 of 1997 (SCU) (UR); *Pandya v Thomas* [1947] AC 484 (H L).

In their submissions opposing the appeal, the defendant's learned Counsel contended that the grounds of appeal are intertwined, as they all revolved on the issue of whether or not the service of hearing notice on the counsel for the defendant was effective. The learned Counsel therefore argued all the grounds of appeal together. They commenced by adopting their submissions in the lower court and referred to the duty of that court, as the first appellate court, to scrutinise and re-evaluate the evidence and draw its own conclusions of fact or law, and to what this Court said in the case of *Banco Arabe Espanol v Bank of Uganda* [1999] 2 EA.

Learned counsel contended that in the instant case the Court of Appeal properly performed its duty as the first appellate court in accordance with the

principles stated by this Court in *Banco Arabe Espanol* (*ibid*). After scrutinizing the evidence, the Court of Appeal found that *Kabyesiza* and Company Advocates, who had instructions to represent the defendant in the case was served with the hearing notice as his duly appointed agent. Service on them, on behalf of the defendant, was proper and effective. The defendant's learned Counsel further contended, that the Court of Appeal rightly found that the error on the face of the record was not that the defendant's counsel had been served in the absence of the LC or the police. The Court of Appeal, rightly, held that the trial judge had not intended to set a specific mode of service on the defendant by ordering that he should be served in the presence of the LC or the police. The sum total of the findings of the Court of Appeal, in this regard, was that by making such an order, the learned trial Judge intended to insure effective service of the hearing notice. The order did not exclude other modes of effecting service.

Regarding change of advocates, the defendant's learned Counsel submitted that in the defendant's own affidavit supporting the application to set aside the *ex parte* judgment he deponed that in May 1998, he changed his instructions to Odere, *Kabyesiza* and Company Advocates to continue with his defence. Learned counsel contended that in the circumstances, Okumu-Wengi J rightly held that the defendant had been properly served when the learned Judge was rejecting the defendant's application for setting aside the *ex parte* judgment.

In my opinion, the main issue in this appeal is whether the High Court's decision to review its earlier decision, dismissing the defendant's application to set aside the *ex parte* judgment, should be left to stand. The application was made under section 35 of the Judicature Act, section 83 of the Civil Procedure Act and rules 1 and 8 of Order 42 of the Civil Procedure Rules. Section 35 of the Judicature Act appears to be irrelevant. Section 83 of the Civil Procedure Act provides for the right of any person aggrieved by a decree or order from which an appeal is allowed under the Act but from which no appeal has been preferred to apply for a review of the judgment to the court which passed the decree or order. Order 42 of the Civil Procedure Rules provides the details for exercising the court's jurisdiction of review.

> "Order 42
>
> (i) Any person considering himself aggrieved:
>
> (*a*) By a decree or order from which an appeal is allowed, but from which no appeal has been preferred; or
>
> (*b*) By a decree or order from which no appeal is hereby allowed, and who from the discovery of new and important matter of evidence which, after the exercise of due diligence, was not within his knowledge or could not be produced by him at the time when the decree was passed or the order made, or on account of some mistake or error apparent on the face of the record, or for any other sufficient reason, desires to obtain a review of the decree passed or order made against him may apply for a review of judgment to the court which passed the decree or made the order."

In the instant case, the grounds for the application for a review of the High Court's decision rejecting the plaintiff's applications to set aside the *ex parte* judgment, were clearly stated in the defendants' affidavit as follows:

> (iii) The learned Judge should not have dismissed any application since there was no affidavit of service on record but instead he relied on the fact that the learned

trial Judge had stated in his judgment that the defendant was served, whereas there was no proof of service.

(iv) That dismissing my aforesaid application in the absence of an affidavit of service on records is an apparent error on the face of the record which is a good and sufficient ground for review of the judgment passed against me."

The basis of the application was that there was some mistake or error apparent on the face of the record and that error was dismissing the application in absence of an affidavit of service, as proof that the defendant or his counsel had been served with the relevant hearing notice.

The learned trial Judge Okumu-Wengi, J granted the application for review and vacated his earlier order refusing to set aside the *ex parte* judgment. His main ground for doing so appears to be that the defendant had not been served with a hearing notice in the presence of LC's or the police, as Lugayizi, J had ordered before he proceeded to try the suit *ex parte*. This is what Okumu-Wengi, J said in his ruling granting review:

> "From a review of the record there is no affidavit or evidence of service that the applicant was served in the presence of LC's as earlier ordered by the trial udge. There is also no record as to what satisfied the judge about the service in the way he ordered and there is no record of any order vacating the one made by the judge requiring service in the presence of LC's. This being the case, and in the absence of any document or evidence in the possession of the respondent/plaintiff and that of his advocates this Court is left with a mysterious gap. This applicant and his advocates have had more than enough opportunity to fill the gap and correct or complete the record. The statement by the trial judge that he became satisfied about the service onto the defendant/applicant remains largely unsubstantiated or justified by the record without having to go outside the record. In this event, I am left in some doubt as to how I can support the statement, as I cannot justify it by the record. It is, therefore, my decision that my order complained of, must be reviewed and I do hereby review it and order that it be vacated …"

What the learned trial Judge said here appears to be a reversal of his earlier decision that the defendant had been served and he, consequently, refused the defendant's application to set aside the *ex parte* judgment passed in his absence.

The basis of the Court of Appeal's decision was that there was no mistake or error apparent on the face of the record to justify a review. The absence from the record of evidence on that the defendant had been served in the presence of LC's or police was not the error or mistake apparent on the face of the record. It was the fact that no evidence of a proper and effective service on the defendant, existed at all on the record.

In *AIR Commentaries: The Code of Civil Procedure* by Manohar and Chitaley, Volume 5, 1998, it is stated that in order that an error may be a ground for review, it must be one apparent on the face of the record, ie an evident error which does not require any extraneous matter to show its incorrectness. It must be an error so manifest and clear, that no court would permit such an error to remain on the record. The "error" may be one of fact, but it is not limited to matters of fact and includes error of law.

In the instant case, my considered opinion is that the absence from record of an affidavit of service on the defendant or his counsel was an error or mistake on the face of the record justifying a review of the trial judge's refusal to set aside the *Ex Parte* judgment against the defendant. Had the learned Justices of Appeal properly re-evaluated the evidence, they would have reached the

conclusion that the defendant or his counsel was not served at all with the hearing notice of the suit. On 10 November 1998 when the suit was called for hearing by Lugayizi, J the plaintiff's counsel Mr *Akampulira* only informed the court that the defendant and his counsel Mr *Kabyesiza* were absent though served, and that Mr *Akampulira* had an affidavit of service and a copy of the summons they had endorsed.

The court record does not show that Mr *Akampulira* showed the returned document of service to trial Judge Lugayiuzi, including the affidavit of service, which he apparently had in his possession. The learned trial Judge merely recorded that he was satisfied that the defendant's advocates were served. The record does not show that the learned trial Judge had a sight of the returned documents, and the affidavit of service. I have already referred, in this judgment, to what Okumu-Wengi, J said in this regard in his ruling refusing the defendant's application for setting aside the *ex parte* judgment. At the cost of repeating, he said, *inter alia*:

> "Unfortunately I have been unable to see the affidavit of service. On the basis of which the judge proceeded having been satisfied that service had been effected."

I agree with the submissions of the appellant's learned Counsel that had there been service, then the affidavit of service should have been on the court record and if the copy on the court file was missing, then the plaintiff's advocate would, or should, have produced a copy from their office file.

The finding of the Court of Appeal, that the defendant was served with the hearing notice, is contained in the following passage of the judgment of Okello JA with which the other members of the court agreed:

> "In the instant case, it was submitted that the trial judge had ordered a specific mode of service to effect service of the process on the respondent. The service was to be effected on the respondent in the presence of the police or LC and that if he refused to accept service then the LC or police should swear an affidavit to that effect. I do not agree that the trial judge, thereby, intended to set a specific mode of service on the respondent. The record shows that the trial judge had not been satisfied with the earlier service when he said:
>
> The affidavit of service is unsatisfactory. Let the plaintiff's side serve the defendant again. They should go with LC or police and, in case the defendant refuses service let the LC or police swear an affidavit to that effect as well.
>
> He clearly wanted a proper and effective service on the defendant even where he might have refused service. He only gave guidance of an effective service. Failure to follow the method he proposed could not constitute an error apparent on the face of the record, provided that there was evidence of a proper and effective service on the defendant. There would have been an error apparent on the record if there had been no evidence of proper and effective service on the defendant. In "this case there is evidence that was effected on the defendant's lawyer who accepted service."

With the greatest respect, as I have already said in this judgment, there was no evidence on record that the defendant was served. Order 5, rule 17 of the Civil Procedure Rules provides that where summons have been served on the defendant or his agent or other person on his behalf, the serving officer, shall in all cases, make or annex or cause to be annexed to the original summons an affidavit of service stating the time when and the manner in which the summons was served and name and address of the person, if any, identifying the person served and witnessing the delivery of the tender of the summons. The provisions of this rule is mandatory. It was not complied with in the instant

case. What the rule stipulates about service of summons, in my opinion, applies equally to service of hearing notices.

There was no affidavit of service on the record. The absence of such affidavit leads inevitably to the conclusion that the defendant was not properly served with the hearing notice before the suit was heard in his absence. The point is that there was no evidence that the defendant was served at all, not that he was not served at all, not that he was not served by the special mode of service prescribed by Lugayizi, J which would not have been an issue if the defendant was normally served as required by the Civil Procedure Rules.

What I have said in this judgment disposes of all the grounds of appeal which should succeed. In result, I would allow this appeal with costs here and in the Court of Appeal. Costs in the High Court should abide the result of the trial.

I would set aside the order and judgment of the Court of Appeal and restore the order of the High Court, setting aside the judgment of Lugayizi J and order that the suit which gave rise to this appeal should be tried *de novo* by the High Court on a date notified to both parties.

As other members of the court agree, it is ordered in those terms.

Tsekooko JSC: I have had the benefit of reading in draft the judgment prepared by my learned brother, Oder JSC and for the reasons I shall state presently, I agree with his conclusions that this appeal ought to succeed.

The facts of this appeal are set out in the judgment of my learned brother. Like him, I shall also refer to the appellant as the defendant and the respondent as the plaintiff.

On 10 November 1998, the day of hearing the suit Mr *Akampulira*, counsel for plaintiff, addressed court thus:

> "Mr *Kabyesiza* for the defendant is absent and the defendant is not present either. They were served and I have an affidavit of service and a copy of the summons they endorsed. Can we proceed *ex parte* under Order 9 rule 17 of the Civil Procedure Rules?
>
> Court: I am satisfied that the defendant's advocates were served with today's hearing notice. Since they have not turned up or given their explanation of their absence or that of their client, I assume that both of them are no longer interested in being present during the hearing of this case. This case will therefore proceed *ex parte*."

These passages should be read in the context of the record as a whole. Thus, about seven months earlier, on 23 March 1998, the same trial judge deemed affidavit of service for hearing on 23 March 1998 to be unsatisfactory. So he ordered for fresh hearing notice to issue for service on the defendant (*sic*).

Although the above quoted order is brief, the only reasonable conclusion I can draw from the passages is that there was evidence of satisfactory service on counsel for the defendant.

The trial judge has been criticised for not indicating on the record that he had physically sighted and handled the copy of the hearing notice which had been served on the defendant's counsel and the affidavit of the process server. However, on 23 March 1998 when the judge ordered for a fresh service he did not write that he had looked at the hearing notice or at the affidavit of service. He wrote that:

"The affidavit of service is unsatisfactory". This implies that he read the affidavit. My own understanding of the record is that although the learned trial

Judge was brief,in that he omitted to indicate that he had in fact sighted and perused both the hearing notice and the affidavit of service to satisfy himself about what Mr *Akampulira* stated,the judge should be presumed to have seen the documents. The appellant's counsel has made a mountain out of this. The procedure adopted by the learned Judge, though it lacks detail,,it alone would not, in my opinion, be sufficient to justify setting aside his judgment. In the absence of any obvious wrong, it is legitimate to presume that when the judge stated that he was satisfied that the defendant's advocates were served he must have seen the two documents. I am satisfied that the trial judge must have seen both the hearing notice and the affidavit of service which *Akampulira* announced in open court that he was in possession of. These documents could have been misplaced or lost subsequently. Careless keeping of court records by court registry staff which must be depreciated in no uncertain terms, is not peculiar to this case. With respect I would, therefore, not go along with the view that the learned trial Judge proceeded with *ex parte* hearing without satisfactory proof of service of the hearing notice. I, therefore, agree with the Court of Appeal insofar as that court held that there had been effective service of the hearing notice on the defendant's counsel but that is as far as I can go, on that aspect of this appeal.

I think,with respect, that the learned trial Judge made an error of a different nature which would justify setting aside his judgment. Counsel for the plaintiff applied for the order for *ex parte* hearing knowing very well that only one witness was present. This he announced, in open court, after the judge had granted the order for *ex parte* hearing of the case. He boldly announced that "I have one witness". As this is a case which had been fixed for hearing for two days, I would have expected the learned Judge to ascertain from the plaintiff and his counsel whether they would call only that witness or other witnesses would appear later in the day or the following day before receiving evidence of the only available witness. Alternatively, as the judge had established that service was effected on defendant's counsel and since the plaintiff did not have all his witnesses, the judge could have ordered for personal service on the defendant. On the facts it is clear that the plaintiff and his counsel were not quite ready to prosecute the suit. Yet after obtaining the court order to proceed *ex parte* and after the plaintiff's testimony on the same day (10 November 1998) counsel for the plaintiff sought and was granted adjournment; to enable him get other witnesses. That day the rest of the witnesses for the plaintiff were absent. Yet the court obligingly granted the application for adjournment and adjourned the hearing of the case to 1 February 1999, giving a space of two and a half months. Indeed even on 1 February 1999, plaintiff's counsel sought and was granted another adjournment to call a fourth witness. Eventually the hearing of the case could not be concluded until 16 August 2001. I do not believe that Order 9, rule 17(1)(*a*) is intended to allow a party to have indefinite *ex parte* hearing without making the other party aware of this.

Order 9, rule 17(1)(*a*) reads as follows:

> "Where a plaintiff appears and the defendant does not appear when the suit is called on for hearing:
>
> (*a*) If the court is satisfied that the summons or notice of hearing was duly served, it may proceed *ex parte*."

A trial judge is given discretion in deciding whether or not to grant *ex parte* hearings. Granting an *ex parte* hearing should, in my opinion, enhance expeditious disposal of a case, but not to give further delay.

As ordering an *ex parte* hearing is discretionary, it ought to be granted with caution therefore it ought not to be granted to a party which is, itself, not ready as was the case here.

I think that rule 17(1)(*a*) should be read together with rule 18, which states:

> "Where the court has adjourned the hearing of the suit *ex parte*, and the defendant at or before such hearing appears and assigns good cause for his previous non-appearance, he may, upon such terms as the court directs as to costs or otherwise, be heard in answer to the suit as if he had appeared on the day fixed for his appearance."

Whilst courts should promote expeditious hearing and disposal of cases and therefore should not have their work delayed by absence of parties or their witnesses, presiding trial judges would do well to be aware that rules 17 and 18 give court discretion to do justice.

I think that in circumstances where a party is represented and his lawyer for unknown reason does not appear though served, the first option ought to be for the absent party to be served personally. In my opinion this should have been the proper course to be taken in this case.

I say this because in terms of Order 15, rules 1 and 4, hearing once commenced should continue unless there is sufficient cause to justify an adjournment. This means that a party who asks for hearing of the case to start must be ready to proceed fully. It is not sufficient cause for adjourning the hearing of the case, whose hearing started *ex parte*, on account of absence of witnesses for the plaintiff. If the plaintiff wanted the case to be heard, he cannot be the same one to cause the hearing to be adjourned, as in this case, three times because of the absence of his own witnesses. It makes no sense to me. It amounts to unfair hearing, I think.

In my considered opinion this would have been a legitimate ground for setting aside the *ex parte* judgment but not the alleged absence from the court record of the hearing notice and the process server's affidavit.

It is because of these reasons that I agree that this appeal ought to succeed.

Furthermore, I think that Okumu-Wengi J erred in reviewing his ruling. I agree with the Court of Appeal that there was no error on the record merely because the affidavit of service was missing. The defendant should have appealed against the first ruling given by Okumu-Wengi, J instead of applying for review.

I would allow the appeal with costs in this Court and the Court of Appeal. I would order that costs in the trial court do abide the results of the retrial.

Mulenga JSC: I have read in draft the judgments prepared by my learned brothers Oder and Tsekooko JJSC. I agree with both that the appeal should succeed and concur with the orders proposed by Oder JSC.

Having regard to the circumstances of this case, as reflected in the record, I would not be inclined to hold that the trial judge, Lugayizi J, erred when on 10 November 1998 he held that he was satisfied that the defendant's advocates were served with the hearing notice. In view of the fact that on the previous appearance, on 23 March 1998, the same judge had held that the affidavit of

service was unsatisfactory, I think it is more probable that on the latter occasion he was satisfied from the affidavit of service mentioned by counsel rather than from the word of mouth of counsel. The omission to record what satisfied him, in my view, should not be construed as though he was not satisfied on proper and lawful grounds. Similarly, I am not inclined to hold that merely because no affidavit of service was found on the court file subsequently, it means that none was ever done or that the defendant was not served with the hearing notice properly or at all (*sic*).

I am, however, in agreement with my learned brother, Tsekooko JSC, that the learned trial Judge did not exercise his discretion judiciously when after ordering the case to proceed *ex parte* (because the defendant was absent that day) he permitted the hearing to be adjourned from day to day, without any further notice to the defendant as if he was barred from the proceedings. The rule permitting an *ex parte* hearing when a defendant does not appear, is intended to discourage a defendant from frustrating a plaintiff who is ready to present his case for no good cause. It is not intended to bar the defendant, who has defended the suit, from further participation. Although in this appeal the parties did not address this point, in my opinion, the error is of sufficient gravity to render the proceedings a mistrial, and to justify setting aside the *ex parte* judgment.

Karokora JSC: I have had the benefit of reading in advance the draft judgment prepared by my learned brother, the Honourable Justice AHO Oder JSC, and I agree with his conclusions that the appeal ought to be allowed with costs to the appellant here and in the courts below.

In result the order and judgment of the Court of Appeal must be set aside and the order of the High Court setting aside the judgment of Lugayizi J is hereby restored, as there was no proper evidence that service of court process had been effected. It is ordered that the case which gave rise to this appeal must be heard *inter partes de novo* by the High Court.

Kanyeihamba JSC: I have read, in draft, the judgments of my brothers Oder and Tsekooko, JJSC and for the reasons given by Justice Tsekooko, I agree that this appeal be allowed. I also agree with the orders proposed by Justice Oder, JSC.

For the appellant:
Mr Akampulira

For the respondent:
Mr Kabyesiza

Kariuki and another v Republic
[2005] 2 EA 97 (CAK)

Division:	Court of Appeal of Kenya at Nakuru
Date of judgment:	30 September 2005
Case Number:	185/04
Before:	Omolo, Githinji and Waki JJA
Sourced by:	Lawafrica

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[1] Criminal law – Evidence – Doctrine of recent possession of stolen property.

Editor's Summary

The appellants were convicted of the offence of robbery with violence contrary to section 296(2) of the Penal Code and sentenced to death. Their appeal, challenging the finding that they were identified, was sustained. However, the

court still proceeded to dismiss the appeal on the grounds that the first appellant's cap was found at the scene of the robbery and that he led the police to the house where the stolen items were recovered; and that the second appellant was found in recent possession of the complainant's items. Hence, the present appeal.

Held – The second appellant was found in possession of goods recently stolen from the complainant and a presumption that he was one of the robbers was properly drawn. (*Gichina v Republic* [1970] EA 105; *Ibrahim Lekalero and another v Republic* Criminal appeal number 52 of 1999 (UR) distinguished).

The first appellant's conviction was upheld mainly because he led police to the house of the second appellant where stolen goods were recovered and not because his cap was allegedly found at the scene. Since he led police to the house where the goods were recovered, he is deemed to have been in constructive possession of the stolen goods jointly with the second appellant.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Gichina v Republic [1970] EA 105 – **D**

Ibrahim Lekalero and another v Republic Criminal appeal number 52 of 1999 (UR) – **D**

Judgment

Omolo, Githinji and Waki JJA: The first appellant, Samuel Mucheru Kariuki, and the second appellant, Geoffrey Mugo Kinuthia, were convicted by the Senior Principal Magistrate Nakuru for the offence of robbery with violence contrary to section 296(2) of the Penal Code and each sentenced to death being the mandatory sentence under the law. The second appellant was the first accused at the trial whilst the first appellant was the second accused. Their respective appeals, which were consolidated at the hearing, were dismissed by the superior court. This is a second consolidated appeal.

The particulars of the charge alleged that on the night of 15 June 2001, the two appellants and another, who was acquitted, jointly with others not before the court, being armed with dangerous weapons namely a Somali sword, metal bars and a rungu, robbed Jacinta Wairimu Njoroge of her video camera (make Samsung serial numbers 67N807904L), a camera (make kodak serial number 0384041), a mobile telephone (make Ericsson T10S) and cash KShs 7 000 all valued at KShs 120 000 and at, or immediately after, the time of such robbery, used personal violence against her.

On 15 June 2001 at about 9:00 pm, Jacinta Wairimu Njoroge (Jacinta) (PW1) was in her house in the outskirts of Nakuru Town. She was in the company of three people – her two workers, namely Grace Atieno Nyahu (Grace) (PW2), Jane Cherono Kibet (Jane) (PW5) and a visitor. At about 9:00 pm, the two workers opened the door and went out for a short call. Thereafter, Jacinta heard a loud bang on the door. She took a big and powerful torch and went towards the door. She met three people at the door of her sitting room; two of whom were later identified as Geoffrey Mugo Kinuthia (second appellant), and Samuel Mucheru Kariuki (first appellant). The first appellant was armed with a *panga* while the second appellant was armed with a sword. The second appellant pushed Jacinta and forced her to lie down. He placed a *panga* on her neck and demanded money. She was then pushed into the bedroom where she produced a video camera, mobile phone and KShs 7 000. She was taken back to the sitting room where she found two other people (not among the three who first entered into the house). The first appellant took two boxes of clothes after which the robbers disappeared. The robbery was reported to the police. PC Kipchumba Ruto (PW3) and other police officers went to the scene at 1:00am. He recovered a Somali sword and a cap which were abandoned at the scene. PC Kipchumba returned to the scene. The following morning, an old cap was recovered outside the gate. On information, PC Kipchumba went to Berir Farm which was about 1 km from the scene of the robbery and arrested the first appellant. On interrogation, the first appellant led police to the house of the second appellant at 11:00am. The second appellant attempted to run away but was arrested. On interrogation, the second appellant removed a Kodak camera and a mobile phone from the house and gave them to PC Kipchumba. The second appellant was asked about the video camera. He said that it was with somebody else, whom he named. While outside the house, PC Kipchumba saw a place, outside the house, where the soil was disturbed. He dug up the place and recovered a battery of a video camera. On further search, a video camera was found hidden in the flower garden. Thereafter, the appellants led police to another house, where two masks used during the robbery were recovered. On 18 June 2001, each of the two appellants were identified by Jacinta, Grace and Jane at respective identification parades conducted by IP Lucy Mbathia (PW6). The property recovered in the house of the second appellant were identified by Jacinta as hers at the trial.

The first appellant made a brief unsworn statement at the trial that he was arrested by two people who took him to the police station where an identification parade was conducted.

The second appellant also made an unsworn statement at the trial. According to him, he was arrested by five people who searched his house and removed a hammer and a saw. He was then taken to the house of the complainant where he stayed for half an hour. He then saw a police officer with goods. He was taken to the police station where an identification parade was conducted.

The trial magistrate made a specific finding that the complainant was robbed of the goods listed in the charge sheet. The first appellant was convicted on the basis of the evidence, that upon arrest he led police to the second appellant where stolen goods were recovered and, further, that he was identified by Jacinta and Grace. The second appellant was convicted on the basis of two pieces of evidence, viz, he was in possession of a video camera, mobile phone and a kodak camera and that he was identified by Jacinta and Jane.

Mr *Karanja*, who appears for the first appellant in this Court, argued the appeal on behalf of both appellants in the superior court.

The appellant's challenge in the superior court against the finding that they were identified at the time of the robbery was sustained.

Nevertheless, the superior court dismissed the appeal of the first appellant because:

> "The first appellant was also connected to the robbery by the cap that was found at the scene of the robbery, that was identified to belong to him. He also led the police to the house of the second appellant where the stolen items were recovered and, further, to the Menengai house where the masks used in the robbery were recovered".

The appeal of the second appellant was also dismissed. The superior court was satisfied that the second appellant was found in recent possession of video camera, mobile phone and kodak camera belonging to the complainant, which led to the inference that he was involved in the robbery.

It is convenient to deal with the appeal of the second appellant first. He states, in his grounds of appeal, that the superior court erred in law in finding that he was in possession of stolen properties and in applying the doctrine of recent possession to him. In support of the grounds of appeal, Mr *Simiyu*, for the second appellant, submitted, among other things, that the doctrine of recent possession did not apply to the second appellant for two reasons: Firstly, the complainant did not conclusively identify the recovered properties as hers as the complainant failed to proclaim the goods as hers in the evidence and to produce relevant receipts and secondly, the stolen properties were not recovered in the house of the second appellant. On the question whether or not the stolen goods were recovered in the house of the second appellant, the appellant stated in his defence that when his house was searched only a hammer and a saw were recovered.

He tacitly admitted that the goods alleged to have been recovered from his house belonged to the complainant for he stated that they were removed from the complainant's house by a police officer. It is the identification of stolen goods by concrete evidence which matters and not the public proclamation of ownership in court. Mr *Simiyu* submitted that the house where the goods were allegedly recovered was not proved as belonging to the second appellant and that there is a possibility that the house belonged to somebody else. The second appellant did not deny in his defence that the house where he was found and which was searched did not belong to him. To the contrary, he admitted that his house was searched but denied that the goods were recovered from his house. The ownership of the house where the stolen goods were recovered, and the question of recovery of the goods, are matters of fact which are not normally the concern of a second appellate court. The trial court made a finding that the stolen goods were recovered from the house of the second appellant. The superior court, as required by law, re-considered and re-evaluated the evidence and reached a concurrent finding. It has not been shown that the two courts below misdirected themselves in any material way or that there was no evidence to support the concurrent finding. There are no reasons for interfering with the concurrent findings of fact.

Similarly, the two courts below were satisfied that Jacinta had identified all stolen goods as hers. They were recovered within 24 hours of the robbery. Their serial numbers were stated in the charge sheet. Neither the prosecution

case, nor the defence of the second appellant, raised any doubt about the ownership of the recovered goods. The statement of the second appellant supported the evidence that the goods belonged to the complainant as he said that a police officer recovered the goods from the complainant's house. The accessories (bags) of the video camera and kodak camera recovered were still in the complainant's house and were produced in court. The case of *Gichina v Republic* [1970] EA 105 has been quoted out of context. There, the court rejected the bare statement of a person found in possession of stolen goods, that she had bought them from another person, in the absence of documents evidencing the sale transaction. This is not the case here. Nor can it be said as it was, in *Ibrahim Lekalero and another v Republic* Criminal appeal number 52 of 1999 (UR) that the goods found in possession of the second appellant were shop goods or goods of common usage, which are generally available everywhere.

We are satisfied, like the two courts below, that the second appellant was found in possession of goods recently stolen from the complainant and that a presumption that he was one of the robbers, was properly drawn.

The possession of the video camera, mobile phone and kodak camera belonging to the complainant leads to the inference that he was involved in the robbery.

The first appellant complains in his grounds of appeal that the superior court erred in law and fact in finding that the cap recovered at the scene belonged to him; in upholding his conviction on the basis of recent possession of the stolen goods and in finding that he led police to the arresting of the second appellant and to the recovery of the stolen goods. Mr *Karanja*, for the first appellant, further submitted, in support of the appeal, that what the second appellant told PC Kipchumba about the identity of the person who robbed the complainant is a confession which is inadmissible; that first appellant did not say where the goods were and therefore did not lead police to the discovery of the stolen goods and that the doctrine of recent possession does not apply to the first appellant. We readily agree that the two courts below erred in law in finding that the cap connected the first appellant with the offence. The person who claimed that the cap belonged to the first appellant was not called to give evidence. The evidence of PC Kipchumba regarding the ownership of the cap, therefore, was hearsay. Furthermore, there was no evidence that the first appellant was wearing the cap at the time of the robbery. It is true that what the first appellant told PC Kipchumba about the identity of the people who robbed the complainant was essentially a confession which was not admissible, however, neither the trial magistrate, nor the superior court, relied on such evidence as connecting the first appellant to the offence.

The conviction of the first appellant was upheld mainly because he led police to the house of the second appellant where stolen goods were recovered. The first appellant was convicted at the time section 31 of the Evidence Act was operative. That section provided:

> "Notwithstanding the provisions of sections 26, 28 and 29, when any fact is deposed to as discovered in consequence of information received from a person accused of any offence, so much of such information whether it amounts to a confession or not, as relates distinctly to the fact thereby discovered may be proved."

That section was, however, replaced by the Criminal Law (Amendment) Act 5 of 2005, which commenced on 25 July 2005.

According to PC Kipchumba, the second appellant told him that he could lead him to the home of Mugo (first appellant) with whom he was (at the time of the robbery). There were concurrent findings of fact by the two courts below, that the first appellant led police to the house of the second appellant where second appellant was arrested and some stolen goods recovered. We have no reasons for interfering with these concurrent findings of fact.

The phrase "be in possession of" or "have in possession" is defined in section 4 of the Penal Code at 16 as:

> "Includes not only having in one's own personal possession, but who knowingly having anything in the actual possession or custody of any other person, or having anything in any place (whether belonging to or occupied by oneself or not) for the use of benefit of oneself or of any other person (*sic*)".

Furthermore, according to the second definition of "possession", also in section 4 (*supra*) if the first appellant was in possession of the stolen goods with the knowledge and consent of the second appellant, the second appellant would in law be deemed to have possession of such goods.

It is the information which the first appellant gave to PC Kipchumba which led to the arrest and recovery of most of the stolen goods that evidence was admissible by virtue of section 31 of the Evidence Act as it then stood.

From the evidence that the first appellant led police to the house of the second appellant where the second appellant was arrested and stolen goods recovered, it can be inferred that he knew that the second appellant was involved in the robbery and that he was in possession of the stolen goods. In the circumstances, he is deemed to have been in constructive possession of the stolen goods jointly without the second appellant. An inference that he was also involved in the robbery was correctly drawn by the two courts below. We similarly find no merit in the appeal of the first appellant.

For those reasons, we dismiss the appeal of the first and second appellants.

For the first appellant:
Mr Karanja

For the second appellant:
Mr Simiyu

For the respondent:
Information not available

Kenya Power and Lighting Co v Mahinda and another
[2005] 2 EA 102 (CAK)

Division:	Court of Appeal of Kenya at Nyeri
Date of judgment:	10 June 2004
Case Number:	148/04
Before:	Omolo, O'kubasu and Deverell JJA
Sourced by:	Lawafrica

[1] Advocates Act – Practising certificate – When a practicing certificate comes into effect – Person with the duty of issuing a practicing certificate – Effect of signing a document without a practicing certificate.

Editor's Summary

The applicant filed an application for the respondent's appeal to be struck out on the grounds that the notice of appeal and the memorandum of appeal were signed by an advocate who did not have a practising certificate at the time.

The advocate was issued to the said advocate on 22 September 2004, while the notice of appeal was signed and lodged on 25 June 2004; the memorandum of appeal was signed and lodged on 13 July 2004 (*sic*).

The respondent, however, submitted that the said advocate had applied for a practising certificate and paid the fees demanded by the law society as early as 25 Mach 2004.

Held – If a party to an appeal is not appearing in person, he can only act in relation to an appeal through an advocate, unless the party is a corporation which has complied with rule 22(2) or is a person under disability where rule 22(3) has been complied with.

An advocate representing a party must be an advocate competent to practice under section 9 of the Advocates Act.

The issue of a practicing certificate is the responsibility of the registrar of the High Court and not that of the Law Society.

It cannot be validly argued that, prior to the date of issue of that certificate, the advocate had in force a practicing certificate. Hence, when the advocate signed the memorandum of appearance and notice of appeal, he was not qualified to act as an advocate with the effect that the documents were incompetent. If no practising certificate had been issued when the act was done, the advocate was not qualified to do that act at the time he did it.

Application allowed.

No cases referred to in judgment

Judgment

Omolo, O'Kubasu and Deverell JJA: The ruling arises from a notice of motion filed by Kenya Power and Lighting Company Limited as applicant. The applicant is the respondent to civil appeal number 148 of 2004, in which one Chris Mahinda, trading as Nyeri Trading Centre, is the appellant. The appeal is against the ruling of JH Khamoni J dated 25 June 2004.

The motion seeks an order "that the appeal herein be struck out on the grounds that the notice of appeal and the memorandum of appeal were signed by Titus Timothy Muthui Kimani an advocate (hereinafter "the advocate") who was not entitled to act as such, as he did not have a practicing certificate and the appeal is thereby incompetent".

The notice of appeal was signed and lodged on 25 June 2004.

The memorandum of appeal was signed and lodged on 13 July 2004.

It is not disputed that the advocate was issued with a practising certificate for the year 2004 by the registrar of the High Court but it is clear that it was not approved by the Council of the Law Society until 13 September 2004 and not issued by the registrar until 22 September 2004.

The applicant herein submits, that prior to its issue after approval by the Council, the advocate did "not have in force a practising certificate" which are the key words in section 9 of the Advocates Act Chapter 16.

The relevant part of that section reads as follows:

> "Subject to this Act, no person shall be competent to act as an advocate unless:
>
> (*a*) . . .
>
> (*b*) . . .
>
> (*c*) he has in force a practising certificate."

The respondent's submission was based on the additional fact that the advocate had applied for a practising certificate and paid the fees demanded by the Law Society amounting to a total of KShs 20 510 as early as 25 March 2004, which included the KShs 5 000 practising certificate fee.

In his further supplementary affidavit, the advocate deponed:

> "12. That I kept calling the offices of the Law Society to ask about my practising certificate for the year 2004 as I had paid for it and I was told by the cashier that he gave the doctor's letter to one Turia to pass over the file to the Council.
>
> 13. That after going there numerous times and making futile telephone calls to the Law Society offices and after failing to get a solution, I made a telephone call to the secretary of the Law Society about the behavior of the subordinate staff who it seemed had misplaced the doctor's letter and the secretary promised to take action upon which I received the practising certificate.
>
> 14. That the delay in receiving the practising certificate despite having paid on time was occasioned by the negligence and carelessness of the Law Society of Kenya, which took the intervention of the secretary to bring to an end."

The first issue for us to decide is whether a practising certificate for which the fee has been paid in advance but which has not been issued for whatever reason, by the registrar of the High Court can be described as being "in force".

The provisions of the legislation and the Court of Appeal Rules (the Rules) that are relevant are the following:

Rule 22 which provides that "subject to the provisions of rule 70, (which is irrelevant to the present issue), a party to any proceedings in the court may appear in person or by advocate."

Rule 74(6) which provides that:

> "A notice of appeal shall be substantially in the form D in the First Schedule hereto and shall be signed by, or on behalf of, the appellant."

Form D which includes the following under the space for the date:

> "Signed

Rule 84(3) and form F in the first schedule have provisions similar in all material effects in relation to a memorandum of appeal.

Rule 97(1) which provides that "Any party to an appeal who does not intend to appear in person or by advocate at the hearing of the appeal may lodge in the appropriate registry a statement in writing of his arguments. . ."

It is clear from these provisions that, if the party is not appearing in person, he can only act, in relation to an appeal, through an advocate unless the party is a corporation which has complied with rule 22(2) or is a person under disability where rule 22(3) has been complied with.

Although it is not expressly stated in the Rules that an advocate representing a party must be an advocate competent to practice under section 9 of the Advocates Act, this must clearly be the position.

Practising certificates are dealt with in Part VII of the Advocates Act from which it is clear that the issue of practising certificates is the responsibility of the registrar of the High Court and not of the Law Society. The practising certificate for the year 2004 exhibited to the advocate's affidavit in support of the application is dated 22 September 2004 and signed by the registrar of the High Court. In that certificate, the registrar certifies that the advocate "is duly enrolled as an advocate and is entitled to practise as such advocate."

We consider that it cannot be validly argued that, prior to the date of issue of that certificate, the advocate had in force a practising certificate.

The precise role of the Law Society in relation to the issue of practising certificates was not explained to us by either party and our attention was not drawn to any regulations dealing with that role. It is probable that it is an administrative arrangement between the registrar and the Law Society under which the latter collects the practising certificate fees on behalf of the registrar along with the fees due to the Law Society and the Advocates Benevolent Association for subscriptions etc.

There may also be an administrative arrangement between the Law Society and the registrar whereby the registrar does not issue practising certificates to advocates without first obtaining from the Council of the Law Society, its approval or comment.

We, however, cannot descend into the realms of speculation as to the existence or nature of any such arrangements which would not, in any event, affect the legal position under the Advocates Act.

We come to our decision based solely on the undisputed fact that no practising certificate for 2004 had been issued to the advocate prior to the signing, by him, of both the notice of appeal and the memorandum of appeal. When those two acts were done by him the advocate was not qualified to act as an advocate with the effect that the two documents were incompetent.

A practising certificate is issued for a whole year and the certificate issued in this case was for the year 2004 and it was suggested that, although it was issued on 22 September 2004, it had retrospective effect back to the beginning of 2004.

We do not accept this submission. If no practising certificate had been issued when the act was done, the advocate was not qualified to do that act at the time he did it.

We accordingly allow the application and hereby order that the notice of appeal and the memorandum of appeal be struck out with costs to the applicant. The effect of this order is that the record of appeal itself must be struck out.

For the applicant:
Information not available

For the respondent:
Information not available

Kiyengo v Uganda
[2005] 2 EA 106 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	13 April 2005
Case Number:	35/03
Before:	Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC
Sourced by:	Lawafrica

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[1] Criminal law – Murder – Defences – Intoxication – Burden of proof – Whether the prosecution had proved beyond reasonable doubt that the appellant had the requisite intent – Section 13 – Penal Code Act.

Editor's Summary

The appellant was tried and convicted by the High Court of Uganda on a charge of murdering his father. Evidence was adduced at his trial to the effect that on the material day, the deceased had visited the appellant's home at about 4:00 pm. He found the appellant and a neighbour seated outside his house drinking *enguli*. He joined them and the three continued drinking until about 7:00 pm when the appellant took the neighbour into the kitchen and left him there with his wife and daughter. He then returned outside and hit the deceased twice on the head, using the back of an axe. As a result of the injuries inflicted on him, the deceased died. Evidence was also adduced to the effect that when people came to the scene upon hearing that the deceased had died, the appellant chased them away. In his defence, the appellant claimed that the deceased sustained the fatal injuries when he fell off the bench he was sitting on, due to his intoxicated state. The trial judge rejected the defence and held that the prosecution had proved its case beyond reasonable doubt. He accordingly convicted him on the charge.

The appellant appealed to the Court of Appeal. However, after re-evaluating the evidence the court came to the same conclusion as the trial court and dismissed his appeal.

The appellant now appealed to the Supreme Court on the ground that the Justices of Appeal erred in law when they misdirected themselves on the defence of intoxication. Counsel for the appellant argued that the Court of Appeal had wrongly upheld the trial court's refusal to avail the appellant of the defence of intoxication on the erroneous ground that the defence had not been raised and had, in fact, been disowned by the appellant. He argued that a court was obliged to consider every defence disclosed by the evidence before it.

Held – The court was obliged to avail an accused person with a defence available on the evidence

before it, even if it was not raised by him. This duty was founded on the fundamental principle that the burden of proof in a criminal trial remained on the prosecution throughout and, except in special cases, never shifted to the defence. An accused person was under no burden to raise a

defence, with the exception of the defence of insanity. In considering the defence of intoxication, the question was not whether the accused person was or was not capable of forming the intention, but rather whether by reason of the drink taken, he did not form the intention; *Clifford Patrick v R* (*supra*) considered and distinguished.

In this instance, the Court of Appeal had correctly directed itself on the question of intoxication in stating that intoxication could become a defence under section 13(4) of the Penal Code and could be taken into account for the purposes of determining whether the accused had formed an intention to kill. The test to be applied was whether, having regard to the circumstances, including those related to drinking, it could safely be said that the prosecution had proved beyond reasonable doubt that the accused had the requisite intent at the material time; *Ssessawao v Uganda* followed. The Court of Appeal had gone on to find that the evidence showed that the prosecution had proved beyond reasonable doubt that the accused had the necessary intent and there were no reasons for interfering with this finding.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Illanda s/o Kisigo v R [1960] EA 780

Ssessawao v Uganda [1979] HCB 122 – **F**

United Kingdom

Clifford Patrick v R 72 Cr App 291 – **C** and **D**

Judgment

Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC: Kiyengo Zaverio, the appellant, was convicted by the High Court of Uganda, (Mukiibi J) sitting at Masindi, for the murder of his father, Nsereko John Mawa, the deceased, and was sentenced to death. His appeal to the Court of Appeal was dismissed, hence this second appeal.

The evidence upon which the court based the appellant's conviction is brief. On 20 November 1999, at about 4:00 pm, the deceased visited the appellant's home. He found the appellant and a neighbour, one Birungi Alex, PW2, seated on a bench outside the appellant's house, drinking *enguri*. He joined them. The three continued drinking up to about 7:00 pm when the appellant invited Birungi to the kitchen and then left him inside with Byabali Praxida, PW3, and Pauline Zikuza, PW4, the appellant's wife and daughter respectively. The appellant returned to the deceased who had remained outside sitting on the bench alone. He then hit the deceased on the head twice, using the back of an axe. The deceased fell down, and one of his eyes was dislodged from its socket.

Blood flowed from the eye socket and the nose. A post-mortem examination of the deceased's body subsequently revealed that the deceased had sustained a crushed eyeball and occipital laceration, leading to internal haemorrhage and brain contusion that caused instant death. There was also evidence that, when people came to the scene upon word going round that the deceased had died, the appellant chased some away threatening them with violence.

At the trial, the case of the fatal injuries was disputed. The prosecution contended that the deceased sustained the injuries from the two blows inflicted by the appellant, as testified by Pauline Zikuza. The appellant on the other hand denied hitting the deceased and testified that the deceased sustained the injuries from falling off the bench due to drunkenness. After considering the evidence, the trial court accepted the prosecution case and held that the appellant had hit the deceased as testified by his daughter. The Court of Appeal came to the same conclusion after re-evaluating the evidence. In this appeal, the appellant, quite appropriately in our view, does not seek to challenge that concurrent finding of the two lower courts. He only seeks to challenge the finding of *mens rea*. The sole ground of appeal in this Court is that:

> "The learned Justices of Appeal erred in law when in their re-evaluation of the evidence adduced at the trial, they misdirected themselves on the defence of intoxication."

Mr *Mubiru*, learned Counsel for the appellant, criticised the Court of Appeal for upholding the trial court's refusal to avail the appellant the defence of intoxication. He maintained that the ground for the refusal, namely that the defence was not raised and had actually been disowned by the appellant and his counsel, was erroneous. He submitted that the law enjoined the court to consider, and avail to an accused person, every defence disclosed by the evidence before it, and cited *Clifford Patrick v R* 72 Criminal appeal rule 291, in support of his submission. He maintained that the Court of Appeal had misdirected itself in this regard. Learned counsel argued that if that court had addressed the proper question, namely if, in view of the evidence of the appellant's drinking, he had the necessary *mens rea*, it would have concluded that the prosecution had not proved beyond reasonable doubt that he had. In conclusion counsel submitted that contrary to the law, the appellant's conviction was based on the weakness of the defence, for failure to plead intoxication, rather than on the strength of the prosecution case. In reply, Mr *Murumba*, the learned Principal State Attorney submitted that the case *of Clifford Patrick v R* (*supra*) was distinguishable because, in that case, unlike in the instant case, the defence had admitted that killing but relied on intoxication to show that the necessary intent was not proved. He stressed that in this case, the appellant expressly denied being drunk.

In the Court of Appeal, the fifth ground of appeal was that the trial court erred in holding that the appellant had killed the deceased with malice aforethought despite evidence of intoxication. In its judgment, the Court of Appeal, after observing, rightly in our view, that the court has to avail an accused person with a defence available on the evidence before it even if not raised by him, considered at length if the defence of intoxication was available to the appellant, in view of the prosecution evidence which suggested that he was drunk at the material time. In the course of re-evaluating the evidence, however, the learned Justices of appeal made two observations that have given rise

to the criticism of misdirection. After noting the prosecution evidence which showed that at the material time the appellant was drunk, they observed:

> "The dilemma in this case is that both the appellant and his counsel at his trial did not only fail to raise intoxication or drunkenness as a defence but disowned it."

In the end they concluded thus:

> "We are, therefore, not persuaded by counsel for the appellant, to avail to the appellant the defence of intoxication under section 13(4) of the Penal Code. *To do so would be tantamount to putting a defence into his mouth.*"

Clearly, these observations standing alone would amount to misdirection on the fundamental principle that the burden of proof in a criminal trial, remains on the prosecution throughout and, except in special cases, never shifts to the defence. The duty of the court to avail to an accused person every defence, disclosed by evidence before it, even where the accused does not take advantage of it, is founded on that principle. Strictly, an accused person has no burden to raise a defence with the exception of the defence of insanity. Where, therefore, there is credible evidence establishing a defence, the court should not refrain from availing it to the accused for fear of "putting a defence in his or her mouth". If, as contended by learned Counsel for the appellant, these observations were the only basis on which the Court of Appeal rejected the fifth ground of appeal, we would not have hesitated to hold that the misdirection vitiated the decision to uphold the conviction of murder.

The case of *Clifford Patrick v R* (*supra*) which counsel for the appellant sought to rely on, was an appeal against a conviction for murder in a jury trial. There was no dispute that when the accused killed his victim he was under the influence of drink. The appeal turned on the direction given to the jurors by the trial judge on the issue of drunkenness. He had directed the jurors to ask themselves if, at the material time, the accused person was in such state as to be incapable of forming the intention. The Court of Appeal held this to be misdirection, as the question in issue was not whether the accused person was incapable or capable of forming the intention, but rather whether by reason of the drink he had taken he did not form the intention. On the ground that the jury had not been invited to answer the real question in issue, the conviction of murder was quashed and a verdict of manslaugher was substituted. In that case the misdirection to the jury had been central to the decision to convict. If the jury had addressed the real question in issue it may well have returned a different verdict. The misdirection in the instant case does not appear to be in a similar central position to the decision to uphold the conviction.

In their judgment, the learned Justices of Appeal directed themselves on the law regarding the issue of intoxication correctly when they said:

> "Under section 13 of the Penal Code Act, intoxication is not generally a defence to a criminal charge. That notwithstanding, it could become a defence if by reason of intoxication the accused became insane at the time but this would require a plea . . . of insanity which is not the case here. The appellant . . . disowned intoxication. He is not covered under that subsection. However, under section 13(4) of the Penal Code, intoxication may be taken into account for the purposes of determining whether the accused had formed an intention to kill . . .
>
> In accordance with the holding in . . . *Illanda s/o Kisigo v R* [1960] EA 780, the onus is on the prosecution to prove beyond reasonable doubt that the appellant's judgment was not affected by the drink to disable him from forming the necessary intention. . .

> The test to apply as enunciated . . . in *Ssessawao v Uganda* [1979] HCB 122, was whether having regard to all the circumstances, including these relating to drinking, it could safely be said that the prosecution had proved beyond reasonable doubt that the accused had the requisite intent at the material time. We shall apply this test to this case later."

Subsequently, they applied the test to the facts and concluded thus:

> "Having regard to all the circumstances in this case, including the aforesaid relating to drinking, it could safely be said that the prosecution had proved beyond reasonable doubt that the appellant had the requisite intent to kill the deceased at the material time."

In this conclusion, the Court of Appeal was virtually in total agreement with the learned trial Judge who said *inter alia*:

> "The accused's preparation to remove a possible eye witness and his effort to ensure that he had not been seen, in my view, show that his act was calculated or pre-conceived . . . I find, as did the assessors, that the prosecution has proved beyond reasonable doubt that the unlawful act committed by the accused person, and which caused the death of Nsereko John Mawa, was accompanied by malice aforethought."

We need only add that this concurrent finding of fact was amply supported by evidence and it cannot be assailed. We are satisfied, that the misdirection in the observations of the Court of Appeal, was not the basis for upholding the appellant's conviction for murder. The basis was that the prosecution proved malice aforethought beyond reasonable doubt. In our view, the observations were in effect superfluous.

In result, we find no merit in this appeal and accordingly, dismiss it.

For the appellant:
Mr Mubiru

For the respondent:
Mr Murumba, Principal State Attorney

Kobusingye v Nyakana and another
[2005] 2 EA 110 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	22 February 2005
Case Number:	5/04
Before:	Odoki CJ, Oder, Tsekooko, Karokora and Kanyeihamba JJSC
Sourced by:	Lawafrica

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[1] Appellate procedure – Third appeals – Grounds for lodging a third appeal – Whether the appeal was competent – Section 6(2) – Judicature Act.

[2] Civil procedure – Jurisdiction of the Court of Appeal – Scope of jurisdiction – Whether sections 74 and 75 of the Civil Procedure Act were applicable to the Court of Appeal – Sections 68, 74 and 75 – Civil Procedure Act – Sections 11 and 14 – Judicature Act – Rule 31(2) – Court of Appeal Rules.

Editor’s Summary

The respondents filed a suit against the appellant claiming damages for malicious prosecution and false imprisonment. The trial magistrate dismissed the suit. The

respondents then appealed unsuccessfully to the High Court. Subsequently, they filed a second appeal consisting of four grounds of appeal in the Court of Appeal. When the appeal came up for hearing, counsel for the present appellant raised a preliminary objection to the first two grounds of appeal on the ground that the Court of Appeal had no jurisdiction to consider them as the two lower courts had made concurrent findings on the issues. He argued that the former sections 74 and 75 of the Civil Procedure Act restricted the jurisdiction of the Court of Appeal and that rule 31(2) of the Rules of the Court of Appeal did not permit the court to circumvent those provisions. Counsel for the present respondents argued in reply that the old section 11 of the Judicature Act and rule 31(2) gave the court the necessary jurisdiction or, in the alternative, old sections 74 and 75 gave the court power to consider the matter since the errors of the first appellate court were errors of law. The Court of Appeal agreed with counsel for the respondents and overruled the objection.

The appellant was dissatisfied with the decision and was granted leave to appeal to the Supreme Court on the ground that the appeal involved matters of law of great public and general importance. The appellant argued, *inter alia*, that the Court of Appeal had erred in holding that old sections 74 and 75 were not applicable to the Court of Appeal and in holding that section 11 of the Judicature statute of 1996 was wider than section 5. In his arguments before the Supreme Court, counsel for the respondents argued that sections 74 and 75 did not apply to the Court of Appeal in hearing second appeals.

Held – Section 6(2) of the Judicature Act precluded the lodging of third appeals to the Supreme Court on interlocutory matters. There was no right of appeal to the Supreme Court from interlocutory orders of the Court of Appeal when those orders were incidental to the appeal; *Uganda National Examinations Board v Mpora General Contractors* applied. This appeal was, therefore, incompetent as it had no jurisdictional foundation.

Where an erroneous opinion amounting to an illegality was brought to the Supreme Court's attention, it had the duty to correct the illegality; *Mukula International v HE Cardinal Nsubuga* followed. In this instance, the illegality brought to its attention concerned the view held by the Court of Appeal that the old sections 74 and 75 of the Civil Procedure Act did not apply to it. The aim of the Civil Procedure Act was to make provision for procedure in civil cases. Since the jurisdiction of both the Supreme Court and the Court of Appeal included civil jurisdiction, there was nothing in section 1 of the Civil Procedure Act prohibiting, in appropriate cases, the application of the Act to procedure in either the Supreme Court or the Court of Appeal. The operation of the Civil Procedure Act with regard to the Supreme Court and the Court of Appeal had to be placed alongside the operation of the Judicature Act and the Constitution.

Article 134(2) of the 1995 Constitution which conferred jurisdiction on the Court of Appeal, was operationalised by section 11 of the Judicature Statute of 1996. This section which provided, *inter alia*, that appeals to the Court of Appeal lay from decisions of the High Court prescribed by the Constitution, the Judicature Act and any other law, conferred jurisdiction on the Court of Appeal in general terms. This section was to be read with the old section 14 of the Judicature Act which provided that references to the Supreme Court in any enactments before 1996 would be read as references to the Court of Appeal.

This meant that the old sections 68, 74, and 74A which set out in detail the three classes of appeal in ordinary civil matters were applicable to the Court of Appeal.

The Court of Appeal had erred in interpreting *Francis Sembuya v Allports Freight Services* to mean that sections 74 and 75 were not applicable to it. The holding in that and other cases to the effect that the old sections 74 and 75 did not apply to appeals to the Supreme Court did not mean that those sections were, therefore, not applicable to the Court of Appeal.

Appeal struck out.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Ephrain Ongom Odonga v Francs Renega Bonge Civil appeal number 10 of 1987

Francis Sembuya v Allports Services (*u*) *Ltd* Civil appeal number 6 of 1995

Mukula International v HE Cardinal Nsubuga [1982] HCB 11

Uganda National Examinations Boards v Mpora General Contractors Civil application number 19 of 2004) – **AP**

Judgment

Tsekooko JSC: This appeal arises from an interlocutory ruling by the Court of Appeal, rejecting an objection to the competence of two of the grounds of appeal in that court. In this judgment, I will make observations about the competence of this appeal in view of the provisions of section 6(2) of the Judicature Act.

Third appeals to this Court are governed by section 6(2) of the Judicature Act which states:

> "6(2) where an appeal emanates from a judgment or order of a chief magistrate or a magistrate grade 1 in the exercise of his or her original jurisdiction, but not including an interlocutory matter, a party aggrieved may lodge a third appeal to the Supreme Court on the certificate of the Court of Appeal that the matter concerns a matter, or matters, of law of great public or general importance, or if the Supreme Court considers in its overall duty to see that justice is done, that the appeal should be heard."

This obviously means that this "appeal" has no jurisdictional foundation. As we recently stated in the *UNEB* case of *Uganda National Examinations Boards v Mpora General Contractors*, (Civil application number 19 of 2004), there is no right of appeal to this Court originating from interlocutory orders of the Court of Appeal which orders are incidental to the appeal but not resulting from the final determination of the appeal itself. Here, the Court of Appeal has not determined the appeal yet. It follows that the Court of Appeal erred in giving the certificate for the appellant to lodge this appeal. This Court noticed this anomaly when the so-called appeal was pending judgment.

Normally, we would have asked parties to address us before making a final decision. However, in view of the clear provisions of subsection (2) (*supra*), and

of our recent decision in the *UNEB* case (*supra*), it is unnecessary to hear parties on it.

This appeal is, therefore, incompetent and ought to be struck out.

However, because an illegality (namely the view held by the Court of Appeal to the effect that the old sections 74 and 75 of the Civil Procedure Act do not apply to that court) has been drawn to our attention, we have to correct that illegality. *See Mukula International v HE Cardinal Nsubuga* [1982] HCB 11. For the sake of clarity, I shall start by outlining the background to this matter.

The two respondents instituted in the chief magistrate's court, Fort Portal, a suit against the appellant, claiming damages for malicious prosecution and false imprisonment. A magistrate grade 1 who tried the suit dismissed it because it "was improperly brought before the court." The respondents unsuccessfully appealed to the High Court against the decision of the magistrate grade 1. The respondents launched a second appeal to the Court of Appeal. There were four grounds in the memorandum of the appeal to that court. The first two grounds to, which objection was unsuccessfully made in the Court of Appeal, were formulated in the following way:

1. The learned trial Judge erred in law and fact when he failed to properly evaluate the evidence on appeal and therefore came to a wrong conclusion that the report of the respondent to the police was not made with malice.

2. The learned trial Judge erred in law and fact when he seemed to hold that the appellants had failed to prove malicious prosecution by the respondent.

(The Court of Appeal reproduced, in its ruling, ground 3 instead of ground 2).

When the appeal was called up for hearing in the Court of Appeal on 27 March 2001, Mr *Tibaijuka* representing the respondent (and now the appellant) raised a preliminary point of law in respect of the above quoted two grounds, that both the trial magistrate grade 1 and the High Court judge, as a first appellate court, made concurring findings that there was no malice on the part of the respondent and that, therefore, the Court of Appeal being now a second appellate court had no jurisdiction to re-open the matter. In support of his arguments, he cited a number of authorities including *Ephrain Ongom Odonga v Francs Renega Bonge* section Civil appeal number 10 [1987] (UR) and *Francis Sembuya v Allports Services* (*U*) *Ltd* Civil appeal number 6 of 1995 (UR) as well as rule 31(2) of the Court of Appeal Rules. According to counsel, subrule (2) would not allow that court to circumvent the restrictions imposed by the former section 74 and section 75 of the Civil Procedure Act (CPA) which gave that court jurisdiction. He argued that the Court of Appeal did not have the equivalent of the old section 7 of the Judicature Act, which would allow the court to re-open the case. (Section 7, which is now section 6, is concerned with the appellate jurisdiction of this Court in civil cases).

Mr *Babigumira* for the appellants (current respondents here) took the contrary view and distinguished the authorities cited in the Court of Appeal by Mr *Tibaijuka*. In his view, the old section 11 of the Judicature Act and rule 31(2) give the Court of Appeal power in second appeals. Alternatively, he argued that where a first appellate court fails in its duty to appraise evidence and arrives at a wrong inference, the Court of Appeal has power, under the old section 74 and section 75 of Civil Procedure Act, to consider the matter because in that event errors of the first appellate court become errors as a matter of law. In effect, this

means that Mr *Babigumira* conceded that the two sections confer jurisdiction on the Court of Appeal.

This Court of Appeal accepted Mr *Babigumira*'s arguments and held that the old section 11 of Judicature Act gave that court wide powers to hear appeals and so overruled the objection. The present appellant as a respondent in the Court of Appeal was dissatisfied with the ruling of the court. So she sought, and was granted, leave by the Court of Appeal to appeal to this Court on the ground that the appeal involves matters of law of great public and general importance.

The ground which brings out the illegality which this Court has to correct, is formulated in these words:

> The learned Justices and Lady Justice of appeal erred in law, in that they wrongly held that:
>
> (*a*) The erstwhile sections 74 and 75 (now sections 72 and 74) of the Civil Procedure Act are not applicable to the Court of Appeal.
>
> (*b*) Section 11 of the Judicature Statute of 1996 (now section 10 of the Judicature Act . . . is wider than section 5 (now section 4) thereof.
>
> (*c*) They had jurisdiction over grounds 1 and 2 of the appeal before them.

After considering the arguments of both sides and pausing the question whether the old sections 74 and 75 apply to this Court, the Court of Appeal in its ruling stated this:

> Section 11 on the other hand is wider. It gives the Court of Appeal jurisdiction over the decisions of the High Court irrespective of whether it is original or appellate decision. As Mr *Babigumira* submitted it makes no distinction between the original and appellate decision of the High Court. In exercise of its jurisdiction as a second appellate court however, the Court of Appeal is mandated by rule 31(2) of the Rules of this Court to:
>
> "have power to appraise the inference of fact drawn by the trial court."

The Court of Appeal concluded that in view of the provision of the old section 11 of the Judicature Act and rule 31(2) of the Court's Rules, the old sections 74 and 75 of Civil Procedure Act are not applicable to it. In effect the court held that if the two sections applied, the court would have had no jurisdiction to hear submissions on the two grounds which I have already reproduced in this judgment.

For the sake of clarity and relevance, I shall continue to refer to the old sections 74 and 75 of the Civil Procedure Act and to the old sections 11 and 12 of the Judicature Act. This is because the Court of Appeal delivered its ruling before the renumbering of those sections was made and published in the 2000 Revision of the Laws of Uganda.

In lengthy written submissions, Mr *Tibaijuka* has criticised the Court of Appeal for its ruling. He contended that that court has in the past made conflicting decisions concerning whether or not, firstly, the whole Civil Procedure Act applies to the Court of Appeal. According to learned Counsel, the conflict arises because of the provisions of section 1 of Civil Procedure Act which reads:

> "This Act shall extend to proceedings in the High Court and Magistrates Court."

In their reply Messrs *Babigumira* and Company Advocates for the respondent, argued that because of this provision the Civil Procedure Act only applies to the High Court and Magistrates Court.

Learned counsel argued further that section 74 and section 75 do not apply to the Court of Appeal in hearing second appeals. I think that this is a departure from his (counsel's) concession in the Court of Appeal.

With respect, I cannot appreciate the true cause of misunderstanding concerning the applicability of the provisions of the Civil Procedure Act or its sections 74 and 75. Nor is there a sound basis for the view that the Civil Procedure Act can not apply to the Court of Appeal, especially in the light of the provisions of the section 11 of the Judicature Act to which I shall refer later.

It is clear from the head note to the Civil Procedure Act that the act was enacted to make provision for procedure in civil courts.

The jurisdiction of this Court and the Court of Appeal included civil jurisdiction. I find nothing in section 1 of the Act which prohibits, in appropriate instances, the application of the provisions of the Act to procedure in either this Court or in the Court of Appeal. In my view, the operation of the Civil Procedure Act must be placed alongside the operation of the Judicature Act and the Constitution.

There is no need to go into the detailed history of appellate jurisdiction in Uganda. It suffices to say that between 1967 and 1996, the appellate jurisdiction of the then Court of Appeal for Uganda (subsequently re-named the Supreme Court) was governed partly by the Constitution of 1967 and partly by the Judicature Act of 1967 (section 40) as amended from time to time and the Civil Procedure Act (the old sections 68, 72, 74 and 75). Insofar as second appeals (like the present appeal) were concerned, the relevant section was the old section 74 (which is now section 72) of the Civil Procedure Act.

According to clause (2) of Article 134 of the current Constitution, "an appeal shall lie to the Court of Appeal from such decisions of the High Court as may be prescribed by law".

This provision is a re-enactment of clause (2) of Article 89 of the 1967 Constitution as amended by Statute 11 of 1987.

The two clauses [(2) of Article 89 of the 1967 Constitution and (2) of Article 134 of the current Constitution)] show that appellate jurisdiction of the Court of Appeal is conferred by statute.

To appreciate the current appellate jurisdiction of the Court of Appeal, it is perhaps necessary to go back a little. As I said, before 1996, the principal statutes conferring appellate jurisdiction to the Supreme Court as a court of appeal in civil causes were the Judicature Act of 1967 and the Civil Procedure Act.

By section 40 of the Judicature Act of 1967 as amended in 1987:

> "(1) The Supreme Court shall be a superior court of record in and for Uganda and shall have such appellate and other jurisdiction as may be conferred upon it under any written law.
>
> (2) For the purposes of hearing and determining an appeal, the Supreme Court shall have all the powers, authority and jurisdiction vested in the High Court under any written law."

Subsection (1) operationalised clause (2) of Article 89 by reproducing it that is to say it put into effect the purpose of that Article. The reference to any written law in subsection (2) of section 40 must surely be a reference to, *inter alia*, the

Civil Procedure Act which is definitely the written principal law regulating the conduct of civil matters by the High Court.

Clause (2) of Article 89 of the old Constitution and subsection (1) of section 40 of the 1967 Judicature Act as amended in 1987 stated that the Supreme Court was to exercise appellate jurisdiction conferred by any written law.

As far as I am aware, prior to 1996, the only written principal law which conferred upon the Supreme Court appellate jurisdiction in civil matters in second appeals, was the old section 74 of the Civil Procedure Act. The Supreme Court's procedure was regulated by the Court of Appeal for East Africa Rules of 1972 which in 1977 were adopted (see Decree number 20 of 1977) for use by our Court of Appeal. In 1987 the Judicature Act (Amendment) Statute 1987 (Statute 12 of 1987) renamed the then Court of Appeal for Uganda as the Supreme Court. Accordingly the words "Supreme Court" replaced the words "Court of Appeal" wherever those words appeared in section 74 of the Civil Procedure Act. This remained the position until the present Court of Appeal was created by the 1995 Constitution, which conferred on the same Court of Appeal jurisdiction under clause (2) of Article 134 (*supra*). In order to operationalise the said clause (2), of Article 134, in 1996, the National Resistance Council as a legislative organ, passed the Judicature Statute, 1996 (now Chapter 13 of Laws of Uganda) and in section 11 (now 10) the NRC operationalised the appellate jurisdiction of the Court of Appeal by stating that:

> "An appeal shall lie to the Court of Appeal from the decisions of the High Court prescribed by the Constitution, this statute and *any other law*" (Emphasis supplied).

In that form the section confers jurisdiction on the Court of Appeal in general terms. That jurisdiction relates to both criminal and civil and regardless of whether it is first, a second or third appeal (*sic*). The details of the jurisdiction, so conferred, were left to be spelt out by "any other law". In the case of criminal appellate jurisdiction it is the Trial on Indictments Decree and the Criminal Procedure Act, which were the principal laws applicable. The procedure regulating management of criminal appeals is set out in the relevant parts of the Court of Appeals Rules of 1996.

I should point out that when the NRC passed the Judicature Act, it recognised that the Court of Appeal had assumed the previous appellate functions of the old Supreme Court. So the NRC provided by section 14, now section 13, of the Judicature Act, that:

> "Subject to the Constitution, and with effect from the commencement of the Constitution, any reference to the Supreme Court, in any enactment in force immediately before coming into force of the Constitution shall be read as reference to the Court of Appeal."

Consequently the words "Supreme Court" which since 1987 appeared in the former section 74 (now section 72) of the Civil Procedure Act were replaced by the words "Court of Appeal". Thus, whereas the old section 11 of the Judicature Act set out appellate jurisdiction of the Court of Appeal in general terms, it is the old sections 68, 74 and 74A of the Civil Procedure Act which set out in detail the three classes of appeals in ordinary civil matters in that court. These classes are: first appeals from High Court exercising original jurisdiction, the second class of appeals was from appellate decrees such as the appeal now pending in the Court of Appeal. This was governed by the old

section 74. The third appeal is that one from magistrates grade II and it was governed by the old section 74A. There is, of course, the class of appeal under the old section 77 upon which I need not comment.

The Court of Appeal, in its ruling, mentions the old section 5 (now section 4) of the Judicature Act. I need say that the section (section 4) operationalised clause (2) of Article 132 of 1995 Constitution, which confers general appellate jurisdiction on this Court. It does not specify the class of appeals and under what circumstances each class may be lodged that is left to the new sections 5 and 6 of the same act.

Therefore, and with the greatest respect to the Court of Appeal, it was an error for the court to hold that both the old sections 74 and 75 (now sections 72 and 74) were not applicable to that court. In a way, Mr *Tibaijuka*'s arguments were correct. Further, these sections do not ordinarily govern appeals to this Court because, as I have just said, the appellate jurisdiction of this Court in both criminal and civil matters is clearly spelt out in detail in sections 5 and 6, respectively. The Act had to create these powers specifically for the new Supreme Court because such powers were non-existent in any other law of which I am aware. My views in the *Allport Freight Services* case (*supra*), that sections 74 and 75 were inapplicable to the new Supreme Court and which view the Court of Appeal relied on, must be understood in this context. The rules of procedure, such as 31(2) of the Rules of the Court of Appeal relied on by the Court of Appeal, do not by themselves create jurisdiction but merely provide procedure to regulate the exercise of the appellate jurisdiction conferred upon that court.

I now return to the general applicability of the Civil Procedure Act. As I will explain, this is to be found in the old section 12 (now section 11) of the Judicature Act. The section reads:

> "For the purpose of hearing and determining an appeal the Court of Appeal shall have all the powers, authority and jurisdiction vested under any written law in the court from the exercise of the original jurisdiction of which the appeal originally emanated."

The powers, authority and jurisdiction referred to are those of any trial court whose decisions are appealed up to the Court of Appeal.

This provision vests in the Court of Appeal the same powers, authority and jurisdiction which, for instance in this case, the grade 1 magistrate exercised when he tried and determined the case. What this means is that after the Court of Appeal has heard and reached its conclusions, in deciding the orders which the Court of Appeal can make the court is bound to make such orders that the trial magistrate could have made in the case, in accordance with law. If the trial magistrate were to award damages, the amount would be the figure within the jurisdiction conferred on him by the Magistrates Act. Obviously the grade 1 magistrate, in the conduct of the trial, was regulated principally by the Civil Procedure Act and the Civil Procedure Rules in addition to the Magistrates Courts Act.

It follows that in making any orders which the trial magistrate could make, the Court of Appeal will, in effect, be applying Civil Procedure Act, Civil Procedures Rules and the Magistrate Courts Act because those are the laws which give the trial magistrate jurisdiction and powers. If the court decided to award damages, the damages would be such that the amount would not exceed

what Magistrate's Act allows the trial magistrate to award. In short, section 2 makes it possible for the Court of Appeal to dispose of the case completely, instead of returning it to a trial magistrate to make the orders in conformity with decision of the Court of Appeal. The same is the case where the court determines an appeal from a decision of the High Court made in exercise of original jurisdiction. Obviously, I am not dealing with cases where a retrial is ordered.

Accordingly, I think that (*a*) and (*b*) of the ground of appeal properly drew to our attention the illegality which I have attempted to correct in this judgment.

In my considered view, it is a misunderstanding and erroneous to infer that because in the *Allports Freight* case (*supra*) and in other cases this Court indicated that both section 72 and section 74 do not apply to appeals in this Court, therefore, or similarly, those sections do not apply to the Court of Appeal. The two sections are very clear. I have already explained in this judgment why the sections govern appeals in the Court of Appeal. It may not be so helpful to include cases not cited to us, but I would say that any decisions of the Court of Appeal, in which that court held that the Civil Procedure Act as a whole or sections 72 and 74 thereof do not apply, must have been wrongly decided and represent bad law (*sic*).

There is the other aspect to the aborted appeal, which the appellants' counsel argued to the effect that because sections 74 and 75 apply to the two grounds of appeal which I have already reproduced, therefore the Court of Appeal has no jurisdiction to hear argument thereon and determine them. I do not want to fetter the Court of Appeal on how it will decide the pending appeal, as it is yet to consider the merits of the appeal. I would, however, point out, that the formulation of grounds of appeal in the Court of Appeal are regulated, not by section 74, but by rule 65(2) of the rules of that court. Grounds or any of them may ordinarily be rejected, if all or any of them, offend that rule which reads:

> "The memorandum of appeal shall set forth concisely and under distinct heads, numbered consecutively, without argument or narrative, the grounds of objection to the decision appealed against, specifying, in the case of a first appeal the points of law or fact or mixed law and fact and, in the case of a second appeal, *the points of law, or of mixed law and fact* which are alleged to have been wrongly decided . . ."

Generally, therefore, objection to any ground of appeal in the Court of Appeal can be based on these provisions.

Before concluding, I have an observation to make. Much as I appreciate that the points raised in the aborted appeal are important in that the same have enabled this Court to clarify the relevancy and applicability of Civil Procedure Act and especially, of the new sections 72 and 74 of the Civil Procedure Act, the appellant should have allowed the appeal in the Court of Appeal to be heard and determined. She was free to oppose whatever she disagreed with in the appeal in the Court of Appeal and if the court decided against her, she could then launch an appeal to this Court and include in that appeal questions relating to the applicability of the two sections, that way time would have been saved.

Although the court appreciates the fact that counsel for the appellant has through an aborted appeal drawn the attention of court to an error which has been corrected now, I do not think that the appellant should get any costs. I would, therefore, make no order as to costs in this matter.

Karokora JSC: I have had the advantage of reading in draft the judgment prepared by my learned brother, Justice JWN Tsekooko JSC, and entirely agree with him that the appeal to this Court is incompetent as it emanated from an interlocutory order of magistrate grade 1.

I, further, agree with him that the Court of Appeal ought not to have granted leave to Beatrice Kobusingye to appeal to this Court, as the purported appeal was emanating from an interlocutory order. Section 6(2) of the Judicature Act, prohibits such appeal. It provides that:

> "2 Where an appeal emanates from a judgment or order of a Chief Magistrate or a magistrate grade 1 in the exercise of his or her original jurisdiction, *but not including an interlocutory matter*, a party aggrieved may lodge a third appeal to the Supreme Court on the certificate of the Court of Appeal that the appeal concerns a matter of law of great public or general importance, or if the Supreme Court considers, in its overall duty to see that justice is done, that the appeal should be heard."

In result, the purported appeal is incompetent and must be struck out.

I, accordingly, adopt the orders proposed by my learned brother, Justice Tsekooko JSC.

Odoki CJ, Oder and Kanyeihamba JJSC concurred in the judgment of Tsekooko JSC.

For the appellant:
Mr Tibaijuka

For the respondent:
Mr Babigumira

Leperes and others v Nkama Group Ranch and others
[2005] 2 EA 119 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	16 June 2005
Case Number:	124/05
Before:	Omolo, Waki and Deverell JJA
Sourced by:	Lawafrica

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[1] Land – Group ranches – Procedure of determination who is or is not a member of a group ranch.

Editor's Summary

The applicants brought an application under rule 5(2)(*b*) of the Court of Appeal Rules seeking injunctive relief. Their claim was that they ought to have been registered as members of the first respondent but that the respondents refused, or neglected, to so register them. Meanwhile, the first respondent was sub-dividing with a view to issuing separate titles to members in its register. If the sub-division was completed and titles issued before the applicants are registered as members, they averred that they would lose out. The applicants' application to the High Court, to restrain the respondents from subdivision of the disputed land, was dismissed hence the current application.

Held – The jurisdiction to determine who is or who is not a member of a group ranch under the Land (Group Representatives) Act is first with the majority of the group representatives, who have to sign a certificate stating who is or who is not a member. Any party aggrieved with such a decision may proceed to the court of a district magistrate exercising jurisdiction in the area where the ranch is situated, whose determination is final and there is no right of appeal.

The applicant had not even applied for the certificate and, therefore, the intended appeal stood no chances of success.

Application disallowed.

No cases referred to in judgment

Judgment

Omolo, Waki and Deverell JJA: The twenty applicants who are apparently being led by James Ashira Kesere who appears on the list as the second applicant and who has sworn an affidavit on behalf of the others, are asking us for an order of injunction against the respondents, Nkama Group Ranch, Kerempu Kaata and William Kayiaa. The applicants' notice of motion asking for an injunction is brought pursuant to rule 5(2)(*b*) of the Court's Rules. The first respondent, Nkama Group Ranch, is the registered owner of the property known as land reference number Kajiado/Kaputiei South/94 and the first respondent holds that land pursuant to the provisions of the Land (Group Representatives) Act Chapter 287 Laws of Kenya. The second and third respondents are, apparently, officers of the first respondent. The applicants appear to us to claim that they ought to be registered as members of the first respondent but that the respondents have refused or neglected to so register them. In the meantime, the first respondent is sub-dividing its land, with a view to issuing separate titles to the members in its register. If the sub-division is completed and titles issued before the applicants are registered as members, the applicants will lose out, as they will not get any land from the first respondent. So the applicants approached the High Court asking, first for an injunction to restrain the respondents jointly and severally, whether by themselves, their agents or servants, from sub-dividing the disputed land and issuing individual title deeds and secondly, an order compelling the respondents to issue to the applicants' certificate of membership and register the applicants as members of Nkama Group Ranch. Ransely J heard the applicants on these issues. He refused to grant to the applicants any of the orders they sought. The applicants are now before us under rule 5(2)(*b*) of the rules.

Do the applicants have an arguable appeal against the learned Judge's order refusing to grant them an order of injunction?

Bodies such as the first respondent are created by the Land (Group Representatives) Act, the Act hereinafter. Section 28 of the Act is in these terms:

> "Where a question arises whether a particular person is a member of a group a certificate signed by a majority of the group representatives shall be conclusive of the question:
>
> Provided that a person who is aggrieved by the issue of such a certificate may apply to a district magistrate's court having jurisdiction in the area, to determine the question, and in such a case the determination of the court shall be conclusive."

From this section, the jurisdiction to determine who is or who is not a member of a group ranch is first with the majority of the group representatives. They have to sign a certificate stating who is or is not a member. Once they sign that certificate and a party is aggrieved by their decision, the next course of action for such an aggrieved party, is to proceed to the court of a district magistrate exercising jurisdiction in the area where the ranch is situated. The determination of the district magistrate on the question of who is or who is not a member is conclusive and there is no right of appeal to the High Court. Mr *Ombette*, learned Counsel for the applicants, told us that the local district magistrate had declined to deal with the matter on the ground that he had no jurisdiction. We have read the ruling of the magistrate; he clearly recognised that he had jurisdiction to deal with the issue of disputed membership for he says in his ruling dated 16 February 1994:

> ". . . However, it should be noted that by virtue of section 28 of the Land (Group Representatives) Act, Chapter 287, this Court's jurisdiction is limited to the issue of determining members of group ranches. In view of the prayers sought in the plaint, it is my finding that this Court has no jurisdiction to entertain it. . ."

Earlier, the magistrate had concluded that the complaint of the applicants before him was that the applicants were questioning the sale of part of the ranch to another person. So the magistrate knew he had jurisdiction to determine the dispute as to who were or were not members of the group ranch but he thought that was not the question he had been asked to determine. The High Court declined to grant an injunction on the basis of section 28 of the Act. We do not seek that there could ever be an arguable point arising from that conclusion. Mr *Ombette* told us that the group ranch representatives had not issued the relevant certificate under section 28 of the Act, so as to enable the applicants to go before the magistrate. But there is nothing to show that the applicants had applied for the certificate and the group ranch representatives refused to issue one. The Act does not say whether the certificate is to be issued on demand or when a dispute arises. We think it would be good practice for group ranch representatives to issue the certificate as soon as a dispute as to membership arises but if they fail to do so, the aggrieved party should apply for the issue of one and if there is no response, other steps can be taken in the High Court to compel them to issue the certificate. On the material before us, we are not satisfied that the intended appeal by the applicants is an arguable one. Having so held, we need not deal with the issue of whether the appeal, if it were to succeed, would have been rendered nugatory nor are we inclined to deal with the issue of the validity or otherwise of the affidavit of which issue was raised by Messrs *Ndegwa-Shaw*, learned Counsel for the respondents. That issue must await determination on another occasion. The motion by the applicants, dated 10 May 2005, fails and we order that it be, and is hereby, dismissed with costs to the respondents.

For the appellant:
Mr Ombette

For the respondent:
Messrs Ndegwa Shaw

Lofty v Bedouin Enterprises Ltd
[2005] 2 EA 122 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment: 16 September 2005

Case Number: 253/03

Before: Omolo, Waki and Deverell JJA

Sourced by: Lawafrica

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[1] Arbitration – Reference of a matter of arbitration and stay of proceedings – Application must be made at the time of entering appearance.

Editor's Summary

By a registered lease dated November 1986, the appellant, then as landlord, entered into an agreement with the respondent, as tenant, for a period of seventeen years over a portion of land reference number 209/10502. Sometime in the year 2000, the appellant alleged that the respondent was in breach of certain terms of the lease and as a result, he was entitled to forfeit the lease. The appellant also instructed auctioneers to levy distress for non-payment of the rent payable under the lease. These actions precipitated civil suit number 1756 of 2000. The appellant filed a memorandum of appearance and a defence and counterclaim. Long after entering an appearance and filing defence, the appellant made an application to the High Court that the proceedings be stayed and the dispute be referred to arbitration. The application was heard and dismissed by Githinji J (as he then was) on the ground that it ought to have been made at the time of entering appearance and not long after entering an appearance and filing of defence.

Held – the court is entitled to reject an application for stay of proceedings and referral thereof to arbitration if the application to do so was not made at the time of entering appearance, or if no appearance is entered, at the time of filing any pleadings or at the time of taking any steps in the proceedings.

The grounds upon which a court can refuse to refer a matter to arbitration are; that the arbitration agreement is null and void, inoperative or that there is not, in fact, any dispute between the parties with regard to the matters agreed to be referred to arbitration.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Bedouin Enterprises Ltd v Lofty and and another Civil case number 1756 of 2000

Judgment

Omolo, Waki And Deverell JJA: Section 6(1) of the Arbitration Act of 1995, provides:

> "6(1) A court before which proceedings are brought in a matter which is the subject of an arbitration agreement shall, if a party so applies not later than the time

> when that party enters an appearance or files any pleading or takes any other step in the proceedings, stay the proceedings and refer the parties to arbitration unless it finds:
>
> (*a*) that the arbitration agreement is null and void, inoperative or incapable of being performed; or
>
> (*b*) that there is not, in fact, any dispute between the parties with regard to the matters agreed to be referred to arbitration."

On plain reading of that section, before the court can consider the issues raised in paragraphs (*a*) and (*b*) of section 6(1) of the Act, the court has to satisfy itself that the party applying for reference to arbitration has applied to the court:

> ". . . not later than the time when that party enters appearance or files any pleadings or takes any other step in the proceedings . . ."

In Civil case number 1756 of 2000 between *Bedouin Enterprises Limited v Charles Njogu Lofty and Joseph Mungai Gikonyo t/a Garam Investments*, which constituted another aspect of the present dispute now before us, Githinji J (as he then was) had rejected the argument that an application for reference to arbitration can be made at three stages, namely at the stage of entering appearance or at the stage of filing any pleadings or at the time of taking any step in the proceedings. The learned Judge had there held:

> "In my view, section 6(1) of the Arbitration Act of 1995 which the court is construing means that any application for stay of proceedings cannot be made after the applicant has entered appearance or after the applicant has filed pleadings or after the applicant has taken any other step in the proceedings, so the lastest permissible time for making an application for stay of proceedings is the time that the applicant enters appearance. It seems that the object of section 6(1) of the Arbitration Act of 1995, was, *inter alia*, to ensure that applications for stay proceedings are made at the earliest stage of the proceedings. Section 6(1) of the Arbitration Act, Chapter 49 (now repealed) allowed applications for stay of proceedings to be made at any time after the applicant has entered appearance. Section 6(1) of the Arbitration Act of 1995, has changed the law as it does not permit an application for stay of proceedings to be made after entering an appearance. That is the only aspect of the law that has been changed."

We respectfully agree with these views, so that even if the conditions set out in paragraphs (*a*) and (*b*) of section 6(1) are satisfied the court would still be entitled to reject an application for stay of proceedings and referral thereof to arbitration, if the application to do so is not made at the time of entering an appearance or if no appearance is entered, at the time of filing any pleading or at the time of taking any step in the proceedings.

The dispute between Charles Njogu Lofty, the appellant herein, and Bedouin Enterprises Limited, the respondent herein, basically concerns the interpretation given by GBM Kariuki J section 6(1) of the 1995 Act, the Act hereinafter, in light of the circumstances surrounding the dispute.

By a registered lease dated 27 November 1986, the appellant as the landlord, entered into an agreement with the respondent, as tenant, for a period of seventeen years over a portion of the premises, known as land reference number 209/10502, at an agreed rent. The lease was apparently to expire on 30 June 2003. Sometime in the year 2000, the appellant alleged that the respondent was in breach of certain terms of the lease and that as a consequence of the breach, the appellant was entitled to forfeit the lease. The appellant also instructed one Joseph Mungai Gikonyo t/a Garam Investments to levy distress for

non-payment of the rent payable under the lease. These actions on the part of the appellant precipitated civil suit number 1756 of 2000, to which we have already referred, and in that suit the respondent had sued for declarations that it [the respondent] was not in breach of any term(s) of the lease, that the distress levied on its goods and chattels was unlawful and lastly for an injunction restraining the appellant, its servants and agents from forfeiting or attempting to forfeit the lease or re-entering or attempting to re-enter or repossessing the demised premises on the basis of the alleged breach or breaches of the lease. Pending the hearing of the suit, the respondent obtained an *ex parte* injunction which was extended on various occasions. High Court civil case number 1756 of 2000 was filed by the respondent on 27 October 2000. On 6 November 2000, the appellant entered an appearance and on 5 December 2000, the appellant filed his defence and counterclaim. In his defence and counterclaim, which was subsequently amended on 11 June 2002, the appellant alleged various breaches of the lease by the respondent and prayed for, among other things:

> "(i) a declaration that the plaintiff is in breach of the lease agreement.
>
> (ii) an order that the plaintiff gives possession of the suit premises to the first defendant (the appellant)."

Meanwhile on 20 April 2001, the appellant, long after he had entered appearance and filed his defence, made an application to the High Court praying for an order that the proceedings be stayed and the dispute be referred to arbitration. The lease agreement had provided in clause 6(2) that:

> "Any dispute or difference between the parties hereto and all claims for compensation (if any) arising out or in connection with this lease shall be referred for decision to a valuer or estate agent appointed by the chairman for the time being of the Estate Agents or Valuers Board from among persons of not less than ten (10) years standing as valuers or estate agents, in accordance with the provisions of the Arbitration Act (Chapter 49) Laws of Kenya or any statutory modification or re-enactment thereof for the time being in force."

The application for stay of proceedings and referral to arbitration was the one heard by Githinji, J and as we have seen, he held that the application should have been made at the time of entering appearance, not long after appearance and filing of defence. Githinji J dismissed the application with the result that High Court civil case number 1756 of 2000 is still pending and alive in the High Court.

As we have already seen, the lease agreement was to come to an end on or before 30 June 2003 but clause 6(3) of the agreement provided that:

> "6(3) The lessor shall on the written request of the lessee made three (3) calendar months before the expiration of the term hereby created and if there shall not at the time of such request be any existing breach or non-observance of any of the covenants on the part of the lessee herein before contained at the expense of the lessee grant to it a lease of the demised premises for a further term of ten (10) years at the rent set out in clause 3(*b*) herein or such higher rent as may be agreed between the parties but containing the like covenants and provisions as herein contained except the present covenant for renewal the lessee on the execution of such renewal to execute a counterpart thereof."

The respondent was anxious to avail itself of the renewal provision and on 20 March 2003, the respondent gave to the appellant a written notice for the renewal of the lease. The appellant, by a letter dated 16 March 2003, (obviously

there was some mistake about the date of this letter) told the respondent that he would not renew the lease:

> "On account of your persistent and very deliberate breach of the terms and conditions of the current lease, you are hereby advised that I shall not accede to a grant of further lease over part of the above premises."

On 26 May 2003, the appellant visited the premises and told the employees of the respondent to inform the respondent that it must vacate the premises on or before 30 June 2003. So on 24 June 2003, the respondent once again returned to the High Court and filed High Court civil case number 634 of 2003, which is the subject of the appeal before us. In that case, the respondent, having recited the various covenants and conditions in the lease and having denied that it was in breach of any covenant or condition, sought a declaration that the option for renewal of the lease was binding upon the appellant and that the respondent was entitled to have the lease renewed for a further ten years. The respondent also asked for an order of specific performance directing the appellant to grant to the respondent a renewal of the lease in accordance with the renewal provision in clause 6(3).

This time around, the appellant was represented by Mr Ochieng *Oduol*, his present advocate and on entering appearance on 2 July 2003 the appellant, at the same time, filed a chamber summons under section 6 of the Act asking for stay of proceedings and referral to arbitration in terms of clause 6(2) of the lease. This was the application heard by Mr Justice Kariuki who, in a considered ruling, dismissed the same on 17 September 2003. The appellant now appeals to us against that order.

The learned Counsel for the appellant Mr Ochieng' *Oduol* argued before us, as he did before the superior court, that the relief sought in High Court civil case number 1756 of 2000 was wholly different from that sought in the present suit. In the first suit, the relief sought was a declaration that the respondent was not in breach of the terms of the lease, that the distress levied was unlawful, an injunction to restrain re-entry and taking possession of the premises. As at the stage when the first suit was filed, the question of renewal of the lease had not arisen as the lease still had some years to run. In the second case, what was sought was a declaration as to the binding nature of the renewal clause, and the specific performance of the agreement to renew. According to Mr Ochieng *Oduol* the two cases were accordingly different and the learned Judge of the superior court was wrong in holding that since the High Court had refused to refer the earlier case to arbitration, it would be wrong to refer the present one to arbitration as that would mean that the same issue raised in the two cases would be decided in two different fora (*sic*). According to Mr Ochieng *Oduol*, the issues to be considered by the judge were those contained in paragraphs (*a*) and (*b*) of section 6(1) of the Act and a judge has no jurisdiction to go outside those strict perimeters.

Mr *Nyaoga*, learned Counsel for the respondent, supported the decision of the superior court. According to Mr *Nyaoga*, the earlier suit had been brought on the issue of alleged breaches of the terms of the lease and the respondent was, therefore, seeking a declaration that it was not in breach of any of the terms of the lease. What necessitated the first suit was the appellant's contention that the respondent was in breach and that therefore, the appellant was entitled to forfeit the lease. The question of failure to pay the rent reserved was part of the alleged breaches and was also in issue in the case. In the second case, the respondent

sought a renewal of the lease. The appellant resisted on the ground that the respondent was in breach of the terms of the lease. So that in both cases, submitted Mr *Nyaoga*, the issue of whether the respondent was in breach of the terms of the lease would have to be determined and in paragraph 11 of the plaint in the second suit the respondent specifically pleaded the existence and pendency of the earlier case and that it (the respondent) would at the hearing ask the court to consolidate the two suits. Mr *Nyaoga*, also contended in the superior court, though not so much in this Court, that the question of whether or not there were breaches of the terms of the lease is an issue of law which cannot be determined by a lay arbitrator. This last contention by Mr *Nyaoga* has no basis in law and he did not cite any authority for it. As we have seen, under section 6(1)(*a*) and (*b*) of the Act, the grounds upon which a court can refuse to refer a matter to arbitration are clearly set out, namely that the arbitration agreement is null and void, inoperative or that there is not, in fact, any dispute between the parties with regard to the matters agreed to be referred to arbitration. There is no other sub-head that the matter is one requiring the determination of issue or issues of law and therefore, cannot go to arbitration. We reject this contention by Mr *Nyaoga*.

Was the learned Judge right in refusing to stay the proceedings before him and referring the matter to arbitration as is mandatorily required under section 6(1) of the Act?

In the circumstances of this case, we have not the slightest doubt that the learned Judge was right in refusing to refer the matter to arbitration. One central issue is involved in the two cases, namely the issue of whether the respondent had breached the terms of the lease. If the respondent was in breach of the terms of the lease, then the appellant would have been entitled to forfeit the lease and that must be why in his defence and counterclaim in the first suit the appellant was also praying for a declaration that the respondent was in breach of the lease agreement and for an order that the appellant was entitled to take possession of the suit premises. Both parties in that suit were asking the court to determine whether or not the respondent was in breach of the terms of the lease.

Had the appellant been properly advised, the first suit would likely have been referred to arbitration. But the appellant filed his application for referral to arbitration long after he had lost the right to make such a request and Githinji J rightly refused his application, with the consequence that the superior court will still have to determine whether or not the respondent breached the terms of the lease. In the second suit, the respondent is asking for the renewal of the lease and contends that it is entitled to a renewal as it has not breached the terms of the lease. The appellant resisted that claim on the ground that the respondent was in breach of the terms of the lease. If the matter was referred to arbitration, the arbitrator would have to determine whether or not the respondent had breached the terms of the lease. That question, as we have seen, is pending before the High Court in the first case, and it is pending there because the appellant had lost his right to have the same referred to an arbitrator for determination (*sic*). There is no reason why one and the same issue should be determined in two different fora (*sic*). That being so, the arbitration agreement is inoperative as to those issues with the result that the superior court is permitted, by section 6(1)(*a*) of the Arbitration Act, to decline to stay the proceedings and those issues to arbitration as was the conclusion of the learned Judge of the

superior court. We entirely agree with him and, that being our position on the matter, this appeal must fail. We order that the appeal be, and is hereby, dismissed with the costs thereof to the respondent.

For the appellant:
Mr Ochieng Oduol

For the respondent:
Mr Nyaoga

Lyomoki and others v Attorney-General
[2005] 2 EA 127 (CCU)

Division:	Constitutional Court of Uganda at Kampala
Date of judgment:	2005
Case Number:	8/04
Before:	Mpagi-Bahigeine, Engwau, Twinomujuni, Byamugisha and Kavuma JJA
Sourced by:	Lawafrica

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[1] Constitutional law – Freedom of association – Definitions of freedom to associate – Derogations from the freedoms to associate.

[2] Constitutional law – Principles of interpreting the Constitution.

[3] Trade Unions Act – Constitutionality of various provisions of the Trade Unions Act – Effect of contravention provisions of Constitution

Editor's Summary

The petitioners sought declarations, under Article 137 of the Constitution and the Rules of the Constitutional Court (Petitions for declarations under Article 137 of the Constitution) (Directions L.N. number 4 of 1996) that the definition of an employee association under section 1(*cc*) of the Act, insofar as it set the minimum number of persons required to form an employees association; that the definition of a trade union in section 1(*cc*) of the Act, insofar as it prescribes 1000 people as the minimum number required to form a trade union; that section 2(1) of the Act insofar as it ordains the National Organisation of Trade Union as the only principal organisation of employees and provides for compulsory affiliation of every trade union; that Section 28 insofar as it subjects a proposed amalgamation of trade unions to the prior consent of a registrar of the Trade Unions; and that the powers of the Minister of Labour, Gender and Community Development under section 70 to amend the second schedule, all contravene the Constitution

Held – When interpreting an application for constitutional interpretations:

(i) The onus is on the petitioner to show a *prima facie* case of violation of their constitutional rights. Thereafter the burden shifts to the respondent to justify that the limitations to the rights in the statute is justified by Article 43 of the Constitution;

(ii) The purpose and effect of an impugned legislation are relevant in the determination of constitutionality;

(iii) The Constitution ought to be looked at as a whole with no one particular provision destroying another but each supporting the other. All the provisions on an issue should be considered together so as to give effect to the purpose of the instrument;

(iv) The Constitution should be given a generous and purposive construction especially the part which protects the entrenched fundamental rights and freedoms;

(v) Where human rights provisions conflict with other provisions of the Constitution, human rights provisions take precedence and interpretation should favour enjoyment of human rights and freedoms.

(*James Rwanyarare and others v Attorney-General* Constitutional Petition number 7 of 2002 followed).

The freedom of association includes the freedom to enter into consensual arrangements to promote common interests and the freedom to disassociate or not associate at all. (*Collymore v Attorney-General* [1970] AC 352; *TICGFA and Attorney-General v Sereeram* [1975] 27 WLR 329 applied).

The provisions of section (1)(*e*) of the Trade Unions Act impose a limitation on the freedom of association guaranteed under Articles 29(1)(*e*) and 40(3) of the Constitution as it prevents 29 or less employees employed in the same business or industry from forming an association for purposes of regulating relations with their employer or among themselves. The freedom of association guaranteed under the Constitution can be enjoyed by two or any other number of people unless there is a justifiable reason against it. To the extent that the section prescribes a minimum of 30 employees in order for the association to be formed, it is null and void.

Although sections 1(*cc*) and 6(3) of the Trade Union Act requiring a minimum of 100 employees for a trade union to be formed appears to limit the freedom of association, the limitation is justifiable and the two sections do not contravene the Constitution.

Section 17(1)(*e*) of the Trade Union Act requiring that for an employer to recognise a trade union, 51 percent of his employees must be registered members of the union, limits the freedom of association guaranteed by Articles 29(1)(*e*) and 40(3) of the Constitution. However, these limitations are justified to avoid a situation where an employer has to negotiate with two or more trade unions representing employees who have common interests. It is reasonable to require that employees with common interests and in the same employment organise themselves, or at least a majority of them, in one union.

There is a contradiction between the provisions of section 2 of the Act and those of the Constitution. It is unconstitutional to form one organisation by legislation and to require all trade unions to affiliate to it. Hence section 2 of the Act, to the extent that it requires all trade unions to affiliate with NOTU is inconsistent and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) and is, therefore, null and void to that extent.

The requirement in section 28 of the Act that trade unions obtain consent from the registrar in order to amalgamate is reasonable and does not contravene Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) because it is justifiable under Article 43 of the Constitution.

Section 70(1)(*c*) of the Act giving the Minister powers to amend the schedule of the class of employees not allowed to join trade unions is reasonable and does not contravene Article 20 of the Constitution.

By prescribing a minimum number for employee associations and trade unions, the Act does not take away the employees' right and freedom to associate within the context of the Constitution nor does the fixing of minimum percentages for trade unions to be recognised by employers take away those rights and freedoms. The Act merely seeks to limit and regulate the enjoyment of those rights and freedoms. It also seeks to ensure order and harmony between the employees and employers at the workplace and to minimise the proliferation of employee associations and trade unions to reduce *inter alia* the risk of possible disruption of work and hardship in the management of industrial relations between employees and their employers. (Kavuma JA dissenting)

The right and freedom to associate is not absolute, it is derogable, as is the right to collective bargaining and representation. Regulating the trade union movement and the aspect of affiliation to NOTU, as a single national employee centre by all trade unions, is still necessary and justifiable. This is simple derogation permitted by the Constitution. (Kavuma JA dissenting)

Sections 1(*e*), 1(*cc*), 6(3) and 17(1)(*e*) are not inconsistent with Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution; section 2(1) is not inconsistent with Article 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution; Section 28 is not inconsistent with Article 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution and section 70 is not inconsistent with Article 20 of the Constitution (Kavuma JA dissenting)

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Attorney-General v Abuki [2001] 1 LRC 63

Attorney-General v Major General Tinyefuza, Constitutional appeal number 1 of 1997

Collymore v Attorney-General [1970] AC 532 at 547

Dr James Rwanyarare and another v Attorney-General Constitutional Petition number 5 of 1999

Tinyefuza v Attorney-General Constitutional case number 1 of 1996

Silvatori Abuki and another v Attorney-General Constitutional case number 2 of 1997

Zachary Olum and another v Attorney-General Constitutional Petition number 6 of 1999

United Kingdom

Attorney-General v Momoddon Jobo [1984] AC 689

NTN Pty Ltd and NBN Ltd v The State 1988 LRC (Const)

South Dakota v North Carolina 192, US 268 (1940) LED 448.

TICGFA and Attorney-General v Seereeram [1975] 27 WLR 329

Judgment

Twinomujuni JA:

Introduction

This petition was brought under Article 137 of the Constitution and the Rules of the Constitutional Court (Petitions for Declarations under Article 137 of the Constitution) Directions LN number 4 of 1996. The petitioners are seeking the following declarations:

"(*a*) That the definition of an employees' association in section 1(*cc*) of the Act, in as far as it sets the minimum number of persons required to form an employees association, is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*b*) of the Constitution.

(*b*) that the definition of a trade union in section 1(*cc*) of the Act, in as far as it prescribes 1000 persons as the minimum number required to form a trade union, is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

(*c*) That section 2(1) of the Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) of the Constitution in as far as it:

(i) ordains the National Organisation of Trade Unions as the only principal organisation of employees in Uganda;

(ii) provides for compulsory affiliation of every trade union registered under the Act to the National Organisation of Trade Unions.

(*d*) That section 6(3) of the Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) of the Constitution, in as far as it prohibits the registration of a trade union whose membership is less than 1000 persons.

(*e*) That section 17(*e*) of the Act is inconsistent with and contrary to Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution, in as far as it sets 51 percent as the minimum percentage of employees required to have subscribed, willingly, to a trade union before the employer recognises that trade union.

(*f*) That section 28 of the Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(*a*) and (*b*) of the Constitution, in as far as it subjects a proposed amalgamation of one or more trade unions to the prior consent of a registrar of Trade Unions.

(*g*) That section 70 of the Act is inconsistent with and contravenes the fundamental freedoms enshrined in Articles 20, 21(1), 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution, in as far as it allows a Minister of Labour, Gender and Community Development to amend the second schedule to the Act by addition thereto.

(*h*) That trade unions are free to form and affiliate to any centre or umbrella organisation of their choice and those other organisations or centres are entitled to recognition as alternatives to NOTU and to enjoy the immunities and privileges conferred by the Act to such centres or organisations.

(*i*) That the workers organised under the unions that decided to form and affiliate to the Central Organisation of Free Trade Unions, were at liberty to exercise their constitutional right.

(*j*) An order that the respondent pays the costs of this petition to the petitioners."

The petition is supported by the affidavit of the first petitioner. The gist of the affidavit is that the Trade Union Act, 1976 establishes one organisation called, the National Organisation of Trade Unions (Uganda), hereinafter referred to as NOTU. All trade unions in Uganda are compelled to affiliate with NOTU. The petitioners being unhappy with the manner NOTU is being managed,

decided to form another centre called the Central Organisation of Free Trade Unions (Uganda) (COFTU). On seeking its registration under the Act, the government declared it unlawful and refused registration, hence this petition.

The respondent filed an answer to the petition. The answer is a total denial of all the averements made in the petition. It is supported by an affidavit of one Sam Serwanga, a Senior State Attorney in the Attorney-General's chambers. He deponed that in his capacity as an advocate, he does not find any provision of the Trade Union Act, Chapter 233 to be inconsistent with or in contravention of any provision of the Constitution of Uganda, 1995. The answer is further supported by a supplementary affidavit sworn by another state attorney, Margaret Nabakooza, in which she deponed that in many European countries, like United Kingdom, Austria, Latvia, Ireland and Slovakia, they have only one National Trade Union Centre, just like NOTU. At the trial, the facts deponed to in the affidavits were not in dispute except the legal issues of interpretation.

A Brief History of The Trade Union Movement in Uganda

In order to be able to appreciate why the impugned provisions of the Trade Union Act, 1976 have become controversial, it is necessary to have a glimpse at the history of the trade union movement in Uganda since independence, in 1962. At that time trade unions were governed by The Trade Union Ordinance, 1952. The Ordinance remained in force until it was repealed by The Trade Unions Act, 1965 which came into force on 2 July 1965. The purpose of the Act was stated to be:

> "to amend and consolidate the law relating to the registration of trade unions, and other purposes connected therewith."

The Act gave power to the Minister to appoint a registrar and assistant registrars whose main duty was to keep and maintain a register of trade unions in which particulars as may be prescribed by the Minister were recorded, and such other books and documents as the Minister may direct.

All trade unions were required to register with the registrar. A trade union was defined as:

> "any combination, whether temporary or permanent, of more than thirty persons, other than an employees' association, not deemed a trade union under the provisions of section 48 of the Act, the principal object of which are under its Constitution, the regulation of relations between employee and employer, or between employees and employers, or between employers and employees, whether such a combination would or would not, if this Act had not been enacted, have been an unlawful combination by reason of some or more of its objects being in restraint of trade."

An employees association was also defined as:

> "any combination or association whether temporary or permanent of thirty or more persons in the same type of employment, or in the same trade or industry, whether agricultural or otherwise, the principal object of which is the regulation of the relations between the employees and their employer or between themselves, whether or not it is required to notify its establishment under the provisions of section 48 of this Act."

In order to be eligible to be registered, the application form had to be signed by at least 10 members of the union. A trade union was deemed to be formed if at least 30 employees or employers agreed, in writing, to form a trade union. The requirement of at least 30 employees or employers could be waived in case of any trade or business where the employees are not more than 30 in number.

No trade union which was not registered under the Act, would be allowed to operate but the trade unions were allowed to be the negotiating bodies for the employees. The Act bound the employers to negotiate with registered branches. In that Act, there was no requirement that the union would only be recognised by the employer if 51 percent of the employees were members.

Under section 24 of the Act, trade unions were free with prior consent of the registrar to amalgamate to form federations or congresses, by whatever name called, which would also be required to register with the registrar. Section 64 excluded soldiers, policemen, prisons officers from membership of trade unions.

It will be observed that under the 1965 Trade Unions Act, the Minister exercised purely regulatory powers through the registrar and did not supervise or control the operations of the trade unions. There was no single national trade union centre to which all other unions were required to affiliate.

After the publication of what is known as the Binaisa Commission Report on Trade Unions of 1968, this arrangement was brought to an end by The Trade Unions Act of 1970, which came into force on 31 December 1970. The purposes of the new Act were stated to be:

> "to establish and regulate an *integrated employees' trade union, to dissolve the former Uganda Labour Congress and all other trade unions registered under the Trade Unions Act of 1965*, to provide for the formation of branch unions, and for other purposes connected therewith." (Emphasis mine.)

Section 1 of the Act established a single trade union called Uganda Labour Congress which was to be the only trade union in Uganda. All the properties, rights, liabilities and obligations of the former Uganda Labour Congress and all other registered unions were vested in the new Uganda Labour Congress by virtue of the Act. The newly established union was permitted to operate branches which could amalgamate with the prior consent of the registrar of Trade Unions. All the members of the abolished trade unions became automatic members of the Uganda Labour Congress.

All the branches of the Congress were required to be registered with the registrar, as long as they had at least 1000 employees. Section 18(1)(*e*) of the Act provided:

> "a registered branch union, members of which are his employees, shall be the negotiating body with which the employer shall be bound to deal in respect of all matters relating to the relations between him and those of his employees who fall within the scope of membership of the registered branch union, if at *least ten per centum of such employees are members of the branch union*" (Emphasis mine.)

To register, a branch union had to have a minimum of 1000 members. Other than those radical changes, most provisions of the 1965 Act were retained and the Minister and the Minister's powers remained regulatory through the office of the registrar of Trade Unions.

After the takeover of government by the Iddi Amin military regime, the Trade Unions Act of 1970 was amended by the Trade Union Act, 1970 (Amendment) Decree of 1973, whose purpose was stated to be:

> "to amend the Trade Unions Act of 1970, to re-establish the freedom of employment, to form autonomous trade unions and other matters connected therewith."

Apparently, someone persuaded the new military government of Iddi Amin that the 1970 Act had abolished freedom of employment and the right to form

autonomous trade unions and that the name "Uganda Labour Congress" was not appropriate. So the new decree abolished the name and established the National Oraganization of Trade Unions (NOTU) and re-established the formation of trade unions whose minimum membership had to be at least 1000. All the unions had to affiliate to NOTU and to be registered by the registrar. The decree provided that an employer would not be bound to recognise or negotiate with a union unless 51 percent of his employees were registered with the union. The decree conferred on NOTU more powers, beyond mere regulation of trade unions, as had been the case hitherto, as follows:

> "1(2) The purposes of which the National Organisation of Trade Unions is established are:
>
> (*a*) to formulate policy relating to the proper management of trade unions and the general welfare of employees;
>
> (*b*) to co-ordinate and supervise the activities of trade unions in order to ensure that undertakings entered into by individual unions or by the National Organisation of Trade Unions on behalf of its affiliated unions are duly honoured;
>
> (*c*) to plan for and, in collaboration with other interested bodies or persons, administer workers education programmes;
>
> (*d*) to serve as a link between the registered trade unions on the one hand, and the government and other international organisations on the other, regarding all matters of mutual interest; and
>
> (*e*) to serve generally as consultant on all matters relating to trade union affairs."

Again, apart from these major changes, the rest of the 1970 Act was retained. A new section 16A was enacted to provide for the formation and registration of union branches of the registered trade unions. Again, amalgamation of the unions could be done with the prior consent of the registrar.

In 1976, The Trade Unions Decree, 1976 was enacted whose purposes were stated to be:

> "to amend and to consolidate the law establishing and regulating the National Organisation of Trade Unions and providing for the formation by employees of autonomous trade unions and branch unions of their own choice, and for other purposes connected therewith."

Apart from the consolidation of The Trade Unions Act, 1970 and The Trade Union Act 1970 (Amendment Decree) 1973, this 1976 decree did not introduce any significant changes in the substance of the trade union law. The Trade Unions Decree 1976 is now called the Trade Union Act, 1976 and it is the one whose impugned provisions are the subject of this petition.

The Issues

The following such issues were framed and agreed upon:

(1) Whether sections 1(*e*), 1(*cc*), 6(3) and 17(1)(*e*) of the Trade Unions Act are inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) in as far as they limit members required for the formation of employees associations, trade unions and set a minimum for recognition of trade unions by the employers.

(2) Whether section 2(1) of the Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

(3) Whether section 28 of the Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

(4) Whether section 70 of the Act in inconsistent with and contravenes Article 20 of the Constitution.

(5) Whether remedies prayed for should be granted.

Counsels' submissions

At the hearing, Mr Joseph *Luswata* represented the petitioners and Mrs Robinah *Rwakojo*, a Principal State Attorney, assisted by Ms Freda *Kabatsi*, a state attorney, represented the respondent.

Mr Joseph *Luswata*, learned Counsel for the petitioners, made the following arguments in support of the first issue:

(*a*) Sections 1(*e*), 1(*c*), 6(3) and 17(1)(*e*) set a minimum number that must be present in order to form employees association or a trade union, ie 30 and 1000 respectively. Section 17(1)(*e*) gives an employer a right not to recognise a trade union until 51 percent of his/her employees are members of that union. In counsel's view, this meant that if an organisation has less than 30 employees or more but less than 30 are willing to associate, those who are willing, even if they are 29 would not be able to associate. This contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

(*b*) In case of trade unions, if a sector does not comprise of one thousand members willing to associate, they cannot form a trade union. If they cannot, then it means that they cannot collectively bargain contrary to Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

(*c*) The requirement that 51 percent of employees must be members of a trade union before an employer recognises it is equally unconstitutional because if an employer does not recognise the union then it has no *locus standi* and cannot advocate for improvement of conditions of workers. In his view, there is no justification for such a condition at all. The definition of "trade union" or "employees' association" should be free of any numbers and should only focus on common goals or interests. He saw no reason why an organisation, sector or company should not have many trade unions.

In reply, Mrs *Rwakojo* submitted that freedoms of association guaranteed under Articles 29(1)(*e*) and 40(3) of the Constitution are not absolute. They can be derogated from. The setting of minimum numbers in the Act was required in order to establish some order in the exercise of the freedom of association to prevent a proliferation of numerous small employees associations and trade unions. She argued that trade unions can be easily manipulated by politicians and they tend to lose the aims for which they were established. In order to be viable, they need to compose of the requisite minimum number of employees.

On the second issue, Mr *Luswata* submitted that section 2(1) of the Act established NOTU as the only labour centre in the country and all trade unions are required to affiliate with it at the apex. This deprives the unions and its members the right of association, as they have no choice to choose with whom to associate and takes away their right not to associate if they choose to. He pointed out that section 2(*e*) of the Act gives regulatory, policy and enforcement roles to NOTU some of which contain limitations to the freedom of association that cannot pass the test in Article 43(2)(*e*) of the Constitution. In his view, the Act contains many provisions that can regulate trade unions without requiring them to belong to one centre. He gave an example of sections 6, 8, 9, 24, 32, 41, 42, 44, 45, 46, 56 etc which he submitted were enough to protect members of the trade unions and public interest.

Mrs *Rwakojo* did not agree. She argued that the requirement for all trade unions to affiliate with NOTU does not violate the Constitution. She said it was necessary to have one centre to prevent workers forming opportunistic unions and to centralise the formulation of trade union policy. In her view, this was a good thing for the workers of Uganda and did not go beyond what is acceptable in a democratic society.

On the third issue, Mr *Luswata* submitted that the requirement in section 28 of the Act that before unions can amalgamate, they must seek the consent of the registrar was clearly unconstitutional and contrary to Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution. In his view, once associations are formed, they should be free to merge and need no permission from anyone. If permission is sought and refused, members of the unions lose the right to collective bargaining, contrary to Article 40(3)(*a*) and (*b*) of the Constitution.

Mrs *Rwakojo*'s reply was that section 28 was intended to ensure that workers are not cheated through amalgamations and moreover, the registrar's refusal to consent to amalgamation of any unions can be appealed from. In her view, the provision was reasonable.

On the fourth issue, Mr *Luswata* pointed out that section 70 of the Act gave the Minister in charge of the Trade Union Act power to amend schedule II thereof. He submitted that this included power to exclude any person from participation in trade union activities, yet the power to participate in trade union activities is so fundamental and should not be left in the hands of one individual, to do so conflicts with Article 20 of the Constitution.

Mrs *Rwakojo*'s short reply was that section 70 of the Act did not authorise such a thing and that whatever the Minister did under the authority of that section was not final, but appealable in courts of law.

Consideration of and findings on issues

I. *Interpretation*

Guiding principles of constitutional interpretation**:**

Principles of constitutional interpretation in Uganda have been extensively articulated in numerous cases decided by the Constitutional Court of Uganda and the Supreme Court of Uganda. Some of the famous cases in which this has been done are:

(1) *Silvatori Abuki and another v Attorney-General*, Constitutional case number 2 of 1997.

(2) Attorney-General v Abuki (2001) 1 LRC 63.

(3) *Major General Tinyefuza v Attorney-General*, Constitutional case number 1 of 1996.

(4) *Attorney-General v Major General Tinyefuza*, Constitutional appeal number 1 of 1997.

(5) *Dr James Rwanyarare and Anor v Attorney-General*, Constitutional Petition number 5 of 1999.

(6) *Zachary Olum and Anor v Attorney-General*, Constitutional Petition number 6 of 1999.

This is to mention only a few. In this petition, I do not intend to go through all of them. I shall only mention a few, which I consider relevant to the determination of issues in this particular petition. They are to be found in the judgment

of the court in the case of *Dr James Rwanyarare and others v Attorney-General*, Constitutional Petition number 7 of 2002, and they are:

(1) The onus is on the petitioners to show a *prima facie* case of violation of their constitutional rights. Thereafter, the burden shifts to the respondent to justify that the limitations to the rights contained in the impugned statute is justified within the meaning of Article 43 of the Constitution.

(2) Both purpose and effect of an impugned legislation are relevant in the determination of its constitutionality.

(3) The Constitution is to be looked at as a whole. It has to be read as an integrated whole, with no one particular provision destroying another but each supporting the other. All provisions concerning an issue should be considered together so as to give effect to the purpose of the instrument. *See South Dakota v North Carolina* 192, US 268 (1940) LED 448.

(4) The Constitution should be given a generous and purposive construction especially the part which protects the entrenched fundamental rights and freedoms. *See Attorney-General v Momoddon Jobo* [1984] AC 689.

(5) Where human rights provisions conflict with other provisions of the Constitution, human rights provisions take precedence and interpretation should favour enjoyment of the human rights and freedoms. *See* Constitutional Petition number 5 of 2002 (*supra*).

II. *The Law*

In the Ugandan Constitution, unlike in many constitutions of countries of the Commonwealth, the provisions which guarantee the freedom of association and the right to form and participate in trade unions is unambiguous and very clear. They are to be found in Articles 29(1)(*e*) and 40(3) of the Constitution. Article 29(1)(*e*) provides:

> "Every person shall have the right to freedom of association which shall include the freedom to form and join associations or unions, including trade unions and political and other civic organisations."

Article 40(3) provides:

> "Every worker has a right:
>
> (*a*) to form or join a trade union of his or her choice for the promotion and protection of his or her economic and social interests;
>
> (*b*) to collective bargaining and representation; and
>
> (*c*) to withdraw his or her labour according to law."

The expression "freedom of association" is not defined in the Constitution. Decided cases on freedom of association in East Africa are not easy to come by. So we have to turn elsewhere in the common law jurisdictions for guidance. One definition is to be found in the privy council decision in *Collymore v Attorney-General* [1970] AC 532 at 547, a case originating from Trinidad and Tobago, in which Wooding CJ, stated:

> "Freedom of association means no more than freedom to enter into consensual arrangements to promote the common interest objects of the associating group. The objects may be any of many. They may be religions or social, political or philosophical, educational or cultural, sporting or charitable. But the freedom to associate confers neither right nor licence for a course of conduct or for the commission of acts which in the view of Parliament are inimical to the peace, order and good governance of the country."

In another case from the same country in *TICGFA and Attorney-General v Seereeram* [1975] 27 WLR 329, the Court of Appeal held that freedom of

association included the freedom to disassociate or not to associate at all. Hyatali CJ, stated that the right to disassociate was a natural concomitant of the right to associate.

In Uganda, like in many countries in the world, freedom of association is not absolute. It is subject to limitation contained in Article 43 of the Constitution which stipulates:

> "(1) In the enjoyment of rights and freedoms prescribed in this chapter, no person shall prejudice the fundamental or other human rights and freedoms of others or public interest.
>
> (2) Public interest under this Article shall not permit:
>
> (*a*) political persecution;
>
> (*b*) detention without trial;
>
> (*c*) any limitation of the enjoyment of the rights and freedoms prescribed by this chapter *beyond what is acceptable and demonstrably justifiable in a free and democratic society, or what is provided in this Constitution.*" (Emphasis mine.)

So, in this petition and in respect of every impugned provision of The Trade Union Act, 1976, the court must consider and answer two questions:

(*a*) Does the impugned provision infringe the freedom of association guaranteed in Articles 29(1)(*e*) and 40(3) of the Constitution?

(*b*) If the answer is in affirmative, is the provision justifiable within the meaning of Article 43(2)(*c*) of the Constitution?

If the answer to both these questions is in affirmative, then the impugned provision does not violate the Constitution and cannot be successfully challenged in this Court. If the answer to (*b*) above is in the negative, then the impugned provision contravenes the Constitution and must be declared null and void.

III. *Issue number 1*

In this issue, four sections of The Trade Unions Act, 1976 are challenged as being in contravention of, or inconsistent, with the freedom of association Articles of the Constitution. They are:

(*a*) Section 1(*e*) which is the definition of an "*employee association*".

(*b*) Section 1(*cc*) which is the definition of "*trade union*".

(*c*) Section 6(3) which stipulates that a union must have at least 1000 members before it is registered as such.

(*d*) Section 17(1)(*e*) which provides that for a union to be recognised by an employer, at least 51 percent of his or her employees must be registered members of that union.

I will consider each section separately, except sections 1(*cc*) and 6(3) which I will consider together for reasons which will be easy to appreciate.

Section 1(*e*)

In this section an employees association is defined as follows:

> "any combination or association whether temporary or permanent of *thirty or more persons* in the same type of employment, or in the same trade or industry, whether agricultural or otherwise, the principal object of which is the regulation of the relationship between the employees and their employers or between themselves whether or not it is required to notify its establishment under section 55." (Emphasis mine.)

It is the contention of the petitioners that the requirement that to form an employees association, there must be at least thirty employees of the same trade

or industry is an unjustifiable infringement of the freedom of association and contravenes Articles 29(1)(*e*) and 40(3) of the Constitution. Counsel for the petitioners did not see why employees of a small business numbering 29 or less, should not associate for the purpose of dealing with their employer or with each other.

On the other hand, Mrs *Rwakojo* for the respondent explained that the requirement of 30 employees minimum to form an employees association is meant to establish some order in labour relations and not to limit the freedom of association. She did not explain how such limitation could establish order. In her view, the provision was reasonable because freedom of association was not absolute.

I do not find any difficulty in deciding that the provisions of section (1)(*e*) of The Trade Unions Act impose a limitation on the freedom of association guaranteed under Articles 29(1)(*e*) and 40(3) of the Constitution. This is because in labour relations, that provision prevents 29 or less employees, employed in same business or industry, from forming an association for purposes of regulating relations with their employer or among themselves. The freedom of association guaranteed under the Constitution can be enjoyed by two or any other number of people unless there is a justifiable reason against it. The only remaining question, then, is whether the limitation can be justified under Article 43(2)(*c*) of the Constitution. The burden to make the justification is on the respondent - the state- which seeks to assert that the provision is justified. Counsel for the respondent did not give any sound reason to justify the provision.

Employees associations are not trade unions at all. In his book **"***Trade Union Law In Uganda***",** Sabastian Angeret, a former lecturer at the Law Development Centre, now in private practice, comments at 7 on employees associations as follows:

> "It has been pointed out (by Scott and Roger in 'The Development of Trade Unions in Uganda') that employees' associations were introduced as probationary trade unions, that is, as embryonic organisations which would be afforded time to gain organising experience before becoming fully fledged trade unions. During that time, they would be exempt from compliance with the strict regulatory provisions to which trade unions were subject. At the same time they would not enjoy the rights and privileges conferred on trade unions, such as the right to sue and be sued in its own name, the capacity to enter into contracts, and the right to own property. In result, they were not expected during that probationary period to undertake or fulfil any significant industrial relations function such as collective bargaining. Their only right was the right to exist and to prepare themselves to gain admittance to the status of trade unions."

Further at 8, he states:

> "As already indicated employees' associations are not expected to assume any significant industrial relations functions. Thus, an employees' association is prohibited either by itself or through any person from collecting even from its own members or from any other person any subscription or pecuniary contribution to its funds other than annual contribution to an office expense fund or welfare fund. These funds are used solely for defraying office rent, salaries for menial or part-time staff, stationery, postage and other office expenses and for welfare purposes respectively. The welfare purposes, however, may be subject to such restrictions and conditions as the Minister may prescribe."

On the same page Mr Angeret concludes:

> "The main object behind employees' associations is, as has been noted, to enable them in the course of time to mature into and be registered as trade unions. Provisions are, therefore, made for the registration of these associations as trade unions. This may be on the voluntary application of the association itself on achieving the necessary organisational framework or on the order of the Minister. An order directing an employees' association to register itself as a trade union may be made by the Minister whenever he is satisfied that an employees' association is conducting its affairs in such a manner that is should be regarded as a trade union. Where there is failure to comply with any such order any officer who is responsible for any such disobedience commits an offence. It should, however, be noted that an application by an employees' association to be registered as a trade union is also subject to the conditions of registration which are considered in the next chapter."

As can be seen, employees associations are toothless and have no power to carry out any harmful activity against their employer or the government. They cannot collect money and need not be recognised by the employer. They are not required to register unless they wish to do so. The Minister has the power to intervene and regulate how they operate at every stage. So what makes them harmful, undesirable or dangerous when they are composed of less than thirty employees? In my judgment, those are even more toothless. I am equally unable, like counsel for the petitioners to see why such small and toothless associations should be prohibited. In my judgment, section 1(*e*) of the Act contravenes freedom of association guaranteed under Articles 29(1)(*e*) and 40(3) of the Constitution, to the extent that it prescribes a minimum of 30 employees in order for the association to be formed, it is null and void. Even two people should be free to associate for purposes of protecting their social, political, economic welfare and for other lawful purposes.

Sections 1(*cc*) and 6(3) of the Act:

The definition of "trade union" in section 1(*cc*) includes requirement that there must be a minimum of 1000 employees. Section 6(3) requires that for a trade union to be registered, it must have at least 1000 members. It was submitted for the petitioners that membership in trade unions should not be restricted in terms of numbers. Counsel submitted that in order to conform with Articles 29(1)(*e*) and 40(3) of the Constitution, any number of employees should be left free to form a trade union. In reply, Mrs *Rwakojo* pointed out that the regulation of minimum number of trade union membership was justified because the bigger the trade unions, the better for its members.

In Mr Sabastian Angeret's book (*supra*), he comments on the matter of minimum membership as follows:

> "(*a*) One thousand persons – Firstly, it should be composed of one thousand or more persons who are either employees or employers. The number of one thousand appears to have been fixed primarily with trade unions of employees in mind. Indeed when the number was first increased from six to thirty by the Trade Unions Act of 1965, the increase was justified on the ground that it would encourage the formation of viable unions and that potential membership is in fact greater. This same argument may have been responsible for the increase of the number to one thousand by the Trade Unions Act of 1970. However it may have the added reason that the Binaisa Commission on Trade Unions of 1968 recommended that it was desirable to have fewer trade unions of employees. It however has resulted in there being only one organisation of employers in Uganda."

From this statement, it can be seen that the requirement of 1000 minimum membership which first appeared in the Trade Unions Act of 1970 was enacted after careful thought, consideration and research. The reason was to avoid too many small unions. There was also a recommendation of the Binaisa Commission on Trade Unions of 1968 that it would be better to have fewer but economically viable trade unions. The limitation was, therefore, not arbitrary in the circumstances of 1970. I am not convinced that the situation has changed now to justify me to condemn the restrictions I believe, when the situation warrants, Parliament will make the necessary adjustments. My conclusion on this is that though the limitation appears, not to remove but to limit freedom of association, the limitation is justifiable and the two sections under consideration do not contravene the Constitution.

Section 17(1)(*e*) of the Act:

This section requires that for an employer to recognise a trade union,51 percent of his employees must be registered members of the union. I do not intend to say much about this requirement. I have studied the arguments for and against this requirement. I agree that it places a limitation on the freedom of association guaranteed by Articles 29(1)(*e*) and 40(3) of the Constitution. However, I have no hesitation in holding that the limitation is justified. It would be chaotic if an employer was faced with a situation where in one business or industry, he had to negotiate with two or more trade unions representing employees who have common interests. It is reasonable to require that employees with common interests and in same employment organise themselves, or at least the majority of them, in one union. This section is justifiable.

IV *Issue number 2*

The issue is whether section 2(1) of the Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution. Section 2(1) provides:

> "The National Organisation of Trade Unions established by The Trade Unions (Amendment) Decree of 1973 (published on 8 December 1973), and functioning immediately before the commencement of this Act, shall be the only principal organisation of employees in Uganda, and all registered trade unions shall affiliate thereto."

As we have seen above, in Uganda, freedom of association is not limited to an individual's right to enter into consensual arrangements to promote the common interest objects of the associating groups. It includes the right to form and join political parties, trade unions and other civic organisations of one's choice. In her book *Fundamental Rights in Commonwealth Carribbean Constitutions* Margaret Demerieux states that:

> "the definition (of freedom of association quoted earlier in this judgment) omits a crucial element of the right as a fundamental freedom regulating the constitutional relationship between the state and the individual, or individuals, by failing to state that the right and protection it gives should mean in the first place, and as a positive component, that the state and public authorities, may not prevent or 'hinder' persons from entering into consensual arrangements described in the passage quoted and that the state is not permitted to form, for example, trade unions to which workers are compelled to belong, or to forbid membership in private unions."

As we have seen above on the legislative history of trade unions in Uganda, the state enacted The Trade Unions Act of 1970, in which all existing trade unions and congresses were abolished. The Act established only one trade union called

The Uganda Labour Congress. I am not aware whether this provision was ever challenged because clearly, it conflicted with Article 18(1) of the Constitution of Uganda of 1967. The Act prohibited the formation of any other trade union. Only branches of the Uganda Labour Congress could be established. The Trade Unions Act (amendment) Decree 1973 and the current Trade Union Act of 1976 authorise the formation of trade unions but they must be affiliated to a state created organisation called National Organisation of Trade Unions (NOTU). No trade union is allowed to exist and register unless it is affiliated to NOTU. NOTU was given powers and functions in section 2(2) of the Act which make it the all-powerful Uncle Sam with powers to virtually run all trade unions. The Minister of Labour and the Commissioner for Labour who is also the registrar of trade unions, control the trade unions through NOTU. Once a trade union gets affiliated to NOTU, it is not allowed to withdraw unless it wants to cease to be a trade union as such. All this is in evidence in the affidavit of the first petitioner, which is not challenged. The question is: is this consistent with the enjoyment of freedom of association guaranteed under Articles 29(1)(*e*) and 40(3)(*a*) and (*b*)? In my judgment, there is a glaring contradiction between the provisions of section 2 of the Act and those of the Constitution.

As already stated, freedom of association is not absolute. It is subject to the provisions of Article 43 of the Constitution, which I have already produced above. If the section is found to fall within the perimeters and standards set by that Article, then the provisions of the section are justified. If not, they are null and void.

The dilemma of the state can be understandably demonstrated by the following historical account of NOTU found in "*Trade Union Law in Uganda*" (*supra*). At 41, he states:

> "In Uganda, as in practically all other countries, trade unions realised the need to form themselves into umbrella organisations invariably called federations or congresses of trade unions in order to enhance their effectiveness. Thus, the first such organisation in Uganda called the Uganda Trade Unions Congress (UTUC) was formed in 1955. Unfortunately the UTUC was from the very beginning characterised by internal wrangles for power which eventually led to the formation of a splinter organisation, the Uganda Federation of Labour in 1961. Although the UFL had a brief life, it was replaced as a rival organisation to the UTUC by yet another splinter organisation from UTUC, the Federation of Uganda Trade Unions (FUTU) which was formed in 1964.

Due to the internal power struggles in these organisations, the rivalry between them, the resultant negative effects on the trade union movement as a whole and the consequent instability in the overall industrial relations situation in the country, the Government began to show a very keen interest in these organisations with a view to introducing some order into them and thereby restore much needed stability to the industrial relations situation.

It was an obvious desired goal of the Government that all trade unions in the country should be united under one strong central organisation. Initially the Government persued extra-legal measures in an attempt to achieve this objective. Thus in 1967, the Government sponsored the merger of the rival UTUC and FUTU into a single organisation, the Uganda Labour Congress (ULC). Unhappily however, this merger did not improve matters in any meaningful way as even the Uganda Labour Congress was also continually harassed by the

old rivalries and wrangles which again reared their heads in the new organisation. The confusion in the Uganda Labour Congress reached such a point that the Government appointed a committee of inquiry which reported in 1968.

By that time it had become clear that part of the problem was caused by the almost total absence of any effective legal regulation of these type of organisations. It has been pointed out that under the Trade Unions Ordinance of 1952 federations or congress of trade unions were not required to register as trade unions. This meant that these organisations were therefore not subject to the provisions of the Ordinance. However, under the Trade Unions Act of 1965, the registrar was empowered not only to require organisations of trade unions to notify their existence to the registrar but also to subject them to any provisions of the Act."

This history of the Trade Union Movement and the Binaisa Commission Report of 1968 that fewer trade unions were preferable for the good of the economy, was followed by the enactment of the Trade Unions Act of 1970. However, the dissolution of all trade unions and the establishment of The Uganda Labour Congress as the only single trade union for all workers in Uganda, was an overreaction. Under Article 18 of the 1967 Constitution, it could have been declared null and void if it had been challenged in court. The same applies to the subsequent conversion of The Uganda Labour Congress into NOTU by the 1973 Decree and its retention in The Trade Unions Act of 1976.

The affidavit of Dr Lyomoki, the first petitioner, clearly shows that even now, the problems that section 2 of the Act tried to solve are still with us. A number of trade unions and individuals do not like the policies and the management of NOTU. They wish to quit. Section 2 was enacted long before Articles 29(1)(*e*) and 40(3) were enacted. Now it is the duty of the State to justify that the limitation to freedom of association introduced by the requirement that all trade unions must affiliate to NOTU is a "limitation of the right (to freedom of association which does not go) beyond what is acceptable and demonstrably justifiable in a free and democratic society".

The Binaisa Commission report, 1968 (*supra*) recommended that it may be better to have fewer trade unions than to have a multiplicity of them, that was the justification for abolishing all of them in The Trade Union Act, 1970. It is also true that it may be better for trade unions, in their own interest, to affiliate or amalgamate in order to have a stronger voice in their relationship with their employer or the government. In many civilised and democratic countries, trade unions have affiliated or amalgamated into one national centre. This is done out of free choice of the unions and it is not enforced by legislation as in Uganda. The trade unions are free to leave such national centre if they so wish. It is also true that very many countries, some of them even smaller than Uganda, in membership and size, have more than one national trade union centres to which all the trade unions are free to affiliate. This used to be the case in Uganda before 1970. I am reliably informed that the federations or congresses of those days were bitterly divided by the cold war politics of communism and capitalism**,** which caused a lot of instability in the economic and political management of Uganda.

The State has not given any justification why, in the year 2005, and especially in light of Articles 29(1)(*e*) and 40(3), it should form an organisation and

force all trade unions to affiliate to it. The state did not claim that this is a justifiable practice in democratic societies. While I agree that it would be a sound policy to encourage our trade unions to affiliate under one national centre, it is unconstitutional to form one organisation by legislation and to require all trade unions to affiliate to it. I would hold that section 2 of the Act, to the extent that it requires all trade unions to affiliate with NOTU, is inconsistent and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) and is therefore null and void to that extent.

V. Issue number 3

The third issue is whether section 28 of the Trade Unions Act, 1976 contravenes and is inconsistent with Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution. The section states:

> "Any two or more registered trade unions may, with the prior consent in writing of the registrar and subject to any conditions, as may be specified by the registrar, amalgamate together as one trade union in any case in which at least 50 percent of the delegates called for that purpose agree that the trade union concerned may enter into any such amalgamation."

The book "*Trade Union Law In Uganda*" at 18 has the following comments on amalgamation:

> "The amalgamation of trade unions is provided for in sections 30 and 31 of the Decree. (Now sections 28 and 29 of The Trade Union Act of 1976). In order for an amalgamation to be valid two conditions have to be complied with. Firstly, the written consent of the registrar must be sought and obtained. The consent of the registrar may be given subject to any conditions that he may specify for the purpose of the intended amalgamation. Secondly, each of the trade unions proposing to be amalgamated must have agreed to the amalgamation by the votes of at least fifty percent of its delegates, called for the purpose of considering the question of the amalgamation. The respective trade unions are also required to inform their members of the reasons of the proposed amalgamation and the proposed conditions under which the amalgamation is to take place. Once the amalgamation is effected, notice of the amalgamation signed jointly by the secretaries of the unions concerned and five members of each trade union and endorsed by the General Secretary of the National Organisation of Trade Unions, must be sent to the registrar, specifying the terms of the amalgamation and the proposed name of the amalgamated Trade Union. The notice must be accompanied by a list of the names and the registered numbers of the amalgamating trade unions and a copy of the constitution and rules of the proposed amalgamated trade union. If the registrar is satisfied that the amalgamated trade union complies with the statutory requirements, he shall register it and thereupon, the amalgamating trade unions become one trade union. However, any rights and obligations which accrued to or were incurred by the amalgamating trade unions before the amalgamation, are not affected or prejudiced. Any person aggrieved by the refusal of the registrar to approve a proposed amalgamation may appeal to the Minister whose decision, after consultation with the Trade Unions Tribunal, shall be final."

I do not think that this limitation is intended to limit the freedom of association or the right to join and form a trade union. It does not restrict the right of any member to associate or disassociate from any union or organisation as section 2 of the Act does. It is intended to introduce transparency so that any unions transforming themselves into other bodies, should do so transparently. Otherwise, it would be possible for them to cheat the finances of their members or to defraud their creditors, if they were allowed to change their legal identity without any conditions. I find that the requirement that they obtain consent

from the registrar in order to amalgamate is reasonable and does not contravene Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) because it is justifiable under Article 43 of the Constitution.

VI. *Issue number 4*

The issue is whether section 70 of the Act is inconsistent with and contravenes Article 20 of the Constitution.

Section 70 of the Act provides:

"70 Ineligibility for membership in trade union and inapplicability of certain law.

(1) The following persons shall not be eligible to become members of a trade union:

(*a*) members of the Ugandan Peoples' Defence Forces and members of any police force, or prisons service, including a local administration police force or prisons service established by law;

(*b*) officers of the Internal Security Organisation and External Security Organisation; and

(*c*) *other persons or categories of persons referred to in the second Sshedule to this Act which schedule the Minister may, from time to time, amend by statutory instrument*." (Emphasis mine.)

The second schedule of the Act provides:

"Persons not eligible for membership of a trade union or an employees association affiliated to a trade union:

(1) Officers holding the following offices:

(*a*) Permanent secretaries;

(*b*) Heads of department, divisions or sections;

(*c*) School headmasters and deputy headmasters;

(*d*) Principals or directors of institutions of higher learning;

(*e*) Heads of departments of institutions of higher learning; or

(*f*) Any other public officer who is on the salary scale U2 or an equivalent or similar scale or who is above that salary scale.

(2) Officers of the Bank of Uganda holding the following offices:

(*a*) Governor;

(*b*) Deputy governor;

(*c*) Secretary;

(*d*) General manager;

(*e*) Heads of department;

(*f*) Assistant or deputy heads of department;

(*g*) Personnel.

(3) Other officers and employees, whether or not in the public service, holding the following offices:

(4) Persons holding the office of personal secretary to any of the offices specified in paragraphs (1), (2) and (3) of this schedule.

(5) Officers or employees excluded from membership of trade unions or employees associations by mutual agreement between an employer and the trade union to which such officers or employees would otherwise belong"

If I understood learned Counsel for the petitioners, his main complaint is with section 70(1)(*c*) which empowers the Minister to amend the second schedule, from time to time, by statutory instrument. His

main contention is that freedom of association guaranteed by Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) are

so important that it would be contrary to Article 20 to leave them at the whim of one person, the Minister.

Article 20 provides:

> "20 (1) Fundamental rights and freedom of the individual are inherent and not granted by the State.
>
> (2) The rights and freedom of the individual and groups enshrined in this chapter shall be respected, upheld and promoted by all organs and agencies of Government and by all persons.

The only justification that learned Counsel for the respondent gave in support of section 70 is that it is for better organisation of the trade union movement and is in the interest of workers.

I hold the view that most of the provisions of section 70 are justifiable and the petitioners did not insist that they were not. Chapter IV of our Constitution contains some of the most important provisions of the Constitution. The Constitution permits the Legislature to enact laws in derogation of the fundamental rights and freedoms, only in order to protect the rights and freedoms of others or in public interest. As Article 20 states, these rights and freedoms are not dished out by the State. They are inherent. They should only be restricted in very exceptional circumstances mentioned in Article 43. The second schedule of the Act deals with the following categories of employees:

(*a*) Senior officers in the public service of Uganda.

(*b*) Senior officers of the Bank of Uganda.

(*c*) Personal secretaries to senior officers in public and private sectors.

(*d*) Persons whose contract of employment exclude them from membership of trade unions.

Section 70(1)(*c*) of the Act permits the Minister, by statutory instrument, to amend the schedule. I think it is universally accepted that certain categories of employees must not be permitted to join trade unions. Some of those categories are spelt out in section 70 of the Act and schedule two to the Act.

From time to time other categories may arise and Parliament is too busy to be expected to amend the list as they arise. It is only reasonable that Parliament delegated that responsibility to the responsible Minister. The Minister, however, is not free to exercise this discretion arbitrarily. He must only do so in accordance with Article 43 of the Constitution, namely:

(*a*) to protect the human rights and freedoms of others.

(*b*) to protect public interest.

Even then, the protection must not go beyond what is acceptable and demonstrably justifiable in a free and democratic society.

If the Minister exceeds these limits, the statutory instrument made by him is liable to be challenged in court. Therefore, I think that in the circumstances, section 70(1)(*c*) is reasonable and does not contravene Article 20 of the Constitution.

VII. *Issue number 5*

The last issue is whether the remedies which the petitioners prayed for should be granted or not.

Following my findings on framed issues, I would make the following declarations:

(*a*) Section 1(*e*) of the Act to the extent that it sets the minimum number of persons required to form an employees association is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

(*b*) Section 1(*cc*) of the Act does not contravene any Article of the Constitution.

(*c*) Section 2(1) of the Act to the extent that it:

(i) ordains NOTU as the only principal organisation of employees in Uganda.

(ii) provides for compulsory affiliation of every trade union registered under the Act to NOTU,

is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

(*d*) Section 6(3) of the Act does not contravene any Article of the Constitution.

(*e*) Section 17(*e*) of the Act does not contravene any Article of the Constitution.

(*f*) Section 28 of the Act does not contravene any provision of the Constitution.

(*g*) Section 70 of the Act is not inconsistent with Article 20 of the Constitution.

VIII *Conclusion*

The Trade Unions Act, 1976, was enacted long before the promulgation of the 1995 Constitution. A number of its provisions are not in conformity with it. Article 273(1) of the Constitution requires that all such laws be brought into conformity with the Constitution. The Article provides:

> "273 (1) Subject to the provisions of this Article, the operation of the existing law after the coming into force of this Constitution shall not be affected by the coming into force of this Constitution but the existing law shall be construed with such modifications, adaptations, qualifications and exceptions as may be necessary to bring it into conformity with this Constitution. (*sic*)
>
> (2) For the purpose of this Article, the expression "*existing law*" means the written law of Uganda or any part of it as it existed immediately before the coming into force of this Constitution, including any Act of Parliament or statute or statutory instrument enacted or made before that date which is to come into force on or after that date."

The effect of this judgment is not to condemn The Trade Unions Act or NOTU out of existence. Only those parts which have been declared to be inconsistent with and in contravention of the Constitution are affected. What remains must be construed to make sense and be in conformity with the Constitution.

Workers and Unions which wish to remain members of NOTU as constituted after this judgment are free to do so. However, principles of freedom of association, including the right to form and join unions of their choice, dictate that no worker or union should be forced to associate or affiliate with a union or organisation against their choice. Nevertheless, any unions which choose to operate outside NOTU must comply with the provisions of The Trade Union Act, 1976 which have not been declared to be inconsistent with or in contravention of the 1995 Constitution.

In result, this petition partially succeeds. However, as the respondent has succeeded in defending, successfully, many of the impugned provisions of the Act, each party will bear its own costs of the petition.

Kavuma JA: I have read in draft the lead judgment of Honourable Mr Justice A Twinomujuni JA. I generally agree with the reasoning and findings of my brother on most of the issues but differ on others as I will indicate later in this judgment.

The petition was filed by the Honourable Dr Sam Lyomoki, Mudenya Richard, Mbabazi Kigundu, Sam Ssali Kigundu, Uganda Printers Journalists Media Paper and Allied Worker's Union and Uganda Medical Workers Union (hereinafter referred to as the first, second, third, fourth, fifth and sixth petitioners respectively and collectively as the petitioners).

They filed the petition under Article 137 of the Constitution and the Rules of the Constitutional Court (Petitions for Declarations under Article 137 of the Constitution) Directions LN number 4 of 1996).

In the petition, the petitioners allege, *inter alia*:

> "3. That the definition of an "employees association" under section 1(*e*) of the Trade Unions Act Chapter 223, Laws of Uganda 2000 (the Act) to the extent that it sets 30 persons as the minimum number of persons required to form an employee association is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*b*) of the Constitution of the Republic of Uganda, 1995. (the Constitution).
>
> 4. That the definition of a "trade union" under section 1(*cc*) of the Act, to the extent that it sets 1000 (one thousand) persons as the minimum number of persons required to form a trade union, is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.
>
> 5. That section 2 subsection 1 of the Act, to the extent that it establishes the National Organisation of Trade Unions (NOTU) as the only principal organisation of employees and to the extent to which it requires every trade union established under the Act to affiliate to NOTU, is inconsistent with and contravenes Article 29(1)(*e*) of the Constitution.
>
> 6. That section 6(3) of the Act, to the extent that it prohibits the registration of an association of employees not composed of 1000 (one thousand) of them, is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) of the Constitution.
>
> 7. That section 17(1)(*e*) of the Act, to the extent that it makes it a mandatory requirement that an employer is only bound to recognise a trade union to which 51 percent of his, hers or its employees have willingly joined, is inconsistent with and contravenes Articles 29(1)(*e*), 40(3)(*a*) and (*b*) of the Constitution.
>
> 8. That section 28 of the Act, to the extent that it subjects an amalgamation of two or more trade unions to a prior consent of the Registrar of Trade Unions appointed under section 3(1) and (2) of the Act, is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.
>
> 9. That section 70 of the Act, to the extent that it allows a Minister of Gender, Labour and Social Development, by statutory instrument to amend the second schedule to the Act by addition thereto, is inconsistent with and contravenes Articles 20, 21(1), 29(1)(*e*), 40(3)(*a*) and (*b*) of the Constitution." (*sic*)

The petitioners pray that court may grant the following declarations:

> "(*a*) That the definition of an employees association in section 1(*e*) of the Act, in as far as it sets the minimum number of persons required to form an employees association, is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*b*) of the Constitution.
>
> (*b*) That the definition of a Trade Union in section 1(*cc*) of the Act, in as far as it prescribes 1000 persons as the minimum number required to from a trade

union, is inconsistent and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

(*c*) That section 2(1) of the Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) of the Constitution in as far as it:

(i) ordains the National Organisation of Trade Unions as the only principal organisation of employees in Uganda;

(ii) provides for compulsory affiliation of every trade union registered under the Act to the National Organisation of Trade Unions." (*sic*)

The petition is supported by one affidavit sworn to by the first petitioner. The respondent filed an answer to petition in which he denied each and every allegation. The respondent's answer is supported by an affidavit deponed to by Sam Serwanga a Senior State Attorney at the respondent's chambers and a supplementary affidavit sworn by Margaret Nabakooza, a state attorney in the same chambers.

At the hearing of the petition the following issues were framed and agreed:

"1. Whether sections 1(*e*), 1(*cc*), 6(3) and 17(i)(*e*) of the Trade Unions Act are inconsistent with and contravene Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) in that they prescribe minimum limits of members necessary for the formation of employee associations, trade unions and set minimum percentages required for recognitions of trade unions by employers.

2. Whether section 2(1) of the Trade Unions Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

3. Whether section 28 of the Trade Unions Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

4. Whether section 70 of the Trade Unions Act is inconsistent with and contravenes Article 70 of the Constitution.

5. Whether the relief and remedies sought should be granted."

At the hearing of the petition, Mr Joseph *Luswata* appeared for the petitioners. Ms Robinah *Rwakojo*, Principal State Attorney, assisted by Ms Freda *Kabatsi*, state attorney, represented the respondent.

The submissions of learned Counsel for the petitioners and of the respondent on these issues are well summarised by my brother Twinomujuni JA in the lead judgment. I agree with that summary, however for the reasons I proceed to give below, my conclusions differ from those of Twinomujuni JA.

As regards issue number 1, by prescribing minimum numbers for employee associations and trade unions, the Trade Unions Act (hereinafter called the Act) does not take away the employees' right and freedom to associate within the context of the Constitution. Nor does the fixing of minimum percentages for trade unions to be recognised by employers take away those rights and freedoms. The Act merely seeks to limit and regulate the enjoyment of those rights and freedoms. It also seeks to ensure order and harmony between the employees and their employers at the work place and to minimise on proliferation of employee associations and trade unions to reduce *inter alia*, the risk of possible disruption of work and hardship in the management of industrial relations between employees and their employers. Proliferation of employee associations and trade unions could lead to loss of vital work hours.

I am alive to the fact that originally employee associations were intended to be interim arrangements pending their graduation into trade unions. A close look at the Act, however, reveals that employee associations are, by law,

principally for regulating relations between employers and employees or between themselves. Section 1*(e)* of the Act provides:

> "1(*e*) 'employees association' means any combination or association whether temporary or permanent of thirty or more persons in the same type of employment, or in the same trade or industry, whether agricultural or otherwise, the principal object of which is the regulation of the relations between the employees and their employers or between themselves whether or not it is required to notify its establishment under section 55."

Employee associations could therefore, in my opinion, be involved in many of the intricacies of regulating relations between employees and employers or between themselves by virtue of the above definition.

The question now arises as to whether this regulation or limitation based on minimum numbers and percentages passes the test provided for in Article 43 of the Constitution which provides:

> "43 (1) In the enjoyment of the rights and freedoms prescribed in this chapter, no person shall prejudice the fundamental or other human rights and freedoms of others or the public interest.
>
> (2) Public interest under this Article shall not permit –
>
> (*c*) any limitation of the enjoyment of the rights and freedoms prescribed by this chapter beyond what is acceptable and demonstrably justifiable in a free and democratic society, or what is provided in this Constitution."

In the case of *NTN Pty Ltd and NBN Ltd v The State* [1988] LRC (Const) at 348 when considering this test, the court held, *inter alia*, that:

> "What is reasonably justifiable in a democratic society is not a concrete or precise concept. It entails different policy and executive considerations. Traditionally, courts are kept out of this field. This is a new field of intrusion by the Constitution. The court is to be careful in saying what it is. I do not think it is a concept which can be precisely defined by courts. There is no legal yardstick. What has been decided by courts can only be a guide as to the nature of this illusive principle. The test, really, is an objective one. The application of the test must be considered within the context of the subject matter or circumstances of each case."

Although this case is from a foreign jurisdiction, it is from the Commonwealth and therefore of strong persuasive value. On this authority, therefore, I find that in all the circumstances of this case, the test in Article 43 is met.

A further reason to note, is the fact that the freedom and right to associate in the Constitution is not absolute. It is derogable as it is not one of those covered by Article 44 of the Constitution. That Article provides:

> "44. Notwithstanding anything in this Constitution, there shall be no derogation from the enjoyment of the following rights and freedoms:
>
> (*a*) freedom from torture, cruel, inhuman or degrading treatment or punishment;
>
> (*b*) freedom from slavery or servitude;
>
> (*c*) the right to fair hearing;
>
> (*d*) the right to an order of habeas corpus."

In view of the foregone, I have no hesitation to find in the negative on this issue.

On issue 2, whether section 2(1) of the Act is inconsistent with and contravenes Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution, I am of the view that it does not.

Article 2(1) of the Act provides:

> "2(1) The National Organisation of Trade Unions established by the Trade Unions Act (Amendment) Decree, 1973 (published on the 8 December 1973), and functioning immediately before the commencement of this Act, shall be the only principal organisation of employees in Uganda, and all registered trade unions shall affiliate thereto."

Article 29(1)(*e*) of the Constitution provides:

> "29(1) Every person shall have the right to:
>
> (*e*) freedom of association which shall include the freedom to form and join associations or unions, including trade unions and political and other civic organisations."

Article 40 provides:

> "40 (1) Parliament shall enact laws:
>
> (3) Every worker has a right:
>
> (*a*) to form or join a trade union of his or her choice for the promotion and protection of his or her economic and social interests
>
> (*b*) to collective bargaining and representation; and

Firstly, as we have seen above, the right and freedom to associate is not absolute, it is derogable. So is the right to collective bargaining and representation. Secondly, the history of the Trade Union Movement in Uganda which reveals a propensity for unprincipled splinter rival groups to break away from the mainstream labour movement national organisations calls, in my opinion, for the retention of one viable and strong national organisation to prevent a recurrence of instability in the political and labour sectors of this country. Thirdly, the mischief the law meant to address in the labour sector still persists to today.

In his book "*Trade Union Law In Uganda*" Sebastian Angeret, at 41 has this to say on this matter:

> "In Uganda, as in particularly all other countries, trade unions realised the need to form themselves in umbrella organisations, invariably called federations or congresses of trade unions, in order to enhance their effectiveness. Thus, the first such organisation in Uganda called the Uganda Trade Unions Congress (UTUC) was formed in 1955. Unfortunately, the UTUC was from the very beginning characterized by internal wrangles for power which eventually led to the formation of a splinter organisation, the Uganda Federation of Labour (UFL) in 1961. Although the UFL had a brief life, it was replaced as a rival organisation to the UTUC by yet another splinter organisation from UTUC, the Federation of Uganda Trade Unions (FUTU) which was formed in 1964.
>
> Due to the internal power struggles in these organisations, the rivalry between them, the resultant negative effects on trade union movement as a whole and the consequent instability in the overall industrial relations situation in the country, the Government began to show very keen interest in these organisations with a view to introducing some order into them and thereby restore much needed stability to the industrial relations situation.
>
> It was an obvious desired goal of the Government that all the trade unions in the country should be united under one strong central organisation. Initially the Government persued extra-legal measures in an attempt to achieve this objective. Thus in 1967 the Government sponsored the merger of the rival (UTUC and FUTU into a

> single organisation, the Uganda Labour Congress (ULC). Unhappily however, this merger did not improve matters in any meaningful way as even the Uganda Labour Congress was also continually harassed by old rivalries and wrangles which had again reared their heads in the new organisation. The confusion in the Uganda Labour Congress reached such a point that the Government appointed a committee of inquiry which reported in 1968. By that time, it had become clear that part of the problem was caused by the almost total absence of any effective legal regulation of these types of organisations. It has been pointed out that under the Trade Unions Ordinance 1952, federations or congresses of trade unions were not required to register as trade unions. This meant that these organisations were therefore not subject to the provisions of the ordinance. However, under the Trade Unions Act 1965 the Registrar was empowered not only to require organisations of trade unions to notify their existence to the Registrar but also to subject them to any provisions of the Act."

The problems mentioned in this quotation cannot, in my view, be left unattended to by law, to do so would be to invite chaos in this important sector.

Fourthly, the state of our pre-industrial economy and the scarcity of resources to facilitate multiple national labour movement organisations call for a stronger measure of state intervention in the guidance of developments in the national labour movement and its role in the national economy in the public interest. In the absence of sufficient resources to sustain multiple national labour organisation centres, the risk of manipulation, both foreign and local, becomes a strong reality.

Fifthly, the employees' interests themselves, in my view, would better be served in terms of networking, co-ordination between the national labour movement and the Government and in planning and protection against manipulation, by a single principal national organisation. Similarly, the interests of the employers would best be catered for and assured by a singe principal national organisation. Further, relations between government and the labour movement would best be conducted through coordinating with a single principal national organisation. All this is brought out in the evidence on record and research carried out in this case.

I am fortified in this view by the fact that, as we saw earlier in this judgment, when applying the test set by Article 43 of the Constitution, the context and circumstances of the particular case must be taken into account.

In Uganda's case, a single principal national employees organisation is still very relevant, at least for the time being. These circumstances justify the requirement that all trade unions in Uganda affiliate to the National Organisation of Trade Unions (NOTU).

The absence of a law regulating the trade union movement in this country was, in the past, identified as one of the causes of problems in the labour sector and the entire national economy. This mode of regulation, including the aspect of affiliation to NOTU as a single national employee centre by all trade unions is still, in my opinion, necessary and justifiable. This is simple derogation permitted by the Constitution.

Uganda is not alone in maintaining a one principal national employees organisation. There is the unchallenged affidavit evidence of Margret Nabakooza, a state attorney in the respondent's chambers who cites many countries including the United Kingdom which maintain a single principal national employees' centre. The countries cited are democracies and would pass the test in Article 43(*c*) of the Constitution.

I do not hesitate to find on this issue, therefore, that the Act is not unconstitutional. I therefore find in the negative on this issue too.

On issues 3 and 4, I fully agree with the reasoning and findings of my brother Justice A Twinomujuni JA in the lead judgment. I need not say more. Suffice it to emphasise that section 28 of the trade Union Act is neither inconsistent with nor in contravention of Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution. Similarly, I find that section 70 of the Act is not inconsistent with, nor does it contravene, Article 20 of the Constitution.

In result, I have made the following findings on issues 1, 2, 3 and 4.

Issue 1. Sections 1(*e*), 1(*cc*), 6(3) and 17(i)(*e*) of the Act are not inconsistent with nor do they contravene Articles 29(1)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

Issue 2. Section 2(1) of the Act is not inconsistent nor is it in contravention of Articles 29(i)(*e*) and 40(*a*) and (*b*) of the Constitution.

Issue 3. Section 28 of the Act is not inconsistent with nor is it in contravention of Article 29(i)(*e*) and 40(3)(*a*) and (*b*) of the Constitution.

Issue 4. Section 70 of the Act is not inconsistent nor is it in contravention of Article 20 of the Constitution.

On issue number 5, whether the petitioners should be granted the remedies they prayed for, having found in the negative on all the four issues above, I decline to grant any of the remedies sought. The petition fails *in toto* and I, accordingly, dismiss it.

Each party to meet its own costs.

Engwau JA concurred in the judgment of Twinomujuni JA.

For the appellant:
Mr Joseph Luswata

For the respondent:
Mrs Robinah Rwakojo, Principal State Attorney
Ms Freda Kabatsi, State Attorney

Mabalanganya v Sanga
[2005] 2 EA 152 (CAT)

Division:	Court of Appeal of Tanzania at Mbeya
Date of judgment:	2 June 2004
Case Number:	1/02
Before:	Ramadhani, Nsekela and Msoffe JJA
Sourced by:	Lawafrica

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[1] Appeal – Appellate jurisdiction – Power of review – Procedure in exercise of such power – Whether High Court has power of review of decisions of primary courts.

Editor's Summary

After being unsuccessful in Primary Court civil case number 15 of 2000, the applicant appealed to the district court in Civil appeal number 2 of 2001. Upon failing to succeed on the appeal, the applicant went to the High Court with civil appeal number 10 of 2001, which was summarily rejected. The applicant

went back to the High Court for a review but the same was dismissed. The applicant then moved the Court of Appeal seeking revision.

Held – The Tanzania Court of Appeal Rules confer to the Court of Appeal the power of revision and the court can exercise that power in one of two ways, namely; the court can revise proceedings in the course of hearing an appeal, and, the court may on its own motion call for and examine the record of any proceedings before the High Court and the latter includes instances where the court is moved to exercise its jurisdiction of revision – *Halais Pro-Chemie v Wella AG* [1996] TLR 269 referred to.

Revision entails examination by the Court of Appeal of the record of any proceedings before the High Court for the purpose of satisfying itself as to the correctness, legality or propriety of any finding, order or any other decision and the regularity of any proceedings before the High Court. Therefore, the record of proceedings of the High Court, and in case of the appellate jurisdiction of the High Court then the record of proceedings of the lower court must be before the Court of Appeal.

When the court acts on its own motion it will have to call for those records itself. However, when it is moved, then one who moves it will have to supply those records.

It is imperative in both criminal and civil appeals for a judge to give reasons for rejecting an appeal summarily. However, even if reasons are not assigned, that is a ground of appeal. *Kondo v R* criminal appeal number 46 of 1998 (UR) followed.

When an appeal from a lower court is summarily rejected by the High Court, an application for review by the High Court is not a remedy available to the appellant as the High Court does not have power to review an matters emanating from the primary courts.

Application dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Halais Pro-Chemie v Wella AG [1996] TLR 269

Kondo v R, criminal appeal number 46 of 1998 – **F**

Judgment

Ramadhani JA: This matter started as Primary Court civil case number 15 of 2000. The applicant was unsuccessful and appealed to the Songea District Court (Civil appeal number 2 of 2001). That, too, was barren of results, and, so the applicant went to the High Court at Songea with civil appeal number 10 of 2001, which was summarily rejected by Manento J on 29 September 2001. The applicant went back to the learned Judge for a review but it was dismissed on 26 July 2002. The applicant has come to this Court seeking revision.

We have found a disturbing practice here in Mbeya of resorting to the powers of revision of this Court after a review of an order of summary rejection of

appeal emanating from the primary court has been dismissed by the High Court. So, at the start of hearing the application we placed three questions to Mr Justinian *Mushokorwa*, learned Counsel for the applicant.

First, we wondered whether the record before us was complete for revision purposes. Two, we wanted to know why the applicant did not appeal to this Court against the order of summary rejection but instead preferred a review by the High Court and we asked whether after that had been dismissed it was proper to come to this Court for revision. Lastly, we asked the learned advocate whether the application for revision does not circumvent the statutory requirement of a certificate of the High Court that there is a point of law to be considered by this Court in respect of a matter emanating from a primary court.

Mr *Mushokorwa* conceded that the record before the court contains only the notice of motion, his affidavit and the ruling of Manento J, dismissing the application for review. However, he pointed out that there is no rule providing for what a record for revision should contain. He said that the existing rules deal with appeals and applications. However, he asked for time to bring the record of proceedings of the lower courts. Mr EO *Mbogoro*, learned Counsel for the respondent, objected to granting leave to rectify the records.

We may as well deal with this matter first. Admittedly, the Tanzania Court of Appeal Rules of 1979, are silent as to revision. But what does revision entail? Before we come to that and for the avoidance of doubt, we had better say that section 4 of the Appellate Jurisdiction Act of 1979, (hereinafter referred to simply as the AJA of 1979) confers upon this Court powers of revision. The court can exercise those powers in one of two ways: one, under section 4(2) the court can revise proceedings in the course of hearing an appeal and two, under section 4(3) the court may on its own motion call for and examine the record of any proceedings before the High Court. Through case law (*Halais Pro-Chemie v Wella AG* [1996] TLR 269] this Court has extended subsection (3) to cover instances where the court is moved to exercise its jurisdiction of revision.

Here the applicant is moving the court to exercise its powers of revision. So subsection (3) applies which provides as follows:

> (3) Without prejudice to subsection (2), the court shall have the power, authority and jurisdiction to call for and examine the record of any proceedings before the High Court for the purpose of satisfying itself as to the correctness, legality or propriety of any finding, order or any other decision made thereon and as to the regularity of any proceedings of the High Court.

So, to answer the question we had posed earlier, revision entails examination by this Court the record of any proceedings before the High Court for the purpose of satisfying itself as to the correctness, legality or propriety of any finding, order or any other decision and the regularity of any proceedings before the High Court.

So, the record of proceedings of the High Court, and in the case of appellate jurisdiction of the High Court, then the record of proceedings of the lower court or courts, must be before this Court. This is glaringly certain from the very definition of what revision entails and if the court is to perform that function, this does not depend on the existence of any rules to that effect (*sic*). The rules, if any, will just state the obvious.

Now, when the court acts on its own motion it will have to call for those records itself. But when the court is moved, as in this case, then the one who moves it will have to supply those records. Mr *Mushokorwa* dutifully conceded that the records are missing in this case and we agree with Mr *Mbogoro* that we cannot at this stage give time to Mr *Mushokorwa* to do what he should have done years ago.

This is enough to dispose of the application but we are of the decided opinion that we better deal with the other issues in order to prevent the abuse of the process of the court and as a directive to learned advocates.

As to our second question, why the applicant preferred review by the High Court instead of appealing to this Court against the summary rejection of appeal, Mr *Mushokorwa* simply said that both avenues were open to the applicant and that he chose the former and not the latter. However, when further quizzed, Mr *Mushokorwa* conceded that appeals from the primary courts are dealt with under the Magistrates' Courts Act of 1984, (hereinafter referred to simply as the MCA of 1984) and that there are no provisions for review under that Act, but they chose review under the provisions of the Civil Procedure Code Act of 1966, (hereinafter referred to simply as the CPA of 1966) to suit their convenience.

Mr *Mbogoro* submitted that the proper avenue for the applicant was to appeal to this Court against the summary rejection of the appeal. He went further to say that even if there were no reasons given by the learned Judge for summarily rejecting the appeal, then that omission to give reasons should have been the ground of appeal.

Section 28 of the MCA of 1984, provides for power of the High Court to reject appeals summarily. Subsections (1) and (2) deal with criminal appeals and three conditions are imposed before summary rejection can be resorted to. Subsection (3) provides as follows:

> (3) A judge may, if satisfied that an appeal in any other proceeding is without substance, summarily reject the appeal.

This subsection deals with appeals other than criminal appeals, and so, includes civil appeals. Unlike criminal appeals, no conditions have been imposed for the exercise of the powers under this subsection. However, we are of the firm view that it is imperative, in both criminal and civil appeals, for a judge to give reasons for rejecting an appeal summarily. This Court has said so in no uncertain terms in *Idd Kondo v R* criminal appeal number 46 of 1998 (UR). But even if no reasons have been assigned, then that is a ground of appeal, as Mr *Mbogoro* submitted.

Now, when an appeal is summarily rejected, what is the remedy available to the appellant? The applicant here used review by the High Court. In our opinion review is not a remedy for the aggrieved party. There is no provision for review in the MCA of 1984. Part III (C) of the MCA of 1984 deals with "Appellate and Revisional Jurisdiction of the High Court in Relation to Matters Originating in Primary Courts". There is no mention of review. The decision of the High Court in a matter emanating from a primary court under Part III(*c*) is subject to appeal to this Court under section 5(2)(*c*) of the AJA of 1979. The decision does not go back to the High Court for a review.

Admittedly, the High Court has the power of review under section 78 of the CPA of 1966, but the CPA of 1966, does not apply to primary courts. That is very clear from the provisions of section 2 of the CPA of 1966, that:

> 2. Subject to the express provisions of any written law, the provisions of this code shall apply to all proceedings in the High Court of the United Republic, courts of resident magistrates and the district courts.

Thus, primary courts are not mentioned in this section defining the scope of application of the CPA of 1966.

Moreover, section 3 of the CPA of 1966, defines "court" to mean those three courts mentioned in section 2. Thus, the law which provides the High Court with the power of review does not apply to the primary courts and, therefore, the High Court does not have power of review on matters emanating from the primary courts. So, the application of the applicant for review, by the High Court in this case was misconceived. The High Court had no jurisdiction of review and in the purported exercise of review it did not affect in any way the summary rejection of appeal, there is nothing for this Court to revise. The application ought to be struck out.

Lastly, we come to the issue of the requirement of a certificate on point of law to be dealt with by this Court. As already said, this Court is empowered to hear appeals on matters emanating from primary courts by section 5(2)(*c*) of the AJA of 1979. That paragraph requires such appeal to have a certificate of the High Court that there is a point of law that has to be considered by this Court. Now, an application seeking this Court to revise a decision of the High Court on a matter emanating from a primary court is not accompanied by a certificate that contravenes the AJA of 1979. Therefore, this Court cannot entertain such an application for revision. This Court can only deal with an appeal on certificate of point of law. This application is misconceived and must be struck out.

For the reasons given above, the application is struck out with costs under rule 3(2)(*c*) for preventing an abuse of the process of the court. It is so ordered.

For the applicant:
Mr Justinian Mushokorwa

For the respondent:
Mr EO Mbogoro

Magezi and another v Ruparelia
[2005] 2 EA 156 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	22 June 2005
Case Number:	16/01
Before:	Odoki CJ, Oder, Karokora, Mulenga and Kanyeihamba JJSC
Sourced by:	Lawafrica

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[1] Contract – Breach of Contract – Construction of terms of the agreement – Principles to be

applied in resolving ambiguities in terms – Commercial purpose and factual background could be referred to – Whether payment of the balance under the agreement was due.

Editor's Summary

On 5 December 1995, Parking Control Systems Ltd, a company in which the two appellants were shareholders and directors, entered into an agreement with the Kampala City Council to install, operate and manage parking meters on the streets of Kampala City. The project was divided into three phases: phase one was to commence on 1 June 1996 and to last 6 months, phase two was to last six years commencing from the date of signing, and phase three was the renewal of the agreement, which was to be done at the expiry of the six year period. In phase one, the company was to install parking meters and conduct an education and sensitisation exercise of the public.

After some preparatory work, the company sold all its rights and obligations under the agreement to the respondent under an agreement dated 4 July 1996. The agreement provided, *inter alia*, that the purchase price of UShs 120 million was to be paid in two instalments. UShs 100 million was to be paid on execution of the agreement and the balance was to be paid 'within a period of four months after the commencement of the operations of the business'. Four months after the execution of the agreement, the appellants demanded the balance from the respondent. The respondent refused to pay, arguing that the operation of the business had not yet commenced.

The appellants thereupon filed suit against the respondent for breach of contract claiming the recovery of the balance, together with interest and costs. The High Court found in favour of the appellants. Upon appeal by the respondent to the Court of Appeal, the High Court decision was reversed.

The appellants now appeal to the Supreme Court on the grounds that the Court of Appeal had erred in holding that the operation of the business had not yet commenced and that the balance was, therefore, not due.

Held – The intention of the parties to an agreement was to be determined from the words used in the agreement. However, in resolving an ambiguity, the court could look at its commercial purpose and the factual background against which it had been made. The intention of the parties was to be discerned from what reasonable persons in the situation of the parties would have had in mind; *Reardon Smith Line Ltd v Hansen Tangen* [1976] WLR 995 applied.

In this instance, it was clear that the main object and intent of the agreement of sale concerned the installation and operation of parking meters on the streets of Kampala. The balance of UShs 20 million was only to be paid after the commencement of the business. Clearly, the installation and operational of the parking meters had not yet been effected. As a result, payment of the balance was not yet due.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Glynn and others v Margetson and Co. and others [1893] AC 351

Miramar Miramar Corporation v Holtorn Oil Ltd [1984] AC 682E

Reardon Smith Line Ltd v Hansen Tangen [1976] WLR 995 – **AP**

Southland Frozen Meat and Produce Export Co Ltd v Nelson Brothers Ltd [1898] AC 442

Judgment

Karokora JSC: This is an appeal against the decision of the Court of Appeal which reversed the High Court decision in which Musoke-Kibuka J, had held that the respondent ought to have paid UShs 20 million to the appellant within a period of 4 months from 4 July 1996, when the agreement between the appellant and the respondent was executed.

The facts, giving rise to the case, were as follows:

The appellants were the shareholder and director of a company known as "Parking Control Systems Limited". That company had on 5 December 1995, entered into an agreement, exhibit P2, with Kampala City Council (hereinafter referred to as KCC) under which, the company was to install, operate and manage parking metres of specified type or as they agreed with KCC, on the streets within Kampala City. The project was divided into three phases: the first phase was the installation of the parking metres, educating and sensitising the public. This was to cover a period of six months from 1 June 1996.

The second phase was a period of six years commencing from the date of signing. The agreement inclusive of six months mentioned in phase 1. The third phase was the renewal of the agreement after the expiration of the six years period. Notification of intention to renew was to be made in writing, 90 days to the expiry of the six years period mentioned in second phase.

The company had started some preparatory work when on 4 July 1996, it executed a sale agreement, exhibit P1, with the respondent. By this time; it had not yet installed the metres nor sensitised the public. Under the sale agreement, the company sold to the appellant all its rights and obligations under its agreement, exhibit P2, with KCC. The purchase price was 120 million. One hundred million thereof was paid on execution of the agreement. The balance of twenty million shillings was to be paid "within a period of four months after the commencement of the operations of the business".

After four (4) months from the date of execution of the agreement, the appellant demanded from the respondent the balance of the purchase price. The respondent, however, refused to pay, reasoning that the operations of the business had not yet commenced. The refusal to pay the balance of purchase price of UShs 20 million prompted the appellants to institute the suit in the High Court, claiming recovery of the balance of the purchase price, interest thereon, general damages for breach of contract and costs of the suit. The respondent denied liability. The High Court heard the case and decided against the respondent. The respondent appealed to the Court of Appeal which allowed the appeal.

The appellants have appealed to this Court on the following grounds:

"(1) That the learned Justices of Appeal erred in law and fact when they held that the operation of the business had not commenced.

(2) The learned Justices of Appeal erred in law and fact when they held that the balance of the purchase price was not due because the company had not commenced operation of business."

Mr *Mbabazi*, counsel for the appellants argued both grounds together. He submitted that the thrust of the appellant's argument was based on when the operation of the business commenced. He submitted that the balance of UShs 20 million was to be paid within a period of 4 months after commencement of the operation of the business. He contended that the answer to that issue can be determined by interpretation of clause ii of Article 2. He supported the decision of the learned trial Judge, where he held that:

> "The business was the one which the company had already commenced operating on 1 June 1996, as per the agency agreement, exhibit P2, with the Kampala City Council. The defendant found the business an on-going concern . . ."

He submitted that the Court of Appeal went into the intention of the parties and held otherwise, when it stated at 41 of the record of appeal that:

> "It is clear therefore, that the installation and operationalisation of the requisite parking metres on the streets of Kampala City had not been effected even though the agreement, exhibit P2, stipulated that they were to be concluded by 1 June 1996.
>
> Applying the above phrase to these circumstances of the contract of sale, the intention of the parties became clear. It was clear that the balance of the purchase price would be paid 4 months after the parking meters had been installed and made operational. Any other construction without regard to these circumstances would lead to absurdity."

Mr *Mbabazi* further referred us to the agreement dated 4 July 1996, between Messrs Parking Control Systems Limited; the vendor of the one part and Mr Sudhir Ruperellia; the purchaser on the other, whereby they had agreed in Article 1(1)(iii) as follows:

> "1(iii) Thirdly, the specific benefit of the contract signed between the vendor and Messrs Kampala City Council on 5 December 1995, and as supplemented on the 31 May 1996."

Counsel further referred us to the evidence of PW1 where he stated in evidence *inter alia*:

> "Memorandum encompassed the goodwill of the company and the installation of parking meters in Kampala at UShs 120 million, of which UShs 100 million was paid on signing of the agreement. The balance of UShs 20 million was to be paid within 4 months of the commencement of the business which commencement started on signing of the agreement."

Counsel invited us to confirm the decision of the learned trial Judge who held that the operation of the business was regulated by exhibit P2, the agreement made between Kampala City Council and Parking Control Systems Limited on 1 June 1996, but not by the agreement of the sale of the company between the parties to the suit. Counsel, therefore, invited us to allow the appeal.

Mr *Byaruhanga*, counsel for the respondent, invited us to dismiss the appeal. He submitted that the contract between the respondent and the appellant was governed by Article 2(1)(ii) of the agreement between the parties to this appeal contrary to the finding of the learned trial Judge, who had found that the parties were governed by the agreement between Kampala City Council and Messrs Parking Control Systems Limited, as there was no evidence that the terms of agreement Article, exhibit P2, between KCC and Messrs Parking Control Systems Limited was amended when the respondent took over the company, Messrs Parking Control Systems Ltd.

Mr *Byaruhanga* further submitted that the payment of the balance of UShs 20 million was not to be paid 4 months after execution of the agreement between

the parties to this appeal, but rather that it was to be paid after the commencement of the operations of the business.

He referred us to Article 2(1)(ii) of the sale agreement of the business between the appellant and the respondent, which provides as follows:

> "2 The purchase price shall be UShs 120 million (one hundred and twenty million shillings only), which shall be paid in the following manner:
>
> (i) UShs 100 million (one hundred million shillings only) upon execution of this agreement and upon transfer of all the shares held by the former shareholders to the new shareholders.
>
> (ii) The balance of UShs 20 million (twenty million shillings only) will be paid within a period of four (4) months after commencement of the operations of the business."

Counsel referred us to the evidence of PW1, Sudhir, where he stated *inter alia*:

> "I have not paid these people because the operation of the business has not commenced yet. By operation we must have the parking meters having been installed. The business has not started. Installation has not started. I was supposed to pay the 20 million shillings after the installation of the parking meters and operation of the business. This was the intention of parties. It was agreed in the meetings and that is why an agreement was made like this."

Mr *Byaruhanga* criticised the learned trial Judge for holding that the operations of the business were regulated by exhibit P2, the agreement between Kampala City Council and Messrs Parking Control Systems Limited, but not by the agreement of sale of the company between the parties to the suit. Counsel supported the finding of the Court of Appeal, which found that the contract which regulated terms and conditions of sale between the parties to the subject matter of the suit, must be exhibit P1 which the parties had freely entered into.

In my opinion, there is no doubt that the question raised by this appeal is the construction to be put on the contract of the sale agreement between the parties to this appeal. Clearly, the construction of the sale agreement falls within the four corners of exhibit P1. In my view, the contract was not made in a vacuum for one to guess whether it was governed by exhibit P2, and or but not by exhibit P1. I think that the court was perfectly entitled to look at the agreement and be able to determine what was the intent and object of the parties when making the agreement.

Chitty on Contracts (27ed) gives guidelines on construction on the terms of agreements, such as this one. Paragraph 12.039 deals with general rules of construction of written agreements and states that:

> "The object of all construction of the terms of a written agreement is to discover therefrom the intention of the parties to the agreement."

Paragraph 12.040 goes further to state that:

> "The cardinal presumption is that parties have intended what they have, in fact, said so that their words must be construed as they stand . . . one must consider the meaning of the words used, not what one may guess to be the intention of the parties. However, no contract is made in vacuum. In construing the document, the court may resolve an ambiguity by looking at its commercial purpose and the factual background against which it was made . . ."

In the case of *Reardon Smith Line Ltd v Hansen Tangen* [1976] WLR 995, Lord Wilberforce, while dealing with words used in agreements, stated *inter alia*:

> "No contracts are made in vacuum; there is always a setting in which they have to be placed. The nature of what is legitimate to have regard to, is usually described as the surrounding circumstances but this phrase is imprecise. It can be illustrated but hardly defined. In a commercial contract it is certainly right that the court should know the commercial purpose of the contract and this in turn presupposes knowledge of the genesis of the transaction, the background the content, the market in which the parties are operating."

He went further to state in that same case at 996 that:

> "When one speaks of the intention of the parties to the contract, one is speaking objectively the parties cannot themselves give direct evidence of what their intention was – and what must be ascertained is what is to be taken as the intention which reasonable people would have had if placed, in the situation of the parties. Similarly, when one is speaking of aim, or object or commercial purpose, one is speaking – objectively of what reasonable persons would have in mind in the situation of the parties . . ."

See also – *Glynn and others v Margetson and Co and others* [1893] AC 351, *Southland Frozen Meat and Produce Export Co Ltd v Nelson Brothers Ltd* [1898] AC 442 at 444, *Miramar Miramar Corporation v Holtorn Oil Ltd* [1984] AC at 682E.

Bearing in mind the evidence which was adduced from both sides, it is clear that the main object and intent of the agreement of sale, exhibit P2, between the parties to this appeal concerned installation and operation of the parking meters on the streets of Kampala City.

However, according to the relevant Article 2(ii) of the contract between the appellants and the respondent, dealing with the purchase price, exhibit P2, the balance of UShs 20 million would be paid within a period of 4 months after commencement of the operation of the business. In this case, after the expiration of the 4 months after the execution of the agreement, the appellants approached the respondent requiring him to pay the balance of UShs 20 million. The respondent refused to pay, arguing that the remaining purchase price of UShs 20 million would be paid 4 months after the parking meters had been installed and made operational.

Clearly, according to the evidence of the respondent which was not challenged, installation and operation of the parking meters had not been effected.

In the circumstances, payment of the balance of the purchase price was not yet due when the appellant filed the suit.

Consequently, this appeal has no merit. I would accordingly dismiss it with costs to the respondent here and in the courts below.

Odoki CJ, Oder, Mulenga and Kanyeihamba JJSC concurred in the judgment of Karokora JSC.

For the appellants:
Mr Mbabazi

For the respondents:
Mr Byaruhanga

Maritim v Kibaru
[2005] 2 EA 162 (CAK)

Division: Court of Appeal of Kenya at Nakuru

Date of judgment:	30 September 2005
Case Number:	362/04
Before:	O'Kubasu JA
Sourced by:	LawAfrica

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[1] Appeal – Extension of time for lodging and serving appeal – Applicable principles – Rule 4 – Court of Appeal Rules.

Editor's Summary

The applicant moved court by way of notice of motion under rule 4 of the Court of Appeal Rules seeking orders for the extension of the time limited for lodging and filing the notice and record of appeal from a decision of the superior court. There had been a long delay of seventeen months. Soon after the judgment of the superior court had been delivered the court file went missing and efforts were even made to reconstruct a skeleton file. The applicant also changed advocates and the new firm of advocates did not move with speed in putting things in place. These were the facts that led to the delay and on the strength of which the applicant sought the court's exercise of discretion to extend the time as prayed.

Held – In an application under rule 4 of the Court of Appeal Rules, a single judge of the Court of Appeal is called upon to exercise his unfettered discretion but like any other judicial discretion, that discretion must be exercised with reason.

The matters which are to be considered whether to grant an extension of time are, first, the length of the delay, the reason for the delay, the chances of the appeal succeeding and the degree of prejudice that the respondent may suffer if the application is granted.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Grindlays Bank International (*K*) *Limited v Barbour* Civil application number Nairobi 257 of 1995

Kiragu v Kiragu and another Civil application number Nairobi 356 of 1996 (UR)

Mutiso v Mwangi Civil application number Nairobi 251 of 1997

Patel v Waweru and others [2003] KLR 361 at paragraph 362-3

Trade Bank Limited (*In Liquidation*) *v LZ Engineering Construction Limited and another* Civil application number Nairobi 282 of 1998

United Kingdom

Ratman v Camarasamy [1964] 3 All ER 933

Judgment

O'Kubasu JA: This is an application, by way of notice of motion, stated to have been brought under "rules 4, 42, 74 and 76 of the Court of Appeal Rules" in which the applicant, Simon Towett Maritim, is seeking the following orders:

> "1. That time within which to lodge and serve notice and record of appeal from the decision of the superior court, in Nakuru High Court civil case number 253 of 1996, be extended as this Honourable Court may deem fit.
>
> 2. That costs of and incidental to this application abide the result of the intended appeal."

The application is based on various grounds stated therein and on the applicant's affidavit running into 19 paragraphs in which the applicant sets out the reasons why there was a delay in filing the notice of appeal and the record of appeal. There is then a long replying affidavit of 32 paragraphs sworn by the respondent, Jotham Muiruri Kibaru.

This application was argued with considerable force by both Mr *Oduor* for the applicant, and Mr *Kahiga*, for the respondent.

From the material placed before me, it would appear that there can be no dispute that there was a long delay, of about seventeen (17) months. It is also admitted that soon after the judgment of the superior court was delivered the court file went missing. Efforts were made to reconstruct a skeleton file. The applicant changed his advocates and the new firm of advocates did not move with speed in putting things into place. All this contributed to the delay in taking essential steps. Each counsel put in a number of authorities in support of his respective position in this application.

It is now settled that in an application under rule 4 of this Court's Rules, a single judge of this Court is called upon to exercise his unfettered discretion but like any other judicial discretion that discretion must be exercised with reason. The matters which are to be considered whether to grant an extension of time, are first the length of the delay, the reason for the delay, the chances of the appeal succeeding and lastly the degree of prejudice to the respondent if the application is granted.

In *Patel v Waweru and others* [2003] KLR 361 at paragraph 362-3,this Court had the following to say in respect of rule 4 of this Court's rules:

> "This is a matter in which the learned single Judge was called upon to exercise his unfettered discretion under rule 4 of the Rules of this Court. All that the applicant was required to do was to place sufficient material before the learned single Judge explaining the reason for what was clearly an inordinate delay. How does a single judge exercise his discretion? In *Leo Mutiso v Mwangi* Civil application number Nairobi 251 of 1997 this Court stated:
>
> > 'It is now settled that the decision whether or not to extend the time for appealing is essentially discretionary. It is also well settled that in general the matters which this Court takes into account in deciding whether to grant an extension of time are first the length of the delay, secondly, the reason for the delay, thirdly (possibly) the chances of the appeal succeeding if the application is granted and fourthly the degree of prejudice to the respondent if the application is granted.'

> In this reference, it has been shown that a delay of almost fifteen months was not explained to the satisfaction of the learned single Judge. We asked Mr Goswami severally to explain to us the delay but he failed to do so. The rules of the court must be complied with. As was said in *Ratman v Camarasamy* [1964] 3 All ER 933 by Lord Guest at 935:
>
> The rules of court must, *prima facie*, be obeyed and in order to justify a court in extending the time during which some step in procedure requires to be taken there must be material on which the court can exercise its discretion. If the law were otherwise, a party in breach would have an unqualified right to an extension of time which would defeat the purpose of the rules which is to provide a timetable for the conduct of litigation.
>
> The above passage has been quoted with approval by this Court in Grindlays Bank International (K) Limited v Barbour Civil application number Nairobi 257 of 1995 and Trade Bank Limited (In Liquidation) v LZ Engineering Construction Limited and another Civil application number Nairobi 282 of 1998."

The foregoing is an appropriate summary of the authorities cited in this application.

In the present application there was a delay of about seventeen (17) months. The applicant was not informed of the outcome of his case immediately the judgment was delivered by the superior court. The court file of the superior court went missing. There was the issue of the applicant changing his advocates and the new firm of advocates had to start the process of coming on record and, hence, had to make the necessary applications. The dispute herein relates to land, which as we are told by Mr *Oduor* for the applicant, is an emotive issue.

In *Kiragu v Kiragu and another* Civil application number Nairobi 356 of 1996 (UR) this Court said:

> "Lastly, we would like to observe that the discretion granted under rule 4 of the Rules of this Court to extend the time for lodging an appeal, is, as is well known, unfettered and is only subject to it being granted on terms as the court may think just. Within this context, this Court has on several occasions, granted an extension of time, on the basis that an intended appeal is an arguable one and that it would therefore, be wrong to shut an applicant out of court and deny him the right of appeal unless it can fairly be said that his action was, in the circumstances, inexcusable and that his opponent was prejudiced by it."

I have carefully considered the background to this matter and bearing in mind that the dispute has its origin in the infamous land clashes of 1992, I am of the view that this matter ought to be finally determined by the highest court in the land. For these reasons, this application is allowed and the applicant is ordered to file his notice of appeal within seven (7) days from the date thereof and the record of appeal to be lodged and served within thirty (30) days from the date the notice of appeal is filed. Costs of this application, which I assess at KShs 5 000, to be paid to the respondent within 30 days from the date hereof and in default execution to issue.

For the appellant:
Mr Oduor

For the respondent:
Mr Kahiga

Masalu and others v Attorney-General
[2005] 2 EA 165 (CCU)

Division: Constitutional Court of Uganda at Kampala

Date of judgment:	23 February 2005
Case Number:	5/04
Before:	Mpagi-Bahigeine, Engwau, Twinomujuni, Kitumba and Byamugisha JJA
Sourced by:	LawAfrica

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[1] Constitutional law – Judicial independence – Taxation of salaries of judicial officers – Whether this violates constitutional provisions on judicial independence – Section 128(7) – Constitution of Uganda.

Editor's Summary

The Constitutional Petition was filed by judicial officers. The four judicial officers, being magistrates and registrars, were complaining that the application of section 4(1) of the Income Tax Act of Uganda impinges on the constitutional protection accorded to them by Article 128(7) of the Constitution. The Act imposed an obligation on any person who had a chargeable income to pay income tax. They sought a declaration that the section was null and void. The main issue for determination was whether section 4(1) of the Income Tax Act was inconsistent with and contravened Article 128(7) of the Constitution of Uganda.

Held – In constitutional interpretation, where words or phrases are clear and unambiguous, they must be given their primary, plain and ordinary or natural meaning. The language used must be construed in its natural and ordinary sense and the sense must be one which the words used ordinarily bore at the time when the statute was passed.

All provisions of the Constitution concerning an issue should be considered together. The Constitution must be looked at as a whole.

The Constitution has to be given a generous rather than a legalistic interpretation, aimed at fulfilling the purpose of the guarantee and securing the individuals the full benefit of the instrument.

By taxing the salary or emoluments of a judicial officer, the end result cannot amount to anything else other than to a variation and a reduction or diminution of such income – *Evans v Gorey, Acting Collector of Internal Revenue* (*supra*) followed.

While it is not disputed that it is the duty of every citizen to pay tax under Article 17(*g*) of the Constitution of Uganda, the judicial officers' role and duties are unique and different. They are charged with safeguarding the fundamental rights and freedoms of the citizenry. In the performance of these duties they are entrusted with checking the excesses of the Executive and the Legislature and, therefore, require insulation from any influence, direct or indirect, that may warp their judgment or cause them to play into the hands of corrupt elements, particularly at a time of political excitement.

Without indiminishable or untaxable remuneration, or compensation, the principle of the independence of the Judiciary and the security of tenure of judicial officers will become nugatory and a mere mockery. Instead of attracting

to the bench a succession of learned men and women from their very lucrative private chambers, the bench will become impoverished and starved of capable, competent men and women.

The application of section 4(1) of the Income Tax Act 1997 to judicial officers is inconsistent with and violates Article 128(7) of the Constitution.

Within the context of Article 128(7) of the Constitution of Uganda, 'judicial officer' means the justices of the Supreme Court, Court of Appeal, judges of the High Court, registrars and magistrates.

The Constitution of Uganda vests all judicial power of the people in the Judiciary whether the dispute involves the interests of the Judiciary or individual judicial officers or not, it is only the Judiciary which is vested with judicial power to resolve it. However, the Judiciary must resolve the dispute in the name of the people and in conformity with law and with the values, norms and aspirations of the people.

Per Twinomujuni JA – the Judiciary is like a woman. She is perceived to be weak physically, but yet it is her moral and intellectual strength which provides the foundation for stability and prosperity of society. Woman is an indispensable part of society. She needs protection and not battering from her partner. So does the Judiciary.

Petition allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Attorney-General v Salvator Abuki Constitutional appeal number 1 of 1998,

Dimanche Sharon and others v Makerere University Constitutional Petition number 1 of 2003.

Fox Odoi Oywelowo and another v Attorney-General Constitutional Petition number 8 of 2003

Kizza v Electoral Commission and another Electoral petition number 1 of 2001

Ssemogerere and others v Attorney-General Constitutional appeal number 1 of 2002

Ssemogerere and others v Attorney-General Constitutional Petition number 3 of 1999

Tinyefuza v Attorney-General Constitutional Petition number 1 of 1996

Uganda Association of Women Lawyers and others v Attorney-General Constitutional Petition number 2 of 2003

United Kingdom

Attorney v Momodon Jobe [1984] AC 689

R v Bog M Drug Mart Ltd. (1986) LRC 332

The Queen v Big M Drug Mart Ltd (1986) LRC 332

United States of America

Evans v Gore, Acting Collector of Internal Revenue 253 US 245 (1920) – **F**

South Dokota v North Carolina 192 US 268 (1940) L Ed 448

Judgment

Mpagi-Bahigeine JA: This constitutional petition was placed before us under Article 137 of the 1995 Constitution and the Fundamental Rights and Freedoms (Enforcement Procedure) rules, 1992 Legal Notice number 4 of 1996.

It was filed by judicial officers, Masalu Musene Wilson, Keitirima John Audes, Sekaggya Ronald and Muhiirwa Araari K, hereinafter referred to as the first, second, third and fourth petitioners.

The petition is based on the following grounds, namely:

"1. That your first, second, third and fourth petitioners are male adult Ugandans of sound mind currently employed as judicial officers in the capacities of registrar, chief magistrate, magistrate grade one and magistrate grade two, of the Courts of Judicature respectively; and all of whom are person affected by implementation of section 4(1) of the Income Tax Act (Chapter 340).

2. That your petitioners are aggrieved and affected by the following matter being inconsistent with the Constitution whereby your petitioners are aggrieved:

(*a*) That the application of section 4(1) of the Income Tax Act (Chapter 340) to the judicial officers renders it inconsistent with Article 128(7) of the Constitution which provides specifically that salaries, allowances, privileges and retirement benefits and other conditions of services of judicial officers shall not be varied to their disadvantage.

(*b*) That taxation of salaries, allowances, privileges and retirement benefits and other conditions of service of judicial officers since 1995, has affected them in that it varied their terms and conditions to their disadvantage."

They sought the following relief:

(i) A declaration that the application of the provisions of section 4(1) of the Income Tax Act (Chapter 340 to judicial officers renders it inconsistent with Article 128(7) of the Constitution.

(ii) A declaration that judicial officers' salaries, allowances, privileges and retirement benefits and other conditions of service must not be subjected to any taxation whatsoever.

(iii) An order that judicial officers are entitled to their full pay without variation to their disadvantage with the coming into effect of the Constitution in 1995.

(iv) Costs of the petition.

It is supported by affidavits deponed by each petitioner. To each affidavit is annexed the deponent's letter of appointment stating, amongst other things, that the officer's salary is fixed; also annexed is each officer's pay slip reflecting the net pay after all tax deductions and various other correspondence from authorities which had a bearing only in relation to the tax exemption granted to and enjoyed by the justices of the Supreme Court, Court of Appeal and judges of the High Court.

The petitioners were represented by three learned Counsels, Messrs Andrew *Bashaija*, Precious *Ngabirano* and Evans *Tusiime*. Ms Robinah *Rwakojo*, Principal State Attorney, and Mr Alfred *Oryem*, state attorney, appeared for the respondent.

The respondent filed an answer to the petition denying all the allegations in the petition.

The answer was supported by two affidavits deponed by learned state attorney, Mike Chibita. The main one is dated 17 June 2004.

Its salient paragraphs 5 and 6, state:

> "5. That the variation envisaged and prohibited by Article 128 (7) of the Constitution is a reduction of the income of judicial officers and not tax which forms an integral part of the income of judicial officers.
>
> 6. That the contents of the affidavits of the petitioners supporting the petition are false insofar as they allege that taxation of their incomes amounts to variation of the same within the meaning of Article 128(7) of the Constitution."

The supplementary affidavit is dated 11 October 2004. It avers that the petitioners and other judicial officers are not envisaged under the provisions of Article 128(7).

Paragraphs 4, 5 and 6 thereof aver:

> "4. That contrary to the depositions of the petitioners, the opinions of the Honourable Attorney-General and the learned solicitor general and the annexures hereto relate to incomes of the Honourable Judges of the High Court, the Honourable Justices of Appeal and the Honourable Justices of Supreme Court and not the petitioners or other judicial officers of their rank.
>
> 5. That whereas taxation of the incomes of the Honourable Judges of the High Court, the Honourable Justices of the Supreme Court would violate the provision of Article 128(7) of the Constitution, taxation of the incomes of the petitioners and other judicial officers of their rank on the other hand would not.
>
> 6. That the application of section 4(1) of the Income Tax Act Chapter 340 to the income of the petitioners and other judicial officers of their rank does not amount to diminution of their emoluments, rather it is a normal incident on their incomes."

I would consider it regrettable that this matter has finally found its way before court, considering its nature and relation to all members of this Court. However, while we are aware that justice must not only be done but must be seen to be done, the court prides itself in its impartiality under the judicial oath. Most importantly, it is a fundamental fact that no other institution, except the Judiciary, can better discharge the task of resolving disputes impartially and independently, regardless of their nature. This caution should allay and or dispel any fears or scepticism that might otherwise throw this judgment under a cloud.

The background to this petition dates back to the pre-1995 Constitution period. When Cabinet realised the erosive effect taxation was having on the poor pay of the justices and judges, it decided to grant them an exemption from taxation to relieve them of financial worries. This was under section 12(2) of the Income Tax Decree of 1974, published under General notice number 140 of 1997 and backdated to 5 December 1990. The privilege was, therefore, extended for the period of 1990 to 1997. However, it was not extended to other judicial officers including the petitioners.

That notwithstanding, the Income Tax Act of 1997 was silent on the exemption. It never captured it despite the provisions of Article 152(2) of the

Constitution. The Income Tax Act of 1997 was made under Article 152(1), which states:

> "152 (1) No tax shall be imposed except under the authority of an act of Parliament."

The exemption should have been captured into the Act to operationalise Article 152(2), which provides that:

> "(2) Where a law enacted under clause (1) of the Article confers powers on any person or authority to waive or vary a tax imposed by that law, that person or authority shall report to Parliament periodically on the exercise of those powers, shall be determined by law."

The impugned section 4(1) of the Act made under Article 152(1) reads:

> "4 (1) Subject to and in accordance with this Act, a tax, to be known as income tax, shall be charged for each year of income and is imposed on every person who has chargeable income for the year of income."

As against the above provisions is Article 128(7) of the Constitution which provides:

> "128 (7) The salary, allowances, privileges and retirement benefits and other conditions of service of a judicial officer or other person exercising judicial power, shall not be varied to his or her disadvantage."

When the Ugandan revenue authority attempted to levy tax under the 1997 Act, the justices and judges protested that withdrawing the privilege previously enjoyed would have the effect of varying their salaries to their disadvantage. This would violate Article 128(7). The Ministry of Finance eventually opined that Article 128(7) was intended to preserve the *status quo* of the class of judicial officers that had enjoyed the Cabinet exemption. It did not extend to other judicial officers, including new judges. Furthermore the word '*vary*' in Article 128(7) was so ambiguous as not to have been intended to mean 'exemption'. It was argued that the Constituent Assembly, if such was its intention, could have used more precise language, like it used in Article 254(2) regarding pensions. This states:

> "254 (2) the pension payable to any person shall be exempted from tax and shall be subject to periodic review to take account of changes in the value of money."

It is the above scenario that has prompted the petitioners to come to this Court.

Submissions by Mr Andrew *Bashaija*, learned Counsel for the petitioners:

Section 4(1) of the Income Tax Act 1997 is inconsistent with and contradicts Article 128(7) of the Constitution. Article 128(7) specifically protects the emoluments of judicial officers from such a taxation because taxation varies their emoluments to their disadvantage. The Constitution is supreme as against other statutory provisions to the contrary. Therefore Article 128(7) should prevail over section 4. *See* – Constitutional Petition number 2 of 2003, *Uganda Association of Women Lawyers and others v Attorney-General;* Constitutional Petition number 8 of 2003, *Fox Odoi Oywelowo and another v Attorney-General*. In these two petitions this Court had occasion to invoke Article 2(2), upholding the supremacy of the Constitution as against an inconsistent law to the contrary.

Though Article 128(7) does not define the word 'vary' nor is it defined anywhere else in the Constitution, it should be given its ordinary English meaning. *Black's Law Dictionary* defines it as "to make different" between two things that

ought to agree. *Chambers Dictionary*, (1ed-revised) defines 'variation' as an act or process of varying or changing. This means decreasing, lessening or taking away what the law has offered as fixed salaries to the petitioners. If a fixed salary is affected by whichever means, it suffers variation. If a judicial officer's salary which includes other emoluments is taxed, then it is being varied. Variation is so fundamental that it constitutes a fundamental change and a disadvantage. Therefore, the effect of section 4(1) of the Income Tax Act is to diminish the salaries of judicial officers. Pray apply the principle of 'purpose and effect' and declare and hold that section 4(1) is inconsistent with Article 128(7) of the Constitution. The 'purpose and effect' of the entire Article 128 is about safeguarding judicial independence – See *Evans v Gore, Acting Collector of Internal Revenue* 253 US 245 (1920). Here a district judge's salary was taxed and it was held on appeal that taxing his salary had the effect of diminishing his salary and that this conflicted with the Constitution.

Submission in reply by Mr Alfred *Oryem*, learned state attorney for the respondent: The application of section 4(1) of the Income Tax Act is not inconsistent with Article 128(7). The petitioners and other judicial officers of lower rank never enjoyed any privilege before the 1995 Constitution. Their incomes remain the same. They have always paid the tax. Article 128(7) is to preserve the *status quo* of the exempted judicial officers. Others have a national duty to pay tax imposed on them under Article 17(*g*). Article 152(1) specifically stipulates this duty to be authorised by law, which is the Income Tax Act 1997. The framers of the Constitution were aware that some citizens could be exempted under Article 152(2), but there is no such exemption or waiver in respect of the petitioners in the Constitution nor under the Income Tax Act. The petitioners' case is, thus, false.

The words '*vary*' and '*taxation*' are different. The former does not mean the latter. The tax only reduces the salary. It does not vary it. If the Constituent Assembly had intended that judicial officers should not be taxed they should have stated so expressly, like they did with the President's salary under Article 106. By way of analogy between Article 158(1) and (2) with Article 128(7), the word 'vary' could not have meant taxation because in the respondent's view the Constituent Assembly could not have intended that the entire public service, the entire Judiciary and the President could be exempted from taxation, which is in itself a duty under the Constitution. *See* Article 106 where the two words are used regarding the President's emoluments. If this were the case, more than half of the country's revenue could be lost. Thus, 'vary' means something other than taxation.

Its meaning does not lie in the ordinary dictionary. It should be looked at in its entire context. The application of section 4(1) of the Income Tax Act to the petitioners does not change their incomes. Taxation of judicial officers does not compromise their independence, rather a reduction of their incomes would. The authority of *Evans v Gore* (*supra*), a US Supreme Court decision, cited by the petitioners is merely persuasive and is not binding. It cannot be applied here as our authorities give safer meaning. The petition lacks merit.

Pray dismiss it with costs.

Submissions in rejoinder by Mr Precious *Ngabirano*, learned Counsel for the petitioners:

Article 128(7) was never intended to protect the *status quo* of certain judicial officers as submitted by Mr *Oryem*. The marginal note to Article 128 indicates that the principle behind the entire Article 128 is about the independence of the Judiciary. The principle could not and does not cover only a section of the Judiciary for a particular period of time as determined by the Ministry of Finance, in the general notice dated 27 February 1997, authorising exemption and giving it retrospective effect from 1990. At the time such general notice was issued, Article 128 was already enacted under the 1995 Constitution. There was, therefore, no way the Constituent Assembly could have intended to protect the alleged *status quo* envisaged by the exemption signed in 1997. The exemption covered only justices and judges. Article 128(7) came into effect in 1995, covering all judicial officers without exception. It took care of the situation wider than the exemption general notes with only a life span of 7 years and after which it would expire. Article 128(7) is not a transitional provision to take care of those who enjoyed it until they retire. It was enacted for posterity. Even if the exemption was a privilege, still the salary, allowances and other emoluments cannot be taxed because they are separately protected under Article 128(7).

The appointment letters specify terms including a salary which is fixed but at the end when it is taxed, then it is varied. Taxation would reduce the salary by 25 percent. Then the public would trush in to compromise the judicial officers.

Such were all counsel's submissions.

I turn to the principles of constitutional interpretation I do consider to be relevant, as far as this matter is concerned.

The first, is that, where words or phrases are clear and unambiguous, they must be given their primary, plain, ordinary or natural meaning. The language used must be construed in its natural and ordinary sense. The sense must be that, which the words used ordinarily bore at the time when the statute was passed.

Another important principle of constitutional interpretation to bear in mind is, that all provisions of the Constitution concerning an issue should be considered together. The Constitution must be looked at as a whole. In *South Dokota v North Carolina* 192 US 268 (1940) L Ed 448, the US Supreme Court held at 465:

> "It is an elementary rule of constitutional construction that no one provision of the Constitution is to be segregated from all the others and considered alone. All provisions bearing upon a particular subject are to be brought into view and are to be so interpreted as to effectuate the great purpose of the instrument."

The Constitution has to be given a generous, rather than a legalistic, interpretation aimed at fulfilling the purpose of the guarantee and securing the individual's the full benefit of the instrument. Both the purpose and effect of the legislation must be given effect to. This is the generous and purposive construction – *R v Bog M Drug Mart Ltd* (1986) LRC 332. *Attorney v Momoddon Jobo* [1984] AC 689.

Two issues were presented for the court's determination, namely:

1. Whether the application of section 4(1) of the Income Tax Act (Chapter 340) to judicial officers is inconsistent with Article 128(7) of the Constitution.

2. Whether the petitioners are entitled to the relief sought.

I have already pointed out, above, that there is no law made under Article 152(2) to specifically operationalise and give effect to Article 152(2) nor Article 128(7). The respondent's case is that taxation only reduces the salary and emoluments. It does not vary them. The petitioners argue to the contrary.

Apart from Article 128(7) the word "vary" features in Articles 152(2); 106(4) and (6). Article 152(2) has already been reproduced above. Article 106(4) and (6) reads:

> "106 (4) The President is exempted from direct personal taxation on allowances and other benefits except on the official salary."

Whereas (106)(6) reads:

> "(6) The salary, allowances and other benefits granted to a President under this Article shall not be varied to the disadvantage of the President."

The contradiction and inconsistency surrounding the President's salary in Article 106 is more apt to mislead than to clarify the respondent's argument regarding the word '*vary*'. It is a fact that the Presidential salary is not taxed Article 106 is, thus, not helpful.

As regards Articles 152(2) and 128(7), the words 'vary', and 'reduction' when taken in their very natural and ordinary meanings, the word '*vary*' means changing from one position to another, to make different; while the word 'reduce' means to make smaller, from a larger to a smaller amount, or diminish which would also amount to making 'different'. This is according to the ordinary *Longman Dictionary of Contemporary English*. When the petitioners' fixed salaries are taxed at the end of the month, such taxation has the effect of reducing, diminishing them and therefore naturally varying them and changing from what they were indicated to be, in their letters of appointment when they were stated to be fixed, to a reduced or diminished state which is to their detriment or disadvantage. Therefore, by taxing the salary or emoluments of a judicial officer the end result cannot amount to anything else other than to a variation and a reduction or a diminution of such income. The end result is the same.

I derive support from the case of *Evans v Gore* (*supra*). The issue in that case was whether the compensation or salary of the judges of the Supreme and inferior courts of the United States could be subjected to taxation consistently with the Constitution.

This turned on the interpretation of Article three which is similar to Article 128(7). Article three reads:

> "The judges, both of the Supreme and inferior courts, shall hold their offices during good behaviour, and shall, at stated times, receive for their services, a compensation which shall not be diminished during their continuance in office."

The petitioner, a district judge, insisted that the provision of the law (section 213) which subjected him to a tax in respect of his compensation as a judge, by its necessary operation and effect diminished his compensation and therefore that was repugnant to the constitutional limitation referred to above.

The court below held that the compensation was not diminished by the act of taxation. On appeal, the US Supreme Court held that the Constitution expressly forbade diminution of the judge's compensation, meaning diminution by taxation as well as otherwise.

Chief Justice Taney wrote to the Secretary of the Treasury protesting the act of taxing the petitioner's income:

> "The act in question, as you interpret it diminishes the compensation of every judge three percent and it can be diminished to that extent by the name of a tax, it may be reduced from time to time at the pleasure of the Legislature."

I see no reason why this decision should not be followed as Mr *Oryem* sought to argue. It discusses Article three of the US Constitution which is similar to our Article 128(7) under the same context.

Mr *Oryem* perhaps should have endeavoured to distinguish it materially. I would, thus, hold that taxation of the judicial officer's income has the effect of varying, reducing and diminishing it.

Though it might be said that judicial officers in other jurisdictions might not be paying tax, we cannot make it an issue in this petition since we are not acquainted with their terms of service, nor has our attention been drawn to their relevant constitutional safeguards.

Another important aspect of this matter raised by the respondent is the constitutional duty of every citizen to pay tax under Article 17(*g*). While it is not disputed that it is the duty of every citizen, to play certain roles in society under Article 17, the judicial officers' role and duties are unique and different. Judicial officers are charged with safeguarding the fundamental rights and freedoms of the citizenry. In the performance of their duties, they are entrusted with checking the excesses of the Executive and the Legislature. These duties require insulation from any influence, direct or indirect, that may warp their judgment or cause them to play into the hands of corrupt elements, especially when there is a climate of political excitement. It is noteworthy that the administration of justice is the firmest pillar of Government. The independence of the judicial officers is of far greater importance than any revenue that could come from taxing their salaries. An independent judicial officer is indispensable to the administration of impartial justice and the rule of law. It is therefore important to appreciate the importance and significance of the entire Article 128.

The underlying principle of the entire Article 128 is the issue of judicial independence and security of tenure, the latter being among the traditional safeguards of the former. This means, amongst other things, that the term of office, emoluments and other conditions of service of judicial officers generally shall not be varied or altered to their detriment or disadvantage. This is an elementary safeguard to be found in most developed legal systems, where it took many historic struggles to establish on a firm footing as the most fundamental of all safeguards of judicial officers' security of tenure.

When this safeguard is destroyed by whittling away the provisions of Article 128(7) and judicial officers are put at the sufferance of the Executive or at the whims of the Legislature, the independence of the Judiciary is the first victim. The rationale, under Article 128(7), is that there should be adequate salaries and pensions for judicial officers; commensurable with their status, dignity and responsibility of their office. Poor or inadequate remuneration gives ground to another cause of corruption, for there are many other causes. While I am aware that the Judiciary is not supposed to be a gold mine, judicial officers are human beings. By the nature of their work, they cannot engage in other business

activities so as to bridge the financial vacuum besetting them. Corruption will, therefore, be nurtured by a system that fails to pay its judicial officers well and insulate them from the corrupting public.

The maintenance of judicial independence as enshrined under Article 128 depends upon public support for the judicial process to run effectively and independently. It is the public respect for that principle that sustains it. By 'public' is meant the Government to reinforce and facilitate the effectiveness of the independence (*sic*). The system that expects its judicial officers to lead decent lives, and is often saying so at all public for a, but at the same time fails to enforce the constitutional protection applicable to them, is bound to render the independence of the Judiciary unattainable as the corruption vermin would quickly set in.

Without undiminishable or untaxable remuneration or compensation the principle of the independence of the Judiciary and of security of tenure will have become nugatory and a mere mockery. Instead of attracting to the bench a succession of learned men and women from their very lucrative private chambers, the bench will become impoverished and starved of capable, competent men and women.

I would hasten to add, that due to the rapid and constant inflationary erosion of the value of money, it is not even sufficient to merely adhere to the historic formular that judicial emoluments shall not be reduced, altered or varied to the detriment of judicial officers. What is necessary is to provide an independent machinery and a fair formular to ensure that judicial emoluments and pension are effectively augmented to neutralise inflation and, thus, free judicial officers from financial anxieties which ensnare them.

I would, thus, answer issue number 1 in the affirmative; namely that the application of section 4(1) of the Income Tax Act 1997 to judicial officers is inconsistent with and violates Article 128(7) of the Constitution.

As regards issue number 2, whether the petitioners are entitled to the relief sought, Article 151 defines a judicial officer thus:

> "151. In this chapter, unless the context otherwise requires – '*judicial officer*" means:
>
> (*a*) a judge or any person who presides over a court or tribunal howsoever described:
>
> (*b*) the chief registrar or a registrar of a court;
>
> (*c*) such other persons holding any office with a court as may be prescribed by law."

Though the net cast by Article 151 is far too wide, it nonetheless gives a limitation according to any given context.

I, thus, do consider that within the context of Article 128(7) "judicial officer" would mean the justices of the Supreme Court, Court of Appeal, judges of the High Court, registrars and magistrates.

Regarding issue number 3, the petitioners would therefore in my view be entitled to the following declaration,s namely that:

(i) The application of the provisions of section 4(1) of the Income Tax Act (chapter 340) to judicial officers renders it inconsistent with Article 128(7) of the Constitution.

(ii) The judicial officers' salaries, allowances, privileges and retirement benefits and other conditions of service must not be subjected to any taxation whatsoever.

(iii) Judicial officers are entitled to their full pay without variation to their disadvantage as from the date of this judgment.

(iv) I would make no order as to costs.

Since my Lords Engwau and Twinomujuni JJA both agree, the petition succeeds by a majority of 3 to 2 with orders as herein proposed.

Engwau JA: I had the benefit of reading, in draft, the leading judgment of my sister, Mpagi-Bahigeine JA and I entirely agree with it. I would like, however, to make some observations for emphasis only.

The petitioners, Masalu Musene Wilson, Keitirima John Audes, Sekagya Ronald and Muhirwa Araari K are a registrar, chief magistrate, magistrate grade one and magistrate grade two respectively.

They have brought this petition, under Article 137 of the Constitution and Legal Notice number 4 of 1996, as judicial officers seeking for the following declarations:

(1) A declaration that the application of the provisions of section 4(1) of the Income Tax Act (Chapter 340) to judicial officers renders it inconsistent with Article 128(7) of the Constitution.

(2) A declaration that judicial officer's salaries, allowances, privileges and retirement benefits and other conditions of service must not be subjected to any taxation whatsoever;

(3) An order that judicial officers are entitled to their full pay without variation to their disadvantage with the coming into effect of the Constitution in 1995: and

(4) An award of costs of the petition.

The gist of their complaint is that section 4(1) of the Income Tax Act (chapter 340) is inconsistent with and contravenes the provision of Article 128(7) of the 1995 Constitution. Section 4(1) of the Income Tax Act (Chapter 340) reads:

"4 (1) Subject to and in accordance with this Act, a tax to be known as income tax shall be charged for each year of income and is imposed on every person who has chargeable income for the year of income."

Article 128 (7) of the Constitution provides:

"128 (7) The salary, allowances, privileges and retirement benefits and other conditions of service of a judicial officer or other person exercising judicial power, shall not be varied to his or her disadvantage."

The petitioners were represented by Messers Andrew *Bashaija*, Precious *Ngabirano* and Evans *Tusiime*. The respondent was represented by Ms Robinah *Rwakajo*, Principal State Attorney and Mr Alfred Okello *Oryem*, state attorney.

The petition is supported by affidavits sworn by each petitioner. Attached to each affidavit is a letter of appointment, fixed salary, and tax deductions of each petitioner. Mr *Ngabirano* submitted that these documents established a *prima facie* case.

Mr Okello *Oryem*, learned state attorney for the respondent, disagreed. He contended that the petitioners have failed to establish a *prima facie* case. They relied on the information given to them by their lawyers. He submitted that the petitioners should have proved that their salaries, allowances, privileges and retirement benefits and other conditions of service as judicial officers have been varied to their disadvantage. In the premises, Okello *Oryem* contended that the burden has not shifted to the respondent to show that the impugned section is inconsistent with the Constitution.

Learned State Attorney further argued that annextures "B" and "C" which are letters from Attorney-General and Solicitor General respectively, do not support the petitioners' claim. Those letters refer to the justices of the Supreme Court, the justices of the Court of Appeal and the judges of the High Court. The petitioners are not of the same rank. He, further, pointed out that the petitioners were paying taxes on their salaries before the promulgation of the 1995 Constitution. The judges, however, were enjoying the privilege of not paying taxes before the promulgation of the Constitution. He submitted, therefore, that the provisions of section 4(1) of the Income Tax Act do not in any way vary the salaries, allowances, privileges and retirement benefits and other conditions of service of the petitioners within the meaning of Article 128(7) of the Constitution.

Mr Andrew *Bashaija*, learned Counsel for the petitioners, did not agree. He submitted that Article 128(7) of the Constitution protects the emoluments of the judicial officers from taxation regardless of category of judicial officers. In his view, taxation varies the emoluments of a judicial officer to his/her disadvantage. Therefore section 4(1) of the Income Tax Act is inconsistent with and contravenes the provisions of Article 128 (7) of the Constitution. In support of his argument, Mr *Bashaija* relied on the supremacy of the Constitution against other statutory provisions or administrative regulations that may be to the contrary. He also relied on the decisions of this Court in *Uganda Association of Women Lawyers and others v Attorney-General*, Constitutional Petition number 2 of 2003 and *Fox Odoi Oywelowo and Another v Attorney-General*, Constitutional Petition number 8 of 2003.

It is not in dispute that the petitioners are judicial officers within the meaning of Article 151 of the 1995 Constitution which provides:

> "Judicial officer" means:
>
> (*a*) a judge or any person who presides over a court or tribunal howsoever described;
>
> (*b*) the chief registrar or a registrar of a court;
>
> (*c*) such other person holding any office connected with a court as may be prescribed by law.

The issue for consideration is whether the petitioners are covered under Article 128(7) of the Constitution which reads as follows:

> "128 (7) The salary, allowances, privileges and retirement benefits and other conditions of service of a judicial officer or other person exercising judicial power, shall not be varied to his or her disadvantage."

In establishing a *prima facie* case, the petitioners relied on their affidavits and annexures like their letters of appointment containing salaries attached to their posts, letters of the Honourable Chief Justice (marked "O", the Chairman Judicial Service Commission (marked "N") the Attorney-General (marked "B") and the Solicitor General (marked "C"). Relevant exerpts of these letters are as follows:

Annexure "O" is the letter of the Honourable Chief Justice to the Honourable Minister, Ministry of Finance, dated 20 July 1999. The relevant portion reads as follows:

> "Imposition of tax on a judge now would violate this constitutional provision, in that, not only would the salary be reduced but the privilege of tax exemption would be

> abolished. This privilege, or if you prefer, condition of service, has been enjoyed for over eight years."

Annexure "N" is the letter of the Chairman, Judicial Service Commission to the Honourable Minister of Finance, Planning and Economic development, dated 19 August 1999. The relevant caption reads:

> "The principle of not diminishing the emoluments of judges is a necessary condition for safeguarding the independence of the Judiciary from erosion by the Government. Article 128(7) of the Constitution is, therefore, a fundamental principle which cannot be departed from. It would, therefore, appear that even without the express exemption by law the Constitution does not permit the reduction of the salaries of judges through taxation."

Annexure "B" is the response of the learned Attorney-General in respect of Annexures "O" and "N" respectively. The Attorney-General's letter to Honourable Minister of Finance, Planning and Economic Development dated 10 April 2002 reads in parts as follows:

> "Taxation matters for a certain category of judicial officers
>
> The provisions of the Constitution which protect the status quo of salaries, allowances, privileges, retirement benefits and other conditions of service of judicial officers is unequivocal (Article 128(7) of the Constitution). Whatever any statutory provision says in contradiction with these constitutional provisions, the protection remains unequivocal and in terms of Article 2(2) of the Constitution, such provisions must to the extent of the inconsistence be void. This is the case with the contradiction created by section 5(1) of the Income Tax Act 1997."

Annexure "C" is the letter of the Solicitor General to the Secretary to the Judiciary, High Court of Uganda, dated 20 August 2002. The Solicitor General quoted the above portion of the Attorney-General verbatim and directed the Secretary to the Judiciary as follows: "You shall, therefore, as Accounting Officer of the Judiciary Department, not effect any tax deductions from the judges' emoluments."

Before commenting on the above extracts, it is also worth noting the contents of annexure "P" which is a general notice by the Minister of Finance dated 27 February 1997. It reads:

> "General notice number 140 of 1997
>
> The Income Tax Decree
>
> (Decree 1 of 1974)
>
> Notice
>
> Pursuant to the provisions of subsection (2) of section 12 of the income tax decree, notice is hereby given that income in respect of gains from employment payable to the Chief Justice, Deputy Chief Justice, Principal Judge, a justice of the Supreme Court, a justice of Appeal or a judge of the High Court is exempted from tax.
>
> Notice is further given that this notice shall be deemed to have come into effect on 5 December 1990 and shall cease having effect on 30 June 1997."

Clearly, the above annexures were written after the promulgation of the 1995 Constitution. Further, those annexures refer to the justices of the Supreme Court, justices of the Court of Appeal and the judges of the High Court. There is no mention of the registrars, magistrates or such other persons holding any office connected with a court as may be prescribed by law. The omission, in my view, is unfortunate in that the petitioners are judicial officers within the meaning of Article 151 of the Constitution. The rationale of Article 128(7) of the Constitution is to protect the independence of the Judiciary. In that context

"judicial officer" means and includes justices of the Supreme Court; justices of the Court of Appeal; judges of the High Court; magistrates and registrars. These are judicial officers who are involved in the adjudication of disputes under the Judiciary.

Other persons holding any office connected with a court as may be prescribed by law, for example, members of Local Council Courts [LC Courts]; Courts Martial; Industrial Court; Non Performing Assets Recovery Tribunal; Land Tribunals etc are not protected under Article 128(7) of the Constitution. The petitioners' salaries, allowances, privileges and retirement benefits and other conditions of service as judicial officers shall not be varied to their disadvantage. Section 4(1) of the Income Tax Act which purports to vary the same to their disadvantage is to that extent inconsistent with and contravenes Article 128(7) of the Constitution.

In result, I would allow this petition in the terms proposed by Mpagi-Bahigeine JA.

Twinomujuni JA:

Introduction

I have had the benefit of reading the judgment, in draft, prepared by my honourable sister, Lady Justice AEN Mpagi Bahigeine JA. I agree with it. I write this judgment only to shed more light on the rationale and scope of Article 128(7) of the Constitution. The impugned provisions of the Constitution and the law, the background to the petition, the issues for determination, and the arguments have been ably captured in the said judgment of my learned sister, and shall not be reproduced in this judgment except where necessary in the interest of clarity.

The main issue for determination is whether section 4(1) of the Income Tax Act (Chapter 340) is inconsistent with and contravenes Article 128(7) of the Constitution of Uganda. (The Income Tax Act will be referred to in this judgment as "the Act" and the Constitution of Uganda as "the Constitution"). The Act imposes an obligation on any person who has a chargeable income to pay income tax. On the other hand, Article 128(7) of the Constitution states that:

> "The salary, allowances, privileges and retirement benefits and other conditions of service of a judicial officer or other person exercising judicial power, shall not be varied to his or her disadvantage."

The four petitioners, all of whom are judicial officers, being magistrates and registrars, are complaining that the application of section 4(1) of the Act impinges on the constitutional protection accorded to them by Article 128(7) of the Constitution. They seek a declaration that the section is null and void.

The fact that the petitioners are judicial officers and that the subject matter of this dispute involves interest of judicial officers in particular and the Judiciary in general, poses a challenge to this Court. The challenge can be summarised graphically, as follows:

If a fire engulfs a forest and is threatening to destroy it, can a monkey, whose natural habitat is the forest, impartially adjudicate over a dispute between the fire and the forest concerning the threat?

It is unfortunate that it falls upon us to determine and resolve this dispute. This is because there is no other choice for us. The Constitution, our supreme

law, vests all judicial power of the people in the Judiciary. Whether the dispute involves the interests of the Judiciary or individual judicial officers or not, it is only the Judiciary which is vested with judicial power to resolve it. However, the Judiciary must resolve the dispute "in the name of the people and in conformity with law and with the values, norms and aspirations of the people." *See* Article 126 of the Constitution.

We must also bear in mind our judicial oath of office in which we individually swore that:

> "I shall, well and truly, exercise the judicial functions entrusted to me and I will do right to all manner of people in accordance with the Constitution of the Republic of Uganda as by law established and in accordance with the laws and usage of the Republic of Uganda without fear or favour, affection or ill will. (So help me oh God)."

With this warning firmly in mind, I now turn to resolution of the issues in this petition.

Restoration of constitutionalism in Uganda

It is an undeniable fact that when NRM captured state power in 1986, it quickly and categorically expressed its resolve to restore the rule of law and constitutionalism to the people of Uganda. It quickly set up a Constitutional Commission chaired by the present Chief Justice of Uganda, the Honourable Justice Benjamin Odoki. The Commission had the mandate to seek views of all Ugandans and to consult within and without, and to make recommendations and a draft Constitution to be debated and promulgated by an elected Constituent Assembly. The Commission travelled throughout Uganda and outside Uganda, especially in common law countries. These included the United States of America and Great Britain. There were two types of constitutional governance systems from which the Commission could have chosen one, namely the Presidential System and the Parliamentary System. The Commission recommended, and the Constituent Assembly accepted and enacted the Presidential System of Governance. Central to that system are the cardinal principles of:

(1) Separation of powers.

(2) The rule of law.

(3) The independence of the Judiciary.

Our Presidential System of governance is based on the model of United States of America. The rationale behind this system was stated in the United State Supreme Court decision of *Evans v Gorey, Acting Commissioner of Internal Revenue* 253 US 245 (1920) per Mr Justice Van Devanter (who delivered the opinion of the court) as follows:

> "The Constitution was framed on the fundamental theory that a larger measure of liberty and justice would be assured by vesting the three great powers, the legislative, the executive, and the judicial, in separate departments, each relatively independent of the others; and it was recognised that without this independence if it was not made, both real and enduring, the separation would fail of its purpose. All agreed that restraints and checks must be imposed to secure the requisite measure of independence; for otherwise the legislative department, inherently the strongest, might encroach on or even come to dominate the others, and the judicial, naturally the weakest, might be dwarfed or swayed by the other two, especially by the legislative."

So our Constitution contains three separate chapters, each on the Executive, the Legislature and the Judiciary. The chapters contain elaborate provisions

designed to enshrine the principles of separation of powers, the rule of law and the independence of the Judiciary.

The need for an independent Judiciary was elaborately expounded upon by Alexander Hamilton in his famous papers, The Federalist number 78 (reproduced in *Evans v Gorey* (*supra*)) as follows:

> "The executive not only dispenses the honours, but holds the sword of the community. The Legislature not only commands the purse, but prescribes the rules by which the duties and rights of every citizen are to be regulated. The Judiciary, on the contrary, has no influence over either the sword or the purse; no direction either of the strength or of the wealth of the society; and can take no active resolution whatever. It may truly be said to have neither force nor will, but merely judgment . . . This simple view of the matter suggests several important consequences. *It proves incontestably that the Judiciary is beyond comparison the weakest of the three departments of power; that it can never attack with success either of the other two; and that all possible care is requisite to enable it to defend itself against their attacks*."
>
> The complete independence of the courts of justice is peculiarly essential in a limited Constitution. By a limited Constitution I understand one which contains certain specified exceptions to the legislative authority; such as, for instance, that it shall pass no bills of attainder, no *ex post facto* laws, and the like. Limitations of this kind can be preserved in practice no other way than through the medium of courts of justice, whose duty it must be to declare all acts contrary to the manifest tenor of the Constitution void (*sic*). Without this, all the reservations of particular rights or privileges would amount to nothing." (Emphasis mine.)

Later, John Marshall, a famous nineteenth century lawyer, legislator and a Chief Justice of United States of America spoke on the same subject as follows:

> "Advert, sir, to the duties of a judge. He has to pass between the Government and the man whom that Government is prosecuting; between the most powerful individual in the community, and the poorest and most unpopular. It is of the last importance, that in the exercise of these duties he should observe the utmost fairness. Need I press the necessity of this? Does not every man feel that his own personal security and the security of his property depends on that fairness? The judicial department comes home in its effects to every man's fireside; it passes on his property, his reputation, his life, his all. Is it not that to the last degree important that he should be rendered perfectly and completely independent with nothing to influence or control him but God and his conscience. . . I have always thought, from my earliest youth till now, that the greatest scourge an angry Heaven ever inflicted upon an ungrateful and a sinning people was an ignorant, a corrupt, or a dependent Judiciary." (Extract from *Evans v Gore* (*supra*))

In 1995, after decades of murder, mismanagement and tyranny, in which thousands upon thousands of people of this country, including an archbishop and a Chief Justice, died at the hands of those who controlled the executive powers of the state, the Constituent Assembly was determined to give this country a strong Constitution that balanced the powers of the Executive and the Legislature and an independent Judiciary. So it enacted Articles 126 and 128 to provide as follows:

Article 126(1):

> "Judicial power is derived from the people and shall be exercised by the courts established under this Constitution in the name of the people and in conformity with law and with the values, norms and aspirations of the people."

Article 128 Independence of the Judiciary

(1) In the exercise of judicial power, the courts shall be independent and shall not be subject to the control or direction of any person or authority.

(2) No person or authority shall interfere with the courts or judicial officers in the exercise of their judicial functions.

(3) All organs and agencies of the state shall accord to the courts such assistance as may be required to ensure the effectiveness of the courts.

(4) A person exercising judicial power shall not be liable to any action or suit for any act or omission by that person in the exercise of judicial power.

(5) The administrative expenses of the Judiciary including all salaries, allowances, gratuities and pensions payable to or in respect of persons serving in the Judiciary, shall be charged on the consolidated fund.

(6) The Judiciary shall be self accounting and may deal directly with the Ministry responsible for finance in relation to its finances.

(7) The salary, allowances, privileges and retirement benefits and other conditions of service of a judicial officer or other person exercising judicial power, shall not be varied to his or her disadvantage.

(8) The office of the Chief Justice, Deputy Chief Justice, Principal Judge, a Justice of the Supreme Court, a Justice of Appeal or a judge of the High Court shall not be abolished when there is a substantive holder of that office." (Emphasis mine.)

This Article contains eight pillars of an independent Judiciary. It is a single package. It is not about salaries or terms and conditions of service of judicial officers. It is about independence of the Judiciary, as its title shows. You cannot remove any one single pillar of these eight pillars without adversely affecting the independence of the Judiciary. The Constituent Assembly was apprehensive that the other two strong arms of Government might one day seek to destroy these eight pillars of an independent Judiciary. To prevent that, they provided in Article 259(2)(*g*) of the Constitution that to amend Article 128(1) of the Constitution, it is necessary to obtain a two-thirds vote of all members of Parliament after which the decision must be referred to the people in a referendum for approval. Since each and every clause of Article 128 is about the independence of the Judiciary, to amend or remove any one of them would be an amendment of Article 128(1) by infection. It is therefore, not possible to correctly amend any one of them without following the procedure in Article 259(2)(*g*) of the Constitution. This clearly shows how far, the Constituent Assembly, in their wisdom, was prepared to go in order to establish and ensure retention of an independent Judiciary and constitutionalism.

Rationale of Article 128(7) of the Constitution

The Constitution of United States of America, just like our own Constitution, defines the meaning of judicial power. It vests the power, just as it does in Uganda, in the Supreme Court and such inferior courts as set up by the United States Congress from time to time. The Constitution then provides:

> "The judges, both of the Supreme and inferior courts, shall hold their offices during good behaviour, and shall, at stated times, receive for their services, a compensation which shall not be diminished during their continuance in office."

This provision can be compared and contrasted to similar provisions in our Constitution as follows:

(*a*) Whereas it deals in a single Article with the permanency of a judicial office during good behaviour and the non-diminishability of judicial compensation, ours

makes similar provisions but in separate Articles in the same chapter about the Judiciary.

(*b*) Whereas the Americans have used the term "diminish" in their provision, ours uses the term "*varied to his or her disadvantage*". Surely, it does not require a lot of imagination or a PHD in the English language to figure out that to vary a salary to one's disadvantage is the same thing as diminishing that salary.

(*c*) The American provision only gives protection of a judicial officer's salary "during their continuance in office". Our Article 128(7) protects the total compensation of a judicial officer even in retirement. Total compensation of a judicial officer includes salary, allowance, privilege, retirement benefits and other conditions of service of a judicial officer.

(*d*) The American Constitution contains a similar provision as that of judicial officers, in relation to compensation of the President of United States of America. However, his compensation is protected only during his continuance in office. On the other hand our Article 106(6) and (7) of the Constitution provides that the salary, allowances and other benefits of the President shall not be varied to his/her disadvantage while she or he holds the office. Also, the retirement benefits of the presidency cannot be varied to his or her disadvantage.

I have gone to this length to show the similarity of the American provisions to ours and to opine that the decisions of the United States Supreme Court which I am going to discuss below are not merely persuasive but ought to be given much more weight than that usually accorded to foreign authorities.

A case which is on all fours with the instant petition reached the American Supreme Court in 1920, in an appeal from a district court, in *Evans v Gore, Acting Collector of Internal Revenue* (*supra*). The facts of the case, reported in the judgment of Mr Justice Van Devanter, are as follows:

> "This is an action to recover money paid under protest as a tax alleged to be forbidden by the Constitution.
>
> The plaintiff is the United States District Judge for the Western District of Kentucky, and holds that office under an appointment by the President made in 1899 with the advice and consent of the Senate. The tax, which he calls in question, was levied under the Act of 24 February 1919, Chapter 18, 40 Stat. 1062, on his net income for the year, 1918, as computed under the Act. His compensation on salary as district judge was included in the computation. Had it been excluded he would not have been called on to pay any income tax for that year. The inclusion was in obedience to a provision in section 213 (comp St Ann Supp 1919, 6336 1/8ff), requiring the computation to embrace all gains; profits, income and the like, including in the case of the President of the United States, the judges of the Supreme and inferior courts of the United States, the compensation received as such. Whether he could be subjected to such a tax in respect of his salary, consistently with the Constitution, is the matter in issue. If it be resolved against the tax he will be entitled to recover what he paid; otherwise his action must fail. It did fail in the districtcCourt 262 Feb.550.
>
> The Constitution establishes three great co-ordinate departments of the national Government, the legislative, the executive and the judicial – and distributes among them the powers confided to that Government by the people. Each department is dealt with in a separate Article, the legislative in the first, the executive in the second and judicial in the third. Our present concern is, chiefly, with the third Article. It defines the judicial power, vests it in one Supreme Court and such inferior courts as Congress may from time to time ordain and establish, and declares:
>
> > 'The judges, both of the Supreme and inferior courts, shall hold their offices during good behaviour, and shall, at stated times, receive for their services, a compensation, which shall not be diminished during their continuance in office.'

> The plaintiff insists that the provision in section 213 which subjects him to a tax in respect of his compensation as a judge by its necessary operation and effect diminishes that compensation and, therefore, is repugnant to the constitutional limitation just quoted."

While considering the rationale behind the above Article of the Constitution, the learned Justice of the Supreme Court in *Evans v Gore* put the issues, with amazing precision, as follows:

> "With what purpose does the Constitution provide that the compensation of the judges 'shall not be diminished during their continuance in office?' Is it primarily to benefit the judges, or rather to promote the public zeal by giving them that independence which makes for an impartial and courageous discharge of the judicial function? Does the provision merely forbid direct diminution, such as expressly reducing the compensation from a greater to a lesser sum per year, and thereby leave the way open for indirect, yet effective, diminution, such as withholding or calling back a part as a tax on the whole? Or, does it mean that the judge shall have a sure and continuing right to the compensation, whereon he confidently may rely for his support during his continuance in office, so that he need have no apprehension lest his situation in this regard may be changed to his disadvantage?'

In explanation and support of the constitutional protection, Alexander Hamilton in his papers, Federalist number 79 (also cited in *Evans v Gore*) observed:

> "Conscious of the nature and scope of the power being vested in the national courts, recognising that they would be charged with responsibilities more delicate and important than any ever before confided to judicial tribunals, and appreciating that they were to be, in the words of George Washington, '*the keystone of our political fabric*, ' the Convention, with unusual accord, incorporated in the Constitution the provision that the judges shall hold their offices during good behaviour and shall at stated times, receive for their services a compensation which shall not be diminished during their continuance in office.' Can there be any doubt that the two things thus coupled in place-the clause in respect of tenure during good behaviour and that in respect of an undiminishable compensation-were equally coupled in purpose: and is it not plain that their purpose was to invest the judges with an independence in keeping with the delicacy and importance of their task and with the imperative need for its impartial and fearless performance?
>
> Next to permanency in office, nothing can contribute more to the independence of the judges than a fixed provision for their support. . . In the general course of human nature, a power over a man's subsistence amounts to a power over his will."

In conclusion on this subject, Mr Justice Van Deventer stated:

> "The several commentators on the Constitution have adopted and reiterated this view, Judge Story adding:
>
> > 'Without this provision [as to an undiminishable compensation], the other, as to the tenure of office, would have been utterly nugatory, and indeed a mere mockery.'
>
> And Chancellor Kent observing:
>
> > 'It tends, also, to secure a succession of learned men on the bench, who, in consequence of a certain undiminished support, are enabled and induced to quit the lucrative pursuits of private business for the duties of that important station.'
>
> These considerations make it very plain, as we think, that the primary purpose of the prohibition against diminution was not to benefit the judges, but, like the clause in respect of tenure, to attract good and competent men to the bench and to promote that independence of action and judgment which is essential to the maintenance of the guarantees, limitations, and pervading principles of the Constitution and to the administration of justice, without respect to persons, and with equal concern for the poor and the rich. Such being its purpose, it is to be construed, not as a private grant,

> but as a limitation imposed in the public interest; in other words, not restrictively, but in accord with its spirit and the principle on which it proceeds."

This judgment speaks for itself. This has been the law of the United States of America, one of the greatest constitutional democracies on the planet, for more than two hundred years. Our Constituent Assembly, the body that made our 1995 Constitution, was greatly impressed by these constitutional safeguards not only for judicial officers but also for the President. It decided to transplant them, almost wholesale, into our Constitution. Hardly ten years since, a lot of people seem to have totally forgotten the wisdom which prompted the Constituent Assembly to embrace them.

Meaning of "varying to his or her disadvantage"

Here, I discuss whether, imposing income tax under section 4(1) of the Act on the salary of a judicial officer amounts to varying it to his or her disadvantage within the meaning of Article 128(7) of the Constitution. I have indicated above that this phrase means exactly the same thing as the word "diminished" as used in the similar provision in the Constitution of United States.

The Attorney-General argued in this case that taxing of magistrates and registrars does not amount to varying their salaries to their disadvantage because they were being subjected to the same tax before 1995 and that since then nothing has changed and therefore their salaries are not being varied to their disadvantage. With respect, I cannot agree. I can do no better than the Supreme Court of United States, which pronounced itself on the meaning of the word "diminished" in the case of *Evans v Gore* (*supra*). It said:

> "Obviously, diminution may be effected in more ways than one. Some may be direct and others indirect or even evasive, as Mr Hamilton suggested. But all which by their necessary operation and effect withhold or take from the judge a part of that which has been promised by law for his services must be regarded as within the prohibition. Nothing short of this will give full effect to its spirit and principle. Here, the plaintiff was paid the full compensation, but was subjected to an involuntary obligation to pay back a part, and the obligation was promptly enforced. Of what avail to him was the part which was paid with one hand and then taken back with the other? Was he not placed in practically the same situation as if it had been withheld in the first instance? Only by subordinating substance to mere form could it be held that his compensation was not diminished. Of course, the conclusion that it was diminished is the natural one."

Finally on this matter, the Supreme Court concluded:

> "The prohibition is general, contains no excepting words, and appears to be directed against all diminution, whether for one purpose or another; *and the reasons for its adoption, as publicly assigned at the time and commonly accepted ever since, make with impelling force for the conclusion that the fathers of the Constitution intended to prohibit diminution by taxation as well as otherwise that they regarded the independence of the judges as of far greater importance than any revenue that could come from taxing their salaries*." (Emphasis mine.)

At the beginning of the trial of this petition, the learned Attorney-General conceded that the petitioners are judicial officers within the definition of 'judicial officer" contained in Article 151 of the Constitution. I have no doubt in my mind that since October 1995 the emolument of the petitioners has been subjected to variation by taxation to their disadvantage, an act which is not consistent with and contravenes Article 128(7) of the Constitution.

The scope of Article 128(7) of the Constitution

This issue arises from the arguments of Mr Oryem *Okello*, the learned state attorney who represented the respondent. He submitted that the framers of Article 128(7) of the Constitution could not have intended to exempt judicial officers from payment of income tax because the same expression "shall not be varied to his or her disadvantage" is used in Article 106(6) and (7) in respect of the office of the President and yet the President is not exempted from payment of income tax, and in fact he pays income tax. Mr Oryem *Okello* argued further that, the same expression appears in Article 158 of the Constitution regarding all those officers whose salaries and allowances are charged on consolidated fund. In his view, these officers are very many in the public service and they are currently paying tax. If the expression were given a meaning that favours the petitioners, then it would open the floodgates for all senior public servants to evade tax, a consequence which could not have been intended by the Constituent Assembly.

Now, let us examine closely Articles 106 and 158 of the Constitution.

Article 106 provides:

(1) The President shall be paid a salary and allowances and afforded such other benefits as Parliament shall, by law, provide.

(2) Parliament shall, by law, make provision for the grant of benefits for a President who ceases to hold office otherwise than by being removed under paragraph (*a*) or (*b*) of clause (1) of Article 107 of this Constitution.

(3) The salary, allowances and other benefits granted to a President under this Article shall be charged on the consolidated fund.

(4) The President is exempted from direct personal taxation on allowances and other benefits except on the official salary.

(5) The President shall not hold any other public office other than those conferred by this Constitution or any office of profit or emolument likely to compromise the office of President.

(6) The salary, allowances and other benefits granted to the President under this Article *shall not be varied to the disadvantage of the President while he or she holds office.*

(7) The retirement benefits granted to a President under this Article *shall not be varied to the disadvantage of the President*. (Emphasis mine.)

Article 158 provides:

(1) Where any salary or allowance of the holder of any office is charged on the consolidated fund, it shall not be altered to his or her disadvantage after he or she has been appointed to that office.

I find it convenient to start with Article 158 of the Constitution. The Article does not have the phrase "shall not be varied to his or her disadvantage."

The phrase "shall not be altered to his or her disadvantage" is used instead. The choice of words is deliberate. To alter a salary or allowance to one's disadvantage is to directly diminish it, by reducing it from a greater to a lesser sum. This may still leave it liable to indirect methods of diminution such as taxing it. On the other hand the phrase "vary to one's disadvantage" includes both direct diminution of the benefit in question and indirect methods of diminution, such as taxation. The salaries and allowances of the officers referred to in Article 158 of the Constitution cannot be directly altered to a lesser sum after the officers have been appointed to the offices. This, however, does not protect their salaries and allowances from being indirectly diminished or varied through taxation. The fears raised by Mr Oryem *Okello* that floodgates will be

opened for all senior public officers to escape payment of income tax are not well founded because the expression used there is quite different from the one used in Article 128(7) of the Constitution.

Article 106(4) of the Constitution provides that the President is exempted from payment of direct personal tax on his allowances and other benefits except on his official salary. Article 106(5) forbids the President from holding any other office of profit or involvement, other than those conferred by the Constitution. Article 106(6) provides that the salary, allowances and other benefits granted to the President shall not be varied to his or her disadvantage. To me, these two provisions contradict each other on the liability of the President to pay tax on his salary. How can it be liable to direct taxation when the same Article commands that the salary shall not be varied to his or her disadvantage? In order to get the true intention of the Constituent Assembly in enacting Articles 128(7) and 106(4)(6) and (7), we must seek help from the American interpretation in the case of *Evans v Gore* (*supra*) where similar provisions were in issue. The Supreme Court of the United States of America held that both the President of the United States and the judges of that country are not liable to pay taxes. Looking at the whole of Article 106 of the Constitution and its import in its American origin, it seems obvious to me that it was intended to prohibit taxation, in any form, on the salary of the President. The expression "*except on the official salary*" in Article 106(4) of the Constitution is totally out of context with Article 106(6) and (7) and must have been a result of a slip of the pen. Article 106(6) clearly prohibits the diminution of the President's salary, allowances and other benefits, while he or she holds that office. Article 106(7) prohibits the diminution of the Presidents salary, allowances and other benefits while he or she holds that office. Article 106(7) prohibits the diminution of his retirement benefits. This is how it is in the United States of America and unless a contrary intention is indicated, that is what was intended in Uganda.

I would use the following illustration to summarise the different meanings of the phrase "shall not be varied to his or her disadvantage" as used in Articles 106(6) and (7) and 128(7) on one hand, and the phrase "shall not be altered to his or her disadvantage" as used in Article 158(2) of the Constitution, on the other hand.

Suppose Parliament, in order to deal with an economic crisis, enacts a law requiring a 20 percent salary reduction on the salaries of all persons holding public offices in Uganda. The law would have the effect of altering the salaries of all the affected officers to their disadvantage. However, since the law must conform to the Constitution, the following consequences would result:

(*a*) All public officers whose salaries are not charged on the consolidated fund would suffer an alteration to their disadvantage of 20 percent on their salaries. The remaining balance of their salaries would remain liable to be varied to their disadvantage by the operation of section 4(1) of the Income Tax Act.

(*b*) All public officers whose salaries are not charged on the consolidated fund would not be affected by the new law because they are protected by Article 158(2) of the Constitution, which forbids alteration of their salaries to their disadvantage. However, their salaries would remain liable to be varied to their disadvantage by operation of section 4(1) of the Income Tax Act.

(*c*) The President and the judicial officers would not be affected by the new law because of the protection contained in Articles 106(6) and (7) and 128(7) of the

Constitution. Their salary would also not be affected by the operation of section 4(1) of the Income Tax Act because of the same constitutional protection.

Now, I must determine the question "who is the beneficiary under Article 128(7) of the Constitution?" The Article itself talks of "a judicial officer or other person exercising judicial power". Article 151 of the Constitution states:

"In this Chapter, unless the context otherwise requires:

"Judicial officer" means:

(*a*) a judge or any person who presides over a court or tribunal howsoever described.

(*b*) The chief registrar or registrar of a court.

(*c*) Such other person holding any office connected with a court as may be prescribed by law." (Emphasis mine.)

Besides judges, magistrates and registrars, there are other "persons who preside over a court or tribunal howsoever described."

These include:

(*a*) Members of Land Tribunal

(*b*) Members of Industrial Court

(*c*) Members of Tax Appeals Tribunal

(*d*) Members of Non-Performing Assets Recovery Tribunal (NPART)

(*e*) Members of Courts – Martial.

(*f*) Members of Uganda Human Rights Commission.

(*g*) Members of Local Council Courts.

(*h*) etc

The list is very long.

Then we must include: "such other persons holding any office connected with a court."

These must include all employees of the Judiciary and all those employed in the various courts and tribunal, I have listed above including those I have omitted to list. Could the Constituent Assembly have intended to exempt all these people from the payment of Income Tax? My answer is definitely no. The expression "judicial officer" means all the persons and offices mentioned in Article 151, unless the context otherwise requires. The context in this case is Article 128(7) of the Constitution. I have tried to explain the origins and the rationale of the Article. The exposition, contained in *Evans v Gore* (*supra*), makes it very clear that the protection was intended for the protection of the independence of the Judiciary. The Article only covers employees of the Judiciary who are engaged in the adjudication of disputes. It cannot cover anyone else employed outside the Judiciary. That is why it was purposely put under a chapter of the Constitution dealing exclusively with the Judiciary. In that context therefore, the expression "judicial officer" can only mean the following:

(*a*) Justices of the Supreme Court.

(*b*) Justices of the Court of Appeal/Constitutional Court.

(*c*) Judges of the High Court.

(*d*) Magistrates.

(*e*) Registrars.

I would so hold.

Conclusion

Under the 1995 Constitution of Uganda, there are only two institutions whose officers are exempted from payment of taxation on their salaries, allowances, privileges, retirement benefits and other conditions of service -the Presidency and the Judiciary. This time-tested tradition in many democratic countries is not intended to benefit, financially, the holder of the office of the President or a judicial office. It is intended to protect and preserve the independence of holders of those offices from those who control or command the purse of the state.

So, this petition is not about four impoverished civil servants who are seeking to evade a citizen's duty to pay tax. It is about the independence of the Judiciary. Unlike the Executive organ of the state, the Judiciary does not "disperse honours or hold the sword of the community". Unlike the Legislative organ of the state, the Judiciary does not control or command the purse of the state. It is, indeed, the weakest of the three. Article 128(3) of the Constitution recognises this inherent weakness and commands as follows:

> "All organs and agencies of the State shall accord to the courts such assistance as may be required to ensure effectiveness of the courts."

For the Judiciary to be effective, it needs assistance from all, but especially from the Executive and the Legislature. Instead of this, the Judiciary is being subjected to intense and constant chastisation, not because it has done anything wrong but because it is doing its job, vested on it by the Constitution. Every time a judgment, not favourable to our partners, is pronounced, we hear the next day demands to investigate "the corrupt judges" or threats to "fix" or "sort out" the biased judges or demands that "judges must pay tax". A recently published Cabinet White Paper, not only has proposals to overturn the decisions of courts through referenda but also to prescribe in the Constitution what a judge should, or should not, include in a judgment. It is now proposed to abolish altogether the seventh pillar of an independent Judiciary by removing the protection granted to the Judiciary by Article 128(7) of the Constitution. More than at any other time in the last quarter of a century, the Judiciary is under siege.

I liken the Judiciary, not in a disparaging sense, to a woman. She is perceived to be weak physically, but yet it is her moral and intellectual strength which provides the foundation for stability and prosperity of society. Woman is an indispensable part of society. She needs protection and not battering from her partner. So does the Judiciary.

I conclude this judgment with a re-emphasis of the need for an independent Judiciary as illustrated more than eighty years ago by President Wilson of the United States, who observed:

> "It is also necessary that there should be a Judiciary endowed with substantial and independent powers and secure against all corrupting or perverting influences; secure, also against the arbitrary authority of administrative heads of the Government.
>
> Indeed there is a sense in which it may be said that the whole efficacy and reality of constitutional government resides in its courts. Our definition of liberty is that is the best practicable adjustment between the powers of the Government and the privileges of the individual.
>
> Our courts are the balance wheel of our whole constitutional system; and ours is the only constitutional system so balanced and controlled. Other constitutional

> systems lack complete poise and certainty of operation because they lack the support and interpretation of authoritative, indisputable courts of law. It is clear beyond all need of exposition that for the definite maintenance of constitutional understandings it is indispensable, alike for the preservation of the liberty of the individual and for the preservation of the integrity of the powers of the Government, that there should be some non-political forum in which those understandings can be impartially debated and determined. That forum our courts supply. There the individual may assert his rights; there the Government must accept definition of its authority. There the individual may challenge the legality of Governmental action and have it adjudged by the test of fundamental principles, and that test the Government must abide; there the Government can check the too aggressive self assertion on the individual and establish its power upon lines which all can comprehend and heed. The constitutional powers of the courts constitute the ultimate safeguard alike of individual privilege and of governmental prerogative. It is in this sense that our Judiciary is the balance wheel of our entire system; it is meant to maintain that nice adjustment between individual rights and governmental powers which constitutes political liberty." (Cited in *Evans v Gore*)

This is what the Constituent Assembly cherished in 1995. This is what all reasonable members of society should cherish. Otherwise, what John Martial (the distinguished American lawyer, legislator and Chief Justice) feared will befall this nation, namely:

> ". . . the greatest scourge an angry Heaven ever inflicted upon ungrateful and sinning people is an ignorant, corrupt or a dependant Judiciary."

I would allow this petition in terms proposed by Honourable Justice AEN Mpagi-Bahigeine JA.

Kitumba JA (Dissenting): I have had the benefit of reading in draft the leading judgment of my Lord Mpagi-Bahigeine JA. I respectfully disagree with it. I would, however, make some observation.

The petition was filed in this Court under Article 137 of the 1995 Constitution of Uganda jointly by the petitioners namely: Masalu Musene Wilson, Keitirima John Audes, Sekagya Ronald and Muhiirwa Araari K who shall hereafter be referred to as the first, the second, the third and the fourth petitioners respectively and jointly as the petitioners. The petitioners are seeking the following declarations:

(1) A declaration that the application of the provisions of section 4(1) of the Income Tax Act (Chapter 340) to judicial officers renders it inconsistent with Article 128(7) of the Constitution.

(2) A declaration that judicial officers' salaries, allowances, privileges and retirement benefits and other conditions of service must not be subjected to any taxation whatsoever.

(3) An order that judicial officers are entitled to their full pay without variation to their disadvantage with the coming into effect of the Constitution in 1995.

The petitioners also prayed court to award them costs of the petition.

The background to the petition is that all the four petitioners were appointed to their offices as judicial officers after the promulgation of the 1995 Constitution. They receive their monthly salaries after taxation. They contend that this is inconsistent with Article 128(7) of the Constitution, hence their joint petition to this Court which alleges, *inter alia*, as follows:

1. That your first, second, third and fourth petitioners are male adult Ugandans of sound mind currently employed as judicial officers in the capacities of registrar, chief magistrate, magistrate grade one and magistrate grade two, of the courts of

judicature respectively, and all of whom are persons affected by the implementation of section 4(1) of the Income Tax Act (Chapter 340).

2. That your petitioners are aggrieved and affected by the following matter being inconsistent with the Constitution whereby your petitioners are aggrieved:

(*a*) That the application of section 4(1) of the Income Tax Act (Chapter 340) to the judicial officers renders it inconsistent with Article 128(7) of the Constitution, which provides specifically that salaries, allowances, privileges and retirement benefits and other conditions of service of judicial officers shall not be varied to their disadvantage.

(*b*) That taxation of salaries, allowances, privileges and retirement benefits and other conditions of service of judicial officers since 1995, has affected them in that it varied their terms and conditions to their disadvantage.

The petition is supported by affidavits of all the petitioners sworn on 7 June 2004. The petitioners' affidavits are similar. They all aver that they serve as judicial officers in the Judiciary and specify the capacities in which they serve. The first petitioner depones that he is a registrar, the second petitioner depones that he is a chief magistrate, the third petitioner swears that he is a magistrate grade I and the fourth petitioner avers that he is magistrate grade II. Each one of the petitioners has attached on his affidavit as annexures, a letter of appointment and a copy of his recent pay slip showing tax deductions. All the petitioners plead the following in their affidavits.

> "That I am advised by my lawyers from Messrs Pearl Advocates and Solicitors, whom I verily believe to be truthful, that as a judicial officer, my salary, allowance and other conditions of service should not be taxed by virtue of Article 128(7) of the Constitution of the Republic of Uganda 1995.
>
> That I am further advised, by my aforesaid lawyers, that section 4(1) of the Income Tax Act (Chapter 340) which makes my salary, allowance and other conditions of service liable to taxation is inconsistent with Article 128(7) of the Constitution which protects the salary, allowances and other conditions of a judicial officer from being varied to his or her disadvantage.
>
> That I verily believe to be true what my lawyers have advised me, that taxation of my salary, allowances and other conditions of services is variation to my disadvantage which is unconstitutional.
>
> That my salary, allowances and other conditions of service have been unconstitutionally taxed since my appointment as a judicial officer.
>
> That from the above, I verily believe that the section 4(1) of Income Tax Act is unconstitutional to the extent to which it breaches Article 128(7) of the Constitution."

On the first petitioner's affidavit are annexures "B" and "C" which are letters from the learned Attorney-General and the Solicitor General, respectively, in which they express their opinion about the taxation of salaries and allowance of judicial officers.

In answer to the petition the respondent denied all averments in the petition. The respondent contended that the provisions of section 4(1) of the Income Tax Act (Chapter 340) do not in any way vary the salaries, allowances, privileges and retirement benefits and other conditions of service of the petitioners and other judicial officers within the meaning of Article 128(7) of the Constitution.

The answer to the petition is supported by the affidavit of Mike Chibita, Principal State Attorney, in the respondent's chambers, sworn on 17 June 2004.

He states that taxation of the incomes of the petitioners and other judicial officers of their rank does not amount to diminution of their emoluments. On 11 October 2004, the same deponent swore a supplementary affidavit in support of the answer to the petition. In that affidavit he averred that the opinion of the learned Solicitor General and the Attorney-General referred to the taxation of the salaries of the judges of the High Court and justices of the Court of Appeal and the Supreme Court, that taxation of the incomes of the petitioners and other judicial officers would not violate the provisions of Article 128(7) of the Constitution. That the application of section 4(1) of the Income Tax Act (Chapter 340) to the petitioners is not inconsistent with the Constitution. He attached to his affidavit the following annexures "C", a letter dated 15 June 2004 to the Solicitor General from the Permanent Secretary/Secretary to the Treasury. "L" a letter dated 2 September 1999 to the Deputy Commissioner Legal Uganda Revenue Authority from the Solicitor General. "M" a letter dated 25 August 1999 from the Attorney-General to the Honourable Minister of Finance, Planning and Economic Development, "N" a letter dated 19 August 1999 from the Chairman Judicial Service Commission to the Honourable Minister of Finance, Planning and Economic Development. "O" a letter dated 20 July 1999 from the Honourable The Chief Justice to the Minister of Finance and "P" general notice number 140 of 1997 made under section 12(2) of the now repealed Income Tax Decree (Decree number 1 of 1974) signed by the Minister of Finance on 27 January 1997 and deemed to have come into force on 30 June 1990.

The following issues were agreed upon for determination by this Court.

(1) Whether the application of section 4(1) of the Income Tax Act (Chapter 340) to judicial officer is inconsistent with Article 128(7) of the Constitution.

(2) Whether the petitioners are entitled to relief sought.

Learned counsel, Mr Andrew *Bashaija*, Mr Precious *Ngabirano* and Mr Evans *Tusiime* appeared for the petitioners. Ms Robina *Rwakojo*, learned Principal State Attorney and Mr Alfred Oryem *Okello*, learned state attorney, represented the respondent.

Before I tackle the issues as framed, I find it convenient to dispose of this point which appears to me to be a preliminary objection to the petition. It was raised by the respondent's counsel in reply to the submissions of the petitioners' counsel.

Mr Oryem *Okello* contended that the petitioners' affidavits do not contain any evidence to show that their incomes are varied to their disadvantage. He argued that the petitioners simply state that their lawyers advised them that their salaries are varied to their disadvantage. Besides, their lawyers have not filed any affidavit to substantiate the petitioners' claims. He submitted that in a substantive matter of this nature the petitioners cannot rely on information to sustain the petition. In support of his submission, counsel relied on *Dr Besigye Kizza v Electoral Commission and another* Electoral Petition number 1 of 2001 and *PK Ssemogerere and another v Attorney-General* Constitutional Petition number 3 of 1999.

He further submitted that annexures to Mike Chibita's affidavit on which the petitioners were relying in support of their claim did not in fact support it. Those annexures referred to justices of the Supreme Court and of the Court of Appeal and judges of the High Court who enjoyed the privilege of not paying

taxes on their salaries before the promulgation of the Constitution. It was counsel's contention that the annexures do not at all refer to the petitioners.

In reply Mr *Ngabirano* for the respondent submitted that the petitioners had produced evidence in support of their petition by annexing, to their affidavits, their appointment letters and the pay slips.

The law is that the burden is on petitioners to produce evidence to establish a *prima facie* case that the impugned section of the Act is inconsistent with Constitution. Then the burden shifts to the respondent to prove that the section is not inconsistent with the Constitution. After the petitioner has established a *prima facie* case she or he is not prevented from relying on any document filed by the respondent, which are favourable to the petition.

The petitioners have sworn affidavits and indicated that they are reliably informed by their lawyers that their salaries, allowances and other benefits are not supposed to be taxed by virtue of Article 128(7) of the Constitution. That section 4(1) of the Income Tax Act is inconsistent with the Constitution, I take this to be information or legal advice from the petitioners' lawyers. The letters of appointment of each of the petitioners showing their fixed salaries and their recent pay slips showing the tax deductions are attached to their affidavits as annexures. To me this is evidence of the fact of deductions of the petitioner's salaries.

I appreciate that in a constitutional petition the affidavit in support of the same must be restricted to facts the deponent is able, from his or her knowledge, to prove and must not be based on information and belief. I am of the view that the affidavits in this petition are distinguishable from those in *Paul Ssemogerere and others v Attorney-General* Constitutional Petition number 3 of 1999 in which the supplementary affidavit of the Honourable Deputy Speaker was based on information given to her by some members of Parliament.

The court has discretion to sever the defective part of the affidavit and act on the rest. Generally courts take a liberal attitude when dealing with defective affidavits by severing the defective portion and relying on the remainder to determine the case. Odoki, CJ, cited and applied this view in Col (RTO) *Dr Besigye Kizza v Museveni and Electoral Commission* Election Petition number 1 of 2001. I am inclined to find that the paragraphs on advice from lawyers are severable from the rest of the affidavits. In fact those paragraphs were unnecessary, as they are, in fact, the substance of the petition. I shall, therefore, not consider the paragraphs concerning the lawyers' advice. The rest of the affidavits, and the annexures thereto will be considered.

I now consider the first issue. Submitting on this issue, Mr *Bashaija* contended that section 4(1) of the Income Tax Act contravenes the provisions of Article 128(7) of the Constitution. He argued that the above mentioned Article protects the emoluments of judicial officers from taxation. He submitted that taxation varies the emoluments of a judicial officer to his or her disadvantage. He contended that annexure "A" to the affidavit of the first petitioner and annexures "O" and "N" to the supplementary affidavit of Mike Chibita support this position. He argued that the three letters for the Honourable Chief Justice and the Attorney-General make the position very clear in the following manner.

(*a*) They refer to salaries and other emoluments of Judicial officers not any category that has been exempted.

(*b*) That no tax obligation in law exists against judicial officers.

(*c*) That even exemption by a Minister through a Statutory Instrument is unnecessary.

(*d*) The Constitution which expressly provides the exemption of judicial officers salaries and emoluments is supreme.

Counsel invited this Court to follow its previous decisions in *Uganda Association of Women Lawyers and others v Attorney-General* Constitutional Petition number 2 of 2000 and *Fox Odoi Oywelowo and another v Attorney-General* Constitutional Petition number 8 of 2003 in which this Court confirmed the supremacy of the Constitution against any other statutory provisions or administrative action that may be to the contrary.

Counsel attacked paragraph 5 of Mike Chibita's supplementary affidavit in which he deponed that taxation of justices of the Supreme Court and of the Court of Appeal and of the judges of the High Court would violate the provisions of Article 128(7) of the Constitution. On the other hand taxation of the petitioners and other judicial officers of their rank would not. He submitted that the deponent had no basis to say so. The Constitution is in clear terms and where it was intended to categorise judicial officers the words justices and judges were used. He, therefore, concluded that Article 128(7) applied to all judicial officers.

Counsel further contended that taxation is a variation of the petitioners' salaries and allowances. Counsel argued that the Constitution does not define the word variation. He referred to *Black's Law Dictionary* (6ed) for the definition of the word "variance" or "variation" which is defined as "a deference or disparity between two statements or documents that ought to agree." He also referred to *Chambers 21 Century Dictionary, Unique Focus on Language as it is Used Today Revised Edition* Paragraph 1570 which defines "variation" as the act or process of varying or changing to something that varies from a standard."

Counsel contended that the petitioners were, by their letters of appointment, given fixed salaries. He argued that the petitioners' salaries were varied to their disadvantage by taxation of about 25 percent. He further contended that the purpose of section 4(1) of the Income Tax Act is to tax the salaries of judicial officers and the effect is to diminish their fixed salaries. He implored this Court to apply the principle of purpose and effect in determining the unconstitutionality of the impugned section as was done in the Constitutional Petition of *Fox Odoi Oywelowo v Attorney-General* (*ibid*).

Counsel contended that by enacting Article 128(7) of the Constitution the Constituent Assembly intended to ensure independence of the Judiciary. The framers of the Constitution wished the judicial officers to be economically independent and did not want them to be subjected to the whims of tax officials. He argued further that, that is the reason why by Article 155(3) of the Constitution the Judiciary has a self-accounting status. In support of his submission he referred to the authority from the US Supreme Court *Evans v Gore Acting Collector of Internal Revenue* 253 US 245 (1920). In that case the petitioner was a district judge of the Western District of Kentucky. He was appointed according to the Constitution. The third Article of the US Constitution stated:

> "The judges, both of the Supreme and inferior courts, shall hold their offices during good behaviour, and shall, at stated times, receive for their services, a compensation which shall not be diminished during their continuance in office."

The salary he received as a judge was subjected to taxation according to an Act of Congress. He petitioned the court for a declaration that the Act of Congress was unconstitutional. The issue was whether the taxation of the judges' salary amounted to diminution of his salary. The Supreme Court held that compensation which was received by the judge, suffered dimunition to the extent it was taxed. Learned counsel implored this Court to follow the above decision. He prayed court to answer the first issue in the affirmative.

In reply Mr *Oryem* Okello, learned state attorney, submitted that section 4(1) of the Income Tax Act is not inconsistent with Article 128(7) of the Constitution. He contended that in determining the issue, whether it is unconstitutional or not for the petitioners' salaries to be taxed, the following provisions of the Constitution have to be taken into account. Firstly, XXIX of the National Objectives and Directive Principles of State Policy and Article 17(*g*) of the Constitution stipulates the payment of taxes as one of the duties of a citizen. Secondly, Article 152(1)(2) enjoins Parliament to enact laws for payment of taxes and waives, or varies, the payment of taxes. Thirdly, if the petitioners' salaries were not to be taxed the Constitution should have specifically provided so as it is in the case of the President according to Article 106(3) and (7) of the Constitution. Fourthly, Article 128(7) is worded in similar terms to Article 158(1)(2) of the Constitution. The latter Article refers to many other officers whose terms and conditions of service are set out in The Salaries and Allowances (Specified Officers) Act (Chapter 291). If the petitioners' interpretation of Article 128(7) that deductions of taxes is a variation of the petitioners' terms and conditions of service to their disadvantage this would mean that the whole public service would not pay tax. According to Mr Oryem *Okello* that was not and could not have been the intention of the framers of the Constitution.

He submitted that *Evans v Gore Acting Collector of Internal Revenue* 253 US 245 (1920) was not binding on this Court. The above authority dealt with judges in the United States, who hadd never paid taxes before. Relying on the *Attorney-General v PK Ssemogerere and another,* Constitutional appeal number 1 of 2004, he prayed court to use discretion and dismiss the petition with costs to the respondent.

Exercising his right of reply, Mr *Ngabirano* argued that the Legal notice number 140 of 1990 was signed after the promulgation of the Constitution. It cannot, therefore, not be said that the judges of the high bench were exempted from paying tax because of the said legal notice. He contended that Article 128(7) of the Constitution was not a transitional provision and applied to all judicial officers. He further submitted that Articles 158 and 128 of the Constitution are different, in that the former refers to salaries only whereas the latter includes other matters. He argued that even if judicial officers do not pay taxes, they contribute to the well being of the nation as their decisions enhance the rule of law. He prayed court to allow the petition.

Before considering the issues for determination we must, for the sake of clarity reproduce the impugned sections of the Income Tax Act and the Constitutional provision it is alleged to be inconsistent with.

Section 4(1) of the Income Tax Act (Chapter 340) provides:

> "4. Income tax imposed.

(1) Subject and in accordance with this Act, a tax to be known as income tax shall be charged for each year of income and is imposed on every person who has chargeable income for the year of income."

Article 128(7) of the Constitution states:

"128 (7) The salary, allowances, privileges and retirement benefits and other conditions of service of a judicial officer or other person exercising judicial power, shall not be varied to his or her disadvantage."

In determining whether the impugned section is inconsistent or not with the Constitution we must bear in mind and follow the principles of constitutional interpretation which this Court and the Supreme Court has applied. One of such principle which counsel for the petitioners has drawn our attention to is that the effect and purpose of the statute must be considered in determining its constitutionality. In the Supreme Court of Canada in the case of *The Queen v Big M Drug Mart Ltd* (1986) LRC 332, it was stated thus:

"Both purpose and effect are relevant in determining constitutionality either an unconstitutional purpose or an unconstitutionality effect can invalidate legislation. All legislation is animated by an object the Legislature intends to achieve. This object is realised through impact produced by the operation and application of the legislation. Purpose and effect respectively, in the sense of the legislation's object and its ultimate impact are clearly linked, if not indivisible. Intended and achieved effects have been looked to for guidance in assessing the legislation's object and thus the validity."

The Supreme Court relied on the above case in *Attorney-General v Salvator Abuki,* Constitutional appeal number 1 of 1998, *Paul Kawanga Ssemogerere and others v Attorney-General* Constitutional appeal number 1 of 2002. This Court has cited the same authority in a number of cases among which are *Fox Odoi Oywelowo and others v Attorney-General* (*supra*) *Dimanche Sharon and others v Makerere University* Constitutional Petition number 1 of 2003. Another principle of constitutional interpretation, which counsel for the respondent has drawn our attention to, is that the Constitution should be interpreted as a whole and we agree. As stated by Manyindo DCJ (as he then was) at 17 of his judgment in *Major General David Tinyefuza v Attorney-General* Constitutional Petition number 1 of 1996.

"The entire Constitution has to be read as an integrated whole, and no one particular provision destroying the other but each sustaining the other. This is the rule of harmony, rule of completeness and exhaustiveness and the rule of paramountcy of the written Constitution.

I also bear in mind that the Constitution is the supreme law of the land. This supremacy is provided for in Article 2 of the Constitution thus:

"(1) This Constitution is the supreme law of Uganda and shall have binding force on all authorities and persons throughout Uganda.

(2) If any other law of any custom is inconsistent with any of the provisions of this Constitution, the Constitution shall prevail, and that other law or custom shall, to the extent of the inconsistency, be void."

I now consider the first issue that consists of two points for determination. Firstly, whether taxation of judicial officers' salaries amounts to a variation of their salaries to their disadvantage. Secondly, whether the petitioners are judicial officers who are exempted from payment of taxes on their salaries by the provisions of Article 128(7) of the Constitution.

I now consider the first point whether taxation of the salaries of the petitioners is variation of those salaries to the petitioners' disadvantage within the meaning of Article 128(7) of the Constitution. Counsel for both parties agree that the meaning of the word variation is not defined in the Constitution. They also agree that the word should be given its ordinary meaning. Counsel for the petitioners contends that when salaries of the petitioners are taxed it is to their disadvantage as they get less money than their fixed salaries. The state attorney, for the respondent, disagrees. He maintains that the fixed salary means after taxation. He argues that the petitioners have a constitutional duty to pay tax.

Article 17(*g*) of the Constitution imposes a duty on citizens to pay tax. Article 152 of the Constitution provides on taxation as follows:

> "Article 152
>
> 1. No tax shall be imposed except under the authority of an Act of Parliament.
> 2. Where a law enacted under clause (1) of this Article confers powers on any person or authority to waive or vary a tax imposed by that law, that person or authority shall report to Parliament periodically on the exercise of those powers, as shall be determined by law.
> 3. Parliament shall make laws to establish tax tribunals for purposes of settling tax disputes.

Article 17(9) and 152 of the Constitution must be read together and harmonised. The petitioners have not shown that they were exempted from taxation. In case the framers of the Constitution had intended not to tax the salaries of the judicial officers that exemption should have been in clear terms, like it is with respect to pension and the official salary of the President. Article 254(2) of the Constitution with regard to pension specifically provides:

> "(2) *The pension payable to any person shall be exempt from tax and shall be subject to periodic review to take account of changes in the value of money."* (Emphasis mine.)

In the case of the President where Article 106(4) of the Constitution provides:

> "The President is exempted from direct personal taxation on allowances and other benefits except on the official salary."

Counsel for the petitioners strong contention was that Article 128(7) was enacted to ensure the independence of the Judiciary. It prohibits variation of judicial officers' salaries and taxation is such variation. In fact the whole of Article 128 of the Constitution is on independence of the Judiciary. I am of the considered view that taxation of a judicial official's salary is not variation of salary. It is a compliance with a constitutional duty. Taxation, *per se*, does not and would not take away the independence of Judiciary. It would not amount to subjecting that taxpayer to the whims of the tax officials, as argued by counsel for the petitioners. The duty is upon the employer to withhold the tax from the employment income. (*See* section 116 of the Income Tax Act). It is for the accounting officer of the Judiciary to effect the taxation and remit the tax to the Uganda Revenue Authority. It is my humble view that there is no likelihood of the judicial officer and the tax officials ocoming into contact and, thereby, exposing the judicial officer to the dangers of being compromised. Even if the two parties had to come face to face it must be presumed that at least one of them, if not both, would have integrity. The laws also provide for the rate of taxation and there is no room for manipulation of the tax one has to pay.

I agree that maintenance of the independence of the Judiciary is a cardinal principle of the rule of law. Taxation of the judicial officers' salaries and allowances is not interference with that independence. Judicial officers in the two East African countries of Kenya and Tanzania and many Commonwealth countries do pay tax on their emoluments. I cannot say that the independence of the Judiciary does not exist in those countries. It is also common knowledge that the government, for the common good of the country, should use money taxed from citizen's income. When that is put into consideration, one would not be right to say that the taxation of the judicial officers is to vary salaries to their disadvantage. I am not persuaded by the decision in *Evans v Gore*. I will not follow it. This decision is a US decision where the social and economic circumstances are different from those of Uganda.

I consider the second point whether the petitioners are judicial officers who are exempted from taxation of salaries by the provisions of the 128(7) of the Constitution. The petitioners have, by their affidavits and annexures thereto, produced evidence which was not controverted, that they are judicial officers within the meaning of Article 151 of the Constitution which states:

> "In this Chapter, unless the context otherwise requires – 'judicial officer' means:
>
> (*a*) a judge or any person who presides over a court or tribunal howsoever described:
>
> (*b*) the chief registrar or a registrar of a court;
>
> (*c*) such other person holding any office connected with a court as may be prescribed by law."

I agree with counsel for the petitioners that this definition does not categorise judicial officers. The petitioners, and indeed many other people who perform judicial functions, are judicial officers. For example the Chairperson and members of the land tribunals, the Tax Appeal Tribunal and Electricity Disputes Tribunal etc.

The petitioners contend that the provisions of Article 128(7) exempt them from paying taxes on their salaries. On the other hand, the respondent's case is that the provisions of Article 128(7) of the Constitution apply only to judicial officers of the high bench because they were exempted from paying taxes on their salaries by General notice number 140 of 1997. In submission on this point, the respondent has put a lot of emphasis on the correspondence between officers of Government, concerning taxation of justices and judges of the superior courts, which did not include judicial officers of the petitioner's rank. It is necessary to quote the relevant parts of these correspondences.

Annexure "P" is the General notice number 140 of 1997 which reads:

> "General notice no . . . 1997
>
> The Income Tax Decree
>
> (Decree 1 of 1974)
>
> *Notice*
>
> Pursuant to the provisions of subsection 2) of section 12 of the Income Tax Decree, notice is hereby given that income in respect of gains from employment payable to the Chief Justice, Deputy Chief Justice, Principal Judge, a justice of the Supreme Court, a justice of Appeal or a judge of the High Court is exempted from tax.
>
> Notice is further given that this notice shall be deemed to have come into effect on 5 December 1990 and shall cease having effect on 30 June 1997."

Annexure "O" which is a letter dated 20 July 1999 written by the Chief Justice to the Minister of Finance. The Chief Justice was responding to the direction by the Commissioner of the Internal Revenue to the Secretary to the Judiciary to deduct PAYE from the judges. Part of the letter reads:

> "In his letter to the secretary to the Judiciary Ref. EC.8353 dated 12 February 1991, the Permanent Secretary, Ministry of Public Service referred to the decision by the Cabinet spelling out the Terms and Conditions of Service for judges. For ease of reference I attach a copy. The relevant part reads:
>
> > 'Cabinet,
> >
> > 4. Agreed that salaries and allowances for judges should not be taxed.'
>
> Ever since the salaries and allowances of judges have not been taxed. Article 128 of the Constitution provides in clause (7) as follows:
>
> > 'The salary, allowances, privileges and retirement benefits and other conditions of service of a judicial officer or other person exercising judicial power shall not be varied to his or her disadvantage.'
>
> Imposition of tax on a judge now would violate constitutional provision, in that, not only would the salary be reduced but the privilege of tax exemption would be abolished. *This privilege, or if you prefer condition of service, has been enjoyed for over eight years.*" (Emphasis mine.)

Annexure "N". The then chairman of the Judicial Service Commission on 19 August 1999 wrote to the Honourable Minister of Finance and Economic Planning supporting the view expressed by the Chief Justice. The relevant part of his letter reads:

> "The Judicial Service Commission as the institution responsible for advising the Government on the terms and conditions of service of judicial officers as mandated by Article 147(1)(*b*) of the Constitution, *supports the views of the Honourable Chief Justice that to levy tax on judges salaries and allowances would be unconstitutional since the judges have been enjoying the privilege of income tax exemption by virtue your General notice number 140 of 1997 which is deemed to have come into force on 5 December 1990, before the new Constitution was promulgated*. (Emphasis mine.)

The Attorney-General by annexure, "M" on 24 August 1999, wrote to the Minister of Finance, Planning and Economic Development concurring with the views of the Chief Justice and of the Chairman Judicial Service Commission.

The part of text of the letter is:

> "I refer to the correspondence on the above subject from both the Chief Justice and the Chairman of the Judicial Service Commission.
>
> I concur with the views expressed by both the Chief Justice and the Chairman Judicial Service Commission that terms of service of judges cannot be varied to their disadvantage. *Since Government had already conferred this tax exemption privilege, it cannot be withdrawn without violating the Constitution. The same should continue to apply even to new judges.*" (Emphasis mine.)

Annexure "B" to the affidavit of the first petitioner is a letter from the Attorney-General to the Minister of Finance dated 10 April 2002. Again the Attorney-General expressed the opinion that the judges' salaries were not subjected to taxation. Paragraph 2 of the letter reads:

> "The provisions of the Constitution which protect the *status quo* of the salaries, allowances, privileges, retirement benefits and other conditions of service for judicial officers is unequivocal (Article 128(7) of the Constitution). Whatever any statutory provision says in contradiction with these constitutional provisions, the protection

> remains unequivocal and in terms of Article 2(2) of the Constitution, such provisions must to the extent of the inconsistence be void. This is the case with the contradiction created by section 5(1) of the Income Tax Act 1997.
>
> *The truth of the matter is that factually the judges have enjoyed these benefits of almost 10 years now, and even when the new Constitution came into force in 1995, those same benefits were being enjoyed.* The Permanent Secretary, Secretary to the Treasury's request for resources to clear outstanding tax obligations in respect of the specified officers is unnecessary, as no such tax obligations in law exist." (Emphasis mine.)

In annexure "L", a letter dated 2 September 1999, by the Solicitor General to the Deputy Commissioner Legal – Uganda Revenue Authority reads:

> "Taxation of judicial officers emoluments
>
> Reference is made to your letter URA/HLS/110-99 dated 4 May 1999 on the above subject.
>
> The delay in replying your letter was inadvertent. It is very much regretted.
>
> Our considered opinion is that Article 128(7) does not exempt judicial officers from tax.
>
> However the said provision does cover tax exemptions currently being enjoyed by the Chief Justice, Deputy Chief Justice, Principal Judge, a justice of the Supreme Court, a judge of Appeal and a judge of the High Court."

From all the correspondences it is apparent that judicial officers were categorised. Annexure "L" specifies the judicial officers whose salaries were exempted from taxation and those who were not.

The salaries and allowances of the justices of the Supreme Court, the judges of the Court of Appeal and judges of the High Court were not subject to taxation because of the exemption they had before the coming into force of the 1995 Constitution, this was a privilege that was enjoyed. It had become a condition of service which could not be changed because of the provisions of Article 128(7) of the Constitution. On the other hand, the petitioners were paying income tax before the coming into force of the 1995 Constitution. They did not enjoy the privilege that was accorded to the justices and the judges. Regarding justices and judges appointed after the 1995 Constitution the Government extended that privilege to them to avoid creating two categories of people holding similar offices.

In conclusion, I would like to note that judicial officers who man tribunals, eg Land Tribunals and the Electricity Disputes Tribunal, perform important functions. They must be independent when exercising judicial powers. One wonders whether all of them should be exempted from taxation on their salaries to ensure their independence. It is my considered view that judicial independence is not synonymous with tax exemption. The recommendations of the Constitutional Commission on the independence of the Judiciary did not include exemption of taxation of judicial officers' emoluments. (*See* The Report of the Uganda Constitutional Commission section four Analysis and Recommendations on the Judiciary). The Constitutional Assembly also never intended to exempt all judicial officers from taxation.

I find that the petitioners have not proved that the application of section 4(1) of the Income Tax Act is inconsistent with Article 128(7) of the Constitution. I would answer the first issue in the negative. They are not entitled to any relief. I would answer the second issue in the negative.

I would, therefore, dismiss the petition. I would order that each party bear its own costs.

Byamugisha JA: I had the benefit of reading in draft the dissenting judgment that Kitumba JA prepared. I also read all the draft judgments that my other colleagues prepared. I concur with the reasons she has stated and the orders she has proposed in dismissing the petition. I have nothing to add.

For the appellant:
Mr Andrew Bashaija
Mr P Ngaiorano
Mr E Tusiime

For the respondent:
Ms Robinah Rwakojo, Principal State Attorney
Mr Alfred Okello Oryem, State Attorney

Matembe and others v Attorney-General
[2005] 2 EA 200 (CCU)

Division:	Constitutional Court of Uganda at Kampala
Date of judgment:	2005
Case Number:	1/05
Before:	Okello, Engwau, Kitumba, Byamugisha and Kavuma JJA
Sourced by:	Lawafrica

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[1] Constitutional law – Doctrine of separation of powers – Power of Judiciary to inquire into the actions of the Executive and the Legislature – Unconstitutionality of a Bill of Parliament.

[2] Temporary injunctions – Applicable principles in applications for temporary injunction.

Editor's Summary

The applicants, all members of Parliament, filed this application seeking to restrain Parliament and its committees from further consideration of the Constitutional (Amendment) Bill number 2 of 2005 until final determination of Constitutional Petition number 2 of 2005 challenging the Bill's constitutionality.

Held – In order to get a temporary injunction the applicant must show that there is a *prima facie* case with a probability to succeed; the applicant might suffer irreparable injury if the temporary relief is not granted; if the court is in doubt, it will decide the case on a balance of convenience. (G*iella v Casman Brown and Co Ltd* [1973] EA 358; U*ganda Law Society and another v Attorney-General* Constitutional application number 7 of 2003 applied).

The doctrine of separation of powers is fundamental (*Marbury v Madison* 1 Cr 137 [180]; *Uganda v Commissioner of Prisons* Ex Parte *Matovu* [1966] EA 514 followed).

However, this doctrine is not absolute. The Constitutional Court was established to guard the rights and freedoms of the individual against oppressive and unjust laws and acts and it must remain vigilant in upholding the provisions of

the Constitution. If an allegation is made against the Executive or the Legislature about the unconstitutionality of their actions or omissions, the court is seized with jurisdiction to act.

The Bill was tabled before Parliament and later to the Legal and Parliamentary Committee for its consideration. Until the Committee submits the report it is difficult to say that Parliament has accepted the Bill. Hence, it is premature to gauge a breach of the Constitution on the part of Parliament.

Application dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Attorney-General v Major General Tinyefuza Constitutional appeal number 1 of 1997

Giella v Cassam Brown and Co Ltd [1973] EA 358 – **AP**

Marbury v Madison 1 Cr 137 (180) – **F**

Uganda Law Society and another v Attorney-General Constitutional application number 7 of 2003 – **AP**

Uganda v Commissioner of Prisons ex parte *Matovu* [1966] EA 514 – **F**

Judgment

Okello, Engwau, Kitumba, Byamugisha and Kavuma JJA: The applicants, all members of the Seventh Parliament, filed the instant application under the provisions of various rules as stated in the body of the motion. They are seeking the following orders from this Court namely:

1. Parliament and its committees be temporarily restrained from further consideration of Constitutional (Amendment) Bill number 2 of 2005 till the final determination of Constitutional Petition number 2 of 2005 by the Constitutional Court.
2. The costs of the application be provided for.

The grounds that form the basis of the application are:

1. The applicants have filed Constitutional Petition number 2 of 2005 challenging the constitutionality of Constitution (Amendment) Bill number 2 of 2005 and rules 104 and 111 of the Rules of Procedure of Parliament of Uganda and owing to the busy schedule of the court the petition has not been fixed for hearing.
2. Unless restrained by court, Parliament and its committees will proceed to consider and pass the bill and have it subjected to resolutions of district councils and to a referendum before the disposal of the applicants' petition thereby rendering the relief sought nugatory.
3. If the orders sought in this application are not granted the petition will be rendered nugatory and the petitioners will be deprived of their right to access courts of law and to a speedy and fair adjudication of their rights.

The grounds are supported by the affidavit of Honourable Ben Wacha, the second applicant. The respondent opposed the application with an affidavit

sworn by Mike Chibita, Principal State Attorney, in the chambers of the respondent.

When the matter came before us for final disposal, Mr *Walubiri*, learned Counsel for the applicants, submitted that the applicants have filed a petition that has not yet been fixed for hearing. In the petition, they allege in paragraph 4 thereof, that the act of the Minister of Justice and Constitutional Affairs tabling the Bill and Parliament discussing the same which Bill combines proposed amendments to Articles specified in Articles 259(2), 260(2), and 261, is inconsistent with and contravenes Articles 91, 258, 259, 260, 261 and 262 of the Constitution. Learned counsel contended that in terms of Article 137 of the Constitution, the applicants have raised a *prima facie* case that ought to be investigated by this Court. He pointed out that the applicants have alleged in paragraph 3 of the petition that rules 104 and 114 of the Parliament Rules of Procedure are inconsistent and contravene Articles 259(1), 260(1) 261(1) and therefore there is a *prima facie* case to be investigated by court. It was Mr *Walubiri*'s submission that the Bill in as far as it proposes to amend, in an omnibus manner, several Articles of the Constitution without specific two third votes in Parliament and where necessary in district councils or referenda in each specific Article and subjecting the entire Bill to an omnibus vote in district and referenda, the Bill contravenes and is inconsistent with Articles of the Constitution.

In reply, Mr *Tibaruha*, the learned Solicitor General, stated that the petition is misconceived on the following grounds:

1. It does not raise any legal issues for this Court to resolve. He contended that the petition is based on Article 137(3) of the Constitution but it does not specify whether it is clause (*a*) or (*b*) and therefore the Article is not applicable. It was his submission that the Article provided for the challenge for an Act of Parliament but does not provide for a challenge of a bill. He stated that a Bill, by definition, is a legislative proposal which is submitted by the Executive to Parliament for possible passage into an Act of Parliament. He contended that a bill can be amended or even rejected by Parliament and therefore the application to challenge the unconstitutionality of the Bill is premature and therefore the application is speculative.
2. Rules 104 and 114 of the Rules of Parliament are not unconstitutional. He referred to Article 94 of the Constitution that empowers Parliament to make its own rules. He claimed that the applicants are influential members of Parliament who should use their influence on the Rules Committee to change the rules. He contended that the rules are not unconstitutional and should be read together with other rules of Parliament.

On the application itself, Mr *Tibaruha* submitted that it is unconstitutional in that it seeks to prohibit Parliament from carrying out its functions. He pointed out that under Article 79 Parliament is mandated to make laws for peace, order, development and good governance. He contended that the applicants should not be allowed to curtail the functions of Parliament which emanates from the Constitution. To do so would be against the letter and spirit of the Constitution.

In his view, the order being sought would be contrary to the doctrine of separation of powers. He pointed out that the functions and roles of the three arms of government are spelt out. He relied on the decision of the Supreme Court in the case of *Attorney-General v Major General Tinyefuza* Constitutional appeal number 1 of 1997 and in particular the judgement of Kanyeihamba JSC

at 14. He complained that the applicants are seeking to use the Judiciary to interfere with the work of the Legislature.

On the principles applicable in applications of this nature, he submitted quite rightly, in our view, that they are settled. The court must be satisfied as follows:

1. That there is a *prima facie* case with a probability to succeed.
2. The applicant might suffer irreparable injury if temporary relief is not granted.
3. If court is in doubt, it will decide the case on a balance of convenience. He cited the case of *Giella v Cassam Brown and Co Ltd* [1973] EA 358 which was quoted with approval by this Court in *Uganda Law Society and another v Attorney-General***,** Constitutional application number 7 of 2003.

He contended that the conditions are inclusive rather than alternative. He contended that the applicants must first demonstrate they have a *prima facie* case with a probability of success. Secondly, they must show that they would suffer irreparable damage if the order sought was not granted. It is only when the court is in doubt that it will decide the case on a balance of probability. He contended that the petition has no probability of success. He stated that the applicants' view that a bill that combines amendments to Articles specified in Articles 259(2), 260(2) and 261(1) is unconstitutional is misconceived. According to him any bill to amend the Constitution must comply with Chapter 18, which provides two mandatory requirements which Parliament must comply with namely:

1. There must be a Bill for an Act of Parliament the sole purpose of which is to amend the Constitution by way of addition, variation or repeal any of the provision of the Constitution.
2. The Act must be passed in accordance with the procedure laid down in Chapter 18.

Mr *Tibaruha* contended that there is nothing in the Constitution which prohibits a Bill for an Act of Parliament seeking to amend the Constitution from containing amendments to Articles, referred in Articles 259, 260 and 261. He stated that the challenge to the Bill is misconceived because the different Articles will be handled individually as provided for in the Referendum and Other Provisions Act (1 of 2005).

He pointed out that the rules of Parliament with regard to amendment of the Constitution would become important in the Committee of the whole House when considering each clause where simple majority would be used.

On the balance of convenience, he submitted that the importance of the Bill to the whole country couldn't be overemphasised. He invited us to take judicial notice of the constitutional review exercise that had begun and that the Bill is a culmination of that exercise. The applicants should not be allowed to inconvenience the whole country by stopping Parliament from considering the Bill. He also stated that no injunction can issue against Government. He relied on the decision of *Attorney-General v Silver Springs Hotel and others* Civil application number 1 of 1989 (UR).

On discretion, Mr *Tibaruha* submitted that this is not the type of case where discretion should be exercised in favour of the applicants. Parliament should not be interfered with. He invited us to dismiss the application with costs.

Exercising his right of reply, Mr *Walubiri* stated that the decision of *Silver Springs Hotel*'s case (*supra*) was rejected by this Court in *Dr James Rwanyarare and*

Others v Attorney-General, Constitutional application number 6 of 2002 because it was decided under a different constitutional dispensation. He stated that the circumstances of this case are closer to the *Rwanyarare* application(*ibid*) than the *Uganda Law Society and another v Attorney-General* (*supra*). It was his contention that the framers of the Constitution were very clear as to how the Constitution is to be amended and that there was a purpose (*sic*).

Commenting on the Referendum Act, counsel pointed out that the question to be answered in the schedule to the Act is not to ratify the Articles but the Bill itself.

Before considering the merits or demerits of the application, we would like to comment on the submissions of Mr *Tibaruha* which was that the doctrine of separation of powers does not allow us to issue an injunction or any other restraining order against the Government and the Legislature. We think the observations made by Kanyeihamba JSC in the *Tinyefuza* case (*supra*) at 12 are very instructive. He said:

> "The rule appears to be that the courts have no jurisdiction over matters which are within the constitutional and legal powers of the Legislature and the Executive. Even in cases, where courts feel obliged to intervene and review the legislative measures of the Legislature or administrative decisions of the Executive when challenged on the grounds that the rights of individuals and freedoms of individuals are clearly threatened, they do so sparingly and with the greatest of reluctance."

The above observations were based on two cases, namely *Marbury v Madison* 1 Cr 137(180) that was cited with approval in *Uganda v Commissioner of Prisons* ex parte *Matovu* [1966] EA 514, to the effect that courts should resist the temptation of inquiring into how the Executive or the Legislature perform their duties in matters where they have a discretion. In the same judgement at 14 the learned Judge said:

> "The Constitution provides that the constitutional platform is to be shared between the three institutional organs of Government whose functions and powers I have already described (*supra*). The Uganda Constitution recognises these organs as the Parliament, the Executive and the Judiciary. It was not by accident either that it created and described and empowered them in that order of enumeration. Each of them has its field of operation with different characteristics and exclusivity and meant to exercise its powers independently. The doctrine of separation of powers demands and ought to require that *unless there is the clearest of cases* calling for intervention for purposes of determining the constitutionality and legality of action or the protection of the liberty of the individual which is presently denied or imminently threatened, the courts must refrain from entering the arena not assigned to them either by the Constitution or laws of Uganda." (Emphasis mine.)

This rule like any other rule is not absolute. The Constitutional Court was established as the guardian of the rights and freedoms of the individual against oppressive and unjust laws and acts. It must remain vigilant in upholding the provisions of the Constitution. Therefore if an allegation is made against the Executive or the Legislature about the unconstitutionality of their actions or omissions, this Court is seized with jurisdiction to intervene.

In the matter now before us, it is being alleged in the petition that the act of the Minister of Justice and Constitutional Affairs in tabling an omnibus Bill before Parliament that combines proposed amendments to Articles specified in Articles 259(2), 260(2) and 261 breaches the Constitution, are not matters that fall in the province of political discretion. It is a constitutional matter touching

on the supremacy of the Constitution, as stated in Article 2(1). It (the Constitution) has a binding force on all authorities and persons in Uganda.

We agree that Article 79 spells out the functions of Parliament. It subjects the Legislature to the provisions of Constitution. Parliament is charged with the duty of protecting it. The Article states as follows:

> "(1) Subject to the provisions of this Constitution, Parliament shall have power to make laws on any matter for the peace, order, development and good governance of Uganda.
>
> (2) Except as provided in this Constitution, no person or body other than Parliament shall have power to make provisions having the force of law in Uganda except under authority conferred by an Act of Parliament.
>
> (3) Parliament shall protect this Constitution and promote the democratic governance of Uganda."

Turning to the merits of the application, we agree with the principles that govern applications of this nature as stated in the authorities cited by both counsel. We shall use the principles to determine whether they apply to the facts of the matter now before us. The first principle is whether a *prima facie* case with a probability of success has been made out. The petition alleges in paragraph 2 as follows:

> "The act of the Attorney-General and Minister of Justice and Constitutional Affairs tabling before Parliament, and Parliament debating, the Constitutional (Amendment) Bill number 2 of 2005 which combines proposed amendments to Articles specified in Articles 259(2), 260(2), and 261 is inconsistent with and contravenes Articles 92, 258, 259, 260, 261 and 262 of the Constitution in as much as:
>
> (*a*) The proposed amendments to some of the Articles referred to in Articles 260 and 261 will be unduly subjected to the procedure in Article 259 of the Constitution.
>
> (*b*) The proposed amendments to some of the Articles referred to in Article 259(2) of the Constitution will be unduly subjected to Article 260 of the Constitution.
>
> (*c*) The proposed amendments to some of the Articles referred to in Article 261 of the Constitution will unduly be subjected to Article 262 of the Constitution."

Paragraph 3 of the petition alleges that:

> "Rules 104 and 111 of the Rules of Procedure of the Parliament of Uganda are inconsistent with and contravene Articles 259(1)(*a*), 260(1)(*a*) and 261 of the Constitution in as much as:
>
> (*a*) the votes of members of Parliament on the second and third reading of the Bill under the said rules are omnibus covering the entire Bill and not individual clauses seeking to amend specific Articles in the Constitution (*sic*).
>
> (*b*) The votes of members of Parliament on individual clauses of the Bill under the said rules are by simple majority and not two thirds majority."

The above averments were verified by the affidavit of Honourable Ben Wacha in which he deponed *inter alia* that the Bill seeks to amend, repeal or otherwise affect 114 Articles or schedules of the Constitution. He also avers that there are three procedures of amending the Constitution that are categorised differently. We think that the contention of the applicants or petitioners in their petition that the act of the Minister in tabling an omnibus Bill for eventual enactment into an Act of Parliament will breach the Constitution, raises a *prima facie* case with a probability of success. It raises serious questions to be investigated by this Court. For that reason we would have exercised our discretion to grant the

orders being sought. However, the affidavit sworn in support of the application contains the following matters: In paragraph 4 the deponent states as follows:

> "That I am aware as a member of Parliament, that the Legal and Parliamentary Affairs Committee will soon table its report to Parliament upon which the Bill will proceed to the second and third readings, and if passed, be referred to the district councils for their resolutions and referred to a referendum."

In paragraph 5 he states that:

> "That if further consideration of the Bill proceeds and it is passed into law and implemented before the said petition is heard and disposed of, the relief sought in the petition will be rendered nugatory and the petitioners' rights to access court and to be accorded a fair hearing and effective redress will be irretrievably lost."

It is clear from the above paragraphs that currently the factual situation on the ground is as follows:

(*a*) The Bill was tabled before Parliament on 15 February 2005. Thereafter, it was committed to the Legal and Parliamentary Committee for consideration.

(*b*) The Committee has not yet submitted its report to Parliament for consideration and debate. Until the report is tabled and considered by Parliament it is difficult to say that Parliament has accepted the Bill and in the format it was presented in by the Minister. Since Parliament has a duty to act within the Constitution when carrying out its legislative functions, it is too early to tell whether it will breach the Constitution at this stage. It is, therefore, in our view, premature to gauge a breach of the Constitution on the part of Parliament. In result we decline to grant the order being sought and dismiss the application. Costs of the application will abide the outcome of the petition.

For the appellant:
Mr Walubiri

For the respondent:
Mr Tibaruha

Mbaki and others v Macharia and another
[2005] 2 EA 206 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	16 September 2005
Case Number:	178/02
Before:	Tunoi, O'kubasu and Waki JJA
Sourced by:	Lawafrica

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[1] Company law – Winding-up petition – Summary hearing of a winding-up petition – Provisions of the winding-up rules in relation to summary hearing of a petition – Effect of such summary hearing of the petition.

Editor's Summary

The respondents petitioned the High Court for the winding up of Terrace Hotels Limited, arguing that

it was just and equitable to wind up the company for various reasons. The Commissioner of Assize, apparently without hearing any of the parties, ordered the company to be wound up and appointed liquidators.

The appellants appealed saying that there was no factual or legal basis for the winding-up order and that it was irregular for the Commissioner to conduct the proceedings by denying them a right to present their case and in failing to write a judgment according to the provisions of the Civil Procedure Act and Rules.

Held – The right to be heard is a valued right. It would offend all notions of justice if the rights of a party were to be prejudiced or affected without the party being afforded an opportunity to be heard. (*Matiba v Attorney-General* [1995-1998] 1 EA 192 followed)

There is nothing in the Company's Act or the Winding-up Rules made thereunder, which donates the power to the court to determine a winding-up petition summarily. Nor was there any application before the court seeking such summary determination.

The court's order was clearly made in the presence of the parties' advocates on a date fixed for the hearing of the petition but without giving them an opportunity to be heard. Consequently, the order made in such circumstances cannot be sustained and is for setting aside.

Appeal allowed.

Case referred to in Judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Matiba v Attorney-General [1995-1998] EA 192 – **F**

Judgment

Tunoi, O'Kubasu and Waki JJA: Although this appeal turns on the short issue, whether the appellants were afforded a fair hearing before the superior court, it is pertinent to relate, albeit briefly, the background to the appeal.

Some 42 years ago at the dawn of our independence in 1963, 21 persons pooled their resources in partnership and purchased a prime property in the centre of Nairobi city known as "Terrace Hotel" on land reference number 209/8012. Among them were the five protagonists in this appeal, who do not purport to be acting in any representative capacity for the other partners. It is common ground that the management of the partnership business in Terrace Hotel was entrusted to one of the partners, Gichuhi Macharia, the first respondent. The hotel had boarding and lodging facilities, and it would appear from available record that the business did so well that the profits made from it were used to purchase two other prime commercial properties: a block of residential flats in Mbotela Estate on Land reference number 4844/113, another hotel with boarding and lodging facilities situated at Ngara on Land reference number 209/2490/31 (hereinafter "the partnership property'). The valuation for those properties, as at 1997, was KShs 73 756 000. It was in that year, however, that everything went awry for the partners and for the partnership property.

In December 1997, a suit was filed in the High Court by a private limited liability company known as "Terrace Hotels Ltd" (hereinafter "the company").

It was High Court civil case 3194/97 and was filed against the three appellants in this appeal and two sons of one of the original partners, one Kobu Ndio. The company claimed that it was incorporated on 26 April 1971 and owned the three partnership properties which it was running as going business concerns. Its four directors were named as Gichuhi Macharia, Duncan Mwaura Kamau (the two respondents), Mwangi Kimanga and James Maina. The latter would plead later that he was not a party to the incorporation of the company and that it was Gichuhi Macharia who was the prime mover of the incorporation, naming himself the Managing Director for life and allotting himself 60 percent shareholding in the company. The company also claimed that the three appellants were shareholders. The cause of action pleaded in the suit was that the appellants had, in September that year, forcefully and unlawfully taken over the management of the partnership property and evicted the employees of the company. It sought a permanent injunction to stop them from those acts of trespass, amongst other remedies.

The company's attempt to stop the appellants from their activities pending the hearing of that suit did not succeed. The appellants denied knowledge of the company or its entitlement to the partnership property and Githinji J (as he then was) found no clear case disclosed by the company to warrant the issuance of the order sought for a temporary injunction. The legal status of the ownership for the business was in dispute; the shareholding of each of the 21 persons in the original partnership was shrouded in mystery; the shareholding of each of the 21 persons in the company was not shown in the memorandum and Articles of association; and their *locus standi* in the affairs of the company was doubtful. The application was dismissed on 2 December 1998 but there was no appeal preferred. The company has not pursued the main suit ever since.

It was instead the three appellants who returned to the High Court and filed a suit against the company and the four persons named as the shareholders/directors in the memorandum and Articles of association. That was High Court civil case 96/99 filed on 18 January 1999 (*sic*). They pleaded membership of the original partnership and ownership of the partnership property and accused the company and the four defendants of fraudulently and unlawfully converting the partnership property. They sought a declaration that the company was a sham and an order for winding it up, thus reverting the partnership property to its lawful ownership. That suit, too, has yet to be heard and determined.

Despite the pendency of the two suits, Gichuhi Macharia and Duncan Mwaura Kamau petitioned the High Court for the winding up of the company in Winding-up case number 1 of 2000 filed on 5 January 2000. They pleaded that it was just and equitable to wind up the company for various reasons. That would be an application under section 219(*f*) of the Companies Act, Chapter 486, although there was no mention of it. Eventually the petition was placed before Ransley, Commissioner of Assize (as he then was) who conducted the proceedings between 28 July 2000 until he made the order now the subject-matter of this appeal, on 29 May 2002. The order was made apparently without hearing any of the parties, although they were present, and the matter had been stood over for further hearing on that day. It was a curt order as follows:

> "Order: It appears to me that there are irreconcilable differences between the shareholders in the company and indeed in High Court civil case number 3194 of 1997 the respondents seek an order for the company to be wound up. The companies (*sic*)

> auditors Kago Mukunya and Associates CPA being (*sic*) the liquidators of the company. The Liquidators to enquire and determine who are shareholders and the extent of the holding. Also to determine the companies (*sic*) assets and liabilities."
>
> Liberty to apply (*sic*) costs in this winding up to petitioners and respondents (*sic*)."

Although the appellants laid out some five grounds of appeal which basically asserted that there was no factual or legal basis for making the winding-up order, the gravamen (*sic*) of the appeal was in grounds 4 and 5 of the memorandum of appeal, which state as follows:

> "4. The learned Commissioner of Assize erred in law in conducting the proceedings in a manner which was irregular and unprocedural, thereby denying the appellants their undoubted right of presenting their case.
>
> 5. The learned Commissioner of Assize erred in law in failing to write a judgment in accordance with the provisions of the Civil Procedure Act and Rules."

Learned counsel for the appellants, Mr *Musyoka*, referred to the proceedings since 28 July 2000 when the learned Commissioner of Assize was seized of the matter and pointed out the various orders made *suo motu* or at the instance of the respondents' counsel. Such were the proceedings recorded on 28 July 2000 when the petitioners' counsel made a few opening remarks and the court made an order for production of various documents which no party had applied for, the matter was then adjourned severally thereafter until 12 June 2001 when the petitioner appeared with a different advocate who recommenced the submissions before compliance with the earlier court order. A further order was made, again *suo motu*, that the company secretary makes a report relating to various matters. Those orders were repeated on 11 July 2001 and on subsequent dates when compliance therewith was not forthcoming. Eventually the learned Commissioner of Assize made an order on 16 December 2001 thus:

> "Stood over to 18 December 2001. The books to be returned to the respondent to bring them up to date. If accounts not available, petition to go for hearing."

The books were not availed in accordance with the order and the petition was therefore set down for hearing on 28 and 29 May 2002. Both counsel attended court on 28 May 2002 and the record shows:

> "28 May 2002
>
> Coram: Ransley, Commissioner of Assize
>
> Martha – Court Clerk
>
> Mr *Kirundi* for petitioner
>
> Mr *Githinji* for respondent
>
> Mr *Kirundi*: Ask for company to be wound up
>
> Refer to proceedings in High Court civil case 96 of 1999 and plaint filed by the respondents in this suit ask for the company to be wound up. There are irreconcilable disputes between the parties.
>
> Mr *Githinji*: *See* ruling of Githinji J. The shareholders are not certain. Want to come at 11:00 am tomorrow after consulting with my clients.
>
> Mr *Kirundi*: the defendants are in possession.
>
> PJ Ransley
>
> Commissioner of Assize (*sic*)
>
> Stood over to 29 May 2002 at 11:00 am.
>
> PJ Ransley
>
> Commissioner of Assize"

On 29 May 2002 the final order was made without any further hearing of the parties, as stated above.

It was for those reasons that the appellants' counsel attacked the proceedings as wanting procedurally and in breach of the appellants' right to be heard.

On the other hand, Mr *Kirundi*, learned Counsel for the respondents saw no breach of any procedure or right of the appellants. In his view, the court had control of the proceedings under section 211 of the Companies Act and need not have heard any of the parties provided that it was in full picture of what was happening in the company. The partners here were hopelessly at loggerheads, and it was evident that both parties wanted the company to be wound up. No submissions were therefore necessary from either party. In his view, the order caused no prejudice to the appellants since they were still at liberty to proceed with the cases pending in court, and furthermore, the winding-up rules provide for the protection of all shareholders by the liquidator, who is an agent of the court.

We have carefully considered the submissions made and the authorities cited on both sides which we find unnecessary to reproduce. We have also perused the record of the superior court and have formed the firm view that there is considerable force in the complaint raised by the appellants.

The right to be heard is a valued right. It would offend all notions of justice if the rights of a party were to be prejudiced or affected without the party being afforded an opportunity to be heard. This Court has indeed reiterated that principle on many occasions and we need only cite one for emphasis: *Matiba v Attorney-General* [1995-1998] EA 192 where in an application for leave to seek an order of *certiorari*, the superior court refused to grant the prayer for stay without hearing counsel for the applicant, who was present in court. On appeal this Court stated:

> "On the face of the record, it appeared that the appellants counsel had made no submissions before the learned Judge in the court below, since if they had been made, they would have been reflected in the record. There was thus an order on record in the presence of the appellants' counsel but without affording him an opportunity to address the judge. This was a fundamental breach of the rule that no man shall be condemned unless he has been given a fair opportunity to be heard which is a cardinal principle of natural justice. Any order that flowed from such a fundamental breach cannot be sustained."

It cannot be gainsaid that the appellants in this matter had considerable interest in the outcome of the winding-up petition. They had appointed an advocate to oppose it and to urge the court to consider the existence of pending suits between the same parties which raised weighty issues of fact and law. There is nothing in the Company's Act, or the Winding-up Rules made thereunder which donates the power to the court to determine a Winding-up petition summarily. Nor was there any application before the court seeking such summary determination. On the contrary, rule 203 of the Companies (Winding-up) Rules provides:

> "In all proceedings in or before the court, or any judge, registrar or officer thereof, or over which the court has jurisdiction under the Act or these Rules, where no other provision is made by the Act or these Rules, the practice, procedure and regulations in such proceedings shall, unless the court otherwise directs, be in accordance with the rules and practice of the court."

No reason was given in this matter for the procedure adopted by the court in issuing interlocutory orders which, on the face of it, no party requested nor required. The order now challenged before us was clearly made in the presence of the parties' advocates on a date fixed for the hearing of the petition but without giving them an opportunity to be heard. We hold that this was a serious breach of procedure amounting to a denial of justice. Consequently, the order made in such circumstances cannot be sustained and is for setting aside.

We allow the appeal, set aside the order made on 29 May 2002, and remit the matter back to the superior court for hearing of the petition in accordance with the law, before any judge other than Ransley CA (as he then was).

The costs of the appeal shall be borne by the respondents.

For the appellant:
Mr Musyoka

For the respondent:
Mr Kirundi

Mbogoro v Oc-Cid Songea District and another
[2005] 2 EA 211 (CAT)

Division:	Court of Appeal of Tanzania at Mbeya
Date of judgment:	2 June 2004
Case Number:	44/04
Before:	Ramadhani, Nsekela and Msoffe JJA
Sourced by:	Lawafrica

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[1] Civil procedure – Court of Appeal Rules – Meaning of deputy registrar with whom to lodge notice of appeal – Effect of not signing notice of appeal.

Editor's Summary

The appellant sued the respondents for general damages of TShs 100 million for wrongful confinement. However, he was awarded TShs 20 000 as contemptuous damages and he appealed.

The respondent raised a preliminary objection that the notice of appeal was defective as it was lodged in the sub-registry of the High Court of Tanzania instead of lodging it with the registrar of the High Court and that it also showed that it was to be sent to the deputy registrar of the High Court, instead of being sent to the registrar of the High Court.

Held – While it is true that under rule 2 "registrar of the High Court" means the registrar of the High Court and includes a district and deputy registrar of that court, the deputy registrar of the Court of Appeal cannot be a "registrar of the High Court". It was therefore wrong to send and lodge the notice with the deputy registrar of the Court of Appeal at Songea.

Since the notice was not signed by the appellant or his advocate as prescribed under Form D, there was no notice of appeal filed with the court.

Appeal struck off.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

William Loitiame v Asheri Naftali Civil appeal number 21 of 1995 (UR)

Judgment

Msoffe JA: In the High Court of Tanzania at Songea, the appellant instituted a suit in which he claimed, *inter alia*, general damages of TShs 100 million for wrongful confinement. Apparently on the night of 22 November 2001 he, together with three other people, were drinking alcohol at a bar known as Deluxe Two within Songea Township. The drinking went on past midnight. On the same day, the first respondent was leading a team of six policemen in an operation aimed at netting and arresting criminals. At around 0:30 hours on 23 November 2001 the policemen entered Deluxe Two Bar in the course of the operation. A number of people, including the appellant, were arrested in the process and taken to the police station. They were locked up until the following morning at around 8:00 am when they were taken to an investigation room. Later a trade officer from the Town Council arrived at the police station at the request of the first respondent. The appellant and the others were each fined a sum of TShs 5 000 for what was termed as being found drinking alcohol in a bar after 11:00 pm. The appellant felt that his freedom had been infringed hence, the above mentioned suit. In a judgment delivered and dated 15 April 2003, he was awarded a sum of TShs 20 000 as general damages. In the said judgment, the details of which we do not have to go into for purposes of this ruling, the learned Judge opined and held that only contemptuous damages were payable in the circumstances of the case and, hence, decreed the above sum of money. The appellant is dissatisfied, hence, this appeal. He appeared in person, while Mr *Boniface*, learned State Attorney (assisted by Mr *Manyanda*, learned State Attorney) appeared on behalf of the respondents.

At the hearing of the appeal we had to deal first with a preliminary objection notice of which had been given earlier on. The notice of preliminary objection was taken pursuant to rule 100, and its gist thereof was that the notice of appeal is fatally defective.

In arguing the objection, Mr *Boniface* basically urged that the notice of appeal, filed on 17 April 2003, is fatally defective in the following aspects:

That, it is shown thereof that it was to be sent to the deputy registrar of the Court of Appeal instead of being sent to the registrar of the High Court, and thus offending the provisions of rule 76(1); and

That, instead of lodging it with the registrar of the High Court as required by rule 76(1) the same was lodged in the sub-registry of the High Court of Tanzania.

Mr *Boniface* went on to cite this Court's decision in *William Loitiame v Asheri Naftali* Civil appeal number 21 of 1995 (UR) in support of the above arguments.

In conclusion, he was of the view that unlike *Loitiame*'s *(ibid*) case where the appellant was a layman, the appellant in the instant matter, who is a lawyer for that matter, ought to have filed a proper notice of appeal.

On the other hand, the appellant maintained that while it is true that under rule 76(1) an appellant has to send the notice to the registrar of the High Court, under rule 2 of the Court of Appeal Rules, the said registrar includes the deputy registrar. Hence, according to him, since every registry of the High Court is a sub-registry of the Court of Appeal, the signatory thereof ie Mrs SC Moshi, was a deputy registrar for purposes of the notice. He went on to conclude that since rule 76(6) requires a notice to be substantially in the Form D in the First Schedule, the notice of appeal filed on 17 April 2003, is a substantially valid one.

We have given careful thought to the arguments for and against the preliminary objection. In the end, we are satisfied that the objection has merit. It is true that a close look at the said notice of appeal will show that it is fatally defective. It is correct, as argued by Mr Boniface, that instead of being sent and lodged with the registrar of the High Court as required by rule 76(1), it was actually sent and lodged with the deputy registrar, Court of Appeal. While it is true that under rule 12 "registrar of the High Court" means the registrar of the High Court and includes a district and deputy registrar of that court, the deputy registrar of the Court of Appeal cannot be a "registrar of the High Court". It was, therefore, wrong to send and lodge the notice with the deputy registrar of the Court of Appeal at Songea.

There is one other shortcoming in the said notice of appeal which also complicates matters for the appellant; it is on the fact that the said notice was not signed, at all, by the appellant or his advocate as prescribed under Form D. Surely, in the absence of the appellant's signature or that of his advocate, we are entitled to say that there was actually no notice of appeal filed with this Court.

In the end, we are of the view that the above shortcomings are not minor as Mr *Mbogoro* would have wished us to say. They are actually serious and go to the very root of the appeal. Accordingly, we sustain the respondents on the preliminary objection and strike out the appeal. Since the respondents did not apply for costs we will not make an order for costs.

For the appellant:
In person

For the respondent:
Mr Boniface and Mr Manyanda

Mohamed v Bakari and others
[2005] 2 EA 213 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	16 September 2005
Case Number:	238/03
Before:	Omolo, Tunoi, O'kubasu, Githinji, Waki, Onyango-Otieno and Deverell JJA
Sourced by:	Lawafrica

[1] Election petition – Service of election petitions – Whether service of elections must be personal – Section 20(1)(a) – National Assembly and Presidential Elections Act – Rule 14(2) – Election Petition Rules.

[2] Judicature – Hierarchy of courts – Doctrine of precedent – Whether High Court can hold differently from Court of Appeal.

Editor's Summary

Following the general elections in Kenya on 27 December 2002, the Electoral Commission of Kenya declared the appellant as the duly elected member of Parliament for Lamu East Constituency. The date of the declaration was 3 January 2003. The first respondent filed Election cause number 3 of 2003 at the Mombasa High Court Registry on 27 January 2003, challenging the election of the appellant as the member of Parliament for Lamu East Constituency. The appellant, on 18 March 2003 took out a motion on notice under section 20(1)(*a*) of the National Assembly and Presidential Elections Act seeking, principally, that the petition be struck out on the ground that the same was not personally served on him within 28 days after the date of the publication of the result of the Parliamentary elections in the Kenya Gazette, on 3 January 2003 or at all. The first respondent adduced evidence that his lawyers had made all efforts conceivable to personally serve the appellant with the election petition but that the appellant went into hiding in order to evade service. The trial judge dismissed the notice of motion and further distinguished an earlier ruling by the Court of Appeal in the case of *Mwai Kibaki v Daniel Arap Moi* [2000] 1 EA 115 on the ground that the decision in this case was reached *per incuriam* the provisions of rule 14(2) of the National Assembly and Presidential (Election petition) rules when it held that only personal service was recognised under the National Assembly and Presidential Elections Act on appeal:

Held – The decision of the Court of Appeal in *Kibaki v Moi (ibid*) that following the amendments to section 20 of the National Assembly and Presidential Elections Act the only way of serving an election petition was by way of personal service, was based on the specific facts of that case.

A High Court judge, under the doctrine of precedent, is bound by the decisions of the Court of Appeal even if he may not approve of a particular decision.

On the material placed before the trial judge, any reasonable tribunal would be fully justified in concluding that the appellant had gone underground with the sole purpose of evading personal service.

The decision in *Kibaki v Moi* (*supra*) recognised that if personal service which is the best form of service in all areas of litigation, is not possible, other forms may be resorted to.

There is nothing unconstitutional in striking out an incompetent election petition.

(*Per Githingi JA*) – The purpose of the Constitution of a statute is to find out the intention of the Legislature (*sic*). If the words of the statute are clear and unambiguous effect must be given to them. It is not permissible in the construction of statutes to imply a provision in the statute which is inconsistent with the words expressly used.

(*Per Githinji JA*) The Court of Appeal is bound by the principle of *stare decisis* to follow its own decisions except where, *inter alia*, the decision was given *per incurrence* and a decision is given *per* incuriam if it is given in ignorance or forgetfulness of some inconsistent statutory provision or authority binding on it.

(*Githinji JA dissenting*) – Section 20(1)(*a*) of the National Assembly and Presidential Elections Act did not decree, as the court in *Kibaki v Moi* erroneously said that service of election petitions must be personal.

(*Githinji JA dissenting*) – The Court of Appeal in *Kibaki v Moi* ignored the provisions of rule 14(2) of the National Assembly and Presidential (election petition) rules which was the only provision prescribing the mode of service and imported into the Act the requirement of personal service of Election petition is disregard of the cannons of the construction of statutes. The decision was, therefore, given *per incuriam*.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Chelaite v Njuki and others Civil appeal number 150 of 1998

Dodhia v Nat and Grindlays Bank Ltd [1970] EA 195

Income Tax v T [1974] EA 546

Kibaki v Moi [2000] 1 EA 115

Kiriri Cotton Company v Devani [1958] EA 159

Murathe v Macharia Civil appeal number 171 of 1998

United Kingdom

Ferrell v Alexander [1976] 1 All ER 129

Young v Bristol Aero Plane Company Ltd [1944] 1 KB 718

Judgment

Omolo JA: Following the last general elections held in Kenya, 27 December 2002, The Electoral Commission of Kenya, the third respondent herein, vide (*sic*) Gazette Notice dated 3 January 2003, declared Abu Chiaba Mohamed, the appellant herein, as the duly elected member of Parliament for Lamu East Constituency in the Coast Province. The date of the declaration, namely 3 January 2003, is vital in the dispute before us because section 20(1)(*a*) of the National Assembly and Presidential Elections Act Chapter 7 of the Laws of Kenya ("the Act" hereinafter) provides and I quote:

> "A petition …
>
> (*a*) to question the validity of an election, shall be presented and served within twenty-eight days after the date of publication of the result of the election in the Gazette . . ."

According to Election case number 3 of 2003 filed by Mohamed Bwana Bakari on 27 January 2003 at the Mombasa High Court Registry, Mohamed Bwana

Bakari, the first respondent herein, stated that he was a person who voted in a Parliamentary election under the Act and having stated so, he went on to enumerate various election malpractices which he alleged took place before and during the election and as a result of the alleged malpractices, the first respondent asked the High Court to declare the election in Lamu East Constituency to be null and void and to penalise the appellant with the costs of the petition.

Faced with the challenge to the validity of his election as the Member of Parliament for Lamu East Constituency the appellant, on 18 March 2003, took out a notice on motion under section 20(1)(*a*) of the Act, and the prayers sought in the motion were:

> "1. That the petition herein be struck out on the ground that the same was not personally served on the first respondent {ie the appellant} within 28 days after the date of the publication of the result of the Parliamentary Election in the Kenya Gazette on 3 January 2003 or at all; and
>
> 2. That pending the hearing and determination of this application all proceedings herein be stayed; and
>
> 3. That the petitioner (ie the first respondent) do pay the costs of the first respondent (ie the appellant) in respect of the petition as well as of this application."

The notice of motion was supported by a short affidavit comprising of six paragraphs and sworn by the appellant and in that affidavit, the appellant stated as follows, and I set out the whole affidavit:

> "I, Abu Chiaba Mohamed, of Post Office Box 59839, Nairobi, make oath and state as follows:
>
> 1. That I am the first respondent herein.
>
> 2. That a notice of the result of the 2002 Parliamentary Election, whereby I was declared to be duly elected as member of Parliament for Lamu East Constituency, was published in the Gazette on 3 January 2003. I learnt of this fact from the local newspapers.
>
> 3. That I have not been personally served with the petition in this case, either within 28 days after the date of the said publication as required by section 20(1)(*a*) of the National Assembly and Presidential Elections Act (Chapter 7) or at all.
>
> 4. That on 5 March 2003 I instructed Messrs Kilonzo and Company Advocates of Nairobi to act for me in this matter and to obtain a copy of the petition at the High Court Registry.
>
> 5. That I am advised by my advocates, on record Messrs Kilonzo and Company Advocates which advice I verily accept to be true and correct, that the petition herein should be struck out with costs on the grounds that:
>
> (*a*) The petition herein, the notice of presentation and all other accompanying notice and documents were not served on me personally or at all within the statutory (28) days after the gazettement (*sic*) of the election in the Kenya Gazette on 3 January 2003;
>
> (*b*) Without service of the petition as above the same is of no legal consequence or at all (*sic*) and should be struck out with costs.
>
> 6. That what I have deponed herein is true to the best of my knowledge save as to information and believe (*sic*) sources whereof I have disclosed."

Perhaps this is now an appropriate place for me to set out the issue of personal service of an election petition which the appellant made the basis for his motion to strike out the first respondent's petition. In the case of *Kibaki v Moi* [2000] 1 EA 115, this Court, consisting of a bench of five judges, held that following the

amendments to section 20 of the Act which amendments were brought in by the Statute Law (Repeals and Miscellaneous Amendments) Act of 1997, ie Act number 10 of 1997, the only way of serving an election petition was by way of personal service. The basis for that decision was fully set out in the judgment and I need not repeat them. In the present appeal, we were asked to overrule the decision in *Kibaki v Moi* (*supra*). I will answer that contention in due course.

Faced with the motion to strike out his petition, the first respondent swore a replying affidavit, of some twenty two paragraphs, and in that affidavit he set out in detail, the efforts his lawyers had made in order to serve the appellant personally. Right from paragraph 5 of the first respondent's replying affidavit, he sets out how he knew that the appellant was residing in house number 12 along Ole Shapara Avenue Nairobi, South 'C' Area and that he passed that information to his legal advisers to enable them serve the appellant personally, obviously in order to comply with the decision of the court in *Kibaki v Moi*. That his legal advisers sent a process server, Mwangi Kabaria, to serve the appellant at the known residence, how Mwangi Kabaria visited house number 12 on 28 January 2003, how a grandson of the appellant named Jamal Domilla and a watchman known as Mohamed Omar Ali Rotich were found there and told the process server that the appellant had gone to Saudi Arabia. It was then suspected that the appellant was hiding in order to evade service (paragraph 8) and that it was thought prudent to go and look for him at his Mombasa residence; that an advocate called William Mogaka of Mombasa in the company of another process server Alexander Kaluve Musembi went to the appellant's residence in Mombasa to personally serve him. This was still on 28 January 2003. The process server was denied entry into the premises in Mombasa and when enquiries were made as to the whereabouts of the appellant, the advocate and the process server were told that the appellant was away in Nairobi. Attempts were then made to determine the whereabouts of the appellant and the first respondent learnt that the appellant was in Nairobi and that he had not travelled to Saudi Arabia. The information was passed to the first respondent's lawyers and on the same day, the lawyers sent documents by registered post to the appellant's last known postal address. On 29 January 2003, Joseph Mwangi Kabaria again visited the appellant's South 'C' residence; on 30 January 2003 the first respondent, again accompanied William Mogaka and Alexander Kaluve Musembi, went to the appellant's residence in Mombasa and on arrival they met a lady who was identified by a watchman as the appellant's wife and who drove off from the premises without acknowledging Musembi's attempts to explain the purpose of the visit. Musembi then pinned the documents, intended to be served on the appellant, on the gate to the appellant's premises and photographs showing this happening were attached to the replying affidavit. Mr Moses Gitau, who argued the first respondent's appeal before us, also had published in the Gazette the filing of the petition. This was after the attempts to personally serve the appellant had failed. There were also affidavits of service by Mr Moses Gitau and Alexander Kaluve Musembi. All these affidavits were served upon the appellant's advocates and had the appellant been minded to contest the veracity of their contents, he could have done so. The appellant did nothing of the kind. All that Mr Mutula Kilonzo Junior did on his behalf was to contend before us that all the allegations made in the affidavits show that the appellant was not personally served and that, therefore, the trial judge was wrong to hold that he had been properly served according to the law. Because

the appellant thought the judge was wrong in holding that he had been properly served and thus dismissing his motion to strike out the petition, he now appeals to this Court.

Now, the first respondent brought before the trial judge the efforts that he and his legal advisers had made in an attempt to personally serve the appellant and thus comply with the law as laid down in *Kibaki v Moi* (*supra*). Of course the learned Judge of the High Court would have no jurisdiction to overrule a decision of this Court even if she disagrees with the decision and the comments in her judgment must be ignored as having been made without jurisdiction and in violation of the well known doctrine of precedent. I would respectfully point out to the learned Judge that like all other judges in her position, under the doctrine of precedent, she is bound by the decisions of this Court even if she may not approve of a particular decision and any attempts to overrule or side step the court's decision can only result in unnecessary costs to the parties involved in the litigation. I go back to the facts as presented before the trial court.

The first respondent mentioned two places where he knew the appellant to be residing. He mentioned house number 12 in Nairobi South 'C'. He also mentioned the names of two people, the grandson Jamal Domilla and the watchman Mohamed Omar Ali Rotich; those two are stated to have told the process server that the appellant was in Saudi Arabia. The appellant, as we have seen, chose not to say anything on those matters. He, for example, did not say that he did not own house number 12 along Ole Shapara Road, Nairobi South 'C'; he did not say that he has no grandson known as Jamal Domilla or a watchman called Mohamed Omar Ali Rotich. These people told the process server that the appellant was in Saudi Arabia. Those intending to serve the appellant have sworn that they suspected the appellant was hiding from them in order to avoid being personally served, that led to the party intending to personally serve him to move to Mombasa. The appellant, if it was true that he was in Saudi Arabia, could have proved that fact by producing a copy of his passport. He did nothing of the kind. Then the search moved to Mombasa and once again, the appellant did not say he had no house in Mombasa and that he knew nothing about the gate on which the documents to be served on him were pasted. A woman identified as his wife was found there and refused to talk to the party intending to effect service. The appellant chose to say absolutely nothing about these matters. On the contrary, he swears that he had instructed his lawyers on 5 March 2003 without disclosing how he learned about the existence of the petition filed against his election.

I think that on the material placed before the trial judge, any reasonable tribunal would be fully justified in concluding, as those who wanted to effect service upon the appellant did, that the appellant had gone underground with the sole purpose of evading personal service and that was why he could not be found in his two houses in Nairobi and Mombasa. Put simply, he was hiding from those who intended to effect personal service upon him.

Did *Kibaki v Moi* (*supra*) establish any proposition that even where it be proved that a party was hiding with the sole purpose of avoiding personal service, yet such a party must still be personally served? The decision established nothing of the kind. At 37 of the judgment in *Kibaki v Moi*, (*supra*) the court stated:

> ". . . Section 20(1)(*a*) of the Act does not prescribe any mode of service and in those circumstances, the courts must go for the best form of service which is personal service. Before this Court, the appellant did not offer any reason why he did not go for

> personal service though in the High Court, it had been contended that the first respondent in his capacity as the President, is surrounded by a massive ring of security which it is not possible to penetrate. But as the judges of the High Court correctly pointed out no effort to serve the first respondent was made and repelled …"

The decision clearly recognised that if personal service, which is the best form of service in all areas of litigation, is not possible, other forms may be resorted to. Otherwise, why would the court have expected to be given reason or reasons why personal service was not effected? Why would the High Court and this Court have expected that some attempt at personal service be tried on the President and be shown to have been repelled?

Lady Justice Khaminwa clearly recognised this aspect of the decision for she stated in her judgment at 135 of the record of appeal:

> "In the *Kibaki – Moi* case (*supra*) the respondent stated on oath that he was not personally served with the Notice of Petition either within 28 days after the date of publication of the result of the petitions (*sic*) as required by section 20(1)(*a*) of the Act at all. However, it was shown that the petition was served through the Gazette Notice as provided under rule 14(2). The facts are different in that case (*sic*) made no effort to personally serve the respondent. In this case, alternative methods were made to bring the notice to (*sic*) of the petition (*sic*) of the respondent knowledge but personal service proved impossible."

The truth of the matter is that personal service remains the best form of service in all areas of litigation and to say that members of Parliament are a different breed of people and different rules must apply to them as opposed to those applicable to other Kenyans cannot support the principle of equality before the law.

In the appeal before us, unlike in the *Kibaki v Moi* case (*supra*), the first respondent and his lawyers made strenuous and concerted efforts to personally serve the appellant; they proved the efforts they had made to personally serve him but they were unable to physically get hold of him and serve him because he was hiding from them. Can the appellant now be allowed to, in effect tell courts:

> "I knew the first respondent was looking for me to personally serve me. I also knew that as per the decision in *Kibaki v Moi* (*supra*) he had to personally serve me or his petition would be of no legal consequence. With this knowledge, I hid myself from them so that it was impossible for them to find me, in order to effect personal service on me. I was successful in hiding from them and they were accordingly unable to serve me. I now ask you (the court) to strike out his petition as being of no legal consequence as it was not personally served on me."

I know that the law has often been said to be an ass. But I equally know that the law cannot be such an ass that it would even forget its other well known principle, namely that no man can be allowed to rely on his own wrong to defeat the otherwise valid claim of another man. Put simply, the appellant in this case cannot be allowed to rely on his having successfully hidden himself from the attempts of the first respondent to personally serve him to defeat the first respondent's petition challenging the validity of his election as member of Parliament for Lamu East Constituency. The effort made by the first respondent to personally serve him amounted to personal service on him and the learned trial Judge was right in holding that he had been served. He made it impossible for the first respondent and his agents to physically get hold of him and personally hand over the documents to him, but as I have said, he cannot be allowed

to take advantage of his own wrong in hiding from those wanting to serve him and defeat the claim of the first respondent on that basis.

Should the decision in *Kibaki v Moi* (*supra*) be overruled?

I think there is no occasion for me to do so in this appeal even if I were minded to do so (*sic*). I would myself decline to overrule the decision for several reasons.

First, as I have said, *Kibaki v Moi* (*supra*) did not establish any principle that even where it is proved that the party to be served evaded service by hiding himself, or used physical force to prevent personal service or took refuge in a place where service of documents is not permissible, such as the House of Parliament, or used such other subterfuge to avoid being personally served, such a party must still be served or else the petition would be struck out. The law will not, and cannot, permit such a party to rely on his own wrong to defeat an otherwise valid petition.

Secondly, I have held as a fact, and the learned trial Judge did recognise that fact, that the appellant was served through alternative means after he had made it impossible for the first respondent and his agents to physically hand the documents to him in person. Having found as a fact that the appellant was personally served as required by the decision in *Kibaki v Moi* (*supra*), anything else I say on the case would merely be treated as *obiter*.

Thirdly, Parliament appears to have taken the matter in its own hand and will be dealing with it in due course. The published "The Statue Law (Miscellaneous Amendments) Bill", 2005, proposes in the First Schedule thereof, the amendment of section 20(1)(*a*) of the Act by deleting the words "and served" whenever they appear in paragraphs (*a*) and (*b*) of the section. If the proposed amendment goes through, we shall revert to the old position which obtained before the passing of Act number 10 of 1997 to which I have already referred. It was the introduction of the words "and served" in the section which precipitated the decision in *Kibaki v Moi* (*supra*) and if those words are removed there will be no further problem. For these reasons, I see no necessity to consider the issue of whether or not to overrule the decision and I would myself decline the invitation to do so.

The only other issue I wish to touch on, briefly, is the learned Judge's holding that it would be unconstitutional to strike out an election petition without hearing it on merit. The provisions of section 44 of the Constitution provide for the court, where elections petitions are to be lodged, ie the High Court, the person or persons, who may lodge a petition, and in section 44(4) it is specifically provided:

> "Parliament may make provision with respect to:
>
> (*a*) the circumstances and manner in which, the time within which and the conditions upon which an application may be made to the High Court for the determination of a question under this section; and
>
> (*b*) the power, practice and procedure of the High Court in relation to the application."

The Act, ie the National Assembly and Presidential Elections Act, is obviously made pursuant to section 44(4) of the Constitution. The Act provides that an election petition shall be filed and served within 28 days. Surely the learned

Judge cannot be saying that the High Court would be acting unconstitutionally if it were to strike out a petition filed some three months from the date of publication of an election result in the Kenya Gazette. With respect to the learned Judge there is nothing unconstitutional in striking out an incompetent petition.

The various advocates, who appeared before us for the respective parties, cited to us numerous authorities, touching on various aspects of the matter.

I am grateful to them for their research and diligence. I, however, have not found it necessary to use those authorities because in my view the authorities did not deal with the issue of what constitutes personal service. Most of them were directed at showing us that the decision in *Kibaki v Moi* (*supra*) was wrong and, therefore, ought to be overruled. For reasons, already stated, I have declined the invitation to overrule the decision. It is not out of disrespect to the respective learned Counsel that I have not found it necessary to deal with the authorities they cited.

Nor have I found it necessary to deal with the individual grounds of appeal contained in the appellant's memorandum of appeal. The appellant's principal complaint was that he was not personally served with the notice of lodgement of the petition and the petition itself contrary to the decision in *Kibaki v Moi* (*supra*). All the grounds revolved around that issue. I have determined the issue and that determination covers all the individual grounds listed in the memorandum of appeal.

I have said enough, I think, to show that I am not for allowing this appeal. Accordingly, I would propose that the appeal be dismissed with costs to the respondents named in the appeal. As the court agrees, those shall be the orders of the court.

Githinji JA: This is an appeal from the ruling of the superior court (Khaminwa J) dated 19 August 2003 wherein the superior court dismissed with costs and application by Mohamed (appellant herein) to strike out an Election petition cause number 3 of 2003 filed by Mohamed Bwana Bakari (first respondent herein).

By a Gazette Notice dated 3 January 2003, the appellant was declared to be duly elected as a member of Parliament for Lamu East constituency in the Parliament Elections held on 27 December 2002. The petitioner then filed a petition praying that the election for Lamu East Constituency be declared null and void because of various irregularities and malpractices. Thereafter, the appellant filed an application under section 20(1)(*a*) of the National Assembly and Presidential Elections Act (Chapter 7) (Act) seeking an order, *inter alia*, that the petition be struck out on the ground that:

> "the same was not personally served on the first respondent within 28 days after the date of the publication of the result of the Parliamentary Election in the Kenya Gazette on 3 January 2003 or at all."

The first respondent filed a replying affidavit verifying, among other things, that the appellant was served with notice of presentation of the petition and the petition through three avenues, namely, by pinning the notice of the presentation of the petition and the petition on the gate of his residence in Mombasa on

28 January 2003; by sending those documents by registered post to the last known postal address of the first respondent and by notice in the Gazette which was published on 31 January 2003. The full facts regarding the service are contained in the judgment of Omolo JA.

The appellant did not dispute that he was served as described but relying on the decision of this Court in *Kibaki v Moi* Civil appeal number 172 of 1999 (UR) contended that he was not personally served. The dispute in the superior court was aptly summarised by the superior court thus:

> "It is not disputed that the petition was presented within 28 days after publication of election result. It is not disputed that it was served within the time limited. The dispute is that the service was not personal service upon the respondent. Now the issue is, does the law regarding election petitions require personal service?"

The learned Judge answered that question in the negative and was satisfied that the appellant was duly served. This appeal arises from that decision.

In *Kibaki v Moi* (*supra*) the service of the petition was through Gazette Notice published within 7 days of the filing of the election petition to challenge the validity of the election, the result of which was published in the Gazette about 17 days before the filing of the petition. It was contended in that case, that service through publication in the Gazette was authorised by rule 14 of the National Assembly Election (Petition Rules), 1993 which provides:

> "14 (1) Notice of presentation of a petition accompanied by a copy of the petition shall within ten days of the presentation of the petition, be served by the petitioner on the respondent.
>
> (2) Service may be effected either by delivering the notice and copy to the advocate appointed by the respondent under rule 10 or by posting them by a registered letter to the address given under rule 10 so that, in the ordinary course of post, the letter would be delivered within the time above mentioned or if no advocate has been appointed, or no such address has been given by a notice published in the Gazette stating that the petition has been presented and that copy of it may be obtained by the respondent on application at the office of the registrar."

Rule 10 referred to above states:

> "A person elected may at any time after he is elected send or leave at the office of the registrar a notice in writing signed by him or on his behalf, appointing an advocate to act as his advocate in case there should be a petitioner against him, or stating that he intends to act for himself, and in either case giving an address in Kenya at which notices addressed to him may be left or if no such writing is left all notices and proceedings may be given or served by leaving them at the office of the registrar."

The application to strike out the petition in *Kibaki v Moi* (*supra*) was based on the ground that the respondent (Moi) had not been:

> "Served personally with the petition . . . either within 28 days after the date of. . .publication as required by section 20(1) of the National Assembly and Presidential Elections Act (Chapter 7) or at all."

Section 20(1)(*a*) referred to above provided:

> "A petition:
>
> (*a*) to question the validity of an election, shall be presented and served within twenty eight days after the date of publication of the result of the election in the Gazette."

In support of the application to strike out the petition in *Kibaki v Moi* (*supra*), it was contended that rule 14 had become irrelevant since it was in conflict with

section 20(1)(*a*), in that whereas section 20(1)(*a*) provided that a petition be presented and served within 28 days, rule 14(1) provided that the petition should be served within 10 days of the presentation.

This Court agreed with this submissions and held:

> "We accordingly agree with the High Court that section 20(1)(*a*) of the Act is in direct conflict with rule 14 and that being so rule 14 must give way to the plain words of section 20(1)(*a*) of the Act. Accordingly rule 14 of the Rules can no longer apply to petitions which concern section 20(1)(*a*) of the Act."

In so finding the court, in effect, overruled its previous decisions, namely, *Chelaite v Njuki and others* Civil appeal number 150 of 1998 and *David Kairu Murathe v Samuel Kamau Macharia* Civil appeal number 171 of 1998, (UR), to the effect that there was no conflict in the two provisions.

I must confess that I have found it difficult to appreciate, from the judgment, the relevance of the issue of conflict of the two provisions relating to time of service (as opposed to mode of service) of a petition in *Kibaki v Moi* (*supra*) to the application which was before the court because it was not there contended that service was outside the 28 days or outside the 10 days after the presentation of the petition.

It seems from the judgment, however, that the effect of the conflict was at least to render rule 14(1) inoperative and to leave section 20(1)(*a*) as the only provision dealing with the service of petition. As a consequence, the court found that section 20(1)(*a*) does not prescribe any mode of service and hence applied the provisions of the Civil Procedure Act regarding requirement of personal service. The court then emphatically held that:

> "Service by way of publication in the Kenya Gazette, in view of sections 20(1)(*a*) of the Act, cannot be proper service and later that:
>
> > 'But the courts must accept the wisdom of the Parliament unless, of course they are contrary to the provisions of the Constitution. It was decreed in section 20(1)(*a*) that service of election petitions must be personal and whatever problems may arise from that the courts must enforce the law until Parliament should itself be minded to change it.'"

The Court nevertheless, agreed that the National Assembly and the Presidential Elections Act and the National Assembly Elections (Election Petition) Rules both form a complete regime and other legislation or rules can only be applicable to election petitions if they are made applicable by the Act itself or the rules.

In the present case, the superior court was urged not to follow the decision in *Kibaki v Moi* (*supra*) on the ground that it was made *per incuriam*. The learned Judge was referred to many authorities on the question of the interpretation of statutes and on the doctrine of precedent. The learned Judge (Khaminwa J) found, *inter alia*, that the Court of Appeal in *Kibaki v Moi* (*supra*) failed to comment on rule 14(2); that rule 14(2) is not in conflict with section 20(1)(*a*) of the Act; that Parliament had not expressly required nor intended personal service of Election petitions, that service through publication in the Gazette is not inconsistent with section 20(1)(*a*); that the decision of the Court of Appeal was *per incuriam* and, therefore, not binding on the High Court. Those are weighty legal issues indeed.

The decision in *Kibaki v Moi* (*supra*), and the interpretation of that decision by the superior court, is the central focus of this appeal. The court has been urged,

specifically, to make a finding that the decision in *Kibaki v Moi* (*supra*) was made *per incuriam* and to overrule it.

The purpose of the construction of a statute is to find out the intention of Legislature. If the words of the statute are clear and unambiguous effect must be given to them for the statute speaks the intention of the Legislature. It is not permissible in the construction of statutes to imply a provision in the statute, which is inconsistent with the words expressly used. The law is concisely stated in *Halsbury's Laws of England* (3ed) at 582 thus:

> "Statutes must be construed to make them operative. If is possible the words of a statute must be construed so as to give a sensible meaning to them … A statute must, if possible, be construed in the sense which makes it operative, and nothing short of impossibility so to construe it should allow a court, to declare a statute unworkable. Thus, where a statute has some meaning, even though there is little to choose between them, the courts must decide what meaning the statute is to bear rather than reject it as a nullity. It is not permissible to treat a statutory provision as void for mere uncertainty, unless the uncertainty cannot be resolved and the provision can be given no sensible or ascertainable meaning and must therefore be rendered as meaningless.
>
> Where the main object and intention of a statute are clear, it should not be reduced to a nullity by a literal following of language which may be due to want of skill or knowledge on the part of a draftsman unless such language is intractable."

This Court is bound by principle of *stare decisis* to follow its own decisions except where, *inter alia*, the decision was given *per incuriam* and a decision is given *per incuriam* if it is given in ignorance or forgetfulness of some inconsistent statutory provision or authority binding on it (See *Young v Bristol Aeroplane Company Ltd* [1944] 1 KB 718. *Kiriri Cotton Company v RK Devani* [1958] EA 159; *Dodhia v Nat and Grindlays Bank Ltd* [1970] EA 195 and *Income Tax v T* [1974] EA 546.

The law is the same as it was when *Kibaki v Moi* (*supra*) was decided. Section 20(1)(*a*) of the Act does not decree as the court in *Kibaki v Moi* (*supra*) erroneously, in my view, said, that service of election petitions must be personal. The section does not indeed deal with the mode of service. It merely prescribes the time of service. The Court of Appeal did not in *Kibaki v Moi* (*supra*) construe rule 14(2) which is a subsidiary legislation having the same status as an Act of Parliament. That rule prescribes three statutory modes of service of election petitions, which do not include personal service.

The prescribed mode of service includes service by notice published in the Gazette which was one of the three modes used in this case.

In *Ferrell v Alexander* [1976] 1 All ER 129, Lord Denning MR said in part at 137 paragraph d:

> "No court is entitled to throw over the plain words of a statute by referring to a previous judicial decision. When there is a conflict between a plain statute and a previous decision the statute must prevail."

As I have said above, the court did not in *Kibaki v Moi* (*supra*) embark on a construction of provisions of rule 14(2), which were the only statutory provisions prescribing the mode of service. The court with respect ignored the provisions of the rule and imported into the Act the requirement of personal service of election petition (which is not in the Act or rules) in disregard of the cannons of the construction of statutes. In my humble view, the decision in *Kibaki v Moi* (*supra*) was given *per incuriam*. I would further hold that the decision does not establish any discernable precedent as the court did not in fact

construe any specific provisions of the Act or the rules, in particular, rule 14(2). Had the court construed any specific words of the statute eg rule 14(2) and judicially interpreted the provision, either wrongly or rightly, then the decision can be said to be an authority on the meaning of the specific words of a statute and would therefore be a binding precedent. It follows that what the court said in *Kibaki v Moi (supra*) about personal service which was not connected with any provision of the statute, was merely a dictum.

In the circumstances, the superior court, was in my view, free to construe the specific provisions of the statute particularly rule 14(2) as it understood them. I am satisfied that the superior court made a valiant and correct construction of the statute particularly rule 14(2). The learned Judge deserves due tribute. The appeal has no merit.

For those reasons, I dismiss the appeal with costs.

Waki JA: I have had the advantage of reading in draft the judgment of my brother Omolo JA.

I agree with Omolo JA that the appeal before us rests on its own facts and does not call for a discourse on the decision of this Court in *Kibaki v Moi (supra*). Such discourse would be largely *obiter*. The occasion will no doubt arise, unless Parliament effects the proposed amendments in the law, when the *ratio decidendi* in that overused decision will be re-examined in a proper forum of this Court or by a higher court.

The appeal before us is for dismissal for the reasons given in the judgment of Omolo JA and I have nothing useful to add.

Deverell, O'Kubasu and Tunoi JJA concurred in the judgment of Omolo JA.

For the appellant:
Information not available

For the first respondent:
Mr *Moses Gitau*

MTN (U) Ltd v Uganda Telecom Ltd
[2005] 2 EA 225 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	23 June 2005
Case Number:	13/04
Before:	Odoki CJ, Oder, Karokora, Mulenga and Kanyeihamba JJSC
Sourced by:	Lawafrica

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[1] Contract – Construction of terms of agreement – Meaning of agreement to be determined from words used – Whether interest payable on principal due from date of invoice.

Editor's Summary

The appellant and the respondent were parties to an interconnection agreement. Each party was entitled to charge the other for interconnection services, rendered through their systems. The appellant filed a suit against the respondent seeking to recover the sum of UShs 5 772 690 167 as principal and UShs 518 455 167 as interest accrued from the date the principal was due. There was no

dispute as to the principal sum and a consent judgment was entered to that effect. With regard to the interest, the trial judge found in favour of the appellant and awarded a sum of UShs 518 455 167.

On appeal to the Court of Appeal, the High Court decision was reversed and a sum of UShs 200 552 609 entered in instead.

The appellant now appealed to the Supreme Court. Counsel for the appellant argued that the due date for payment of the principal and interest was the date immediately after the expiry of 45 days following the receipt of the traffic reports by either party. In reply, counsel for the respondent submitted that under Article 7 of the agreement, liability to pay interest only arose after all the conditions to pay had been fulfilled and that the agreement was silent as to what was to happen if there was no agreement on the net amount within the stipulated 45 days.

Held – The pivotal issue before the court was the determination of the date when interest began to accrue. Determination of this date would resolve the question of quantum of interest, due from the respondent to the appellant. In order to determine the issue, the court was obliged to construe the contract as it was written. Counsel for the respondent erred in submitting that the agreement was silent on what was to happen in the event of a disagreement between the parties. The agreement provided, *inter alia*, that where there was a disagreement on the accuracy of the reports the parties could go to an independent auditor to determine the dispute.

The only date in the agreement, which signified total and final agreement on the sum due, was when the party in credit finally sent the other party an invoice. When the invoice was received, that date became the due date and it was only on that date that the interest on the principal began to accrue.

Appeal dismissed with costs to the respondent.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Stirnlaw v Southern Foundaries [1926] Ltd and another [1939] All ER 113

Judgment

Kanyeihamba JSC: This is a second appeal from the judgment and orders of the Court of Appeal, holding that interest owed by the respondent to the appellant on undisputed principal debt was at UShs 518 455 167 as held by the High Court, but UShs 200 552 609 as contended by the respondent.

The brief background to this appeal may be stated as follows:

Both the appellant and respondent are parties to an interconnection agreement. Each party is entitled to charge the other for interconnection services rendered through their respective telecommunication systems. The appellant sued the respondent seeking to recover the sum of UShs 5 772 690 167 as principal and interest amounting to UShs 518 455 167, which it claimed was the interest that had accrued from the date it was due and as a result of failure

by the respondent to pay the principal sum of UShs 5 772 690 167. The difference between the parties is the date when the interest began to accrue. The determination of that date resolves the question of quantum of interest due from the respondent to the appellant.

I agree with the learned Justice of Appeal, Kitumba JA, who wrote the lead judgment of the Court of Appeal, when she observes that the court must construe that contract as it is written. I also agree with her that the operative part of the interconnection agreement between the parties is Article 7 of the agreement which provides in clause 7.1.1 that:

> "Each party shall send the other a report of the amount due for all traffic completed by its telecommunications system for termination on or through the other party's telecommunications system at the end of every calendar month."

The determination of the amount due shall include:

(*a*) . . .

(*b*) The value of such traffic, broken down by type of traffic and calculated at the individual accounting rates agreed to between the parties. Each operator should measure the traffic crossing the point of interconnection based on the number of calls and minutes by time band.

(*c*) A party receiving the traffic data shall have 15 days in which to reconcile, accept or refuse any of the traffic. If no complaint is raised within 15 days, then the same shall be deemed accepted by the other party.

(*d*) An invoice shall be issued upon acceptance of traffic reconciliation.

Mr Oscar *Kambona* for the appellant contended that the due date for the payment of the principal and interest was the date immediately after the expiry of forty five days, following the receipt of the traffic reports by either party. He contended that both the surrounding circumstances of this particular agreement and business efficacy dictate this construction of the agreement to be the only reasonable one. He cited *Halsbury's Laws of England*, the Uganda Communications Act Chapter 106, *Stirnlaw v Southern Foundaries [1926] Ltd and another* [1939] All ER 113 as authorities in support of his submissions.

For the respondent, Mr *Nkurunziza* opposed the appeal and supported the judgment of the Court of Appeal. He contended that under Article 7 of the agreement liability, to pay interest arises only after the conditions to pay have been fulfilled. In his submission, the final condition which gives rise to liability is when the net amounts between the parties have been agreed and the party claiming the net amount has issued an invoice for that amount.

In Mr *Nkurunziza*'s view, the agreement is silent on the situation that could arise if the parties do not agree as to what is the net amount within the stipulated forty five days.

In my opinion however, the agreement makes provision beyond the forty five day period. For instance Article 7(1)(3) to 7(3) provides:

"7 (1) (3) Any payments not made by the due date shall bear interest in favour of the party to whom the payment is due at a rate equal to ten percent (10 percent) per annum, from the due date until the date of payment.

7 (2) If either party discovers an error in the reports, it shall promptly notify the other party and the parties shall make such adjustments in the reports and in the payments as are necessary to correct the error.

> 7 (3) If the parties dispute the accuracy of the reports on any related matter concerning the net amount payable pursuant to this Article 7, the parties shall jointly select an independent auditor to review the reports and assist in resolving the dispute. If the parties are unable to agree on the appointment of an independent auditor, the Commission or its delegate shall appoint an independent auditor. The cost of such an auditor shall be borne jointly by the parties."

It is quite clear that the agreement anticipates a series of events and procedures that are likely to stretch to unspecified periods of time in the future. It envisages disputes on the amounts to be finally paid to a degree that requires the intervention of an auditor and even of the Commission. The only date which signifies total and final agreement is when the party in credit finally sends the other party an invoice, which shall signify acceptance by both parties of the traffic reconciliation.

I am, therefore, in agreement with Kitumba JA when in her judgment she says:

> "It would be impossible, in my view, for one to remit the net amount invoiced before the due date when no invoice has been issued. Issuing of the invoice specifying the amount to be paid is a condition precedent to remitting the amount."

In my view, it is the date when the invoice is received that becomes the due date and it is the same date also when the interest on the principal sum begins to accrue.

In result, I would dismiss this appeal with costs to the respondent. The respondent is only liable to pay to the appellant UShs 200 552 609 with interest at court rate from the date of this judgment till payment in full. As I will observe shortly, costs in this matter shall be based solely on the amount of interest disputed.

Before resolving the matter of costs, I am constrained to observe that after the parties settled out of court their respective liabilities with regard to the principal sum owed, only one small and simple issue remained, that is, the date when interest, on the agreed amount, started accruing. I have failed to understand why counsel for the parties did not confine themselves to what was pertinently relevant to the issue. In my opinion, the volumes of materials included in the record of proceedings by counsel were absolutely unnecessary.

I would order that the subject matter upon which taxation for costs is to be based is the interest sum that was in dispute before this Court and in the courts below.

Odoki CJ, Oder, Mulenga and Karokora JJSC concurred in the judgment of Kanyeihamba JSC.

For the appellant:
Mr Oscar Kambona

For the respondent:
Mr *Nkurunziza*

Muite v Attorney-General
[2005] 2 EA 229 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	25 February 2005
Case Number:	188/02
Before:	Nyamu J

Sourced by: LawAfrica

[1] Constitutional law – Enforcement of fundamental rights and freedoms – Amendment of pleadings – Whether envisaged under the Constitution.

Editor's Summary

By chamber summons application, the applicant sought to amend the originating motion that had commenced the proceedings for enforcement of the applicant's fundamental rights and freedoms. The application by originating motion had been filed 6 months after the publication of the Constitution of Kenya (Protection of Fundamental Rights and Freedoms of the Individual) Practice and Procedure Rules of 2001. The amendment sought was to enable the application to comply with the law as provided under the Rules, that is, to commence the proceedings by way of originating summons as required by rules 11 of the Rules. The application also sought to bring additional facts to the court.

Held – Under Order XXXVI, rule 9 of the Civil Procedure Rules, the court has wide discretion to make any amendments necessary to make the originating summons accord with existing facts and to raise the matters in issue between the parties ;in order to assist the court or the parties to ascertain the real issues between the parties.

The right of access to the court, under section 84, is a fundamental right. The only bar to the right is failure to comply with the rules or contravention of the fundamental principles of law. *Labson Ltd v Manula Haulers Ltd t/a Tausi Travellers* Nairobi High Court civil case number 204 of 2003 followed.

Our Constitution does assume the existence of fundamental principles of law. The principles behind the rules made under section 84(6) of the Constitution is to achieve the ends of justice because justice is one of the objectives of the Constitution.

Allowing an amendment which ordinarily would be allowed under the Civil Procedure Act and Rules in order to have the matter fully articulated and argued on merit does serve the ends of justice and, therefore, is one of the objectives of the Constitution.

Our Constitution does, indeed, assume the existence of the law of evidence and the rules of Civil Procedure insofar as it is practicable in the circumstances of the cases which come before the court and insofar as the law and the rules are in conformity and do not violate any specific provision of the Constitution.

The court shall endeavour to ensure that the court's power to award costs does not make it difficult or restrain the right of access to the court by those who could have genuine constitutional grievances to articulate.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Booth Irrigation v Mombasa Water Products Ltd High Court miscellaneous case number 1052 of 2004

Francis Karani Elijah v Chairman of Kanu High Court miscellaneous case number 235 of 2002

Labson Limited v Manula Haulers Ltd t/a Tausi Travellers Civil case number 204 of 2003 – **F**

Judgment

Nyamu J: The application by way of chamber summons dated 19 November 2004 seeks to amend an originating motion in terms of the originating summons attached to the applicants affidavit. It is supported by the applicants' affidavit sworn on 19 November 2004.

The application, by way of an originating motion, was filed 6 months after the publication of the Constitution of Kenya (Protection of Fundamental Rights and Freedoms of the Individual) Practice and Procedure Rules 2000 Legal notice 133 of 2001. The applicant seeks to amend, in order to comply with the law. The amendment seeks to incorporate more orders but the grounds relied on are the same as in the originating motion which is being amended. Under rule 11 of the Rules made under section 84(6) of the Constitution application, under rule 5 and 9, must be by way of an originating summons. Rule 11 also provides that, in respect of such an application, Order XXXVI of the Civil Procedure Rules shall apply as far as is practicable.

The application is opposed on the following grounds:

1. The applicant has not properly invoked the jurisdiction of the court because originating motions are not contemplated by Order XXXVI, and the application to amend is based on Order XXXVI, rule 9 of the Civil Procedure Rules

2. The applicant has failed to comply with rule 9 of the Rules made under section 84 rule 6 of the Constitution and a new prayer to the effect that the applicant will not get a fair trial and that the magistrate should be stopped from conducting the matter. Section 70 is being invoked and they have chosen to specify section 71 as well and these had not been included in the originating motion. And that the proposed amendments fatally affect the whole application and in a Constitutional application one has to be precise on the prayers and the provisions relied on.

   In the case of *Francis Karani Elijah v Chairman of Kanu*, High Court miscellaneous case number 235 of 2002, the court struck out an application brought contrary to the Rules and that this Court should adopt the case.

The learned Counsel for the applicant Mr *Orengo*, in reply, pointed out to the court that in *Karani*'s case (*ibid*) the applicants had not applied to amend as in this case and waited until the faulty application came up for hearing when it was struck out. In this case, this Court's jurisdiction to amend under Order XXXVI, rule 9 has been invoked well before the hearing and that a party can amend pleadings any time before judgment under Order VI, rule 3 and 4 of the Civil Procedure Rules and under Order VI, rule 3 which applies to civil

proceedings generally, amendments apply equally to originating summons, a petition and an originating notice of motion as it has effect in relation to a plaint.

In my ruling I have taken into consideration the arguments set out above.

Under Order XXXVI, rule 9 the court has a wide discretion to make any amendments necessary to make the summons accord with existing facts and to raise the matters in issue between the parties. I think the court has been given an unfettered discretion to allow amendments which will assist it, or the parties, to ascertain the real issues between the parties. I have also taken into account the fact that the applicant has retained the same grounds as in the originating motion and also took the trouble of instituting a separate application to amend before taking directions. Under Order VI, rule 4 an originating motion can be amended as if it was a plaint. I see no big deal in substituting the word "summons" for "motion" and I find that no prejudice will be suffered, or is likely to be suffered, by the respondent since they have not filed any affidavit in reply to that, although they had filed general grounds of objection which they did not pursue before this application.

In the case of *Labson Limited v Manula Haulers Ltd t/a Tausi Travellers* Civil case number 204 of 2003, this Court held that the right of access to the court under section 84 is a fundamental right. In the decision, I also held that the only bar to the right is failure to comply with the rules or contravention of the fundamental principles of law. Our Constitution does assume the existence of fundamental principles of law and I would like to repeat and reinforce the same principles here. In the special circumstances of this case where amendments are allowed by virtue of the incorporation of the Civil Procedure Rules by rule 11 of the Constitution of Kenya (Protection of Fundamental Rights and Freedoms of the Individual) Practice and Procedure Rules 2001, I cannot fairly prevent a party from amending in order to comply, the applicant having come in advance of the hearing of the application.

In an even more recent decision of this Court, in *Booth Irrigation v Mombasa Water Products Ltd*, High Court miscellaneous case number 1052 of 2004, I held, *inter alia*, that our Constitution does assume the existence of fundamental principles of law and I went on to enumerate some of them and dismissed a preliminary point which ignored a possible breach of a fundamental principle of law.

The principle behind the Rules, made under section 84(6) of the Constitution, is to achieve the ends of justice because justice is one of the objectives of our Constitution. Allowing an amendment which ordinarily would be allowed under the Civil Procedure Act and Rules in order to have the matter fully articulated and argued on merit, does in the opinion of this Court serve the ends of justice and therefore one of the objectives of the Constitution. I now wish to venture further and hold that our Constitution does, indeed, assume the existence of the law of evidence and the rules of Civil Procedure insofar as it is practicable in the circumstances of the cases which come before the court and in so far that the law and the rules are in conformity and do not violate any specific provisions of the Constitution.

For the above reasons, the application to amend is allowed as prayed.

Thrown away costs to be reserved this being a Constitutional matter. This Court shall endeavour to ensure that the court's power to award costs does not

make it difficult or restrain the right of access to the court by those who could have genuine Constitutional grievances to articulate.

For the appellant:
Mr Orengo

For the respondent:
Information not available

Muzito v Njuki
[2005] 2 EA 232 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of judgment:	21 September 2005
Case Number:	28/04
Before:	Okello, Engwau and Byamugisha JJA
Sourced by:	LawAfrica

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[1] Civil procedure – Substituted service – Defendant outside the country – Whether advertisement in newspaper is an effective form of substituted service.

Editor's Summary

The respondent sought cancellation of the appellant's title to the land, comprised of Kyadondo Block 255 Plot 84 situated at Munyonyo, Kampala District, on the grounds that the appellant was not a bona fide purchaser of the land. Service of summons could not be effected upon the appellant as he lived and worked in Sweden. The respondent therefore applied for and obtained leave to effect substituted service by publication of the notice of the summons in one of the national daily newspapers, The New Vision. When the appellant did not respond, the respondent obtained *ex parte* decree and the appellant's certificate of title was cancelled and the respondent's name substituted as the registered owner.

On return to Uganda, the appellant sought to have the orders set aside on the grounds that he had not been duly served with the summons but it was dismissed by the judge,,thus the appeal.

Held – The substituted service could not have been effective on the appellant, who was living and working outside the country. Service outside jurisdiction is provided for under Order 5, rule 23 of the Civil Procedure Rules. It is not by publication in a national newspaper.

Appeal allowed

No cases referred to in this judgment

Judgment

Okello JA: This appeal arose from the ruling of Okello J, whereby she declined to set aside the *ex parte* judgment entered against the appellant on the 9 December 2002.

The facts leading to this appeal are briefly as follows:

Until 30 January 2003, the appellant was the registered owner of land comprised in Kyadondo Block 255 Plot 84 situated at Munyonyo, Kampala District. He had bought the land from one, Nora Erivania Kamuwanda, the administrator of the state of her late father, Yowas Njuki, who had been the registered owner of the land. The land was subsequently, transferred and registered in the appellant's name. The appellant lives and works in Sweden.

The respondent, who alleged that the appellant was not a bona fide purchaser of the land, filed in the High Court, Civil suit number 79 of 2001, alleging fraud. He sought *inter alia* cancellation of the appellant's title to the land.

Service of summons to file a defence could not be effected on the appellant personally, as he could not be traced. On application, the respondent obtained leave of the High Court to effect substituted service by publication of the notice of the summons in one of the national daily newspapers, The New Vision. When the appellant did not respond upon that publication, the respondent obtained *ex parte* decree against the appellant. Consequently, on court order, the appellant's certificate of title was cancelled and the respondent's name was substituted on 30 January 2003, as the registered owner of the land.

When the appellant returned to Uganda, he learned of this development and by Miscellaneous application number 36 of 2003, he sought under Order 9, rule 24 of the Civil Procedure Rules to have the *ex parte* judgment against him set aside. His reasons were, *inter alia,* that he had not been duly served with the necessary summons to file a defence.

The trial judge dismissed the application prompting this appeal.

The memorandum of appeal comprised five grounds as follows:

1. The learned trial Judge's findings that the respondent conducted a diligent search for the appellant before applying for substituted service, is not justified by the evidence on record.
2. The learned trial Judge erred in law and fact, when she found that the substituted service within jurisdiction was effective service on the appellant, who was, by then, a person ordinarily resident out of jurisdiction and was in fact, physically absent from Uganda at the time.
3. The learned trial Judge was not justified in concluding that there was substituted service on the appellant's lawyers which was effective service on the appellant, the said lawyers not being his agents for purposes of service of court process.
4. The learned trial Judge erred in law and fact, when she found that the appellant's lawyers were competent to receive service on his behalf and under an obligation to notify the appellant of such service.
5. The learned trial Judge erred in law and fact, when after assessing the evidence on record, she failed to find that the appellant had as defence to the main suit.

Counsel for both parties later held a scheduling conference before the register of this Court. Both counsel wrote conferencing notes submitting on the issues they agreed on to be determined by this Court. This judgment is based on those submissions.

The crucial question for determination was whether substituted service of the summons to file a defence was effective upon the appellant?

To succeed in an application under Order 9, rule 24 of the Civil Procedure Code, the applicant has to satisfy the court either,

1. that the summons was not served on him or
2. that he was prevented by any sufficient cause from appearing when the suit was called for hearing.

In the instant case, the reason was that the summons was not duly served on the appellant. It is not in dispute that the alleged service was by substituted service by publication of the notice of the summons in the New Vision Newspaper. The burden is, thus, on the appellant to satisfy the court that he was not duly served by that method of service.

In an attempt to discharge that burden, the appellant swore an affidavit in support of his application on 14 March 2003. In paragraphs 12 and 13 thereof he deponed as follows:

> "12 that the reason why service of the court papers could not be effected upon me personally is because I live and work outside Uganda in Sweden.
>
> 13. that as such, I could not get to know about substituted service in the New Vision."

The respondent deponed an affidavit in reply on 2 June 2003, but, did not address the facts deponed to by the appellant in the above two paragraphs. The appellant's assertions that he had not been duly served with the summons by that mode of service because he lives and works outside Uganda, in Sweden, therefore, remained unchallenged.

The learned trial Judge dealt with this matter thus:

> "It is my finding that substituted service was appropriate and it constituted effective service, not only because the law provides for it, but because it is the best way of communicating information. In this respect, it served to bring information either directly to the person concerned, or indirectly through agent counsel. I understand the applicant's arguments to be that Ms Kawanga and Kasule Advocates and Company have been and are his lawyers for purposes of the suit land. The advocates had a duty to bring to the applicant's attention service upon him of summons by substituted service (*see* paragraph 4 of the undated affidavit in support filed in court on 14 March 2003). All in all, I find that there was a diligent search for the applicant before substituted service was effected. I also find, on the facts, that the substituted service was effective, despite the physical absence from Uganda of the applicant. His agent Kabugo and the firm of advocates, whose address appear in the certificate of the suit land should have and actually had, a duty to inform the applicant of the substituted service or to inform the respondent or his counsel that the applicant was not physically within the jurisdiction."

With respect to the learned trial Judge, I do not agree with her findings contained in the above passage, that the substituted service was effective despite the physical absence of the appellant in Uganda. There is nothing in the appellant's referred to affidavit in support of the application, nor in the respondent's affidavit in reply that Ms Kawanga and Kasule Advocates were the appellant's appointed agent for purposes of High Court civil suit number 79 of 2001. There is no evidence that they had instructions to receive service of court process on behalf of the appellant in that suit. Therefore, they had no legal obligation to inform the appellant of the notice of the summons in the New Vision, even if they had seen it. They equally had no obligation to inform the respondent that the appellant was outside Uganda. The same applies to Kabugo. There is no evidence that he was appointed appellant's agent for purposes of that case. His caretaking of the suit land did not make him a legal agent of the

appellant for purposes of that suit land. Further, there is no evidence of the scope of his powers as caretaker of the suit land.

The unchallenged evidence of the appellant shows that he was living and working in Sweden, outside the jurisdiction of the court when the substituted service was effected. Clearly, such a service could not have been effective on the appellant who was living and working outside this country. Service outside jurisdiction is provided for specifically under Order 5, rule 23 of the Civil Procedure Rules. It is not by publication in a national newspaper. The appellant had no known agent, for purposes of that suit, living within Uganda.

In the circumstances, I am of the view that the trial judge erred to find that the substituted service was effective on the appellant, despite his physical absence from Uganda. That was a misdirection.

In result, I would allow the appeal, set aside the trial judge's order dismissing the application. In its place, I would substitute an order allowing the application and setting aside the *ex parte* judgment and all its attendant orders in High Court civil suit number 79 of 2001. The appellant be allowed to file his defence and the suit heard and determined on merit.

For the appellant:
Information not available

For the respondent:
Information not available

NBC Holding Corporation v Mauya and another
[2005] 2 EA 235 (CAT)

Division:	Court of Appeal of Tanzania at Tanga
Date of judgment:	3 June 2005
Case Number:	36/04
Before:	Munuo, Msoffe and Kaji JJA
Sourced by:	LawAfrica

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[1] Civil procedure – Decree in appeal – Failure to include a decree that is signed by one of the judges –Effect of such failure.

Editor's Summary

The appellants filed an appeal against the decision of the High Court ordering it to pay retrenchment benefits to the respondent.

The issue of the decree filed then arose.

Held – The appeal lacks a valid decree per the provisions of Order XXXIX, rule 35(4) of the Civil Procedure Code of 1966 and so the invalid decree renders the appeal incompetent. (*Mugo* (*Administrator of the Estate of the late John Mugo Maina*) *v Mollel* Civil appeal number 2 of 1990

(UR); *Ole Saibul v Ole Saibul* Civil appeal number 68 of 1998 (UR); *Tanganyika Cheap Stores v National Insurance Corporation Ltd* Civil appeal number 37 of 2001 (UR) followed)

Regarding pending appeals not yet scheduled for hearing, the parties would be well advised to resort to rule 92(3) of the Court of Appeal Rules of 1979 to rectify defects and regularise the same, in conformity with the law.

Appeal struck out.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Ole Saibul v Ole Saibul civil appeal number 68 of 1998 (UR) – **F**

Mugo (*Administrator of the Estate of the late John Mugo Maina*) *v Mollel* Civil appeal number 2 of 1990 (UR) – **F**

Tanganyika Cheap Store v National Insurance Corporation Ltd Civil appeal number 37 of 2001 (UR) – **F**

Judgment

Munuo JA: The appellant, NBC Holding Corporation, through the services of Mr Akaro, learned advocate, brought the present appeal to challenge the decision of the High Court of Tanzania in Civil appeal number 16 of 1999, before Longway J in which the learned Judge ordered the appellant to pay retrenchment benefits to the respondent. Mr Mwita *Waisaka*, learned advocate, represented the co-respondents, Mazige Mauya and Mwanahamisi M Bilali.

At the commencement of the hearing, the court, *suo motu*, raised the issue of the purported decree in appeal at 91 of the record of appeal. Mr *Akaro*, learned advocate for the appellant, conceded that the decree is invalid for non-compliance with the provisions of Order XXXIX, rule 35(4) of the Civil Procedure Code of 1966. He, further, pleaded that in the event of the appeal being struck out for non-compliance with the provisions of Order XXXIX, rule 35(4) of the Civil Procedure Code, 1966, the period of limitation be extended to enable the appellant to reinstate the appeal after obtaining a valid decree from the High Court. The court, Mr *Akaro* submitted, had in a similar case, *Tanganyika Cheap Store v National Insurance Corporation Ltd* Civil appeal number 37 of 2001 (UR) granted such extension of time. Mr Mwita had no objection to extension of time.

We think it is pertinent to reiterate the provisions of Order XXXIX, rule 35 (4) which states, *inter alia*:

> Rule 35(4) The decree shall be signed and dated by the judge or judges who passed it.
>
> Provided that where there are more judges than one and there is a difference of opinion among them then, it shall not be necessary for any judge dissenting from the judgment of the court to sign the decree.

The court has in numerous cases struck out appeals for non-compliance with the above provision of the law. In *Robert John Mugo* (*Administrator of the Estate of the late John Mugo Maina*) *v Adam Mollel* Civil appeal number 2 of 1990 (UR) the court observed:

> ". . . a decree in appeal which is not signed by a judge as required by order 39 rule 35(4) invalidates the purported decree. This is because such signature by a judge is mandatorily required and it authenticates the decree."

Again, in *Ndwaty Philomen Ole Saibul v Solomon Ole Saibul* Civil appeal number 68 of 1998 (UR), the court stated:

> "The requirement that a decree must be signed by the judge who made the decision is rooted in sound reason, namely, that the judge who decided the case of appeal is in the best position to ensure that the decree has been drawn in accordance with the judgment."

The present appeal, as was the case in *Tanganyika Cheap Store* cited (*supra*), lacks a valid decree and, hence, suffers from non-compliance with the provisions of Order XXXIX, rule 35 (4) of the Civil Procedure Code of 1966 so the invalid decree renders the appeal incompetent.

For the reasons stated above, we strike out the incompetent appeal. We order that the appellant, if he so deems fit, re-institutes the appeal within 14 days after obtaining a valid decree from the High Court.

With regard to pending appeals not yet scheduled for hearing, parties would be well advised to resort to rule 92(3) of the Court of Appeal Rules of 1979, to rectify defects and regularise the same in conformity with the law.

We make no order for costs because we raised the matter *suo motu.*

For the appellant:
Mr Ankaro

For the respondent:
Mr Mwita Waisaka

Nile Bank v Translink
[2005] 2 EA 237 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	22 June 2005
Case Number:	9/04
Before:	Odoki CJ, Oder, Karokora, Mulenga and Kanyeihamba JJSC
Sourced by:	LawAfrica

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[1] Contract – Indemnity – Breach of agreement – Interpretation of terms – Intention to be construed from words used – Whether police report amounted to a conclusive finding – Whether Court of Appeal erred in its interpretation of the agreement – Whether the conditions for the realisation of the indemnity had been fulfilled.

Editor's Summary

The respondent company operated two bank accounts, one in Ugandan shillings and the other in US dollars, at a branch of the appellant bank. On 23 November 1994, the respondent sent three workers to deposit UShs 30 million in the company's account. A deposit slip purportedly stamped and signed by the bank was taken back to the company by the workers. Sometime later, the respondent's Managing

Director realised that only UShs 10 million had been credited to the company's account. Upon taking the matter up with the appellants, the latter asserted that it had only received UShs 10 million. However, in order to resolve the *impasse*, the appellants agreed to credit the company's account with UShs 20 million on condition that the company agreed to indemnify it if the police investigation proved conclusively that the money had

not been received. The respondent accordingly executed the indemnity dated 18 April 1995 and the appellant credited the shilling account with the disputed amount.

On 14 August 1996, the respondent notified the bank by letter that it had decided to close the two accounts and demanded that the closing balance be remitted to it. The bank refused to comply and in a letter to the respondent dated 30 August 1996, it pointed out that closure of the account would prejudice its rights under the indemnity. It also requested time to consider the matter further. Some weeks later it wrote to the respondent advising it, *inter alia*, that the police investigation into the matter had concluded that the money had never been deposited and that pursuant to the indemnity, the UShs 20 million would be treated as an overdraft. It also informed the respondent that closing its bank accounts would only realise UShs 8.5 million and as a result, it requested the respondent to settle the outstanding balance. Attached to the letter was a copy of the police report. The respondent's advocates wrote back denying that the police report was conclusive. They claimed that the bank was in breach of the banker-customer relationship. The respondent then filed a suit in the High Court pleading that the appellant had breached the indemnity agreement by refusing it to operate the accounts and wrongfully closing them. The suit claimed a declaration that it was entitled to operate the accounts, an order that the appellant credits the accounts with the amounts wrongfully debited, damages and costs. The appellant denied the claim and counterclaimed the amount of UShs 11 472 682. The High Court dismissed the respondent's suit and entered judgment for the appellant on the counterclaim with interest and costs.

The respondent appealed to the Court of Appeal which allowed the appeal and ordered that the parties return to the *status quo* that existed on 13 August 1996. It also stated that the bank was entitled to prevent the operation of the accounts until a conclusive report had been issued by the police.

The appellant now appealed to the Supreme Court on the grounds that the Court of Appeal erred in holding that the police report, dated 5 September 1996, did not amount to a conclusive finding and that it had failed to properly evaluate the evidence on record which established that the prosecution of the suspects had been concluded. Counsel for the appellant argued that the agreement between the parties provided that the police investigation was meant to establish whether the employees had banked the amount and that the parties were not concerned with the outcome of any court case. In reply, counsel for the respondent argued *inter alia* that the police had not issued a conclusive report within the dictionary meaning of the word.

Held – It was a trite rule of interpretation that in construing the intention of the parties to an agreement, the court was obliged to discern the intention from the words used in the document. In this instance, the findings of the Court of Appeal were not in consonance with the parties' intention as expressed in the deed. The parties had not referred to a final or concluding police report as the basis on which their dispute would be resolved. The stipulated eventuality was conclusive proof from the police that the sum was never deposited in the respondent's account. The fact that the police report was described as a progress report was immaterial. The police investigation found proof that the workers only banked UShs 10 million and the proof was in the finding of the handwriting expert that the pay-in slip was forged. The Court of Appeal, therefore,

erred in holding that the police report did not conclusively prove that the respondent never deposited the disputed amount in its bank account.

Appeal allowed.

No cases referred to in judgment

Judgment

Mulenga JSC: Until 1996, Translink (U) Limited, the respondent in this appeal, maintained two current bank accounts in Uganda shillings and United States dollars respectively at a branch of Nile Bank Limited, the appellant in this appeal. In 1997 the respondent filed a suit in the High Court, alleging that the appellant, in breach of contract, refused it to operate the accounts and wrongfully closed them. It prayed for-

(*a*) a declaration that it was entitled to operate the accounts and an order that the appellant credits the accounts with amounts wrongfully debited.

(*b*) general damages for breach of contract; and

(*c*) costs

The appellant defended the suit and counterclaimed from the respondent UShs 11 472 682 due on an overdraft. The High Court dismissed the respondent's suit and entered judgment for the appellant on the counterclaim with interest and costs. The respondent appealed to the Court of Appeal, which allowed the appeal and made orders to which I will revert in this judgment. Let me first summarise the background that led to this litigation.

In April 1995, a dispute arose between the appellant and the respondent on what amount the latter deposited in its shilling account on 23 November 1994. While the respondent asserted that it deposited UShs 30 million, the appellant asserted that it received only UShs 10 million. In order to resolve the *impasse*, the appellant agreed to credit the respondent's shilling account with the disputed sum of UShs 20 million upon the respondent undertaking to indemnify the appellant if the ongoing police investigation proved conclusively that the disputed sum was not deposited. It was agreed that in that eventuality, the sum so credited would be treated as an overdraft attracting no interest. The respondent executed a deed of indemnity dated 18 April 1995, exhibit P3, and the appellant credited the shilling account with the disputed amount.

On 14 August 1996, the respondent, without reference to that outstanding agreement, notified the appellant by letter,exhibit P6, that it had decided to close its two bank accounts. It demanded for the closing balance to be remitted by drafts. The appellant refused to comply with the demand. First, in a letter dated 30 August 1996, the appellant pointed out that the immediate closure of the accounts would prejudice the appellant's rights under the indemnity. It requested for time to ascertain if it should accede to the demand or should set off the balances against the overdraft deemed under the deed of the indemnity. Later, in a letter dated 19 September 1996, it advised the respondent:

(*a*) that the police investigation (copy of whose report was forwarded) and its own internal investigation had arrived at the concurrent conclusion that the appellant did not receive the disputed sum of UShs 20 million;

(*b*) that consequently, under the terms of the indemnity, the UShs 20 million credited on the respondent's account, was to be treated as an overdraft; and

(*c*) that the appellant would realise only UShs 8 527 319 from the balances on the respondent's two bank accounts.

The appellant concluded the letter thus:

> "By this letter you are hereby requested to make arrangements for the settlement of the outstanding balance of UShs 11 472 681. We look forward to your positive response and we hope that the whole exercise will be smoothly concluded with an option for you to maintain your account with us."

The copy report forwarded was a memo dated 5 September 1996 from the investigating officer to the ACP/Crime, exhibit P4, concerning the investigation. In a letter dated 24 September 1996, the respondent's advocates protested the appellant's stance. Without any reference to their client's previous decision to close its accounts, the advocates asserted:

(*a*) that the police report in exhibit P4 was inconclusive;

(*b*) that the respondent strongly objected to the consolidation of its accounts and to not being permitted to operate its accounts;

(*c*) that the appellant was in breach of the banker/customer relationship; and

(*d*) that the indemnity was binding and enforceable, but could only be invoked upon conclusive proof that the UShs 20 million was not deposited.

They also wrote to the police protesting that the report in exhibit P4 was not objective but was tailored to favour the appellant. About two months later, the respondent filed the suit in the High Court pleading that the appellant was in breach of the terms of the deed of indemnity because its decision to appropriate the said balances was not based on a conclusive police report envisaged in the deed of indemnity, but on a mere progress report. The respondent, further, pleaded that following the police investigations, employees of both the appellant and the respondent were charged with theft, but that the respondent had failed to find out the results of their trial in court.

I am constrained to observe that although clearly the substantive core issue between the parties was "whether the respondent deposited the disputed amount on its bank account, " it was sidelined in the courts below. This is apparent from the parties' respective pleadings and presentations of their cases, as well as from the framing and resolution of the issues by the courts below, where focus was directed more on construction of the deed of indemnity, exhibit P3, and description of the police report, exhibit P4, than on the said core issue. The respondent's suit was virtually based on the said deed of indemnity and no averment was made in the plaint that that disputed sum was deposited on the account. Hence, the issues framed at the trial were in brief:

1. whether exhibit P4, amounted to the conclusive investigation (report) in writing;
2. whether the defendant was entitled to invoke the deed of indemnity;
3. whether the plaintiff is entitled to the relief sought in the plaint;
4. whether the defendant is entitled to the prayers in the counterclaim

The learned trial Judge found for the appellant on the two main issues principally because he held that exhibit P4 contained a conclusive police report. In the Court of Appeal, Twinomujuni JA, who wrote the lead judgment, found that the first three grounds of appeal raised a single issue, namely:

> "Whether the decision of the respondent to confiscate moneys on the appellant's accounts in the respondent's bank was in accordance with clause 2 of the deed of indemnity. . ."

In brief, his answer to that issue was to the effect that the police report on which the appellant relied to "confiscate" the consolidated balance on the respondent's accounts was not a conclusive report within the meaning of the deed of indemnity, and that consequently, the confiscation was premature. The fourth ground of appeal raised the issue whether the respondent was entitled to operate its bank accounts. His answer to this was indirect. He held that the respondent's attempt to close the accounts was strange and highly suspicious and that the appellant, as a prudent banker, was entitled to resist the attempt, but was not entitled to pay itself from the respondent's accounts on strength of the inconclusive report in exhibit P4. Lastly, the court held that the fifth ground concerning the counterclaim, did not arise and had to fail because:

> "The event which could have allowed the (bank) to make the counterclaim, ie the conclusive report from the police, has not yet occurred."

The final orders of the court were framed in the lead judgment thus:

> "In light of the above findings and in order to do justice to both parties I would order a return to the *status quo* that existed on 13 August 1996, a day before the appellant applied to close the accounts with the respondent. *I think, however, that the respondent is entitled to prevent the operation of the accounts until the police issues a conclusive report*. The account will be deemed to have remained open with the balances that were on them on 19 September 1996. Any interest that was due will be deemed to have continued to accrue till this matter is concluded in accordance with the deed of indemnity. Because of the holding that it was the ill timed demand of the appellant to close his accounts that triggered confiscation of his accounts and therefore this suit, I would order that each party bears its own costs here and in the High Court." (Emphasis mine.)

The two grounds of appeal to this Court (excluding argumentative phrases) are that:

1. The learned Justices of Appeal erred in fact and law when they held that a police report dated 5 September 1996 did not amount to a conclusive finding as envisaged by a deed of indemnity between the parties …
2. The learned Justices of Appeal failed to properly evaluate the evidence on record which established that the prosecution of suspects in relation to the matter in dispute between the parties had been concluded …

Mr *Byenkya*, learned Counsel for the appellant, argued the two grounds separately. The essence of his submission on the first ground of appeal was that, pursuant to the deed of indemnity, the parties bound themselves to wait for the police investigation to establish conclusively if the disputed amount was not deposited, whereupon the sum of UShs 20 million credited on the respondent's account was to be treated as an overdraft. For the purposes of the deed, the investigation was to establish only one fact, namely whether the respondent's servants banked the disputed amount or not. The parties did not concern themselves with results of any prosecution that might arise from the police investigation. According to learned Counsel, the contents of the report in exhibit P4 showed conclusively that the disputed amount was not banked as alleged by the respondent's servants. He criticised the Court of Appeal for concerning itself with the nature or form of exhibit P4 rather than the substance of its content. Instead of considering if the report proved that the disputed amount was banked or not, it relied on extrinsic matters to hold that it was not a "conclusive" but only a "progress" report. On the second ground of appeal, Mr *Byenkya* submitted that, contrary to the holding by the Court of Appeal, the evidence on record showed that the prosecution in the Magistrate's

Court was complete. He argued that this misconception of the evidence led the court to conclude, wrongly, that the parties ought to await completion of a prosecution that is no longer pending.

For the respondent, Messrs *Lwere, Lwanyaga and Company Advocates* lodged written submissions under rule 93 of the rules of this Court. On the first ground of appeal, they supported the findings by the Court of Appeal that the police had not issued a report that was "conclusive" within the dictionary meaning of that word. In their view, exhibit P4, was an internal police communication on progress of an investigation. The fact that it was not copied to the respondent, as the complainant who instigated the police investigation, or to the appellant, leads to the inference that the police did not intend to treat that internal communication as a final report, to be relied upon by either party to the deed of indemnity. Although exhibit P4 referred to a handwriting expert report that exonerated the appellant, that alleged report was never produced in evidence.

Besides, following the respondent's protest against exhibit P4, the police issued another inconclusive report showing that the appellant's servants who were allegedly exonerated were subsequently charged and prosecuted together with the respondent's servants. A conclusive report would have included the result of the prosecution as the final finding of the investigation. On the second ground of appeal, the learned advocates submitted that the Court of Appeal was correct to hold that the prosecution which ensued from the police investigation, had not been concluded because some of the suspects had absconded before being tried. They stressed that no evidence was adduced to substantiate the appellant's claim through counsel that its servants had been acquitted in the Magistrates' Court. According to available evidence, four suspects were prosecuted and only one was discharged. The Court of Appeal found that the prosecution of the others was incomplete or outstanding. The learned advocates stressed that this Court, as a second appellate court, must not interfere with findings of fact by the first appellate court unless the latter came to a wrong conclusion due to misapprehension of the evidence. They submitted that the Court of Appeal considered the issues and evidence properly and came to the correct conclusion, and they urged this Court not to interfere with its findings.

As I indicated earlier in this judgment, the decision of the Court of Appeal is based on that court's finding that exhibit P4 was a progress report and not the "conclusive police report" supposedly envisaged under the deed of indemnity. This is evident in the lead judgment where after noting the dictionary definitions of the word "conclusive" and asking himself if any of the definitions fitted the memo in exhibit P4, Twinomujuni JA wrote:

> "In holding that the memo was conclusive report of the police, the learned trial Judge stated:
>
> > 'The indemnity bond must be interpreted strictly in accordance with the golden rule of interpretation. The provision in the bond about the Police Fraud Squad is not ambiguous or vague so that we go behind to find out whether by '*the conclusive report*' meant the final finding of the court. In my opinion, after the handwriting expert had given his report, the Police Fraud Squad was within its powers to issue its conclusive report pursuant to the deed of indemnity.'
>
> My finding on the first issue is in the affirmative ;exhibit P5 was the police squad conclusive report envisaged in the indemnity deed.'

> With the greatest respect, I am unable to agree that . . . exhibit P5. . . was a conclusive report. The Director of CID called it a progress report. Even D/AIP Begumisa himself did not believe that he had made a conclusive report. He recommended that it be forwarded to the respondent merely 'for information and update'. In fact, on 9 January 1997 he wrote another internal memo on the same matter to his boss. It is entitled 'Theft and Related Offences: A Progress Report'.
>
> The contents of this memo have already been reproduced above. It is significant to note that in this report he stated:
>
> > 'I wish to inform you that four people, that is to say two bankers of Nile Bank and two employees of Translink were charged, later one of the bankers (Mwine Enock) jumped bail, and this created a delay in proceedings with the rest.'
>
> Though the first memo claimed that the handwriting expert had exonerated Nile Bank, the latter memo reveals that further investigations had taken place which led into two employees of Nile Bank to be charged with subject matter of the investigation.
>
> I have already remarked that although this case was reported to the police by Translink (U) Limited, the police have never sent to him any report "conclusive, progress" or otherwise.
>
> There is another disturbing aspect of the deed of indemnity. I do not think it would have been possible for the police to issue a "conclusive" report on the case unless there was no evidence to prosecute anyone. Once they took a decision to prosecute two employees of Nile Bank and two of Translink, it was impossible for the police to issue a conclusive report unless the prosecution was concluded in court."

For clarity I would summarise the reasons given for the finding that exhibit P4 was a progress and not a conclusive report, as follows:

(*a*) In the letter dated 13 September 1996, forwarding exhibit P4 to the appellant, the Director of CID described exhibit P4 as "a progress report";

(*b*) The officer who authored exhibit P4 described a subsequent memo which he wrote on the same subject on 9 September 1997 as "a progress report";

(*c*) Although exhibit P4 claimed that the appellant had been exonerated, other investigations led to the appellant's two employees being charged; and

(*d*) After the decision to charge servants of both the appellant and the respondent, it was impossible for the police to issue a conclusive report until the prosecution in court was concluded.

It is apparent from the foregoing that in the view of the Court of Appeal the parties' intention was to resolve their dispute on the basis of a final report to be compiled by the police after conclusion of their investigation and any resultant prosecution in court. Does that view conform to what the parties expressed in the deed? It is a trite rule of interpretation, that in construing the intention of the parties to it, the court must discern the intention from the words in the document. It ascertains the intention of the parties as expressed in the document.

The pertinent portion of the deed reads thus:

> "Now we, Translink (U) Limited:
>
> 1 Do hereby apply that you immediately credit our account with the disputed amount of UShs 20 million.
>
> 2 Do hereby covenant that *in the event of the investigations currently being conducted by the Police Fraud Squad prove conclusively in writing that the said amount of UShs 20 million was never deposited* by Messrs Translink (U) with Nile Bank Limited then

> the said amount shall be treated as an overdraft granted by the Nile Bank Limited to Messrs Translink (U) Limited attracting no interest." (Emphasis mine.)

With the greatest respect to the learned Justices of Appeal, I find that their view of the intention of the parties is not in consonance with the parties' intention as expressed in the deed. The parties did not, expressly or by implication, refer to a final or concluding police report as the basis on which their dispute would be resolved. My reading of the deed is that the stipulated eventuality, upon which the parties agreed the dispute would be resolved, was not a final police report, but rather conclusive proof from the police investigation, that the respondent never deposited the disputed sum on its account. It is upon such proof that the sum of UShs 20 million was to be treated as an overdraft, attracting no interest. To illustrate this point, I think it helps to paraphrase the pertinent sentence in issue thus:

> "*in the event* (*that*) *the investigations … prove conclusively in writing* that the said amount of UShs 20 million was never deposited …" (Emphasis mine.)

It appears to me that the use of the expression "in the event the investigations prove conclusively in writing" the parties plainly meant that the sum of UShs 20 million credited on the respondent's account would be treated as an overdraft if the investigations established that the respondent had not deposited the said sum on its account. Even the respondent's managing director appears to have understood the provision in that way, for in his evidence in chief he described it albeit in converse form, as follows-

> "The (indemnity) document provided that if the police investigation found that the sum of UShs 20 million was actually taken and received by the bank, then it would be my money."

Much as it is a common expectation for police criminal investigations to lead to prosecutions in court, I see nothing in the deed that would compel me to infer that the parties' intention, as expressed in the deed, was to await conclusion of the court prosecution resulting from the police investigation. Admittedly, the deed does not stipulate the mode of determining the conclusive proof. Nor does the deed make it clear in whose writing the conclusive proof was to be. In my view, however, that is not a bar to either party asserting as a fact, at any stage even prior to that fact being proved in court, that the police investigation has proved conclusively that the sum in question, was or was not deposited. What was envisaged in the deed was not a final report after conclusion of the case, but conclusive proof of the fact that the money was or was not deposited. In my opinion, it is immaterial that exhibit P4 was described as a progress report. Clearly, the first, second and fourth reasons relied on by the Court of Appeal were misconstrued. What matters is whether the report constituted conclusive proof in writing that the disputed sum was never deposited on the respondent's account. It is in that context that I proceed to examine the report in contention.

In exhibit P4 dated 5 September 1996, the investigating officer wrote:

> "*Re: Theft and Related Offences*
>
> Reference is made to the above subject matter.
>
> This case was reported here on 17 March 1995 by the managing director of Translink (U) Limited. Inquiries commenced and suspects appeared in Court on 2 May 1995.

> *Brief Facts*- It is alleged that 30 million shillings were taken to Nile Bank on 23 November 1994 by three workers of Translink to be deposited on the account of Company. A deposit slip reading 30 million duly stamped and signed by purportedly the bank and was taken back to the company by the workers confirming the deposit on reconciling the bank statement by the managing director (Translink). It was found that instead of 30 million, 10 million was credited on the account.
>
> *Findings* - The deposit slip (exhibit) from Translink (U) Limited, the specimen of the suspected bank official purported to have signed the deposit slip and the stamp sample from the bank were taken to the handwriting expert for comparison to establish the author of the signature. The handwriting expert report was secured, exonerating the bank, that is to say the stamp impression on the deposit slip (exhibit) was different from the genuine stamp impression of Nile Bank and the author of the signature on the deposit slip was not the same author of the specimen signature of the suspected bank official.
>
> *These findings indicate that the Translink workers banked only 10 million and forged the stamp, signatures of the bank officials, to purport that they banked 30 million*; and this forms the basis for charging them." (Emphasis mine.)

According to this report, the police investigation found proof that the respondent's workers had not banked UShs 30 million, as they claimed, but had banked only UShs 10 million. Basically, the proof so found is the finding by the handwriting expert that the bank pay-in slip which was purported evidence of depositing the larger amount, was forged. In my view, in absence of any contradiction, that would be conclusive proof, albeit circumstantial, that the disputed amount of UShs 20 million was never deposited on the respondent's bank account. The Court of Appeal appears to have taken a different view because of surmising that subsequent to the handwriting expert report there was further investigation that led to employees of the appellant being charged. In the excerpt from the lead judgment reproduced earlier in this judgment, Twinomujuni JA said:

> "Though the first memo claimed that the handwriting expert had exonerated Nile Bank, *the latter memo reveals that further investigation had taken place which led into two employees of Nile Bank to be charged* with the subject matter of the investigation." ." (Emphasis mine.)

With due respect, I think this is another incidence of misconstruing evidence. The first memo alluded to is exhibit P4, dated 5 September 1996, and the latter memo is exhibit P5, dated 9 January 1997. The learned Justice of Appeal construed the two memos as if they were consecutive reports on progress of investigation as at the two dates, meaning that the charging of the appellant's employees alluded to in exhibit P5 was subsequent to the handwriting expert report, and resulted from further investigations carried out between the two dates. The record makes it quite clear that from the beginning of the dispute the employees of both parties were suspected and charged. It is because of that fact that the respondent, through his advocates protested in exhibit P15 dated 24 September 1996, against the content of exhibit P4, as tailored, to favour the appellant. They wrote, *inter alia*:

> "Employees of both Translink (U) Limited and Nile Bank Limited were charged in court and the matter is still subjudice. In fact, one of the employees of Nile Bank Limited jumped bail and there is an arrest warrant for him … There is no mention of these facts in the report which renders it inconclusive."

It seems to me that the memo in exhibit P4 was not intended to be a comprehensive report of all that had transpired in the course of the investigation. It was

written at the prompting of the appellant as is evident from exhibit P8 dated 19 September 1996, in which the appellant informed the respondent:

> "Upon your instructions to close your accounts, the bank rekindled its internal investigation and established that it never received the said amount. *We went further to request the CID Fraud Squad to give us their report touching upon the same matter. The said report was in conformity with the bank's findings. A copy of the said report is attached hereto … for your reference*." (Emphasis mine)

Similarly, the later memo in exhibit P5 dated 9 January 1997 was not written as a comprehensive report of the investigation progress as at that date. It was written in response to the respondent's protest at the omission of details from exhibit P4. In his evidence at the trial, the respondent's managing director said:

> "On receipt of the police report (copy tendered as exhibit P4) I did not agree with its contents and wrote to my lawyers complaining. I instructed the lawyers to write to CID highlighting the various omissions. They did write to CID subsequently we were given another report by the police. It was sent to me by the police directly to our office . . . It is dated 9 January 1997. (Tendered in as exhibit P5)."

Incidentally, the learned Justice of Appeal overlooked this evidence, as well as an endorsement on exhibit P5 suggesting that both parties be given copy thereof, when he observed, in his judgment, that the police never sent to the respondent any report "conclusive, progress or otherwise". Be that as it may, there was no basis for the holding that investigations subsequent to the handwriting expert report led to employees of the appellant being charged. It is obvious to me the sequence was that subsequent to the four suspects being charged, the handwriting expert report "was secured exonerating the bank".

Lastly, on this ground, I have to comment briefly on the submission by the respondent's advocates that no reliance should be put on the handwriting expert report because it was not produced in evidence. I am unable to accept that submission. The available evidence about the expert report is secondary, in that only a summary of its substance was inserted in the investigating officer's memo, exhibit P4. Significantly, however, it was the respondent who tendered that memo in evidence with the consent of the appellant. If the respondent disputed its accuracy or credibility, the onus was on the respondent to adduce cogent evidence to discredit the expert report. No such evidence was adduced. The respondent cannot now turn round and shift the burden onto the appellant, as it were, that it should have adduced better or further evidence of the expert finding.

With the greatest respect I would hold:

1. that it was a misdirection on evidence, on the part of the Court of Appeal, to hold that the indemnity deed could be invoked only after the magistrate's court had given a verdict in the criminal case that resulted from the police investigation; and
2. that the said court erred on evidence to the extent it implicitly held that the police investigation did not conclusively prove that the respondent never deposited the disputed amount on its bank account.

In my opinion therefore, the first ground of appeal ought to succeed.

In view of my holding on the first ground, I find it unnecessary to discuss the merits of the second ground in any detail. Whether or not the prosecution of the suspects in court was concluded would not affect the results of this appeal. I should observe, however, that there is, on record, evidence of Natwaluma

Mubezi Samuel, DW2, to the effect that two bank employees (including himself) and two employees of the respondent were charged and that:

1. he was prosecuted and discharged in 1997 upon the court finding that he had no case to answer, but his co-employee jumped bail before trial;
2. one of the respondent's employees was tried and acquitted and the second also jumped bail.

It is also on record that the efforts made by the respondent and its advocates to obtain the results of the prosecution directly from the police and the Magistrate's Court were fruitless. Even orders made by the High Court on application of the respondent during the trial of this case, first for the Director of CID to produce the police file, and later for Senior Principal State Attorney, Byabakama Mugenyi, of the Directorate of Public Prosecutions, to produce both the police and the Magistrate's Court files, did not produce the desired results. The latter appeared before the court twice to say he could not trace the files. I am unable to understand why in apparent disregard of all that evidence and record, the Court of Appeal held that there was "*a prosecution which from the evidence on record, is not yet concluded*" and ordered that it was in the interest of justice, to both parties, to return to the status before the respondent attempted to close its accounts. With due respect, this is tantamount to failing to resolve the dispute that the parties looked to the court to determine.

In result, I would allow this appeal and set aside the judgment and orders of the Court of Appeal. I would substitute a judgment dismissing the respondent's suit and upholding the appellant's counterclaim for UShs 11 472 681, with interest at the court rate from the date of this judgment till payment in full. I would award costs of this appeal and in the courts below to the appellant.

Odoki CJ, Oder, Karokora and Kanyeihamba JJSC concurred in the judgment of Mulenga JSC

For the appellant:
Mr Byenkya

For the respondent:
Messrs Lwere, Lwanyaga and Company Advocates

Njiru v Raymond
[2005] 2 EA 247 (CAK)

Division:	Court of Appeal of Kenya at Nyeri
Date of judgment:	13 May 2005
Case Number:	259/02
Before:	Omolo JA
Sourced by:	LawAfrica

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[1] Land – Land Disputes Tribunal Act – Whether an appeal from the High Court to the Court of Appeal is allowed.

Editor's Summary

The applicant and the respondent were involved in a land dispute and the same was arbitrated by the Gichugu Land Dispute Tribunal in accordance with section 3 of the Land Disputes Tribunal Act (18 of 1990).

One of them then appealed to the Provincial Appeals Committee at Nyeri, per the provisions of section 8(1) of the said Act. This Committee decided against the applicant, who then, subsequently, appealed to the High Court, under section 8(9) of the Act. He, however, lost and further appealed to the Court of Appeal.

The respondent argued that the Act did not provide for such an appeal to the Court of Appeal.

Held – While the Act does not specifically provide for a right of appeal from the decision of the High Court to the Court of Appeal, section 8(9) does not specifically bar such appeals.

Application allowed.

No cases referred to in judgment

Judgment

Omolo JA: The applicant, Joseph Muriithi Njiru, seeks from me under rule 4 of the Court's Rules,

> ". . . leave to file a notice of appeal and record of appeal out of time from the Ruling of the Commissioner of Assize Honourable CA Omwitsa dated 15 February 2001."

I first heard the motion on 26 October 2004 when I ordered it adjourned so that the applicant could obtain proceedings and certain other documents, which were clearly necessary for the just determination of the motion. Consequent to my order of 26 October 2004 Mr *Kariithi*, learned Counsel for the applicant, has now filed a further affidavit to which he has annexed a certificate of delay, the proceedings and their letter to the deputy registrar at Embu requesting for the proceedings. The decision against which the applicant seeks to appeal, as is clear from the part of the motion I have quoted, was made on 15 February 2001. The applicant's letter to the deputy registrar requesting for proceedings was dated 27 February 2001. That letter was written within thirty days of the date of the decision against which it is proposed to appeal and the letter shows on its face that it was copied to Mr PM *Muchira*, learned Counsel for the respondent, Teresiah Wanja Raymond. The applicant accordingly complied with the requirements contained in the *proviso* to rule 81. Again, the certificate of delay issued by the deputy registrar at Embu shows that the applicant's advocates were not supplied with the proceedings of the superior court until 6 April 2005. In fact the reason for my adjourning the motion on 26 October 2004 was that as at that date the applicant had not obtained the proceedings and it would have been a futile exercise to extend time for him when he did not know the time the appeal would have been filed.

In the circumstances of this application, I am satisfied the delay between 15 February 2001 when the ruling sought to be challenged on appeal was delivered and 30 August 2002 when the present motion was filed, has been satisfactorily explained. The applicant was still looking for the proceedings and there is no allegation or any evidence to show that the proceedings were ready and available but the applicant refused to collect them.

The other ground raised by Mr *Muchira* in opposing the motion was one of law. The decision, against which the applicant wants to appeal, was one made in accordance with the provisions of the Land Disputes Tribunal Act ie Act

number 18 of 1990. The applicant and the respondent are involved in a dispute over some land. Their dispute was arbitrated by the Gichugu Land Disputes Tribunal, in accordance with section 3 of the Act. One of them then appealed to the Provincial Appeals Committee at Nyeri. Such appeals are allowed under section 8(1) of the Act. The Appeals Committee decided against the applicant. The applicant then appealed to the High Court under section 8(9) of the Act. The High Court summarily rejected the appeal under section 79B of the Civil Procedure Act. It appears that the applicant then applied to the High Court to review its decision, summarily rejecting the appeal. Commissioner of Assize Omwitsa rejected the application for review and that is the decision the applicant wishes to appeal against.

Mr *Muchira* says the Land Disputes Tribunal Act does not provide for appeals to this Court and that even if I extend time as requested, it would be an exercise in futility, as the proposed appeal has no chance of succeeding. I am not prepared to rule, as a single judge, that the applicant has no right of appeal under the Act in issue. True, the Act does not specifically provide for a right of appeal from the decision of the High Court to the Court of Appeal but I also notice that section 8(9) does not specifically bar such appeals. Compare this to section 8(8) which specifically provides that:

> "The decision of the appeals committee shall be final on any issue of fact and no appeal shall lie therefrom to any court."

Then section 8(9) provides for appeals to the High Court on matters of law and as I have pointed out that section does not specifically provide that the decision of the High Court on any question of law shall be final. Could decisions of the High Court on points of law be appealable to the court under the provisions of section 75 of the Civil Procedure Act and Order XLII of the Civil Procedure Rules? Again, can a party whose appeal has been summarily rejected under section 79B of the Civil Procedure Act apply to the High Court for a review of that decision under the review provisions of Order XLV?

As I have said I am not prepared to decide these issues as a single judge and I am not prepared to refuse the applicant the extension he seeks on the basis that he has no right of appeal. Accordingly, I allow the notice of motion, dated and lodged in court on 30 August 2002, and I make the following orders:

1. The applicant shall file and serve his notice of appeal within seven (7) days of this ruling;
2. The applicant shall file and serve his record of appeal within twenty-one days from the date the notice of appeal is lodged in court;
3. The applicant shall pay to the respondent the costs of this motion which costs I assess at KShs 5 000, such costs to be paid within thirty days of the date hereof and in the event of failure to pay within the stated time the respondent shall be at liberty to execute for the said costs.

Those shall be my orders in the matter.

For the applicant:
Mr Kariithi

For the respondent:
Mr Muchira

Ole Keiwua v Chief Justice of Kenya and others
[2005] 2 EA 250 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment:	5 August 2005
Case Number:	202/05
Before:	Githinji JA
Sourced by:	LawAfrica

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[1] Judicial review – Right of appeal – Whether a right of appeal existed against directional and procedural orders of court – Section 8(5) – Judicature Act (Chapter 8).

Editor's Summary

The applicant filed a judicial review application, being High Court miscellaneous application number 1298 of 2004 in which the applicant sought orders of *certiorari*, *mandamus*, prohibition relating to matter number 2 of 2004 of the Tribunal to investigate the conduct of certain judges of appeal, published under Gazette Notice number 95 of 6 January 2004. The application was fixed for hearing for three consecutive days. The Honourable Attorney-General, who appeared for the first six respondents, gave a notice to raise a preliminary objection to the judicial review application. When the judicial review application came up for hearing, the applicant drew the attention of the court to affidavits of two persons who were not parties to the application. He also sought leave to file affidavits in reply to the affidavit of counsel for the seventh respondent. He also applied for an adjournment and leave to file a further affidavit. On 14 June 2005, the applicant was given 10 days to respond to the said affidavits. The hearing of the Preliminary Objection was fixed for 21 July 2005. The applicant filed a notice of appeal indicating his intention to appeal against the decision of 14 June 2005. The applicant then filed the notice of motion, dated 14 July 2005, under certificate of urgency asking the court to stay further proceedings of the judicial review application pending the hearing and determination of the intended appeal against the ruling of the superior court, delivered on 14 June 2005.

Held – The orders that the applicant intended to appeal against were procedural and directional in nature. By section 8(5) of the Law Reform Act, there is a right of appeal by a person aggrieved by orders of *certiorari*, prohibition or *mandamus*. There is no right of appeal, without leave from the orders of the superior court which are not prerogative orders.

No cases referred to in judgment

Judgment

Githinji JA: On 14 July 2005, the applicant filed a notice of motion, of the same date, under a certificate of urgency pursuant to rule 47(1) of the Court of Appeal Rules. The certificate of urgency was placed before me and on 15 July 2005 I declined to certify the notice of motion urgent for two reasons thus:

> "1. The application has not been made promptly. The notice of motion was filed on 14 July 2005 a month after the orders and a week before the scheduled hearing of the judicial review application.

2. More importantly, the orders applicant, intends to appeal against are merely directional given after an oral request for directions.

   The orders have not determined any matter raised in the judicial review application. They are not appellable as of right. Leave to appeal has not been obtained."

The certificate of urgency has now been heard *inter partes* for three hours on the informal application of the applicant, under rules 47(5) of the Court of Appeal Rules. It is strenuously opposed by both counsel for respective respondents. Mr *Obwayo*, for the first six respondents, in particular, contends that the notice of motion is frivolous and an abuse of the process of the court as the superior court did not make any justifiable order, which can be appealed against.

There is a pending judicial review application in the superior court viz. High Court miscellaneous application number 1298 of 2004 in which the applicant seeks orders of *certiorari*, *mandamus*, prohibition relating to matter number 2 of 2004 of the Tribunal to investigate the judges of appeal published under Gazette Notice number 95 of 6 January 2004 and laid before the Tribunal under section 62(5) and 64(3) of the Constitution of Kenya, that application was fixed for hearing for three consecutive days from 13 June 2005 before a bench of three judges. The Attorney-General, who appears for the first six respondents in the judicial review application, gave a notice to raise a preliminary objection to the judicial review application. By the preliminary objection, the Attorney-General is contesting the jurisdiction of the superior court to grant prerogative orders against the Tribunal and also against the Honourable the Chief Justice. When the judicial review application came for hearing on 13 June 2005, Mr *Mwenesi*, the learned Counsel for the applicant, drew the attention of the superior court to various matters. First, there were affidavits filed by two persons who were not parties to the application and who were not present in court. The applicant sought directions as to whether he could reply to these affidavits as well as serve the deponents with the application. The applicant also sought leave to file further affidavits or further statements to respond to the affidavit of Mr *Gathenji*, learned Counsel for the seventh respondent, regarding the role of the Attorney-General in the Tribunal. Mr *Mwenesi* further applied for adjournment and for leave to file further affidavit and serve the concerned parties. The application for adjournment was opposed by counsel for the respective respondents.

By the ruling dated 14 June 2005, the superior court commented on the directions sought by the applicant's counsel and concluded:

> "For these same reasons, we allow the applicant to respond there to and do so within ten days (10) from the date of this ruling. Although the applicant fails in all other grounds adduced by Mr *Mwenesi*, we allow the application for adjournment to enable the applicant to respond if necessary, to any new grounds which may have been raised in the affidavits of Stephen ole Ntutu and Sylvester ole Ntutu respectively (*sic*)."

The hearing of the preliminary objection was fixed for 21 July 2005.

The applicant filed a notice of appeal dated 15 June 2005 indicating his intention to appeal against the decision of 14 June 2005.

With that background, the applicant filed the notice of motion in this Court, dated 14 July 2005, under certificate of urgency. By the application the applicant is asking the court to stay further proceedings in the judicial review

application, pending the hearing and determination of intended appeal against the ruling of the superior court delivered on 14 June 2005.

The certificate of urgency was heard *inter partes* on 26 July 2005 in Mombasa. In the meantime, the Attorney-General was heard in full by the superior court on the preliminary objection to the judicial review application on 21 July 2005. The hearing of the preliminary objection was however adjourned to 28 September 2005 when the applicant's advocate is expected to reply to the preliminary objection.

I have considered the submissions of both counsel. I have also reconsidered both the nature of the ruling of the superior court dated 14 June 2005 and of the application sought to be heard urgently.

The applicant, in essence, sought adjournment and leave of the superior court to file further replying affidavits and leave to serve some parties. The superior court allowed the application. The court granted the adjournment sought and leave to file additional affidavits. Indeed, the applicant thereafter filed a 192 paragraph further affidavit sworn on 26 June 2005 pursuant to leave given by the superior court on 14 June 2005. As Mr *Obwayo*, for the first to sixth respondents submitted, the orders that applicant intends to appeal against were largely in the applicant's favour.

Secondly, the orders that the applicant intends to appeal against were procedural and directional in nature. They did not determine any aspect of the pending judicial review application. The superior court did not grant or refuse to grant the orders sought in the judicial review application. By section 8(5) of the Law Reform Act (Chapter 26), there is a right of appeal by a person aggrieved by orders of *certiorari*; prohibition or *mandamus*. Similarly, Order XLII, rule 1(1)(*ee*) of Civil Procedure Rules gives an automatic right of appeal from prerogative orders. The applicant has not, *prima facie*, shown that there is a right of appeal without leave from the orders of the superior court, which are not prerogative orders. Leave of court to appeal has not been obtained. The intended appeal would be incompetent without leave to appeal.

Lastly, the directions sought, and the affidavits filed in the superior court related to the substantive application, namely, the judicial review application. They did not affect the preliminary objection to the judicial review application. The preliminary objection is now partly heard. The preliminary objection, if successful, will finally determine the judicial review application. The prosecution of the application pending in this Court will only be necessary if the preliminary objection is not upheld by the superior court. That event has not occurred.

For those reasons, I am still of the view that the notice of motion is not urgent. The certificate of urgency is thus dismissed, with costs to the respondents.

For the appellant:
Mr Mwenesi

For the first to sixth respondents:
Mr Obwayo

For the seventh respondent:
Mr Gathenji

Otule and another v Uganda
[2005] 2 EA 253 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	2 March 2005
Case Number:	41/03
Before:	Odoki CJ, Oder, Tsekooko, Karokora and Kanyeihamba JJSC
Sourced by:	LawAfrica

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[1] Appellate procedure – Duty of a first appellate court – Re-evaluation of evidence on record – Whether the court had adequately re-evaluated the evidence.

[2] Criminal law – Murder – Deceased attacked and cut with pangas *in broad daylight – Whether the appellants were responsible for the attack and injuries.*

[3] Evidence – Identification – Alibi – Corroboration – Single eyewitness – Whether circumstances suitable for identification – Whether the evidence of the deceased's wife was corroborated.

Editor's Summary

The appellants herein were convicted on a charge of murder and sentenced to death. Evidence was adduced at their trial to the effect that on the night of 17 to 18 March 1999, KZ and his wife, JK, were woken up by one Kifumbo, the LCI Chairman of their village. KZ opened the door and was asked by the Chairman to accompany him to the aid of a villager, who was in need of help. He left with the Chairman but did not return home. The following morning, JK went looking for her husband at Kifumbo's house. She eventually found him at the cells at Buseta County Headquarters where he was being held on suspicion of having assaulted one Gondoko, a brother to the two appellants. Many people were outside the cells, some armed with *panga*s or sticks.

JK testified that after some time KZ was taken out of the cell to be transferred to Tirinyi Police Station but soon after leaving under escort, he was returned to Buseta. Shortly afterwards, a brother of the two appellants arrived armed with a *panga* and metal rod with which he hit KZ. She then saw the appellants set upon the deceased and cut him with *panga*s as he attempted to get up, on the ground that he had assaulted their brother. During the attack, JK got scared and retreated to hide in a disused butchery from where she continued to watch the attack. The attack took place in broad daylight in the presence of eyewitnesses. However, because the appellants were armed, the witnesses failed to intervene to save the deceased. Once the attack was over, the crowd left the scene, as did the appellants. KZ was later taken to hospital where he died. JK then reported the appellants to the police as the people who cut and killed the deceased.

In their defence, both appellants gave sworn evidence denying the offence. The first appellant claimed that at the time of the incident he was attending to his brother who had been attacked by robbers the previous night. The second appellant on the other hand, raised an alibi to the effect that he had been hospitalised between 12 March and 29 March and thus was nowhere near the scene of the crime at the material time. The trial judge found the deceased's wife to be a credible witness and believed the prosecution evidence over that of the defence. She accordingly convicted the appellants. Their appeal to the Court of Appeal was dismissed.

On appeal to the Supreme Court, the first appellant claimed that the Court of Appeal erred in upholding the conviction based on the unreliable and uncorroborated evidence of a single prosecution witness and that it had erred in failing to subject the evidence to a thorough evaluation. The second appellant claimed that the Court of Appeal had erred in deciding that the contradictions and inconsistencies in the prosecution evidence were minor. Counsel for the respondent supported the convictions and argued that the trial judge had been alive to the issue of identification and that there had been no possibility of mistaken identification.

Held – The trial judge's summing up to the assessors left a lot to be desired. She had erred in not directing the assessors about the need for corroboration of JK's evidence nor had she cautioned herself about the need for such corroboration. The Court of Appeal had, however, properly evaluated the evidence and arrived at the correct conclusion on the facts. The first appellant's evidence and explanation as to why he was at the scene was not plausible. Once JK's evidence had been accepted, it was inevitable that the guilt of the two appellants was established beyond reasonable doubt.

The trial court had erred in not properly evaluating the second appellant's evidence of alibi regarding the period he was allegedly hospitalised. However, the Court of Appeal had held that the trial court had been correct in relying on the evidence of the deceased's wife whom it found to be truthful. Moreover, the alleged inconsistencies did not affect her testimony nor did it affect the fact of the deceased's murder on 18 March 1999. Though it was a pity that the prosecution chose to call the barest of evidence in support of its case, there was ample evidence to support the conviction of the appellants.

Appeal dismissed.

No cases referred to in judgment

Judgment

Odoki CJ, Oder, Tsekooko, Karokora And Kanyeihamba JJSC: This is a second appeal arising from the decision of the Court of Appeal which confirmed the appellants' conviction by the High Court, at Mbale, for murder. On 30 November 2002, we heard and dismissed the appeal and promised to give our reasons later. We now give those reasons.

The facts of the case are simple.

The appellants, Otule Ateker Charles (A1) and Isabirye Peter (A2) are brothers. They both lived with the deceased, Kasakya Zubairi, in Bubulange Village, Buseta Subcounty, in Pallisa District. At some point A2 migrated to another village called Namukai.

On the night of 17 to 18 March 1999 while the deceased and his wife, Jamila Kantono, (PW1) were sleeping, one Henry Kifumbo, an LCI Chairman of their village, called out the name of the deceased from outside. Upon realising that it was the Chairman calling, the deceased opened the door of his house. Kifumbo entered the house but declined to take the seat that was offered by the deceased. Instead, he told the deceased that a resident on the village had a problem and that fellow villagers had refused to answer his alarm and yet there was need for help. Kifumbo did not disclose what the problem was nor who

the resident was. The deceased left his home in the company of Kifumbo and never returned home that night.

In the morning PW1 decided to look for the deceased in the home of Kifumbo, there she learnt that the deceased had, in fact, been taken to Buseta Subcounty Headquarters. PW1 went there in search of the deceased. On the way, she learnt that the deceased was one of the people suspected to have assaulted one Gondoko, a brother of the two appellants. The deceased was by then detained in the cells at Buseta Subcounty Headquarters. Upon arrival she found many people outside, some of whom were armed with *panga*s or sticks. The deceased was taken out of the cell so that he could be escorted to Tirinyi Police Station by one Magino, a Defence Secretary of the LC1. Magino carried the deceased on a bicycle. Strangely the two appellants also followed while riding a bicycle peddled by A1. Soon after, Magino and the deceased returned again followed by the two appellants. At 10:00am, a brother of the two appellants called Otule appeared at the scene armed with a *panga* and a metallic rod, with which he hit the deceased. The deceased fell to the ground. When the deceased attempted to get up, the two appellants set upon him and cut him many times in the face, on the back and head using *panga*s, while asserting that he had assaulted Gondoko. PW1 was then standing about only 10 paces away from where the deceased was being assaulted. Because the appellants were armed with and were welding *panga*s, people who were around feared to intervene to save the deceased.

During the process of the cutting of the deceased by the appellants, PW1 became frightened. So she retreated into a disused butchery and continued to watch the cutting of the deceased through a window on the wall of that butchery. The crowd left the scene. So did the appellants.

Later a Mr Labani Kirya, the LC5 Chairman of Pallisa District, arrived at the scene in his car. The chairman took the deceased to Pallisa Hospital. PW1 went to the hospital where she found the deceased had already died and the body was in Pallisa Hospital mortuary. She identified the body to a doctor who carried out the postmortem examination. She reported the appellants to the police, as the people who cut and killed the deceased.

At the trial both appellants gave sworn evidence, in which each denied the offence. According to A1, on the night of 17 March 1999 while he was at his home he learnt that his brother called Odidi Clement, who lived 2 km away, had been attacked. He went to Odidi's home where he discovered that Odidi had fled from his home to a neighbour's home where A1 traced him. Odidi, who had sustained a cut wound, was unconscious. A1 was assisted by three other people to take Odidi to Buseta Health Centre where Odidi was treated, before he regained consciousness. Odidi informed A1 that the deceased was among the people who broke into his house and assaulted him. Later A1 reported the assault of Odidi to LCS and DISO. In course of the day, A1 learnt that the deceased had been arrested and had been taken to Buseta Subcounty Headquarters. A1 visited Buseta Headquarters and discovered that the deceased had been detained there, inside a cell.

A1 proceeded to report the assault of Odidi to Tirinyi Police Station, where he was authorised to take Odidi to Pallisa Hospital. While he was at Pallisa

Hospital attending to Odidi, the deceased was taken there 3 hours later and died later the same day. A1 was arrested on 13 July 1999 from his home.

On the other hand, A2 testified that he lived in Nanoko Village, Ririnyi Subcounty. He denied knowledge of PW1 and of the deceased. He denied the offence and raised an alibi to the effect that on 12 March 1999 he was admitted in Ngora Hospital where he stayed till 29 March 1999. In other words he was away from the scene of crime at the material time. He was arrested by the police on a certain night at 4:00 am.

The trial judge believed the prosecution evidence and disbelieved the appellants whom she described as liars. She found PW1 a credible witness who could not be mistaken about the identification of both the appellants at the scene of crime. The judge convicted them and sentenced each of them to death. Their appeal to the Court of Appeal was dismissed. They have now appealed to this Court. A1's memorandum of appeal contains two grounds while that of A2 contains only one ground. Mr *Kunya*, counsel for A1 argued the two grounds separately. Mr *Mubiru* argued A2's ground of appeal. We will first consider A1's appeal.

The first ground for A1 is formulated as follows:

> The learned Justices of Appeal erred in law and fact in upholding the conviction of the appellants on the basis of the unreliable and uncorroborated evidence of the single identifying prosecution witness.

Mr *Kunya*, for A1, submitted that the evidence of Kantono, PW1, the only identifying witness was unreliable and was not corroborated. He contended that the trial judge neither warned herself nor the assessors of the possibility of mistaken identification of A1 by Kantono. That evidence on record shows that there was a crowd of people and therefore PW1 must have had to crane her neck in order to see what was taking place (*sic*). He contended that the Court of Appeal did not properly consider the negative factors in this case.

Mr *Wagona*, PSA, supported the decisions of the two courts below. He submitted that the trial judge was alive to the issue of identification and argued that there was no possibility of mistaken identification of the two appellants by PW1. In effect, he argued that except for the three brothers, the crowd was not violent and there is no evidence that any other person assaulted the deceased, therefore the two courts were correct in relying on the evidence of PW1.

The first ground of appeal in this Court was in effect the first ground of appeal in the court below. In that court Mr Wandera Ogalo, who represented the appellants, in effect made submissions similar to those made before us. He there contended that circumstances were not ideal for correct identification; that the mob could have obstructed Kantono's view of what took place. So there was a possibility of mistaken identification of the two appellants.

In their judgment, the Justices of Appeal stated this in respect of identification:

> "We have in particular considered the evidence of PW1, who was the only identifying witness. We are satisfied that her evidence could not be anything but the truth. All requirements of proper conditions for correct identification were present. The offence was committed in broad daylight at 10:00am. The appellants were village mates of the witness (PW1) and had been known to her for a long time. The incident

> itself took a reasonable time to enable PW1 determine who had assaulted her husband, and who had not participated.
>
> The witness herself was only 10 paces from the scene of the assault. Even when she got frightened and hid herself, it was in an abandoned butchery where she could still see what was going on. We think that her evidence put the appellants at the scene of the crime. We also think that the alibi of the appellants was correctly rejected."

There are some features in the trial judge's summing up and judgment that left a lot to be desired.

In summing up to the assessors, in respect of A1, the judge was rather unfair. She suggested that A1 was a liar because he denied even the most obvious things. She did not, in her summing up, direct the assessors about the need for corroboration of PW1's evidence since PW1 was a single identifying witness. Neither did she caution herself in her judgment on the need for such corroboration of the evidence of PW1.

Be that as it may, we have reviewed the evidence and have considered the submissions of both counsel for the appellant and of the learned Principal State Attorney. We are unable to accept Mr *Kunya*'s speculation that PW1 had to crane her neck in order to observe what took place. There is no evidence to support this.

We are satisfied that the learned Justices of Appeal properly evaluated the evidence and arrived at the correct conclusions on the facts. If any corroboration was required it was provided by A1, who, in his own sworn evidence, stated that he was at the place where the deceased was, on the day the deceased was assaulted. A1's explanation as to why he visited the scene at 7:30am on the fateful day of 18 March 1999 and by coincidence found a crowd of people there is incredible and not plausible. Once PW1, who was at the scene of crime, was believed as a truthful witness, on the facts of this case, it was inevitable that the guilt of the two appellants had been established beyond reasonable doubt. Therefore, A1's first ground must fail. These conclusions would, in fact, dispose of the appeal.

The second ground of appeal for A1 states:

> The learned Justices of Appeal erred in law and fact when they failed to subject the evidence on record to a thorough evaluation and, hence, reached an erroneous decision.

Mr Henry *Kunya*, for A1, again contended, in respect of this ground, that both the Court of Appeal and the trial judge failed to evaluate evidence especially on the arrest and the investigation of the case in as much as A1 was arrested long after PW1 had reported the murder to the police. Such unexplained delays should be held in favour of A1's innocence.

Mr *Wagona*, for the respondent, conceded that there appeared to be a mistake in the date of the arrest of A1 but that is not fatal. However, the learned Principal State Attorney submitted, on credibility of prosecution evidence, that the trial judge found PW1 a truthful witness as opposed to the two appellants whom he found to be liars. The trial judge saw PW1 and the appellants in the witness box and preferred to believe PW1. The Court of Appeal upheld the findings of the trial judge. We think that the two courts were correct. Ground 2 must fail.

The only ground for A2 states that:

> The learned Justices of Appeal erred in law when they decided that the contradictions and inconsistencies in the prosecution evidence were minor.

When arguing the ground, Mr *Mubiru*, counsel for A2, contended that the Court of Appeal did not evaluate the evidence properly and so it did not reach proper conclusions on inconsistencies and various defects. That the courts below only relied on the truthfulness of PW1 to found a case against A2 (*sic*). He pointed out differences in respect of the date of the death of the deceased as reflected in the evidence of the prosecution and on the indictment; he also pointed out lack of date of A2's arrest.

As indicated earlier when discussing A1's grounds of appeal, Mr Vincent *Wagona*, for the respondent, supported the decisions of the two courts below, although he conceded lack of evidence concerning the arrest of A2. He argued that the evidence of Kantono placed A2 at the scene of crime.

On the date of death, Kantono's evidence is definitive. The deceased left home on the night of 17 March 1999. On the following day ie 18 March 1999, he was assaulted and cut with *panga*s by the appellants in her presence. He was taken to Pallisa Hospital where he died the same day. A1 confirmed the death in his evidence and therefore corroborates PW1.

We note that the learned judge did not properly evaluate A2's evidence of alibi especially as regards A2's claim that between 12 March and 29 March 1999 he was hospitalised in Ngora Hospital. We do not accept the view of the learned trial judge that the fact that A2's wife never visited him in hospital is evidence against A2. However, the Court of Appeal held that the trial judge acted properly in relying on the evidence of PW1 whom the judge found to be truthful. The court further agreed with the trial judge in rejecting the alibi. These are two concurrent findings by the two courts on reliability of PW1 and the rejection of the appellants alibi. In spite of the said lapses by the trial judge, we are satisfied that both courts were correct in relying on the evidence of PW1. We are also satisfied that the so called inconsistencies do not affect PW1's testimony nor the fact of the murder of the deceased on 18 March 1999.

We have already held when we discussed ground 1 of A1's memorandum that the evidence of A1 to the effect that on the material day he was at or near the place where the deceased was assaulted corroborates the testimony of PW1 about A1's presence at the scene. It is a pity that the prosecution chose to call the barest of evidence in this case without explaining why, but we are satisfied that there is ample evidence to support the conviction of both appellants. Accordingly, the only ground of A2 must fail.

It was for the reasons we have given that we dismissed the appeal.

For the first appellant:
Mr Henry Kunya

For the second appellant:
Mr Mubiru

For the respondent:
Mr Vincent Wagona

Raytheon Aircraft Credit Corporation and another v Air Al-Faraj Limited
[2005] 2 EA 259 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	8 July 2005
Case Number:	29/99
Before:	Tunoi, Githinji and Onyango-Otieno JJA
Sourced by:	LawAfrica

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[1] Jurisdiction – Choice of law and exclusive jurisdiction clauses – Whether the High Court of Kenya can assume jurisdiction by virtue of section 60 of the Constitution – Procedure of objecting to court jurisdiction in Kenya.

Editor's Summary

By lease purchase agreement dated 2 December 1997, the first appellant, a company incorporated under the laws of Kansas in the United States of America, leased to the respondent, a company duly incorporated in Kenya under the provisions of the Companies Act, an aircraft under the terms and conditions provided in the agreement. The respondent took possession of the aircraft in January 1998. On or about 19 June 1998 the second appellant, purporting to be acting on behalf of the first appellant and without informing the respondent and without due authority and legal cause flew the said aircraft out of the jurisdiction of Kenya to South Africa. The respondent, therefore, filed suit against the appellants. The appellants filed a defence in which they blamed the respondent for breach of the terms of the lease agreement. Alongside the plaint, the respondent filed an application by way of chamber summons under which an order was granted restraining the appellants jointly and severally from deregistering from Kenya Register, the subject aircraft (*sic*). When the application came for *inter partes* hearing, the basic ground of opposition raised by the appellants was that the court had no jurisdiction with respect to the matters, the subject of the application and suit since the agreement had a clause providing that it shall be governed by and construed in accordance with the law of the state of Kansas.

Held – Section 60(1) of the Constitution of the Republic of Kenya does not authorise the High Court to disregard private international law on the status of the choice of law and exclusive jurisdiction clauses in international commercial agreements and assume jurisdiction over persons outside Kenya.

The High Court assumes jurisdiction over persons outside Kenya by giving leave on application by a plaintiff, to serve summons or notice of summons, as the case may be, outside the country under Order V, rule 23 and after such summons are served in accordance with the machinery stipulated therein.

Even if the High Court assumes jurisdiction over a foreign defendant by granting leave to serve summons or notice of summons outside Kenya, the foreign defendant is entitled to challenge the jurisdiction of the High Court.

Where parties have bound themselves by an exclusive jurisdiction clause, effect should ordinarily be given to that obligation unless the party suing in the non contractual forum discharges the burden cast on him by showing strong reasons for suing in that forum – *Donohue v Armo INC* [2002] 4 LRC 478, *The*

Eleptheria [1969] 2 All ER 641 and *United India Insurance Co Ltd v East African Underwriters* (*Kenya*) *Ltd* [1985] KLR 898 followed.

There are no rules of the court prescribing the procedure for challenging the jurisdiction of the High Court by a foreign defendant, who has been sued in this country in breach of contractual forum selection and the exclusive jurisdiction clause. The procedure used, is to enter a conditional appearance and then move the court for setting aside the process. Other accepted procedures are to enter appearance under protest and move the High Court for orders to stay proceedings, or, to file a defence under protest, file an application for stay or proceedings or striking out of proceedings and raising a preliminary objection to the suit before trial – *Prabhadas* (*N*) *and Co v Standard Bank* [1968] EA 679, *United India Insurance Co Ltd v East African Underwriters* (*Kenya*)*] Ltd* [1985] KLR 898, *Fonville v Kelly III and others* [2002] 1 EA 71 approved.

Obiter – the rules committee should promulgate appropriate comprehensive rules of procedure to facilitate litigation in this area.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Fonville v Kelly III and others [2002] 1 EA 71 – **APP**

Karachi Gas Company Ltd v Issaq [1965] EA 42

Pattni v Ali and others High Court Civil case number 418 of 1998, (UR)

Prabhadas (*N*) *and Company v Standard Bank* [1968] EA 679 – **APP**

United India Insurance Company Ltd v East African Underwriters (*Kenya*) *Ltd* [1985] KLR 898 – **APP** and **F**

United Kingdom

Donohue v Armo Inc [2002] 4 LRC 478, HL – **F**

The Eleptheria [1969] 2 All ER 641 – **F**

Judgment

Githinji JA: The facts giving rise to this appeal are simple and not largely in dispute. They may briefly be stated as follows. By a lease purchase agreement dated 2 December 1997, the first appellant, Raytheon Aircraft Credit Corporation(Raytheon), a company incorporated under the Laws of Kansas, United States of America, leased to the respondent, Air Al-Faraj Limited, a company duly incorporated in Kenya under the provisions of the Companies Act Chapter 486 Laws of Kenya, an aircraft (Model Beechcraft 1900_0 serial number UC-144) Kenyan Registration Number 5Y BND, under the terms and conditions provided therein.

The respondent then took possession of the said aircraft in January 1998. It is pleaded that on or about 19 June 1998 the second appellant purporting to act

on behalf of the first appellant and without informing the respondent and without due authority and legal cause flew the said aircraft out of the jurisdiction of this Court and took it to South Africa.

It is the respondent's case that it fulfilled and observed all the covenants of the contract and was not in breach of any term of the lease agreement. It is averred that the appellants were in breach of the lease purchase agreement and claimed against them its rights to operate and have possession of the aircraft.

The prayers sought in the plaint are:

1. A mandatory injunction compelling the defendants to return the aircraft to the jurisdiction of the court and to the lawful custody and possession of the plaintiff.
2. A permanent injunction restraining the defendants their agents, servants from selling, disposing of, charging, leasing, deregistering or in any way interfering with the plaintiff's right over the aircraft.
3. A declaration that the defendants in allegedly repossessing the aircraft were not entitled to repossession in law.

The appellants filed a defence in which they have instead blamed the respondent for breach of the terms of the lease agreement.

Alongside the plaint, the respondent filed an application by way of chamber summons under which an order was granted restraining the appellants jointly and severally from deregistering from Kenya Register the Aircraft the subject matter of the suit. The application was then listed for hearing *inter partes* before the superior court and the basic ground of opposition raised by the appellants was that that court had no jurisdiction with respect to the matters, the subject of the application and suit. The appellants, in canvassing their preliminary objection, grounded their submissions on clause 15:1 of the lease purchase agreement which provides:

> "15:1 Law and Jurisdiction: This agreement shall be governed by and construed in accordance with the law of the State of Kansas in relation to any dispute arising out of or in connection with this agreement lessee hereby, irrevocably and unconditionally, agrees that all legal proceedings in connection with this agreement shall be brought in the United States District Court for the District of Kansa located in Wichita, Kansas, or in the Eighteenth Judicial District Court of Sedgwick County, Kansas and lessee waives all right to a trial by jury provided however, that lessor shall have the option, in its sole exclusive discretion, in addition to the two courts mentioned above, to institute legal proceedings against lessee for repossession of the aircraft in any jurisdiction where the aircraft may be located from time to time, or against lessee for recovery of monies due to lessor from lessee, in any jurisdiction where lessee maintains, temporarily or permanently, any assets. The parties hereby consent and agree to be subject to the jurisdiction of all the aforesaid courts and, to the greatest extent permitted by applicable law, the parties hereby waive any right to seek to avoid the jurisdiction of the above courts on the basis of the doctrine of f*orum non conveniens*."

Mr *Muigai*, then acting for the appellants in the superior court, submitted that the lease purchase agreement having been executed by both the respondent and the first appellant it followed that *prima facie*, the above clause, *inter alia*, is binding on the parties. He further contended that the respondent, having waived all rights to bring an action in any other jurisdiction, renders the suit

incompetent. Mr *Muigai* argued that the institution of the suit violated the contract between the parties and is an abuse of the process of the court.

In countering the preliminary objection Mr *Ahmednasir*, for the respondent, submitted that the jurisdiction of the superior court, as conferred by section 60 of the Constitution of Kenya, cannot be limited by a contract between two parties and even by an act of Parliament. He averred that the contract was one-sided and that the choice of law and forum was forced onto the respondent. He maintained that there was no arms-length negotiation and there cannot be said to have existed freedom of contract considering the business position of the first appellant *vis-à-vis* that of the respondent.

The learned Judge, j,in overruling the preliminary objection raised by the appellants, held:

> "Earlier in this ruling I set out in full clause 15:1 of the lease purchase agreement. While the said clause imposed a total waiver of all rights on the part of the plaintiff as to choice of law and forum, the first defendant gave itself unlimited jurisdiction thereof. The terms thereof appear with respect to be tinctured with oppression. There (*sic*) being preliminary proceedings, I say no more. Suffice it to say that taking into consideration the facts herein, the attendant circumstances and above all, the provisions of section 60(1) of the Kenya Constitution, I find and hold that this Court has jurisdiction to hear and determine this suit.
>
> Accordingly, the preliminary objection is hereby dismissed with costs to the plaintiff."

The grounds of appeal before us are directed against the learned Judge's decision that, firstly; the choice of law and choice of forum clause in the lease agreement between the parties was tinctured with oppression when there was no evidence on record in support thereof; and secondly, that the original jurisdiction of the High Court under section 60 of the Constitution overrides choice of jurisdiction clauses under all circumstances.

Indeed, the respondent averred in paragraph 11 of the plaint:

> "This Honourable Court being a creation of the Kenyan Constitution which is the supreme law of the land has absolute jurisdiction to determine the dispute, the provision of the lease agreement notwithstanding."

Mr *Ahmednasir* submitted in the superior court and the learned Judgej agreed with him that section 60(1) of the Constitution which gives the High Court unlimited jurisdiction in both civil and criminal matters is peculiar to our jurisdiction and that a written contract between the parties cannot supersede the express provision of the Constitution. This Court considered that issue of jurisdiction in Civil application number Nairobi 326 of 1998 *Raytheon Aircraft Credit Corporation and another v Air Alfaraj Limited* when dealing with an application for stay of proceedings in the superior court pending this appeal and said in part:

> "The learned Judge'sj reliance on what Kuloba J said in the case of *Pattni v Ali and others* High Court Civil case number 418 of 1998, (UR) as regards High Court's jurisdiction as donated by section 60(1) of the Constitution was in our view, out of place and not germane to the issue before him. Convenience of the plaintiff, alone, in choosing his forum cannot, by itself, oust a jurisdiction and the applicable law clause. Strong cause must be shown to justify a departure from and applicable law clause, and the onus of showing such strong cause lies on the plaintiff."

I do not, with respect, agree with the construction given by the superior court to section 60(1) of the Constitution. That section does not authorise the High Court to disregard private international law on the status of the choice of law

and exclusive jurisdiction clauses in international commercial agreements and assume jurisdiction over persons outside Kenya.

The law on the jurisdiction of the High Court over foreign defendants in a contractual dispute was correctly stated by the predecessor of this Court in *Karachi Gas Company Ltd v Issaq* [1965] EA 42, which case was recently applied by the High Court in *Fonville v Kelly III and others* [2002] 1 EA 71. The first appellant, Raytheon, is a foreign corporation incorporated under the laws of Kansas, USA, and having its registered office in Kansas. It was not trading within the jurisdiction by a subsidiary company at the time it was used and it is not domiciled in Kenya. In such a case, the High Court will not assume jurisdiction in relation to any matter arising from the contract unless the contract is of the nature specified in Order V, rule 21(*e*) Civil Procedure Rules, that is, *inter alia*, the contract is made in Kenya or if it is governed by the Laws of Kenya or if a breach of contract is committed in Kenya. The High Court assumes jurisdiction over persons outside Kenya by giving leave, on application by a plaintiff to serve summons or notice of summons, as the case may be, outside the country under Order V, rule 23 and after such summons are served in accordance with the machinery stipulated therein. In this particular case, as the USA is not a Commonwealth country, service on the first appellant, if leave was given, could only have been through diplomatic channel under Order V, rule 27.

The record does not show, nor is it contended, that the respondent moved the High Court for leave to serve the first appellant outside the jurisdiction and that such leave was given. It follows that at the time the objection to jurisdiction was made, the High Court had not been moved to assume jurisdiction over Raytheon and had not in fact assumed jurisdiction over Raytheon. Thus, there cannot be any question that Raytheon was not amenable to the jurisdiction of the High Court and the objection to jurisdiction should have been allowed on this ground alone.

Moreover, even if the High Court assumes jurisdiction over a foreign defendant by granting leave to serve summons or notice of summons outside Kenya, the foreign defendant is still entitled, as it happened in this case, to challenge the jurisdiction of the High Court. The first appellant based the objection to the jurisdiction on the choice of law and exclusive jurisdiction clause in the agreement. According to the choice of law and the exclusive jurisdiction clause, the proper law of contract in dispute is the law of the State of Kansas. The agreement has named two courts in the State of Kansas which have jurisdiction over the agreement. By the same clause, the parties waived any right to seek to avoid the jurisdiction of the two courts on the basis of the doctrine of *forum non conveniens*.

The general rule is, that, where parties have bound themselves by an exclusive jurisdiction clause effect should ordinarily be given to that obligation unless the party suing in the non contractual forum discharges the burden cast on him of showing strong reasons for suing in that forum (*see Donohue v Armo Inc* [2002] 4 LRC 478, HL; the *Eleptheria* [1969] 2 All ER 641, *United India Insurance Company Ltd v East African Underwriters* (*Kenya*) *Ltd* [1985] KLR 898.

The learned Judge jgave two reasons for declining to enforce the exclusive jurisdiction clause, first that the aircraft the subject matter of the agreement of

lease had been registered in Kenya and secondly, because the exclusive jurisdiction clause gave Raytheon unlimited jurisdiction and the terms appeared to be tinctured with oppression. On the question of the exclusive jurisdiction clause being oppressive to the respondent, the learned Judge evidently had no sufficient material on which he could decide the issue. There was no affidavit evidence to show the full circumstances under which the agreement was made. It was a complex agreement between two companies involving the lease of an aircraft, a very expensive asset. Raytheon only reserved jurisdiction to sue in a non – contractual forum on two matters, that is to sue for repossession of the aircraft in the jurisdiction where it may be located and to sue for any monies due in the jurisdiction where the respondent may have assets. It is not, therefore, entirely correct to say that Raytheon gave itself unlimited jurisdiction to sue over the agreement in any jurisdiction. Although the aircraft was registered in Kenya after it was delivered to the respondent, it had already been removed from the jurisdiction by the time the suit was filed. There is a further relevant matter that the learned Judge did not consider. The Raytheon's counsel, Peter Obonyo Mboya, deposed that Raytheon had on 15 July 1998 commenced civil proceedings in Kansas against the respondent and served on the respondent's process agent under the agreement and annexed a petition dated 15 July 1998. He deposed further that the Kansas proceedings were commenced before the proceedings in the High Court and that respondent's claim in the High Court should be made as a counterclaim in the Kansas proceedings. The petition shows that, amongst the relief sought by Raytheon in Kansas proceedings against the respondent and two others were declarations that that respondent had breached the agreement: that Raytheon was entitled to treat the breach as a repudiation of the lease agreement and to terminate the letting; that Raytheon had a right to repossess the aircraft and that the Kansas court had exclusive jurisdiction in the dispute, to the exclusion of any other court.

The learned Judge did not take into account the existence and the nature of the Kansas proceedings nor consider the risk of parallel proceedings and inconsistent decisions if the forum selection and the exclusive jurisdiction clause was not enforced. The respondent did not show strong reasons why it should sue in Kenya. I am satisfied, that in light of the above circumstances, the learned Judge did not exercise his discretion properly and as a result arrived at a wrong decision. Thus, there are good grounds for interfering with the judge's exercise of discretion.

Lastly, Mr *Ahmednasir* contended that since the appellant did not file a formal application for stay of proceedings, it cannot competently challenge the jurisdiction of the court through a preliminary objection. Mr *Mugambi*, for the appellant, on the other hand, submitted that the appellant had asked for stay of proceedings in the amended notice of preliminary objection and that since there is no provision in our law for filing a formal application for stay of proceedings, a point of jurisdiction can be entertained without a formal application. The point raised by the respondent's counsel was again considered by this Court in the application for stay of proceedings in *Raytheon Aircraft Credit Corporation and another v Air Alfaraj Limited* (*supra*) where the court stated:

> "A preliminary objection consists of a point of law which has been pleaded or which arises by clear implication out of a pleading or an application before the court and which, if argued as a preliminary point, may dispose of the suit . . . The superior court obviously had the jurisdiction to decide the preliminary point as, if successful, it could

> have gone to the very root of the matter. Whilst it would be prudent to make a formal application, the High Court has, nevertheless, jurisdiction to hear arguments and rule on a point such as was taken in the superior court."

It is true that the appellant, by paragraph 3 of the amended notice of preliminary objection, asked that the proceedings be stayed.

There are no rules of the court prescribing the procedure for challenging the jurisdiction of the High Court by a foreign defendant who has been sued in this country in breach of contractual forum selection and the exclusive jurisdiction clause. The procedure suggested by the predecessor of the court in *Prabhadas* (*N*) *and Company v Standard Bank* [1968] EA 679 at 684 paragraphs C-E, is to enter a conditional appearance and then move the court for setting aside the process. In *United India Insurance Company Ltd* (*supra*) the defendants entered appearance under protest and moved the court for orders to stay proceedings. In *Fonville* case (*supra*) the High Court said that the filing of a defence under protest, the filing of an application for stay of proceedings or striking out the proceeding and the raising of a preliminary objection to the suit before trial are lawful means of challenging the jurisdiction of the court (*see* 78 paragraphs I-J). In this case, the appellant had pleaded in the defence that the court did not have jurisdiction in view of the exclusive jurisdiction clause and raised a preliminary objection to the suit on account of jurisdiction at a very early stage in the proceedings.

I would reiterate what this Court said in the application for stay of proceedings (*supra*), that the High Court had jurisdiction to hear argument and rule on the point of jurisdiction.

However, the procedures to be followed in this important area of litigation should no longer be left uncertain. I would recommend to the Rules Committee that appropriate comprehensive rules of procedure to be urgently promulgated to facilitate the administration of justice.

For the foregoing reasons, I would allow the appeal and set aside the orders of the superior court and substitute therefore, an order that the High Court has no jurisdiction to hear and determine the suit; an order allowing the appellant's preliminary objection with costs and an order that the suit in the superior court is stayed. Costs of this appeal to the appellants.

Onyango-Otieno and Tunoi JA concurred in the judgment of Githinji JA.

For the appellant:
Mr Mugambi

For the respondent:
Mr Ahmednasir

Republic ex parte Thuo and another v The Principal Magistrate's Court at Githunguri and another

[2005] 2 EA 265 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	8 July 2005
Case Number:	491/04
Before:	Nyamu J
Sourced by:	LawAfrica

[1] Tea –The law governing tea in Kenya – Whether a permit is necessary to transport tea – Whether there is any offence as transporting tea without a permit.

Editor's Summary

The applicants, who were tea growers in Githunguri, Kiambu District, were charged with the offences of transporting tea contrary to section 13A 1(*b*) of the Tea Act (Chapter 343) Laws of Kenya as read with section 16(*b*) of the Tea Amendment Act of 1999. The applicants commenced proceedings seeking orders of prohibition against the Attorney-General and the Kenyan police by prohibiting them from preferring any charge against or prosecuting the applicants in the matters before the lower court. They further sought to prohibit the magistrate at Githunguri from hearing, continuing to hear or determining the cases against the applicants. The applicants' contention was that they were registered growers with Karirana Tea Factory and that the complaints levelled against them were made by a rival factory called Kambaa Tea Factory and, therefore, the police were being used to harass them so that they could instead register with Kambaa Tea Factory. The respondents, on the other hand, claimed that the applicants had been charged with offences known to law and that a permit was required in each of the applicant's cases and the applicants had been arrested after failing to produce the permits.

Held – The Tea Act (Chapter 343) was amended in 1999 by the Tea (Amendment) Act number 6 of 1999.

Following the deletion of section 13A b(ii) by the Tea (Amendment) Act 1999, the regulations that had been alluded to in subparagraph b(ii) of section 13A must have been impliedly repealed since regulations must have as their basis a provision in the parent act and cannot exist on their own.

The requirement of a permit to transport tea were impliedly repealed by the Tea (Amendment) Act of 1999 and a breach of such requirement cannot constitute an offence not defined under the parent act.

It is a cardinal principle of the rule of law that a person can only be charged with breaches of law in ordinary courts or with nothing else.

Application allowed.

No cases referred to in judgment

Judgment

Nyamu JA: In this matter the two applicants who are tea growers in Githunguri Kiambu District were charged in a Githunguri Court in *R v James Kahuha Thuo* 383 of 2004 and *R v Margaret Muthoni Ngugi* 460 of 2004 with offences of transporting green tea contrary to section 13A(1)(*b*) Chapter 343 of Laws of Kenya as read with section 16(*b*) of the Tea Amendment Act of 1999.

The application dated 14 May 2004 seeks orders of prohibition against the Attorney-General and the Kenyan police by prohibiting the preferring any charges against or prosecuting the applicants in the two cases.

It also seeks an order of prohibition against the principal magistrate or any other magistrate at Githunguri from hearing, continuing with the hearing or determining the case or any charge against the applicants in the two cases.

The third order sought is an order of *certiorari* to remove and quash any judgment, order conviction or other proceedings in Githunguri Principal Magistrate's Court in the criminal cases described above.

And finally a declaration that no licenses or permits are required to grow or transport tea by virtue of section 8 of the Tea Act Chapter 343 of the laws of Kenya as amended by the Tea (Amendment) Act of 1999.

Both applicants claim to be registered growers with Karirana Tea Factory and claim that the charges preferred against them arose from a complaint made by a rival factory called Kambaa Tea Factory and that the police are being used to harass them so that they can instead register with Kambaa Tea Factory.

They claim that there is an error of law, in that, after the amendment of the Tea Act Chapter 343 by The Tea (Amendment) Act of 1999 number 6 of 1999 no permits or licenses are required to be issued by the Tea Board or any other regulatory authority for planting or transportation of tea.

The two applicants were also charged without taking any statements or giving them any hearing whatsoever and that the criminal charges were motivated by malice and were preferred for a purpose other than the spirit of the administration of justice, criminal law and the Constitution and they constitute an infringement of applicants' right to liberty and equal protection of law. They also claim that the police used their power arbitrarily and without justification.

The respondents claim *inter alia*, through an affidavit of Stephen Ringera, an Inspector of police:

1. That the applicants have been charged with known offences and that the applicants were transporting tea leaves to factories other than their designated factory by using unauthorised vehicles.
2. They claim that a permit was required in each case and they only arrested the two applicants after failing to produce a permit.

Counsel for each party have also made brief submissions emphasising on the above points.

It is common ground that the Tea Act Chapter 343 was amended in 1999 by the Tea (Amendment) Act number 6 of 1999.

The first applicant has been charged with the offence of transporting tea without a permit contrary to section 13A(1)(*b*) as read together with section 16 of the Tea (Amendment) Act of 1999.

The second applicant has similarly been charged with an offence contrary to section 13A(1)(*b*) as read together with The Tea (Amendment) Act section 16.

Section 16 of the Tea (Amendment) Act of 1999 deleted completely subparagraph (*b*)(ii) of section 13A, which previously read:

(*a*) "buys, sells, exposes for sale, transports or has in his possession any tea which to his knowledge or belief:

(ii) *is being or has been moved otherwise than in accordance with regulations controlling such movement*."

On the other hand, the regulations which controlled such movement are the Tea (Movement Control) Regulations appearing at 27 of the Tea Act Chapter 343. The regulations required a written permit – *see* regulation 3.

I find that following the deletion of section 13A(*b*)(ii), by the Tea (Amendment) Act of 1999, the regulations referred to in (*b*)(ii) must have been impliedly

repealed because regulations have to have as their base a provision in the parent act and cannot exist on their own.

The Tea (Amendment) Act number 6 of 1999 repealed and replaced section 8 of the Tea Act Chapter 343 by the enactment of a new section 8 which reads:

> 8(1) "Every tea grower shall upon the commencement of this section, register with the tea factory to which he delivers green leaf, by supplying such particulars as the Board, may in regulations prescribe."

Since it is not in dispute that the applicants are registered with Karirana Tea Factory the complaint by Kambaa Tea Factory does not have any basis in law unless it was designated as the factory to which the applicants must deliver the green leaf. No such designation has been shown to the court or any supporting regulations on transportation or on designated vehicles.

Similarly the provision under section 13A(*b*)(ii) regulating movement having been repealed; I find that the requirement of a permit, as per the above regulations, were also repealed and their breach cannot constitute an offence not defined by the parent act. The applicants were charged on 1 March 2004 and 29 March 2004 respectively and the amending act came into force on 14 January 2000.

It is, therefore, irresistible for the court to find that the two applicants have been charged with offences not defined anywhere or with offences not known to law. The court finds that the very act of charging them with non-existent offences is an unlawful act. It is a cardinal principle of the rule of law that a person can only be charged with breaches of law in ordinary courts and with nothing else. Any attempt to charge a person otherwise is an infringement of the rule of law and the Constitution specifically prohibits any conviction, except in respect of contempt under section 77(8) and the *proviso*.

For the above reasons, an order of *certiorari* shall issue in terms of prayer 3 and the record, order or proceedings are hereby immediately removed to this Court and forthwith quashed and orders of prohibition shall also issue in terms of prayer 1 and 2 of the application dated 14 May 2004 (*sic*).

As regards the prayer of declaration in terms of prayer 4 the same is declined because this Court has currently no power to give declarations in judicial review in the face of section 8 and 9 of the Law Reform Act.

I give no order as to costs.

It is so ordered.

For the applicants:
Information not available

For the respondents:
Information not available

Republic v National Environment Management Authority and others *ex parte* Greenhills Investment Ltd and others
[2005] 2 EA 269 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment: 23 May 2005

Case Number: 169/04

Before: Nyamu J

Sourced by: Lawafrica

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[1] Advocate – Advocate's deposition in affidavits – Whether advocate can depone to affidavit on state of court record.

[2] Judicial review – Applicability of Civil Procedure Rules – Whether Order 18 applies to judicial review proceedings.

Editor's Summary

A preliminary objection was taken to the effect that two affidavits in the matter sworn by counsel for the applicant were a nullity and ought to be struck out. The reasons for the objection were that the affidavits did not comply with the provisions of Order XVIII, rule 3 of the Civil Procedure Rules, which stipulates that affidavits ought to be confined to such facts as the deponent is able of his own knowledge to prove, and, the affidavits related to contentious matters and an advocate ought not depone on contentious matters as that was specifically prohibited in the rules made under the Advocates Act.

Held – There can never be a better deponent than an advocate on issues relating to archives or court records, such matters are within an advocate's knowledge.

It is doubtful whether Order XVIII does apply to judicial review proceedings.

There is nothing contentious with an advocate deponing on the state of the court record. Any contention can always be resolved by the court looking at the record and, therefore, the possibility of an advocate descending into the arena of contest are remote.

Objection disallowed with costs.

No cases referred to in judgment

Judgment

Nyamu J: The objection raised in this matter when the application dated 10 May 2004 came for hearing before me is that the two affidavits sworn by Mr *Mwenesi*, the learned Counsel for the applicant are a nullity and ought to be struck out:

(*a*) Because they do not comply with the provisions of Order XVIII, rule 3 which stipulates that affidavits shall be confined to such facts as the deponent is able of his own knowledge to prove

(*b*) Because they relate to contentious matters and an advocate ought not depone on contentious matters as this is specifically prohibited in the rules made under the Advocates Act

The court has considered the submissions of counsel.

As regards the first objection a careful scrutiny of the affidavits indicate that the substance and content of the affidavits substantially relate to the court record or archives. There can never be a better deponent than an advocate on issues relating to archives or court records, such matters are within an advocate's knowledge. I do not think Order XVIII does apply to judicial review and even if it did the objection cannot be sustained for the two reasons given above.

Turning to the second objection I find nothing contentious with an advocate deponing on the state of the court record. Any contention can always be resolved by the court looking at the record and the possibility of an advocate descending into the arena of contest are remote. In the instant case reference is clearly made to the affidavit of Professor Pitt Situma sworn on 7 April 2005, which represents the factual base of the application.

In result, the objections are disallowed with costs to the applicant. Application to be set down for hearing on merit.

For the appellant:
Mr Mwenesi

For the respondent:
Information not available

Salasia v Muchira and others
[2005] 2 EA 270 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	10 June 2005
Case Number:	188/04
Before:	Omolo, Waki and Deverell JJA
Sourced by:	Lawafrica

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[1] Appeal – Striking out notice of appeal and appeal itself – Application to be made within 30 days of service.

Editor's Summary

The intended respondent in the main appeal applied for an order that the notice of appeal filed by the intended appellants be struck out. On the face of it, the notice of appeal had been served four (4) days outside the period allowed under rule 76(1) of the Court of Appeal Rules. The application to strike out the notice of appeal was, however, filed about one year and eight months after the offending notice of appeal was served.

Held – If a person affected by an appeal shows to seek to strike out the notice of appeal or the appeal

or either of them, such person is at liberty to do so but only within 30 days of service (*sic*).

Application dismissed.

No cases referred to in judgment

Judgment

Omollo, Waki and Deverell JJA: The application before us is a non-starter. It is a notice of motion taken out by the intended respondent in the main appeal (who was the plaintiff before the superior court) for an order that the notice of appeal filed by the intended appellants (the original defendants) on 1 November 2002 be struck out. The filing of the notice of appeal was timeous since the judgment of the superior court was delivered on 23 October 2002. It is common ground, however, that service of the notice of appeal was made on 11 November 2002 which, on the face of it, is four days outside the period allowed under rule 76(1) of this Court's rules. The application to strike out the notice of appeal was, however, filed on 28 July 2004, about 1 year 8 months after the offending notice of appeal was served.

The applicant said nothing about the rule under which this application was taken out and it is not stated on the face of the application. But the court drew the attention of learned Counsel for the applicant, Mr *Ombete*, to rule 80 as amended on 4 July 2002, and sought his submissions thereon. The rule states:

> "80 A person affected by an appeal may, apply to the court to strike out the notice of appeal or the appeal, as the case may be, on the ground that no appeal lies or that some essential step in the proceedings has not been taken or has not been taken within the prescribed time:
>
> Provided that an application to strike out a notice of appeal or an appeal shall not be brought after the expiry of thirty days (30) from the date of service of the record of appeal on the respondent"

It was Mr *Ombete*'s view, the rule and the *proviso* thereto notwithstanding, that the application to strike out can be made at any time since the limitation under the *proviso* relates to the main appeal only. In the matter before us, he submitted, no appeal has been filed 3 years after service of the notice of appeal and it may take yet another long while before the appeal is heard and determined. That is why the applicant has made the application since the delay is prejudicial.

For his part, learned Counsel for the respondent, Mr *Kiogora*, submitted that there was no delay in serving the notice of appeal, reasoning, as he did, that weekends, and the day an event happens, are "excluded days" under the provisions of rule 3 of the rules of this Court. The provisions of that rule relate to computation of time and are extracted word for word from section 57 of the Interpretation and General Provisions, Act Chapter 2, Laws of Kenya, with only one exception; that is the amendment made to the section by Act 11 of 1993 to include "all official non-working days" as part of the excluded period. In neither provision, however, is it stated that all weekends are an excluded period and we are in no doubt that Mr *Kiogora* placed an erroneous construction to the rules.

The only valid point raised by Mr *Kiogora* was that the *proviso* to rule 80 was applicable to both the notice of appeal and the appeal. It plainly must be so from the logic of it, although the wording could have been, expressly, better put (*sic*). The starting point is the mischief that the amendment of the rule was intended to address. And that was the practice by parties, either by design, negligence or pure inaction, waiting for days, months or even years until the very minute when the appeal is called out for hearing, only to seek the striking

out of either the notice of appeal or the appeal or both. Apart from the element of surprise to the appellant, it was disruptive of the court's time and the calendar for conduct of its core business. The former rule 80 gave express sanction for applications of such nature to be made "at any time" by any person on whom a notice of appeal had been served. Rule 101(*b*) which applies at the hearing of the appeal and which is intended to deter a respondent from objecting to the competence of an appeal on grounds that could have been raised under rule 80, did not seem to address the mischief fully as it leaves the court with a discretion. And so it was, that if a person affected by an appeal chose to seek to strike out the notice of appeal or the appeal or either of them, they were free to do so under the amended rule, but only within 30 days of service. If it was an application in respect of the notice of appeal, then the challenge should be made within 30 days of service thereof. If it was the appeal itself, the same limitation applies. We cannot readily cite specific cases, but we are aware that this Court has rejected many applications, similar to the current one, on that basis. At all events, the *proviso* to the rule refers to service of the record of appeal which by definition is a reference to both the notice of appeal and the main appeal as provided for under rule 85 of the rules. We are in no doubt that the intendment of the amended rule 80 was to limit the period within which challenges to a record of appeal, including a notice of appeal, may be made and it is clear to us that the application before us is not in compliance with the rules of this Court. It is for dismissal and we so order costs of the application to the respondents.

For the appellant:
Mr Ombete

For the respondent:
Mr Kiogora

Sandhu v Noble Builders (U) Ltd and another
[2005] 2 EA 272 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	22 February 2005
Case Number:	13/02
Before:	Odoki CJ, Oder, Tsekooko, Karokora and Kanyeihamba JJSC
Sourced by:	Lawafrica

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[1] Company law – Change of directors and shareholders – Status of directors and shareholders – Completion and registration of form A8 showing change of directors and members – Effect of form on status of directors and members – Whether the appellant had ceased to be a director and member of first respondent on registration of form – Whether appellant had locus standi to seek winding up of company – Form A8 – Companies Act.

[2] Practice – Judgments – Content of judgments – Addition to jurisprudence of Uganda – Whether it was obligatory for judgments to add to the jurisprudence of the country.

Editor's Summary

The appellant, JSS, and the second respondent, RSS, were the initial subscribers to the first respondent company. They formed the company on 5 January 1984. Some time later, the appellant notified the Registrar of Companies that as of 12 January 1984, he had ceased to be a director and member in the company and had appointed his wife to replace him as director and member. This notification was done by filling out company form A8, which was signed and dated 30 April 1984. Shortly afterwards, the appellant left for Canada and became a resident there. He was later followed by his wife. The second respondent stayed behind and ran the business which registered some success. When the appellant eventually returned to Uganda, he asked the company to account for the profits it had made in his absence. The second respondent refused to do so, on the ground that the appellant had ceased to be a shareholder in the company before departing for Canada and thus had no *locus standi* to make the demand.

The appellant then decided to petition the High Court for orders to wind up the company and to declare the second respondent a delinquent director. The trial court found in the appellant's favour and made the orders prayed for in the petition. On appeal to the Court of Appeal, the decision was reversed.

The appellant now appealed to the Supreme Court on the grounds, *inter alia*, that the Court of Appeal erred in finding that the appellant had validly transferred his shares to his wife, in finding that he had relinquished his membership by signing form A8, and in ignoring the other grounds of appeal, which had raised important questions for the jurisprudence of the country. Counsel for the appellant argued that because the formalities for the transfer of shares under the Companies Act had not been followed, the alleged transfer had never been effective. In reply, counsel for the respondent argued that the words used in the transfer form were clear and unambiguous and ought to be given their natural and technical meaning.

Held – The basis of the court's consideration in any case was the application of law and principles of justice, founded on the actual facts and circumstances of the case. The function of the court was to resolve disputes judicially and not to seek and declare jurisprudential wisdom. Such wisdom evolved incidentally and not by design, in any one given case. The notion that a court's decision was open to challenge an appeal because it had not enhanced the jurisprudence of Uganda in the course of its deliberations was very far fetched.

The pivotal issue to be determined was whether or not the appellant had completed form A8 and, if so, what effect registration of the form had on the status, rights and obligations of directors and shareholders of the company. In this instance, the Court of Appeal could not be faulted for finding that the words used in the transfer form meant that the appellant had not only ceased to be a director but also a member of the company. The appellant admitted signing the document and the evidence showed that the appellant's wife acquired the appellant's shares and remained the second director and owner of 49 percent of the shares in the company. The appellant, therefore, had no *locus standi* in the affairs of the company and could neither petition for its winding up nor could he call upon the second respondent to account to him.

Per Tsekooko JSC – It was clear that the appellant ceased to be a director and member of the company on 12 January 1984 or, at the latest, when the transfer

form was lodged in the Registry of Companies. For him to come to court nearly twenty years later, seeking to have the company wound up was nothing short of a deliberate attempt to abuse court process.

Appeal dismissed with costs to the respondents.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Henry Kawalya v Dan Semakadde Complimentary cause number 8 of 1990

Mugenyi and Company Advocates v Attorney-General suit Civil case number 43 of 1955

Noble Builders v Sietco Limited High Court suit number 174 of 1994

Nurdin Bankali v Lombarak Tanganyika Limited [1963] EA 304

United Kingdom

Colonial Bank v Hapworth [1887] Volume 36 Chapter 37

Re Tal v Drws State Company (*Mackley*'s case) 1875 1 Ch 247

Judgment

Kanyeihamba JSC: This is a second appeal from the judgment of the Court of Appeal allowing an appeal from the judgment and orders of the High Court, (Okumu Wengi J) in which the appellant had been the successful plaintiff.

The facts of this case may be summarised as follows:

The appellant Jaspal Singh Sandhu and the second respondent, Raghbir Singh Sandhu formed the first respondent, Noble Builders (U) Ltd (hereinafter called the respondent company) on 5 January 1984 and had it registered. On 12 January 1984, the appellant notified the Registrar of Companies that he had ceased to be a director and member in the respondent company and that he had appointed his wife, Balwinder Kaur Sandhu, to replace him as both director and member. The day before this notification, the appellant had filled in and completed company form A8 which he personally signed showing that he had ceased to be a director/member of the respondent company and his wife was appointed a new director/member of the company. Shortly after these transactions, the appellant left for Canada, where he became a resident. Later on, his wife followed him. In the meantime, the second respondent stayed in Uganda running and administering the business affairs of the respondent company. It would appear that the respondent company registered some business successes because when eventually the appellant returned to Uganda, he discovered that the respondent company had made profits for which he asked that company to account.

The second respondent refused to account for the profits of the respondent company on the ground that since the appellant had ceased to be a shareholder before departing for Canada, he had no *locus standi* in the company and could,

therefore, not claim accountability from it. Faced with this resistance from the second respondent, the appellant decided to petition the High Court to order the winding up of the respondent company and to declare the second respondent a delinquent director with an order to account for all the monies and assets of the respondent company. The trial judge entered judgment for the appellant and made the orders prayed for in the petition. In addition, the learned trial Judgej ordered the appellant's name to be restored in the company register.

Dissatisfied with the judgment and orders of the High Court, the respondents appealed to the Court of Appeal, which allowed the appeal- hence this appeal.

Mr Mubiru *Kalenge* and Mr *Bwanika*, counsel for the appellant, had filed nine grounds of appeal before us, but after objections from Mr *Byenkya*, counsel for the respondents, that some of the grounds framed for the appeal offended against rule 81 of the rules of this Court, Messrs Mubiru *Kalenge* and *Bwanika*, abandoned grounds 6, 7 and 9. They argued grounds 1 and 8 separately and grounds 2 and 3 together and 4 and 5 together, respectively. The grounds argued were framed as follows:

1. The learned Justices of Appeal erred in fact and law in finding that the words contained in company form number A8 were unambiguous.
2. The learned Justices of Appeal contradicted themselves and thereby arrived at the wrong decision after correctly finding that shares can only be transferred in accordance with section 75 of the Companies Act and then finding that the appellant validly transferred his shares to his wife.
3. The learned Justices of the Court of Appeal erred in finding that the appellant relinquished his membership in the first respondent by signing company form number A8.
4. The learned Justices of the Court of Appeal misdirected themselves and erred in law, in finding that evidence given in *Noble Builders v Sietco Ltd*, High Court suit number 174 of 1994, was inadmissible.
5. The learned Justices of the Court of Appeal erred in holding that had the trial judge not relied on evidence in *Noble Builders v Sietco Ltd* High Court civil suit number 174 of 1990, he would have come to different conclusions.
6. The learned Justices of the Court of Appeal grossly erred and misdirected themselves in holding that the whole appeal case resolved on one issue only and thereby ignored other grounds of appeal, which raised important questions for the jurisprudence of this country.

Counsel for the appellant proceeded to present numerous and prolonged arguments and submissions which were not always designed to advance their client's cause. Counsel advanced arguments which had been made in both the Court of Appeal and the High Court. Much of the same had been covered in lengthy written submissions which contained much more than what was pertinently relevant to this appeal. Indeed, the Court of Appeal aptly described all these submissions and arguments as copious. I note that ground 8 of the appeal complains that the justices of appeal grossly erred and misdirected themselves, when they held that the whole appeal case revolved on one issue only and thereby ignored other grounds of appeal which raised important questions for the jurisprudence of this country. Important as the jurisprudence of this country may be, the basis of the court's consideration in any case is the application of law and principles of justice founded on the actual facts and circumstances of the case. The primary function of the court, in determining a case involving disputes amongst citizens and organisations, is to resolve those

disputes judicially and not to seek and declare jurisprudential wisdom. Such wisdom evolves incidentally and not by design in any one given case.

In my opinion, the notion that because in its deliberations, a given court did not enhance the knowledge of jurisprudence in Uganda, should constitute a ground of appeal is very far fetched in any legal system. For these reasons, I would dismiss ground 8 of the appeal.

Having pursued the voluminous record of proceedings and heard counsel, I am of the same view as Kato JA, who wrote the lead judgment in the Court of Appeal, that this whole case resolves on one vital issue. That issue is whether or not it was the appellant who completed form A8 of the Companies Act and if so, what effect the registration of that same form had on the status, rights and obligations of directors and shareholders of the company. It is pleaded on behalf of the appellant, that he is still a member of the respondent company with all his rights as a member subsisting and enforceable. The second respondent claims that the appellant ceased to be a member the day he surrendered his shares and membership of the company to his wife and that from then onwards, he ceased to have *locus standi* and could not claim any rights either as a member or as a contributory. If the evidence was to show that as a member of the company and it is so declared by court, the court would proceed to consider the other grounds of appeal including a declaration of rights and compensation, if any (*sic*). If the pleadings and submissions prove that the appellant ceased to be both a member and a contributory of the company, the case ends there because all the other listed grounds would only be considered on the presumption that the appellant is still a member and contributory of the company.

In my view, the grounds which are pertinently relevant to matters in this appeal are grounds 1, 2, 3 and 8 of the appeal. I have already disposed of ground 8.

On ground 1, Mr Mubiru *Kalenge*, counsel for the appellant, submitted that the Court of Appeal erred in fact and law in holding that the words which the appellant used in completing form A8 of the Companies Act were vague, ambiguous and confusing. Counsel again contended that in light of the nature of the words used, it could not be deduced from the completed form A8, that the appellant had surrendered or transferred his shares to his wife. Counsel contended that the appellant had signed the memorandum and Articles of association of the first respondent. They were subsequently registered and by virtue of this procedure, the appellant had become a member of and a contributory to the respondent company. Mr Mubiru *Kalenge* further contended that the appellant has had those shares registered in his name since 1984, and he is still their owner. Counsel pointed out that the appellant never relinquished or transferred his shares to anyone, at all. This is evidenced furthered by the fact that the formalities demanded under the Companies Act for the transfer of shares were not followed. Consequently, the appellant's wife was never registered as the transferee of the shares.

Counsel for the appellant further contended that the alleged act of transfer to his wife was never effective. In the first instance, form A8 which he completed was headed "Notification of Change of Directors or Secretary or In the Particular" and was not designed for the surrender or transfer of shares *per se* Mr Mubiru *Kalenge* further submitted that for a transfer of shares to be effective, the transfer has to comply with the provisions of the Companies Act and the

Articles of association of the company in question. He cited the relevant provisions for his submissions.

In relation to the doctrine of estoppel which had been advanced on behalf of the respondents in the Court of Appeal, counsel for the appellant contended that it was not applicable in this case since the attempted transfer of the appellant's shares had not succeeded. Counsel submitted further that the fact that no stamp duty had been paid on the transfer is further evidence that the appellant was still the true owner of his shares in the first respondent and any purported transfer of his shares did not materialise.

Mr *Bwanika*, second counsel for the appellant, made submissions on grounds 4, 5 and 8. On grounds 4 and 5, he contended that the learned Justices of Appeal had not properly evaluated the evidence. In his view, they had failed to consider the appellant's counsel's submissions and arguments. Mr *Bwanika* contended that the second respondent had been delinquent and came to court with soiled hands and in counsel's view, he should not have been granted a relief.

Mr *Bwanika* further argued that the fact that the appellant had signed form A8 indicating the transfer of his directorship and membership to his wife was a mere technicality and the appellant should not be deprived of his remedies on a mere technicality.

Counsel for the appellant cited *Charlesworth and Morse: Company Law* (7ed), *Re-National Savings Bank Association* (1866) LR 1 Ch App 594, *Re-London and Provincial Consolidated Cost Company* (1877) Ch Volume V 52, *Colonial Bank v Hapworth* 1887, Volume 36 Chapter 37 L, *Hall's Company Secretarial Practice* (6ed) and provisions on the Companies Act, as authorities in support of their submissions and arguments.

For the respondents, Mr *Byenkya* made submissions on the grounds as presented and argued by counsel for the appellant. The thrust of Mr *Byenkya*'s submission was that the appellant ceased to be a member on the day he signed form A8 and revealed to all and sundry that he had transferred his shares to his wife. Counsel contended that the words used by the appellant in that transfer were clear and unambiguous and should be given their natural and technical meaning in company law matters. Counsel contended that the appellant ceased to be a member of the company with effect from 12 January 1984, when he signified that he had transferred his shares to his wife. Mr *Byenkya* contended further that in company law, the term member only refers to shareholders and in signing form A8, the appellant had said that he had ceased to be director/member of the company and on the same day his wife, Mrs Balwinder Kaur Sandhu, had been appointed a new director/member of the company.

Respondents' counsel contended further that in informing the officials of the respondent company and those at the Companies Registry, he intended that those officials and any other stakeholders should act upon the information he provided. He further submitted that, in consequence, both respondents acted and managed the company in the belief that the appellant had quit the respondent company and was replaced by his wife who had stepped in his shoes and became both a director and member.

It was also a contention for the respondents, that the signed acknowledgement by the appellant of surrender of his shares to his wife estopped him from denying that he had ceased to be a member.

Mr *Byenkya* contended that on the basis of the appellant ceasing to be a member, the respondent company had gone ahead and created a new issue of shares and allotted the same to other people. Following the appellant's departure as director/member, the respondent company started dealing with his wife as the new director/member and there is evidence that she was warned of the consequences if she persistently continued to be absent from the respondent company's Board meetings.

Finally, it was counsel's contention that the appellant had no *locus standi* to petition for the winding up of a company of which he was neither a member nor a contributory. respondents' counsel cited *Henry Kawalya v Dan Semakadde, Comp* Cause number 8 of 1990, *Nurdin Bankali v Lombarak Tanganyika Ltd* [1963] EA 304, *Mugenyi and Company Advocates v Attorney-General*, Supreme Court civil number 43 of 1955 and *Re Tal v Drws State Company* (*Mackley*'s case) 1875 1 Ch 247, as authorities for his submissions.

As noted earlier, on the 30 April 1984, the appellant, who together with the second respondent had previously formed the respondent company, executed a document hereinafter called form A8 with the words:

> "With effect from 12 January 1984, Mr Jaspal Singh Sandhu ceased to be a director/member of the company. On the same day/date Mrs Balwinder Kaur is appointed a new director/member of the company."

In the lead judgment of the Court of Appeal, Kato JA (as he then was) said of the contents of that document:

> "The appellants are adamant that those words meant that the respondent did not only cease to be a director but also a member of the first appellant. The respondent's interpretation is that he only resigned from the directorship of the company. I accept the interpretation given by the appellants' counsel as the correct one. It is trite law that words which are not ambiguous must be given their ordinary and natural meaning. In this case the respondent was clear that he ceased being a director and member of the company. If he wanted to remain a member then why should the word member have been included in the document? The respondent does not say anywhere in his affidavit that he never wrote that word. On the contrary, both the respondent and his wife in their affidavits dated 16 October 2000 and 2 March 2001 respectively, show clearly that the appellant actually signed the document"

Then, after citing extracts from the affidavits of both the appellant and his wife and re-evaluating other evidence, the learned Justice of Appeal concluded:

> "It is my considered opinion that as from 12 January 1984, the respondent ceased to be a member of the first appellant and all his rights in that company were vested in his wife. I find that the respondent had no *locus standi* in the affairs of the first appellant and as such he could not petition for its winding up nor could he call upon the second appellant to account to him how he had been managing the business of the company. The respondent does not fall under any of the categories which may institute proceedings to wind up a company under section 224 of the Companies Act." *The other two justices of appeal agreed with Kato JA.*"

In my opinion, the learned Justices of Appeal cannot be faulted. In support of their decision, I find further evidence that the wife of the appellant acquired the shares of her husband, who was the original subscriber at the initial stage of the company's incorporation. The record shows that her husband, who is the appellant in this appeal, owned 49 percent of the shares and the first respondent owned the remaining 51 percent of the shares. Thereafter, the appellant transferred both his directorship and membership of the company to his wife,

Mrs Balwinder Kaur Sandhu. There is no evidence that the appellant was ever contacted again by the company after he transferred his shares. On the other hand, his wife was apparently contacted, from time to time, as a director by the company.

The evidence shows that the wife remains the second director and owner of the 49 percent of the shares in the first respondent, namely Noble Builders (U) Ltd. There was an attempt to reorganise the management and shareholding of the company. The attempt never succeeded because it could not comply with either the provisions of the Companies Act or the regulations of Noble Builders (U) Ltd. Indeed, the company itself recognised this dilemma when corresponding with the appellant's wife. Having realised that a single director could not effect changes they desired in the company, they wrote to the appellant's wife whom they recognised as the new director on 25 August 1988 and observed:

> "I write to inform you that since you were appointed as director you have never attended any board meeting of the company. Board meetings are held once every month. You are only two directors. A board meeting cannot take place without yourself; that you are rendering the company's business ineffective. (*sic*)"

It follows therefore that the attempted allotment of new shares by the single remaining director or his attempted reorganisation of Noble Builders (U) Ltd management failed. The inability of the company to effect changes after the appellant had departed from its management is itself an acknowledgment of their difficulties by the respondents when they pleaded with Mrs Balwinder Kaur Sandhu, the new director and shareholder on the basis that without her attendance and participation in the running of the company, they would be unable to transact business.

In consequence, I would dismiss grounds 1, 2 and 3 of this appeal and as I have already dismissed ground 8 for lack of merit and held that the other ground, namely ground 5, is irrelevant, I would dismiss this appeal with costs to the respondents in this Court and in the courts below.

Before leaving this appeal, I am constrained to observe that it was inadvisable for the appellant's wife, Balwinder Kaur Singh, not to be joined as a party to the proceedings in this case. The fact that she may have not attended board meetings or fulfilled her responsibilities as a director, does not adversely affect her rights and obligations as a shareholder and owner of the 49 percent of the equities of Noble Builders (U) Ltd. I agree with Kato JA, the learned Justice who wrote the lead judgment in the Court of Appeal, that it is remarkable that the appellant's wife has not chosen to pursue her rights. Of course, this judgment and all previous proceedings in this case do not in any way affect her rights as a shareholder in Noble Builders (U) Limited.

Tsekooko JSC: I have had the benefit of reading in draft the judgment prepared by my learned brother, Kanyeihamba JSC and I agree with him that this appeal should be dismissed with costs to both respondents here and in the two courts below.

It is common ground that the appellant and the second respondent were the initial subscribers to the first respondent (the company).

Both the memorandum of association and the Articles of association show that the two were the only subscribers by the time the company was incorporated on 5 January 1984. The appellant stated clearly in paragraph 6 of his

petition that he relinquished his directorship and membership on 12 January 1984. According to paragraph 7 of the affidavit of second respondent, the appellant endorsed on a formal company form entitled "Notification of Change of Directors or Secretary or in their Particulars".

The following words written manually in ink:

> "With effect from 12 January 1984 Mr Jaspal Singh Sandhu ceased to be a director/member of the company. On the same day/date Mrs Balwinder Kaur is appointed a new director/member of the company."

The said Mrs Balwinder Kaur is, in fact, the wife of the appellant. The form is dated 30 April 1984 and was signed by the two subscribers. The second respondent signed the form apparently as the managing director of the company while the appellant appears to have signed it as director of the company. The form was filed in the Registry of Companies.

In these circumstances and contrary to the findings of the trial judge there is not the slightest doubt in my mind that the appellant ceased to be a director and member of the company on 12 January 1984. Or at latest upon lodging the form in the Registry of Companies, the appellant ceased to be a director as well as a member of the company. Counsel for the appellant attempted to minimise the effect of the endorsement, arguing that Mrs Balwinder Kaur was not active in the company and so the appellant remained a shareholder in the company, and therefore he can present to court a member's winding up petition.

In my opinion, the appellant publicly relinquished his directorship and shareholding on 12 January 1984 or latest by 8 May 1984. Therefore, for him to come to court nearly twenty years later to seek, as a member of the company, to have the company wound up is nothing short of a deliberate attempt to abuse court process. I am satisfied that the learned trial Judge erred to hold that the appellant was a shareholder and I agree that the Court of Appeal acted properly when it rejected the evil efforts of the appellant to have the company wound up since he had ceased to be both a member and a director early in 1984.

I would dismiss this appeal with costs here and in the courts below.

Odoki CJ, Oder and Karokora JJSC concurred in the judgment of Kanyeihamba JSC.

For the appellant:
Mr Mubiru Kalenge and *Mr Bwanika*

For the respondent:
Mr Byenkya

Shenoi and another v Maximov
[2005] 2 EA 280 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	17 August 2005
Case Number:	9/03
Before:	Odoki CJ, Oder, Tsekooko, Karokora and Kanyeihamba JJSC
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[1] Contract – Breach of contract – Formation of contract – Misrepresentation – Whether there had been a misrepresentation by the appellants.

[2] Evidence – Written document – Authorship of document contested – Modes of proving authorship of disputed handwriting – Whether the first appellant was author of disputed fax – Section 66 – Evidence Act.

[3] Judgment – Interest – Award of interest – Award of interest a matter for the court's discretion – Whether the court had properly exercised its discretion in substituting a higher rate of interest.

Editor's Summary

In May 1994, the respondent, a Russian businessman dealing in finance and investment, was introduced to the first appellant. The first appellant informed the respondent that he was the owner of a company, Shivam Limited, which dealt in gold and diamonds. The two discussed the possibility of going into the mineral business together. As a result of the discussions, the two entered into an agreement between Shivam Limited, as the first participant, and the respondent together with two of his associates, Ponsov and Kolganov, as the second participants. The agreement was executed on 9 June 1994 and provided that the respondent and his associates would provide US$ 42 000 as a token deposit to the first participant on the signing of the agreement. It also provided that the agreement would terminate if the deposit was not paid within a stipulated time and that the first participant would appoint the second participants as directors of Shivam. After the execution, the name of Shivam Limited was changed to Shivam MKP Limited. In the event, the respondent was only able to remit US$ 20 000 to the Shivam bank account.

The following month the respondent received a handwritten fax informing him of the prospects of the joint venture and inviting him to invest US$ 200 000 in the joint venture with a prospect of earning US$ 20 to 25 million a year. In August, the respondent arranged for US$ 200 000 to be sent to Shivam MKP's account. The money was duly credited to Shivam's account on 23 August and although the appellant did not acknowledge receipt of the money, Ponsov sent a fax to the respondent telling him that the money had been received. Thereafter, there was a breakdown in communications between the first appellant and the respondent. In October 1994, the respondent travelled to Uganda to meet the first appellant but did not obtain a satisfactory explanation. In November 1994, another meeting was arranged between the parties and their lawyers to try and reach an amicable settlement. The negotiations failed and the respondent returned to Moscow leaving instructions with his lawyers to take action.

Later, the first appellant's lawyers wrote to the respondent informing him that the first appellant was ready to pay him US$ 161 623 in total satisfaction of the debt. However, the only money that the respondent received was a sum of US$ 26 000.

The respondent then sued the appellants jointly seeking US$ 220 000 being money had and received to the use of the respondent by the appellants, general damages, and costs (*sic*). The appellants denied the claim and averred, *inter alia*, that they never received any money from the respondent and put it to their own use. The trial court found in favour of the respondent and ordered that the

appellants refund US$ 194 000 to the respondent, as well as pay him US$ 275 000 in general damages, as well as interest of 6 percent and costs. The appellants appealed to the Court of Appeal which partially allowed the appeal, set aside the award of US$ 275 000 and reduced the amount to be refunded to US$ 184 000 but raised the rate of interest to 20 percent.

The appellants now appealed to the Supreme Court on the grounds that the Court of Appeal had erred in finding that the first appellant was the author of the fax, in finding that the appellants admitted receipt of US$ 200 000 and in finding that an interest rate of 20 percent per annum was due. Counsel for the appellants argued, *inter alia*, that the procedure set out in section 66 of the Evidence Act ought to have been followed in proving the authorship of the fax and that the principle of money had and received was not applicable because there was no evidence that the first appellant received any money from the respondent (*sic*). In reply, counsel for the respondent argued that the Evidence Act did not exclude other types of evidence for proof of disputed handwriting. Moreover, in his evidence, the first appellant had departed from his pleadings in which he had denied receiving the money and had instead attempted to account for it and this provided grounds for rejecting his evidence.

Held – The Court of Appeal had adequately re-evaluated the evidence on record and its conclusion, that the first appellant was the author of the fax, could not be faulted.

In the circumstances of the case, the Court of Appeal was justified in upholding the trial court's findings that the appellants had admitted receipt of US$ 200 000 and that they were jointly liable to refund the money as money had and received (*sic*).

The award of interest was a matter for the court's discretion; *Sietco v Noble Builders* applied. In this instance, the Court of Appeal had rightly held that the money had been received for a commercial transaction and that a rate of 20 percent was more appropriate than the court's rate of 6 percent.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Biteremo v Munyanda, Civil appeal number 15 of 1991 (SCU) (UR)

Century Automobiles Ltd v Hurchings Bienois Ltd [1965] EA 304

Interfreight Forwarders (*U*) *Ltd v East African Development Bank* Civil appeal number 33 of 1992 (SCU) (UR)

Nurdin Bandali v Lambank Tanganyika Ltd [1963] EA 304

Sietco v Noble Builders (*U*) *Ltd* Supreme Court civil appeal number 31 of 1995 – **AP**

United Kingdom

Hanbutts' Plasticine Ltd, Wayne, Tank and Pump [1970] 1 QB 447

Solomon v Solomon and Company [1897] AC 22

Judgment

Oder JSC: This is a second appeal by the appellants, Premchandra Shenoi and Shivam MKP Limited, against the decision of the Court of Appeal of Uganda, which confirmed the judgment of the High Court in favour of the respondent, Maximov Oleg Petrovich, who was the plaintiff in the High Court suit.

The background to the appeal may be briefly stated as follows:

The respondent is a Russian businessman who deals in finance and investment. He is based in Moscow. Through one of his partners, called Ponsov, he got in touch with another Russian, called Kolganov, who was working in Uganda as a journalist. Through Kolganov, the respondent established contact with Mr Patel, living in Uganda. Sometime in May 1994, the respondent received an e-mail from Mr Patel. On receipt of the e-mail, the respondent came to Uganda with one Ponsov Nikoli Andreevic, hereinafter referred to simply as Ponsov, with whom the respondent had several business relationships in Russia. The intention of the respondent in coming to Uganda was to look into the possibility of investing in mining business in Uganda.

Mr Patel introduced the first appellant to the respondent. The first appellant informed the respondent that he was the owner of a company called Shivam Limited that deals in gold and diamond. The respondent discussed with the first appellant, the possibility of doing business with him in mineral. After the discussion, the respondent agreed to invest in the mining business of the first appellant.

The first appellant was to secure permits, licenses and certificates from the relevant authorities for the establishment of the business. The first appellant took the respondent to several ministries and authorities in this country connected with mining business to familiarise him with the rules and procedure for establishing business in the country.

The arrangements between the two formed what came to be known as "the participation agreement" which will hereafter be referred as "joint venture." It was executed on 9 of June 1994 and was made between "Messrs Shivam Ltd" as the "first participant" and the respondent plus his two associates, Ponsov Nikoli Andreevic and Kolganov Igor Nikolaevich, collectively referred to as the "second participants".

The joint venture was to participate in mining, refining, smelting, trading, importing and exporting and commission business jointly in gold, silver, diamonds, precious and semi precious metals in Uganda and worldwide. The venture was also to engage in importing, exporting, distributing jewellery, wholesale and the like metals.

It was stated in the "joint venture" that the second participants were to provide US$ 42 000 as a token deposit to the first participants, on the signing of the agreement, which was refundable on termination of the agreement. It was also one of the terms of the "joint venture" that the first participant was to appoint the second participants as directors of Shivam Limited. It also contained

a clause for automatic determination if US$ 42 000 was not paid within the stipulated time.

The “joint venture” agreement was admitted in evidence as exhibit PE1 at the trial. It is one of the documents on which the action was founded.

Though it was stated in exhibit PE1 that the “second participants” would provide the finance,in actual fact the respondent became the financier. The others were merely to represent his interest.

After the execution of exhibit PE1, the names of Shivam Limited was changed to “Shivam MKP Limited” and the respondents and his two partners were made directors.

The respondent was not able to remit the US$ 42 000 to the first participant as agreed. Instead, on 6 August 1994, the respondent instructed the Midlantic National Bank, Moscow, to transfer by wire to Standard Chartered Bank, Uganda to Shivam Limited account number 320/90/11868/000, US$ 20 000. This was received and credited to the account of Shivam Limited on 14 July 1994, (*see* exhibit PE 4 and DE 11). Then sometime in July 1994, the respondent received a handwritten fax message (exhibit P8) in which he was informed of the prospects of the “joint venture”, the possibility of starting a banking business, and the need to purchase land for the construction of a refinery plant. In addition, whoever sent the fax, invited the respondent to invest US$ 200 000, stating that that kind of investment would fetch him US$ 20 to 25 million a year. The respondent also received two certificates in connection with the business. These were a license from the Ministry of Commerce, Co-operatives and Marketing (exhibit PE5), and one from the Ministry of Land and Natural Resources (exhibit PE7).

According to the respondent, exhibit PE8 was sent by the first appellant which the latter denied. At the trial, the authorship and authenticity of exhibit PE8 were contested strenuously by the appellants.

On receipt of exhibit PE8 and the documents mentioned above, the respondent became convinced that business prospects were good, and so he decided to send the US$ 200 000 asked for in exhibit PE8. In August, he instructed Deanbale Investment Company Limited of Singapore to send US$ 200 000 to Shikam MPK Ltd Account 320/90/1186/000 held with Standard Chartered Bank Ltd, Kampala Branch. Later the respondent received confirmation of the transfer from Deanbale Investment Company Limited. This is exhibit PE10. The value date of the TT was said to be 19 August 1994 (*sic*).

The appellant did not acknowledge receipt of that money. It was, Ponsov who sent a fax to the respondent that the money had been received. In his testimony, the respondent, however, insisted that the first appellant confirmed on telephone that he had received the money.

Thereafter, there was a complete breakdown in communication between the respondent and the first appellant. This state of affairs continued for sometime. The respondent became apprehensive and concluded that something fishy was happening in Uganda. He travelled to Uganda in October 1994 and met with the first appellant. When he failed to obtain satisfactory explanation concerning the business, another meeting in November 1994 was arranged between the respondent and his lawyers and the first appellant and his lawyers to negotiate

amicable settlement. When that broke down, the respondent instructed his lawyers to take action, and went back to Moscow.

Later on, the respondent received from Messrs Shonubi Musoke and Company Advocates, the first appellant's advocates, exhibit P12 informing him that the first appellant was prepared to pay to him US$ 161 623, in total satisfaction of his claim. This letter was marked "without prejudice". This amount of money was never received by the respondent. The only money the respondent received was US$ 26 000, but he was not informed of the purpose for which it was sent to him. It was contended by the respondent that the appellant undertook to make him and his colleague's shareholders in the company Shivam MKP Limited to reflect their business participation, but he did not do so. The company was registered in the names of the first appellant and his wife. The respondent contended that the failure of the first appellant to make him and his colleagues shareholders in Shivam MKP appellants represented to him that the joint venture would fetch him a profit of 20 or 25 million US dollars per annum. It was on the strength of the above representation that he paid to them US$ 200 000, that representation turned out to be untrue.

The respondent, therefore, sued the appellants jointly and severally in High Court, claiming:

(*a*) US$ 220 000, or its equivalent in Ugandan currency, being money had and received to the use of the respondent by the appellants, plus interest of 30 percent;

(*b*) General damages for misrepresentation;

(*c*) General damages for breach of contract; and

(*d*) Costs of the suit.

The appellants denied the respondent's claim and, in particular averred that:

(i) they never made any representations as alleged;

(ii) they admitted the joint venture agreement but denied that it was entered into as a result of any representation;

(iii) they never promised to make the respondent and his two colleagues shareholders in the Shivam MKP Limited and consequently never breached any contract;

(iv) change of name of Shivam Ltd to Shivam MKP Limited was not made to reflect the joint venture;

(v) they never received any monies from the respondent and put it to their own use as alleged and that the offer to pay any money was made *ex gratia* and not with intention of admitting liability.

At the trial of the suit, four issues were framed for determination:

(*a*) whether first appellant made false representation to the respondent, on the strength of which he remitted US$ 200 000.

(*b*) whether the appellants received US$ 220 000

(*c*) whether the appellants breached the contract entered into as a result of the representation, and;

(*d*) remedies, if any.

The learned trial Judge answered all the issues in the positive and entered judgment against the appellants jointly and severally, as follows:

(*a*) the appellants to refund US$ 194 000 to the respondent;

(*b*) general damages assessed at US$ 275 000 for breach of contract and/or misrepresentation;

(*c*) interest of 6 percent on (*a*) from August 1994 to 2000 and on (*b*) from date of judgment till payment in full;

(*d*) costs as taxed.

The appellants' appeal to the Court of Appeal against the High Court decision was partially successful and that court held that:

(i) there was no breach of contract and the award of general damages of US$ 275 000 and costs were set aside;

(ii) judgment was entered for the respondent in the sum of US$ 184 000 as money had and received with interest, at the rate of 20 percent from August 1994 till payment in full and;

(iii) an award of half of the costs in both the Court of Appeal and those in the High Court.

The appellants were dissatisfied with that judgment, hence this appeal.

Five grounds of appeal as set out in the memorandum of appeal are:

1. The learned Justices of the Court of Appeal erred in law and fact when they found that the learned trial Judge had properly found the first appellant to be the author of exhibit PE8.
2. The learned Justices of the Court of Appeal erred in law and fact when they found that the appellants had admitted receipt of US$ 200 000 and offered to pay US$ 161 623.
3. The learned Justices of the Court of Appeal erred both in law and fact when they found that the US$ 200 000 is refundable as money had and received.
4. The learned Justices of the Court of Appeal erred both in law and fact when they found that the first appellant is jointly liable to refund the respondent's money.
5. The learned Justices of the Court of Appeal erred in law when they found that an interest rate of 20 percent per annum was payment to the respondent.

The parties filed written submissions under rule 93 of the Rules of the Court. The appellants' submissions were filed by Messrs Kampala Associated Advocates; and those of the respondent were filed by Messrs Nagwala, *Rezida* and Company Advocates.

The appellant's learned Counsel argued ground one of the appeal separately and first, grounds two, three and four together, and ground five separately. Under ground one, the appellant's learned Counsel criticised the trial court and the Court of Appeal for respectively finding that exhibit PE8 was authored by the first appellant. The learned Counsel contended that the first appellant having denied writing the fax letter, the procedure under section 66 of the Evidence Act, for proving that he had written letter should have been followed (*sic*). He also contended that sections 45 and 72(1) of the same Act should have been invoked to compare the handwriting in exhibit PE8 with any other document known to have been written by the first appellant;

In opposition to the appeal, the respondent's learned Counsel submitted, under ground one of the appeal, that the trial court and the Court of Appeal gave reasons for their findings that it was the first appellant who authored exhibit PE8. He contended that both courts found that he had lied as a witness that he did not send the fax letter. The two courts were alive to the fact that there was no evidence from a handwriting expert in this regard. Berko JA, who wrote the lead judgment, referred to certain factors which corroborated the hypothesis that exhibit PE8 came from the first appellant and from nobody else. These

included the first appellant's experience in jewellery that was mentioned in exhibit PE8 and in his testimony; the first appellant's experience of eight years in Uganda that was mentioned in the fax letter and in his testimony; and the specific request for US$ 200 000 made in the fax letter from the respondent was the sum of money sent by the respondent. US$ 200 000 was not a magic figure, nor was it, baseless or accidental. It was the result of a specific demand for purposes specified in the fax letter. The demand came from the first appellant. Regarding the provisions of sections 45, 72 and 66 of the Evidence Act, the learned Counsel contended that they do not exclude other kind of evidence for proof of disputed handwriting or signature. Finally, there was a departure from the first appellant's pleadings that he never received US$ 200 000. Instead, he testified that he had received US$ 200 000 from the respondent and he attempted to account for it. Departure by a party's evidence from his or her pleadings is a good ground for rejecting the evidence as was held in the cases of *AW Biteremo v Damascus Munyanda* Civil appeal number 15 of 1991 (SCU) (UR) and *Interfreight Forwarders* (*U*) *Ltd v East African Development Bank* Civil appeal number 33 [1992] (SCU) (UR).

In his lead judgment in the Court of Appeal, with which the other two members of the court agreed, Berko JA upheld the findings of the learned trial Judge that the first appellant authored the fax letter exhibit, PE8. He said this:

> "I now move to exhibit PE8. This was a handwritten fax message that originated from Uganda. The owner of the fax machine has not been identified. According to the respondent, it was sent by the first appellant. The first appellant denies it. The identity of its author became a live issue at the trial though it was not specifically set down as one of the issues. The learned trial Judge was aware of it and considered it. There was no handwriting expert opinion on it. The learned trial Judge relied on evidence put before him to determine its author. He first considered the credibility of the parties. He found the respondent more credible. The first appellant never impressed him as a credible witness, and found him to be a liar. Was the judge right when he said the first appellant was a liar? I think he was right. I need only to refer to one instance to prove my point. On receipt of exhibit PE8 the respondent sent a telegraphic transfer of US$ 200 000 on 22 August 1994 to Shivam MKP Limited, account number 32/90/11869/000 held at Standard Chartered Bank Kampala. The first appellant was a signatory to that account. This money was received by the bank and credited to the above account on 23 August 1994. The evidence of DW 3 Ndugwa Christoper Nathan, the auditor and accountant of the appellants, shows that the sum of US$ 200 000 which was a remittance from Russia, reflected on the account of first appellant. On receipt of the amount of the US$ 200 000, US$ 150 000 was withdrawn from the account on 23 August 1994 and was used to purchase shillings from the Crane Bank and realised UShs 138 450 000. The sum was paid into the shillings account of Shivam MKP Limited in which the first appellant never acknowledged the receipt of this money to the respondent. In the written statement of defence filed on 12 September 1997, he denied the receipt of that money either by himself or Shivam MKP Limited. The judge was, therefore, right when he said first appellant was a liar."

Mr *Rezida* has submitted that the matters contained in exhibit PE8 are matters peculiarly within the knowledge of the first appellant. Mr *Kabatsi* countered this argument and argued that Ponsov was also aware of those facts. The following excerpts appear in the Fax message:

> "As per Mr Nikolai's explanation to you, if US$ 200 000 are available we can take off by exporting products straight away." The Nikolai here is Ponsov referred to by *Kabatsi*. If Ponsov was the author he could not have made that statement. This rules out

> Ponsov as the author. Again the language in exhibit PE8 could not have come from Ponsov. His endorsement of exhibit PE8 states "I can tell you all this is thru." The language and spelling of "True" as "Thru" show that he had no command of English language. This also rules out Ponsov as the author."

The judge was right when he so found. I also agree with Mr *Rezida* that matters contained in exhibit PE8 are matters that also point conclusively to the fact that the first appellant was the author. I need to refer only to a few of them. The author talks about his 8 years experience in jewellery business. The first appellant testified that he came to Uganda on 23 January 1978. That was when he started business. He incorporated first company called Pickups – International (*sic*). The second was Shivam Limited, which was incorporated in 1989. This company dealt in precious stones. He obtained the first license on 1 July 1991 to do goldsmith business. This company had a showroom and office at the International Conference Centre and was dealing in gold and diamonds. I have no doubt that it was the first appellant who was talking about his 8 years experience in jewellery business. In court he confirmed it.

Next is the land that was purchased along Entebbe Road by the first appellant, and registered in the name of Shivam MKP Limited. This land was not mentioned in exhibit PE1, but it was referred to in PE8. This is what PE3 said about the land:

> "I have completed location of the land. . .The location of the land is so prime and is on Entebbe Road. This was the very land that was bought."

As regards the location of the office at the Standard Bank, this is what appears in PE8:

> "We were originally planning to move to Green Land Bank but we have planed to move to Standard Chartered Bank. Please do not object to this because of so many good reasons." It continued to give those good reasons. This was not mentioned in PE1. Standard Chartered Bank building was the place that was rented for the second appellant company. These instances show that the first appellant and nobody else was the author of PE8."

In my view, the Court of Appeal's findings, set out above cannot be faulted. As the first appellate court, it re-evaluated the evidence in the case and upheld the trial court's finding that the first appellant authored PE8. The first ground of appeal should, therefore, fail.

The appellant's counsel next argued grounds 2, 3 and 4 together. They submitted that the principle of money had and received is not applicable to the instant case. According to *Halsbury's Law of England* (3ed) Volume 8, paragraph 408, page 235, the principle is that where one person has received money from another under circumstances such as in this case, he is regarded in law as having received it to the use of that other, the law implies a promise on his part or imposes an obligation upon him to make payment to the person entitled thereto. In default, the rightful owner may maintain an action for money had and received to his use. According to this authority the obligation to refund the money is imposed upon the person who received it. Before determining whether US$ 200 000 was refundable as money had and received in this case, the Court of Appeal ought to have first established the person who received the money from the respondent. The learned Justices of the Court of Appeal found that there was overwhelming evidence that the appellants received the money. The appellant's learned Counsel contended that the justices of appeal erred to have made that finding. There was no evidence, whatsoever, on record that the

first appellant ever received any money from the respondent. Instead, there is overwhelming evidence that the second appellant received the money. According to the respondent's evidence he sent the sum of US$ 200 000 to the account of "Shivam Limited" The money was sent by a fax message from Singapore on 16 August 1994 (exhibit PE9). Further, according to exhibit PE12, it was the second appellant, Shivam MKP Limited, which made the offer without prejudice, to refund the US$ 161 623.

The first appellant is not mentioned in the offer. Learned counsel contended that according to the principle of independent legal personality in *Solomon v Solomon and Company* [1897] AC 22, the first appellant is separate from the second appellant. In the instant case as it was MKP Limited an independent legal person which received the money, there was no basis for the Court of Appeals finding that it was the first appellant and the second appellant who jointly received the money from the respondent.

Learned counsel further submitted that the purpose for which the money was received was also relevant to the application of the principle of money had and received. In the instant case, it was necessary to ascertain the purpose for which the money was remitted. The learned Justices of Appeal relied on exhibit PE8 to establish the purpose, for which the money was remitted, namely the business of the second appellant under the "joint venture" scheme. Learned counsel submitted that the learned Justices of Appeal erred in doing so. Having found, as they did, that the "joint venture" had automatically terminated, the purpose for which the remission of the money was made could only be ascertained from the conduct of the parties. Exhibit DE11 clearly summarises that purpose. The document indicated that the sum of US$ 200 000 was remitted for trade and development of the second appellant. As stated in exhibit PE8 the purpose was to generate money through weekly profits out of jewellery to be able to open a bank. Learned counsel contended that the banking business was never the second appellant's contemplated business. It was the first appellant's calculated misrepresentation.

In opposition to these grounds of appeal the respondent's learned Counsel submitted that, as could be gathered from the first appellant's representation to the respondent on how he used the money, the money was not intended for the business of the second appellant. Learned counsel disagreed with the contention that the second appellant's business merely turned out to be bad investments, which could not be blamed on anybody.

There is no evidence to support such allegation. In his view, this was a mere scheme by the first appellant to unjustifiably enrich himself by using false pretences to do so. In his testimony, the first appellant said that all the decisions of the company were made by himself and his wife. The learned Counsel contended that he should, therefore, be held liable for refunding the respondent's money.

The respondent's learned Counsel further submitted that the first appellant was estopped from denying responsibility for refund of the appellant's US$ 200 000. It is trite law that where one party makes another to believe a set of facts and the other acts on such representation, to his detriment, equitable estoppel arises in favour of the party to whom the misrepresentation was made. For this the respondent's learned Counsel relied on *Halsbury's Law of England* (3ed) Volume 15 paragraphs 334 and 340; *Nurdin Bandali v Lambank Tanganyika Ltd*

[1963] EA 304 at 318 and 319; and *Century Automobiles Ltd v Hurchings Bienois Ltd* [1965] EA, 304 at 313.

On this point, Berko JA held:

> "With regard to the US$ 200 000, there is overwhelming evidence that it was received by the appellants. They have even offered to pay US$ 161 623, to settle it. They are therefore liable to refund that amount as money had and received. This should, however, be reduced by the US$ 26 000 that was sent to the respondent. That would have a balance of US$ 184 000 . . . The judge was right when he ordered the appellants to refund the US$ 184 000. It is not correct as stated in ground two that the order for refund was against the first appellant alone."

It is my considered opinion that in the circumstances of this case the learned Justices of Appeal were justified in upholding the findings of the trial court that the appellants had admitted receipt of US$ 200 000 and offered to pay US$ 161 623; that the said sum of money is refundable by the first and second appellants as money had and received; and that the first and second appellants are jointly liable to refund the respondent's money. Grounds 2, 3 and 4 of the appeal should therefore fail.

On ground 5 of the appeal, the appellant's learned Counsel submitted that the learned Justices of Appeal erred when they substituted the rate of interest of 20 percent for the rate of 6 percent which the learned trial court had awarded. He contended that the principle to be applied is that an award of interest is discretionary. The basis of an award of interest is that the defendant had kept and used the plaintiff's money for his personal needs and therefore ought to compensate the plaintiff for it. See *Sietco v Noble Builders* (*U*) *Ltd* Supreme Court civil appeal number 31 of 1995, in which the principle in the case of *Hanbutts' Plasticine Ltd v Wayne, Tank and Pump* [1970] 1 QB 447 was referred to with approval. In the instant case, the learned Justices of Appeal found that the respondent did not allow the business to operate for a period of at least one year for the profits to be realised. Further, the money was remitted by the first respondent for a business in which he was a participant. Accordingly, the respondent was not deprived of his money to warrant the award of 20 percent interest per annum. In the circumstances, learned Counsel contended that the learned Justices of Appeal applied wrong principles in interfering with the trial court's award of 6 percent and awarded 20 percent without stating the basis of the interest rate, especially in view of the fact that the transaction was in dollars.

The respondents' learned Counsel did not say anything about ground five of the appeal.

In considering what rate of interest the respondent should have been awarded in the instant case, I agree that the principle applied by this Court in *Sietco v Noble Builders* (*U*) *Ltd* (*supra*) to the effect that it is a matter of the Court's discretion is applicable (*sic*). The basis of awards of interest is that the defendant has taken and used the plaintiff's money and benefited. Consequently, the defendant ought to compensate the plaintiff for the money. In the instant case, the learned Justices of Appeal, rightly in my opinion, said that the appellants had received the money for a commercial transaction. Hence the Court rate of 6 percent was not appropriate and I agree with them. The rate of interest of 20 percent awarded by the Court of Appeal was more appropriate. In the circumstances, ground five of the appeal should fail.

In result, I would dismiss this appeal with costs to the respondent in this Court and in the courts below.

Odoki CJ, Tsekooko, Karokora and Kanyeihamba JJSC concurred in the judgment of Oder JSC

For the appellant:
Mr Rezida

For the respondent:
Mr Kabatsi

Tumukunde v Attorney-General and another
[2005] 2 EA 291 (CCU)

Division:	Constitutional Court of Uganda at Kampala
Date of judgment:	2005
Case Number:	6/05
Before:	Mukasa-Kikonyogo DCJ, Mpagi-Bahigeine, Twinomujuni, Kitumba and Kavuma JJA
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[1] Constitutional law – Parliament – Duties of a member of Parliament representing the UPDF – Conflict between duties and oath to Parliament – Freedom to.

[2] Constitutional law – Parliament – Resignation letter of a Member of Parliament – Duty to inquire into the reasons for writing the resignation letter – Duty of the Speaker on receiving the resignation letter – Duty to inform the Electoral Commission.

[3] Constitutional law – Presidency – Whether President can be subjected to court proceedings while holding office.

Editor's Summary

The petitioner was a member of the Uganda People's Defence Forces (UPDF) and a member of Parliament, representing the UPDF. As a result of his comments, the petitioner was directed by the President, as Commander-in-Chief of UPDF, to write to the Speaker tendering his resignation. He subsequently wrote the resignation letter and was arrested thereafter and charged in a court martial.

Subsequently, the petitioner filed this petition seeking, *inter alia*, declarations that the actions of the Commander-in Chief and the army commander directing him to resign contravened Articles 80, 83 and 84 of the Constitution; that the Speaker's action in accepting and declaring his seat vacant, on the basis of his letter, contravenes section 83(1), 80 and 84 of the Constitution; and that the act of the UPDF restraining him from expressing political matters while allowing others to do so contravened Articles 20 and 29 of the Constitution. The petitioner also sought damages for violation of his rights and freedoms of speech, movement and assembly and an order prohibiting the Electoral Commission from declaring his seat vacant or conducting elections to replace him.

Held – The President of Uganda, with the four attributes in Article 98(1) of the Constitution, is at all times entrusted with the complete control of the affairs of state. He occupies a unique office with powers and responsibilities so vast and

so important that public interest demands that he devotes his undivided time and attention to his public duties.

Unless the President is immune from the legal proceeding while holding office, there exists a threat of judicial interference with the Executive branch through orders and other court decisions, which would violate the separation of power principle. (*Baker v Cart* 369 US 1962 applied).

However, the courts can review the Head of State powers if the President acts in bad faith or misconstrued his powers. When exercising his duties, he must do so legally and constitutionally. He has to exercise his powers in a non-arbitrary manner. As long as the President acts in good faith and if the political decisions are objectively rational, the court will not interfere with the decision because it disagrees with it.

On a proper interpretation of the Constitution and other relevant laws, there is nothing to stop the court from entertaining a complaint challenging the President's act or acts. (*William Jefferson Clinton v Paula Corbin Jones* 520 US [1997] considered).

However, challenging the act or acts of the President is one thing and prosecuting him and bringing him before a court of law is another. Under Article 98(4) the President cannot be prosecuted for a criminal offence or sued in a civil action in any court except in a Presidential Election Petition.

With regard to the parties to the action for complaints against an act or acts of the President, the proper respondent or person to sue is the Attorney-General.

The fact that the petitioner wrote the resignation letter on the directive of the Commander-in-Chief did not affect the effectiveness of the letter to the Speaker. The directive did not contravene sections 80, 83 and 84 of the Constitution.

It is not a requirement for the Speaker to investigate the reasons for the resignation. All that was required was fulfilled and hence the letter was an effective resignation.

Notification of the Electoral Commission, by the Speaker, that the petitioner's seat had fallen vacant did not contravene Articles 80, 83 and 84 of the Constitution.

Under section 10(4) of the UPDF Act (Chapter 307) the UPDF operates under the general direction of the President. The President, as Commander-in-Chief of the UPDF, has the authority to direct or guide any soldier, including an army representative in Parliament on any military matter.

Soldier members of Parliament are full members of Parliament with equal rights and obligations as the civilian members of Parliament. They subscribe to an oath of office to defend, support and uphold the Constitution at all times. However, the petitioner remained a soldier and had to obey the Army Code of Conduct and observe the discipline. To defend the Constitution, the petitioner does not have to commit a breach of the law. He is enjoined to employ lawful means to fulfil his obligations. The rights and freedoms under Articles 20, 21 and 29 must be enjoyed within the confines of the law. Those rights are not absolute. They are important but are not derogable freedoms under Article 44 of the Constitution.

By participating in radio talk shows and making statements to outsiders without permission from the relevant authority was an offence under the UPDF Act (*sic*). Military standing orders, army code of conduct and other military law are enacted in accordance with the Constitution to operationalise it. The petitioner should, therefore, not have chosen those methods to defend the Constitution and fulfil his obligations as a member of Parliament. He should have employed appropriate ones.

Preferring charges against the petitioner in the circumstances in which it was done was not inconsistent with and did not contravene Articles 20, 21 and 29 of the Constitution.

Once an army representative is allowed to subscribe to an oath of member of Parliament, he or she is faced with two masters to serve, the army code of conduct and the oath of member of Parliament. In this case, the oath of member of Parliament will always sway. (*per Mpagi-Bahigeine and Twinomujini JJA* dissenting)

Pressing charges against the petitioner would conflict with and violate Articles 20, 21 and 29 of the Constitution. (*per Mpagi-Bahigeine and Twinomujini JJA* dissenting)

The President has total immunity against court proceedings both criminal and civil arising out of his or her acts or omissions done or omitted to be done either before or during his or her term in office as President. Any person wishing to challenge those acts or omissions of the President in court has to wait until the President has ceased to be one. The only exception to this is for a challenge of the election of a President of a person who happens to be the incumbent President at the time of the challenge. If the framers of the Constitution had intended the acts of an incumbent President should be challengeable in court, they would have clearly stated so, given the fairly detailed manner in which the Constitution deals with the question of Presidential immunity in Article 98. Where they wanted an exemption to this immunity, the framers of the Constitution said so in Article 109(8). (*William Jefferson Clinton v Paula Cobin Jones* 520 US 681 distinguished) (*per Kavuma JA* dissenting).

The duty of the court is to interpret, not to amend or re-write, the Constitution. Courts should resist the temptation to venture into unnecessary judicial interpretations of the Constitution contrary to its clear provisions (*per Kavuma JA* dissenting).

To strike a difference between challenging the acts of the President in a court of law and making the President a party to court proceedings or arguing that where a party seeks to challenge the acts of the President in court such a party sues the Attorney-General is academic. The effect of either is to erode the Presidential immunity embodied in Article 98 doing so would greatly undermine the rationale behind the Article, which is to cater for the people’s aspirations about the person and office of the President. This is the preservation of the dignity of both the person and the office of the President. (*per Kavuma JA* dissenting)

The Constitution puts the question of how to promptly handle the liability of court proceedings by an incumbent President or immediately subjecting his or her acts or omissions to judicial review, beyond the court’s competence. It leaves it to the people, who through the exercise of their sovereignty, either directly or through their representatives in Parliament, may bring an end to the

incumbent's presidency thereby opening the door for legal action to be taken against him or her (*Attorney-General v Tinyefuza* Constitutional appeal number 1 of 1997 applied) (*per Kavuma* dissenting).

Where the President assigns any of his executive powers to ministers or other officers under Articles 99(4) and 113(3) of the Constitution, immunity does not extend to such other ministers or officers. Where such ministers or officers act or omit to act in such a manner as to attract legal challenge or liability to government, the Attorney-General is sued in his representative capacity under Article 119(*c*) of the Constitution. (*Per Kavuma* dissenting).

Petition dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Attorney-General v Tinyefuza Constitutional appeal number 1 of 1997 – **AP**

Uganda Law Society and another v Attorney-General [2003] 2 EA 694

United Kingdom

Gopal v State of Madras [1950] 5 CR 88

Nighell v Sultan of Jahore [1894] QB 149

William Jefferson Clinton v Paula Corbin Jones 520 US 681 (1997) – **C** and **D**

United States of America

Baker v Cart 369 US 1962 – **AP**

South Dakota v North Carolina 192 US 268 (1940)

Judgment

Twinomujuni JA: This petition is brought under Article 137 of the Constitution and Legal Notice number 4 of 1996. The petitioner made the following averments:

> "1. That your petitioner is an adult male citizen of Uganda of sound mind, being aggrieved by actions infringing my rights under the Constitution and also having interest in the defence of the Constitution and affected by the following matters being inconsistent with the Constitution of the Republic of Uganda, 1995, whereby your petitioner is also aggrieved.
>
> 2. That the act of the Commander-in-Chief and some senior officers of the UPDF directing your petitioner to resign from his position as army representative in Parliament of Uganda is inconsistent with and contravenes Articles 80, 83(1) and 84 of the Constitution.
>
> 3. That the act of the Speaker of Parliament in accepting and declaring your petitioner's seat in Parliament vacant, on the basis of a letter implementing a directive to resign, is inconsistent with and contravenes Articles 80, 83(1) and 84 of the Constitution, when the petitioner has not done any act in conflict with Article 80 of the Constitution.

4. That the act of Uganda People's Defence Forces of restraining your petitioner as a member of Parliament from expressing himself on all political matters irrespective of the constituency that your petitioner represents while exempting others from the same restriction is contrary to Articles 20, 21 and 29 of the Constitution.

5. The Electoral Commission is in the process of declaring the petitioner's seat vacant and is about to commence the electoral process to replace the petitioner as a member of Parliament contrary to Article 83(1) and 84 of the Constitution whereas the petitioner is still willing and able to serve as a member of Parliament." (*sic*)

The petition seeks for the following declarations and remedies:

"(*a*) A declaration that the act of the Commander-in-Chief and army commander in directing your petitioner to resign his position as army representative in Parliament of Uganda is inconsistent with and contravenes Articles 80, 83 and 84 of the Constitution.

(*b*) A declaration that the action of the Speaker of Parliament of Uganda in accepting and declaring your petitioner's seat in Parliament vacant on the basis of a letter implementing a directive to resign, is inconsistent with and contravenes Articles 83(1), 80 and 84 of the Constitution.

(*c*) A declaration that the act of Uganda People's Defence Forces in restraining your petitioner as a member of Parliament from expressing himself on all political matters irrespective of the Constituencies that your petitioner represents while allowing others to do so with impunity contravenes Articles 20 and 29 of the Constitution.

(*d*) Orders of redress in terms of damages to your petitioner for violation of inherent rights and freedoms for;

(i) Freedom of speech.

(ii) Freedom of movement and assembly.

(*e*) Grant an order of redress by restraining the respondents and all their officials and agents from taking any further steps towards the conduct of the elections for army representative in place of your petitioner.

(*f*) A declaration that your petitioner is still the legally elected representative of the Uganda People's Defence Forces in the Parliament of Uganda and an order forbidding, prohibiting and/or restraining the second respondent from declaring the petitioner's seat vacant or conducting elections to replace the petitioner.

(*g*) An order that the respondents pay the costs of this petition to the petitioner." (*sic*)

The brief background to this petition is that the petitioner is a brigadier in Uganda People's Defence Forces (UPDF) and was a member of Parliament before the 28 May 2005 as one of the ten representatives of UPDF in the Parliament. It appears that for some time before that date, the petitioner expressed views in Parliament and outside which did not please the military establishment. As a result, the President, who is the Commander-in-Chief of UPDF, called the petitioner and either directed him or advised him to write to the Speaker of Parliament resigning his seat within twelve hours. The President was flanked by the army commander and the army chief of staff and other senior military officers. The petitioner wrote to the Speaker the following hand-written letter on paper letter headed "Honourable Brig H Tumukunde".

The letter, dated 28 May 2005, read in part:

"Right Honourable Speaker of Parliament of Uganda

P O Box 7178 Kampala

Mr Speaker sir,

I was summoned to a meeting by the Commander-in-Chief of the UPDF on the 27 May 2005 to which I complied.

During the meeting attended by UPDF Command, I was directed to write to you Retired. Honourable Speaker resigning. This directive had a deadline of 12 hours. This therefore explains why I had to write on a weekend.

The purpose of this communication is to draw your attention to the above directive to accordingly comply.

Please do not hesitate to contact me if you need further clarification.

Yours faithfully Henry Tumukunde

HC/JE BRI

cc Commander-in-Chief of the UPDF

cc UPDF Forces Council."

Shortly after this, the petitioner was arrested and charged with various offences in the General Court Martial and is still detained awaiting trial. Meanwhile, the process to replace him as army representative in Parliament began and at the time of hearing of this petition, replacement had already been elected and sworn in.

The following issues were agreed upon by the parties:

(i) Whether the actions of the Commander-in-Chief/President can be challenged in a court of law.

(ii) Whether the petitioner's letter dated 28 May 2005 amounted to a resignation of his seat in Parliament.

(iii) Whether the notification to the Electoral Commission that the petititoner's seat had fallen vacant contravened Articles 80, 83(1) and 84 of the Consitititon.

(iv) Whether the UPDF in pressing charges against the petititoner contravened Articles 20, 21 and 29 of the Constitution.

(v) What relief is available to the parties.

At the trial Honourable Emmanuel *Twarebireho* and Mr Oscar *Kambona* represented the petitioner. The respondent was represented by Mr Lucian *Tibaruha*, the learned Solicitor General and Mr Joseph *Matsiko* the acting director for civil litigation. In a pre-trial scheduling conference before the registrar of this Court, counsel agreed on the above issues. There was also agreement on the facts of this case except that whereas the petitioner states that he was forced to resign, the respondent states that he was advised to resign, hence issue number 2 above which is the central issue in the petititon.

I now turn to the consideration and resolution of the issues in the petition.

Issue number 1

This is whether the actions of the Commander-in-Chief/President can be challenged in a court of law.

Arguing this issue, the learned Solicitor General cited and placed heavy reliance on Article 98(1) and (4) of the Constitution which provide:

98 (1) There shall be a President of Uganda who shall be the head of State, Head of Government and Commander-in-Chief of the Uganda Peoples' Defence Forces and the Fountain of Honour.

(4) While holding office, the President shall not be liable to proceedings in any court."

Mr *Tibaruha* contended that these provisions mean that the President, who is also the Commander-in-Chief of UPDF, the Head of State, Head of Executive and Fountain of Honour, cannot be sued in court for acts done by him or her in his or her official or private capacity until he leaves office. In challenging his actions, the petitioner is subjecting the President to proceedings in court in contravention of Article 98(4) of the Constitution.

In reply, Mr Oscar *Kambona* contended that actions of the President, who is also the Commander-in-Chief of the UPDF, are challengeable in court because of the following reasons:

(*a*) Article 2(1) of the Constitution proclaims the supremacy of the Constitution of Uganda over all persons and authorities in Uganda. Observance of the Constitution is mandatory for every person and authority without exception. This petition is not aimed at the person of the President. It seeks to enforce observance of fundamental human rights and freedoms of the petitioner. This Court has the power and jurisdiction under Article 137 of the Constitution to entertain the petition where the actions of the President have violated the rights and freedoms of a citizen of this country.

(*b*) The President is not being subjected to court proceedings, as he is neither a party nor a witness to the petition. It is the Attorney-General and the Electoral Commission who are parties to this petition. Article 98(4) protects only the person of the President from court proceedings while he holds the office of President. He is not above the law or the Constitution. His actions, therefore, are challengeable in courts of law.

With the greatest respect to the learned Solicitor General, I think he misconstrued the meaning of Article 98(1) and (4) of the Constitution. But before I discuss the Article, I will first revert to the jurisdiction of this Court under Article 137(3) of the Constitution which provides:

"(3) A person who alleges that:

(*a*) an act of Parliament or any other law or anything in or done under the authority of any law; or

(*b*) *any act or omission by any person or authority*,

is inconsistent with or in contravention of a provision of this Constitution, may petition the Constitutional Court for a declaration to that effect and for redress where appropriate." (Emphasis supplied)

Clearly, any act or omission by any person or authority which contravenes the Constitution or is in any way inconsistent with it, is justiciable under the laws of Uganda. There is no exception whatsoever. The President of Uganda, no matter in what capacity, is not exempted. As can be seen from the roles of the President in Article 98(1) of the Constitution, the President is the supreme executive and legislative authority in this country. It is only Article 128 of the Constitution that prevents the President from exercising judicial power. If this Court were to interpret Article 98 to exempt the actions of the President from challenge in court, then there would be no need for the Constitutional Court because the President does virtually everything. Fortunately, such an interpretation is not justifiable and is not called for.

I have said that the Solicitor General misconstrued Article 98 of the Constitution. I agree with Mr *Kambona* that the Article only protects the person of the President from being dragged in courts of law either as a party or a witness for actions performed when holding the office of the President. Article 98(4) means that and no more. I would so hold and decide this issue in the affirmative.

Issue number 2

The issue is whether the petitioner's letter dated 28 May 2005, amounted to a resignation of his seat in Parliament.

The parties do agree that the letter dated 28 May 2005 (*supra*) was indeed written and signed by Brigadier Henry Tumukunde. However, Mr *Kambona* contended that the letter did not amount to a resignation of his seat in Parliament because it was not voluntarily written. It was written under the directive of the Commander-in-Chief of the UPDF. Shortly after he wrote the letter, the petitioner was arrested and at the time of trial he was still in detention. In Mr *Kambona*'s view, a letter written under those circumstances cannot be a valid letter of resignation. The Speaker of Parliament should not have accepted it because on the face of it the letter states that it was written under the directive of the Commander-in-Chief. He invited us to hold that the letter did not amount to a resignation of his seat in Parliament.

Mr *Tibaruha* did not agree with Mr *Kambona*'s reasoning. He advanced several reasons why he believed that the petitioner's letter of resignation was effective and amounted to a resignation of his seat in Parliament:

(*a*) Article 83(1)(*a*) of the Constitution requires that for a member of Parliament to effectively resign the seat, the resignation must be:

  (i) In writing.

  (ii) Signed by the person resigning.

  (iii) Addressed to the Honourable Speaker of Parliament.

(*b*) Even if the President had directed the petitioner to resign, the directive was not unconstitutional. The petitioner was elected to Parliament by the Army Council which operates under the general control of the Commander-in-Chief. If the Member of Parliament's performance falls below expectation, the President has the duty and power to require such a member to resign his seat.

(c) The letter of resignation required the Speaker to comply with the petitioner's request to resign his seat from Parliament. The Speaker obliged.

(*d*) The petitioner was never forced to resign. He was summoned before the President on 27 May 2005 and the letter of resignation was written on 28 May 2005. He was given enough time to reflect over the matter and he freely chose to resign.

Mr *Tibaruha* submitted that there was no requirement that the person resigning should give reasons for his decision. In his view, the petitioner's letter of resignation fulfilled the requirements of Article 83 of the Constitution and the Speaker of Parliament was right to accept it as an effective resignation

I have carefully studied the affidavit evidence of the petitioner and that of Major General Joshua Masaba, the army chief of staff of UPDF. I take into account the contents of the resignation letter written by the petitioner to the Speaker of Parliament dated 28 May 2004. I have no doubt in my mind that the petitioner was never advised by the Commander-in-Chief or anyone else to resign. That is not how the army works. A Commander-in-Chief does not advise his soldiers to do this or that. He orders, commands and directs them to do things. It is their duty as soldiers to obey the commands without questions. A soldier who does not obey the command of the Commander-in-Chief risks severe disciplinary action. In the instant case, the petitioner said certain things in Parliament and outside it which caused extreme displeasure to the Commander-in-Chief. He called him and directed him to resign his seat in Parliament.

He was given 12 hours within which to comply. The petitioner had a choice to comply with the order or not to comply. If he had refused to resign, he would of course have risked severe disciplinary action but he would have remained a member of Parliament until he was recalled in accordance with Article 84 of the Constitution. However, the petitioner chose to comply with the directive of his Commander-in-Chief. In doing this, he was simply doing his duty as a soldier. It is the duty of soldiers to obey commands or directives of their superiors. Although the letter of resignation stated that he was doing so under directives and that he had decided to comply, this could not have surprised the Speaker of Parliament who must know that soldiers are duty bound to obey orders from their superiors. That is how things are done in the army and the petitioner is a soldier. If he had not been a soldier, the Speaker would have had reason to hesitate before accepting the resignation. But a resignation coming from a soldier, even under a directive from the Commander-in-Chief, is as good and effective resignation under Article 83 of the Constitution as long as it is in writing, addressed to the Speaker and is signed by the member of Parliament. The letter of resignation fulfilled the three requirements. My answer to this issue is that the petitioner's letter, dated 28 May 2005, amounted to a resignation of his seat in Parliament.

Issue number 3

The issue is:

Whether the notification to the Electoral Commission that the petitioner's seat had fallen vacant contravened Articles 80, 83(1) and 84 of the Constitution.

I have held in issue number 2 above that the petitioner resigned his seat in Parliament by his letter dated 28 May 2005. The Speaker of Parliament was right to accept it as such. It, therefore, follows that he did not contravene the Constitution when he notified the Electoral Commission that the seat had fallen vacant. I would decide this issue in the negative.

Issue number 4

Whether UPDF in pressing charges against the petitioner contravened Articles 20, 21 and 29 of the Constitution.

Mr *Kambona* pointed out that after the arrest of the petitioner on the orders of the President, the petitioner was charged before the General Military Court Martial of four offences, allegedly committed on 30 April 2005, for making a speech at Central Broadcasting Services (CBS) 88.8 FM Radio without authority from the army. He was also charged with conduct prejudicial to good order and discipline in connection with allegedly making a speech on 5 May 2005 without authority when he appeared on a talk show hosted by Radio One 90.0 FM radio station. The petitioner was also charged with spreading harmful propaganda for what he said on both occasions. Mr *Kambona* submitted that these acts by UPDF contravened Articles 20, 21 and 29 of the Constitution. He contended that the petitioner as a member of Parliament had the duty to defend the Constitution at all times and to deliberate on all national issues in Parliament or anywhere outside Parliament. In his view, it would amount to a breach of his constitutional rights to require him to always get permission from the army everytime he wanted to speak. He asked us to declare that the petitioner is not liable to prosecution for speaking out without permission of the army while he is a member of Parliament and for the contents of what he says in defence of the Constitution.

In reply, Mr *Tibaruha* submitted that the charges against the petitioner did not in any way contravene the Constitution. He argued that the rights and freedoms enshrined in the Constitution were not absolute and acceptable limits to them could be justified. The petitioner being a soldier, was subject to the Army Code of Conduct, the UPDF Act and the Military Standing Orders enacted from time to time in accordance with the Constitution. He, in particular, pointed out the provision of rule 20 of the Army Standing Orders (Volume I) which states:

> "Military personnel are not allowed to contact the press unless approved by the Army Commander."

In Mr *Tibaruha*'s view, this is an acceptable limitation to the rights and freedoms guaranteed to a soldier under the Constitution. He invited us to decide this issue in the negative.

This issue raises a very important question: Do army rules and regulations apply equally to an army soldier who is a member of Parliament as they apply to other ordinary soldiers? Once a soldier is elected to Parliament, whether by the Army Council or by a constituency, he or she subscribes to an oath of office to defend, support and uphold the Constitution at all times. From that moment on, he or she is entitled to all the powers and privileges of any other member of Parliament. He has the duty to deliberate on all matter of national interest. He can attend functions and address rallies anywhere in the country. He is bound to attend functions where members of the press will inevitably be present. If he says anything at the function, the press is bound to report it. A member of Parliament is elected to speak not only for the good of his or her constituency but for the good of the whole country. Freedom of speech is extremely important for a member of Parliament and is the most important weapon for when he is acting in that capacity. A soldier who is elected to Parliament assumes duties and obligations which put him or her at a higher level than ordinary soldiers. Any rules or regulations of the army which impair his capacity to fulfil his obligations under the Constitution must be sub-ordinate to the Constitution. All members of Parliament have equal rights and obligations under the law. It would be discriminatory if some members of Parliament are free to speak freely to the press, to address rallies and to attend national and local functions while other members of Parliament are prohibited from doing the same. It is of course a fact that freedom of speech is not absolute. It can be restricted as provided for under Article 43 of the Constitution. In my judgment, a requirement that a soldier should not contact the press without authority is a reasonable restriction for an ordinary soldier. However, it is not a reasonable restriction for a soldier who is also a member of Parliament. He or she needs wider freedom in order to be able to fulfil his or her mandate under the Constitution. When a soldier member of Parliament is doing his duties, he will be bound to come into contact with the press even in situations where he or she may not be able to foresee it. He or she may be required to make impromptu addresses while greeting the people at rallies and functions. To require that such a person should not speak out at all or get into contact with the press without permission of military authorities is an unjustified and an unconstitutional interference in the work of a member of Parliament who is sworn to defend the Constitution at all times. It would be discriminatory and contrary to Article 21 of the Constitution to allow some members of Parliament to enjoy in full

freedom of speech and to restrict other members of Parliament from doing the same.

I am, of course, aware that a soldier member of Parliament may annoy his constituency by frequently saying things that may displease his constituency. If that happens, the remedy is Article 84 of the Constitution which gives the constituency the power to recall. A member of Parliament who lives under the shadow of possible prosecution for getting in contact with the press or for a statement he may make at a public function cannot fulfil his oath to uphold, protect and defend the Constitution at all times. In my humble opinion, soldier members of Parliament are not mere listening posts as Major General Masaba stated in his affidavit. They are fully fledged members of Parliament with equal rights and obligations with all other civilian members of Parliament. They should not be prosecuted for contacts and utterances they will be bound to make in order to fulfil their wider role of defending the Constitution, even if their constituency is not pleased. A member of Parliament is, in my view, not a delegate, but a representative of his people. He is bound to say something that will not please the constituency. If it is serious and persistent, the member of Parliament should be recalled but not prosecuted.

I would hold that the UPDF in pressing charges against the petitioner contravenes Articles 20, 21 and 29 of the Constitution.

Issue number 5

What relief is available to the parties?

Following my conclusion on the above four issues, I would make the following declarations:

(*a*) Actions of the President/Commander-in-Chief can be challenged in court.

(*b*) The petitioner's letter dated 28 May 2005 amounted to a resignation of his seat in Parliament.

(*c*) Notification to the Electoral Commission that the petitioner's seat had fallen vacant did not contravene Articles 80, 83 and 84 of the Constitution.

(*d*) The UPDF, in pressing charges against the petitioner, contravened Articles 20, 21 and 29 of the Constitution.

(*e*) The petition would succeed in part. Each party should bear its own costs.

Mukasa-Kikonyogo DCJ and Kitumba JA: This petition is filed by Brigadier Henry Tumukunde, hereinafter to be referred to as the petitioner. It is brought under Articles 137, 20, 2I, 29, 80, 83 and 84 of the Constitution and Legal Notice number 4 of 1996. The grounds of the petition are contained in the petition itself and in the affidavit in support thereof, deponed to by the petitioner on 7 June 2005. The petitioner alleges as follows:

"1. That your petitioner is an adult male citizen of Uganda, of sound mind being aggrieved by actions infringing my rights under the Constitution and also having interest in the defence of the Constitution and affected by the following matters being inconsistent with the Constitution of the Republic of Uganda, 1995, whereby your petitioner is also aggrieved.

2. That the act of the Commander-in-Chief and some senior officers of the UPDF directing your petitioner to resign from his position as army representative in Parliament of Uganda, is inconsistent with and contravenes Articles 80, 83(1) and 84 of the Constitution.

3. That the act of the Speaker of Parliament in accepting and declaring your petitioner's seat in Parliament vacant on the basis of a letter implementing a directive

to resign is inconsistent and contravenes Articles 80, 83(1) and 84 of the Constitution when the petitioner has not done any act in conflict with Article 80 of the Constitution.

4. That the act of Uganda Peoples Defence Forces of restraining your petitioner as a member of Parliament from expressing himself on all political matters irrespective of the constituency that your petitioner represents while exempting others from the same restriction is contrary to Articles 20, 21 and 29 of the Constitution.

5. The Electoral Commission is in the process of declaring the petitioner's seat vacant and is about to commence the electoral process to replace the petitioner as a member of Parliament contrary to Articles 83(1) and 84 of the Constitution whereas the petitioner is still willing and able to serve as a member of Parliament.

6. That this petition is accompanied by the affidavit deponed by your petitioner." (*sic*)

The petitioner is praying this Court for the following relief:

"(*a*) A declaration that the act of the Commander-in-Chief and army command in directing your petitioner to resign his position as army representative in Parliament of Uganda is inconsistent with and contravenes Articles 80, 83 and 84 of the Constitution.

(*b*) A declaration that the action of the Speaker of Parliament of Uganda in accepting and declaring your petitioner's seat in Parliament vacant on the basis of a letter implementing a directive to resign is inconsistent and contravenes Articles 83(1), 80 and 84 of the Constitution.

(*c*) A declaration that the act of Uganda Peoples Defence Forces in restraining your petitioner as a member of Parliament from expressing himself on all political matters irrespective of the Constituencies that your petitioner represents, while allowing others to do so with impunity contravenes Articles 20, 21 and 29 of the Constitution.

(*d*) Orders of redress in terms of damages to your petitioner for violation of inherent rights and freedoms for;

(i) Freedom of speech

(ii) Freedom of movement and assembly.

(*e*) Grant an order of redress by restraining the respondents and all their officials and agents from taking any further steps towards the conduct of the elections for army representative in place of your petitioner.

(*f*) A declaration that your petitioner is still the legally elected representative of the Uganda Peoples Defence Forces in the Parliament of Uganda and an order forbidding, prohibiting and/or restraining the second respondent from declaring the petitioner's seat vacant or conducting elections to replace the petitioner.

(*g*) An order that the respondents pay the costs of this petition to the petitioner. (*sic*)"

The petitioner was represented by Honourable Emmanuel *Twarebireho* and Mr Oscar *Kambona*. The Solicitor General, Mr L *Tibaruha*, assisted by Mr Joseph *Matsiko*, Acting director of civil litigation and Mr Okello Oryema SSA appeared for the Attorney-General, hereafter to be referred to as the first respondent and the Electoral Commission also to be referred to as the second respondent.

In their answer to the petition, the respondents denied all the allegations contained in the petition. The answer reads as follows:

"1. Save what is herein expressly admitted, the respondents deny all allegations contained in the petition as if the same were set forth and traversed seriatim.

2. In reply to paragraph 2 of the petition the respondents deny any contravention of Articles 80, 83(1) and 84 of the Constitution and aver that the petitioner was never forced to resign from his position as Army Representative in Parliament, and that his resignation is effective and not unconstitutional.

3. The respondents further aver that in any event the alleged actions of the President/Commander-in-Chief are not challengeable in Court.

4. In reply to paragraph 3 of the petition, the respondents aver that in accepting the petitioner's letter of resignation, the Speaker did not breach Articles 80, 83, or 84(1) of the Constitution.

5. In reply to paragraph 4 of the petition, the respondents aver that the petitioner is barred by the Constitution and the Uganda People's Defence Forces Act from engaging in partisan politics and from making statements or engaging in conduct that is partisan or prejudicial to good order and discipline of the Army, and contravention of Articles 20, 21 and 29 of the Constitution is denied.

6. In reply to paragraph 5 of the petition, the respondents aver that the petitioner's seat in Parliament fell vacant and the second respondent has not breached Articles 83(1) and 84 of the Constitution as alleged or at all.

7. The respondents aver that this petition is incompetent, misconceived and shall contend at the hearing that it is not supported by admissible evidence or at all, and that the petitioner is not entitled to any relief".

Wherefore it was prayed for the respondents that this Court dismisses the petition with costs.

The answer was supported by two affidavits. One was deponed to on 14 June 2005 by Angella Kiryabwire Kanyima, a Principal State Attorney in the first respondent's chambers. The second one dated 22 June 2005 was sworn by Major General Joshua Masaba, the Chief of Staff of the Uganda Peoples Defence Forces (UPDF) and a member of UPDF Forces Council. (*sic*)

Following the scheduling conference the parties agreed to the five following issues.

1. Whether the actions of the Commander-in-Chief can be challenged in a court of law.

2. Whether the petitioner's letter dated 28 May 2005 amounted to a resignation of his seat in Parliament.

3. Whether the notification of the Electoral Commission that the petitioner's seat had fallen vacant contravened Articles 80, 83(1) and 84 of the Constitution.

4. Whether UPDF in pressing charges against the petitioner contravened Articles 20, 21, and 29 of the Constitution.

5. What relief is available to the parties?

Issue number 1

On Issue number 1, it was Mr Oscar *Kambona*'s contention that the acts of the President of Uganda and Commander-in-Chief were challengeable in a competent court of law. He gave two reasons for taking that position. Firstly Article 2 of the Constitution of Uganda proclaims the supremacy of the Constitution.

Article 2 states that:

> "This Constitution is the supreme law of Uganda and shall have binding force on all authorities and persons throughout Uganda."

It follows, therefore, that its observance and protection is mandatory on all persons including the Commander-in-Chief of the Uganda People's Defence Forces, hereafter to be referred to as UPDF. The petition is not on the person of the President but the issue is observance of fundamental human rights and freedoms.

Secondly, the Constitutional Court is seized with jurisdiction under Article 137 of the Constitution to entertain a petition for observance of human rights and freedoms. Its purpose is to determine whether the acts of both the President and the UPDF Officers were inconsistent with and contravened the Constitution. Counsel invited the Court to answer this issue in the affirmative.

For the respondents it was argued by the learned Solicitor General that the issue was basically a matter of the law which goes to the root of the petition. Relying on Article 98 clauses 1 and 4 of the Constitution it was the learned Solicitor General's contention that actions of the President cannot be challenged in a court of law with the exception of Article 104(8) of the Constitution.

Clause (1) of Article 98 reads as follows:

> "There shall be a President of Uganda who shall be the Head of State, Head of Government and Commander-in-Chief of the Uganda Peoples' Defence Forces and the Fountain of Honour."

Clause (4) reads that:

> "While holding office, the President shall not be liable to proceedings in any court."

Clause (5) of Article 98 reads as follows:

> "Civil or criminal proceedings may be instituted against a person after ceasing to be President, in respect of anything done or omitted to be done in his or her personal capacity before or during the term of office of that person; and any period of limitation in respect of any such proceedings shall not be taken to run during the period while that person was President."

Counsel further argued that the importance of clause 1 of Article 98 is that each of the four attributes mentioned in that clause namely, Head of State, Head of Government, Commander-in-Chief of UPDF and Fountain of Honour constitute the person of the President. Whilst holding that office, the President cannot be liable to any proceedings in any court in his official or private capacity. With the exception of the Presidential Election Petitions under Article 104(8) of the Constitution, by challenging the act or acts of the President in court, the petitioner is subjecting him to judicial proceedings.

Further, the Solicitor General submitted that as for the directive to resign, it is argued for the respondents that it was not inconsistent with and did not contravene the Constitution. It is not disputed that as the Commander-in-Chief, the President could advise the petitioner as an army representative in Parliament without contravening the Constitution. Counsel pointed out that the directive to resign can never be a subject of challenge in any proceedings in any court of law. He, therefore, prayed court to answer Issue number 1 in the negative. Further, as far as the Solicitor General was concerned his submissions on this issue are sufficient to dispose of the petition because he contended it was

incompetent and misconceived. However, he decided to proceed to address the court on the remaining issues, presumably should he be overruled.

We accept that as submitted by the learned Solicitor General that the President of Uganda with the four attributes stated in Article 98(1) (*supra*) is at all times entrusted with the complete control of the affairs of the state. He occupies a unique office with powers and responsibilities so vast and so important that public interest demands that he devotes his undivided time and attention to his public duties.

Historically, the President/King has been over and above all other persons. See: *Constitutional and* Administrative *Law* by Stanley De Smith and Rodney Brazier (7ed) at 153-154. He enjoyed sovereign immunity. In the case of *Nighell v Sultan of Jahore* [1894] QB 149, the defendant successfully pleaded sovereign immunity from the jurisdiction of the Court. The plaintiff's action was discontinued.

The rationale behind that is not hard to find. Clearly each of the three arms of the Government namely; the Executive, the Legislature and the Judiciary is independent. There is need for each arm to respect the duties of the others. Unless the President is immune from legal proceedings while holding office, there exists a threat of judicial interference with the executive branch through orders, and other court decisions which would violate the separation of power principle.

In the case of *Baker v Cart* 369 US 1962 it was held by the USA Supreme Court that, when the President is exercising his constitutional executive powers, he is exempted from judicial scrutiny. However, the aforesaid notwithstanding, the courts can review the Head of State powers if the President acts in bad faith or misconstrued his powers. It is an accepted fact when executing his duties, he must do so legally and constitutionally. He has to exercise his powers in a non-arbitrary manner.

As long as the President acts in good faith and if the political decisions are objectively rational, the court will not interfere with the decision because it disagrees with it.

On the other hand, in the more recent case of *William Jefferson Clinton v Paula Corbin Jones*, 520 US 681 (1997) when the doctrine of Presidential Immunity was extensively considered, the courts in United States of America decided that, the doctrine with respect to actions taken in his "public character" that is official acts, the President may be disciplined principally by impeachment, but not by private law suits for damages. But he is, otherwise, subject to the laws for his purely private acts.

In Uganda we are alive to the provisions of Articles 9(1), and 4, and Article 104(8) of The Constitution (*supra*) which are relevant to the issue before court. Article 104(8) reads as follows:

> "For the purposes of this Article, clause (4) of Article 98 of this Constitution shall not apply."

In Uganda, on a proper interpretation of the Constitution and other relevant laws, our considered view is that there is nothing to stop this Court from entertaining a complaint challenging the President's act or acts. Article 137 is clear and needs no further explanation.

However, challenging the act or acts of the President is one thing and prosecuting him and bringing him before a court of law is another. We agree that under clause 4 of Article 98 (*supra*) the President cannot be prosecuted for a criminal offence or sued in a civil action in any court. The sole exception is the Presidential Election Petition. An aggrieved party in any other civil or criminal matter will have to wait until the end of his term of office.

Clause (5) of Article 98 reads:

> "Civil or criminal proceedings may be instituted against a person after ceasing to be President, in respect of anything done or omitted to be done in his or her personal capacity before or during the term of office of that person; and any period of limitation in respect of any such proceedings shall not be taken to run during the period while that person was President."

With regard to the parties to the action for complaints against an act or acts of the President, the proper respondent or person to sue is the Attorney-General. In the premises we accept Mr Oscar *Kambona*'s submission that the act or acts of the President of Uganda in appropriate cases can be challenged in courts of law. However, while holding office, the President shall not be liable to proceedings in any court. The answer to Issue number 1 is in the affirmative.

On *Issue number 2* that is concerning the petitioner's letter written on 28 May 2005, it was submitted for the petitioner that the said letter was and is not a resignation letter.

It reads as follows:

> "28 May 2005
>
> Honourable Brig H Tumukunde
>
> Right Honourable Speaker of Parliament of Uganda
>
> P.O. Box 7178, Kampala
>
> Mr Speaker Sir,
>
> I was summoned to a meeting by the Commander-in-Chief of the UPDF on the 27 May 2005 to which I comply.
>
> During the meeting attended by UPDF Command, I was directed to write to you Mr Speaker resigning. This directive had a deadline of 12 hours. This explains my writing on a weekend.
>
> The purpose of this communication is to draw your attention to the above directive and to accord comply.
>
> Please do not hesitate to contact me if you need my further clarifications.
>
> Yours faithfully, (*sic*)
>
> Henry Tumukunde
>
> Brigadier
>
> cc Commander-in-Chief of the UPDF
>
> cc UPDF Forces Council"

His counsel argued that it was not disputed by both respondents that the petitioner is currently in detention. In those circumstances, he submitted, that the letter could not have been written voluntarily to make it a resignation. As far as the petitioner is concerned it was a directive and indeed that is what he communicated to the Honourable Speaker of Parliament and not a resignation. Additionally, counsel argued, that the petitioner was the best person to explain a document of which he is the author. In the instant petition another person, a stranger, cannot come and say that the letter was a resignation. On perusal of

Article 83 of the Constitution it is clear that a directive from a superior is not one of the instances a Member of Parliament may vacate his seat.

On the averment contained in paragraph 4 of Angella Kiryabwire's affidavit to the effect that there was no evidence of force used, counsel argued that there was no need for further evidence. To him, the petitioner's letter speaks for itself. It clearly states it is a directive and that no more evidence of force is required. He also invited this Court to disregard paragraphs 8, 9 and 10 of Major General Masaba's affidavit where he attempts to throw some light on the matter which, to him was an attempt by the first respondent to distort the events that occurred. Advice and a directive are different things. Relying on sections 92 and 94 of The Evidence Act, counsel submitted that it was wrong to adduce oral evidence to contradict a written document. Masaba's affidavit clearly stated that they were not happy before the petitioner's letter of 28 May 2005, was written which shows it must have been a directive. The petitioner should have been recalled and not given a directive. It was vehemently argued for the petitioner that the Commander-in-Chief of UPDF and the members of the High Command were wrong in directing the petitioner to resign his position as an army representative in the Parliament of Uganda. The directive was inconsistent with and contravened Articles 80 and 84 of the Constitution.

In reply, the learned Solicitor General submitted that the petitioner's letter of 28 May 2005 was an effective letter of resignation which made his seat in Parliament vacant for a number of reasons.

Firstly, there is no constitutional requirement that to be an effective resignation, it must be accompanied by reasons. To support his submissions, counsel referred the court to Article 83(1)(*a*) of the Constitution.

> "(1) A member of Parliament shall vacate his or her seat in Parliament (*a*) if he or she resigns his or her office in writing signed by him or her and addressed to the Speaker."

Secondly, the letter fulfilled the three requirements provided under Article 83(1)(*a*) of the Constitution and it was, therefore, an effective letter of resignation. Before accepting the resignation, the Speaker does not have to demand to know reasons why a member of Parliament is resigning. It was submitted for the respondents that the directive of the President was not unconstitutional.

We listened to the submissions and arguments advanced by counsel on both sides on this issue and we have considered them carefully. Whether the petitioner was directed or advised by the Commander-in-Chief there is no evidence to show that he was forced to write the letter of resignation to the Speaker. In any case he did not have to write it. He could have refused. He states in his letter that he was given 12 hours in which to write the letter. He wrote it voluntarily on his letterhead and sent it to the Honourable Speaker.

Further, the petitioner who is a soldier, had no choice but to obey orders from the Commander-in-Chief. The fact that he wrote the letter under the directive did not affect the effectiveness of the letter to the Speaker. On the evidence before court we do not accept that the directive contravened Articles 80, 83 and 84 of the Constitution. Article 80 provides for qualifications and disqualifications of the members of Parliament.

Clearly, the Commander-in-Chief did not deny the fact that the petitioner had the necessary qualification for membership of Parliament. He was only displeased with his conduct. On perusal of the provisions of Articles 83(1), the

petitioner's tenure of office ceased when the Speaker received the letter and accepted it. The letter amounted to a resignation because Article 83(1) reads as follows:

> "1. A member of Parliament shall vacate his or her seat in Parliament-
>
> (i) If he or she resigns his or her office in writing signed by him or her and addressed to the Speaker."

The petitioner wrote a letter resigning his seat in Parliament. He addressed it to the Honourable Speaker of Parliament. He (Speaker) accepted the resignation. It is not a requirement for the Speaker to investigate the reasons for the resignation. All that was required was fulfilled and hence the letter was an effective resignation. In accordance with the Constitution the Honourable Speaker declared the petitioner's seat vacant. With regard to the petitioner's complaint on the President's directive to him to write the letter to vacate his seat, for the reasons already mentioned it was not unconstitutional. The President had powers to give orders to the petitioner, a Brigadier in UPDF and a member of the UPDF Council. Under section 10(4) of UPDF Act (Chapter 307) the Uganda People's Defence Council operates under the general direction of the President. There is no doubt the President, the Commander-in-Chief of the UPDF has the authority to direct or guide any soldier including an army representative in Parliament on any military matter. It is true there is a laid down procedure by Parliament under which a member of Parliament could be recalled from that office on any of the three grounds mentioned therein and including.

> "(*a*) Misconduct or misbehaviour likely to bring hatred, contempt or disrepute to the office."

The petitioner's constituency namely UPDF Council did not have to follow that procedure as submitted by his counsel. For the aforesaid reasons our answer on issue number 2 is in the affirmative.

Issue number 3

It was the contention of the petitioner that the notification to the Electoral Commission by the Speaker that the petitioner's seat had fallen vacant contravened Articles 80 and 83(1) and 84 of the Constitution. He relied on his earlier submissions on issue number 2 that there was no resignation, and that no record was taken. Counsel submitted that the Honourable Speaker wrongly notified the Electoral Commission of the petitioner's seat falling vacant. Counsel emphasised the fact that notification must be made only when there is a vacancy which was not the case.

The Solicitor General did not agree with counsel for the petitioner. He submitted that the Speaker of Parliament was right to accept the resignation. Consequently he did not contravene the Constitution when he notified the Electoral Commission that the petitioner's seat had fallen vacant.

In our view, on the record before court, the Honourable Speaker cannot be faulted for notifying the Electoral Commission of the vacant seat. The law is clear and speaks for itself. Having ruled that the petitioner's resignation was effective, the only course open to the Speaker was to comply with the relevant provisions of the law. There was no contravention of the Constitution. We answer Issue number 3 in the negative.

Issue number 4

With regard to issue number 4 relating to charges preferred against the petitioner, it was submitted for him that they contravened Articles 20, 21 and 29 of the Constitution. The petitioner was charged before the General Court-Martial with two offences. The gist of the said charges is that on several occasions the petitioner contacted the press and made public statements over the radio which were prejudicial to the good order and discipline in the army. He was also charged with spreading harmful propaganda contrary to section 38(1) and 2(*c*) of the UPDF Act. It was strongly argued for him that the act of UPDF in restraining him as a member of Parliament from expressing himself on all political matters irrespective of constituencies that he represents while allowing the others to do so with impunity contravenes Articles 20, 21 and 29 of the Constitution.

To require the petitioner to obtain permission is a violation of his freedom of speech and expression. According to Article 20 of the Constitution, fundamental rights and freedoms of an individual are inherent and not granted by the State. Article 79 of the Constitution outlines the functions of a member of Parliament. Once a member of Parliament, the petitioner is under an obligation under Article 79(3) of the Constitution to protect the Constitution and promote the democratic governance of Uganda. There is nothing in the Constitution to restrict a member of Parliament to his or her constituency. He or she can make law for the whole country. To restrain him or her from freely visiting or mixing with Ugandans generally is unconstitutional.

In reply, the learned Solicitor General did not agree with counsel for the petitioner on this issue. As far as he was concerned, the charges preferred against the petitioner did not contravene Articles 20, 21 and 29 of the Constitution. Additionally, he explained that they were not entrenched. He pointed out that military law enjoins the petitioner to observe it. He must also comply with the army code of conduct. In accordance with the UPDF Act and standing orders, he is required to obtain permission before communicating any information to an outsider or stranger, and especially to the press.

We heard the submissions and arguments advanced by the learned Counsel for both sides and we appreciate the petitioner’s concerns. We agree that soldier members of Parliament are full members of Parliament with equal rights and obligations as the civilian members of Parliament. They subscribe to an oath of office to defend, support and uphold the Constitution at all times. It is not disputed that the petitioner is entitled to all the powers and privileges any other member of Parliament has.

The aforesaid not withstanding, the petitioner as an officer of the UPDF remained a soldier. He must, therefore, obey the army code of conduct and observe the discipline. To defend the Constitution, the petitioner does not have to commit a breach of the law. He is enjoined to employ lawful means to fulfil his obligations. The rights and freedoms provided under Articles 20, 21 and 29 of the Constitution must be enjoyed within the confines of the law. Those rights are apparently not absolute. They are important but are no derogable freedoms under Article 44 of the Constitution.

Clearly the petitioner knew that participating in radio talk shows and making statements to outsiders without permission from the relevant authority was an offence under the UPDF Act, military standing orders, army code of conduct

and other military law enacted in accordance with the Constitution to operationise it. The petitioner should, therefore, not have chosen those methods he used to defend the Constitution and fulfil his obligations as a member of Parliament. He should have employed appropriate ones.

Rule 20 of the Army Standing Orders (Volume 1) states as follows:

> "Military personnel are not allowed to contact the press unless approved by the Army Commander."

We are mindful that the authority or regulations or rules must be subordinated to the Constitution. However, the petitioner has not proved to the satisfaction of this Court that the army code of conduct, standing orders or any other existing military law or regulations are inconsistent with the Constitution.

As regards the complaint of discrimination of soldier members of Parliament there is no evidence on record to support it. They are not prohibited to speak to the press, to address rallies and to attend local or national functions. All that is required of them is to obtain permission or approval of the Commanding Officer. In our opinion we do not consider that requirement unreasonable. It must have been enacted to enforce observance of discipline and also for security reasons. Members of Parliament are not above the law. In this we are fortified by the provisions of Article 43 of the Constitution which under clauses 1 and 2 provide as follows:

> "(1) In the enjoyment of the rights and freedoms prescribed in this chapter, no person shall prejudice the fundamental or other human rights and freedoms of others or the public interest.
>
> (2) Public interest under this Article shall not permit:
>
> (*c*) any limitation of the enjoyment of the rights and freedoms prescribed by this chapter beyond what is accepted and demonstrably justifiable in a free and democratic society, or what is provided in this Constitution".

To deny the UPDF to enforce military law and especially the army code of conduct against its officers representing it in Parliament would be tantamount to authorizing indiscipline on their part.

For the aforesaid reasons we hold that preferring charges against the petitioner in the circumstances in which it was done, was not inconsistent with and did not contravene Articles 20, 21 and 29 of the Constitution. The answer to issue number 4 is in the negative.

Issue number 5

Relief

Lastly what relief is the petitioner entitled to if any?

Counsel for the petitioner prayed for damages under Article 137 of the Constitution but, on the record before us there is no evidence of violation of the petitioner's fundamental human rights and freedoms to justify awarding him damages. Although issue number 1 is decided in his favour, it is on a point of law and as such does not entitle him to any damages. We are, therefore, unable to award him any.

The petitioner had also originally prayed for more declarations but he had to abandon several of them because they had been overtaken by events. This Court is, hence, left with the determination of only the five issues framed and

agreed upon by the parties at the scheduling conference. Our declarations on the issues framed by the parties are as follows:

1. On issue number 1 Actions of the President of Uganda can be challenged in a competent court of law. However, while holding office, the President shall not be liable to proceedings in court.
2. On issue number 2 we are satisfied that the petitioner's letter dated 28 May 2005 addressed to the Retired Honourable Speaker amounted to resignation of the petitioner's seat in Parliament.
3. With regard to issue number 3 notification of the Electoral Commission that the petitioner's seat had fallen vacant did not contravene Articles 80, 83 and 84 of the Constitution.
4. On issue number 4, the acts of the UPDF Council preferring charges against the petitioner were not inconsistent with and did not contravene Articles 20, 21 and 29 of the Constitution.
5. On issue number 5 no damages are awarded to the petitioner.

In the premises this petition must fail. We would dismiss it and order each party to pay its own costs.

Lastly from the conclusions reached by the justices on the coram in the four judgments delivered in this petition, the decision of this Court is as follows:

(1) On issue number 1

By a majority of four to one it is declared that the actions of the President of Uganda can be challenged in a competent court of law. However, while holding office, the President shall not be liable to proceedings in court.

(2) On issue number 2

By a unanimous decision of the court the letter dated 28 May 2005 addressed to the retired Honourable Speaker amounted to resignation of the petitioner's seat in Parliament.

(3) On issue number 3

By a unanimous holding of the Court the notification of the Electoral Commission that the petitioner's seat had fallen vacant did not contravene Articles 80, 83, and 84 of the Constitution.

(4) Issue number 4

By a majority declaration of three to two, the acts of the UPDF Council in pressing charges against the petitioner were not inconsistent with and did not contravene Articles 20, 21 and 29 of the Constitution.

(5) Issue number 5

By a unanimous decision of the court the petitioner is not awarded damages.

In result, by a majority of three to two the petition is dismissed. Each party will bear its own costs.

Mpagi-Bahigeine JA: This petition was filed by Brigadier Henry Tumukunde, hereinafter referred to as the petitioner. It is under Articles 137, 20, 21, 29, 83 and 84 of the Constitution of Uganda 1995 and Rules of the Constitutional Court (Petitions for Declarations under Article 137 of the Constitution) Directions, Legal Notice number 4 of 1996 and all other enabling laws.

The petitioner's grievances are:

1. That the act of the Commander-in-Chief and some senior officers of the UPDF, directing your petitioner to resign from his position as army representative in Parliament of Uganda, is inconsistent with and contravenes Articles 80, 83(1) and 84 of the Constitution.

2. That the act of the Speaker of Parliament in accepting and declaring you petitioner's seat in Parliament vacant on the basis of a letter implementing a directive to resign is inconsistent and contravenes Articles 80, 83(1) and 84 of the Constitution when the petitioner has not done any act in conflict with Article 80 of the Constitution.

3. That the act of Uganda Peoples Defence Forces of restraining your petitioner as a member of Parliament from expressing himself on all political matters irrespective of the constituency that your petitioner represents while exempting others from the same restriction is contrary to Articles 20, 21 and 29 of the Constitution.

4. That the Electoral Commission is in the process of declaring the petitioner's seat vacant and is about to commence the electoral process to replace the petitioner as a member of Parliament contrary to Articles 83(1) and 84 of the Constitution whereas the petitioner is still willing and able to serve as a member of Parliament.

He seeks the following relief:

(*a*) A declaration that the act of the Commander-in-Chief and army command in directing your petitioner to resign his position as army representative in Parliament of Uganda is inconsistent with and contravenes Articles 80, 83 (1) and 84 of the Constitution.

(*b*) A declaration that the action of the Speaker of Parliament of Uganda in accepting and declaring your petitioner's seat in Parliament vacant on the basis of a letter implementing a directive to resign is inconsistent and contravenes Articles 83(1), 80 and 84 of the Constitution.

(*c*) A declaration that the act of Uganda Peoples Defence Forces in restraining your petitioner as a member of Parliament from expressing himself on all political matters irrespective of the constituencies that your petitioner represents while allowing others to do so with impunity contravenes Articles 20, 21 and 29 of the Constitution.

(*d*) Orders of redress in terms of damages to your petitioner for violation of inherent rights and freedom for;

(i) Freedom of speech.

(ii) Freedom of movement and assembly.

(*e*) Grant an order of redress by restraining the respondents and all their officials and agents from taking any further steps towards the conduct of the elections for army representative in place of your petitioner.

(*f*) That all actions taken by the respondent, subsequent to the letter of 28 May 2005 seeking to replace the petitioner as member of Parliament, be declared null and void.

The petition was supported by the petitioner's affidavit sworn on 7 June 2005.

The respondent filed an answer to the petition contending that the petitioner was not entitled to any of the relief sought as none of the Constitutional provisions alleged were ever breached. In particular, the following paragraphs of the answer state:

"2. In reply to paragraph 2 of the petition the respondent deny any contravention of Articles 80, 83(1) and 84 of the Constitution and aver that the petitioner was never forced to resign from his position as army representative in Parliament, and that his resignation is effective and not unconstitutional.

1. The respondent further avers that in any event the alleged actions of the President/Commander-in-Chief are not challengeable in court.

2. . . . the respondents aver that in accepting the petitioner's letter of resignation, the Speaker did not breach Articles 80, 83 or 84(1) of the Constitution.

3. . . . the petitioner is barred by the Constitution and the People's Defence Act from engaging in partisan or making statements or engaging in conduct that is partisan or prejudicial to good order and discipline of the army, aid contravention of Articles 20, 21 and 29 of the Constitution is denied (*sic*)."

In the respondent's view the petition is misconceived, incompetent and is not supported by any evidence.

The answer was supported by two affidavits; one deponed by Ms Angella Kiryabwire Kanyima, Principal State Attorney and dated 4 June 2005. The other affidavit dated 22 June 2005 was sworn by Major General Joshua Masaba, the Chief of Staff of the Uganda People's Defence Forces (UPDF) and member of the UPDF Council of which the President is the chairman.

The agreed facts after conferencing are as follows:

1. On 28 May 2005 the petitioner wrote to the Speaker of Parliament a letter attached as annexure "A" to the affidavit in support of the petition.

2. The Speaker subsequently received the said letter.

3. The clerk to Parliament notified the Electoral Commission in writing that the petitioner's seat had fallen vacant.

4. The petitioner is currently under detention following charges brought against him before the General Court Martial, on four counts, for allegedly making statements that were prejudicial to the good order and discipline of the army or Government of Uganda and other alleged statements that tantamount to nepotism and sectarianism.

The agreed issues are:

1. Whether the actions of the Commander-in-Chief/President can be challenged in a court of law.

2. Whether the petitioner's letter dated 28 May 2005, amounted to a resignation of his seat in Parliament.

3. Whether the notification to the Electoral Commission that the petitioner's seat had fallen vacant contravened Articles 80, 83(1) and 84 of the Constitution.

4. Whether the UPDF in pressing charges against the petitioner contravened Articles 20, 21 and 29 of the Constitution.

5. What relief is available to the parties.

Mr Emmanuel *Twarebireho* with Mr Oscar *Kambona* represented the petitioner. The Solicitor General, Mr Lucien *Tibaruha* with Mr Joseph *Matsiko* acting director of civil litigation assisted by Mr Henry Oluka, Senior State Attorney appeared for the respondent Attorney-General.

Regarding issue number 1, whether the actions of the Commander-in-Chief can be challenged in a court of law, Mr Oscar *Kambona*, learned Counsel, argued that such actions are challengeable in court for the following reasons.

1. Article 2 proclaims the supremacy of the Constitution. It follows, thus, that observance of the Constitution and its protection is mandatory on all persons including the Commander-in-Chief without exception. Mr *Kambona* pointed out that the petition was not about the person of the President. It only sought orders aimed at observance of the Constitution, the fundamental human rights of the petitioner.

2. The petition is against the Attorney-General and not the Commander-in-Chief/the President. He pointed out that under Article 137(1) this Court can enquire into the constitutionality of any act or omission by any person or authority and this time it follows that the acts of the Commander-in-Chief and President are challengeable in this Court.

He prayed court to resolve this issue in the affirmative.

In reply, the learned Solicitor General, opposing the petition, argued that the actions of the President could not be challenged in a court of law. Referring to Article 98(1) and (4), he submitted that in the presidency are infused four attributes of Head of State, Head of Government and Commander-in-Chief of the UPDF and Fountain of Honour. These attributes are inseparable. Clause 4 makes it clear that, while in office, the President cannot be sued or made liable in court, neither in his official nor in his personal capacity, the only exception being Article 104(8) when the President can be dragged to court to defend a Presidential election petition.

The learned Solicitor General further contended that the Attorney-General who is being sued is not the Government but a representative of the Government and that it is the President as Head of State, Head of Government and Commander-in-Chief of the UPDF who advised the petitioner to resign his position, which advice the petitioner accepted though he states he obliged since as senior officer he was duty bound to obey the Commander-in-Chief. He pointed out that the act of the President in asking the petitioner to resign could not be challenged in court. The petition is, thus, wholly incompetent and the court should find it so.

Under Article 137(3):

"(3) A person who alleges that:

(*a*) an Act of Parliament or any other law or anything in or done under the authority of any law or

(*b*) any act or omission by any person or authority, is inconsistent with or in contravention of a provision of the Constitution, may petition the Constitutional Court for a declaration to that effect, and for redress where appropriate."

It is clear that this provision empowers this Court to inquire into any act or omission by any person or authority without exception.

The President is primarily the executive branch of government. He is vested with executive power being the Head of State, Head of Government and the Commander-in-Chief of the armed forces and the Fountain of Honour. He superintends the administration of the country through various ministries/departments. He effectuates all laws passed by Parliament. If his acts/omissions were to be exonerated from court's jurisdiction the administration of justice would grind to a halt as my Lord Twinomujuni JA put it.

As the Fountain of Honour, the person of the President while still in office is protected against court proceedings by Article 98(4). In all these various capacities under Article 119 the Attorney-General, who is the principal legal adviser of the Government, represents and defends the Government including the President's official actions and or omissions, in court; that is why this petition is filed against the Attorney-General and not the President. Regarding anything done by the President in his personal capacity, criminal or civil proceedings may be

taken against the President after he leaves office – Article 98(5). I would, therefore, answer issue number 1 in the affirmative.

Regarding issue number 2 whether the petitioner's letter dated 28 May 2005 amounted to a resignation of his seat in Parliament, this letter annexure "A" to the petition reads:

> "Mr Speaker Sir,
>
> I was summoned to a meeting by the Commander-in-Chief of the UPDF on the 27 of May 2005 to which I complied.
>
> During the meeting attended by UPDF Commander, I was directed to write to you Mr Speaker resigning. This directive had a deadline of 12 hours. This explains my writing on a weekend.
>
> The purpose of this communication is to draw your attention to the above directive and to accordingly comply.
>
> Please do not hesitate to contact me if you need any further clarifications.
>
> Yours faithfully
>
> Sgd: Henry Tumukunde.
>
> c.c. Commander-in-Chief of the UPDF
>
> c.c. UPDF Forces Council"

Mr *Kambona*, learned Counsel, argued that this was not a letter of resignation. The petitioner was just directed to resign. This explains his writing it on a weekend. Immediately thereafter, he was arrested and is currently in detention pending trial before General Court Martial. He submitted that the surrounding circumstances cannot make the letter a resignation but a directive, though it was contended by the respondent that it was advice. It was argued that the respondent's admission that the petitioner was required to be a listening post in Parliament which he declined, proves that the letter was not a resignation but a directive. A directive is not a recall as prescribed under Article 84, counsel submitted.

In reply, the learned Solicitor General argued that the letter in question was an effective letter of resignation for the following reasons:

(*a*) There is no requirement that for the resignation to be effective must be accompanied by reasons or that the Speaker must demand an explanation. The letter fulfilled the requirement of Article 83.

(*b*) The directive of the President was not unconstitutional.

In support of his arguments he refereed to the following provision:

(i) Section 11(3)(*b*) of the Parliamentary Elections Act of 2001 providing for the electoral procedure of special interest groups and regulations thereunder, under section 99 of the Act, pointing out that under regulation number 3, representatives of the army are elected by the UPDF Council in the manner and procedure laid down by the Council.

(ii) He submitted that the UPDF Council is established under section 10(1) of the UPDF Act and it operates under the general direction of the President. Amongst the powers conferred on the President is the power to direct any army representative in Parliament concerning the military in accordance with the army code of conduct. The Chief of Staff, Major General Joshua Masaba, in his affidavit indicated that the petitioner had on several occasions contacted the press without approval by the authority as provided for under the Regulations and had made statements prejudicial to good order and conduct of the army. The President had expressed displeasure and accordingly advised him to resign. Advising or directing the petitioner to resign was lawful.

The letter was an effective letter of resignation. The petitioner did not prove otherwise, he asserted.

With respect, the learned Solicitor General shifted the burden of proof. It is clear through the averments of the affidavit of the Chief of Staff, Major General Joshua Masaba that it was because of the petitioner's conduct, both in and outside Parliament, that the Commander-in-Chief summoned him to a meeting with other officers. This meeting coupled with the tone of the ensuing letter, annexure "A", his subsequent arrest soon thereafter and his being charged before the General Court Martial all leave no doubt that he was directed to resign. It was a directive but the Honourable Speaker, being aware of the usual discretionary nature of the powers of the Commander-in-Chief of the army, could not do otherwise than to accept the petitioner's letter as an effective resignation.

Therefore, the resignation from that viewpoint was as effective as any under Article 84(3), (4) and 5.

I would answer issue number 2 in the affirmative.

Issue number 3 is whether the notification to the Electoral Commission that the petitioner's seat had fallen vacant contravened Articles 80, 83(1) and 84 of the Constitution. In view of my finding under issue number 2 that the Honourable Speaker acted lawfully in accepting the petitioner's letter of resignation, Articles 80, 83(1) and 84 were not breached.

I turn to consider issue number 4, whether the UPDF in pressing charges against the petitioner contravened Articles 20, 21 and 29 of the Constitution.

Mr *Kambona*, learned Counsel, outlining the provisions of Articles 20, 21 and 29, argued that despite the Constitutional safeguards, the petitioner is currently under detention following charges brought against him before the General Court Martial. The charges evolve around the petitioner expressing himself without permission from the relevant authority of the UPDF authority. This violates the petitioner's fundamental rights of freedom of speech and expression under Article 29.

He pointed out that as a member of Parliament, the petitioner is under an obligation under Article 79(3) to protect the Constitution under the oath he took. He legislates for the entire country and does not restrict himself to his UPDF constituency. Army restrictions on a member of Parliament bar him or her from freely consulting constituents at large. They are thus unconstitutional and contravene Articles 20 and 29.

In reply the learned Solicitor General argued that the charges against the petitioner do not contravene Articles 20 and 29. The petitioner is a military officer operating under military law and is subject to the army code of conduct and military standing orders.

He prayed court to dismiss this issue.

The Articles alleged to have been contravened read:

> 20 (1) Fundamental rights and freedom of the individual are inherent and not granted by the State.
>
> (2) The rights and freedoms of the individual and groups enshrined in this chapter shall be respected, upheld and promoted by all organs and agencies of Government and by all persons.

Article 21 prescribes equality and freedom from discrimination before and under the law in all spheres of political, economic, social and cultural life and in every other respect and shall enjoy equal protection of the law.

A person is not to be discriminated on grounds of, amongst others, his/her political opinion.

Article 29(1) protects an individual's freedom of conscience, expression, assembly and association.

The charges being pressed against the petitioner are contained in annexures "C" and "D" to the petition. They allege conduct prejudicial to good order and discipline in that he appeared in a talk show and made public speeches/statements prejudicial to good order and discipline of the army. This involved spreading harmful propaganda in breach of the UPDF Act.

It is noteworthy that the petitioner was elected to Parliament as a serving officer to represent the army under Article 7(1)(*c*). According to Article 84(1), his constituency remained his interest group which is the army. However, as pointed out by learned Counsel Mr Oscar *Kambona* the petitioner took the oath of member of Parliament to give faithful service to Parliament and to support and uphold the Constitution. I agree with learned Counsel that the oath imposed on the petitioner a wider mandate than his limited interest group did, to legislate for the entire country and defend the Constitution in every conceivable way, not to defend it in part in respect of his constituency alone. It is my view, therefore, that the instructions, as deponed by the Chief of Staff, Major General Masaba, to the army representatives to be a listening post for the UPDF and to provide guidance to Parliament in military matters which role can be fulfilled by the Minister of Defence, are quite irreconcilable with the wider import of the oath of member of Parliament (*sic*).

The restrictions/limitations would not be assailable when applied to a non-parliamentarian officer or soldier. They would then perhaps pass the test under Article 43(2)(*c*) as being in public interest. However, once an army representative, who is so vulnerable, is allowed to subscribe to the oath of member of Parliament, he or she is put in a situation where he or she is faced with two masters to serve, the army code of conduct or the oath of member of Parliament. Who is the supreme master? The oath of member of Parliament.

The petitioner becomes a legislator, just like any other civilian member of Parliament having descended into that arena. Consequently, the instructions to be a listening post and pressing charges against him would conflict with and violate Articles 20, 21 and 29 of the Constitution. The oath to uphold the Constitution has an overriding effect over anything else.

I would finally declare that:

(*a*) The actions of the President/Commander-in-Chief are challengeable in court.

(*b*) The petitioner resigned his seat in Parliament.

(*c*) The actions of the Electoral Commission were lawful.

(*d*) Pressing charges against the petitioner violates and contravenes Articles 20, 21 and 29 of the Constitution.

The petition therefore succeeds in part.

I would order each party to bear its own costs.

Kavuma JA: I have had the advantage of reading, in draft, the joint judgment of my Lords, Lady Justice LEM Mukasa-Kikonyogo DCJ, and Lady Justice

CNB Kitumba JA and those of My Lords, Lady Justice AEN Mpagi-Bahigeine JA and Mr Justice A Twinomujuni JA (*sic*). The circumstances giving rise to this petition, and its background, the contents of the petition, the agreed issues, the declarations and relief sought and the constitutional interpretation guidelines applicable are all well and clearly set out in my Lords' judgments and I need not reproduce them. I will go straight to the submissions of both counsel, where necessary, and the resolution of the agreed issues.

On issues 2, 3 and 4, I concur with the reasoning adopted and the conclusions arrived at by my Lords, Lady Justice LEM Mukasa-Kikonyogo DCJ and Lady Justice CNB Kitumba, in their joint judgment and have nothing to add.

On issue one, however, I respectfully hold a different view from my Lords and would deal with it in the following terms:

> "On issue one, whether the actions of the Commander-in-Chief/President can be challenged in a court of law, Mr Oscar *Kambona*, for the petitioner argued that the acts of the Commander-in-Chief/President were challengeable in court for the following reasons:

Article 2(1) of the Constitution provides for the supremacy of the Constitution and it has binding force over all authorities and persons throughout Uganda. It follows therefore, that the observance and protection of the Constitution is mandatory on all persons and authorities including the Commander-in-Chief. The petition, counsel argued further, is not about the person of the President, it seeks for orders aimed at observance of the Constitution by seeking the observance of fundamental human rights and freedoms of the petitioner and this Court has jurisdiction to hear the petition. He further argued, that the petition was brought against the Attorney-General and not the Commander-in-Chief/President. It was Mr *Kambona*'s contention that in the petition and under Article 137(1) of the Constitution, the court is to determine questions, among which, are whether certain actions of the Commander-in-Chief/President and UPDF officers were unconstitutional.

Mr *Tibaruha*, for the respondent, did not agree. The learned Solicitor General contended, the acts of the Commander-in-Chief/President cannot be challenged in court. He relied on Article 98 clauses 1 and 4 of the Constitution.

According to Mr *Tibaruha*, the import of Article 98(1) is that each of the four attributes mentioned in the clause namely, Head of State, Head of Government, Commander-in-Chief of the UPDF and Fountain of Honour, constitutes the person and office of the President. By virtue of Article 98(1), counsel contended, the President cannot be sued or made liable to any proceedings in any court, whether in his official or personal capacity whether as Head of State, Head of Government or Commander-in-Chief of the UPDF. By challenging the actions of the Commander-in-Chief/President, counsel asserted, the petitioner is subjecting the President to proceedings in court which is clearly prohibited by the Constitution. The Solicitor General pointed out that in the Constitution there was one exception,which is contained in Article 104(8), which deals with challenging a Presidential election.

In the present petition, Mr *Tibaruha* argued, the bedrock of the case is the alleged act of the Commander-in-Chief/President in directing the petitioner to resign from his position as an army representative in Parliament. The petitioner, the Solicitor General pointed out, seeks a declaration that the act of the Commander-in-Chief/President and the army command, in directing the petitioner

to resign, is inconsistent with and contravenes Articles 80, 83, and 84 of the Constitution. The whole of the petitioner's case hinges on that action of the Commander-in-Chief/President and the other relief sought is secondary to and dependent on it. Mr *Tibaruha* argued further that according to the unchallenged affidavit deponed to by Major General Joshua Masaba, the UPDF Chief of Staff in support of the answer to the petition, it is clear that the President and Commander-in-Chief advised the petitioner to resign his position as an army representative in Parliament on 27 May 2005. The petitioner, according to Mr *Tibaruha*, accepted the advice of the Commander-in-Chief/President. This act of the Commander-in-Chief is not unconstitutional.

I have given careful consideration to the submissions of both counsel on the question of whether or not the acts of the Commander-in-Chief/President are challengeable in court. I have also given careful consideration to the provisions of Article 98(1), (4) and (5). The Article provides:

> "98 (1) There shall be a President of Uganda who shall be the Head of State, Head of Government and Commander-in-Chief of the Uganda Peoples' Defence Forces and the Fountain of Honour.
>
> (4) While holding office, the President shall not be liable to proceedings in any court.
>
> (5) Civil or criminal proceedings may be instituted against a person after ceasing to be President in respect of anything done or omitted to be done in his or her personal capacity before or during the term of office of that person and any period of limitation in respect of any such proceedings shall not be taken to run during the period while that person was President."

The sum total of these provisions is clearly, in my view, to grant the President total immunity against court proceedings both criminal and civil arising out of his or her acts or omissions, done or omitted to be done, either before or during his or her term in office as President. Any person who wishes to challenge those acts or omissions of the President in court, has to wait until the President has ceased to be one. The only exception to this is for a challenge of the election of a President of a person who happens to be the incumbent President at the time of the challenge. This may appear a hard position but that is what the Constitution says. If the framers of the Constitution had intended that the acts of an incumbent President should be challengeable in court, they would have clearly stated so given the fairly detailed manner in which the Constitution deals with the question of Presidential immunity in Article 98. Where they wanted an exemption to this immunity, the framers of the Constitution said so in Article 109(8). The duty of this Court is to interpret, not to amend or re-write, the Constitution. Courts should resist the temptation to venture into unnecessary judicial interpretations of the Constitution contrary to its clear provisions as they are in the instant case.

I find the cases of *William Jefferson Clinton v Paula Cobin Jones* 520 US 681 (1971) and *Baker v Cart* 369 US 1962 quite distinguishable from the present petition. In those cases, the Constitution of the United States of America, which was in issue, does not have the equivalent of Article 98(4) and (5) of the Uganda Constitution.

It is my considered opinion that where we have specific provisions in our Constitution on any matter, the persuasive nature of foreign decisions and principles over the same matter is very minimal. This is because in Uganda,

sovereignty lies with the people and where the people have made a constitutional provision, their sovereignty must be respected by all by giving unquestioned observance and effect to the provision, irrespective of what happens elsewhere.

I am not persuaded by the petitioner's argument that this petition is not about the person of the President. Clearly, the main thrust of the petition is about challenging the act of the Commander-in-Chief/President when he advised the petitioner to resign his seat as an army representative in Parliament. Mr *Kambona* himself confirms this when he asserts in his submissions that in the petition, under Article 137(1) of the Constitution, the court is to determine questions among which are, whether certain actions of the Commander-in-Chief/President and UPDF officers were unconstitutional. Most of the other alleged contraventions of the Constitution and most of the declarations and relief sought flow from this thrust. I accept the Solicitor General's submission that each of the four attributes of the President in Article 98 namely Head of State, Head of Government, Commander-in-Chief of the UPDF and Fountain of Honour, constitutes the person of the President.

Unquestionably, the Constitution is the supreme law of the land with binding force over all persons and authorities including the President. The Constitution did not create a monarch in the person of the President. However, for a complete picture to emerge about the relationship of Article 2(1) and the person of the President in both his or her official and private capacities under Article 98(1), (4) and (5) and the challengeability of his or her acts under Article 137, all these Articles must be read together. This is because:

> "No one provision of the Constitution is to be segregated from the others and to be considered alone. All the provisions bearing upon a particular subject are to be brought into view and interpreted together so as to effectuate the great purpose of the instrument." *See South Dakota v North Carolina* 192 US 268 (1940)
>
> "The Constitution is a logical whole each provision of which is an integral part thereof, and it is, therefore logically proper and indeed imperative to consider one part in the light of the provision of the other parts." *See Gopal v State of Madras* (1950) 5 CR 88.

Furthermore, the spirit as well as the letter of the Constitution must be considered. Once these provisions are read and construed together and the spirit of the Constitution is taken into account, it becomes clear that as long as a person remains President, his or her liability to challenges or challenges to his or her acts in courts of law are suspended by the Constitution. That way, Articles 2(1), 98(1), (4) and (5) and 137 will have a harmonious existence without any, destroying the others.

Challenging any act of an incumbent President in court, as the petitioner in this petition is clearly doing, is, in effect, subjecting the Commander-in-Chief/President to proceedings in court contrary to Article 98(4) and (5). To strike a difference between challenging acts of the President in court and making the President a party to court proceedings, or arguing that where a party seeks to challenge the acts of the President in court, such party sues the Attorney-General, is, in my opinion, academic. The effect of either, is to erode the Presidential immunity embodied in Article 98. Doing so, would greatly undermine the rationale behind the Article, which is to cater for the people's aspirations about the person and office of the President. This is the preservation of the dignity of both the person and the office of the President. The President

should be above prosecution and his or her acts above challenge in any court of law, save as expressly exempted by the Constitution. It would be absurd if the President, who takes precedence over all people in the country is liable to, or his or her acts are easily challengeable in, court proceedings. The office of the President and his or her acts should have dignity, honour and respect from all.

The Constitution in Articles 98 and 99 concentrates enormous executive powers and authority in the President. We have already reproduced Article 98 above. Article 99 of the Constitution provides:

> "99 (1) The executive authority of Uganda is vested in the President and shall be exercised in accordance with this Constitution and the laws of Uganda.
>
> (2) The President shall execute and maintain this Constitution and all laws made under or continued in force by this Constitution.
>
> (3) It shall be the duty of the President to abide by, uphold and safeguard this Constitution and the laws of Uganda and to promote the welfare of the citizens and protect the territorial integrity of Uganda.
>
> (4) Subject of the provisions of this Constitution, the functions conferred on the President by clause (1) of this Article may be exercised by the President either directly or through officers subordinate to the President.

These are indeed extensive powers and authority concentrated into a single head but in whose choice, the whole nation has a part, making the President the focus of public hopes and expectations. It is important that at all times there be a President who has complete control and ability to perform those duties. Courts should not encourage burdens to be placed on the President that will hamper the performance of his or her duties. Opening the gates to challenges to President's acts or omissions while in office, as this petition asks court to sanction, and considering the volume of litigation holding in the affirmative on this issue may result into, may impose an unacceptable and unnecessary burden on the President's time and energy that would definitely impair the effective performance of his office (*sic*).

It is of particular significance that in this case, the petition specifically and mainly challenges the act of the President as the Commander-in-Chief of the UPDF.

Speaking of the "Commander-in-Chief clause" in the Constitution of the United States of America, Edward S Lorwin in *The Constitution and What it Means To-day*, 1978 edition at 157, had this to say:

> "The purely military aspects of the commander-in-chiefship were those which were originally stressed. Hamilton said, the office would amount to nothing more than the supreme command and direction of the military and naval forces, as first general and admiral of the confederacy.
>
> Story wrote to the same effect in his *commentaries* and in 1850 the court, speaking by Chief Justice Taney, asserted: 'His (President's) duty and power are purely military'."

Article II section II(1) of the Constitution of the United States of America provides:

> Section 11
>
> "The President shall be Commander-in-Chief of the army and navy of the United States, and of the militia of the several states when called into the actual service of the United States; he may require the opinion, in writing, of the principal officer in each of the executive departments, upon any subject relating to the duties of their respective

> offices, and he shall have power to grant reprieves and pardons for offences against the United States, except in cases of impeachment."

Although the above American clause is more extensive, it is substantially the same as ours in the Constitution with regard to the Commander-in-Chief aspect of the Presidency. I find this Article and the way it has been interpreted, as indicated above, relevant to the Ugandan situation.

Of all the attributes of the office of the President, the purely military aspects of the commander-in-chiefship is to be stressed otherwise the office of Commander-in-Chief/President in that respect would amount to nothing more than the supreme command of the military as first general in the forces. In my view, where the acts of the Commander-in-Chief are in issue, such matters must be treated with more care and caution by all, the courts inclusive. These are purely military powers dealing with military matters. They are not civilian political matters and should not be treated as such.

This Court held, *inter alia*, in *Uganda Law Society and another v Attorney-General* [2003] 2 EA 694: "It is not right to mix up civilian political matters with security and military matters."

I find that when the Commander-in-Chief/President met the petitioner in the meeting of 27 May 2005 chaired by no other than the President as Commander-in-Chief himself, where he advised or directed the petitioner to resign his seat as an army member of Parliament, the Commander-in-Chief/President was exercising purely military powers of the office of the Commander-in-Chief/President to be handled as such (*sic*).

I am greatly persuaded by what is referred to elsewhere as "the political question doctrine". Writing in his *The Enduring Constitution, A Bicentennial Perspective* Jethro K Liberman at 128, had this to say on the 'political question doctrine' in the context of the Constitution of the United States of America.

> "Even when constitutional rights are asserted, some questions are too political for the courts to give legal answers. This 'political question' doctrine is another way of saying that over certain issues, the Constitution commits complete discretion to the other branches. No matter how justiciable the claim seems – the parties have been injured, they have standing, the cause is ripe for appeal, it will not be moot before the decision is rendered, the claim is clearly based on a constitutional provision, the courts will dismiss it because they are the wrong place to take the grievance."

I am of the considered opinion that, though from a foreign jurisdiction, the above concept is relevant to the Ugandan situation regarding the issue now under consideration. The Constitution puts the question of how to promptly handle the liability to court proceedings by an incumbent President or immediately subjecting his or her acts or omissions to judicial review, beyond the courts competence. It leaves it to the people who, through the exercise of their sovereignty, either directly or through their representatives in Parliament, may bring an end to the incumbent's presidency thereby opening the door for legal action to be taken against him or her. I so find.

The words of my Lord Justice Kanyeihamba, JSC in *Attorney-General v Tinyefuza* Constitutional appeal number 1 of 1997, are also pertinent here. His Lordship said:

> "The rule appears to be that courts have no jurisdiction over matters which are within the constitutional and legal powers of the Legislature or the Executive. Even in cases, where courts feel obliged to intervene and review legislative measures of the

> Legislature or administrative decisions of the Executive when challenged on the grounds that the rights or freedoms of individuals were clearly infringed or threatened, they do so sparingly and with the greatest of reluctance."

My Lord Justice Kanyeihamba, JSC goes on to say when expounding on the doctrine of the separation of powers in *The Attorney-General v Major General David Tinyefuza* (*supra*).

> "The doctrine of separation of powers demands and ought to require that unless there is the clearest of calling for intervention for the purposes of determining constitutionality and legality of action or the protection of the liberty of the individual which is presently denied or imminently threatened, the courts must refrain from entering arenas not assigned to them either by the Constitution or laws of Uganda. It cannot be overemphasised that it is necessary in a democracy that courts refrain from entering into areas of disputes best suited for resolution by other government agents. The courts should only intervene when those agents have exceeded their powers or acted unjustly causing injury thereby."

I find his lordship's authoritative statements above of great fortification here because the non-justiciability of *"political questions"* is preliminarily a function of the principle of the separation of powers which is, itself, firmly enshrined in our Constitution. Under this principle, I find, this Court would decline to interfere in the President's/Commander-in-Chief's acts complained of in this petition.

Before taking leave of this issue, I find it appropriate to stress that the Constitution is not short of safeguards against a President who may be tempted to become a menace to this country through misusing or abusing the enormous powers entrusted to him/her by the Constitution.

By Article 1 of the Constitution, the sovereignty of Uganda lies with the people. It provides:

> "1 (1) All power belongs to the people, who shall exercise sovereignty in accordance with this Constitution.
>
> (2) Without limiting the effect of clause (1) of this Article, all authority in the State emanates from the people of Uganda; and the people shall be governed through their will and consent.
>
> (3) All power and authority of Government and its organs derive from this Constitution, which in turn derives its authority from the people who consent to be governed in accordance with this Constitution.
>
> (4) The people shall express their will and consent on who shall govern them and how they should be governed, through regular, free and fair elections of their representatives or through referenda."

By and through this Article, a free and fair election would, in the first place go a long way to ensure that a person of high integrity is elected to the office of President. Such person would have thorough knowledge and understanding of, and would not easily offend the Constitution. Furthermore, an incumbent President is constantly reminded that should his conduct or exercise of the executive authority of Uganda fall short of what the people expect, he or she may incur the wrath of the peoples' sovereignty through which they may, come the next Presidential election, reject his re-election bid and thus bring about the end of his presidency.

The Presidential immunity provided for in Article 98(4) is to be restrictively interpreted to exclusively apply to the person of the President where he or she personally exercises the powers and duties of the office of President. Where the President assigns any of his executive powers to ministers or other officers,

under Articles 99(4), and 113(3) of the Constitution, that immunity does not extend to such other ministers or officers. Where such ministers or officers act, or omit to act, in such a manner as to attract legal challenge or liability to Government, the Attorney-General is sued in his representative capacity under Article 119(*c*) of the Constitution. Furthermore, under Article 106(5) the President shall not hold any other public office other than those conferred by the Constitution or any office of profit or emolument likely to compromise the office of President. The combined effect of all this, is to leave a very narrow scope of executive acts or omissions that cannot be readily challenged or of which the Government cannot be immediately held liable, on account of Presidential immunity.

Article 98 itself, does not impose permanent absolute immunity from judicial review to the person of the President. It only postpones such liability and subjection to legal challenge until such a time the person holding the office of President ceases to so hold the same. The President is, therefore, constantly reminded that when he ceases to hold that office, he may be called upon to answer for his acts or omissions while holding the office. This keeps the President on his toes.

Article 107(1) provides for the removal of an incumbent President from office. It provides:

> "10 (1) The President may be removed from office in accordance with this Article on any of the following grounds:
>
> (*a*) abuse of office or wilful violation of the oath of allegiance and the Presidential oath or any provision of this Constitution;
>
> (*b*) misconduct or misbehaviour:
>
> (i) that he or she has conducted himself or herself in a manner which brings or is likely to bring the office of President into hatred, ridicule, contempt or disrepute; or
>
> (ii) that he or she has dishonestly done any act or omission which is prejudicial or inimical to the economy or security of Uganda; or
>
> (*c*) …

It is clear from these provisions that in appropriate cases, Parliament can be moved to remove an incumbent President from office on any of the many grounds laid out in the Article following the laid down procedure. Again, the threat of a possible impeachment and removal from office, keeps an incumbent President on his or her toes.

Another way a President who, in the view of the people, ceases to be fit to continue holding that office can be handled, is by the people through civil society action to make it impossible for him or her to continue in office thereby forcing him or her to resign under Article 105(4) and (5) of the Constitution.

The Article provides:

> "105 (4) The President may, by writing signed by him or her, and addressed to the Chief Justice resign from office as President.
>
> (5) The resignation of the President shall take effect when it is received by the Chief Justice."

We have dealt at some length on the question of constitutional safeguards against a President who may pose a threat to society or individuals in Uganda through misuse or abuse of his or her enormous executive powers and authority

mainly to emphasise the following matters. While the person and office of the President must be treated with honour, respect and dignity by all, the President is kept on his or her toes throughout his or her incumbency. His or her immunity is not permanently total and his or her incumbency in office can be shortened and legal proceedings and challenges to his or her acts commenced. The Constitution provides for immediate political sanctions against an offending incumbent President to be invoked through the sovereignty of the people, rather than immediate judicial containment.

In the circumstances of this petition and bearing all the above in mind, any legal proceedings against or any challenge to the acts or omissions of the Commander-in-Chief/President would, in my opinion, be premature.

I, therefore, hold that the acts of the President/Commander-in-Chief are, as long as he/she is President, not to be challenged in court.

My holding on this issue would be wholly sufficient to dispose of this petition. Since, however, court was addressed on the other issues, I have taken the liberty to express my views on them as earlier indicated.

On issue 5, on what relief is available to the parties I would make the following declarations:

(a) Actions of the President/Commander-in-Chief cannot be challenged in court and while holding office, the President shall not be liable to proceedings in court.

(*b*) On issues 2, 3 and 4, I concur in and fully associate myself with the declarations of my Lords, Lady Justice LEM Mukasa-Kikonyogo DCJ and Lady Justice CNB Kitumba JA in the joint judgment.

(*c*) The petitioner is not entitled to damages and I would award him none.

In the premises this petition must fail.

I would dismiss it and order each party to bear its own costs.

For the appellant:
Honourable Emmanuel Twarebireho
Mr Oscar Kambona

For the respondent:
Mr *Lucian Tibaruha*, Solicitor General
Mr *Joseph Matsiko*, Acting Director of Civil Litigation

Twiga Chemical Industries v Bamusedde
[2005] 2 EA 325 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	27 June 2005
Case Number:	16/04
Before:	Odoki CJ, Oder, Karokora, Mulenga and Kanyeihamba JJSC
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[1] Appellate procedure – Duty of a first appellate court – Re-evaluation of evidence on record – Whether the appellate court had adequately re-evaluated the evidence.

[2] Civil procedure – Ex parte *judgment – Application to set aside – Principles to be applied in determining application – applicant to give good or substantial reasons – Whether there were good reasons for the setting aside of the* ex parte *judgment.*

Editor's Summary

The appellant sued the respondent in the High Court seeking to recover a sum of UShs 15.420 million from the respondent, being the balance owed to it on account of various chemicals sold to the latter. On 3 November 2000, the respondent filed a written statement of defence denying any indebtedness to the appellant. She also counterclaimed sums of UShs 4.8 million and UShs 2.967 million from the appellant for distribution services and debt collection expenses respectively undertaken for the appellant. The appellant did not file any reply or defence to the averments and counterclaim. However, when the parties first appeared in court on 8 December 2000, the appellant was given leave by the court to file a reply to the counterclaim. The appellant failed to do so. The case was fixed for mention on 12 March 2001 but that date turned out to be an unscheduled public holiday. When the suit next came up before the court for hearing on 12 June 2001, the respondent's counsel was present but neither the appellant nor its counsel was present. Upon the respondent's application, the appellant's suit was dismissed and judgment on the counterclaim was entered in favour of the respondent in the sum of UShs 4.8 million with interest. Costs of the suit and the counterclaim were also awarded to the respondent.

On 13 November 2001, the appellant filed a motion seeking to set aside the court's dismissal of its suit as well as the decree entered in favour of the respondent on the counterclaim. The grounds for its application were that it had not been served with any hearing notice and was, thus, unaware of the hearing date. The application was dismissed as was an appeal therefrom to the Court of Appeal.

The appellant now appealed to the Supreme Court on the grounds, *inter alia*, that the Court of Appeal erred in finding that the appellant was aware of the 28 June hearing date, that it erred in declining to interfere with the trial judge's exercise of discretion and in holding that the respondent's claim was pecuniary and liquidated in nature.

In support of the appeal, counsel for the appellant argued, *inter alia*, that the justices of appeal had failed to re-appraise and re-evaluate the evidence as a whole and that if they had done so, they would have been satisfied that the trial judge had erred in failing to appreciate that no hearing notice existed and hence could not have been served. In reply, counsel for the respondent asserted that the Court of Appeal had diligently performed its duty in accordance with the law and that its reasons for confirming the trial judge's decision could not be faulted.

Held – It was clear that when the trial judge dismissed the appellant's claim, he was satisfied that the appellant had failed to prosecute the claim or defend the counterclaim and in acting as he did, the judge acted correctly and in accordance with the law.

An application to set aside an *ex parte* judgment could not succeed if no good or substantial reasons were given to justify setting it aside; *Departed Asians Property Custodian Board v Issa Bukenya*(*supra)* applied. In this instance, the trial judge was correct in dismissing the application as no reasonable justification was advanced on behalf of the appellant for its absence and that of its counsel. Moreover, counsel for the appellant's participation in the taxation proceedings in the High Court implied knowledge of what had occurred before.

There was no merit in the appeal against the counterclaim. Both the trial judge and the Court of Appeal only awarded the sum of UShs 4.8 million and disallowed respondent's prayers for general damages and other sums of money and in so doing acted correctly.

Appeal dismissed with costs to the respondent.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Banco Arabe Espanol v Bank of Uganda [1999] 2 EA

Departed Asians Property Custodian Board v Issa Bukenya Civil appeal number 18 [1991] – **AP**

Judgment

Kanyeihamba JSC: This is a second appeal from the Court of Appeal which dismissed the appellant's appeal. The facts of the case may be summarised as follows:

On 11 May 2000, the appellant filed a suit, under the provisions of Order 33 of the Civil Procedure Rules, against the defendant for the recovery of UShs 15.420 million and costs of the suit. Apparently, the claim was founded on some contractual arrangements under which the appellant had sold to the respondent, various chemicals for which the respondent made part payment leaving a balance of UShs 15.420 million unpaid. The appellant claims that the balance was subsequently acknowledged by the respondent as owed, in two letters dated 18 March and 19 June 1999 which letters were attached to the plaint in the High Court as annexures.

On 3 November 2000, the respondent filed a written statement of defence in which she denied any indebtedness to the appellant in the sum claimed or any other. However, she herself counterclaimed the sum of UShs 4.8 million for distribution services she had rendered to the appellant. She further claimed expenses incurred for collecting debts for the appellant in the sum of UShs 2.967 million.

The appellant did not file any reply to the averments contained in the written statement of defence and the counterclaim. The parties first appeared in court on 8 December 2000. On that day, court gave the appellant leave to file a reply to the counterclaim out of time and the case was fixed for mention on 12 March 2001, that date turned out to be an unscheduled public holiday, in that it was the date on which Presidential elections were held in Uganda. In the meantime, the appellant did not file any reply to the counterclaim. When the matter came before court again on 12 June 2001, the respondent's counsel attended but the appellant did not appear by counsel or other representatives. On submissions by the respondent's counsel, the appellant's suit was dismissed. Judgment on the counterclaim was entered against the appellant in the sum of UShs 4.8 million as a liquidated sum with interest at the rate of 20 percent from July 1996 till payment in full. The respondent was awarded the costs of both the suit and the counterclaim.

On 13 November 2001, the appellant filed an application, by way of notice of motion, seeking to set aside the court's order dismissing the suit, stay of execution and setting aside the decree that had been entered in favour of the respondent on the counterclaim. The main ground advanced in support of the application was that the appellant was not aware of the hearing date because it had not been served with any hearing notice. The application was dismissed and the appellant appealed to the Court of Appeal, which dismissed it with costs to the respondent. Hence this appeal.

The memorandum of appeal to this Court contains nine grounds framed as follows:

1. The learned Justices of the Court of Appeal erred in law and fact to largely base their decisions on a different ground from that relied on by the trial judge.
2. The learned Justices of the Court of Appeal erred in law and fact to find and hold that the appellant was aware of the hearing date of 28 June 2001.
3. By holding that the learned trial Judge exercised his discretion judiciously and thus declined to interfere with the same, the learned Justices of the Court of Appeal erred in law and fact.
4. The learned Justices of the Court of Appeal erred in law and fact by holding that the respondent's counterclaim was both a pecuniary and a liquidated one.
5. The learned Justices of the Court of Appeal erred in law and fact to hold that the learned trial Judge acted within the law to enter judgment on the counterclaim.
6. The learned Justices of the Court of Appeal erred in law when they failed to decide if the court can move itself to enter summary judgment on a counterclaim.
7. The learned Justices of the Court of Appeal erred in law and fact to hold that a telephone call constitutes service in law.
8. The learned Justices of the Court of Appeal erred in law and fact to find and hold that the appellant's lawyer participated in the taxation.
9. The learned Justices of the Court of Appeal erred in law and fact to hold that a defendant has no burden to prove that a plaintiff who is absent when the suit is called for hearing was served with a hearing notice.

Mr *Mutaawe* subsequently argued all the grounds in the memorandum of appeal together. He contended that the learned Justices of Appeal failed in their duty to re-hear the case, as is expected of them under section 12(1) of the Judicature Act and rule 29(1) of the rules of the Court of Appeal. He further contended that in failing to re-appraise the facts and re-evaluate the evidence as a whole, the learned Justices of Appeal's decisions were erroneous in both law and fact and constitute a miscarriage of justice. Mr *Mutaawe* submitted further, that had the learned Justices of Appeal re-evaluated the evidence, they would have been satisfied that the learned trial Judge had erred in failing to appreciate that no hearing notice existed and, therefore, could not be served and was not served on the appellant by the time the case came to be heard by the trial judge. Counsel criticised the Court of Appeal for basing its judgment mainly on the delays and lack of diligence attributed to the appellant or her counsel. He contended that in civil trials there are well known and established rules of procedure which must be adhered to and followed and service by telephone is not one of them. He contended that, therefore, the appellant could not appear since he was not served at all.

Counsel for the appellant contended further that both the trial court and the Court of Appeal ignored binding authorities of the Supreme Court decision and in so doing, they erred both in law and fact. Finally, counsel contended that the fact that counsel for the appellant may have attended the meeting for taxation of costs would not, in any way, validate the errors committed during the trial proceedings. Counsel cited: the Evidence Act (Chapter 6), *Banco Arabe Espanol v Bank of Uganda* [1999] 2 EA and Orders 9, rule 45 of the Civil Procedure Rules; in support of his submissions.

For the respondent, Mr *Oponyo* opposed the appeal and also argued the grounds together. In his view, the Court of Appeal correctly and independently re-evaluated the evidence and re-heard the case afresh. He contended that it was clear that the learned Justices of Appeal rightly and diligently performed their duty properly land in accordance with the provisions of the Judicature Act and the rules of court. Counsel for the respondent submitted further that the reasons given by the Court of Appeal, when confirming the judgment and the decisions of the trial judge, cannot be faulted because they are sound in both law and fact.

Submitting on the counterclaim, Mr *Oponyo* contended that in law, it is not necessary to fix a different date for hearing a counterclaim which is heard at the same time as the plaintiff's plaint which is always the main cause for fixing a hearing date in the first instance. He contended further that the purpose of serving a hearing notice is solely to inform parties of the fact that their case will be heard on a named date and such knowledge can equally be transmitted through a telephone conversation. He submitted that the attendance of the taxation of costs meeting by the respondent's counsel is proof enough of the fact that they were aware that the case had been heard and finalised. Finally, Mr *Oponyo* contended that there is no obligation on a respondent in a civil case to notify the plaintiff of the hearing date. Counsel cited provisions of Orders 4(3) and 19(4) of Civil Procedure Rules in support of his submissions.

In my view, this appeal raises two main issues to be resolved by the Court. The first is whether the Court of Appeal erred in confirming the *ex parte* High Court judgment. The second is whether that court was incorrect in its decision to uphold the learned trial Judge's decision refusing the appellant's application to set aside the *ex parte* judgment and orders notwithstanding the reasons given in support thereof. I will deal with the second issue first, which I regard as one of procedure and discretion.

The respondent, who was then the defendant, having denied liability of the claims contained in the appellant's plaint, the plaintiff which is now the appellant, did not file a reply to the averments contained in the written statement of defence, nor did it reply to the averments contained in the counterclaim. The case was to have been heard on 12 March 2001, which turned out to be a public holiday. The case was subsequently fixed for 28 June 2001. On that day, the appellant and its counsel were absent and as a result, the court dismissed the claim on the plaint and gave judgment on the counterclaim in favour of the defendant, who is now the respondent. It is clear that the trial court was satisfied that the appellant had failed to prosecute the claim or defend the counterclaim. In my opinion, on the evidence before the court, the learned trial Judge acted correctly and in accordance with the law.

On 13 November 2001, nearly five months later, the appellant filed an application by way of notice of motion, seeking an order to set aside the judgment, orders and decree of the High Court as well as to grant stay of execution of the judgment of the trial court and set aside the judgment in the counterclaim in favour of the respondent. The main ground, advanced in support of the application, was that the appellant was not aware of the hearing date as no hearing notice was served on it. As already noted, both the trial court and the justice of appeal dismissed these reasons as being insufficient to enable them allow the appellant's prayers.

Mr *Mutaawe*'s contention that the court below failed to appraise material facts in this case is unjustified. In his ruling on the application by the appellant to set aside, the learned trial Judge said:

> "The argument for this is that there is no proof that the plaintiff had been served and made aware of the hearing during which the suit was dismissed and a decree entered on the counterclaim. First, I want to point out that as it is the practice, the advocate for the plaintiff did indicate that they would undertake to effect service of process on the defendants. In this case, the summary plaint in paragraph 2 is quite explicit. It states:
>
> > 'The defendant is an adult female person of sound mind and trading as Tripple B Enterprises and the plaintiff's advocates undertake to effect service of court process upon the defendant.'
>
> I think that the rule that parties are bound by their pleadings has remained the same and that in view of this pleading, it is not correct that a defendant who has appeared in court should be the one to prove that he was served with court process."

In my opinion, the learned trial Judge was correct since no reasonable justification was advanced on behalf of the appellant for its absence or that of its counsel.

In the case of *Departed Asians Property Custodian Board v Issa Bukenya* Civil appeal number 18 of 1991 (Supreme Court) (UR), it was held that an application to set aside an *ex parte* judgment cannot succeed if no good or substantial reasons are given to justify setting it aside. This is in conformity with Order 9, rules 20 and 24 of the Civil Procedure Rules. Rule 20(1) governs applications by plaintiff's who wish to have suits, which are already disposed of revisited, the subrule provides as follows:

> "Where a suit is wholly or partly dismissed under rule 10 of this Order, the plaintiff shall be precluded from bringing a fresh suit in respect of the same cause of action. But he may apply for an order to set aside and, if he satisfies the court that there were sufficient causes for non-appearance when the suit was called for hearing, the court shall make an order setting aside the dismissal upon such terms as to costs or otherwise as it thinks fit and shall appoint a day for proceeding with the suit."

In the Court of Appeal, Byamugisha JA, who gave the lead judgment of that court, agreed with the findings and of reasons given by the trial court for refusing to set aside the judgment and her fellow justices on the panel concurred. I agree with them. Since the appellant failed to defend the counterclaim and to appear at the trial the courts below were amply justified in dismissing it.

It is to be noted also that counsel for the appellant participated in the taxation proceedings in the High Court which implied knowledge of what had occurred

before. In the Court of Appeal, the learned Justice, who gave the lead judgment, stated the law accurately when she observed:

> "When the trial judge discussed (*sic*) the application, he was exercising his discretion. It is well settled that an appellate court will not interfere with the exercise of discretion unless there has been a failure to take into account a material consideration or taking into account an immaterial consideration or an error in principle was made."

Her judgment cannot be faulted. Accordingly, I would dismiss grounds 1, 2 and 3 of this appeal.

On the matter of the counterclaim, counsel for the appellant submitted that the courts below were wrong to allow it since the amounts of money claimed were unascertainable. He contended further that the respondent's claim was for pecuniary damages which were not liquidated damages and therefore the counterclaim should have been set down for hearing. For the respondent, Mr *Oponyo* contended that the counterclaim which was in the sum of UShs 4.8 million was a liquidated sum, which was contained in paragraph 5 of the counterclaim. He further contended that as there was no reply to this averment, the High Court was correct to award it *ex parte* as liquidated damages. Counsel submitted, correctly in my view, that the respondents prayer for general damages and other sums of money was not favourably considered by the lower courts neither of which awarded those damages or sums of money in this regard. The Court of Appeal confirmed the decision of the trial court to enter judgment in the counterclaim and I agree with the learned Justices of Appeal. In my opinion, there is no merit in the grounds of this appeal challenging the judgment of the trial court, in as much as they deal with the counterclaim. I would therefore dismiss grounds 4, 5 and 6 of this appeal. In light of my decisions on grounds 4, 5 and 6, I do not think it is necessary to consider grounds 7, 8 and 9.

All in all, I would dismiss this appeal with costs to the respondents in this Court and in the courts below and I would confirm the orders made in both the Court of Appeal and the High Court.

Odoki CJ, Oder, Mulenga and Karokora JJSC concurred in the judgment of Kanyeihamba JSC.

For the appellant:
Mr Mutaawe

For the respondent:
Mr Oponyo

Uganda Telecom Limited v Tanzanite Corporation
[2005] 2 EA 331 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	23 May 2005
Case Number:	17/04
Before:	Odoki CJ, Oder, Karokora, Mulenga and Kanyeihamba JJSC
Sourced by:	LawAfrica

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[1] Contract – Formation of contract – Uncertainty of terms – Supply of telephone sets – Breach of contract – Loss of unused materials – Whether a contract existed between the parties – Whether the

appellants were liable to pay damages for loss of unused materials.

[2] Remedies – Damages – Award of special damages – Requirements for the award of special damages – Special damages must be claimed and proved – Whether the respondents had satisfied the conditions for the award of special damages.

Editor's Summary

The respondents were a telecommunications company seeking to do business in Uganda. They entered into negotiations with Uganda Post and Telecommunication Corporation Ltd (UPTCL) to sell telephones to the latter. These negotiations resulted in a commitment letter from UPTCL dated 6 July 1993. On 27 September 1994, the respondents sent a *proforma* invoice to the appellants offering to supply them with 10 000 Model TA-101 telephone sets at US$ 44.75 per set. The respondents also inquired as to UPTCL's demand market. In a letter dated 23 December 1994, the appellants' managing director acknowledged receipt of the *proforma* invoice and the terms specified therein. He stated that the appellants had the capacity to purchase 30 000 telephone sets on those terms and that it was likely that they would need telephone sets beyond the initial order. However, the additional units would be acquired by local purchase order (LPO) from the respondents' warehouse. Attached to this letter was the *proforma* invoice with the managing director's signature.

The respondents treated the letter and signed *proforma* invoice as a counter-offer to purchase 30, 000 telephone sets whose terms they then accepted by signing the *proforma* invoice on 21 January 1995. They thereafter started mobilising funds to buy the necessary materials to assemble the 30 000 telephone sets. As part of their efforts to obtain funds they sought a loan from the Co-operative Bank. They claimed that on 25 April 1995, the appellants wrote a letter to the bank representing that a contractual relationship existed between them (the appellants) and the respondents averring that they would pay the amount due to the respondents directly to the bank. It was alleged that on the strength of this representation the bank was induced to give them the loan. In the event, the appellants only took, and paid for, 3, 000 telephone sets, leaving the respondents with unsold sets, unused materials and an unserviced bank loan.

The respondents then sued UPTCL and the appellants in the High Court for breach of contract. Among the remedies sought were loss of profits, loss of unused materials, unpaid bank loan, general damages, interest and costs of the suit. UPTCL was not served with summons. However, the appellants defended the suit, denying that any contract existed between the two parties. Five issues were framed for trial: (i) whether a contract for the supply of 30 000 telephone sets existed, (ii) whether the appellants breached the contract, (iii) whether the respondents suffered any damages as a result of the breach, (iv) whether there was a guarantee of the loan to the respondents, and (v) whether the respondents were entitled to the remedies sought. The trial court resolved the first four issues in favour of the appellants but awarded the respondents US$ 260 000 as the cost of unused material with interest thereon, as well as half the costs of the suit.

The respondents were dissatisfied with the trial court's decision and appealed to the Court of Appeal. The appellate court allowed the appeal and granted all the remedies sought by the respondents. The appellants now appealed to Supreme Court on the grounds that the Court of Appeal had erred in finding that there was a contract between the appellants and the respondents and in

finding that there was a breach of the contract. In the alternative, they argued that the Court of Appeal erred in awarding general damages in addition to the award for loss of profits and in finding that the claim for the unpaid bank loan had been proved. The respondents cross-appealed on the grounds that the Court of Appeal had erred in failing to award interest on the unpaid bank loan and in failing to award interest for loss of profits from the date of filing suit.

Held – The primary issue before the trial court was whether there was a contract for the supply of 30, 000 telephone sets or not. This question was answered in the negative by the trial court, which found that there had been several independent contracts between the parties. The Court of Appeal on the other hand, had held that there was a contract for the supply of 30 000 sets. It was therefore clear that the courts below had not made concurrent findings of fact. The trial court's finding that there was no contract was to be preferred as the letter written by the appellants to the respondents was an offer to treat and not an offer of a contract.

The letter of 25 April 1995, from the appellants to the bank, was not evidence that a contract existed for the supply of 30 000 telephone sets. Though the letter mentioned such a contract, it did not specify the number of sets nor the other conditions of such a contract. The Court of Appeal erred in holding that default by the respondent to repay the loan was an event foreseeable by both parties when the appellants wrote to the bank. The Court of Appeal was, therefore, wrong to award the respondent damages for the unpaid bank loan.

The Court of Appeal erred in finding that there was a contract between the parties for the supply of 30 000 sets. As the contract did not exist, the issue of the appellants being in breach of it did not arise.

In a claim for damages for breach of contract for sale of goods, both the provisions of the Sale of Goods Act and the legal principles on pleading and proof of special damages were relevant. There was no reason for the law relating to the sale of goods to be different from the law relating to the performance of other contractual obligations; *Reardon Smith Line v Hansen Tangen* (*supra)* applied. The respondents' pleadings for loss of unused materials and for the unpaid bank loan were special damages. Such damages could not be recovered unless they were specifically claimed and proved or unless the best available particulars or details had been communicated to the party against whom they were claimed before the trial. With regard to the loss of profits, the respondent had not adduced evidence to prove how the figure claimed had been calculated. The Court of Appeal had, thus, erred in holding that because the suit was about the sale of goods, the legal requirement that special damages must be specifically proved was not applicable.

The courts below had erred in awarding the respondent damages for loss of unused material. There having been no contract for the supply of telephone sets, it was inconsistent to hold the appellants liable for unused material allegedly ordered to perform a non-existent contract. Moreover, it was a crucial part of the respondent's case that they had a factory in Uganda to assemble telephones and their failure to prove the existence of the factory to the required standard was fatal to their case.

Appeal allowed. Cross-appeal dismissed with costs.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Banco Arabe Espanol v Bank of Uganda [1999] 2 EA

Erisafani Mudumba v Wilberforce Kuluse Civil appeal number 9 of 2002 (SCU) UR

Lutaya v Attorney-General Civil appeal number 10 of 2002 (SCU) UR

Milly Masembe v Sugar Corporation and another Civil appeal number 1 of 2000 (SCU) UR

Siree v Lake Turkana El Molo Lodges Limited [2000] 2 EA 520

United Kingdom

Barrow v Amand [1846] 8 QB 610

Cehave N.V v Bremer Handek-geseellchaf in 6H [1976) QB 44, 71:

Reardon Smith Line limited v Yngvar Hamsen-Tangen [1976] 1 WLR 989 at 998

May and Butcher Limited v The Kin g [1934] 2 KB 17, CA

Reardon Smith Line Limited v Yngvar Hamsen-Tangen (*Trading as HE Hansen-Tangen*) [1976] 1 WLR 989 – **AP**

Judgment

Oder JSC: Tanzanite Corporation (the respondents) jointly sued Uganda Telecom Limited (the appellants) and Uganda Post and Telecommunication Corporation Limited (UPTCL) in the High Court, for general and special damages for alleged breach of contract for supply of telephone sets to the respondents. The remedies sought consisted of loss of profits, loss of unused materials, unpaid bank loan, general damages, interests, and cost of the suit. UPTCL was not served with the summons and, so the suit against it was not proceeded with. The appellant's defended the suit, denying that there was any contract between the two parties and prayed for its dismissal. The suit was heard by Arach Amoko, J who allowed only the respondent's claim for loss of unused materials, disallowing all the other claims.

The respondents successfully appealed to the Court of Appeal which allowed all the heads of the respondent's claim in the suit. Hence this appeal.

The background to the case is briefly this. The respondents were originally incorporated in the USA. They answered a call by the Government of Uganda for potential investors to come and do business in Uganda. They became locally registered, and engaged in telecommunication business. The respondents, through their chairman/managing director, Frank Butamila, (PW1), entered into negotiations with the appellants to sell telephone sets to them. The negotiations resulted in a commitment letter from UPTCL dated 6 July 1993 (exhibit P2). On 27 September 1994, the respondents made an offer to supply to the appellants 10 000 Model TA-101 telephone sets at US$ 44-75 per set. The offer was made in a *proforma* invoice number 94/09/101 (exhibit P3). The respondents alleged in their pleadings that on 22 December 1994, the appellants

made a counter-offer to purchase 30 000 telephone sets of the same model and on the terms specified in exhibit P3. The appellants accepted the terms and signed the *proforma* invoice (P3) on 21 January 1995.

Thereafter, the respondents allegedly started mobilising funds to buy raw materials and workshop materials to assemble the 30 000 telephone sets. They allegedly established a workshop at Kisugu, Kampala, and made orders abroad for supply of materials. They also obtained a loan from the Co-operative Bank Limited which the appellants apparently guaranteed. All this was done to enable the respondents to supply telephone sets to the appellants. It was the respondents' case that the appellants acted in breach of their contract by taking and paying for only 3 000 telephone sets, leaving the respondents stranded with unsold telephone sets, and unused materials in Kampala and in Hong Kong and an unserviced bank loan. The respondents sued the appellants in the High Court for the remedies to which I have already referred.

At the trial five issues were framed and agreed to. They were:

1. Whether there was a contract for the supply of 30 000 telephone sets or not.
2. If so, whether the appellants breached the contract.
3. If so, whether the respondents suffered any damages as a result of the breach.
4. Whether there was a guarantee of the loan from the Co-operative Bank Limited to the respondents.
5. Whether the respondents are entitled to the remedies sought.

The learned trial Judge resolved issues numbers one to four in the negative. She resolved the fifth issue partly in favour of the respondents and awarded US$ 260 000 to the respondents as the cost of unused materials, and interest there on at the rate of 8 percent per annum from the date of filing the suit till payment in full, and half of the cost of the suit.

The respondents were dissatisfied with the trial court's decision. They appealed to the Court of Appeal, which allowed the appeal and granted the remedies which the respondents had sought in the suit hence this appeal. Six grounds are set out in the memorandum of appeal, the last four being in the alternative to the first two.

They are:

1. The learned Justices of Appeal erred in law and fact in finding that there was a contract between the appellants and the respondents for the purchase of 30 000 telephone sets.
2. The learned Justices of Appeal erred in law and fact in finding that the appellants were in breach of contract for the 30 000 telephone sets.

In the alternative, but without prejudice to the foregoing:

3. The learned Justices of Appeal erred in law and fact in awarding general damages in addition to the award for loss of profits.
4. The learned Justices of appeal erred in law and fact in allowing the claim for loss of unused materials in addition to the award for loss of profits.
5. The learned Justices of Appeal erred in law and fact in allowing the claim for unpaid bank loan in addition to the award for loss of profit.
6. The learned Justices of Appeal erred in law and fact in finding that the claim for the unpaid bank loan has been proved.

The memorandum of appeal then prayed for setting aside the judgment and order of the Court of Appeal and costs of the appeal and of the suit.

The respondents cross-appealed on the following grounds:

1. The learned Justices of Appeal erred in fact and law in failing to award further interest on the head of damages relating to the unpaid bank loan.

2. The learned Justices of Appeal erred in law and fact in failing to award interest on the head of damages for loss of profits from the date of filing suit, as opposed to the date of judgment.

At the hearing of the appeal, the respondents sought and were granted leave to amend the notice of cross-appeal by additional ground, namely, that the learned Justices of Appeal erred in law upon dismissing the appellants' cross-appeal against the award of US dollars 260 000 for unused materials in falling to affirm the award of 8 percent interest on the said amount granted by the lower court from the date of filing suit till payment in full.

Mr William *Byaruhanga* and Mr *Kasirye*, assisted by Mr *Okuwa* represented the appellants. Mr Ebert *Byenkya* with Mr Oscar *Kihika* appeared for the respondents. Mr *Byaruhanga* for the appellants argued grounds one and two together. He criticised the Court of Appeal for finding that there was a contract between the parties for supply of 30 000 telephone sets by the appellants to the respondents. Learned counsel contended that there was neither such a contract nor a breach of contract it by the appellants. Learned counsel criticised the finding of Kitumba JA, who wrote the lead judgment, supported by the other members of the court, that the *proforma* invoice, P3 contained the offer by the respondents to sell to the appellants 10 000 telephone sets at US $ 44-75 per set which was accepted by the parties on 21 January 1995, by signing at the bottom of the document. P3 was preceded by a letter dated 23 December 1994 (exhibit P4) written by the appellants' managing director acknowledging receipt of exhibit P3 and the terms specified therein. When the appellants' managing director said in P4 that they had the capacity to purchase 30 000 telephone sets under the terms stated in P3, the appellants were making a counter-offer to buy 30 000 telephone sets. The appellant's learned Counsel contended that the learned Justices of Appeal erred in finding that exhibit P3 was not a mere formal offer, as *proforma* invoices ordinarily are, because it was detailed in nature and was signed by both parties, specifying their acceptance to be bound by the terms contained therein; and that exhibit P3 and exhibit P4 should be read together. In support of his contention, the appellant's learned Counsel referred to the definition of "proforma" in *Blacks Law Dictionary* (7ed) at 1227, where it is said to mean "made or done as formality: of an invoice or financial statement provided in advance to describe items, predict results or secure approval," He also relied on the book *An Outline of the Law of Contract* (5ed) by GH Treitel Butterworths, 1995 for the law on acceptance and counter-offer in contract.

Learned counsel further submitted that the signature of the respondents' managing director at the bottom of exhibit P3 was an approval and not acceptance of the terms; that exhibits P3 and P4 did not create a contract; that there was an offer for the purchase of 30 000 telephone sets which was concluded by the appellants' several local purchase orders (LPO). Exhibit P4 was not the basis of a contract as a counter-offer, because there was no acceptance by the respondents. Moreover there was uncertainty in exhibit P4 about the number of units being ordered; the time for delivery and how the 30 000 units were to be paid for. This was inconsistent with the well known principle of the law of contract that unless the essential terms of the contract are agreed upon, there is

no binding and enforceable obligation: *May and Butcher Limited v The King* [1934] 2 KB 17, CA. In the instant case,the documents on which the Court of Appeal based its finding did not amount to a contract.

In opposition to the appeal, Mr *Byenkya* learned Counsel for the respondents, also argued grounds one and two together. He submitted that the trial court and the Court of Appeal concurrently found that a contract existed between the appellants and the respondents. The learned trial Judge found that there were three separate contracts for a total of 20 000 telephone sets, and the Court of Appeal found that there was a contract for 30 000 sets of telephone. In doing so, the Court of Appeal, as the first appellate court, re-evaluated the evidence and reached its own conclusion, agreeing with the trial court on finding of facts. As a second appellate court, this Court should not interfere with that concurrent finding. Learned counsel relied on *Erisafani Mudumba v Wilberforce Kuluse* Civil appeal number 9 of 2002 (SCU) (UR) and *Lutaya v Attorney-General* Civil appeal number 10 of 2002 (SCU) (UR) *Milly Masembe v Sugar Corporation* and Another Civil appeal number of 2000 (SCU) (UR) and *Banco Arabe Espanol v Bank of Uganda* [1999] 2 EA.

He contended that in the instant case, this Court should not interfere with the concurrent findings by the lower courts that there was a contract between the parties.

The respondents' learned Counsel further submitted that by exhibit P5 the appellants informed the Co-operative Bank Limited that the appellants had entered into a contract with the respondents for the latter to supply them with telephone sets to meet their needs and that the appellants:

> "Will guarantee and pay the amount due to Tanzanite Corporation directly to the Co-operative Bank Limited which will satisfy all or part of its financing outlay to the Tanzanite Corporation from these funds."

The learned Counsel submitted that the appellants having guaranteed to pay the proceeds of sale of the telephone sets payable to the respondent direct to the bank; they were estopped from denying the contractual relationship between them and the respondents. They had presented themselves as being in such a relationship, making the respondents act on the presentation by taking a loan to its prejudice. The learned Counsel revealed that it was not the respondents' case that exhibit P5 was a guarantee (*sic*). It was a representation to the bank which induced it to give the loan to the respondent.

Regarding the appellants' LPOs, Mr *Byenkya* submitted that they could not have formed the basis of valid contracts, because they were predated by exhibit P5 dated 25 April 1995. It said that a contract for supply of telephones had been made between the appellants and the respondents. This was long before the LPOs dated 2 May 1995, 3 January 1999 and 31 January 1996 were issued. The LPOs did not contain the terms of the contract, but exhibit P3 did. Counsel contended that the respondents proved the terms of the contract by documentary evidence and the oral evidence of their managing director (PW1). On the other hand, all the respondents' witnesses did not know the terms of the contract, as Kitumba JA found in her lead judgment. Moreover, the appellants did not rebut the respondents' evidence that a contract existed between the two parties.

Arising from the pleadings in the suit the first issue for trial was whether or not a contract for sale of 30 000 telephone sets by the appellants to the respondents,

had been agreed between them and existed. The issue was not whether or not there was a contract for the sale or purchase of 100, 500, 10 000, 20 000 or 25 000 telephone sets. The learned trial Judge answered the first issue in the negative. While rejecting the argument of the counsel for the respondents that exhibit P4 was a counter-offer, the learned trial Judge said this:

> "With much due respect to learned Counsel, this letter is very clear. In the first paragraph, UP and TC acknowledges receipt of the plaintiffs' *proforma* invoice number 94/09/101 offering to furnish single line model TA-101 telephone sets to Up and TC and the plaintiffs "Subsequent inquiry on our (UP and TC) demand market.
>
> In the second paragraph UP and TC confirms that it had received the proposal (contained in the *proforma* invoice) as well as the technical specifications submitted and UP and TC agrees to purchase the said Model TA-101 sets from the plaintiff. PW1 stated that after meeting with UP and TC officials, he went back to their head office in Washington and brought their specifications and a sample which was later tested by UP and TC approved. That also agreed on the price of the phones. Then he made the offer of 10 000 per exhibit P3.
>
> The third paragraph was a response to the last part of the first paragraph which stated 'Your subsequent inquiry on our demand market'. In that paragraph, UP and TC said it has a capacity to purchase up to 30, 000 telephone sets on the same terms in the *proforma* invoice (exhibit P3).That it is also very likely that UP and TC will have additional need for telephone sets beyond this initial order meaning the 10 000. That UP and TC will also acquire additional units by local purchase order (LPO) from the plaintiffs' warehouse, 'Whenever necessary' since the plaintiff is a local supplier in Kampala.
>
> Lastly, Mr Sempala informed the plaintiff that it is now an approved vendor to UP and TC.
>
> This letter does not and cannot therefore be interpreted by any stretch of imagination to mean that UP and TC placed an order for 30 000 telephone sets. This is also borne out by the fact that exhibit P3 which was signed by both parties afterwards, did not mention 30 000. Exhibit P3 is an invoice of 10 000 sets only and not 30 000. It is also not a counter-offer as alleged.
>
> The plaintiff also alleged that exhibit P5 guaranteed the 30 000 telephone sets. This again is not true. I agree with Mr William *Byaruhanga*, learned Counsel for the defendant there is no reference to 30 000 sets in exhibit P3 was part performance of the process of fulfilling the said contract. I have found no such contract, that statement cannot therefore be true."

The learned trial Judge then went on to reject the contention by the respondents' counsel that *proforma* invoice P7 dated 27 September 1995, signed on 28 September 1995 was further confirmation of the contract for 30 000 telephone sets. She held that exhibit P7 was another and separate contract for the supply of another 10 000 sets. In the end, on this issue, the learned trial Judge concluded:

> "On the basis of this finding, I hold that there was no contract for the supply of 30 000 telephone sets between the two parties … there were instead several independent contacts between the two parties, I have not found any contract for the supply of 30 000 telephone sets between the parties. The answer of two issues is, therefore, negative."

Contrary to the finding of the learned trial Judge on the issue of contract, the lead judgment of Kitumba JA was to the effect that there was a contract

between appellants and the respondents for the supply of 30 000 telephone sets. She said *inter alia*:

> "Counsel for the respondent here and in the court below argued that *proforma* invoice is not a contract but a mere formal offer. That would be the case ordinarily. However in the appeal before this Court the formal offer was made on the *proforma* invoice. It was detailed in nature, time and was signed by both parties specifying their acceptance to be bound by the terms stated therein. Then exhibit P4 that was written before the signing of exhibit P3 made a close reference to exhibit P3. I accept counsel for the appellant's submission that exhibits P3 and P4 should be read together. I am of the view that there was a contract between both parties. When one considers exhibit P3 that was signed on 21 January 1995 for 10 000 sets, exhibit P6 signed on 5 May 1995 for 500 sets and P7 signed 29 for 10 000 sets. This makes a total of 25 000 which must be part of the 30 000 sets which the appellant was to supply to the respondent. Ground 1 succeeds."

With due respect to the learned Counsel for the respondents, I am unable to agree with him. As the passages I have referred to from their respective judgments show, the trial court and the Court of Appeal did not make concurrent findings that there was a contract between the parties for supply of 30 000 telephone sets which was an issue in the suit. The two courts made inconsistent findings. In my opinion the learned trial Judge's finding that there was no such a contract was the correct one. I also agree with the reasons she gave for that finding. In my view, the expression – "we have the capacity to purchase 30 000 telephone sets at US$ 44-75 per set under the terms of the *proforma* invoice" in exhibit P4 was part of the negotiation with the respondents, informing them that the appellants were able to supply 30 000 telephone sets to the respondents at the same price which had been conveyed to them by *proforma* invoice. It did not explicitly mention P3 which was a *proforma* invoice. It was therefore an offer to treat not an offer of a contract.

Black's Law Dictionary (7ed) by Bryan 4 (*sic*). Garner defines "*Proforma* invoice" as:

> "1. Made or done as a formality
>
> 2. (of an invoice or financial statement) provided in advance to describe items, predict result or secure approval."

In my opinion, the information in P4 was part of the negotiation between the two parties. It did not make an order to the respondents that they should supply 30 000 telephones. If that was the intention, the appellants would have said so. Further, P4 was not a counter-offer to purchase 30 000 telephone sets. The appellant's offers to buy telephone sets were made by the appellants' Local Purchase Orders (LPO) separately which totalled 30 000 telephones, the number received and paid for by the appellants. Further, with respect to the respondents' learned Counsel, I am unable to agree with his submission that the appellants' letter of 25 April 1995 (exhibit P5) was evidence that a contract existed between them and the respondents for supply of 30 000 telephones sets. It mentioned such a contract, but it did not say how many telephone sets the appellants would supply to the respondents and other conditions of such a contract. The respondent's learned Counsel submitted that it was not a guarantee, but an undertaking to induce the bank to lend the respondents money to finance the telephone transaction between them and the appellants. In the circumstances, it is in my opinion that exhibit P5 was not evidence of the existence of a contract between the appellants and the respondents for supply of 30 000 telephones. With great respect to the learned Justices of Appeal, I am of

the view that there was no contract between the appellants and the respondents for supply of 30 000 telephones sets, by the latter to the former. Since the contract did not exist, the issue of the appellants having acted in breach of the contract did not arise. Grounds one and two of the appeal must, therefore, succeed. The success of the first and second grounds, in effect, deposes of this appeal as the complaints in the other grounds criticise the Court of Appeal for errors regarding damages arising as a result of the alleged contract for 30 000 telephones which, as I have agreed with the learned trial Judge, did not exist.

I shall, therefore, briefly consider the other grounds of appeal. Grounds 3, 4, 5 and 6 were argued together, in the alternative, to grounds one and two by Mr *Kasinye* for the appellants. His main arguments are, first, that while the learned Justices of Appeal were alive to the principles of pleading and proving special damages, they apparently ignored those principles and instead resorted to section 52 of the Sale of Goods Act alone, to hold that the appellants were not entitled to reject delivery of the telephone sets but to sue the respondents for breach of warranty; for holding that PW1's oral evidence which merely estimated loss of profit of US dollars 722 259 on 27 000 telephone sets was sufficient proof of such loss because it was not challenged by the appellants; and for relying on subsections (1) and (2) of section 49 of the Sale of Goods Act in exclusion of subsection (3) thereof, which provides that where there is an available market for the goods which are accepted by the buyer the measure of damages is *prima facie* to be ascertained by the difference between the contract price and the market or current at the time when the goods ought to have been accepted or at the time of the refusal to accept. Learned counsel contended that the learned Justices of Appeal should have followed the well-established legal principle that special damages must be strictly pleaded and proved. He relied on: *Siree v Lake Turkana El Molo Lodges Limited* [2000] 2 EA 520, *Sale of Goods Act* by PR Aiyer; and *An outline of the Law of Contract* by GH Treited, (5ed) Butterworths.

Learned counsel for the appellants criticised the learned Justices of Appeal for making a finding which was outside the pleadings before the court as if the suit was brought under the Sale of Goods Act. The plaint prayed for general and special damages. The counsel who presented the respondents' case at the trial never mentioned the Sale of Goods Act. Learned counsel also criticised the learned Justices of Appeal for holding that the appellants had guaranteed a loan from the Co-operative Bank Limited to the respondents. He contended that the appellants did not do so. That contention is based on first exhibit P 10. This was a letter written by the bank to the respondents, informing the latter that they should remit money to repay UShs 108 683 330 overdrawn on their account with the bank. The demand for repayment was not made to the appellants, the alleged guarantor of the loan. Secondly, the alleged letter of guarantee (P5) proposed to make direct payment to the bank, but there is no evidence that P5 was accepted by the bank. Thirdly, there was no guarantee of the relationship between the appellant and the bank. Finally, learned Counsel submitted that as there was no contract between the appellants and the respondents, the learned Justices of Appeal should not have upheld the award of US dollars 26 000 for unused materials. In any case, the respondents should have mitigated their loss even if the appellants had acted in breach of a contract in that respect.

In his submissions on damages, the respondents' learned Counsel, Mr *Byenkya*, submitted that the appellants' counsel was out of order to argue against the award for loss of profit, without leave of court to challenge that award under rule 97 of the rules of this Court.

Regarding the unpaid loan of UShs 108 683 330, learned Counsel submitted that the Court of Appeal did not award it on the basis of a guarantee by the appellants, but on the basis that it was a foreseeable loss caused by the breach of contract by the appellants. The loss of profit of UShs 722 000 was awarded by the Court of Appeal as the profit margin on 27 000 telephone sets. The Court of Appeal also awarded US dollars 260 000 for loss of unused materials by the respondent. Regarding section 49(3) of the Sale of Goods Act, the learned Counsel contended that the provisions of that subsection are not applicable to the instant case, because the appellants did not adduce evidence to bring them into pray. Available market should have been established by the appellants (*sic*). On the contrary, it was the respondents who attempted to do so. PW1 testified that he tried unsuccessfully, to sell in Rwanda the telephones the appellants did not purchase. Learned counsel prayed for dismissal of the appeal and for up-holding of the Court of Appeal's decision, save for the respondents' cross-appeal. I shall deal with the cross-appeal after my conclusions on the grounds of appeal concerning the award of damages.

It is evident from the respondent's pleadings that their claims for loss of unused materials and for the unpaid bank loan were special damages. According to "*Aiyar's Sale of Goods Act*" (*supra*), "Special damages" is that damage in fact caused by wrong. It is trite law that this form of damages cannot be recovered unless it has been specifically claimed and proved or unless the best available particulars or details have before trial have been communicated to the party against whom it is claimed. In a claim for loss of profits, the normal measure of damages, as stated in section 50(3) of the Sale of Goods Act thereby in co-operating the common law as stated in *Barrow v Amand* [1846] 8 QB 610, is that contract price less the market price at the contractual time for acceptance. This represents the amount the seller must obtain to put himself in the position he would have been had the contract been carried out, since he can sell the goods in the market. *See Mc Gregor on Damages* (15ed) 1988.

In the instant case, the respondents, did not, in my view, adduce evidence to prove how the figure claimed as loss of profit was arrived at. The Court of Appeal merely accepted the claim of US$ 722 259 because it was not challenged. In her judgment, Kitumba JA said:

> "Regarding loss of profits on the 27 000 phone sets was not challenged in cross-examination. In his evidence, PW1 stated that the loss of profits on 27 000 sets was US$ 722 259. That in my view is the estimated loss."

The learned Justices of Appeal based their decision on loss of profits only on the provisions of subsections (1) and (2), without applying those of subsection (3) which, in my view, were the most relevant to the issue of assessment of damages for loss of profit.

The learned Justice of Appeal also said:

> "I find that the learned trial Judge considered the correct principles on proof of special damages. However, she did not consider the fact that the case before her was Sale of Goods Act provides (*sic*) . . ."

As I understand it, this passage, in the judgment of the justice of appeal, appears to mean that because the suit was about sale of goods the legal requirement that special damages must be specifically pleaded and proved was not applicable. With the greatest respect that would be an error. I think that in a claim for damages for breach of contract for sale of goods, both the provisions of the Sale of Goods Act, especially section 49(3), and the legal principles on pleading and proof of special damages are relevant and are not mutually exclusive. This in my view, is supported by what Lord Wilberforce said in *Reardon Smith Line limited v Yngvar Hamsen-Tangen (t/a HE Hansen-Tangen)* [1976] 1 WLR 989 at 998:

> "I would respectfully endorse what was recently said by Roskil LJ in *Cehave NV v Bremer Handek-geseellchaf in 6H* [1976] QB 44, 71:
>
> > 'In principle it is not easy to see why the law relating to the contracts for the sale of goods should be different from the law relating to the performance of other contractual obligations, whether charter parties or other types of contracts. Sale of goods law is but one branch, the principles should apply to the law of contract as a whole and that different legal principles should not apply to different branches of that law.'"

The respondents' learned Counsel argued that the appellants' learned Counsel should not have argued against the award for loss of profit by the Court of Appeal without the leave of this Court, under rule 97 of the rules of this Court. The learned Counsel did not elaborate. It would appear that he meant rule 97(*a*) of the Rules of the court. Rule 97(*a*) provides:

> "97 At the hearing of an appeal:
>
> (*a*) no party shall without leave of the court, argue that the decision of the Court of Appeal should be reversed or varied except on a ground specified in the memorandum of appeal or in notice of cross-appeal, or support the decision of the Court of Appeal on any ground not relied on by that court or specified in a notice given under rule 87."

With due respect, I do not find any merit in the submission of the respondents' learned Counsel in this connection because in ground three of the appeal, the appellants complained against the Court of Appeal for "awarding general damages in addition to the award for loss of profits". To my mind ground three complains that the Court of Appeal should not have awarded general damages as well as damages for loss of profit.

The Court of Appeal awarded to the respondents UShs 108 683 330 as loss for the unpaid loan they owed the Co-operative Bank. According to Kitumba JA in her judgment, this was because the appellants encouraged the respondents to take the loan, because exhibit P5 was to induce the bank to advance the money to the respondents for the purpose of acquiring materials to assemble the phones, and because the respondents produced exhibit P10, a letter dated 27 April 2000 from the Co-operative Bank demanding from them repayment of the loan. I have already held that exhibit P5 was not evidence of a contract between the appellants and the respondents because, first, it did not mention the amount allegedly guaranteed, and second, the demand to the respondents to pay the loan was not linked with the telephone transaction and was not addressed to the appellants. In the circumstances, I am with the greatest respect; unable to agree with the learned Justices of Appeal that default by the respondents to repay the loan was an event foreseeable by both the parties when the appellants wrote exhibit P5.

The learned trial Judge found, rightly in my view, that there was no contract between the appellants and the respondent, yet she awarded US$ 260 000 as damages for loss on the unused materials. According to the learned trial Judge:

> "This was based on the orders for phone sets placed by the appellants in exhibits P3, P5 and P7 and on the future requirements of the defendant. The plaintiff has advanced two letters (exhibits P8 and P9) from Goodwell Communications Limited, their suppliers in Hong Kong, to the effect that the plaintiff's accounts have been debited with this amount for 20 000 sets. I, therefore, award this to the plaintiff."

The Court of Appeal upheld this award. With great respect I am unable to agree with the learned Justices of Appeal, firstly because exhibits P3, P5 and P7, on which the learned trial Judge apparently relied to base the appellant's liability, in this regard did not form a contract between the appellants and the respondents. There having been no contract, it was inconsistent to hold the appellants liable for unused materials valued at US$ 260 000, which were allegedly ordered from Hong Kong to perform a non-existent contract; secondly, the Court of Appeal (*as per Kitumba JA*) held that it did not matter that PW1, the appellants' managing director, could not mention the exact location of the appellant's factory to assemble the 20 000 telephones for the assembly of which the materials lost in Hong Kong were intended. The learned Justices of Appeal said:

> "PW1 failed to describe the exact location of his workshop but explained that streets in Kampala are not numbered. This is indeed true in this country and failure to tell court the exact location of his workshop does not render his evidence incredible."

The existence in Uganda of a factory to assemble telephones by the respondents for supply of the same to the appellants and the existence, whether in Uganda or Hong Kong, of materials ordered for the purpose was a crucial aspect of the respondents' case. It is my view that it was therefore necessary for them to prove to the required standard, the existence in Uganda of such a factory. The respondents' evidence, in my view, failed to do so. With the greatest respect, they appear to have had an erroneous helping hand from the learned Justices of Appeal, in view of the passage of the judgment I have just referred to. In any case, as there was no contract for 30 000 telephone sets, there was no basis for the award of damages for unused materials.

For these reasons, I am unable to agree with the Court of Appeal that the respondents proved the loss of US$ 260 000 worth of unused materials in Hong Kong to the required standard. In the circumstances, they should not have been awarded US$ 260 000 for unused materials by the High Court and, upheld by the Court of Appeal. I would allow grounds three, four, five and six of the appeal. Consequently, I would allow the appeal with costs to the appellants here and in the courts below. I would dismiss the cross-appeal, also with costs to the appellants.

Odoki CJ, Karokora, Mulenga and Kanyeihamba JJSC concurred in the judgment of Oder JSC

For the appellant:
Mr William Byaruhanga and *Mr Kasirye and Mr Okuwa*

For the respondent:
Mr Ebert Byenkya and *Mr Oscar Kihika*

Wildlife Lodges Ltd v County Council of Narok and another
[2005] 2 EA 344 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment: 2 February 2004

Case Number: 1248/03

Before: Ojwang AJ

Sourced by: LawAfrica

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[1] Contempt proceedings – Priority of hearing vis-à-vis *other proceedings in the same matter – Applicable principles regarding procedure.*

Editors Summary

On 4 November 2003, the plaintiff commenced proceedings within the framework of High Court miscellaneous application number 1350 of 2003, for leave to institute proceedings of judicial review. The trial judge in the judicial review proceedings made orders to the effect that the leave so granted do operate as stay of all dealings in all that parcel of land known as Narok/Cis-Mara/Koyaki 3 in the Maasai Mara Game Reserve provided that the application for judicial review is filed within 21 days and served within 8 days from the date of filing. That order had been duly served upon the Narok County Council, the deputy land registrar and the Attorney-General. During the pendency of this order, the first defendant/respondent claimed that the second defendant/respondent was in legal possession of the suit land by virtue of an agreement dated 25 September 2003 and therefore, the first defendant could not hand over the possession of the premises.

It is this position taken by the defendants that culminated into the present proceedings.

Held – The whole purpose of litigation as a process of judicial administration is lost if court orders are not complied with.

Hadkinson v Hadkinson [1952] 2 All ER 575 is a landmark case on contempt which is eminently relevant in Kenya, which shares a common law heritage with England and other countries of the Commonwealth and the procedural law of which is intimately guided by the procedure governing the supreme law in England.

A party who knows of an order whether null or valid, regular or irregular, cannot be permitted to disobey it. It would be most dangerous to hold that suitors, or their solicitors, could themselves judge whether an order was null or valid – whether it was regular or irregular – *Chuck v Cremer* (1 Corp temp 342) adopted.

Narok County Council had a duty either to comply with the orders of 6 November 2003, or, if it thought it to be impossible or incorrect in law, to move the court to make a variation of the order.

An *ex parte* order by the court is a valid order like any other. To obey the orders of the court is to obey an order made both *ex parte* or *inter partes*. Where a party considers an *ex parte* order to cause him undue hardship, a simple application will create an opportunity for an appropriate variation to be effected

and, therefore, there will be no excuse for a party to disobey a court order merely on the grounds that it had been made *ex parte*.

Committal proceedings cannot be challenged for want of form, such as want of leave to institute the proceedings – *Wanjohi and another v Macharia* High Court civil case number 450 of 1995 followed.

Issues touching on contempt must take precedence over any other case of invocation of the jurisdiction of court.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Laroya v Mityans Staple Cotton Co. Ltd and another, [1958] EA 194

Mawani v Mawani, [1977] KLR 159

Mutitika and others v Baharini Farm Limited, (1982-88) 1 KAR 863

Wanjohi and another v Macharia, Civil case number 450 of 1995 – **F**

United Kingdom

Chuck v Cremer, (1 Corp Temp 342) – **A**

Hadkinson v Hadkinson, [1952] 2 All ER 575

Re Maria Annie Davis (1) [1888] 21 QBD

Judgment

Ojwang AJ: Within the framework of the main suit there have been several applications running in parallel. The plaintiff/applicant, within the ambit of its plaint, dated 1 December 2003, has filed the following applications:

(*a*) A chamber summons application (under Order XXXIX, rules 1, 2, 3 and 4; sections 3 and 3A of the Civil Procedure Act (Chapter 21); and section 120 of the Evidence Act (Chapter 80) dated 1 December 2003.

(*b*) A chamber summons application (under Order XXXIX, rules 2A and 28(1) of the Civil Procedure Rules and section 3A of the Civil Procedure Act (Chapter 21) dated 10 December 2003.

(*c*) An application by notice of motion (under section 10 of the Judicature Act (Chapter 8), Order L of the Civil Procedure Rules, and section 3A of the Civil Procedure Act (Chapter 21) dated 18 December 2003.

The plaintiff's chamber summons application of 1 December 2003, which was heard *ex parte*, had the following prayers:

(i) An order that the actions of the County Council of Narok on 30 December 2003 to forcefully evict the plaintiff and its subtenants, in its bid to give possession of all that parcel of land known as Narok/Cis-Mara/Koyaki 3 to Wilderness Lodges Ltd, was in contempt of an order of the High Court issued on 6 November 2003 in another case, High Court civil case miscellaneous, civil application number 1350 of 2003, and therefore null and void;

(ii) A mandatory injunction to compel the first defendant and/or its employees and/or agents and/or assigns and/or anybody whosoever to return possession

and the plaintiff's business at Keekorok Lodge, Narok on land reference number Narok/Cis-Mara/Koyaki 3, Maasai Mara Game Reserve together with the sub-leased accommodation and adjacent premises to the plaintiff;

(iii) An injunction to issue to restrain the second defendant and/or its employees and/or agents and/or assigns and/or anybody whosoever, from taking possession and taking over the running of the plaintiff's business at Keekorok Lodge, Narok on land reference number Narok/Cis-Mara/Koyaki 3, Maasai Mara Game Reserve together with the sub-leased accommodation and adjacent premises;

(iv) A permanent injunction to issue to restrain the defendants and/or their employees and/or agents and/or assigns and/or anybody whosoever from evicting and/or inhibiting and/or interfering with the plaintiff together with its employees in their status as lessees and/or lawful occupiers and in the conduct of its business situated at Keekorok Lodge, Narok on land reference number Narok/Cis-Mara/Koyaki 3, Maasai Mara Game Reserve or any adjacent land thereto pending the hearing and determination of this case.

Now on 4 November 2003, the plaintiff had drawn a chamber summons application and filed it on 5 November 2003 within the framework of a different case, a judicial review application, miscellaneous civil application number 1350 of 2003. The main purpose of that application was to obtain leave to apply for an order of *certiorari* directed to the Permanent Secretary, Ministry of Local Government to move into court and quash the Permanent Secretary's decision of 18 September 2003, authorising the Narok County Council to execute and register a lease agreement dated 25 September 2003 over land reference number Narok/Cis-Mara/Koyaki 3 on which land the Council has erected buildings known as Keekorok Lodge. Leave was being sought also for an application for an order of *certiorari* directed to Narok County Council to quash the said lease agreement in favour of Wilderness Lodges Limited. Leave was being sought, similarly, for an application for an order of *certiorari* directed to the District Land Registrar, Narok. Leave was being sought as well to apply for an order of *mandamus* compelling the District Land Registrar, Narok to register a variation lease dated 25 August 2001, over land reference Narok/Cis-Mara/Koyaki 3 in favour of Wildlife Lodges Limited. The applicant also made the prayer that the grant of leave do operate as a stay of all dealings with the parcel of land known as Narok/Cis-Mara/Koyaki 3 in the Maasai Mara Game Reserve.

Upon reading the chamber summons application of 4 November 2003 and hearing the presentation thereof *ex parte*, by counsel for Wildlife Lodges Limited, and upon reading the statutory statement in aid of the application and the verifying affidavit, Nyamu J made several orders as prayed, the critical one for the purposes of Civil case number 1248 of 2003 being as follows:

> "That leave to apply for judicial review do operate as a stay of all dealings of all that parcel of land known as Narok/Cis-Mara/Koyaki 3 in the Maasai Mara Game Reserve provided that the application for judicial review is filed within 21 days and served within 8 days from the date of filing."

By the second chamber summons application in Civil case number 1248 of 2003, dated 10 December 2003, the plaintiff/applicant was praying for orders as follows:

(i) That the first defendant's chief officers, namely the acting clerk, the treasurer and its advocate be detained in prison for a period of six months for being in

disobedience of the court order given by Nyamu J in Civil application number 130 of 2003, on 6 November 2003 and in Civil case number 1248 of 2003 on 1 December 2003.

(ii) That in addition to or in lieu of such committal, the court do order the sequestration of the properties of the first defendant, the acting clerk, the treasurer and first defendant's advocate, for disobedience to the orders of the court given on 6 November 2003 and 1 December 2003.

(iii) That the second defendant's managing director, directors, servants, agents and advocates be detained in prison for six months for disobedience to the orders of the court issued on 1 December 2003.

(iv) That in addition to or in lieu of such committal, the court do order the sequestration of the properties of the second defendant, the second defendant's managing director and advocates for disobedience to the order of court issued on 6 November 2003 and 1 December 2003.

It should be recorded that when Nyamu J heard *ex parte*, the plaintiff's chamber summons application of 1 December 2003 on that very day, the learned Judge made certain orders. The relevant orders which have a bearing on the plaintiff's second chamber summons application in Civil case number 1248 of 2003 that of 10 December 2003, are as follows:

(*a*) That it is, hereby, ordered that the actions of the County Council of Narok on the 30 November 2003 to forcefully evict the plaintiff and also its sub-tenants in its bid to hand over possession of all that parcel of land known as Narok/Cis-Mara/Koyaki 3 to Wilderness Lodges Limited is in contempt of the order of the High Court in High Court civil case miscellaneous civil application number 1350 and therefore null and void (*sic*).

(*b*) That a mandatory injunction be, and is hereby, issued to compel the first defendant and/or its employees and/or agents and/or assigns and/or anybody whosoever to return possession and the plaintiff's business at Keekorok Lodge, Narok on land reference number Narok/Cis-Mara/Koyaki 3, Maasai Mara Game Reserve.

(*c*) That an injunction be and is hereby issued to restrain the second defendant and/or its employees and/or agent and/or assigns and/or anybody whosoever from taking possession and taking over the running or conduct of the plaintiff's business at Keerokok Lodge, Narok on land reference number Narok/Cis-Mara/Koyaki 3, Maasai Mara Game Reserve together with the sub-leased accommodation and adjacent premises.

The third application by the plaintiff was dated 18 December 2003. This application covers the same general ground as the earlier two chamber summons applications. It seeks orders:

(i) that the court do certify as urgent and an urgent date be set for the hearing of the chamber summons applications dated 1 and 10 December 2003.

(ii) that the court be pleased to give such further or other orders and directions as it may deem fit and just to grant.

The grounds stated in support of this application by notice of motion readily resolve into the gravamen (*sic*) of the two chamber summons applications:

(*a*) That on 30 November 2003 the first defendant purported, in breach of court order, to forcefully evict the plaintiff and its sub-tenants from their lawful place of business;

(*b*) That on 1 December 2003 the court issued a further order (apart from the one made on 6 November 2003) to enforce compliance with the earlier order;

(*c*) That owing the disobedience to court orders by the respondents, there is now a proliferation of litigation over rights centered on the suit property, and the following may be cited;

(i) *Wilderness Lodges Ltd v The Permanent Secretary, Ministry of Local Government*, High Court civil case miscellaneous application number 1260 of 2003;

(ii) *Balloon Safaris Ltd v County Council of Narok*, High Court civil case number 1235 of 2003;

(iii) High Court civil case miscellaneous application number 1413 of 2003;

(iv) *Amir suleiman v Narok County Council*, High Court civil case number 1221 of 2003;

(*d*) That the respondents have further disobeyed the orders of the court in High Court miscellaneous civil application number 1413 of 2003 (made by Nyamu J on 6 November 2003) and High Court civil case number 1235 of 2003 (issued by Nyamu J on 28 November 2003);

(*e*) That the actions of the County Council of Narok and the second defendant are designed to deprive the plaintiff of its rights in Land reference number Narok/Cis-Mara/Koyaki 3:

(*f*) That there is need to establish a basis for the resolution of the multiplicity of suits, and to underline the paramount authority of the law and restore the status of the courts as the principal enforcers of the law.

The last prayer in the application by notice of motion dated 18 December 2003 was: "It is pertinent that the chamber summons applications dated 1 and 10 December 2003 are heard during the vacation as the applicant continues to suffer irreparable breach and injury to its constitutional rights to the suit property that has been unlawfully taken away from it".

The matter came up for hearing during the court vacation, on 23 December 2003.

Mr Ochieng *Oduol* for the plaintiff stated that the leave to apply for judicial review orders, granted by Nyamu J in High Court civil case miscellaneous civil application number 1350 of 2003 on 30 November 2003 had stayed all dealings with the suit property, land reference number Narok/Cis-Mara/Koyaki 3, and that this order had been duly served on the Narok County Council, on the Deputy Land Registrar and on the Attorney-General. He said that the Narok County Council purported to overlook the order and to dispossess the plaintiff as well as eject the sub-tenants; and that this led to the filing of civil case number 1248 of 2003, on 1 December 2003. The plaint was filed together with a chamber summons application which was heard *ex parte* the same day and appropriate orders, incorporating the earlier orders issued in High Court civil case miscellaneous civil application number 1350 of 2003 made. The new orders were duly served on the respondents; but it was the contention of counsel that the respondents have disobeyed these orders. The question of disobedience became the main subject in the hearing, as counsel for the applicant submitted, quite correctly with respect, that the whole purpose of litigation, as a process of judicial administration, is lost if court orders are not complied with. Mr Ochieng *Oduol* for the applicant rightly proposed that, of the set of applications on file, the one that ought to be heard first was the chamber summons application of 10 December 2003. His submissions were entirely devoted to that application, and it is to that application that the respondents addressed themselves. Hence this ruling is squarely focused on the

chamber summons application of 10 December 2003. In that application the main prayer is that certain identified individuals, perceived as contemptors, be committed to jail until they purge their contempt of court orders.

Counsel for the plaintiff/applicant submitted that the court should not consider matters pending within the framework of the present suit, before first resolving the contempt question. He submitted that there ought, in principle, to be no hearing accorded a party who is in contempt, until the court makes appropriate orders to deal with the contempt, and that as a vital matter of administration of justice, court orders must be obeyed by those to whom they are addressed. Counsel submitted that the two respondents had no right to be heard, and that the court should ideally proceed to hear the applicant *ex parte*: the reason being that the advocates for the respondents would otherwise be enjoying audience while their clients were in contempt.

Mr Ochieng *Oduol* for the plaintiff/applicant submitted that Nyamu J had, in the judicial review proceedings of 6 November 2003 stayed all dealings with the suit land. Yet the first defendant/respondent was claiming that the second defendants/respondent was in legal possession of the suit land by virtue of an agreement dated 25 September 2003 and that consequently the first defendant/respondent cannot hand over possession of the premises. Counsel argued that the first and second defendant/ respondents could not rightly act on an agreement of 25 September 2003 since the court had made orders staying all dealings with the suit land. Counsel argued that in the light of the order of the court issued on 6 November 2003 the first and second defendants could only have come by possession of the suit land illegally, and therefore, possession by the second defendant was illegal possession. Counsel stated that the purpose of the mandatory injunction made by the court was to terminate the state of illegal possession and to restore legal possession to the applicant who had all along been the legal occupier. Counsel submitted that the act of the defendants in defying the court's orders is set not only to expose such orders to ridicule, but also to deny the legitimacy of the law as the basis of possession of real property. He submitted that the first defendant, the County Council of Narok, had defied two separate court orders – the one of 6 November 2003 and the one of 1 December 2003. He submitted that the second defendant, as it was not a party to the judicial review proceedings in High Court civil case miscellaneous civil application number 1350 of 2003, was in contempt of one court order, that of 1 December 2003. Mr Ochieng *Oduol* submitted, on the basis of the English authority *Hadkinson v Hadkinson* [1952] 2 All ER 575, that it was in law irrelevant what misgivings the defendants may have had against the court orders which they chose to disobey; they were required to obey those orders. He argued that suitors must come before the court if they are dissatisfied with any orders already made; but they have no right or liberty to disregard valid court orders or to treat them as a nullity.

Hadkinson v Hadkinson [1952] 2 All ER 575 is a landmark case on contempt. It is eminently relevant in this country which shares the common law heritage with England and the other countries of the Commonwealth, and the procedural law of which is intimately guided by the procedures governing the Supreme Court in England. This case had been relied on by both the plaintiff/applicant and the respondents. It is, hence, apposite that I draw on this case, in building the governing principles to lead to a resolution of the present application.

In *Hadkinson* (*supra*) the fundamental issue before the court was whether a party clearly in contempt of an existing court order could be heard in a different but related motion, such as an appeal against the substantive decision that carried the order in question. The summarised holding in the case (at 575) reads as follows:

> "It was the plain and unqualified obligation of every person against, or in respect of, whom an order was made by a court of competent jurisdiction to obey it unless and until it was discharged, and disobedience of such an order would, as a general rule, result in the person disobeying it being in contempt and punishable by committal or attachment and in an application to the court by him not being entertained until he had purged his contempt . . ."

To quote the words of Romer LJ:

> ". . . I am clearly of the opinion that the mother was not entitled, in view of her continuing contempt of court, to prosecute the present appeal and that she will not be entitled to be heard in support of it until she has taken the first and essential step towards purging her contempt of returning the child within the jurisdiction."

In a paragraph of definite relevance to the present application, Romer LJ quoted a passage from the judgment of Lord Cottenham, LC in *Chuck v Cremer* (1 Coop temp 342):

> "A party who knows of an order, whether null or valid, regular or irregular, cannot be permitted to disobey it. . . It would be most dangerous to hold that the suitors, or their solicitors, could themselves judge whether an order was null or valid – whether it was regular or irregular. That they should come to the court and not take upon themselves to determine such a question. That the course of a party knowing of an order which was null or irregular, and who might be affected by it, was plain. He should apply to the court that it might be discharged. As long as it existed it must not be disobeyed."

Counsel for the plaintiff/applicant also referred the court to a Kenyan decision, *Mawani v Mawani* [1977] KLR 159, clearly based and the *Hadkinson*(*supra*) principles. The following passage from the judgment of Simpson J (as he then was) may be cited:

> ". . . the respondent to the present application was awarded the custody of the two children of her marriage to the applicant's principal. In defiance of the court order she removed the children from her flat in Nairobi and took them that night by air to Pakistan. The children have not yet been returned. The applicant's principal is accordingly in contempt of court and, by appointing an attorney, is avoiding a return within the jurisdiction of the court . . .
>
> . . . Now the father, through the medium of an attorney, has the effrontery to seek the assistance of this Court which he has defied . . .
>
> In my opinion he should not be permitted to do so. I rule that this application shall not be heard until the applicant's principal has purged his contempt by returning the children to Kenya."

Mr *Muite*, for the first defendant/respondent, submitted that disobedience to court orders should not be inferred from the pertinent facts regarding the making of those orders. He contended that the stay on dealing with the suit land which Nyamu J ordered on 6 November 2003 and 1 December 2003 was not in clear enough terms to rule out possible misapprehension.

Counsel argued that what was stayed by the learned Judge was dealings with the title to the suit property, and that such a notion would not make it clear whether sale, or transfer or leasing were incorporated within the stay orders.

The practical purpose of this particular argument did not emerge entirely clearly, as a reasonable and ordinary understanding of the stay orders made by the learned Judge would be that the *status quo* was to remain intact; the title holders would not begin to sell off the land and to transfer title, nor would they begin to lease the land to a new tenant, nor would they engage in an eviction exercise against current tenants, nor would they lodge new entries in the relevant land register, nor would they in any way disturb the current state of occupancy of the suit lands. I would take this to be what the learned Judge would have meant and did mean. In any case, it is not apparent that the defendants had appeared confused as to the reasonable meaning that could be attached to the learned Judge's stay orders. Had there been any misapprehension in the minds of the defendants, then the expectation of them is that they would have made an application to the court for the resolution of any misunderstanding; this would have been the lawful course of action.

Counsel for the first defendant/respondent submitted that, as at 6 November 2003 when the first court order was made, in High Court civil case miscellaneous civil application number 1350 of 2003, the title to the suit land had already been leased to the second defendant/respondent, and there was nothing to be caught in the web of a stay order, and hence the stay order of 6 November 2003 had no application to the Narok County Council, the first defendant. Counsel argued that by the time the first order was made on 6 November 2003 a valid lease in favour of the second defendant had already been registered on 17 October 2003.

The effect of this argument is that the order made by Nyamu J on 6 November 2003 was misdirected at a subject already concluded and which had conclusively determined the legal standing between the first defendant and the second defendant and that both of them were in pretty good standing with the law in all respects. Now as for the second defendant, that would be so, as counsel for the plaintiff has admitted that the second defendant was not party to the relevant suit, High Court civil case miscellaneous civil application number 1350 of 2003. But the Narok County Council, the first defendant was a party to that suit and definitely knew of the learned Judge's stay order directed at the first defendant and others, and with respect to the suit land.

The question whether the court's order of 6 November 2003 was, in law, rightly directed at the Narok County Council was a contentious one for consideration in an interlocutory application. But the question whether an order had been made by the court, intended to limit the first defendant's scope for action, could not be disputed; which means that this Court would have expected the Narok County Council either to comply with that order in silence, or to challenge that order by way of a formal application in court. In support of this reasoning fully adopt the remarks of Lord Cottenham, LC in *Chuck v Cremer* (1 Corp. temp. 342):

> "A party who knows of an order, whether null or valid, regular or irregular, cannot be permitted to disobey it. . .It would be most dangerous to hold that the suitors, or their solicitors, could themselves judge whether an order was null or valid – whether it was regular or irregular."

Consequently, I hold that the Narok County Council had a duty either to comply with the order of 6 November 2003, or, if this was thought to be impossible or incorrect in law, to move the court to make a variation to its order.

Mr *Muite,* for the first defendant, made a number of submissions on the prayer in the plaintiff's application, that certain officers of the Narok County Council be committed for contempt. He submitted that the court's authority to commit, on perceptions of contempt, is so drastic that it ought to be exercised only very sparingly. In counsel's view, the general contest surrounding the plaintiff's case and its interlocutory motions would not compel the solution of committal. In particular counsel remarked the *Ex Parte* mode of the various applications so far made by the plaintiff. He questioned the *Ex Parte* nature of the orders of 6 November 2003; the fact that the plaintiff did not seek solutions to its dissatisfaction through one case, High Court civil case miscellaneous civil application number 1350 of 2003, but elected to commence Civil case number 1242 of 2003, when the two were really dealing with the same set of circumstances, the fact that under Civil case number 1248 of 2003 the plaintiff had also obtained *Ex Parte* mandatory injunctions on 1 December 2003.

Counsel for the first defendant submitted that contempt is a criminal matter and must be proved beyond reasonable doubt. In support of this argument, he cited the case *Gatharia K Mutitika and Two others v Baharini Farm Limited,* (Now called Nakuru House Development Co Ltd) (1982-88) 1 KAR 863. Counsel drew attention to page 867, where the following passage is taken from the judgment of Lord Denning, Mr in *Bramblevale Ltd, Re* [1969] 3 All ER 1062:

> "A contempt of court is an offence of a criminal character. . . A man may be sent to prison. It must be satisfactorily proved. To use the time-honoured phrase, it must be proved beyond reasonable doubt."

I should, however, note that the Court of Appeal in the *Mutitika*(*ibid*) case was not in agreement with the above passage in the *Bramblevale* (*ibid)* case. The holding of the court, as summarised at 863-864, is as follows:

> "In cases of alleged contempt, the breach for which the alleged contemnor is cited must not only be precisely defined but also proved to a standard which is higher than proof on a balance of probabilities but not as high as proof beyond reasonable doubt."

Counsel for the first defendant also relied on the case *Kaaturilal Laroya v Mityans Staple Cotton Co Ltd and another* [1958] EA 194, to support the contention that the law of contempt should not be invoked in aid of civil causes when there exist other modes of implementation of court orders. My attention was drawn to a passage from the English case, *Re Maria Annie Davis* (1) [1888] 21 QBD 236 at 239.

> "Recourse ought not to be had to [the] process of contempt in aid of a civil remedy where there is any other method of doing justice. The observations of the late Master of the Rolls in the case of *Clement, Re* (*supra*) seem much in point. 'It seems to me that this jurisdiction of committing for contempt being practically arbitrary and unlimited, should be most jealously and carefully watched, and exercised, if I may say so, with the greatest reluctance and the greatest anxiety on the part of judges to see whether there is no other mode which is not open to the objection of arbitrariness, and which can be brought to bear upon the subject. I say that a judge should be most careful to see that the cause cannot be fairly prosecuted. To a hearing unless this extreme mode of dealing with persons brought before him on accusations of contempt should be adopted. I have myself had on many occasions to consider this jurisdiction, and I have always thought that, necessary though it be, it is necessary only in the sense in which extreme measures are sometimes necessary to preserve men's rights, that is, if no other pertinent remedy can be found. Probably that will be discovered after consideration to be the true measure of the exercise of the jurisdiction."

Using the principle in *Re Clement* (*supra*), Sir Audley McKisack CJ, in the *Kaaturilal Laroya* case(*supra*), in the High Court for Uganda, ruled in favour of the respondent (at 195):

> "In result, therefore, I find that the conduct of the respondents (on the assumed facts) does not amount to an obstruction of the course of justice or to prejudice to the decree holder's interest, and the mere fact that there has been disobedience to an order of the court does not, in those circumstances, render the respondents liable to be dealt with as for a contempt."

Counsel was, in effect, arguing that the circumstances of alleged contempt in the present matter should not be treated as contempt, particularly because the pertinent facts and issues still stand to be determined in the trial of the main suit, and as such the stage was still not set for a clear, final order with which the first defendant/respondent must comply, on the pain of committal to jail in case of default. Counsel submitted that the critical reference point in assessing the first defendant's obedience or disobedience to court order, was the question which belongs to the trial process, whether the registered purported extension of lease for the second defendant was valid or not valid. Counsel urged that the court ought to consider whether there was no other mode of dealing with the problems raised by the suit, than committal – a mode that would not be subject to perceptions of arbitrariness. He urged that it be considered undesirable that *ex parte* orders such as those obtained by the plaintiff/applicant, should lead to committal on a contempt charge. He submitted that there were numbers of facts in dispute between the parties, and these ought to be sorted out in the full process of litigation, rather than constrain the trial process in certain direction through the contempt jurisdiction. He was of the view that in the particular circumstances of the case, in which the court orders in question emanated from *ex parte* applications, a particularly heavy burden of proof of contempt should be placed on the plaintiff/applicant. Counsel did concede, however, that the case of *Hadkinson v Hadkinson,* [1952] 2 All ER 575 did carry the essential principles of contempt law applicable to Kenya, and that by these principles, one who falls in contempt of a court order is required to purge that contempt. He cited the case of *Gatharia K Mutitika and others v Baharini Farm Ltd,* (1982-1988) 1 KAR 864 to support the submission that a court order had to be clear and unambiguous, and its breach be equally clear and indubitable, to sustain a valid claim of contempt subject to committal. In this submission the orders of 6 November 2003 and 1 December 2003 did not satisfy the principles in the *Mutitika* case (*supra*), and accordingly, this was not a fit case for committal for contempt. Counsel argued that the stay orders were vague, and could not be readily complied with. He submitted too that the contempt jurisdiction may be exercised to the extent of refusing to hear a party, in the manner called for by counsel for the plaintiff/applicant, only where the contempt in question had the effect of impending the cause of justice, and as he saw it, there was no contempt in the present case which had that effect.

Although counsel for the first defendant laid much store on vagueness in the court orders of 6 November and 1 December 2003, the facts do not bear out this position. The legal argument is unanswerable: for a court order to unquestionably claim obedience, it should not be case in a language of equivocation. But the orders made by Nyamu J on 6 November 2003 were quite clearly worded, as has been intimated earlier.

If the court's orders are not complied with, would this tend to impede the process of justice?

I will take judicial notice that inherent social limitations afflicting most people in a developing country such as Kenya have the tendency to restrict access to the modern institutions of governance, and more particularly to the Judiciary which is professionally run, on the basis of complex procedures and rules of law. Yet, this same Judiciary is generally viewed as the impartial purveyor of justice, and the guarantor of an even playing ground for all. This perception ought to be strengthened, through genuine respect for the courts of justice, and through compliance with their orders. Against this background, I would take the position that consistent obedience to court orders is required, and parties should not take it upon themselves to decide on their own which court orders are to be obeyed and which ones overlooked, in the supposition that this oversight will not impede the process of justice.

I do not think, besides, that if parties to whom the court orders of 6 November 2003 and 1 December 2003 were addressed fail to comply with them, this would not impede the process of justice. Justice dictates even-handedness between the claims of parties; and if it is the case that the plaintiff/applicant has not been accorded a level playing ground for the realisation of its economic activities, a matter that, of course, can only be fully established through evidence in the main suit, then the court ought to provide relief, by applying the established principles of law, one of these being the law of contempt.

Counsel for the second defendant has been consistent in impeaching the court's *ex parte* orders as the basis for the exercise of the contempt jurisdiction. I have to state clearly that an *ex parte* order by the court is a valid order like any other. To obey the orders of the court is to obey orders made both *ex parte* and *inter partes.* The court, by Constitution section 60 is the repository of unlimited first instance jurisdiction, and in this capacity it may make *ex parte* orders where, after careful and impartial consideration, it is convinced that issuance of such an order is just and equitable. There is nothing necessarily potentially oppressive in an *ex parte* order, since such an order stands open to be set aside by simple application, before the very same court (*sic*). Where a party considers an *ex parte* order to cause him undue hardship, simple application will create an opportunity for an appropriate variation to be effected thereto; and, therefore, there will be no excuse for a party to disobey a court order merely on the grounds that it had been made *ex parte*. This argument, therefore, will not avail either the first or the second defendant.

Counsel for the first defendant generously argued a point in favour of the second defendant: that while the second defendant had not been a party to the judicial review proceedings in Miscellaneous civil application number 1350 of 2003, now it had been netted through Civil case number 1248 of 2003, and was by this design being subjected to the court's contempt jurisdiction, in relation to orders emanating from a different cause of action. This submission would not be sustainable, as counsel for the plaintiff/applicant did clarify that the complaint against the second defendant/respondent was only in relation to the court orders of 1 December 2003, made within the framework of Civil case number 1248 of 2003.

Counsel for the first defendant submitted that it was wrong, in law, for the plaintiff to file Civil case number 1248 after filing Miscellaneous civil case

number 1350 of 2003, and in support he cited section 6 of the Civil Procedure Act (Chapter 21 Laws of Kenya). He submitted that section 6 prohibits the trial of any suit in which the matters in issue are also directly in issue in another court having jurisdiction. He argued that in both Miscellaneous civil application number 1350 of 2003 and Civil case number 1248 of 2003, the same matter was, and the same issues were, involved. He submitted that in the premises, Civil case number 1248 cannot be proceeded with, in which case it has no probability of success. He submitted that counsel for the plaintiff had not disclosed the relationship between the two cases, and that this amounted to failure to make proper disclosures before the court.

As a basis for assessing the merits of this argument regarding Miscellaneous civil application number 1350 and Civil case number 1248 it is necessary to set out the provision of section 6 of the Civil Procedure Act.

> "No court shall proceed with the trial of any suit or proceeding in which the matter in issue is also directly and substantially in issue in a previously instituted suit or proceeding between the same parties, or between parties under whom they or any of them claim, litigating under the same title, where such suit or proceeding is pending in the same or any other court having jurisdiction in Kenya to grant the relief claimed."

Counsel for the plaintiff/applicant did make specific submissions in response. He stated that Miscellaneous civil application number 1350 of 2003 was a different type of case, as it was in the nature of judicial review proceedings. That case was in quest of distinct remedies and could not have been used as the foundation of prayers for injunctions.

After careful consideration of the pleadings in the two cases, I have come to the conclusion that they could not have been merged into one case, as Miscellaneous civil application number 1350 of 2003 is a straightforward judicial review case seeking the court's prerogative orders directed to a certain number of public bodies; whereas Civil case number 1248 of 2003 is an ordinary type of civil claim, with a varied set of prayers founded on claims of fraud. I find, accordingly, that there was nothing improper in the filing of both cases at the same time. The first defendant's preliminary objection to the plaintiff's chamber summons application of 10 December 2003, therefore, could not be sustained.

Counsel for the first defendant submitted that the contempt case was inappropriate and did not deserve to be heard, and that, instead, the court ought to hear the applications of the defendants for discharge of the *ex parte* orders won by the plaintiff. This was also the position taken by counsel for the second defendant/respondent, but counsel for the plaintiff/applicant was of the view that so long as the defendants had not complied with the orders of the court, in law there was no basis upon which they could be heard. He urged the court to decline to hear the defendants until such time as they had purged their contempt. He underlined the fact that the first defendant, at the point of dispossessing the plaintiff of the suit property, were not themselves in legal possession and they violated lawful court orders when they purported to acquire possession and then transfer the same to the second defendant.

Counsel for the first defendant had also challenged the plaintiff's application on the ground that leave had not been sought before filing proceedings for committal of the defendants for contempt. Counsel for the plaintiff, in this regard, rightly drew the attention of the court to the case of *Isaac J Wanjohi and*

Isaiah Kirindi Wambugu Mutonyi v Rosaline Macharia, Civil case number 450 of 1995, in which the Honourable Mr Justice Bosire (as he then was) had ruled that such formalities were not required in contempt cases. In the words of the learned Judge:

> "It would appear to me that applications for committal for contempt of court made in this country fall in the category of those applications in England made to courts other than the divisional courts. Consequently no leave would ordinarily be necessary although it is common practice in Kenya, improperly so in my view, to commence committal proceedings in every case by an application for leave to bring the application. The authority for that cannot possibly be the Rules of the Supreme Court of England."

The committal proceedings cannot, thus be challenged for want of form.

The managing director of the second defendant did respond to the plaintiff's application to invoke the contempt jurisdiction of the court, through an affidavit filed on 16 December 2003. He denied that the second defendant through its directors, servants, agents and advocates was guilty of disobedience of the court's orders of 1 December 2003. He made other pertinent averments as follows:

(i) That the second defendant had felt aggrieved by the *ex parte* orders of 1 December 2003 and it had on 3 December 2003 applied for the discharge of those orders;

(ii) That on 5 December 2003 and acting on the advice of its advocates, the second defendant had instructed the lodge manager to initiate the process of handing over the lodge to the first defendant who was the lessor of the second defendant;

(iii) That the plaintiff in its *ex parte* application of 1 December 2003, had not sought an order to compel the second defendant to transfer the suit premises to the plaintiff;

(iv) That in the foregoing circumstances, the second defendant had not refused to comply with the court order of 1 December 2003.

It is clear from the content of the second defendant's affidavit that the main issue in contention, in respect of which the court order of 1 December 2003 applied, was between the plaintiff and the first defendant rather than between the plaintiff and the second defendant. As the order of 1 December 2003 when related to the second defendant presupposes, prior solution to the dispute between the plaintiff and the first defendant, I will take the position that the second defendant may not be immediately fixed with the legal consequences of contempt, but on condition that the second defendant shall forthwith carry out the handing over process, covered in the fifth paragraph of the affidavit sworn by Nayan Patel, the second defendant's managing director, on 16 December 2003 and filed on the same day. Subject to the requirement carried in the foregoing sentence, I will exclude the second defendant from the immediate operation of the contempt rule and with regard to the court order of 1 December 2003. As I have stated earlier that the contempt jurisdiction has not been invoked in respect of the court order of 6 November 2003 and with respect to the second defendant, I hereby discharge the second defendant conditionally from possible liability for contempt of court. The implication of this decision is that subject to the requirement that the second defendant forthwith hand over the suit premises as stated above, any issues in the dispute between the plaintiff and the second defendant must be resolved through the expeditious prosecution

of both Miscellaneous civil application number 1350 of 2003 and Civil case number 1248 of 2003 – a task which must rest primarily on the plaintiff. I hereby prescribe the outer limit of time within which the second defendant is to hand over the suit premises as 28 days from the date of this ruling.

The notice of motion under section 3A of the Civil Procedure Act (Chapter 21, Laws of Kenya) Order XXXIX, rule 4 and Order L, rules 1, 2 and 17 of 3 December 2003, filed on the same date by the second defendant, had sought a discharge of the orders of the court made on 1 December 2003. While it is right and legitimate that the second defendant should move the court in this way, the condition is to be prescribed that the said application by notice of motion is to come before the court for hearing, only after the second defendant has complied with the conditions set out in this ruling. This is because this ruling has had to deal with issues touching on contempt, which must take precedence over any other case of invocation of the jurisdiction of the court. The second defendant is, thus, given leave to secure a date for the hearing of the notice of motion application as soon as the conditions in the ruling are satisfied. The plaintiff, too, will be at liberty to make any necessary application within the framework of the suit to which the second defendant is a party.

The profile of the whole matter under consideration runs as follows:

(i) there are several applications filed by different parties, within the framework of the main suit; but the one which came up for hearing was that by the plaintiff dated 10 December 2003 the reason being that it concerned compliance with past orders of court, and related to the contempt jurisdiction;

(ii) with regard to the first defendant, contempt was alleged in relation to orders of 6 November 2003 in High Court Civil case miscellaneous civil application number 1350 of 2003 and also in relation to orders of 1 December 2003 in Civil case number 1248 of 2003;

(iii) With regard to the second defendant contempt was alleged only in relation to the orders of 1 December 2003 in Civil case number 1248 of 2003;

(iv) The law on contempt of court is quite clear; those in contempt are not allowed to seek the court's services before they purge their contempt and such parties may be committed to jail until they purge their contempt:

(v) The first defendant may very well have had a genuine grievance against the orders of court made in the two cases to which it was a party, namely High Court civil case miscellaneous application number 1350 of 2003 and Civil case number 1248 of 2003 – orders made respectively on 6 November 2003 and 1 December 2003; but the first defendant failed to comply with these orders and has sought to find excuses for the non-compliance;

(vi) Even as the court duly warns itself of the drastic effect of the contempt jurisdiction, it must be prepared to exercise this authority to ensure justice between parties, and to restore the authority of the law and of the judicial organ when this is exposed to threats from any self-interest of a party.

In the application invoking the contempt jurisdiction of the court, what is the position of the first defendant? This is the main question still outstanding and will be disposed of in orders based on the specific prayers in the chamber summons application of 10 December 2003.

It is quite clear that the first defendant is in contempt of the orders of the court made on 6 November 2003 and 1 December 2003. The first defendant being fully aware of the content of the two orders, took no action to move the

court to effect a variation, but simply disclaimed these orders. To redress this mischief, I now make the following orders:

1. The application, by notice of motion filed by the second defendant on 3 December 2003, may be set down for hearing on the basis of priority once the second defendant, within 28 days from the date of this ruling, hands over the suit premises with its operations to the first defendant.
2. In the meantime, the plaintiff will have leave to make any such applications as may be necessary and in relation to the suit premises and the operations conducted thereon.
3. The managing director of the second defendant shall, within the next 30 days, appear before a judge in chambers to show that he has duly complied with the first order above, or, in the alternative, to show cause why he should not be committed for contempt.
4. The acting town clerk of the first defendant, the treasurer of the first defendant and the advocate of the first defendant, Moitalel ole Kenta, shall each and all, within the next seven days, take due action to purge their contempt of the court orders of 6 November 2003 and 1 December 2003 and they shall each and all, appear before a judge in chambers ten days from the date of this ruling, to show that they have purged their contempt, or, in the alternative, to show cause whey they should not be committed for contempt.
5. The plaintiff's costs in this application shall be borne by the first defendant; the second defendant shall bear its own costs.

For the appellant:
Mr Ochieng Oduol

For the first respondent:
Mr PK Muite and *Mr Nzioki*

For the second respondent:
Mr Kimani

Zahura v Uganda
[2005] 2 EA 358 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	18 July 2005
Case Number:	16/04
Before:	Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC
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[1] Criminal law – Defences – Self-defence – Provocation – Whether appellant's conviction justified.

[2] Criminal procedure – Constitutional law – Sentencing – Mandatory death sentences – Whether mandatory death sentences were constitutional.

Editor's Summary

The appellant was tried and convicted before the High Court on a charge of murder and subsequently sentenced to death. His appeal to the Court of Appeal was dismissed. He now appealed to the Supreme Court on the grounds that the justices of appeal had failed to properly consider the principles of self-defence

and provocation and had erred in their consideration of the principle of the dying declaration. In a supplementary ground, he claimed that the Court of Appeal had also erred in not giving him an opportunity to be heard on the question of mitigation of sentence. In this regard, his counsel relied on *Kigula and others v Attorney-General*(*supra*), where the Constitutional Court had held that it was unconstitutional to make the death penalty mandatory, to argue that the case should be remitted to the High Court with orders that it hear the appellant in mitigation. Counsel for the respondent argued that the case of *Kigula*(*supra*) was under appeal and urged the court to stay proceedings in all appeals in which the death sentence had been imposed on the basis that it was mandatory.

Held – The Court of Appeal had properly applied the law to the facts of the case and arrived at a correct decision.

To accept the submissions of the appellant's counsel regarding mitigation would be to pre-empt the Supreme Court's decision in the pending appeal in *Kigula*(*supra*). In the circumstances, though the Constitutional Court decision had to be respected, it could not be implemented while the appeal was pending. Confirmation of the sentence would be postponed pending the determination of the appeal against the decision of the Constitutional Court in *Kigula v AG*(*supra*).

Appeal against conviction dismissed, confirmation of sentence deferred.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kigula and others v Attorney-General Constitutional Petition number 6 of 2003

Judgment

Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC: The appellant, Philip Zahura, was convicted for murder and sentenced to death. His appeal to the Court of Appeal was dismissed. Hence, this appeal.

The appeal to this Court was originally on the following two grounds

1. That the learned Justices of Appeal did not properly consider the principles of self-defence and provocation in the instant case and as a result wrongfully confirmed the appellant's conviction.
2. The learned Justices of Appeal considered the principle of the dying declaration in isolation, thus they erred in law when they confirmed the appellant's conviction.

Subsequently, we allowed the appellant to file a supplementary ground of appeal which was framed as follows:

> That the learned Justices of the Court of Appeal erred in law and occasioned a miscarriage of justice in not giving the appellant an opportunity to be heard on the question of mitigation of sentence.

On the first two grounds, Mr *Tayebwa*, counsel for the appellant filed written submissions under rule 63 of the Rules of this Court and Mr *Ssemalemba*, Principal State Attorney, filed written submissions in reply.

Having perused the record of proceedings and read counsel's submissions, we find no merit in the appeal. We find that the Court of Appeal correctly applied the law to the facts of this case and arrived at the correct decision. The appeal against conviction is accordingly dismissed.

On the supplementary ground of appeal, Mr Katende, also counsel for the appellant, drew our attention to the decision of the Constitutional Court in *Susan Kigula and others v Attorney-General* Constitutional Petition number 6 of 2003, in which that court held that it was unconstitutional to make the death penalty mandatory and ordered, *inter alia*, that:

> "The petitioners whose appeals are still pending before an appellate court:
>
> (*a*) Shall be afforded a hearing in mitigation.
>
> (*b*) The court shall exercise discretion whether or not to confirm the sentence."

Counsel prayed that if we uphold the conviction, we should remit the case to the High Court with directions for that court to hear the appellant in mitigation on sentence. Mr Katende informed court that the decision of the Constitutional Court in *Susan Kigula*(*supra*) is the subject of appeal to the Supreme Court and each side has filed notice of appeal.

Mr Wamasebu, Assistant Director of Public Prosecutions, for the respondent, in reply submitted that this supplementary ground was premature in view of the pending appeal. He urged the court to stay proceedings in all appeals where the death sentence was imposed on the basis that it was mandatory.

We have considered all the submissions on this novel point. In our view accepting the submissions of counsel for the appellant would be tantamount to pre-empting the decision of the Supreme Court in the pending appeal.

While the decision of the Constitutional Court must be respected for the moment, we cannot implement it while the appeal against it is pending. At the same time, it would be imprudent to postpone all the cases in which the mandatory death sentences have been imposed. In our view, the court shall determine the appropriate order to be made in each case to ensure that the death penalty is not carried out before the determination of the pending constitutional appeal.

In the unusual circumstances created by the decision of the Constitutional Court, we exercise our discretion and postpone confirmation of sentence in this case under Article 22(1) of the Constitution, until the determination of the pending constitutional appeal against the decision of the Constitutional Court in Constitutional Petition number 6 of 2003.

For the appellant:
Mr Tayebwa

For the respondent:
Mr Ssemalemba, Principal State Attorney